

STUDY GUIDE

Business Taxation

Combined study units, questions, and answer keys

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STUDY UNIT 1

Business Entities and Requirements

Further reading: IRS Publications 334, 505, and 1544

Part 2 of the enrolled agent exam covers a broad range of tax provisions affecting various types of businesses: sole proprietorships, partnerships, limited liability companies, corporations, farming businesses, trusts and estates, retirement plans, tax-exempt organizations, and the special tax laws that apply to each. For examinations delivered between July 1, 2026, and February 28, 2027, Part 2 is broken down into: Business Entities and Considerations (30 questions), Business Tax Preparation (37 questions), and Specialized Returns and Taxpayers (18 questions). Which entity a business should use is primarily a legal and financial decision, though other factors apply.

Sole Proprietorships

A sole proprietorship is the simplest and easiest business type to start; an estimated 70% of U.S. businesses are sole proprietorships. It is not a separate legal entity — it is an unincorporated business owned and controlled by one person who accepts all the risk and liability. A sole proprietorship cannot be passed on to a new owner as the same business entity; if sold, the new owner must operate it as a different sole proprietorship or a different entity type through a sale of assets. Sole proprietors often receive Form 1099-NEC from business customers; those amounts, along with any other business income, are reported and taxed on the taxpayer's personal income tax return.

Qualified Tips Deduction (OBBA, beginning 2025): Individuals may be eligible for a new deduction for qualified tips, limited to a maximum of \$25,000 per year. Qualified tips received in a trade or business are deductible only to the extent of the net profit from that specific trade or business (which includes the tips themselves). Generally, the business cannot be a Specified Service Trade or Business (SSTB) to qualify. These are not business deductions: the business calculates net income on Schedule C, and any allowable qualified tip deduction is claimed on the individual return using the new Schedule 1-A.

Example

Taraji is a rideshare driver operating as a sole proprietor in 2025. She received \$1,800 in qualified tips. Her total gross income was \$15,000, and her deductible business expenses (Schedule C deductions plus one-half of self-employment tax) were \$14,000. Because the deduction is limited to net profit, only \$1,000 (\$15,000 – \$14,000) is deductible; she reports the \$1,000 on Schedule 1-A. The remaining \$800 cannot be deducted because it exceeds her net income limitation.

Income and expenses from the sole proprietorship are reported on Schedule C (Profit or Loss from Business). A self-employed individual with net earnings of \$400 or more must pay self-employment tax by filing Schedule SE with Form 1040. Taxpayers do not need a full-time business

to be self-employed; a part-time business can count. For an activity to be a business, its main purpose must be for profit — hobbies do not qualify.

Example

Boyd works as an independent plumbing contractor for Texas Construction, Inc., which sends him a Form 1099-NEC showing \$25,000. He also received \$7,000 from several individuals for work on their homes. Although he did not receive Forms 1099-NEC for the \$7,000, he must include it as self-employment income, along with the \$25,000, on his Schedule C.

Example

Reggie enjoys woodworking on weekends and occasionally sells items at craft fairs, pricing them just high enough to cover materials. He keeps no detailed records and does not market his work for profit. Woodworking is a hobby, not a business. Reggie would not report it on Schedule C; he would report any hobby gross income on Schedule 1, Line 8j, as “Activity not engaged in for profit income.”

Partnerships

A partnership is a business relationship between two or more taxpayers who join to carry on a trade or business, each contributing and sharing in profits and losses. A partnership files Form 1065 (U.S. Return of Partnership Income) by the 15th day of the third month after the end of its tax year (generally March 15), but the partnership itself does not pay income tax. Profits or losses pass through to the partners, who report their shares on their own returns.

Example

Brett and Leia Padgett co-own Padgett Accounting, LLP as equal 50% partners; both are licensed CPAs actively involved. The partnership files Form 1065 and issues a Schedule K-1 to each partner. In 2025 it reported net ordinary income of \$204,000, so each reports \$102,000 (50%) of self-employment income, on Part II of Schedule E (Form 1040).

The default legal classification is a general partnership, where all partners are general partners, each jointly and severally liable for the debts and obligations of the partnership. A partnership can have unlimited partners, foreign or domestic, and must always have at least one general partner whose actions legally bind the business. A “joint undertaking” merely to share expenses is not automatically a partnership; co-ownership of rental property is usually not a partnership unless the co-owners provide substantial services to tenants.

Example

Cornell and Dolan are cousins who each own 50% of a passive residential rental with long-term tenants. Cornell handles repairs and Dolan collects and divides the rent. The co-ownership is not a partnership for tax purposes; they may divide income and expenses by ownership percentage and each reports his share on Schedule E.

The IRS defines “substantial services” as services primarily for the tenant's convenience, such as daily cleaning, meals, or maid service (like a hotel or bed-and-breakfast). With substantial services, the activity is a partnership (Form 1065); if owned by a single individual, it is reported on Schedule C. Partners are not employees and should not be issued a Form W-2; instead the partnership furnishes each partner a Schedule K-1. The return must show each partner's name, address, and share of taxable income, and be signed by a partner.

Example

Orlando and Suzanne, siblings, buy a Victorian home in New Orleans, divide it into four units, and advertise it as a bed-and-breakfast offering maid service and daily breakfast. The IRS would classify this as a hotel, so they must file a partnership return.

The OBBBA confirms that, for services performed or property transferred after July 4, 2025, if a partner provides services to or transfers property to the partnership, receives a related allocation and distribution, and the facts show the partner is acting in a non-partner capacity, the transaction is treated as occurring between the partnership and an unrelated third party.

Example

Prisha, a partner in Blue Stone Partnership, separately provides architectural design services for a new partnership building, and the partnership makes a related allocation and distribution of \$50,000 for those services. If the facts show she is acting as a service provider rather than as a partner, the transaction is treated as if the partnership had paid an outside architect.

Limited Partnerships and Limited Liability Partnerships

A Limited Partnership (LP) has at least one limited partner in addition to its general partner(s), allowing an investor to own an interest without assuming personal liability beyond their investment. An LP is a state-level entity: a Certificate of Limited Partnership (or Certificate of Formation) must generally be filed with the Secretary of State. A limited partner generally has no obligation to contribute additional capital and, in most states, is restricted in how actively they can manage the partnership.

Example

Carter wants to open a dance club and his aunt Marisol agrees to invest \$250,000 but not run it day-to-day. They form Nightlife Ventures, LP; Marisol is the limited partner (investor) and Carter, an experienced restaurateur, is the general partner who runs the club.

A Limited Liability Partnership (LLP) is formed under state law and is generally used for professional services (law firms, CPA firms), often where an LLC is prohibited for that business type. For example, in California, attorneys, CPAs, and architects cannot form an LLC for those services but may form an LLP. An LLP allows each partner to participate in management while providing limited liability: a partner generally is not personally liable for partnership debts or the malpractice of other partners, and is only at risk for their own malpractice and their interest in the partnership's assets.

Example

Dylan and Farad, licensed California attorneys, form an LLP by registering with California's Secretary of State and open a San Diego office. Their business is taxed as a partnership and files Form 1065 each year, while the partners enjoy some protection against personal legal liability.

Note

The late-filing penalty for a partnership return can add up quickly. For returns required to be filed in 2026 for the 2025 tax year, the penalty is \$255 per month, per partner, for up to 12 months.

Married Couple Businesses and Qualified Joint Ventures

A small business operated by spouses without incorporating or forming a formal partnership is usually considered a partnership. However, if both spouses materially participate as the only members of a jointly owned and operated business, it may be treated as a qualified joint venture (QJV), avoiding a partnership return while still giving each spouse credit for self-employment earnings for Social Security purposes. Items of income, gain, loss, deduction, and credit are split according to each spouse's interest, and the spouses file separate Schedules C and SE. This option is available only to married couples filing jointly, owning and operating the business as co-owners, and not in the name of a state law entity; spousal owners of an LLC or LP generally do not qualify.

IRS regulations exclude state-approved entities (LLCs, LLPs) from filing as a QJV. However, married couples in community property states may file on two Schedules C, instead of Form 1065, if they hold the LLC (or other non-corporate entity) as community property.

Example

Jose and Johanna live in Hawaii (not a community property state) and treat their business as a QJV, filing two Schedules C. Later they form a multi-member LLC for liability protection. They must now file a partnership return (Form 1065) starting with the date of formation and can no longer treat the activity as a QJV, even filing jointly.

Example

Grant and Evie are married, file jointly, and run a Texas grocery store as a QJV. They form a multi-member LLC and hold it as community property under Texas law. Because Texas is a community property state, they may continue reporting on two Schedules C by electing QJV treatment.

Note

Federal tax laws referencing “husband and wife” also apply to legally married same-sex spouses. Couples in civil unions or registered domestic partnerships are not “married” for tax purposes and must file a partnership return. The nine community property states are: Louisiana, Arizona, California, Texas, Washington, Idaho, Nevada, New Mexico, and Wisconsin.

Centralized Partnership Audit Regime (CPAR)

CPAR was introduced as part of the Bipartisan Budget Act of 2015. Under CPAR, if a partnership's return is audited and found to have underreported taxable income, the partnership itself is responsible for paying any resulting tax, interest, and penalties. Certain small partnerships with 100 or fewer eligible partners can elect out; if they do, audit adjustments are made at the partner level. A partnership elects out on Schedule B-2 (Form 1065) only if it meets all of the following: 100 or fewer partners during the year, and only “eligible” partners, which include:

- Individuals (natural persons only; neither LLCs nor grantor trusts are eligible partners).
- C corporations or foreign entities classified as corporations.
- S corporations.
- Estates of deceased partners (but not bankruptcy estates).

A partnership with just one non-qualified partner cannot opt out of CPAR, even with fewer than 100 partners.

Example

Weeder's Ceramics, LLC has three partners and has always opted out of CPAR on Schedule B-2. In 2025, Tristan forms a grantor trust and transfers his interest into it. The partnership can no longer opt out, because it now has an ineligible partner (the trust).

CPAR requires partnerships to designate a “partnership representative,” who need not be a partner and can be an individual or a business entity, but must have a substantial presence in the United States. The representative has authority to make decisions during an audit that are binding on the partnership and all its partners.

Example

Libertad Energy, LP is a large oil and gas partnership with over 2,000 partners, so it cannot elect out of CPAR. It retains tax attorney Benjamin Smith, Esq., who is not a partner, and names him as the partnership representative on its tax return.

C Corporations

Most major companies are organized as C corporations. Prospective shareholders provide money, property, or both in exchange for capital stock. A corporation is a separate entity from its shareholders and must elect a board of directors responsible for oversight. C and S corporations are differentiated for tax purposes only; legally both are simply corporations. A C corporation may have unlimited shareholders, foreign or domestic, and files Form 1120 (U.S. Corporation Income Tax Return) by the 15th day of the fourth month after the end of its tax year (calendar-year corporations: April 15). Its after-tax profits may also be taxable to shareholders when distributed as dividends, resulting in double taxation. A C corporation does not receive a deduction when it distributes dividends, and shareholders cannot deduct corporate losses. C corporations are taxed at a flat rate of 21%.

C corporations generally make quarterly estimated tax payments based on expected taxable income, using the Electronic Federal Tax Payment System (EFTPS). Starting in 2025, corporations can also use Direct Pay for Businesses.

Example

Greentech Innovations, Inc., a C corporation, generated \$500,000 in taxable income in 2025. At the flat 21% rate, its federal corporate income tax is \$105,000 ($\$500,000 \times 0.21$). It submits payments via EFTPS and must pay throughout the year via estimated payments to avoid underpayment penalties.

S Corporations

An S corporation is organized as a corporation for legal purposes but elected with the IRS for tax purposes. For federal income tax purposes it generally is not subject to tax; instead income, losses, deductions, and credits pass through to shareholders (similar to a partnership). However, an S corporation may itself owe tax on certain built-in gains and passive investment income. It files Form 1120-S and reports each shareholder's share on Schedule K-1 by the 15th day of the third month after the end of its tax year (generally March 15). S corporations must: be a domestic corporation with 100 or fewer permitted shareholders (partnerships, C corporations, and nonresident aliens are not eligible); have only one class of stock (voting and nonvoting are not separate classes if they have identical distribution and liquidation rights); and not be an ineligible corporation (certain financial institutions, insurance companies, and DISCs).

Note

Like partnerships, S corporations face a steep late-filing penalty. For 2025 tax returns filed in 2026, the penalty is \$255 per month, per shareholder, for up to 12 months.

Limited Liability Companies (LLCs)

An LLC is formed under state law by filing articles of organization. For federal tax purposes it is treated either as a “disregarded entity,” as a partnership, or as a corporation (if it elects). Most LLCs are taxed as partnerships, and their members can avoid double taxation. An LLC provides the liability protection of a corporation with the tax benefits of a partnership; unlike a partnership, no member is personally liable for its debts. A multi-member LLC treated as a partnership files Form 1065 annually by the 15th day of the third month after the end of its tax year, and one member must sign the return. A Professional Service Limited Liability Company (PLLC) is owned and operated by licensed professionals (doctors, lawyers, engineers, CPAs); PLLCs are not available in every state, have ownership restrictions, and generally may only offer services related to their profession.

Farmers

Farming businesses are primarily engaged in crop production, animal production, or forestry and logging (stock, dairy, poultry, fish, fruit, tree farms, plantations, ranches, timber farms, orchards). It is the nature of the activity, not the entity type, that determines whether a business qualifies as farming. Congress has enacted many farming-specific laws reflecting the unpredictable nature of the business: farmers have a different estimated-tax schedule, may postpone gain or income in certain cases, can deduct a higher percentage of mileage than other businesses, and get special consideration when disaster strikes. Sole-proprietor farmers report on Schedule F (Profit or Loss from Farming) and complete Schedule SE. A farming business may also be a partnership or corporation, but many farm-specific rules still apply.

Note

The OBBBA introduced a benefit for farmers: for sales or exchanges in taxable years beginning after July 4, 2025, taxpayers who sell qualified farmland property to a “qualified farmer” may elect to defer their capital gains and pay the resulting net income tax liability ratably over a four-year installment period. Since most farmers are calendar-year taxpayers, they will benefit from this change in 2026.

Tax-Exempt Organizations (Nonprofit Entities)

IRS Code Section 501(c) outlines requirements for tax-exempt organizations; they must be operated exclusively for an exempt purpose and not benefit private individuals. Nonprofits may be organized as corporations, trusts, or associations, but never as partnerships or sole proprietorships. To obtain tax-exempt status, most charitable organizations file Form 1023 (Application for Recognition of Exemption); churches (including synagogues, temples, and mosques) are treated as tax-exempt by default and need not apply. Most tax-exempt organizations must annually file Form 990 (Return of Organization Exempt from Income Tax) by the 15th day of the fifth month after the end of the tax year (generally May 15). Small organizations may file Form 990-EZ or 990-N (e-Postcard). Form 990-T reports and pays tax on unrelated business income (UBI). Tax-exempt organizations are generally subject to a 21% excise tax on compensation over \$1 million paid to any of their highest-paid employees.

Example

Helping Hands Foundation, a Denver nonprofit, received \$725,000 in donations and must file Form 990. It also operates a small café generating \$17,400 in unrelated business income, so it must also file Form 990-T to report and pay tax on that income.

Entity Classification Election Rules

Certain entities may choose their tax classification by filing Form 8832 (Entity Classification Election). A single-member LLC is a “disregarded entity” (not separate from its owner) unless it files Form 8832 to be taxed as a corporation; a single-owner LLC operating a trade or business is treated as a sole proprietorship, and the owner pays self-employment tax. A single-member LLC owned by a corporation or partnership is included on that entity's return as a division. A single-member LLC cannot be a partnership (which requires at least two owners). An LLC with at least two members is a partnership by default unless it files Form 8832 to be a corporation (to be taxed as an S corporation it files Form 2553 instead, making both elections simultaneously).

An election to change an LLC's classification generally cannot take effect more than 75 days before, nor later than 12 months after, the date it is filed. Once an entity elects to change its classification, it generally cannot change again within five years (60 months). The 60-month limitation does not apply if the previous election was made by a newly formed eligible entity and was effective on the date of formation.

Example

Kiana and Garrick own K&G LLC, taxed as a partnership. A year in, they file Form 8832 to be taxed as a C corporation to attract foreign investors, and the change is accepted (they now file Form 1120). If they later want to return to partnership classification, they must wait at least 60 months (five years).

Recordkeeping for Businesses

Proper recordkeeping lets businesses monitor operations, verify income and expenses, and file accurate returns. Records may be kept in any format that clearly shows financial transactions, with supporting documents (sales slips, invoices, receipts, bank statements). Electronic records are acceptable if complete, accurate, and accessible to the IRS. A statute of limitations is the time period within which the IRS must assess, refund, credit, and collect taxes; when it expires, the IRS can no longer assess additional tax, allow a refund claim, or take collection action. Generally, a business must keep records at least three years from when a return was due or filed, whichever is later. Employment tax records must be kept at least four years. Records relating to property must be kept until the statute of limitations expires for the year the property is sold or otherwise disposed of.

Example

Summer Café, a California partnership coffee shop, keeps income tax returns, receipts, invoices, and bank statements at least three years from filing or due date, whichever is later. With 10 employees, it keeps payroll records, Forms W-2, and employment tax returns at least four years.

Business funds should be kept separate from personal funds. The IRS is more likely to audit a business and deny deductions if there is no clear separation; a separate business bank account is advisable.

Financial Statements

The two most common financial statements for tax reporting are the income statement and the balance sheet. The income statement (or “profit and loss” statement) shows revenue, expenses, and net income or loss during a period. The balance sheet summarizes assets, liabilities, and equity on a specific date — a “snapshot” of financial condition. Balance sheet accounts carry forward year to year, unlike income statement accounts, which close out at year-end.

Employer Identification Number (EIN)

An EIN (federal tax identification number) is used for reporting and is assigned to business entities. A sole proprietor with no employees is normally not required to obtain an EIN but may request one to protect their Social Security number. If a sole proprietor converts to a different entity type, a new EIN is required. A business must apply for an EIN if any of the following apply: it pays employees; it operates as a corporation, exempt organization, trust, estate, or partnership; it files employment, excise, or alcohol/tobacco/firearms tax returns; it withholds taxes paid to a nonresident alien; or it establishes a pension, profit-sharing, or retirement plan.

A new EIN is required when: a sole proprietor or partnership incorporates, or a sole proprietor takes on a partner; a partnership becomes a sole proprietorship (e.g., one partner dies); a sole proprietor files for bankruptcy under Chapter 7 or 11; a taxpayer terminates one partnership and begins another; a business establishes a pension, profit-sharing, or retirement plan; or the individual owner dies and the business is taken over by the estate. A business does NOT need a new EIN merely to: change the name or address; change or add business locations; or operate multiple sole proprietorships. A single-member LLC classified as a disregarded entity may use the owner’s SSN or EIN unless it must file employment or excise tax returns. Most taxpayers apply online or paper-file Form SS-4.

Specific Reporting Requirements

Form W-2 and Form W-4

A business files Forms W-2 (Wage and Tax Statement) with the Social Security Administration showing wages paid and taxes withheld for each employee, and must give a copy to each current and former employee by January 31 of the following year. There is a single January 31 filing deadline for all Form W-2s (employee and IRS copies, paper or electronic). For 2025, the IRS provided transition relief so employers are not required to separately identify tips or overtime compensation on Form W-2 or Form 1099; standard wage reporting rules continue to apply. When a business hires an employee, the employee completes Form W-4 (Employee’s Withholding Certificate) reporting marital status and dependents. If an employee fails to complete a Form W-4, the employer must withhold as if the employee were single and taking the standard deduction.

Note

Under the Taxpayer First Act, any business filing 10 or more returns or statements during the calendar year must file those forms electronically, including Forms 1099 and W-2. The IRS Information Returns Intake System (IRIS) portal allows free electronic filing of Forms 1099.

Form 1099-NEC and Form 1099-MISC

A business must report nonemployee compensation of \$600 or more (2025) paid to certain independent contractors by furnishing Form 1099-NEC by January 31 of the following year. Form 1099-MISC reports: payments of \$600 or more for rents, prizes and awards, crop insurance proceeds, and certain medical and health care payments; royalties over \$10; and gross proceeds of \$600 or more paid to an attorney's office. Except for attorneys, payments to corporations are generally exempt from Form 1099 reporting. Forms 1099 are only for payments made in the course of a trade or business; personal payments are not reportable.

Example

Madeline hires Jonah to paint her personal residence for \$3,500 — no Form 1099-NEC (personal payment, not deductible), though Jonah must still report the income. The next year she hires him to paint her business office for \$2,000; since it is a business expense, she must issue a Form 1099-NEC.

Example

Healthy Living Clinic, Inc. pays independent web designer Mark Johnson \$525 in 2025. Since the payment did not exceed \$600, no Form 1099-NEC is required, but the amount is fully taxable to Mark.

Example

Bonsai Landscaping, Inc. pays private landlord Arthur Smith \$1,200/month (\$14,400/year) in rent by check. Since rent exceeds \$600, Bonsai must issue a Form 1099-MISC reporting the gross rental payments.

A business should only include payments made by cash, check, ACH transfer, or other direct means on Form 1099-MISC or 1099-NEC. Credit card and third-party network payments must be reported on Form 1099-K by the settlement entity, not on Form 1099-MISC or 1099-NEC.

Form 1099-K, 1099-INT, and Other Information Returns

Form 1099-K is used by payment settlement entities (PayPal, Square, Stripe) to report online payment transactions. The OBBBA repealed the reduced \$600 threshold enacted under the American Rescue Plan Act. For 2025, third-party network transactions are reportable on Form 1099-K only if both thresholds are met: aggregate payments exceed \$20,000, and the number of transactions exceeds 200 during the calendar year. If both are not met, no Form 1099-K is required.

Example

Stuart drives for a rideshare company on weekends. In 2025 he makes \$21,500 but completes only 180 transactions. Because he did not exceed both the \$20,000 and 200-transaction thresholds, no Form 1099-K is required — but he must still report the \$21,500 as business income on Schedule C.

A business not in the business of paying interest (unlike a bank or credit union) must generally report interest paid to a single individual when the total is \$600 or more for the year; for banks and similar institutions the threshold is \$10 or more. Other information returns include Form 1099-R (retirement distributions), 1099-DIV (dividends), 1099-B (broker and barter exchange), 1099-S (real estate), 1099-C (cancellation of debt), 1099-A (acquisition or abandonment of secured property), 1099-PATR (cooperative distributions), and 1099-G (government payments). Form 1099-DA is used by digital asset brokers (cryptocurrency exchanges, digital asset middlemen and kiosk operators) to report sales or dispositions of digital assets; for 2025 brokers must report gross proceeds while basis reporting is voluntary, becoming mandatory for covered securities beginning January 1, 2026.

Form 8300 (Report of Cash Transactions over \$10,000)

When a business receives a cash payment of more than \$10,000 from one transaction (or two or more related transactions), it must file Form 8300 within 15 days. It must also provide a written statement to each person named on any Form 8300 filed, no later than January 31 of the following year. For this rule, “cash” includes U.S. coins and currency, cashier's checks (generally only when \$10,000 or less), bank drafts, traveler's checks, and foreign currency; it does not include bank wire transfers, credit card transactions, ACH transactions, or personal checks.

Example

On January 6, 2025, Jennifer buys a used car from Elko's Used Autos, LLC and pays \$17,000 in cash. The dealership verifies her ID and must file Form 8300 no later than January 21, 2025 (15 days later), and send a statement to Jennifer by January 31, 2026.

Example

Glamour Gems Jewelry sells a necklace for \$15,600; Henrietta pays \$8,000 cash initially and \$7,600 cash a week later. Since the total cash exceeds \$10,000 and the payments are related (a single item), Glamour Gems must file Form 8300.

Example

Sheena, a teacher, sells her personal vehicle for \$12,500 cash. She does not file Form 8300 because she is not a car dealer and the transaction is not a business transaction.

Employee and Worker Classification

Because businesses withhold and pay income, employment, and FUTA taxes and report payments to contractors, they must accurately determine whether a worker is an independent contractor or an employee. A person performing services may be an independent contractor, an employee, a statutory employee, or a statutory nonemployee. The IRS evaluates three primary characteristics: Behavioral Control (whether the business has a right to direct or control how the work is done); Financial Control (whether it controls the financial and business aspects — how the worker is paid, whether expenses are reimbursed, whether tools and supplies are provided); and Type of

Relationship (written contracts, employee-type benefits such as vacation pay or a retirement plan). If status remains unclear, Form SS-8 can be filed by either the business or the worker for an IRS determination. Misclassifying workers may lead to substantial tax penalties.

Example

Adam, a licensed electrician with many clients, bids a job at \$36/hour for 400 hours (\$14,400) with milestone payments, and will receive that amount regardless of actual hours. He also works for other companies via online ads. Adam would likely be classified as an independent contractor.

Example

Katrina, a full-time auto dealership salesperson, works assigned showroom hours, uses the dealership's customer lists, reports to the sales manager, is paid commission and eligible for bonuses, and receives employer-paid health and group-term life insurance. Katrina is classified as an employee.

A self-employed independent contractor pays self-employment tax if net earnings are \$400 or more and reports income on Schedule C. There is generally no withholding on self-employment income if the contractor provides their taxpayer identification number, though they may need to make quarterly estimated payments.

Backup Withholding

If a business does not obtain a Social Security number or TIN for a payee, it must withhold federal income taxes at a 24% rate in 2025. U.S. source income received by a foreign person (nonresident alien) is subject to 30% withholding unless a lower tax treaty rate applies.

Statutory Employees

Statutory employees are issued Forms W-2 but report wages, income, and allowable expenses on Schedule C, like self-employed taxpayers (box 13 “statutory employee” is checked). They are usually salespeople or commission workers. Unlike other Schedule C filers, statutory employees are not required to pay self-employment tax, because their employers treat them as employees for Social Security tax purposes. Examples: certain commissioned drivers distributing meat, vegetables, bakery items, or drinks (other than milk), or picking up/delivering laundry or dry-cleaning; full-time life insurance salespeople; certain home workers on employer-furnished materials; and full-time traveling salespeople submitting orders on behalf of a business.

Example

Avery is a full-time life insurance salesperson for Provident Life Insurance, working from an office he rents himself. Provident issues a W-2 with the “statutory employee” box checked. Avery reports income and loss on Schedule C, but no Schedule SE is generated because Social Security and Medicare taxes were already withheld. Avery is a statutory employee.

Statutory Non-employees

There are three categories of statutory non-employees: direct sellers, licensed real estate agents, and certain companion sitters. They are treated as self-employed for federal tax purposes if:

payments for their services are directly related to sales rather than hours worked; and services are performed under a written contract providing they will not be treated as employees. Companion sitters not employed by a placement service are generally self-employed unless the person for whom services are performed has the right to direct and control the sitter. Compensation is reported on Form 1099-NEC, and the taxpayer reports on Schedule C.

Example

Eugenia is a full-time real estate agent for Trusty Realty, splitting commissions under contract, setting her own schedule, and working for no other company. She is a statutory nonemployee; Trusty issues a Form 1099-NEC and she files Schedule C.

Example

Alana sells cosmetics as an independent Mary-Kare sales representative, earning a 40% commission on product sales; she is not an employee and files Schedule C.

Employing Family Members

A Child Working for a Parent

Normally there are no special rules when a child is an employee of a parent's business, assuming wages are reasonable. If the parent's business is a sole proprietorship or a spousal partnership in which both partners are the child's parents, payments for the child's services are subject to income tax withholding. If the child is under 18, wages are not subject to Social Security and Medicare (FICA) taxes; if under 21, payments are not subject to FUTA tax.

Example

Abby and Finn co-own the Sandwich Shoppe as a qualified joint venture. Their daughter Angie, 16, works weekends as a hostess at a reasonable wage. They must withhold income tax, but because of her age and because she works for her parents, her wages are not subject to Social Security, Medicare, or FUTA.

This special rule does not apply if the business is organized as a C or S corporation.

Example

Kendra, 17, works part-time for her father's C corporation, Real-Time Sporting Goods, Inc. Because it is a C corporation, her wages are subject to all payroll taxes, including Social Security, Medicare, and FUTA.

Spouse Employed by a Spouse

The wages of a spouse are subject to income tax, Social Security, and Medicare taxes, but not FUTA tax, if the business is a sole proprietorship. FUTA does apply if the spouse works for a corporation or a partnership in which the employing spouse is a partner.

Example

Smirnoff Veterinary Services is a disregarded PLLC taxed as a sole proprietorship, solely owned by Dr. Paul Smirnoff. His wife Anastasia works full-time as office manager. Her wages are subject to Social Security, Medicare, and income tax withholding, but not FUTA tax.

Employment Taxes and Self-Employment Tax

Employers use Form W-4 to determine withholding, including Social Security and Medicare taxes, and report withholdings and employment taxes on Form 941 (quarterly) or Form 944 (annual). In 2025, businesses must make federal tax deposits of income and employment taxes electronically, generally via EFTPS. Only the first \$176,100 of an individual's employee compensation and/or net earnings from self-employment is subject to Social Security tax; there is no cap on the Medicare tax. For employees, the maximum Social Security tax is \$10,918.20 (6.2% of \$176,100). For self-employed individuals, the maximum Social Security tax is \$21,836.40 (12.4% of the first \$176,100).

Federal Unemployment (FUTA) Tax

FUTA provides unemployment compensation to workers who lose their jobs. It is reported and paid separately from income and FICA taxes and is paid only by the employer, never by the employee. The FUTA rate is 6% on the first \$7,000 of each employee's wages; most employers receive a credit of up to 5.4% for state unemployment tax paid. It is reported on Form 940. Once an employee earns \$7,000 in gross wages, no more FUTA is owed for that employee, but a newly hired replacement employee's wages are again subject to FUTA up to the \$7,000 limit.

Example

Alamo Brokers, Inc. hires a receptionist on January 10 who earns \$2,300 before quitting a month later. Alamo pays \$138 in FUTA on her wages ($\$2,300 \times 6\%$). A replacement employee's wages are also subject to FUTA up to the \$7,000 threshold.

Additional Medicare Tax

An Additional Medicare Tax of 0.9% applies to earned income exceeding the following thresholds:

Filing Status	2025 Threshold Amount
MFJ	\$250,000
MFS	\$125,000
Single, HOH, or QSS	\$200,000

Earned income subject to Medicare tax (wages, taxable fringe benefits, bonuses, tips, commissions, and self-employment income) is also subject to the Additional Medicare Tax to the extent it exceeds the threshold. An employer must withhold the Additional Medicare Tax if an employee is paid more than \$200,000, regardless of filing status or wages from another employer. There is no "employer's share" of this tax. Employees may owe it even if amounts are not withheld. Self-employed taxpayers may deduct half of their SE tax in figuring AGI, but cannot deduct any

of the 0.9% Additional Medicare Tax. A general partner's income is subject to self-employment and Additional Medicare tax like a sole proprietor's, while income reported to limited partners is generally passive and not subject to either.

Example

Lilia and Jake (MFJ): Lilia earns \$40,000; Jake earns \$230,000. Because Jake's salary exceeds \$200,000, the hospital withholds 0.9% on his \$30,000 excess = \$270. Their combined AGI is \$270,000, \$20,000 over the \$250,000 MFJ threshold, so their actual Additional Medicare Tax is \$180 ($\$20,000 \times 0.9\%$). They receive a \$90 refund (\$270 withheld – \$180 actual).

Example

Dillon (single) earns \$195,000 in wages and \$35,000 in net self-employment income (\$230,000 total). He owes Additional Medicare Tax on \$30,000 (above the \$200,000 single threshold) = \$270.

Example

Bailey (single) earns \$180,000 in wages and \$45,000 from a limited partnership investment (she is only an investor). Even though her total income (\$225,000) exceeds the threshold, she owes no Additional Medicare Tax because her earned income (wages) is below \$200,000.

Trust Fund Recovery Penalty (TFRP)

Trust fund taxes are amounts withheld from employees' wages (Social Security, Medicare, and income tax) held in trust until remitted to the Treasury. This penalty is also called the "100% penalty." If a business does not deposit its trust fund taxes timely, the IRS may assess a TFRP equal to the unpaid balance against any person who: is responsible for collecting or paying withheld income and employment taxes (or paying collected excise taxes); and willfully fails to collect or pay them. The IRS can then pursue the personal assets of any "responsible person," which may include anyone who signs checks or has authority to spend business funds, such as a bookkeeper. Willfulness requires that the responsible person knew or should have known of the outstanding taxes and intentionally disregarded the law or was plainly indifferent (no evil intent required). Using available funds to pay other creditors while failing to pay employment taxes is an indication of willfulness.

Example

Ruby managed payroll for a local church, preparing and signing the payroll returns and checks, then giving them to the pastor to mail. The pastor did not remit the payments and instead bought a piano. Despite knowing the funds were misused, Ruby did nothing. The IRS assessed the TFRP against the pastor, the church, and Ruby — even though Ruby was just the bookkeeper, she knew of the misuse and can be assessed a penalty equal to 100% of the unpaid trust fund taxes.

Business Entities Snapshot

Feature	Sole Proprietorship	C Corporation	S Corporation	General Partnership
Formation	No state filing required.	State filing required.	State filing required.	No state filing required.
Existence	Automatically dissolved upon death.	Perpetual life.	Perpetual life.	Varies from state to state.
Liability	Unlimited liability; not a separate legal entity.	Shareholders are not responsible for corporate debts.	Shareholders are not responsible for corporate debts.	General partners are liable for partnership debts.
Operational Requirements	None.	Board of directors, annual meetings, and annual reporting required.	Board of directors, annual meetings, and annual reporting required.	No formal requirements.
Management	Sole proprietor has full control.	Management reports to directors elected by shareholders.	Management reports to directors elected by shareholders.	Partners may have an oral or written operating agreement.
Taxation	Not a separate taxable entity; owner pays all taxes on individual return.	Taxed at the entity level; dividends taxable to owners.	Generally no entity-level tax; income and losses pass through.	Generally no entity-level tax; income and losses pass through.
Pass-Through	Yes	No	Yes	Yes
Double Taxation	No	Yes	No	No
Transferability	No	Yes	Yes	Yes

STUDY UNIT 1

Study Questions

Test yourself, then check the answer key that follows.

1. Clyde and Selma are married and run a small pet grooming business together. They want to treat their business as a qualified joint venture. They live in Virginia (a non-community property state), each materially participate, and their business is not an LLC or other state-level entity. Which statement is correct?

- a) They may choose to report their qualified joint venture on two separate Schedules C, so long as they file jointly.
- b) They may choose to report their qualified joint venture on two separate Schedules C, so long as they file separate tax returns (MFS).
- c) They are required to file a partnership tax return for their business activity.
- d) They may file a single Schedule C, listing Clyde as the sole proprietor one year and Selma the following year.

2. A domestic LLC with at least two members that does not file Form 8832 will be automatically classified as _____ for federal income tax purposes.

- a) An S corporation.
- b) A partnership.
- c) A qualified joint venture.
- d) A domestic trust.

3. An individual who owns a business that fails to pay required payroll taxes to the IRS may be subject to:

- a) Underpayment of estimated tax penalty.
- b) Substantial valuation misstatement penalty.
- c) Gross understatement of income penalty.
- d) Trust fund recovery penalty.

4. Jianguo is self-employed and has a home-based business selling used video games and comic books online, with a profit motive. His gross sales were \$29,000 and his expenses total \$9,500. Which schedule should he complete?

- a) Schedule A.
- b) Schedule C.
- c) Schedule D.

- d)** Schedule F.
5. Which of the following is considered a drawback of a C corporation?
- a)** It may have many different types of shareholders.
 - b)** It may have investors who are nonresident aliens.
 - c)** It is run by a board of directors.
 - d)** Its profits are potentially subject to double taxation.
6. Federal law requires businesses to provide a Form 1099-NEC for each independent contractor paid at least _____ for services in 2025.
- a)** \$400
 - b)** \$500
 - c)** \$600
 - d)** \$20,000
7. Mandy and her cousin Tammy make and sell beaded jewelry at craft shows, running the business jointly for profit with no formal agreement (just a handshake to share profits and losses equally). They received \$24,900 in 2025 and had \$2,900 of expenses. What is the correct way to report their income?
- a)** Split the income and report the gross income as “other income” on each taxpayer's individual Form 1040.
 - b)** Report each person's own income and expenses on Schedule C.
 - c)** Calculate income minus expenses and each report the net amount as “other income” on her individual Form 1040.
 - d)** They are business partners and should report their income on Form 1065.
8. All of the statements are correct about the following business entities except:
- a)** S corporations may have an unlimited number of shareholders.
 - b)** A multi-member LLC typically provides the liability protection of a corporation but the tax benefits of a partnership.
 - c)** “Pass-through” entities include LLCs, LLPs, S corporations, and general partnerships.
 - d)** An owner of a sole proprietorship bears all the liabilities and risks of the business.

9. Ellsworth is a full-time life insurance salesman and a statutory employee who receives a Form W-2. How should he report his income?

- a)** On Form 1040 as regular wages.
- b)** On Schedule C, not subject to self-employment tax.
- c)** On Schedule C, subject to self-employment tax.
- d)** On Schedule E, not subject to self-employment tax.

10. Hongwei is a sole proprietor with no employees who uses his Social Security number to run his business and file information returns. In which scenario would he be required to obtain an EIN?

- a)** If he is required to file excise tax returns.
- b)** If he changes the name of his business.
- c)** If he changes the physical location of his business.
- d)** If he operates more than one sole proprietorship.

11. Which of the following entities generally does not require an EIN?

- a)** An estate.
- b)** A C corporation.
- c)** Nonprofit organization.
- d)** A sole proprietorship with no employees.

12. Kramer is a single sole proprietor who runs a cabinet-making business. He is required to file Schedule SE if his net earnings from self-employment were at least:

- a)** \$5
- b)** \$108
- c)** \$400
- d)** \$600

13. The IRS evaluates all of the following characteristics to assess the relationship between a business and its workers except:

- a)** Income level.
- b)** Type of relationship.

- c) Financial control.
- d) Behavioral control.

14. Sunset Funeral Services, Inc. provides burial and funerary services. Thomas recently paid \$12,000 in cash to Sunset Funeral Services for a burial insurance policy. What form is Sunset Funeral Services required to file for this transaction?

- a) Form 1099
- b) Form 1099-MISC
- c) Form 8300
- d) Form 1099-NEC

15. In which of the following instances is a partnership not required to obtain a new EIN?

- a) The partners decide to incorporate.
- b) The partnership is taken over by one of the partners and operated as a sole proprietorship.
- c) The general partner dissolves the old partnership and begins a new one.
- d) The partnership adds additional business locations.

16. Caden, age 16, works the counter of a juice bar owned by his mother, a sole proprietor. Which of the following taxes, if any, must be withheld from his paycheck?

- a) Income tax.
- b) Income tax, Social Security and Medicare taxes.
- c) Income tax, Social Security and Medicare taxes, and FUTA tax.
- d) None of the above.

17. How is a limited liability company (LLC) formed?

- a) Under federal law by filing articles of incorporation.
- b) Under international law by filing articles of incorporation.
- c) Under common law by filing articles of incorporation.
- d) Under state law by filing articles of organization.

18. A C corporation is taxed at a flat rate of:

- a) 15%
- b) 20%
- c) 21%
- d) 35%

19. Who is responsible for paying the FUTA tax?

- a) Employee
- b) Employer
- c) Both employee and employer (the tax is split 50/50)
- d) Customers

STUDY UNIT 1

Answer Key & Explanations

1. The answer is **A**.

Their business is not incorporated, an LLC, or another state-level entity, so Clyde and Selma may report their qualified joint venture on two separate Schedules C, as long as they file jointly. A QJV requires spouses filing jointly who are the business's only owners and both materially participate.

2. The answer is **B**.

A domestic LLC with at least two members that does not file Form 8832 is automatically classified as a partnership for federal tax purposes.

3. The answer is **D**.

The trust fund recovery penalty applies to any person responsible for collecting or paying income and employment taxes (or paying collected excise taxes) who willfully fails to do so. The penalty equals the unpaid balance of the trust fund taxes.

4. The answer is **B**.

Jianguo should complete Schedule C to report his business income and expenses. Schedule C is used to report income and expenses from a business owned as a sole proprietorship.

5. The answer is D.

C corporations are subject to double taxation: a corporate-level tax, plus tax on dividends distributed to shareholders (with no corresponding deduction by the corporation). The other statements are facts about C corporations but not drawbacks.

6. The answer is C.

Federal law requires a Form 1099-NEC for each independent contractor paid at least \$600 (2025) for services during a year. Payments made directly to a corporation are generally exempt from Form 1099-NEC reporting.

7. The answer is D.

Mandy and Tammy are working as a partnership and should report income and expenses on Form 1065. Each partner should receive a Schedule K-1 to report her share on her Form 1040.

8. The answer is A.

An S corporation cannot have an unlimited number of shareholders — only a C corporation may. An S corporation is generally limited to no more than 100 shareholders.

9. The answer is B.

Ellsworth reports his income on Schedule C, not subject to self-employment tax. Statutory employees report wages, income, and allowable expenses on Schedule C like self-employed taxpayers, but are not required to pay self-employment tax because their employers treat them as employees for Social Security tax purposes.

10. The answer is A.

Hongwei must request an EIN if he files excise tax returns. An EIN is normally not required for a sole proprietorship with no employees, and a new EIN is not required merely to change location or business name; an individual may operate multiple sole proprietorships under the same EIN.

11. The answer is D.

A sole proprietorship without employees generally does not require an EIN. The other choices all require an EIN.

12. The answer is C.

Kramer must file Schedule SE if his net earnings from self-employment are \$400 or more. If less than \$400, a taxpayer is normally not required to file Schedule SE.

13. The answer is A.

Income level is not a factor in determining a worker's status. The issue is whether the employer or the worker has the right to direct or control how the work is done (behavioral control), the financial and business aspects (financial control), and the type of relationship.

14. The answer is C.

The receipt of cash by Sunset Funeral Services must be reported on Form 8300. When a business receives more than \$10,000 in cash from a single transaction, it must file Form 8300, Report of Cash Payments Over \$10,000 Received in a Trade or Business.

15. The answer is D.

A partnership is not required to obtain a new EIN simply to add business locations. In all the other circumstances the entity would need a new EIN.

16. The answer is A.

Only income tax would be withheld from Caden's wages. Only income tax is withheld from the paycheck of a child under age 18 working for a parent who is a sole proprietor (no Social Security, Medicare, or FUTA).

17. The answer is D.

An LLC is formed under state law by filing articles of organization. It can be taxed as a disregarded entity, a partnership, or a corporation.

18. The answer is C.

The Tax Cuts and Jobs Act permanently lowered the corporate tax rate to a flat 21% of taxable income, applying to all C corporations.

19. The answer is B.

FUTA tax is paid solely by the employer and is not deducted from the employee's wages. The current FUTA rate is 6% on the first \$7,000 of each employee's wages, reported on Form 940.

STUDY UNIT 2

Accounting Periods and Methods

Further reading: IRS Publications 334 and 538

Tax Years and Accounting Periods

The tax year is an annual accounting period for reporting income and expenses. Individuals file their tax returns on a calendar-year basis. Most federal and state governments operate on a fiscal-year basis, as do many large corporations and nonprofits.

- **Calendar Tax Year:** A calendar tax year is always twelve consecutive months beginning January 1 and ending December 31.
- **Fiscal Tax Year:** In general, a fiscal tax year lasts for twelve consecutive months and ends on the last day of any month except December. However, there is a variation called the 52/53-week tax year that does not have a fixed end date. This type of fiscal year can range from 52 to 53 weeks in length and may not always end on the last day of the month. For instance, some businesses opt for a specific day of the week as their fiscal year-end, such as the final Friday in June.

Example

The state of New York operates on a fiscal year that begins on April 1 and ends on March 31 — an example of a 12-month period not ending in December. The U.S. federal government's fiscal year runs from October 1 to September 30. The University of Colorado reports income and loss on a fiscal year ending on June 30. Many school districts and universities use the fiscal year ending June 30 because the school year usually ends around June every year.

Example

Fresh Harvest Growers, Inc. is a farming business that operates on a 52/53-week tax year. Instead of ending its fiscal year on the last day of a specific month, it chooses to end it on the last Sunday of June each year. This means its fiscal year can vary in length, sometimes 52 weeks and other times 53 weeks, depending on how the calendar falls. In 2025, Fresh Harvest Growers' fiscal year will end on June 29, the last Sunday of June that year. The goal of this type of fiscal year is to provide a more consistent and comparable basis for financial reporting, especially for businesses with seasonal operations.

Short Tax Year

A short tax year is a tax year of less than 12 months. It may result in the first or last year of an entity's existence, or when an entity changes its accounting period (for example, from a fiscal year to a calendar year, or vice versa). Even if a business is not in existence for a full year, the requirements for filing the return and paying any tax liability are generally the same as if a full 12-month tax year had ended on the last day of the short tax year.

Example

Christa formed Clearwater Textbooks, Inc. on February 1, 2025, to sell used textbooks. The company immediately had financial troubles, and Christa dissolved the corporation on October 31, 2025. Clearwater Textbooks, Inc. must file a corporate return for a short tax year covering the nine-month period (February 1 through October 31) that the corporation was in existence.

Example

Ballard and Camden formed a business partnership five years ago with equal shares. When Ballard passed away on November 1, 2025, his partnership interest was automatically transferred to Camden per their agreement. The partnership ceased to exist since there was now only one owner. Camden chooses to continue the business as a sole proprietor and must request a new EIN, since he can no longer use the partnership's EIN. A final partnership return must be filed for the shortened tax year from January 1, 2025, to November 1, 2025 (the day of Ballard's death).

A business adopts a tax year when it files its first income tax return. Any form of business entity may potentially adopt the calendar year. However, not every business can choose a fiscal year, apart from a new C corporation, which may generally elect to use any fiscal year it chooses (an exception exists for Personal Service Corporations, which generally must use a calendar year). Form 1128 (Application to Adopt, Change, or Retain a Tax Year) is used to request a change in the tax year. The IRS requires the use of the calendar year if the business keeps no books or records, if there is no annual accounting period, or if the IRC or IRS regulations require the use of a calendar year.

Note

A Personal Service Corporation (PSC) is a C corporation where, under most circumstances: (1) more than 10% (based on value) of the stock is owned by shareholder-employees on the last day of the year; (2) more than 20% of compensation paid for the year was provided by shareholder-employees; and (3) the principal activity is personal services in accounting, actuarial science, architecture, consulting, engineering, health (including veterinary services), law, or the performing arts.

Example

Motherboard Innovators Inc. has always filed using a calendar year ending December 31. Due to international growth, this alignment caused financial reporting and tax planning issues, so the board decided to change to a fiscal year-end of June 30 and submitted Form 1128. The IRS

approved the request, allowing the corporation to use the new June 30 fiscal year-end for future tax years.

A taxpayer's death marks the end of an individual's final tax year; the following day is the beginning of the first tax year for the decedent's estate. The executor files the decedent's final Form 1040, income tax returns for the estate (Form 1041, U.S. Income Tax Return for Estates and Trusts), and possibly an estate tax return (Form 706). The executor chooses the estate's tax period when filing the estate's first income tax return; the first tax year is any period of 12 months or less that ends on the last day of a month. The due date for Form 1041 is the fifteenth day of the fourth month following the end of the tax year, and its extended due date is September 30 for a calendar-year filer (5½ months) — the last day of the month, not the 15th.

Example

Marshall, an unmarried physician, dies on July 1, 2025; his daughter Heidi is executor. She files Marshall's final Form 1040 (January 1 through July 1). She must also file income tax returns for the estate beginning July 2, filed each year until the estate's assets are fully distributed, and must request an EIN for the estate. Marshall's assets are valued at approximately \$16 million, so an estate tax return (Form 706) must also be filed.

Required Tax Year

Partnerships and S corporations generally must use a “required” tax year. For partnerships, unless a legitimate business purpose for a different tax year can be established, the required tax year must conform to its partners' tax years. If one or more partners with the same tax year own a majority (more than 50%) interest in the partnership's capital and profits, the tax year of those partners is the required tax year.

Example

Polar Partnership, LLP: Corporation ABA owns 30% and operates on a calendar year; Corporation BEX owns 70% and operates on a fiscal year ending March 31. Since Corporation BEX owns a majority interest, the partnership by default must file on the same tax year as Corporation BEX — a tax year ending March 31.

If there is no majority-interest tax year, the partnership must use the tax year of all its principal partners (those with a 5%-or-more interest) if they share the same tax year. If neither test applies, the partnership must use the tax year that results in the least aggregate deferral of income to its partners. For S corporations, the required tax year is generally a calendar year unless a legitimate business purpose justifies a different fiscal year. A business may use a year other than a required tax year if it establishes a “substantial business purpose,” such as a seasonal “natural tax year” — a fiscal year in which the last two months provide over 25% of the business's gross receipts for the entire year. A partnership or S corporation establishes a business purpose by filing Form 1128.

Example

Betty and Alexander form Sunnyside Swimwear, LLC, a 50/50 partnership selling designer swimwear. Although both report personal income on a calendar year, they file Form 1128 to request a natural business year ending in September, after summer, when most swimsuits are sold. Their request is granted, and they file with a fiscal year-end of September 30. It is not a legitimate business purpose to elect a fiscal year merely so owners can defer income recognition.

Section 444 Election

A partnership, S corporation, or PSC can request to use a tax year other than its required tax year by filing Form 8716 (Election to Have a Tax Year Other Than a Required Tax Year). This section 444 election does not apply to any business that establishes a genuine business purpose for a different tax year. An electing entity must generally make certain required payments based on the value of the tax deferral the owners receive. A business can request a section 444 election only if it: is not a member of a tiered structure; has not previously had a section 444 election in effect; and elects a year that meets the deferral period requirement. If retaining its tax year, the deferral period must be three months or less. Generally, the IRS allows a section 444 election only if the deferral period is less than the shorter of three months, or the deferral period of the tax year being changed.

Example

Century Education is a newly formed partnership owned by two individuals that began operations December 1, 2025. It wants to make a section 444 election to adopt a September 30 tax year. The deferral period for the tax year beginning December 1, 2025, is three months — the number of months between September 30 and December 31.

The section 444 election remains in effect until terminated. If terminated, another section 444 election cannot be made for the same tax year. The election ends automatically when: the entity changes to its required tax year; the entity liquidates; the entity becomes a member of a tiered structure; the IRS determines the entity willfully failed to comply with required payments or distributions; or the entity is an S corporation whose S election is terminated.

Filing Due Dates for Entities

Partnership and S corporation returns are due the fifteenth day of the third month following the end of the year (calendar-year filers: March 15). C corporations using a calendar year file by April 15 of the following year; fiscal-year C corporations file the fifteenth day of the fourth month after the end of the tax year. For the 2025 EA exam, a C corporation with a June 30 fiscal year-end must file Form 1120 by September 15 (the 15th day of the 3rd month), provided the tax year begins before January 1, 2026.

Note

Looking Ahead to 2026: Beginning with tax years that start on or after January 1, 2026, the special June 30 rule expires; C corporations with a June 30 year-end follow the general corporate filing rule, and the original due date becomes October 15.

Example

Tele-Daily News Services, Inc., a calendar-year C corporation, dissolved on July 22, 2025. Its final return (covering January 1 through July 22, 2025) is due by November 15, 2025 — the 15th day of the fourth month following the close of its short tax year.

Nonprofit entities (exempt organizations) using the calendar year file information returns (Form 990) by May 15; fiscal-year nonprofits file the fifteenth day of the fifth month following the end of their tax year. An extension does not grant additional time to pay; tax due must be paid by the filing deadline or interest and penalties apply. If a due date falls on a Saturday, Sunday, or legal holiday, it moves to the next business day. For Part 2 of the EA exam, you must memorize these filing deadlines.

Entity Type (Calendar-Year entities)	Normal / Extended Due Date
Sole Proprietorships (Form 1040)	April 15 / October 15
Partnerships	March 15 / September 15
C Corporations (except June 30 fiscal years)	April 15 / October 15
C Corporations (fiscal year ending June 30)	September 15 / April 15
S Corporations	March 15 / September 15
Exempt Organizations (Form 990)	May 15 / November 15
Form 1041 (trust and fiduciary returns)	April 15 / September 30
FBAR	April 15 / October 15
Retirement Plans (Form 5500)	July 31 / October 15
Estate Tax Return (Form 706)	Nine months after death; six-month extension

Example

Greenbelt Family Trust is an irrevocable trust established January 8, 2025, required to file Form 1041. Trusts generally file on a calendar year. The regular due date is April 15, 2026; the extended due date is September 30, 2026.

Accounting Methods

An accounting method is a set of rules used to determine when and how income and expenses are reported. No single method is required of all taxpayers, but the method must properly reflect income and expenses and be used consistently. Businesses generally report taxable income under one of the following: the cash method, the accrual method, special methods (for long-term contracts, farming, installment sales, etc.), or a hybrid method. A business owner may use different

accounting methods only if they have two separate and distinct businesses, each with a separate set of books and records.

Example

Antonin is a self-employed enrolled agent who prepares returns January through April, and a part-time baseball umpire on weekends. He reports his tax preparation business using the accrual method and his umpire earnings using the cash method, keeping separate books and filing a separate Schedule C for each. He may use different methods because he has two distinct businesses with separate records.

Rules for the Cash Method

The cash method is the simplest, but some businesses cannot use it. In tax year 2025, it may be used by taxpayers (other than tax shelters) whose average annual gross receipts in the preceding three tax years are \$31 million or less, regardless of industry or whether the business produces inventory. S corporations and partnerships can generally use the cash method regardless of gross receipts (with an exception for partnerships with a C corporation partner). Taxpayers file Form 3115 (Application for Change in Accounting Method) to switch methods. The following are generally required to use the accrual method: a C corporation, or a partnership with a C corporation partner, with average annual gross receipts (over the three prior tax years) exceeding \$31 million in 2025; and any tax shelter, regardless of size. Average annual gross receipts are determined by adding the gross receipts for the three preceding tax years and dividing by three (or by the number of years in existence, if less than three).

Example

Fredrick and Phillip Wagner formed Wagner Software Games, Inc., a C corporation, in 2025. It produces inventory and had gross receipts of \$55 million in 2025. Because its gross receipts exceed the threshold, Wagner Software Games cannot use the cash method.

Note

The most common accounting method is the cash method, used by most small businesses. The accrual method is used by most large corporations and is required for publicly-traded corporations. Large nonprofits are often required to use the accrual method because they receive government funding and must have audited financial statements. Gross receipts for a short tax year are annualized. An entity that fails the gross receipts test for any tax year must change to the accrual method, effective for that year.

Under the cash method, a taxpayer generally deducts expenses when paid, but cannot pay an expense several years in advance to take a current deduction; costs paid in advance must be capitalized and deducted in the years to which they apply.

The 12-Month Rule for Certain Prepaid Expenses

Under the 12-month rule, a cash-basis taxpayer is not required to capitalize amounts paid for periods that do not extend beyond the earlier of: 12 months after the benefit begins, or the end of the tax year after the tax year in which payment is made.

Example

Lizbeth pays two years of rent in advance to receive a discount. She cannot use the 12-month rule because the benefit exceeds 12 months; she must deduct the rent evenly over the two-year period, regardless of accounting method.

Example

The Merryvale Partnership pays \$12,000 on July 1, 2025, for a one-year business liability policy effective July 1. The full amount is deductible in 2025 because the policy period does not exceed 12 months from the date paid.

Example

Carthage Construction, Inc. pre-pays \$30,000 in 2025 for a three-year (36-month) liability policy effective July 1, 2025. This does not qualify for the 12-month rule. Only \$5,000 ($6 \div 36 \times \$30,000$) is deductible in 2025, \$10,000 in 2026, \$10,000 in 2027, and the remaining \$5,000 in 2028.

Constructive Receipt of Income

Under the cash method, taxpayers report income when actually or constructively received. Income is constructively received when credited to the taxpayer's account or made available without substantial restriction. Physical possession is not required, but income is not constructively received if control or use is substantially restricted — for example, funds held in escrow pending a legal dispute, payments subject to contractual conditions (performance milestones or delivery of goods), or escrow accounts for real estate transactions.

Example

Interest income was credited to BBQ Rotisserie's (a cash-method partnership) bank account on December 31, 2025, but the owners did not withdraw it until January 10, 2026. The business must include the interest in 2025 income, because it had full control of the income in 2025.

Example

Lucky Fox Lawyers, LLP, a cash-basis partnership, receives a postdated check on December 23, 2025, that cannot be deposited until January 5, 2026. The income is included in gross income for 2026, since constructive receipt did not occur until the check could legally be deposited.

Accrual Method

Under the accrual method, a business records income when a sale occurs or income is earned, regardless of when it is paid. An expense is deducted when all events have occurred to fix the liability with reasonable accuracy and economic performance has occurred (the “all-events” test). Income is generally reported when: payment is received; the taxpayer earns the income; the income is due; or title to products sold has passed. Under TCJA, a business must recognize income no later than the time it is recognized on its applicable financial statement (if it has one).

Example

Dreamscape Pajamas, Inc. recognizes income when it ships product. On December 3, 2025, it ships 1,000 pajama sets ordered November 3 and invoices \$15,000; the retailer pays January 10, 2026. Dreamscape recognizes the income in 2025, because all events fixing the right to receive income occurred at shipment.

Example

Rocket Computer, Inc. (calendar-year, accrual-basis) sold laptops on December 28, 2025, for \$22,500 with a same-day invoice, receiving payment February 2, 2026. It must include the \$22,500 in 2025 income — the year it earned the income.

Hybrid Accounting Method

A hybrid method combines the cash, accrual, and other special methods, so long as it clearly reflects income and is used consistently. Restrictions: if inventory is necessary to account for income and the business is not a small business, it must use the accrual method for purchases and sales (the cash method can be used for other items); if an entity uses the cash method for income, it must use the cash method for expenses; and if it uses the accrual method for expenses, it must use the accrual method for income.

Changing Accounting Methods

When a business files its first tax return, it may choose any permitted method. Subsequent changes in the overall method or the treatment of a material item generally require IRS approval. Prior approval is needed for: changes from cash to accrual or vice versa (unless required by law); changes in the method used to value inventory; and changes in the method of depreciation or amortization (including changing from an impermissible method or missing depreciation on an asset). The taxpayer files Form 3115. Prior IRS consent is NOT required for: adjusting the useful life of a depreciable or amortizable asset (but the recovery period for MACRS/ACRS property cannot be changed); correcting a math error or an error in figuring tax liability; a change required by tax law (such as when average gross receipts exceed \$31 million in 2025 — an automatic change); and, beginning in 2025, changing the method to immediately expense domestic research and experimental expenditures rather than amortizing them.

Example

Five years ago Birgit bought a residential rental for \$97,500 (land \$15,000, building depreciable basis \$82,500) and claimed no depreciation. In 2025 her EA, Gordon, discovers the missed depreciation. She can claim it by filing Form 3115 in 2025; the unclaimed depreciation of \$14,500 is treated as a negative §481(a) adjustment on Schedule E.

Example

Russel, CFO of Fitness Planet, Inc. (an S corporation), finds a math error in the prior year's depreciation (an asset depreciated over 5 years instead of 15). Since the error occurred in only one prior year, Fitness Planet does not need IRS permission and can simply file an amended return for the prior year to correct it.

Example

Hagerman Farms, Inc. exceeds \$31 million in average annual gross receipts in 2025 and must switch from the cash method to the accrual method. This change is mandated by law and does not require prior IRS consent; Hagerman files Form 3115 with its corporate return in the first affected year.

Note

Unclaimed depreciation, for closed as well as open years, is allowed through a Section 481(a) adjustment that reduces income in the year of change. If the entire adjustment is less than \$25,000, a de minimis rule permits taxpayers to take 100% of the amount into account in the year of change.

Accounting for Inventory

The uniform capitalization rules (UNICAP) require businesses to capitalize direct costs and certain indirect costs related to the production of goods or the purchase of merchandise for resale as part of the cost of inventory. UNICAP applies to producers of tangible and intangible personal property, producers of real property, and businesses that acquire wholesale inventory for resale. The TCJA exempts certain small businesses: taxpayers meeting the \$31 million gross receipts test in 2025 are not required to account for inventories and may use a method that either treats inventories as non-incidental materials and supplies, or conforms to the taxpayer's financial accounting treatment. Even so, a cash-basis taxpayer generally cannot deduct amounts paid for inventory until the later of when the items are sold or when they are paid for. This gross-receipts exemption does not apply to businesses producing real property (for example, a developer who builds houses for resale).

If a business is subject to UNICAP, inventory should include (if applicable): merchandise or stock in trade; raw materials, work in process, and finished products; and supplies that physically become part of items for sale (labels, stickers, boxes, exterior packaging). Inventory may also include purchased merchandise if title has passed (even if in transit), goods under contract not yet applied to the contract, goods out on consignment, goods held for sale in display rooms away from the place of business, and certain tangible costs (film, sound recording, videotape, book). Never included in inventory: goods sold if legal title has passed to the buyer; goods consigned to the business but not owned by it; goods ordered for future delivery if the business does not yet hold title; and land, buildings, and depreciable equipment used in the business.

Example

Bloomington Studios, Inc. produces animated films with average annual gross receipts of \$170,000,000. Because it produces property for sale and does not meet the gross receipts exception, it is subject to UNICAP and must capitalize direct production costs and certain indirect costs (set design, costumes, special effects, post-production editing, compensation paid to actors and production staff). These become part of the basis of the completed film and are recovered when the film is placed in service.

Certain expenditures and entity types are not subject to UNICAP regardless of size: small businesses meeting the \$31 million gross receipts test in 2025; sellers of personal-use or nonbusiness property; research and experimental expenditures and marketing or advertising costs (including software R&D); intangible drilling and development costs; timber and the underlying land; qualified creative expenses of self-employed writers, musicians, or artists; loan originations; warranty and product liability costs; and de minimis property provided to customers in connection with services.

Example

Earnest Brownwood, a self-employed writer reporting on Schedule C, earned over \$55 million on his last novel. As a self-employed writer he is exempt from UNICAP and does not need to capitalize his creative or research expenses; they are deductible as incurred.

Cost of Goods Sold (COGS)

Cost of goods sold is deducted from gross receipts to determine gross profit and equals the cost of goods available minus ending inventory. COGS includes materials used for production (raw materials, components, and packaging), direct labor costs, manufacturing overhead (indirect costs such as electricity, equipment depreciation, and factory or storage rent), and the cost of merchandise purchased for resale (including freight). The formula is: Beginning Inventory + Purchases in the Current Period – Ending Inventory = Cost of Goods Sold. Selling and administrative expenses (and advertising) are not included in COGS.

Example

Strasbourg's Custom Shoes factors into COGS the cost of materials (rawhide, thread), packaging for the shoes, and salaries for the workers who craft and assemble them. Advertising expenses are not included in inventory calculations. COGS is recognized as an expense when the shoes are sold.

Shipping Terms and Transfer of Ownership

Shipping terms indicate when title transfers and therefore when income from a sale is recognized. FOB Destination: title passes to the buyer when the goods arrive at the buyer's location. FOB Shipping Point (also "FOB origin"): title passes when the goods leave the seller's premises.

Example

Furniture Mart, Inc. (calendar-year, accrual-basis) does not accrue income until products are delivered and accepted. It ships custom furniture (\$32,000) FOB destination on December 26, 2025, but the customer does not accept delivery until January 3, 2026. Furniture Mart recognizes the income in 2026, because title had not passed until the following year.

Common Inventory Methods

The value of inventory is a major factor in figuring taxable income. Common methods to assign costs include the specific identification method, the average cost method, FIFO, and LIFO. All are acceptable for IRS purposes. The IRS does not require a specific method, but a business must obtain prior IRS consent by filing Form 3115 to switch from one inventory method to another.

Specific Identification Method

Used when it is possible to identify and match the actual cost to specific items, such as custom goods, rare items like artwork or gemstones, or larger items like furniture or vehicles. Individual items are clearly identified (e.g., by serial number), and the business accounts for each item as it is sold. It requires a detailed physical count.

Example

Whitewater Classic Cars, Inc. sells rare collectible cars, each tracked individually by VIN, with actual cost on a spreadsheet. When a car is sold, the cost is taken out of inventory. This is specific identification inventory valuation.

Average Cost Method

Used when items are largely interchangeable rather than individually unique, often for a large number of inexpensive items. $\text{Average Unit Cost} = \text{Cost of Units Purchased or Manufactured} \div \text{Total Quantity of Units}$; $\text{Aggregate Inventory Cost} = \text{Average Unit Cost} \times \text{Units in Current Inventory}$.

Example

Gracie buys 500 white t-shirts at \$1 each (\$500), then 500 more at \$2 each (\$1,000). Total: 1,000 shirts, \$1,500, so the weighted average is \$1.50 per shirt. The 500 unsold shirts are valued at \$750 ($\1.50×500).

FIFO (First-in, First-out)

FIFO assumes inventory items are sold in the order acquired or produced — oldest sold first, newest last — mirroring the flow in businesses like grocery stores. Ending inventory is assigned costs based on the most recently purchased or produced items. In an inflationary economy, FIFO typically assigns a higher value to ending inventory, resulting in a lower cost of sales and higher taxable income.

Example

Walton Electronics (FIFO): Beginning inventory 300 stereos at \$20; January 10 purchase 600 at \$20.10; January 16 purchase 400 at \$20.20; January 25 purchase 500 at \$20.30. Total 1,800 units; 1,200 sold; 600 left. Under FIFO the oldest units are sold first, so ending inventory is:

January 25 purchases (500 @ \$20.30) **\$10,150**

Unsold portion of January 16 purchases (100 @ \$20.20) **\$2,020**

Total inventory at the end of January **\$12,170**

For stock sales, the IRS requires FIFO if the buyer acquired shares at different times or prices and cannot identify which shares were sold — a sale is allocated to the earliest-purchased shares.

Example

Edith bought 150 shares of Crown Soda, Inc. at \$10 in 2019 and 150 shares at \$15 in 2020 (300 total). She sold 200 shares on January 4, 2025, for \$35 each. Under FIFO she treats the sale as 150 shares with a \$10 cost and 50 shares with a \$15 cost.

LIFO (Last-in, First-out)

LIFO assumes the newest inventory is sold first and the oldest last. Since prices generally rise over time, LIFO typically assigns a lower value to ending inventory, records higher cost of sales, and produces lower taxable income. Its use is subject to complex rules and IRS scrutiny. Once adopted, a business must obtain IRS permission (Form 3115) to change from LIFO to another method.

Example

Walton Electronics (LIFO): The 300 units on hand January 1 are assumed to have a LIFO cost of \$10 each (unit costs have roughly doubled over 10 years of inflation). Ending inventory of 600 units is:

Beginning inventory (300 @ \$10.00) **\$3,000**

Unsold portion of January 10 purchases (300 @ \$20.10) **\$6,030**

Total inventory at the end of January **\$9,030**

Compared with FIFO, LIFO assigns a lower cost to ending inventory. Since January sales income is the same under either method, taxable income is higher under FIFO than under LIFO.

Differences between FIFO and LIFO

Economic Climate	FIFO	LIFO
Periods of rising prices (Inflation)	(+) Higher value of inventory (-) Lower cost of goods sold	(-) Lower value of inventory (+) Higher cost of goods sold
Periods of falling prices (Deflation)	(-) Lower value of inventory (+) Higher cost of goods sold	(+) Higher value of inventory (-) Lower cost of goods sold

Other Inventory Valuation Methods

Additional valuation conventions include the cost method, lower-of-cost or market, and the retail method, commonly used in industries where inventory loses value quickly (fashion, seasonal, or technological goods).

The Cost Method

Under the cost method, all direct and indirect costs of producing and purchasing inventory are included in its valuation. For beginning-of-year merchandise, cost means the ending inventory cost from the preceding year. For merchandise purchased during the year, cost means the invoice price minus appropriate discounts plus transportation or other acquisition charges (and any UNICAP costs). For merchandise produced during the year, cost means all direct and indirect costs, including UNICAP costs. Trade discounts reduce the cost of inventory, and the business must account for damaged or obsolete goods.

Example

Doggie Fashions, Inc. — January income statement: Sweater inventory was \$2,500 on December 31 and \$3,500 on January 31. January sales were \$20,000. Wages for sweater designers (\$5,000) and raw materials such as yarn, appliqué, and rhinestones (\$3,000) are included in COGS. A receptionist's salary (\$1,500), telephone (\$130), and advertising (\$1,200) are deductible but not part of COGS.

Gross income from dog sweater sales **\$20,000**

COGS: $(\$2,500 + \$5,000 + \$3,000 - \$3,500)$ **(\$7,000)**

Gross Profit **\$13,000**

Other expenses: $(\$1,500 + \$130 + \$1,200)$ **(\$2,830)**

Income for January **\$10,170**

The “Lower-of-Cost or Market” Method

Commonly used for inventory that loses value quickly, such as seasonal clothing or pharmaceuticals. The market value of each item is compared with its cost, and the lower of the two is used. Market value is typically the normal selling price at the valuation date. Items that cannot be sold at normal prices (due to damage, imperfections, style changes, or odd/broken lots) are valued at actual selling price minus the direct cost of disposition. This method cannot be used with the LIFO method, and each item must be valued separately.

Example

Joseph's machine shop: Each item is valued at the lower of cost or market. He cannot value the entire inventory at cost (\$950) and market (\$800) and take the lower total; he must value each item separately, for a total of \$600.

Inventory Item	Cost	Market	Lower
Chrome Air Cleaners	\$300	\$500	\$300
Custom Foot Pegs	\$200	\$100	\$100
Chrome Drag Bars	\$450	\$200	\$200
Total	\$950	\$800	\$600

The Retail Inventory Method

Under the retail method, the total retail selling price of goods on hand at year-end (by department or class of goods) is reduced to approximate cost using an average markup expressed as a percentage of retail selling price. It assumes a consistent markup and provides only an estimate, so a physical count is still needed. It is useful for multi-store retailers wanting a quick estimate across locations.

Example

Quick-N-Mart (retail method): Markup is 50% in all locations. January 1 beginning inventory cost \$110,000; January purchases \$190,000; January gross sales \$210,000. Ending inventory on January 31:

January 1, starting inventory **\$110,000**

Purchases in January **\$190,000**

Goods available for sale **\$300,000**

Inventory sold in January ($\$210,000 \times 50\%$ markup) **(\$105,000)**

Ending inventory (estimated) **\$195,000**

Casualty Loss or Theft of Inventory

Inventory “shrinkage” is lost, stolen, or damaged inventory; it reduces ending inventory and thus increases COGS. It may occur due to shoplifting, damage, supplier fraud, or natural disaster (sales do not affect the shrinkage calculation). A business can either adjust its cost of goods sold, or record the loss separately as a casualty or theft loss. If deducted separately, the business must eliminate the affected items from COGS (by a downward adjustment to opening inventory or purchases) to avoid counting the loss twice. Theft losses are generally deductible in the year of discovery, but not to the extent the business has a reasonable prospect of insurance recovery.

Example

Texas Trailers, Inc. (extended example): Using lower-of-cost or market, it costs about \$10,000 to produce a horse trailer. Beginning inventory 12/31/2025 was 14 trailers (\$140,000); 8 produced

during the year (\$80,000); 10 sold (\$100,000), giving \$120,000 ending inventory. It then discovers three trailers have faulty rear axles and other defects, making them worthless and requiring destruction. With no insurance, Texas Trailers adjusts COGS: $\$120,000 - (3 \times \$10,000 = \$30,000) = \$90,000$ corrected ending inventory.

Example

Riptide Surf Shop's records show 60 surfboards, but a count finds only 58; the owner believes two were stolen. With no theft insurance, the business deducts the loss by adjusting its inventory (inventory shrinkage).

Example

Quantum Computers, Inc. records show 20,000 laptops but a count shows 19,850 (150-unit discrepancy). Because it carries commercial property insurance covering retail theft and files a claim, Quantum Computers would not deduct a loss — it has a reasonable prospect of recovery.

STUDY UNIT 2

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following accounting changes requires prior IRS approval?
 - a) Making an adjustment in the useful life of an amortizable asset.
 - b) Correcting a math error in figuring tax liability.
 - c) Changes in the method used to value inventory.
 - d) A change in accounting method when the change is required by tax law.
2. A business must adopt its first tax year by:
 - a) The date the EIN is established.
 - b) The due date (including extensions) for filing a return.
 - c) The due date (not including extensions) for filing a return.
 - d) The first time the business makes estimated tax payments.
3. If an S corporation's tax year ends December 31, it generally must file its income tax return:
 - a) By March 15th of the following year.
 - b) By April 15th of the following year.

- c) By June 15th of the following year.
 - d) By October 15th of the following year.
4. Raymond operates a retail clothing store using the accrual method and reports income on Schedule C. He also runs a lawn care service only in the summer months. Which of the following statements is correct?
- a) The lawn care business is required to use the accrual method because Raymond already elected it for his other business, and all businesses operated by one individual must use the same method.
 - b) Raymond must combine the income for both businesses because he is a sole proprietor.
 - c) Raymond may keep one set of books and records for the two businesses and use different methods of accounting for them.
 - d) The lawn care business may use either the cash or accrual method, so long as both businesses have separate and distinct books and records.
5. Which of the following entities cannot use the cash method of accounting?
- a) A family farming corporation with average gross receipts of \$29 million.
 - b) A trust with average gross receipts of \$26 million.
 - c) A tax shelter with average gross receipts of \$2.5 million.
 - d) A partnership that produces inventory and has \$15 million in average gross receipts.
6. Which would not be considered the end of an acceptable tax year?
- a) January 31.
 - b) April 15.
 - c) December 31.
 - d) The last Friday in February.
7. Carthage Manufacturing, Inc. is a C corporation whose fiscal year ends January 31. If Carthage Manufacturing requests a 6-month extension, when is its Form 1120 due?
- a) May 15
 - b) June 15
 - c) October 15

d) November 15

8. Under the “lower-of-cost or market” method of valuing inventory, what is the value of the inventory as a whole, based on the table below (Shirts: cost \$200, market \$500; Shoes: cost \$300, market \$200; Shorts: cost \$225, market \$150)?

a) \$550

b) \$725

c) \$750

d) \$850

9. When a business is subject to the uniform capitalization rules, all of the following costs must be included in inventory except:

a) The cost of shipping a finished product to a customer.

b) The cost of shipping raw materials to the seller's factory.

c) Raw materials.

d) Direct labor costs.

10. Which of the following date ranges would be a permissible fiscal tax year?

a) January 1, 2025, to December 31, 2026

b) February 2, 2025, to February 2, 2026

c) July 1, 2025, to June 30, 2026

d) May 1, 2025, to May 31, 2026

11. Harvest Haven Grocers, Inc. is a C Corporation that would like to request a change in its overall accounting method. Which form must the corporation file?

a) Form 1120

b) Form 4562

c) Form 444

d) Form 3115

12. Penny operates a custom dress shop as a sole proprietor with the following: Beginning inventory raw materials \$5,000; beginning inventory finished dresses \$10,000; ending inventory raw materials \$6,250; ending inventory finished dresses \$4,700; materials purchased \$17,500;

additional fabric used in finished dresses \$2,350; advertising \$12,000; freight-in on fabric \$300; freight-out on sale of finished dresses \$475. Calculate her cost of goods sold.

- a) \$21,850
- b) \$24,200
- c) \$24,375
- d) \$24,675

13. Softie Sleeper, Inc., a mattress manufacturer, had: beginning inventory \$80,000; ending inventory \$52,500; raw materials purchased \$12,000; manufacturing costs \$80,000; freight-in costs \$550; freight-out to customers \$750. Calculate Softie Sleeper's cost of goods sold (COGS) for the year.

- a) \$67,050
- b) \$120,050
- c) \$120,800
- d) \$670,800

14. Which of the following activities would make a business potentially subject to the uniform capitalization (UNICAP) rules?

- a) A corporation that produces clothing for distribution to wholesale customers.
- b) An individual who produces paintings as a hobby and occasionally sells them at a profit.
- c) A real estate professional who acquires land and holds it for investment.
- d) A bestselling author who is self-employed and files Schedule C.

15. Vargas Surgical Group, Inc., a C corporation, was organized on May 1, 2025, and elected the calendar year as its tax year. When is the first tax return due for this short tax year?

- a) March 15, 2026
- b) April 15, 2026
- c) June 30, 2026
- d) September 15, 2026

16. When determining whether a business can use the cash method, normally how many years are used to determine average annual gross receipts?

- a) One year.
- b) Two years.
- c) Three years.
- d) Four years.

STUDY UNIT 2

Answer Key & Explanations

1. The answer is C.

Changes in the method used to value inventory require prior IRS approval. The business must file Form 3115, Application for Change in Accounting Method, to request a change in the inventory valuation method, an overall accounting method, or the accounting treatment for an individual item.

2. The answer is C.

A business must adopt its first tax year by the due date (not including extensions) for filing a return for that year. A business adopts a tax year when it files its first income tax return. An extension can only be requested once the adopted tax year has been determined.

3. The answer is A.

Calendar-year S corporations and partnerships must file their tax returns by March 15 of the following year. Fiscal-year filers are due the 15th day of the 3rd month after the end of their tax year.

4. The answer is D.

Raymond may use two different methods of accounting for two distinct and separate businesses. If he uses separate methods, separate accounting records must be kept for each business.

5. The answer is C.

A tax shelter must always use the accrual method, regardless of its size, entity type, or gross receipts. The other entities have average gross receipts not in excess of \$31 million and are allowed to use the cash method in 2025.

6. The answer is B.

April 15 is the IRS due date for individual tax returns but would not be the end of an entity's tax year (except in a rare mid-month dissolution). January 31 is a last-day-of-month fiscal year-end; December 31 is a calendar year-end; and a year ending on the same day of the week every year is a 52/53-week tax year — all legitimate.

7. The answer is D.

Fiscal-year C corporation returns are due the 15th day of the 4th month after the end of the tax year. With a January 31 year-end that is May 15; a six-month extension makes the due date November 15.

8. The answer is A.

Under the lower-of-cost or market method, compare cost and FMV of each item and choose the lower: \$200 (shirts) + \$200 (shoes) + \$150 (shorts) = \$550.

9. The answer is A.

Shipping finished products to customers is not included in inventory. This is a current expense (delivery or postage), deductible when incurred rather than capitalized as a cost of inventory.

10. The answer is C.

July 1 through June 30 is a permissible fiscal tax year (12 consecutive months ending on the last day of a month other than December). Answer A is a calendar year; answer B does not end on the last day of a month; answer D spans more than 12 months.

11. The answer is D.

Harvest Haven Grocers must file Form 3115, Application for Change in Accounting Method, to request a change in its overall accounting method.

12. The answer is B.

Beginning inventory (\$5,000 + \$10,000 = \$15,000) + raw materials purchased (\$17,500 + \$2,350 = \$19,850) + freight-in (\$300) = \$35,150 subtotal, minus ending inventory (\$6,250 + \$4,700 = \$10,950) = \$24,200 COGS. Freight-out and advertising are not included in inventory.

13. The answer is B.

Beginning inventory \$80,000 + raw materials purchased \$12,000 + freight-in \$550 + manufacturing costs \$80,000 – ending inventory \$52,500 = \$120,050. Freight-out to customers is not included in inventory; it is deductible as a business expense.

14. The answer is A.

A corporation that produces clothing for distribution to wholesale customers would likely be subject to UNICAP, which applies to businesses that produce real or personal property for sale to customers. A hobby, land held for investment, and self-employed authors are not subject to UNICAP.

15. The answer is B.

Since Vargas Surgical Group chose a calendar year, its first tax return is due April 15, 2026 (the 2025 corporate return due date). This short-period return covers May 1 (formation) through December 31. C corporation returns are normally due the 15th day of the 4th month after the end of the tax year.

16. The answer is C.

The gross receipts test uses average annual gross receipts for the three prior years. If the business was not in existence the entire three prior years, gross receipts are averaged over the period it has existed.

STUDY UNIT 3

Business Income

Further reading: IRS Publications 525, 334, and 925

A business must report all forms of income received, unless the income is exempt from tax. Although most business income is taxable, there are exceptions where it may be deferred or not taxed at all. For example, a corporation or partnership can invest in tax-exempt municipal bonds, just like individual taxpayers. Businesses may also engage in “tax-deferred” transactions, where the taxation of income is deferred to a later date — for example, a section 1031 exchange, which allows for the deferral of income on the exchange of business real estate.

Advance Payments for Services

Advance payments for services to be performed after the tax year are generally taxable in the year received, even by an accrual-basis taxpayer. However, an accrual-basis taxpayer can elect to accrue income for advance payments for the year of receipt using the same figure used for financial accounting purposes, with the remainder reported as taxable income in the following year — regardless of the number of years of services required. The taxpayer cannot postpone recognition of income beyond the year following the year of the advance payment.

Example

The Champion Tennis Club, a calendar-year, accrual-based business, receives payment on November 1 for a 12-month contract for 24 one-hour courses beginning that date. The club gave six classes in 2025. If it elects to defer income as long as possible, the club includes $6 \div 24$ of the payment in 2025 income and the remainder ($18 \div 24$) in 2026, even if it does not finish all the courses by the end of 2026.

Note

The option to postpone a portion of income until the following year does not apply to advance payments received for rent, interest, or insurance premiums. These prepaid payments must be included as taxable income in the year received.

Guarantee or Warranty Contracts

Many companies sell additional warranties on their products. Cash-basis taxpayers recognize income at the time of sale. An accrual-basis business normally cannot postpone reporting income received under a guarantee or warranty contract. However, IRC Section 451(c)(1) allows an accrual-method taxpayer to elect to defer certain advance payments, recognizing income in the year of receipt only to the extent effectively earned that first year, and recognizing the remaining gross income in the next tax year.

Example

Domiciliary Gadgets, Inc., a C corporation using the accrual method, sells a washing machine for \$1,200 in December 2025 along with an optional one-year repair warranty for \$240. A cash-basis business would recognize the full \$1,200 and the \$240 in the year received. Domiciliary Gadgets determines that \$20 of the warranty is earned in the first month (December 2025) and recognizes that \$20 in 2025; the remaining warranty income is recognized in 2026.

Service Agreement Contracts

If a business receives an advance payment for a service agreement on property it sells, leases, builds, installs, or constructs, it can postpone reporting income, but only if it offers the property without a service agreement in the normal course of business. This includes an agreement

providing for incidental replacement of parts or materials. A postponement beyond the tax year immediately following the year of receipt is not allowed; any remaining deferred income must be recognized in the next tax year, even if the business will perform part of the service after that year or at an unspecified future date.

Example

Albatross Copiers, Inc. (accrual-based, calendar-year) sells commercial copiers and offers optional service agreements. On July 1, 2025, it receives a \$12,000 payment for a one-year service contract (\$1,000 per month). Albatross Copiers may include the payment in gross income evenly over the current and following tax years as it is earned, but cannot delay recognition beyond 2026.

Advance Payment for Sales of Goods

Special regulations apply to advance payments for future goods, such as gift cards or gift certificates. The advance payment is generally included in income in the year received, even by an accrual-method taxpayer. However, an alternative method, if elected, allows the payment to be included in gross receipts under the taxpayer's financial-reporting method, but only if the income is reported for financial accounting purposes in the year after receipt of the payment.

Example

Eternal Health Foods, Inc. accounts for sales of goods when it ships them. A customer buys a \$200 gift card on December 28, 2025; the company ships it January 3, 2026. Eternal Health may recognize the \$200 in either 2025 (year of payment) or, if elected, 2026 (year shipped) if it reports the \$200 as income for financial accounting purposes in 2026.

Note

Income from the sale of gift certificates or gift cards is treated as an advance payment. Rev. Proc. 2004-34 explains how accrual-method businesses may be able to defer eligible gift card sale revenue to the next succeeding year.

Passive Activities in General

Certain business activities are considered passive activities and are subject to passive activity limits on the deductibility of losses. These passive activity loss rules prevent investors from using losses from income-producing activities in which they do not materially participate. The rules apply to individuals, estates, trusts (other than grantor trusts), personal service corporations, and closely held corporations, as well as to owners of grantor trusts, partners in a partnership, and S corporation shareholders (but not to the entities themselves). Before applying the passive activity limits, a taxpayer must determine the effects of at-risk limits, which apply to individuals (including partners and S corporation shareholders), estates, trusts, and certain closely held corporations. There are two kinds of passive activities:

- 1) **Passive business activities:** trade or business activities in which the taxpayer does not materially participate during the year (including research or experimental activities such as software development).
- 2) **Rental real estate activities:** rental of real estate is generally passive, even if the taxpayer participates, except for bona fide real estate professionals.

Example

Myrtle is a wealthy retiree who owns interests in multiple limited partnerships as merely an investor. Each partnership is profitable, and she reports her share (from Schedule K-1) on Schedule E (Part 2) of Form 1040. As a limited partner, she receives passive income not subject to self-employment tax.

Example

Riddick owns two residential rentals and has a full-time job as a postal worker. He actively participates by collecting rents and checking on the properties but is not a real estate professional. He reports income and loss on Schedule E; the activity is still passive, and the rental income is not subject to self-employment tax.

Note

“Active” participation is not the same as “material” participation. Active participation is a less stringent standard than material participation.

Material Participation — The Seven Tests

A taxpayer is treated as materially participating in a business activity if they are involved in its operations on a regular, continuous, and substantial basis. The annual determination is based on satisfaction of at least one of seven tests:

- 1) The taxpayer participated in the activity for more than 500 hours during the year.
- 2) The taxpayer's participation was substantially all the participation in the activity of all individuals for the tax year.
- 3) The taxpayer participated for more than 100 hours during the year and participated no less than any other individual.
- 4) The activity is a significant participation activity, and the taxpayer participated in all significant activities for more than 500 hours (a significant participation activity is a business in which the taxpayer participates, without qualifying under another test, for more than 100 hours).
- 5) The taxpayer materially participated in the activity during any 5 of the preceding 10 taxable years.
- 6) The activity is a personal service activity in which the taxpayer materially participated for any 3 preceding tax years.

- 7) Based on all the facts and circumstances, the taxpayer participated on a regular, continuous, and substantial basis during the year.

If a taxpayer owns a portion of a business as a limited partner, they are generally not treated as materially participating; however, a limited partner may be treated as materially participating if they meet test (1), (5), or (6). For a married couple, the participation of both spouses is counted (but not that of children or other employees), even if one spouse has no ownership interest and regardless of filing status.

Note

Material participation applies to income as well as losses. If the taxpayer participates more than 500 hours during the year in a business, income or loss from the activity will be nonpassive.

Example

Infusion Coffee Shop has 4 partners, each owning 25%. Cynthia is the only general partner and full-time manager. Her husband Thomas is a limited partner (25%) who does not work in the business. Because of Cynthia's participation, Thomas is also considered to have materially participated — whether they file separately or jointly.

Example

Aria is a full-time attorney earning \$139,000 in wages and a 15% limited partner in Petabyte, LP, in which she does not participate. Her \$6,000 distributive share of losses is a passive activity loss; she cannot deduct it against her wages and must carry it forward.

Example

Deepak is a full-time physician who also has significant ownership in five restaurants and a brewery, working at least 100 hours per year in each. This aggregate participation meets material participation, so he can use the ~\$300,000 of restaurant and brewery losses to offset his medical practice income.

Activities That Are NOT Passive Activities

Nonpassive activities are businesses in which the taxpayer works on a regular, continuous, and substantial basis. The following are not passive activities: a trade or business in which the taxpayer materially participated (meeting one of the seven tests); a “working interest” in an oil or gas well held directly or through an entity that does not limit the taxpayer's liability; and rental real estate activities in which the taxpayer materially participated as a real estate professional. By definition, “passive activity income” also does not include:

- **Portfolio income:** interest, dividends, annuities, and royalties not derived in the ordinary course of a trade or business, or gain/loss from disposition of property producing such income or held for investment.

- **Personal service income:** salaries, wages, commissions, self-employment income, deferred compensation, and guaranteed payments from partnerships for personal services.
- **Retirement income:** taxable Social Security, pension income, or other retirement benefits.
- **Income from self-produced intangibles:** income from a patent, copyright, or literary, musical, or artistic composition, if the taxpayer's personal efforts significantly contributed to its creation.
- State, local, and foreign income tax refunds.
- Alaska Permanent Fund dividends.
- **Cancellation of debt income:** if, when discharged, the debt is not allocated to passive activities.
- Income from a covenant not to compete (an agreement in which a business pays another party for agreeing not to enter into direct competition).

Note

The three main income categories for the EA exam are: (1) active income, (2) passive activity income, and (3) portfolio income. Do not confuse the term “passive income” with “passive activity income” — they are not the same. Passive activity losses generally cannot be offset against active income or portfolio income (with a few exceptions).

Example

Leon works full-time as a firefighter (wages/earned income) and owns several CDs through his credit union, earning interest (portfolio income). None of Leon's income is classified as passive activity income.

Passive Activity Loss Limitations (PAL Rules)

Losses from passive activities that exceed passive income in a given year are generally disallowed for the current year. Unused losses are suspended and carried over to offset passive activity income in future years, indefinitely, subject to the same rules. Noncorporate taxpayers use Form 8582, Passive Activity Loss Limitations, to summarize passive income and losses and compute deductible losses.

Example

Evie owns a 25% interest in a partnership running a Miami nightclub and a 10% interest in an S corporation running a farming business, participating in neither. In 2025 the nightclub's loss allocates \$10,000 to her; the farm's income allocates \$7,500. Her passive losses exceed passive income by \$2,500, so the excess loss is disallowed currently and carried forward.

Example

Brandon earns \$80,000 in wages and is a passive investor in Skadden Mining, LP, with \$13,000 in losses. His \$13,000 passive activity loss is disallowed currently; he carries it forward indefinitely until he has passive income to offset or disposes of the activity.

When there is a qualifying disposition of a passive activity — sold to an unrelated party in a fully taxable transaction — current and suspended losses are released and may offset gain from the sale. Upon complete disposition, all passive carryovers are allowed.

Example

Lyle is a 5% limited partner in Luna Palace, LP, a golf resort with \$150,000 of suspended passive losses over three years. On June 30, 2025, he sells his entire interest to an unrelated person. The full \$150,000 in suspended losses is deductible in 2025.

A “former” passive activity is one that was passive in an earlier year but is not in the current year (for example, an investor who takes an active role). A prior year's disallowed loss can be deducted up to the amount of current-year income from the activity once the taxpayer materially participates.

Example

Suzanne, a partner in Chewy Treats, did not materially participate in prior years, so her \$4,000 loss was suspended. In 2025 she materially participates and the business earns her \$10,000. She uses the \$4,000 carryover against the \$10,000, for net income of \$6,000 on the activity.

Example

Noriko is a 30% passive partner in Sandal Source; her cousin Emiko ran the business. Her 2025 \$20,000 distributive share of loss is not deductible (no other passive income) and is carried forward. Beginning January 1, 2026, Noriko works full-time and materially participates, so 2026 profits can be offset by the prior-year suspended loss.

Grouping Business Activities

A taxpayer may elect to “group” multiple business activities or rentals as a single activity for the passive loss rules. If two activities are grouped, the taxpayer needs only show material participation in the activity as a whole. This “Section 469 grouping” election is irrevocable, remains in effect for future years, and is made by filing a statement with the taxpayer's original return. Related businesses that form an appropriate economic unit — conducted via sole proprietorship, partnership, trust, estate, C corporation, or S corporation — can be grouped; an “activity” is not constrained by entity lines.

Example

Douglas is a minority owner in four farming businesses (a 5% timber-farm LP, a 5% mushroom-farm S corp, a 10% hog-farm LP, and a 15% dairy-farm S corp), working sporadically and not meeting material participation individually. He can meet the 500-hour test by grouping all activ-

ities into a single economic unit, electing by attaching a statement to his Form 1040 (a Section 469 election).

Once grouped into appropriate economic units, activities generally may not be regrouped later. If a grouping is not an appropriate economic unit and a primary purpose is to avoid the passive activity rules, the IRS may regroup. If one component of a grouping is disposed of in a fully taxable transaction, suspended losses from that activity are not released until the entire grouping is disposed of. A taxpayer who does not materially participate in a trading activity (trading personal property or financial securities) may not group it with any other activity. Generally, a rental activity cannot be grouped with a trade or business activity unless they form an appropriate economic unit and: the rental is insubstantial relative to the business; the business is insubstantial relative to the rental; or each owner of the business has the same proportionate interest in the rental.

Example

Chandler owns a bagel shop and a clothing store in both Cincinnati and Milwaukee. Multiple reasonable groupings exist. He chooses to group the two bagel shops as one business and the two clothing stores as another, reporting the bagel shops on one Schedule C and the clothing stores on another.

Example

Lindsey is a partner in Reuven-Skin (specialty skincare) and Bridgeport Trucking, LP, which are under common ownership and control; Bridgeport primarily transports Reuven-Skin's products. She may group the two as a single activity to meet the material participation tests.

Example

Baldwin (sole shareholder of Eco-Dry Cleaners, an S corp) and Esme (sole shareholder of Esme-Holdings, an S corp that rents part of a building to Eco-Dry) are married and file jointly, treated as one taxpayer. As both businesses are under common ownership, they may combine Esme-Holdings' rental with Eco-Dry Cleaners into one economic unit.

Rental Income

Rental income includes advance payments and nonrefundable deposits from renters. For a sole proprietor, rental income and related expenses are generally reported on Schedule E (for taxpayers who are not professional real estate dealers or who do not provide substantial services) or Schedule C (for professional real estate dealers, and owners of hotels and boarding houses providing substantial services such as daily maid service). Lease cancellation payments are reported as income in the year received. Advance rental payments must be recognized in the year received, regardless of accounting method.

Example

Denny converts his Lake Tahoe cabin to a short-term rental via a vacation-rental website, renting for \$150/night with average stays of 7 days or less, providing fresh linens and daily maid service, and materially participating. The income is reported on Schedule C, is not passive, and he owes self-employment tax on his profits.

A security deposit is not income upon initial receipt if it is refundable to the tenant at the end of the lease. If the taxpayer keeps the deposit because the tenant broke the lease terms or damaged property, the amount is recognized as income in the year forfeited.

Special \$25,000 “Loss Allowance” for Real Estate Rental Activities

When a taxpayer actively participates in a rental real estate activity, they may deduct up to \$25,000 of losses against nonpassive income. This special rule applies only to real estate. To be “actively participating,” a taxpayer must own at least 10% of the property and make management decisions in a significant and bona fide way (approving tenants, setting rental terms). The full \$25,000 allowance is available (single or MFJ) if modified AGI is \$100,000 or less. A taxpayer married filing separately who lived apart from their spouse all year is limited to \$12,500 (full at MAGI of \$50,000 or less); one who lived with their spouse at any time during the year and files MFS cannot use any passive rental losses to offset nonpassive income.

The following taxpayers cannot claim the special loss allowance: a limited partner in a rental activity; a taxpayer with less than 10% ownership; and a trust or corporation (the allowance is available only to natural persons, though grantor trusts and certain decedent's estates are permitted). If the IRS determines the owner did not actively participate, no rental losses are currently deductible. Disallowed losses carry forward indefinitely, subject to the same limitations.

Example

Gibson earns \$95,000 in wages and owns a rental condo in Reno managed by a company; he makes no management decisions. The \$22,000 loss is passive and cannot offset his wages. With no passive income, it is suspended and carried forward.

Example

Tristen earns \$80,000 in salary and owns a Seattle rental he actively manages (selecting tenants, hiring repair workers, collecting rent, and visiting regularly). The 2025 \$15,000 net loss can be deducted against his wages, bringing his income to \$65,000.

Example

Alannah earns \$70,000 in wages and \$15,000 from a limited partnership, and has a \$26,000 loss from a residential rental in which she actively participates (but is not a real estate professional). She offsets the \$15,000 passive income, leaving an \$11,000 rental loss, which offsets her wages: $\$70,000 - \$11,000 = \$59,000$.

Real Estate Professionals (REPs)

Taxpayers who qualify as real estate professionals are not subject to the passive activity loss rules, so they can use rental property losses to offset other income (wages, interest, business profits) without the usual limits. A real estate professional can still have passive income from a rental, or a mix. Income on Schedule E is not subject to self-employment tax, while income on Schedule C is. A real estate professional must meet both tests:

- 1) **More-than-50% Rule:** more than one-half of the personal services the taxpayer performs in all trades or businesses during the year are in real property trades or businesses in which they materially participate; and
- 2) **More-than-750-Hour Rule:** more than 750 hours during the year are spent providing personal services in real property trades or businesses in which they materially participate.

Spouses cannot combine their hours to meet the 50% rule or the 750-hour rule. However, when determining whether a real estate professional materially participates in each rental activity, a spouse's hours do count. A real estate professional must materially participate in each rental activity for that activity to be nonpassive, though there is an option to aggregate all interests in rental real estate for the material participation determination.

Example

Keith rents a residential duplex to long-term tenants (no substantial services) and owns a small hotel providing daily maid service, breakfast, and linens. The duplex income is on Schedule E (passive, no SE tax); the hotel income is on Schedule C (short-term occupancy with substantial services) and is subject to SE tax.

Example

Allyson is a licensed real estate agent earning \$75,000 in commissions and owns a small office building she manages herself, spending under five hours a month on it. Her agent income is on Schedule C (subject to SE tax); the rental income is on Schedule E (not subject to SE tax).

Example

Nilda is a licensed real estate agent who owns a four-plex and ten residential rentals, spending over 1,000 hours per year and personally managing them, with no other job. She is a bona fide real estate professional, reporting commissions on Schedule C and rentals on Schedule E; her real estate activities are not passive.

Example

Gannon works full-time as a California real estate agent (over 750 hours) and owns two Florida condos managed by a company; he does not visit or approve tenants. Although he may qualify as a real estate professional, he does not materially participate in the Florida rental activity.

Example

Francine is a licensed real estate broker who also owns and manages a multi-unit residential complex, dedicating over 1,600 hours per year. She reports rentals on Schedule E and brokerage

on Schedule C. Since she qualifies as a real estate professional, losses from her residential rentals are not limited.

Note

A major benefit of being a real estate professional is that the taxpayer is normally not subject to the 3.8% Net Investment Income Tax (NIIT) on income from rental real estate activities in which they materially participate.

Real Estate Dealers and Developers

A real estate developer (or “dealer”) is primarily engaged in purchasing land or real estate for development, managing construction, and selling real estate to customers. For a developer, real estate is usually treated as inventory. This is not the same as a “real estate professional.” A self-employed developer reports income on Schedule C, and the income is subject to self-employment tax.

Example

Hester's Homes, LLC buys distressed homes at auction, fixes them up, and resells them (never renting). House flipping is her business; because it is not incorporated, she reports on Schedule C, the homes are inventory, and her net profits are subject to SE tax.

Example

Blaze, a self-employed real estate developer, buys tracts of land, subdivides, and constructs houses and condominiums for resale, occasionally selling parcels to others. The land is inventory (bought for resale); he reports on Schedule C, and all profits are subject to SE tax.

Investment Income

A business may earn interest or dividend income from investments or from lending money (for example, a C corporation owning stock in another corporation). For most sole proprietors, dividend income is nonbusiness income reported directly on Form 1040. However, dividends are treated as business income by professional stockbrokers and securities dealers.

Business-Related Court Awards and Damages

Court awards and settlements for physical injuries or illness are generally not taxable (except punitive damages, which are always taxable). Most other court awards and settlements are taxable, including damages for patent or copyright infringement; breach of contract or interference with business operations; lost profits or back pay; compensatory damages for other financial losses; interest earned on any court award; emotional distress damages; and punitive damages.

Note

Punitive damages may be awarded in addition to compensatory damages and are generally meant to punish the defendant for a willful or malicious act. Punitive damages are always subject to income tax but are not subject to self-employment tax.

Example

Geoffrey, a professional trucker, is injured in an accident caused by faulty brakes and sues the manufacturer, which had known of the defect. The jury awards \$500,000 in compensatory damages for his injuries and \$2 million in punitive damages. The \$500,000 is not taxable (compensation for physical injury). The \$2 million in punitive damages is taxable but not subject to self-employment tax.

Bartering Income

Bartering occurs when a taxpayer exchanges goods or services without exchanging money (for example, a plumber doing repair work for a dentist in exchange for dental services). The fair market value of goods and services received in a barter exchange must be included in income by each party in the year received. If the parties agree in advance on the FMV, that amount may be used, absent conflicting evidence.

Example

Quaid, a self-employed web designer, and Frank, a house painter, are in a barter club. In return for Quaid's web design services, Frank paints Quaid's business office. Quaid must report the exchange as income on Schedule C, and Frank must include in income the FMV of the web services Quaid provided.

Note

The IRS defines fair market value (FMV) as the price at which property would change hands between a buyer and a seller when both have reasonable knowledge of all necessary facts and neither is forced to buy or sell.

Income from Canceled Debt

If a business-related debt is canceled or forgiven, other than as a gift or bequest, the business generally includes the cancellation of debt (COD) amount in income. However, a cash-basis business is not required to realize income from a canceled debt to the extent payment of the debt would have led to a business deduction. If the taxpayer is bankrupt or insolvent, the canceled debt may be excluded from taxable income (for insolvency, up to the extent of insolvency). If not bankrupt or insolvent, the reduction may be treated as a purchase price adjustment, reducing the buyer's basis in the property. Additional exclusions apply to qualified farm indebtedness and qualified real property business indebtedness; taxpayers using these exclusions must reduce

specified tax attributes (loss and credit carryforwards, asset bases) and file Form 982, Reduction of Tax Attributes Due to Discharge of Indebtedness.

Example

Leeward Ranch, LLC, a cash-basis multi-member LLC, has its computer repair bill forgiven and receives a Form 1099-C. It is not required to recognize the canceled debt as income because payment of the repair bill would have been deductible as a business expense. (For an accrual-basis business, the canceled debt would be income because the deduction would already have been recorded.)

Example

Lucille owns a boutique hotel and took a \$900,000 loan to renovate and substantially improve it. Unable to repay, she has \$400,000 forgiven and receives a Form 1099-C. Because it is qualified real property business indebtedness, she can exclude it from gross income by filing Form 982. If she reduces the basis of her property, she must keep records for future depreciation or sale calculations.

Amounts Not Considered Business Income

Certain business-related income and property transfers are not taxable or reportable; others are partially taxable or deferred. Examples include: issuances of stock (including the sale of Treasury stock); most business loans (loans create debt, not income); state and local taxes collected in connection with sales or services and remitted to the government if imposed on the customer; like-kind exchanges of property (section 1031); and gain from an involuntary conversion if properly reinvested (IRC section 1033).

Example

Bloomer's Floral Shop sells bouquets in a state that imposes sales tax on the buyer, collecting sales tax at purchase. The sales tax is not included in gross receipts; it is treated as a liability and remitted monthly to the state. The sales tax collected is neither income nor an expense.

STUDY UNIT 3

Study Questions

Test yourself, then check the answer key that follows.

1. Rupert is a minority partner in multiple limited partnerships: a 15% interest in a dry cleaner, a 10% interest in a laundromat, and a 10% interest in a laundry detergent business that supplies all the detergent used in the laundromat. He works sporadically and does not meet the material participation tests individually, but can meet the 500-hour test if he groups all the activities together. What is the procedure for grouping multiple activities into a single economic unit?

- a) Rupert can make a section 469 election by attaching a statement to his Form 1040 for the year.
 - b) Rupert should attach a statement to his return as a real estate professional on Schedule E.
 - c) Rupert can only group the activities by combining all the activities into one corporation.
 - d) Rupert can make a section 444 election by attaching a statement to his Form 1040 for the year.
2. Is the rental of real estate generally considered a passive activity?
- a) Yes, always.
 - b) No, never.
 - c) Yes, unless the taxpayer qualifies as a real estate professional.
 - d) Only for commercial real estate.
3. Palm Apartments LLC, a cash-basis multi-member LLC, owns a residential rental complex with 10 units. On December 31, 2025, one tenant, Chae-Yeong, pays two months of rent in advance (for January and February of the following year). When are these advance rental payments taxable to Palm Apartments?
- a) In the year received.
 - b) In the year in which they are accrued.
 - c) They are not taxable.
 - d) The payments are taxable when the checks are cashed.
4. For tax purposes, which of the following would not be considered business income?
- a) Damages received in a lawsuit or a settlement for personal physical injuries.
 - b) Interest earned on a court award for breach of contract.
 - c) Barter income from consulting services.
 - d) Legal damages awarded for copyright infringement.
5. Which of the following statements is true regarding income from a canceled debt for a business?
- a) Canceled debt is always taxable to a business.
 - b) Canceled debt is never taxable income to a business.

- c) A business does not have to recognize canceled debt income to the extent that the payment of the debt would have led to a business deduction.
 - d) Canceled debt is taxable for a sole proprietorship or partnership, but not for a corporation.
6. Which of the following activities are subject to passive activity limits on the deductibility of losses?
- a) All business activities.
 - b) Rental real estate activities.
 - c) Income from a covenant not to compete.
 - d) Investment activities.
7. What are the qualification criteria for an individual to be considered a real estate professional?
- a) Over 50% of personal services and 750 hours a year must be spent in real property businesses.
 - b) Over 2,000 hours must be spent in real property trades or businesses.
 - c) The person must be a licensed real estate agent or broker.
 - d) All personal services must be in real property trades or businesses.
8. Nickel Tools, Inc. rents large tools and machinery for construction projects, always charging a refundable security deposit and a nonrefundable cleaning deposit. It received the following amounts during the current tax year. What amount should be included in the corporation's gross income?
- Rental income **\$500,000**
- Refundable security deposits **\$40,050**
- Cleaning deposits (nonrefundable) **\$10,500**
- a) \$500,000
 - b) \$510,500
 - c) \$540,050
 - d) \$550,550
9. Which of the following transactions generates taxable business income?
- a) Like-kind exchanges of property.

- b) Business loans.
 - c) The sale of treasury stock.
 - d) A barter exchange of services between two sole proprietors.
10. Ginny has several sources of income during the year. Which of the following would be considered “passive activity” income?
- a) Income from a limited partnership in which she does not materially participate.
 - b) Interest income earned on a certificate of deposit.
 - c) Unemployment compensation.
 - d) Income from a court award for breach of contract.
11. What type of services would typically lead to a rental activity being reported on Schedule C instead of Schedule E?
- a) Basic maintenance services.
 - b) Daily maid service.
 - c) Landscaping services.
 - d) Trash collection.
12. Muhammad has a 5% ownership stake in four limited partnerships and is only a passive investor. His Schedule K-1 results were: retail clothing store (\$12,000) net loss; video game arcade \$31,000 net income; coffee shop (\$16,500) net loss; fish farm (\$9,000) net loss. He also had \$40,000 in interest income from a certificate of deposit. What is the tax treatment of his ownership of these businesses?
- Retail clothing store (**\$12,000**)
- Video game arcade **\$31,000**
- Coffee shop (**\$16,500**)
- Fish farm (**\$9,000**)
- a) Taxable income of \$31,000 and deductible Schedule C losses of \$6,500.
 - b) Deductible capital loss of \$6,500.
 - c) No passive activity income in 2025; carryover of passive loss of \$6,500 to the following year.
 - d) He can offset \$31,000 of passive income and then use the remaining \$6,500 in losses to offset his interest income.

13. Which type of income is generally not subject to the net investment income tax?

- a) Trade or business income.
- b) Passive rental activity.
- c) Capital gains.
- d) Dividend income.

STUDY UNIT 3

Answer Key & Explanations

1. The answer is A.

Rupert can group his activities together by making a section 469 election, because they are similar enough to be considered one economic unit. This is done by attaching an election statement to his individual Form 1040. The election allows a taxpayer to group certain activities together and treat them as one activity.

2. The answer is C.

The rental of real estate is generally a passive activity, even if the taxpayer participates. There is an exception for bona fide real estate professionals who materially participate — providing qualifying real estate services for more than 750 hours per year, with those services being more than half of their total personal services for the year.

3. The answer is A.

Palm Apartments, LLC must recognize the advance rental payments in the year received. Advance rental payments received under a lease must be recognized in the year received, regardless of accounting method — even for an accrual-basis taxpayer.

4. The answer is A.

Gross income does not include most types of compensation for physical injuries. All of the other choices would be reportable as business income.

5. The answer is C.

Canceled debt is not taxable income for a business to the extent that payment of the debt would have led to a business deduction.

6. The answer is B.

The passive activity loss rules apply to rental real estate activities (except for real estate professionals) and passive business activities in which the taxpayer does not materially participate. These rules prevent investors from using losses from income-producing activities in which they do not materially participate.

7. The answer is A.

To qualify as a real estate professional, an individual must meet both criteria: the More-than-50% Rule (more than half of the personal services performed during the year must be in real property trades or businesses where they materially participate) and the More-than-750-Hour Rule (more than 750 hours providing personal services in real property trades or businesses during the year).

8. The answer is B.

The refundable security deposits are not taxable income to Nickel Tools, because they are returned to the customer if the rented items are returned in good condition. Gross income includes the rental income and the nonrefundable cleaning deposits ($\$500,000 + \$10,500 = \$510,500$).

9. The answer is D.

A barter exchange of services between two sole proprietors is business income to both parties. The fair market value of goods and services received must be included in income by each party in the year received. Like-kind exchanges, business loans, and the sale of treasury stock do not generate taxable business income.

10. The answer is A.

Income from a limited partnership in which Ginny does not materially participate is passive activity income. Portfolio income (interest, dividends, annuities, royalties), unemployment compensation, and income from court awards are not passive activity income.

11. The answer is B.

If a property owner provides substantial services beyond what is normally associated with renting a property (such as daily maid service), the income and expenses are generally reported on Schedule C. Substantial services include regular cleaning, changing linens, and daily breakfast or maid service. Basic maintenance, utilities, trash collection, and cleaning of public areas are not substantial services.

12. The answer is **C**.

Under the passive activity limitation rules, Muhammad cannot deduct his losses against his interest income (portfolio income), but he does not lose the unused losses. His \$31,000 of passive income is offset by his passive losses, and the remaining \$6,500 of loss is carried forward to the following year. Since all the income is from limited partnerships, he reports the activities on Schedule E.

13. The answer is **A**.

Trade or business income derived from the ordinary course of the trade or business is not subject to the NIIT. Rental real estate income is generally subject to the NIIT unless it rises to the level of a trade or business (as with a real estate professional). Capital gains and dividend income are subject to the NIIT for most taxpayers.

STUDY UNIT 4

Business Expenses

Further reading: IRS Publications 587 and 463

Business expenses refer to the expenditures involved in operating a business and are typically tax-deductible if the business is attempting to make a profit. However, some costs must be capitalized and depreciated or amortized. In general, businesses operating on a cash basis can claim deductions when they actually pay for an expense, while those using an accrual method deduct expenses in the period they occur. An immediately deductible expense is one that a business can write off entirely in the year it was paid or incurred. Capitalized expenses are those that a business cannot deduct all at once; instead, these costs are spread over several years through depreciation, amortization, or depletion.

Example

Alpha Mining, Inc. is a C corporation and a leading mining company. In January, the company spends \$315 on office supplies, which are essential for day-to-day operations. These items have no long-term benefits, so the entire \$315 is deducted immediately. However, in March, Alpha Mining invests \$4,750,000 in a new hydraulic excavating machine. This equipment will be used for many

years, so the company categorizes the excavator as an asset and gradually depreciates its value over time.

Deductible Business Expenses

To be deductible, a business expense must be both ordinary and necessary. An ordinary expense is one that is common and accepted in the taxpayer's industry. A necessary expense is one that is helpful and appropriate for the particular trade or business. However, an expense does not have to be indispensable to be considered necessary.

Example

Example #1: Eunice is an enrolled agent who mails cards and newsletters to clients with year-end tax-saving tips. The newsletters are a marketing tool and would be considered ordinary and necessary. She can deduct the printing and mailing costs as a business expense.

Example

Example #2: Eunice renovates her home office and spends \$8,000 on designer silk curtains. As she does not meet with clients in her home office, an expenditure of this size would likely not be considered reasonable and therefore would not be deductible as a business expense.

Personal and living expenses cannot be claimed as business expenses. However, if an expense is incurred for something that has both business and personal purposes, the cost can be divided accordingly, and only the business portion can be deducted. An example is the home office deduction.

Example

Frederika, the owner of Creative Web Designs, operates from her rented home. Her home office takes up 200 square feet in a 2,000-square-foot home, so she may deduct 10% of qualifying home expenses (used regularly and exclusively for business): annual rent \$12,000 (business portion \$1,200); annual utilities \$3,600 (\$360); annual renter's insurance \$1,200 (\$120). Her total home office deduction is \$1,680 (\$1,200 + \$360 + \$120).

Expenses under the Accrual Method

Under the accrual method, a taxpayer generally deducts or capitalizes business expenses when both of the following apply: (1) all events have occurred that fix the fact of liability, and the liability can be determined with reasonable accuracy (a definite obligation to pay with no significant contingencies remaining); and (2) economic performance has occurred (the property or services are provided or used).

Exception for Recurring Items

Expenses for certain recurring items may be treated as incurred during the tax year even though economic performance has not occurred. For example, frequently used office supplies may qualify as a recurring item, so the business can deduct them in 2025 even if the supplies are not delivered until 2026. The recurring-item exception applies if: the all-events test has been met; economic performance occurs by the earlier of 8½ months after the close of the year or the date the taxpayer files a timely return (including extensions); the item is recurring and consistently treated as incurred in the year the all-events test is met; and either the item is not material, or accruing it results in a better match against income. The exception does not apply to workers' compensation or tort liabilities.

Example

Retail Concepts, Inc. is an accrual-based, calendar-year corporation that routinely orders office supplies. It places a significant order on December 15, 2025, receives the supplies one week later, but does not pay the bill until January 20, 2026. As an accrual-based taxpayer, Retail Concepts can deduct the expense in 2025 because all necessary actions have occurred to establish the liability, the exact amount is known, and economic performance has taken place.

Business Start-up and Organizational Costs

Business start-up costs include investigating whether to open a business, legal costs to purchase an existing business, and training new employees before the business opens. The following costs related to a new business may be deductible as current expenses (without amortization) in 2025: up to \$5,000 to organize a corporation, partnership, or other state-level entity, and up to \$5,000 of start-up costs. To currently deduct start-up expenditures, the business must elect to deduct them, and they cannot be deducted until the year business operations actually begin.

Example

In November 2025, Emma decides to open Froyo Delight, LLC, a frozen yogurt shop. Legal fees for setting up the LLC were \$3,000, and start-up costs were \$4,500 (initial marketing and online advertising before opening). Froyo Delight does not officially begin operations until January 20, 2026. Although Emma incurred start-up and organizational costs in 2025, she cannot deduct any of them in 2025, because the business did not open until the following year.

Note

By definition, business start-up costs are incurred before a business actually begins operations. Start-up costs generally do not include deductible interest, taxes, or research and experimental costs.

If organizational or start-up costs incurred exceed \$50,000, there is a dollar-for-dollar reduction in the available immediate (non-amortized) deduction until the current deduction for either item is eliminated. Organizational costs or start-up costs that are not currently deductible may be amortized ratably over 180 months (15 years) on Form 4562. The amortization period starts with the month the business opens for regular operations.

Example

Supply Village, Inc. incurs start-up expenses of \$51,000 in 2025 (including wages to train new employees before opening). Supply Village is \$1,000 over the \$50,000 threshold, so it must reduce its start-up deduction by the excess. Supply Village can deduct \$4,000 of start-up expenses (\$5,000 allowable minus the \$1,000 excess). The remaining \$47,000 must be amortized over 180 months.

Example

Beeswax Bottlers, Inc. is an S corporation that officially opened on November 1, 2025. Before opening, it incurred \$21,200 of start-up expenses. Since it had less than \$50,000 of start-up costs, the company can deduct the full \$5,000 on its 2025 return and claim \$180 of amortization ($[\$21,200 - \$5,000] \div 180 = \90 per month $\times 2$ months), for a total of \$5,180 for 2025.

Start-up costs include amounts paid in connection with an existing activity engaged in for profit, and to produce income in anticipation of the activity becoming an active trade or business. Common start-up costs include: an analysis or survey of potential markets and other investigative costs; government permits, business licenses, and fees; advertisements to announce the opening of a business (before it opens); salaries and wages for employees being trained and their instructors; travel costs for securing prospective distributors, suppliers, or customers; and salaries and fees for executives, consultants, or similar professional services. All amounts paid to “investigate” a business before actually creating it are treated as amortizable start-up costs.

Example

Blanca is interested in purchasing Cliffside Camping, a campground business. She hires an attorney to investigate the business for \$7,700. Blanca purchases Cliffside Camping on December 1, 2025, and runs it as a sole proprietorship. \$5,000 of her legal fees are deductible immediately as start-up costs; the remaining \$2,700 is amortized ratably over 180 months starting December 1. For 2025, Blanca can deduct \$5,000 plus \$15 of amortization ($[\$7,700 - \$5,000] \div 180 \times 1$ month), for total deductible start-up costs of \$5,015.

Qualifying Organizational Costs

Organizational costs directly relate to a business's formation, including costs to create and file articles of incorporation or organization with the Secretary of State, legal costs to create contracts such as a partnership agreement, and other state filing fees. A corporation or partnership can elect to deduct up to \$5,000 of its initial organizational expenditures and amortize the remainder over 180 months. If organizational costs exceed \$50,000, there is a dollar-for-dollar reduction until the current deduction is eliminated. Qualifying organizational costs must be directly related to the creation of the business, chargeable to a capital account, and (for a partnership) incurred by the due date of the return excluding extensions, or (for a corporation) incurred before the end of the first tax year in which the corporation begins business. Examples include the cost of temporary directors, the cost of organizational meetings, organization and filing fees, and legal and accounting fees for setting up the business.

Example

Ariana and Piper are licensed dentists in California who form Bright Bite Family Dentistry, LLP by registering with the California Secretary of State. State filing fees and legal fees to draft their partnership agreement totaled \$6,500. On June 1, 2025, they open their doors. The partnership may immediately deduct \$5,000 of the organizational costs; the remaining \$1,500 is amortized over 180 months, starting in June.

If a business is sold, closes, or dissolves before the end of the amortization period, the business can deduct any remaining unamortized start-up or organizational costs on its final tax return. Costs incurred in expanding an already-existing business are generally deductible as ordinary and necessary business expenses and do not have to be amortized.

Example

Oakbrook Cafeteria, Inc. began operations five years ago and closed its doors on November 30, 2025, with \$64,000 of unamortized start-up costs on the books. The entire \$64,000 is deductible on Oakbrook's final corporate tax return, because unamortized start-up costs are deductible as a business loss in the year the business is terminated.

Example

Body-Wave Fitness, Inc. operates a chain of gyms and expands by adding another location outside its current area, incurring costs to advertise, prepare the new location, and train employees. These costs are deductible as ordinary business expenses and do not have to be amortized as start-up costs, since it is merely an expansion of existing operations.

Failed Business Purchases and Failed Start-Ups

If a taxpayer attempts to go into business and is ultimately unsuccessful (the business is never created, started, or purchased), the costs may fall into two categories: costs incurred before deciding to purchase or start a specific business, which are personal and nondeductible; and costs incurred in a bona fide attempt to purchase (or start) a specific business, which are capital costs that may be claimed as a capital loss on Schedule D (limited to \$3,000 per year over capital gains). The cost of assets acquired in an unsuccessful attempt must be capitalized. Hobby losses are never deductible. The rules are different for corporations — if a corporation incurs costs related to an unsuccessful attempt to acquire or start a new business, it can deduct all of its investigatory costs as a business loss.

Example

Dayna wants to purchase a local bakery and incurs \$5,400 in legal fees and contract costs during negotiations. Just before signing, one of the owners changes his mind and decides not to sell. Dayna may deduct these costs from her bona fide attempt as a capital loss on Schedule D. Because individual capital loss deductions are limited to \$3,000 per year over capital gains, she deducts \$3,000 in the current year and carries over the remaining \$2,400 loss.

Deductible Taxes

Businesses generally can deduct taxes in the year paid, regardless of the accounting method. Under the accrual method, a taxpayer may choose to ratably accrue real estate taxes.

Real Estate Taxes

For real estate taxes to be deductible, the taxing authority must calculate the tax based on the assessed value of the real estate. If a property is sold, the deductible portion of the real estate taxes must be allocated between buyer and seller according to the number of days each owned the property. The seller is treated as paying taxes up to (but not including) the date of sale; the buyer beginning with the date of sale. Businesses cannot deduct taxes charged for local benefits and improvements that tend to increase the value of the property (assessments for streets, sidewalks, water mains, sewer lines, public parking) — these must be added to the basis. However, a business can deduct taxes for local benefits such as maintenance, repairs, or interest charges related to capital improvements.

Example

Emmett owns a business office on Main Street. During the year, the city charged an assessment of \$7,000 to each business to improve the sidewalks. Emmett cannot deduct this assessment as a current expense; instead, he must increase the basis of his property by the amount of the assessment.

Example

Waterfront City converts a downtown area into an enclosed pedestrian mall, assessing the full construction cost (financed with 10-year bonds) against the affected properties. The assessments for construction costs are not deductible as taxes or business expenses but are depreciable capital expenses. The part of each payment used to pay the interest on the bonds is deductible as taxes.

Property Taxes and State Income Taxes

Taxes imposed by a state or local government on personal property used in a taxpayer's trade or business are deductible as a business expense. Some states impose a tax on “tangible personal property” or on the value of business inventory. Federal income taxes are never deductible. However, corporations and partnerships can deduct state and local income taxes, as well as franchise taxes. A self-employed individual who reports income on Schedule C can deduct state and local income taxes only as an itemized deduction on Schedule A, subject to the SALT deduction limitation. For 2025, the SALT cap is \$40,000 (\$20,000 for MFS), subject to a phase-out for taxpayers with modified AGI exceeding \$500,000 (\$250,000 for MFS); the reduced limitation cannot be less than \$10,000 (\$5,000 for MFS).

Example

Coastline Sports, Inc. is a sporting goods store in West Virginia, which imposes an inventory tax based on the value of a business's inventory and assets at year-end. The inventory tax is deductible on Coastline Sports' corporate tax return as a normal business expense.

Pass-Through Entity Taxes (PTET)

Following the SALT deduction ceiling, many states enacted state income taxes based on the taxable income of a partnership or S corporation, payable by the entity itself. The partners or shareholders are then allowed a credit or deduction against their own state income taxes. Because the state income tax is imposed on the business entity itself, the entity can deduct these taxes in full on its federal income tax return, without any limitations. While the individual SALT cap increased to \$40,000 for 2025, PTET elections remain a vital tool for taxpayers whose state and local taxes exceed this limit or whose SALT deduction is reduced due to the income-based phase-out.

Example

Holly and Amber are equal members in Pixley Pet Sitters, LLC (taxed as a partnership) in California. Because the business is highly profitable, each faces significant state tax liabilities exceeding the 2025 federal SALT cap of \$40,000. California qualifying PTEs may elect to pay an entity-level state tax on income. Pixley Pet Sitters chooses to pay the elective tax, and Holly and Amber receive a credit for their share, reducing their California personal income tax. This workaround allows an unlimited federal deduction for the income tax related to the PTE activity, bypassing the \$40,000 SALT cap.

Business Gross Receipts, Excise, and Sales/Use Taxes

Gross receipts-based taxes that are ordinary and necessary business expenses are deductible. A gross-receipts tax is levied on the seller of goods and services, rather than the consumer; a business reports the full income from a sale before deducting the gross receipts tax, then deducts the gross receipts tax as a business expense. Excise taxes are paid when purchasing certain items (such as gasoline) or engaging in specific activities (such as highway usage). Businesses dealing with goods subject to excise tax must file Form 720, Quarterly Federal Excise Tax Return. An example is indoor tanning salons, subject to a 10% federal excise tax deductible as a business expense.

Example

Ponderosa Tanning, Inc. is an S corporation owned by a married couple providing indoor tanning services. The business sold tanning packages totaling \$2,000 in the first quarter. The federal excise tax on tanning services was \$200 ($\$2,000 \times 10\%$). Ponderosa Tanning must file Form 720 every quarter and report and pay the excise tax.

Sales and use taxes collected by a business on the sale of goods to customers are remitted to the taxing authorities and are excluded from the business's gross receipts and deductible expenses if the tax is imposed on the customer (the seller is simply acting as an agent). However, if the sales/use tax is imposed on the seller, and the seller bills the customer for the tax, the tax is reported as gross income by the seller and then separately deducted as an ordinary business expense. When a business pays sales tax on a purchase of goods, the tax is a component of the cost of the item — added to the depreciable basis of depreciable property, capitalized as a component of inventory if merchandise for resale, or considered part of a currently deductible expense.

Example

Circuit Town, Inc. is a cash-basis C corporation computer retail store in Aptos, California (a state that imposes sales tax on the seller). Circuit Town charges and collects sales tax from its customers as a reimbursement of the sales tax imposed on it by the state. It includes the sales tax reimbursements it collects in its gross receipts on Form 1120, but the sales taxes paid to the state are also deducted on Form 1120.

Example

Stephen is the sole proprietor of Crunch Comics in Washington (a state that imposes sales tax on the buyer). Crunch Comics collects sales tax on all products sold, but Stephen does not include the sales tax collected in his gross receipts on Schedule C, because it is not revenue to his company — he is simply collecting it on behalf of the state.

Business Bad Debts

Most business bad debts result from credit sales of goods or services for which payment has not been received. If, after a reasonable time, a business is unable to collect, the uncollectible part becomes a business “bad debt.” A debt becomes worthless when there is no longer any chance the amount owed will be paid (often presumed from an identifiable event such as bankruptcy). A business bad debt is a loss from the worthlessness of a debt created or acquired in a trade or business, or closely related to the trade or business when it became worthless. A taxpayer can claim a business bad debt deduction only if the amount owed was previously included in gross income. Since a cash-basis business does not report income on credit sales until paid, cash-basis businesses will not have deductible business bad debts. When a business loans money to a client, supplier, employee, or distributor for a genuine business reason and the balance later becomes worthless, the business can deduct the balance as a bad debt.

Example

Allure Eyewear, Inc. is an accrual-based corporation that manufactures sunglasses. One salesman, Claude, loses all his samples and asks for a loan to replace them. Allure Eyewear loans Claude \$3,000. Claude later quits without repaying the debt. Allure Eyewear has a business-related bad debt it can deduct as a business expense.

If a business receives property in partial settlement of a debt, the debt is reduced by the property's FMV (which becomes the taxpayer's basis in the property). If a business recovers a bad debt that was deducted in a prior year, the recovered portion must be reported as income on the current-year return; there is no need to amend the prior-year return.

Example

Manzanar Foods, Inc. is an accrual-based restaurant supply company. Garden Café defaults on invoices and files for bankruptcy, so Manzanar Foods writes off the bad debt. A year later, Garden Café's owners want to do business again; Manzanar tells them it will not unless the delinquent invoices are paid. Garden Café pays the old debt. Manzanar Foods recognizes the recovery of the previously deducted bad debt on its current-year return and does not amend the prior-year return.

Insurance Expenses

Businesses generally may deduct the ordinary and necessary cost of insurance related to the trade or business, unless the premium must be capitalized or is otherwise nondeductible. Deductible premiums include: business property, malpractice, and casualty insurance; business interruption insurance; credit insurance covering business bad debts; payments to a state unemployment insurance fund; vehicle insurance for business vehicles (not deductible if the business uses the standard mileage rate); group-term life insurance for employees; and group accident, health, long-term care, and workers' compensation insurance for employees. A cash-basis business that pays insurance premiums in advance may rely on the 12-month rule and deduct amounts paid that do not extend beyond the earlier of 12 months after the benefit begins or the end of the tax year after the year in which payment is made.

Self-Employed Health Insurance Deduction

Self-employed individuals may be eligible to deduct 100% of the premiums paid for medical, dental, and qualified long-term care insurance as an adjustment to income (instead of an itemized deduction). To qualify, the taxpayer must have reported a net profit on Schedule C; be a partner with net earnings from self-employment on Schedule K-1; or be a more-than-2% S corporation shareholder who had premiums paid or reimbursed by the corporation and reported as taxable wages on Form W-2. The deduction is claimed on Schedule 1 (Form 1040), after calculating it on Form 7206. It cannot be taken for any month in which the individual was eligible to participate in an employer-subsidized health plan (even if they did not participate). It is only available to businesses with net profits for the year; if a sole proprietorship incurs a loss, the taxpayer is not eligible. A C corporation, however, may fully deduct its employee health insurance premiums even if it has a net business loss.

Example

Carlton is a sole proprietor running his own plumbing business (Schedule C). In 2025, he pays \$9,200 for health insurance but had a net loss of (\$3,000) because of a fire in his warehouse, with no other income. Since he has no net earnings, his health insurance is not deductible (no income to offset), and the deduction does not carry over — it is essentially lost.

Note

The IRC prescribes different treatment for health insurance premiums by entity type. A sole proprietor deducts them as an adjustment to income on Schedule 1 (not on Schedule C). A partnership generally deducts them as guaranteed payments; they are then deductible as an adjustment to income on the partner's Schedule 1 after being reported as ordinary income. An S corporation deducts them and includes them in the more-than-2% shareholder's wages (subject to income tax withholding); they are deductible as an adjustment to income on the shareholder's Schedule 1. A C corporation deducts employee health premiums dollar-for-dollar as a regular business expense,

even if it creates a loss, and the amounts do not have to be added to an employee-shareholder's W-2.

Business Interest Expense

A business can deduct interest paid or accrued during the tax year on debts related to a trade or business for which it is legally liable. Under the cash method, a business can deduct interest paid during the tax year (but not a promissory note given in payment of interest). Under the accrual method, a business can deduct interest that has accrued during the tax year. A business cannot accelerate a deduction by paying interest in advance of when it is due. If a business uses the accrual method, it cannot deduct interest owed to a related person who uses the cash method until payment is made and the interest is includable in that person's gross income. If loan proceeds are used for more than one purpose, the related interest must be allocated among personal interest, investment interest, portfolio interest, and interest related to a trade or business.

Example

Geffen is the sole proprietor of Geffen's Trinkets. He takes out a business loan to upgrade the shelving and interior of his store, and another loan to purchase more inventory. The interest on both loans is business interest expense, tax-deductible dollar-for-dollar on his Schedule C.

Note

Do not confuse business interest expense with investment interest expense. Business interest expense is charged on business loans used to maintain operations, purchase business assets, or purchase inventory. Investment interest expense is interest paid on money borrowed to purchase taxable investments.

Example

Margie likes to invest in stocks and cryptocurrency but is not a professional trader. She takes out a \$20,000 loan and uses the proceeds to buy various stocks and Bitcoin. The interest is investment interest, not business interest. Margie can only deduct her investment interest expense as an itemized deduction on Schedule A, limited to her net taxable investment income for the year.

Interest charged on federal income tax assessed on an individual's income tax return is not a business deduction, even if the tax is related to income from a trade or business. Penalties on underpaid deficiencies and underpaid estimated tax are not "interest" and are not deductible.

Interest Expense Limitation for Large Businesses

The Tax Cuts and Jobs Act imposed a limitation on the deduction for business interest expense. In general, this limitation applies to businesses with average annual gross receipts for the prior three tax years in excess of \$31 million in 2025. A taxpayer's deduction for business interest expense is generally limited to the sum of business interest income, 30% of adjusted taxable income (ATI), and floor plan financing interest expense. Any disallowed business interest expense is generally carried forward. For tax years beginning after December 31, 2024, ATI is calculated by adding

back deductions for depreciation, amortization, and depletion, which generally increases ATI and may increase the deductible amount. Most small and mid-sized businesses (average annual gross receipts of \$31 million or less in 2025) are not affected, unless the business is a tax shelter.

Example

Kennedy Manufacturing, Inc. is a C corporation with average annual gross receipts of \$170 million. In 2025, it incurs \$20 million of business interest expense; its ATI (after the 2025 rules) is \$18 million, with no business interest income or floor plan financing. Kennedy may deduct \$5.4 million of business interest expense in 2025 ($\$18 \text{ million} \times 30\%$). The remaining \$14.6 million is carried forward.

Example

Colusa Cheese Processing, Inc., a C corporation, has average annual gross receipts of \$19 million and incurs \$155,000 of business interest expense in 2025. Because it qualifies for the small business exemption, it may deduct all of its business interest expense without applying the section 163(j) limitation.

Rent Expense

A company can deduct expenses for renting property used for business purposes. However, the cost of obtaining a lease is not part of the rental expense and must be amortized over the duration of the lease. Rent payments made in the course of business can generally be deducted in the year they are paid or accrued. If a taxpayer pays rent in advance, only the portion that relates to their use of the property during that tax year can be deducted; the remaining amount must be deducted over the period to which it applies. If rented property is used for both business and personal purposes, only the business portion is deductible.

Example

Bertha rents an office to use both as a painting studio (a hobby that produces no income) and to run her math tutoring business. Total rent is \$11,000 for the year. The office is 1,000 square feet; she uses 800 for the tutoring business and 200 for her personal art studio (80% business). The deductible portion of the rent expense is \$8,800 ($80\% \times \$11,000$).

Home Office Deduction

A self-employed taxpayer may deduct certain expenses related to a part of their home if the space is used regularly and exclusively for business and meets one of the following: it is the taxpayer's main place of business; it is used to meet with clients, patients, or customers in the normal course of business; or it is a separate structure (such as a detached garage or shed) used for business. The percentage of the home used for business can be calculated by any reasonable method, such as square footage. Under the exclusive-use rule, expenses cannot be deducted if that part of the home is also used for personal purposes. Home office expenses are claimed on Form 8829 and

transferred to Schedule C. Home office expenses cannot create a business loss, but the business can carry over any unused portion.

Example

Reggie is a self-employed roofer with a detached storage shed in his backyard used only to store roofing tools and supplies. Because it is a separate structure used exclusively for business, he can deduct the expenses directly related to the shed on Form 8829, transferred to his Schedule C and limited to his business income.

Example

Caleb is a self-employed family therapist whose only office is a room in his home used regularly and exclusively to meet with clients, make appointments, bill clients, and pay business expenses. Caleb meets all the tests (exclusive use, regular use, business use) and may deduct the costs of his home office on Form 8829.

Simplified Home Office Deduction: A taxpayer may compute the deduction at \$5 per square foot, directly on Schedule C (without Form 8829), up to a maximum of 300 square feet (maximum deduction of \$1,500). Under the simplified method, a taxpayer can also claim the full amount of allowable mortgage interest, real estate taxes, and casualty losses as itemized deductions on Schedule A. Home-related expenses do not need to be allocated between personal and business use, but the simplified option does not include a deduction for depreciation. Each year, a person may use either the simplified method or the regular method.

Example

Alfred is a self-employed financial planner with a home office used exclusively for business, measuring $15 \times 15 = 225$ square feet. Alfred deducts \$1,125 ($\5×225) using the simplified method. He does not have to calculate depreciation or prorate his utilities.

Business-Related Meals and Entertainment

In general, businesses may not deduct expenses for entertainment, amusement, or recreation. However, there are limited exceptions, and some costs that may seem entertainment-related are deductible when they are ordinary and necessary business expenses in the taxpayer's line of work.

Example

Evander is a self-employed clothing designer who attends a fashion show to introduce his new designs to potential buyers. The costs are not “entertainment” because the fashion show is directly related to his business as a designer, so his expenses are deductible on Schedule C.

Example

Reuben is a sports writer who covers professional soccer and runs a profitable YouTube channel. He attends dozens of soccer events, interviews players, and runs online contests for signed jerseys.

All his income comes from sports writing and his channel. The cost of the sports tickets and travel to the games is deductible, because he is in the business of writing about sports entertainment.

The disallowance for deducting entertainment does not apply to businesses that provide entertainment to the general public — entertainment provided to customers, and food and drinks, are fully deductible. Exceptions also exist for company-wide events (team-building activities, holiday parties, company picnics), where the entertainment and meals provided to employees are 100% deductible, as long as the events do not discriminate in favor of highly-compensated employees.

Example

Chateau Nightclub in Las Vegas features live music Thursday through Saturday nights and serves complimentary appetizers during happy hour. As a business that provides entertainment for the public, all of these expenses, including the cost of food for guests, are fully deductible.

Example

Edison owns an auto repair shop with twenty employees and organizes a holiday party every Christmas, inviting all employees and their spouses. The party includes professional catering and a DJ. The cost of the holiday party, including meals, is 100% deductible because it is a team-building event for the benefit of all employees.

Business Meals

In 2025, businesses normally can deduct 50% of the cost of business meals (including taxes and tips). Per diem meals provided to employees, and meals provided to employees as a fringe benefit (e.g., coffee and snacks in a breakroom), are also subject to the 50% limit. Food and drinks purchased separately from entertainment events are not classified as entertainment if those costs are listed separately on invoices or receipts.

Example

Caressa is a self-employed realtor who takes her client to lunch to celebrate a home sale. The restaurant bill is \$88, and she pays \$10 in taxi fare. The deductible meal expense is \$44 ($\$88 \times 50\%$), and the taxi fare is 100% deductible (\$10), for a total deductible business expense of \$54.

Example

Tamara is a licensed attorney who takes her best client to a baseball game. The tickets cost \$105 each. The meal inside the park costs \$80 (separate receipt). Tamara may deduct 50% of the meal, or \$40. The baseball tickets are a nondeductible entertainment expense, even if some business was conducted during the game.

Note

Looking Ahead to 2026: The OBBBA increases the deduction to 100% for qualifying restaurant meals, but these changes apply only to taxable years beginning after December 31, 2025.

Travel Expenses

Travel expenses are among the most common business expense deductions. To be deductible, business travel expenses must be incurred while carrying on a genuine business activity while traveling away from home, and the taxpayer must prove the travel is directly related to the conduct of business. Adequate records must support these expenses (receipts, bills, credit card statements, canceled checks), with an exception for smaller expenses (other than lodging) that cost less than \$75. Travel costs for a business purpose are 100% deductible (business meals are generally limited to 50%). If travel includes personal travel, the personal portion is not deductible. Commuting costs are personal and not deductible. Taxpayers are “traveling away from home” if their duties require them to be away substantially longer than an ordinary day’s work and they need to sleep or rest.

Example

Blake is a self-employed software engineer who flies to New Orleans for a business conference and takes his wife (not his employee) for a vacation. Blake pays \$190 for each airline ticket and \$200 for a double hotel room; a single room is normally \$150. Blake can deduct his own plane ticket (\$190) and \$150 for the hotel room. His wife’s travel expenses are not deductible.

Per Diem Rates for Business Travel (M&IE)

“Per diem” refers to a daily allowance to cover expenses during business trips, used in lieu of tracking actual expenses. Employers can use this method for reimbursing employee meal and lodging expenses, but self-employed individuals are limited to using the per diem rate only for meal costs. The employee must file an expense report with details on the purpose, dates, and location of the trip within a reasonable period (the IRS safe harbor is 60 days); failure to meet these requirements results in the payment being taxable income. Per diem rates vary by location; larger cities have higher rates. Claiming the per diem is not mandatory for any business.

Example

Wilson is a sales representative of Lunar Solutions, Inc. When Wilson submits his monthly expense report, it only includes the total cost of his expenses with no other substantiation. If Lunar Solutions reimburses Wilson, the payment will be taxable to him, because he has not properly substantiated the amount, time, date, place, and business purpose of the expenses.

Deductible Transportation Expenses

Expenses related to the use of a vehicle for business can be deducted as transportation expenses if incurred for: traveling from one work location to another within the tax home area; visiting customers; attending a business meeting away from the regular workplace; or traveling from home to a temporary workplace. Traveling from home to the first business stop and from the last business stop to home is generally a non-deductible commuting expense (unless there is a tax-deductible home office in the residence). Self-employed individuals may use the standard mileage rate or actual car expenses; corporations generally cannot use the standard mileage rate, but businesses may reimburse an employee under an accountable plan using the standard mileage

rate. “Actual expenses” include depreciation, lease payments, registration fees, garage rent, repairs and maintenance, gas, oil, tires, car insurance, parking fees, and tolls.

Example

For his landscaping business, Darius uses a delivery van for both work and personal use. He chooses to deduct actual costs. His total vehicle expenses are \$6,252 (diesel fuel, oil changes, tires, repairs). Since 75% of his van use is for business, Darius can claim a \$4,689 auto expense deduction on Schedule C ($\$6,252 \times 75\%$).

A business that elects to use the standard mileage rate cannot deduct actual operating expenses, but parking fees and tolls may be deducted in addition. The standard mileage rate in 2025 for business use is 70 cents per mile. A business is prohibited from using the standard mileage rate if it: operates five or more cars at the same time (a “fleet”); claimed depreciation using any method other than straight-line; claimed a section 179 deduction or bonus depreciation on the vehicle; or claimed actual car expenses for a leased car.

Example

Dr. Maya Clark is a self-employed pediatrician and motivational speaker who uses a dedicated utility van (a qualified nonpersonal-use vehicle modified to hold her audiovisual equipment). She incurs 6,000 business miles for speaking engagements. At 70¢ per mile, her mileage deduction on Schedule C is \$4,200. She also incurred \$200 in bridge tolls and \$54 in parking fees, deductible in addition to her mileage.

Example

Spotless Shuttle, LLC is an airport shuttle service that employs 10 drivers and operates a fleet of 15 large shuttles and limousines. The business cannot use the standard mileage rate because it operates more than five vehicles at the same time. It can deduct the actual costs of maintaining and operating the vehicles, and can potentially take section 179 or bonus depreciation on new shuttles because they are qualified nonpersonal-use vehicles.

Business Gifts

A business can claim a tax deduction for gifts given to clients and customers in the course of business, limited to \$25 per person per year. Married couples who both give gifts are considered one taxpayer. Giving a gift to a spouse of a business customer is usually an indirect gift to the customer. Incidental expenses such as packaging, engraving, insurance, and mailing are not included in the \$25 limit and can be deducted separately (only if they do not significantly increase the value of the gift).

Example

Fresh Harvest Produce, Inc. gives a large fruit basket to its best customer. The basket costs \$57, and shipping cost \$17. Fresh Harvest can deduct \$25 for the basket and \$17 for shipping, for a total deduction of \$42.

Example

Deborah creates and sells custom greeting cards in a local boutique. She gives three gourmet candy boxes to each of the store's owners, paying \$45 for each (\$135 total). She can deduct a maximum of \$75 (\$25 gift limit × 3 gifts) on her Schedule C.

Promotional items are not subject to the \$25 gift limit: an item with the business name clearly imprinted on it that costs \$4 or less (pens, desk sets, plastic bags); and signs, display racks, or other promotional materials used on the recipient's premises. A business may also deduct gifts to employees – noncash gifts of nominal value may be excluded from taxable compensation, but gifts of greater value and cash or cash-equivalent items such as gift cards are compensation and must be included in wages.

Example

Superior Poultry, Inc. gives each of its 75 employees a \$25 holiday turkey during Thanksgiving. The company can deduct the cost of the turkeys (\$1,875 = \$25 × 75). This noncash gift is not taxable to the employees.

Recordkeeping Requirements for Business Expenses

Expense	Amount	Date	Destination / Description	Business Purpose
Travel	Record of each expense for travel, lodging, and meals.	Dates for each trip and days spent on business.	Destination (name of city, town, etc.).	The business purpose for the expense.
Meals	Cost of each separate expense.	Date of the meal.	Name of the restaurant and location of the meal.	The expense's purpose or expected business benefit.
Gifts	Cost of the gift.	Date of the gift.	Description of the gift.	Business relationship.
Transportation	Cost of each separate expense.	Date of the expense.	The business destination.	The business purpose for the expense.

Charitable Contributions as Business Expenses

Among business entities, only C corporations are permitted to deduct charitable contributions on their own income tax returns. In 2025, the deduction for corporate charitable gifts is generally limited to 10% of taxable income. Self-employed taxpayers cannot deduct charitable contributions

as business expenses but can claim deductions on Schedule A if they itemize. Contributions made by partnerships and S corporations are reported as separately stated items and may be deductible by their partners and shareholders. An exception exists for expenses that bear a “direct relationship” to the taxpayer’s trade or business, in which a reasonable expectation of financial return may constitute an allowable business expense, rather than a charitable contribution.

Example

Friedrich is a sole proprietor who manufactures and sells handmade flutes. He makes an \$800 payment to his local church (a qualified charity) for a half-page advertisement in the church’s Spring Concert program, which includes the URL for his business website. Friedrich reasonably expects the advertisement to attract new customers. He may deduct the \$800 payment as a normal advertising expense (Treas. Reg. §1.162-15).

Note

Looking Ahead to 2026: Beginning in 2026, C corporations may deduct charitable contributions only to the extent the total contributions exceed 1% of taxable income. The existing 10%-of-taxable-income limitation continues to apply.

Miscellaneous and Nondeductible Expenses

Many other business expenses may be deductible, including: advertising and marketing costs; office supplies; professional services (fees paid to accountants, lawyers, consultants — including tax preparation fees and legal fees directly related to defending or operating a business); and insurance premiums (liability, property, workers’ compensation). The following expenses are not allowed as business deductions:

- Political contributions, including indirect contributions such as advertising in a convention program of a political party.
- Lobbying expenses for federal, state, or local legislation.
- Dues for country clubs, golf clubs, athletic clubs, hotel and airline clubs, even if the club is used for business activity.
- Penalties and fines paid to any governmental agency for breaking the law, such as parking tickets or fines for violating local zoning codes.
- Legal and professional fees for work of a personal nature.

Research and Experimental Expenses

Historically, a business could deduct its research and experimental expenses in the tax year they were paid or incurred. For tax years beginning after December 31, 2021, the TCJA required specified research or experimental expenditures to be capitalized and amortized over 5 years (15

years for foreign research). However, beginning in 2025, the One Big Beautiful Bill Act changed the treatment of domestic research and experimental expenditures. For amounts paid or incurred in tax years beginning after December 31, 2024, domestic research or experimental expenditures are generally deductible as current business expenses. Foreign research or experimental expenditures must still be capitalized and amortized over 15 years. Research and experimental expenses generally include all costs incident to the development or improvement of a product, including software development costs.

Example

Spritzer Cola, Inc. is a calendar-year C corporation using the cash method. During its 2025 tax year, it spent \$30,000 improving the patented formulation of its signature drink, with research conducted in the United States. Because the research expenditures are domestic and were paid or incurred in 2025, Spritzer Cola may deduct the full \$30,000 in 2025 — not required to be capitalized or amortized. If the same research had been conducted outside the United States, the \$30,000 would be required to be capitalized and amortized over 15 years, beginning with the midpoint of the tax year.

STUDY UNIT 4

Study Questions

Test yourself, then check the answer key that follows.

1. Gilbert owns Jackpot Pawn Shop. He makes a business loan to a jewelry supplier for \$5,400. Gilbert also loans his sister, Chrystal, \$1,000 in cash so she can buy a used car. Chrystal used to work sporadically at the shop as an employee. The jewelry supplier later files for bankruptcy, and Chrystal does too, so both loans become uncollectible in 2025. How much can Gilbert deduct as a business bad debt expense?

- a) \$0
- b) \$1,000
- c) \$5,400
- d) \$6,400

2. Discount Dollar, Inc. is a discount retail chain in Washington. The business pays a combined 8.25% sales tax to local and state taxing authorities when a customer purchases its merchandise. Washington imposes sales tax on the buyer of the goods. How should Discount Dollar treat the sales tax it collects from its customers?

- a) Include the amount in its gross receipts and its deductible expenses.
- b) Add the amount to the depreciable basis of the items sold.

- c) Capitalize the cost as a component of inventory of the items sold.
- d) Exclude from its gross receipts and deductible expenses the sales taxes it collects and remits them to local and state taxing authorities.

3. Meiying operates a shoe store as a sole proprietorship in a small building she owns. In 2025, she had the following income and expenses. What is the tax treatment of these expenditures?

Repair cracks in the shop's floor **\$1,200**

Property tax on her business assets **\$2,000**

County assessment for upgrading sidewalks **\$7,800**

Utility expenses for her shop **\$1,800**

- a) Meiying may deduct the repairs, property tax, and utilities on Schedule C. The assessment must be added to the basis of the property and depreciated.
- b) All of the expenses are deductible on Schedule C.
- c) The property tax must be deducted on Schedule A, and the rest of the expenses may be deducted on Schedule C.
- d) Only the utilities and repairs may be deducted on Schedule C.

4. Which of the following expenses is generally 50% deductible for a business in 2025?

- a) Tickets to a concert for clients
- b) Snacks provided to employees in the breakroom
- c) Cost of renting equipment for a business
- d) Tickets to a business conference to promote a business's products

5. Super-Sweets Inc. is a confectionary company that makes chocolates. The company gives the following business gifts to its best vendor. How much can Super-Sweets Inc. deduct on its business tax return?

Rotating glass display for Super-Sweets products **\$500**

Coffee and tea gift basket **\$50**

Twenty pens imprinted with the Super-Sweets name and logo **\$35**

Postage for the gift basket **\$20**

- a) \$25
- b) \$525

c) \$580

d) \$605

6. Hayami owns a costume shop. Several years ago, Hayami properly deducted a \$10,000 business bad debt after a textile supplier defaulted on a loan. In 2025, the textile supplier wishes to do business with Hayami again and repays \$9,000 of the loan. How must Hayami report this repayment?

a) She must amend her prior-year tax return to correct the previously reported bad debt.

b) She must reflect this recovery of \$9,000 as income on her current-year return.

c) She can deduct a loss of \$1,000 on her current-year tax return.

d) She is not required to report the \$9,000 loan repayment if she is on the cash basis.

7. Goshen Clothiers, LLC made a business loan to Dunlap's Warehouse, one of its wholesalers, for \$10,000. After paying \$2,000, Dunlap's Warehouse defaults on the loan. Goshen Clothiers makes a good faith attempt to collect, but Dunlap's Warehouse files for bankruptcy a few months later. How much of this bad debt may Goshen Clothiers deduct as a business expense?

a) \$0

b) \$2,000

c) \$8,000

d) \$10,000

8. Drexel operates a computer service repair business. He has four employees who also service customers' computers in the field. Drexel drives a sedan when he visits clients, and each of his four technicians drives their own assigned van to make repair visits. Which of the following methods can Drexel use to claim deductions for the cost of these vehicles?

a) He can use standard mileage for his own sedan but must use actual costs for the vans.

b) He must use actual expenses for all of the vehicles.

c) He must use standard mileage for the vans and the sedan.

d) He can choose to use either method.

9. In 2025, Etsuko, a self-employed realtor, traveled to a business convention by ferry and incurred the following expenses. How much is deductible as a current business expense on her Schedule C?

Convention entrance fee **\$200**

Ferry ticket **\$100**

Meals at a restaurant **\$80**

Hotel room **\$90**

Computer game purchased during the convention **\$50**

- a) \$200
- b) \$390
- c) \$430
- d) \$480

10. Which of the following costs qualify as business start-up costs?

- a) State and local taxes.
- b) Research and experimental costs.
- c) A survey of potential markets.
- d) Inventory purchases.

11. On February 1, 2025, Landon rented a storage unit for his landscaping business. Landon is offered a discount if he pays 36 months of the lease upfront, which is \$2,520 for a three-year lease. What is the allowable deduction for leasing the storage unit on his Schedule C in 2025?

- a) \$495
- b) \$770
- c) \$840
- d) \$2,520

12. Davina is a sole proprietor who owns a public relations business. She has a nine-year-old son she claims as a dependent. In 2025, she paid \$7,400 for health insurance premiums for herself and her son. She reported a net profit of \$43,000 on her Schedule C. Which of the following statements is correct?

- a) She can deduct 100% of the health insurance premiums on Schedule C.
- b) She can deduct 50% of the health insurance premiums on Schedule C.
- c) She can deduct 50% of the health insurance premiums on Schedule A.
- d) She can deduct 100% of the health insurance premiums as an adjustment to income.

13. Darnell is a self-employed realtor who reports his income and loss on Schedule C. He pays his own health insurance premiums. Which of the following would limit the deduction for health insurance premiums?

- a)** His deduction cannot exceed \$3,000 of premiums paid.
- b)** His deduction cannot exceed 7.5% of his adjusted gross income (AGI).
- c)** His deduction is limited to the net profit from his business.
- d)** There is no limitation; he can deduct the full premium amount regardless of the scenario.

14. A company organizes a business trip for its employees. Which of the following expenses is fully deductible as a business expense?

- a)** Meals during the trip
- b)** Hotel accommodation for the employees
- c)** Tickets to a local amusement park during the trip
- d)** Tips paid on a meal

15. Darren is a self-employed plumber who files a Schedule C. In 2025, he pays the following fines and penalties. Which of these are deductible as a business expense?

- a)** Penalties paid for breaking a maintenance contract after one of his clients took him to court.
- b)** Speeding ticket incurred while going to a client that had an emergency plumbing issue.
- c)** Penalties for paying his state income taxes late.
- d)** Parking ticket received while double parking because he was unloading plumbing materials.

16. Gabriella has a home office she uses exclusively for her transcriptionist business. The office measures 30 × 15, or 450 square feet. She wants to use the simplified home office method. She does not own her home; she rents from a landlord. What is the maximum she can deduct on her Schedule C if she uses the simplified method?

- a)** \$0
- b)** \$300
- c)** \$1,500
- d)** \$2,250

17. Quentin requested a \$100,000 business loan to purchase a machine for his business. The machine cost \$90,000. The rest of the money went into Quentin's bank account, and he purchased a jet ski with the money later in the year. However, the entire loan was secured by his business assets. Which of the following statements is correct?

- a)** Quentin's business loan cannot cover personal expenses, so none of the interest is deductible.
- b)** All of the interest is deductible, because it is secured by his business assets.
- c)** Only the amount of interest allocable to the purchase of the business machine is deductible.
- d)** All of the interest is deductible, because it is a bona fide business loan.

18. Garrett operates his printing business out of a rented business office. He does not have a home office. He uses his own truck to deliver completed print jobs to his customers. Which of the following statements is correct?

- a)** Garrett can deduct the cost of round-trip transportation between customers and his shop.
- b)** Garrett can deduct all his commuting costs from home to his office space.
- c)** Garrett cannot deduct costs related to the use of a personal truck.
- d)** Garrett can only deduct the costs to travel to his customers who are disabled and cannot come to his shop.

19. Savannah is a self-employed tax preparer who reports income and loss on Schedule C. She goes to a continuing education seminar out-of-state and incurs the following expenses. What is her deductible expense for this event?

Tax seminar **\$400**

Train ticket **\$35**

Restaurant meal expense **\$20**

Taxi fare to the restaurant **\$13**

Movie ticket after the webinar **\$9**

- a)** \$400
- b)** \$435
- c)** \$458
- d)** \$467

STUDY UNIT 4

Answer Key & Explanations

1. The answer is C.

Only the loan to the supplier (\$5,400) is deductible as a business bad debt. Since Chrystal is a related person, not a regular employee, and the loan was for personal reasons, Gilbert cannot deduct the loss on the loan to his sister as a business bad debt.

2. The answer is D.

As a retailer, Discount Dollar acts as a collection agent for the state (Washington taxes the buyer). The sales tax it collects and remits should be excluded from its taxable gross income and deductible expenses — it is neither income nor an expense.

3. The answer is A.

Meiying may deduct the repairs, property tax (on business property, deducted on Schedule C), and utilities as business expenses. The sidewalk assessment adds value to the property and must be added to the basis of the building and depreciated, not deducted currently.

4. The answer is B.

Snacks provided to employees in the breakroom are 50% deductible (business meals, including fringe-benefit meals). Concert tickets are nondeductible entertainment; equipment rental and business-conference tickets are generally 100% deductible.

5. The answer is C.

The \$25 gift limit applies per person per year. Packaging/mailing costs and promotional items (the display rack, and imprinted pens costing \$4 or less) are not subject to the \$25 limit. Super-Sweets can deduct \$500 (glass display) + \$25 (basket) + \$35 (imprinted pens) + \$20 (postage) = \$580.

6. The answer is B.

Hayami is not required to amend her prior-year return. Since she recovered a bad debt properly deducted in a prior year, she includes the recovered \$9,000 as income on her current-year return.

7. The answer is C.

A loan to a wholesaler for a business reason can be deducted as a business bad debt once worthless. The deductible amount is the loan minus what was repaid: $\$10,000 - \$2,000 = \$8,000$.

8. The answer is B.

Drexel must use actual costs for all the vehicles. A business is prohibited from using the standard mileage rate if it operates five or more vehicles at the same time. With four technicians plus himself (five vehicles), he has reached the fleet threshold requiring the actual cost method.

9. The answer is C.

Etsuko can deduct 100% of the entrance fee (\$200), ferry ticket (\$100), and hotel (\$90), plus 50% of the meal (\$40), for \$430. The computer game is a personal expense and not deductible.

10. The answer is C.

A survey of potential markets is a deductible start-up cost. Start-up costs are costs incurred in creating an active trade or business or investigating the creation or acquisition of one; they do not include taxes, research and experimental costs, or inventory purchases.

11. The answer is B.

Because Landon paid the rent three years in advance, the balance must be deducted over the period to which it applies (capitalize and amortize). Calculation: $\$2,520 \div 36 \text{ months} = \$70/\text{month} \times 11 \text{ months (February–December)} = \770 .

12. The answer is D.

Davina can deduct 100% of the health insurance premiums as an adjustment to income (she has business profits for the year). The amounts cannot be deducted on Schedule C as a business expense.

13. The answer is C.

Darnell's deduction for health insurance premiums cannot exceed the net profit of his business. If his business generates a loss, the deduction is not allowed.

14. The answer is B.

Business-related travel expenses such as hotel accommodations are fully deductible. Meals and tips on a meal are only 50% deductible; amusement park tickets are generally nondeductible entertainment.

15. The answer is **A**.

Darren can only deduct the penalties for the late performance or non-performance of a business contract. Penalties or fines paid to a government entity for violating laws (speeding tickets, parking tickets) and penalties for paying taxes late are not deductible.

16. The answer is **C**.

Under the simplified method, Gabriella multiplies the allowable square footage by \$5. The maximum allowable space is 300 square feet, so her deduction is limited to \$1,500 ($\5×300), even though her office measures 450 square feet. The simplified method is available whether she owns or rents her home.

17. The answer is **C**.

Only the interest attributable to the portion of loan proceeds used to purchase the business machine is deductible. Debt incurred for personal reasons (the jet ski) is not deductible as a business expense, even if the loan is secured by business assets.

18. The answer is **A**.

Garrett can deduct the cost of round-trip transportation between customers and his shop. Driving between home and his main workplace is personal commuting and not deductible. Costs of driving to meet clients or do business errands are deductible, whether he uses his own truck or not.

19. The answer is **C**.

The answer is \$458 (\$400 seminar + \$35 train ticket + \$13 taxi fare + \$10 [$\$20 \text{ meal} \times 50\%$]). The seminar, train ticket, and taxi are 100% deductible; the meal is 50% deductible; the movie ticket is a nondeductible personal expense.

STUDY UNIT 5

Employee Compensation and Fringe Benefits

Further reading: IRS Publications 15-A, 15-B, 5137, and 5200

Employee Compensation in General

Employers can provide various forms of compensation to their employees, such as wages, fringe benefits, stock options, and other company perks. In order for an employer to deduct these compensation expenses, they must pass certain tests: the payments must be necessary and directly related to business operations, the amounts must be reasonable according to industry standards, and there must be proof that services were actually performed (unless it falls under supplemental wages like maternity leave or sick pay). Additionally, these expenses must have been incurred during the tax year in question. If the IRS determines that the amount of compensation is excessive, they may disallow the deduction of any excess amount.

Example

Flimflam, Inc. is a privately held C corporation that pays its company president, Arthur Jones, an annual salary of \$950,000. During an IRS audit, it is discovered that President Jones only works an average of 5 hours per week for the company, and no other employees are compensated as highly. The IRS may question the justification for such relatively high compensation for an individual who works so few hours.

Supplemental wages are additional forms of compensation given to employees on top of their regular salary or wages. This can include holiday bonuses, commissions, overtime pay, and taxable awards. Other examples include payments for accumulated sick leave, back pay, retroactive pay increases, severance pay, and nondeductible moving expenses. These types of wages are subject to income tax withholding and payroll taxes, and employers can deduct supplemental wages as a wage expense.

Example

Elvin is a full-time salesman for Dent Appliances, Inc. In 2025, Elvin earns wages of \$50,000, commissions of \$32,000, overtime of \$5,000, and an end-of-year bonus of \$1,000. All the amounts are deductible by his employer as wages. Dent Appliances reports the overtime as standard wages on Form W-2; however, Elvin may be eligible to claim a deduction for the qualified overtime on his individual return. Elvin also receives \$268 in mileage reimbursements under an accountable plan for using his own car; those reimbursements are not taxable to Elvin and are fully deductible by his employer.

Property as Compensation

When an employer gives property (rather than cash) to their employee, it is normally considered an alternative form of taxable compensation. Payment in forms other than cash is calculated using

the fair market value at the time of payment. The business will recognize a gain or loss on the transfer equal to the difference between the fair market value and its basis in the property.

Example

Varna Manufacturing, Inc. is having serious cash flow difficulties. The company offers one of its employees, Oscar, a used motorcycle in lieu of his weekly salary. The amount that must be recognized by the employee is the FMV of the motorcycle on the date of transfer. The company must treat the transfer as a sale.

Note

If an employee's wages are paid in property rather than money, the employer (not the employee) is the party responsible for ensuring that the correct amount of the payroll tax required to be withheld is available for payment in money (Rev. Rul. 2004-37).

Example

Firestorm Delivery, Inc. rewards its best employee, Hiranya, with a company-owned compact car. The car has an FMV of \$11,500 at the time of transfer; the company's basis is \$10,000. The company must recognize a gain on transfer of \$1,500 (\$11,500 – \$10,000). Hiranya's wages include the \$11,500 FMV of the car, and Firestorm Delivery must ensure payroll taxes on the \$11,500 are properly withheld.

Independent Contractor Payments

Aside from deducting payments to employees, a company can also deduct amounts paid to self-employed individuals for services. Typically, employers are not required to withhold or pay taxes on payments made to independent contractors — these workers pay their own federal income taxes and self-employment taxes. If a business pays an independent contractor over \$600 during the year (via direct deposit, check, or cash), a Form 1099-NEC must be filed.

Employment Taxes

A business's deduction for compensation paid to employees is not reduced by the Social Security, Medicare, and income taxes it is required to withhold from them. Further, a business can deduct the amounts paid as the employer's share of Social Security and Medicare taxes, as well as state and federal unemployment and disability fund taxes.

Example

Shogun Medical Partnership pays its part-time secretary \$18,000 a year and pays an additional \$1,320 of state-related employment taxes on the secretary's wages. The full \$18,000 in wages can be deducted on the partnership's tax return, and the Shogun Partnership can also deduct the \$1,320 in additional employment taxes.

A self-employed individual can deduct one-half of his self-employment tax in figuring adjusted gross income. This deduction only affects income tax; it does not affect net earnings from self-employment or self-employment tax.

Fringe Benefits for Employees

Note

For Part 1 of the EA exam, you must understand fringe benefits from the employee's perspective. For Part 2, you must know how these benefits are treated from the employer's perspective.

A fringe benefit is any cash, property, or service that an employee receives in addition to regular taxable wages. There are many types of fringe benefits that employers are allowed to offer their employees on a tax-free basis. Examples include medical and dental insurance, use of a company car for business-related errands, subsidized meals, and employee discounts. Some fringe benefits may be partially taxable. Examples of taxable fringe benefits include:

- Off-site athletic facilities and health club memberships.
- Concert and athletic event tickets.
- Intangible property such as vacations, stocks, or securities.
- The value of employer-provided life insurance over \$50,000.
- Any cash benefits in the form of a credit card or gift card (a narrow exception applies for occasional meal money or transportation fare to allow an employee to work beyond normal business hours).
- Transportation benefits that exceed a specified nontaxable limit.
- Employer-provided vehicles, if they are used for personal purposes or commuting.

Generally, nontaxable fringe benefits are not subject to income tax withholding, Social Security and Medicare taxes, or unemployment (FUTA) tax. However, there are exceptions. For example, an S corporation shareholder with company ownership of more than 2% is not considered an “employee” for purposes of excluding certain fringe benefits, such as accident and health insurance benefits. Health and accident insurance premiums paid on behalf of a greater-than-2% shareholder of an S corporation are deductible by the S corporation as wages and subject to income tax withholding. The premiums must be included in the shareholder-employee's salary and reported on the individual's Form W-2, but these additional wages are not subject to Social Security, Medicare, or FUTA taxes. The S corporation is allowed a tax deduction for the wages paid, and the shareholder is allowed a deduction on their personal tax return for the health insurance premiums included in their wages. Health insurance paid on behalf of non-shareholder employees is merely deducted as a business expense.

Example

Sound Pulse Electronics, Inc. is an S corporation owned by two siblings, Reuben and Zelda, plus fifteen non-owner employees. Reuben is a 50% owner-shareholder who also works full-time as a sales manager. The cost of Reuben's health insurance is reported as wages on his Form W-2 and subject to income tax, then deductible by Sound Pulse Electronics as wage expense. Liza is a full-time secretary with no ownership; her health insurance premiums are simply treated as a business expense and do not need to be included in her wages.

C corporations have distinct tax treatment. One significant benefit is the availability of nontaxable fringe benefits for shareholders and employees, including the ability for the corporation to deduct the full cost of providing health insurance to employees regardless of ownership status. Shareholder-employees of a C corporation are eligible for tax-free fringe benefits such as health and accident insurance premiums, regardless of ownership percentage.

Example

Jordy owns and runs Moonbeam Developers, Inc. (a C corporation). At 42, Jordy has a chronic health condition requiring expensive coverage: health insurance \$32,000/year, long-term care insurance \$10,000/year, and disability insurance \$5,000/year. Because Moonbeam Developers is a C corporation, the entire \$47,000 can be deducted as a business expense on Form 1120 without being added to Jordy's wages on his Form W-2.

Cafeteria Plans (Section 125 Plans)

A cafeteria plan is a written benefit package that allows employees to choose between receiving one taxable benefit, such as cash, and one qualified (nontaxable) benefit. A cafeteria plan is the only way an employer can offer employees a choice between taxable and nontaxable benefits without the choice causing all the benefits to become taxable. Plans that only provide a selection of taxable benefits do not qualify as cafeteria plans. Employees may choose to contribute a portion of their salary on a pre-tax basis to cover qualified benefits. These may include accident and health insurance (dental and vision, excluding long-term care), adoption assistance, group-term life insurance, health savings accounts (HSAs), and Flexible Spending Arrangements (FSAs), including Dependent Care FSAs and Health Care FSAs.

Example

Clover Accounting, Inc. offers a cafeteria plan to its 95 employees, including options such as health insurance, dental insurance, and 401(k) retirement savings. Lyra, a full-time auditor, declines the health coverage (she is covered through her husband's employer) but enrolls in the Dependent Care FSA and life insurance coverage. Because her FSA contributions are pre-tax, they substantially reduce Lyra's income taxes as well as her Social Security and Medicare taxes.

Nondiscrimination Rules for Cafeteria Plans

The IRS requires employers to make sure their cafeteria plans do not favor highly compensated employees over the rest of the company's employees. If a cafeteria plan favors "highly compensated employees" (HCEs) or "key employees" as to eligibility, contributions, or benefits, the

employer must include in the affected employees' taxable income the value of taxable benefits they could have selected. Nondiscrimination testing ensures all employees benefit from company retirement plans and cafeteria plans, not just highly-paid executives.

Note

A major disadvantage of a cafeteria plan is that these plans are costly and time-consuming to administer; large employers must pay for annual nondiscrimination testing. For smaller employers, a “simple cafeteria plan” is available, which enables employers with 100 or fewer employees to bypass annual nondiscrimination testing.

Key employees are defined as officers or owners of a business who at any time during the year before the testing date met one of these tests:

- **5% owner test:** Business owners holding more than 5% of the stock of the corporation (or more than 5% of the capital or profits interest in a non-corporate business), regardless of compensation; or
- **Over 1% owner test:** An individual owning more than 1% of the business and earning over \$150,000 of compensation for the year (not adjusted for inflation); or
- **Officer test:** Company officers with compensation over \$230,000 for 2025.

For the more-than-5% and more-than-1% ownership tests, family attribution rules apply — one must include stock owned by their spouse, children, grandchildren, and parents. A “non-key” employee is one who does not meet any of the three criteria.

Example

NovaTech, Inc. is a C corporation with hundreds of employees. Clifford, a former board member, owns 6% of the company stock and earns \$85,000 part-time — he meets the 5% owner test (key employee). Annie is a full-time accounting supervisor and 2% owner earning \$159,000 — a key employee under the over-1% owner test. Joaquin is a software engineer earning \$180,000 with no ownership; normally he would not be a key employee, but because he is married to Annie, he is treated as a key employee under the family attribution rules.

Highly compensated employees (HCEs) and key employees have similar-sounding names, but the rules differ slightly. HCEs can be determined by ownership OR compensation tests. A highly compensated employee is defined as an individual who is a more-than-5% shareholder or owner of the company, or (regardless of ownership) an employee who earned more than \$155,000 in pay for the preceding year (2024). An employee is also an HCE if they were employed during the plan's determination year and owned more than 5% of the company at any point during that year or the 12-month lookback year. Family attribution rules also apply to HCE status. HCEs hired mid-year do not receive HCE status until the start of the following year. It is possible for an employee to be both an HCE and a key employee in the same plan year.

Example

Irving is a 25% shareholder and Vice-President of Chula Vista Tools, Inc. (an S corporation) with 155 full-time employees and a cafeteria plan. Irving earns \$235,000 and is classified as both an HCE

and a key employee. His teenage daughter, Emily, works as a summer intern earning only \$9,500 with no ownership, but she is also classified as an HCE and key employee by default because her father is an owner and officer.

Example

Harvey and Jenni are married and each own 50% of WireDash Systems, Inc. (an S corporation, 70 employees, cafeteria plan). Harvey earns \$186,000; Jenni works sporadically and earns \$48,000. Both are automatically HCEs and key employees regardless of compensation because they own more than 5% of the stock. Jenni's uncle, Morton, works full-time as a supervisor earning \$62,900 but is not an HCE or key employee — his salary is under the threshold, he is not an owner, and uncles are not close enough family members under the attribution rules.

Note

There is no compensation threshold to be an HCE or key employee under the 5% ownership test. Someone who owns more than 5% of the business is automatically classified as an HCE or key employee, even if that person draws no salary or only a nominal salary. All other employees are “non-key” employees.

Example

Adelard and Margot are first cousins and equal (50/50) shareholders of Aquitaine Vineyards, Inc. (a C corporation) with 75 other unrelated employees. Adelard is president, works full-time, and earns \$280,000 — an HCE and key employee. Margot works only a few hours a week and earns \$32,000, but she is also an HCE and key employee by default because she owns more than 5% of the stock. Aquitaine Vineyards cannot set up a benefit plan that discriminates in favor of Margot or Adelard.

With small businesses, key employees and HCEs often overlap. But with large corporations, the two are not necessarily the same. For example, a corporate officer with no stock ownership who earned less than \$230,000 but more than \$155,000 for 2024 would be an HCE but not a key employee.

Example

Cecil is a company officer of Pop-Fizz Beverages, Inc. (a large C corporation), but not a shareholder. His salary in 2024 was \$161,000 and remains the same in 2025. Because of his high salary, Cecil is a highly compensated employee, even without ownership. He is not a key employee, because he has no ownership stake and does not meet the \$230,000 officer-test threshold.

A plan is considered to have improperly “favored” HCEs and key employees if more than 25% of all the benefits are given to those highly-paid individuals. If a cafeteria plan fails discrimination testing, the HCEs and key employees lose the favorable tax treatment for all their benefits; non-key employees are not affected.

Example

McCarthy Construction, Inc. is a C corporation sponsoring a cafeteria plan with 200 employees, including 20 executives who are HCEs. During the year, the president changes the plan to offer

the health care FSA only to the executives, excluding lower-paid workers. A health care FSA cannot discriminate in favor of HCEs as to eligibility, so the plan fails discrimination testing. Unless corrections are made, all the health benefits offered to the executives become taxable to them as wages.

Types of Allowable Fringe Benefits

Accident and Health Benefits

Nontaxable accident or health benefits may include health and accident insurance benefits, including vision and dental care. Additionally, the employer may offer flexible spending accounts (FSAs) or health savings accounts (HSAs).

Adoption Assistance Programs

An adoption assistance program provides payments or reimbursements for qualifying expenses related to adopting a child, with up to \$17,280 excludable from taxable wages in 2025.

Example

Stamina Horizons Inc. (a C corporation) offers an adoption assistance program providing up to \$17,280 in reimbursements for adoption costs like legal fees and court expenses. Lainey, a full-time employee, adopts a child in 2025 and incurs \$15,200 in adoption expenses. After submitting receipts, she receives a full reimbursement. The reimbursement is tax-free to Lainey and deductible by the business.

Group Term Life Insurance

Group-term life insurance is a nontaxable fringe benefit, but only up to a certain amount. The cost of the first \$50,000 of group-term life insurance coverage a company pays on behalf of an employee is excludable from the employee's taxable income. If the company pays for more than \$50,000 of coverage, the excess benefit must be included in the employee's taxable income. If the employee pays for additional coverage above \$50,000, the amounts the employee pays are not counted as taxable income. Group-term life insurance on an employee's dependents can be offered as a de minimis fringe benefit if the coverage is \$2,000 or less and paid by the employer; if the dependent or spousal life insurance benefit is greater than \$2,000, then the FMV of the entire benefit must be included in the employee's income.

Example

Walsh Timber is a corporation with 45 employees offering group-term life insurance: \$175,000 of personal coverage plus \$2,000 of spousal coverage, premiums fully paid. Pierre is 45, not a key employee, and accepts the maximum coverage plus spousal coverage. Since the first \$50,000 on the employee is excluded, only the premiums for the \$125,000 of excess coverage are taxable; the \$2,000 of spousal coverage is excludable. The cost of Pierre's additional \$125,000 of coverage is \$225, taxable to Pierre on his Form W-2 (also entered in box 12 with code C). The taxable value is determined using the IRS Uniform Premium Table (Table I).

Health Savings Accounts (HSAs)

An HSA is a tax-favored savings account used to pay qualified medical expenses. The account is owned by the individual, not the employer. Any contributions made by the employer become the employee's property. HSA funds are generally used to pay the qualified medical expenses of the account holder, spouse, and dependents.

Note

An FSA and an HSA are not the same thing! Both are fringe benefits that can reduce an employee's income tax liability. However, an HSA is always paired with a high-deductible health plan, and the funds are immediately vested (they belong to the employee). An HSA is also “portable” — it moves with the employee if they change employers or leave the workforce.

Although an employee may withdraw from their HSA at any time and for any reason, if the amounts withdrawn are not used for qualifying medical expenses, they will be subject to income tax and a 20% penalty. This penalty applies if the taxpayer uses HSA funds for non-medical expenses before age 65. Once the taxpayer turns 65, HSA withdrawals may be used for non-medical expenses without the 20% penalty, but income taxes still apply.

Example

Bertram is 40 and single with an HSA through his employer. In 2025, he contributes \$2,000 and withdraws the entire amount on December 31, 2025. He had incurred \$1,200 in qualifying medical expenses (a dental procedure). Because only \$1,200 was used for qualified medical expenses, the remaining \$800 is taxable and subject to the 20% additional tax.

To be eligible to contribute to an HSA, an individual must be covered by a high-deductible health plan (HDHP), have no other disqualifying health coverage, not be enrolled in Medicare, and not be claimable as a dependent on another taxpayer's return. A self-employed individual may also qualify. Contributions may be made by the individual, the employer, or another person, but must be made in cash.

Example

Bernice is single with no dependents and has always participated in an HSA offered by her employer. She turns 65 on January 10, 2025, and enrolls in Medicare, ceasing to be an eligible individual for HSA purposes. Unaware of this rule, she accidentally contributes \$3,000 to her HSA in 2025. Bernice must withdraw the excess contribution before the due date of her tax return, or she will be subject to a 6% excise tax.

For 2025, the annual HSA contribution limit is \$4,300 for self-only HDHP coverage and \$8,550 for family HDHP coverage. An additional \$1,000 catch-up contribution is allowed for an eligible individual age 55 or older by year-end. If both spouses are age 55 or older, each spouse must make their own catch-up contribution to their own HSA. An employer's HSA contributions must be comparable for all employees with comparable coverage during the same period, or a 35% excise tax is imposed on the employer (the plan cannot discriminate in favor of HCEs). However, an employer may make larger HSA contributions for a non-highly-compensated employee than for

an HCE. For plan years beginning after 2024, telehealth and other remote care coverage does not prevent HSA eligibility.

Flexible Spending Arrangements (FSA)

FSAs allow for reimbursement of expenses related to certain qualified benefits using pre-tax dollars. It is an optional arrangement where employees agree to have a portion of their salary reduced in exchange for a fringe benefit. To receive reimbursements, employees must provide proof of their expenses; reimbursements for qualified expenses are generally tax-free. The most common types are dependent care FSAs (DCFSA) and health care FSAs (HCFSA).

Dependent Care FSA: In 2025, a dependent care FSA is limited to \$5,000 per calendar year, per family (\$2,500 if MFS). The DCFSA must be used for qualifying care to allow the employee to work. The exclusion cannot exceed the smaller of the earned income of the employee or, if married, the employee's spouse. A qualifying person is generally a child under age 13, or a spouse or dependent of any age who is physically or mentally incapable of self-care and lives with the taxpayer for more than half the year. DCFSA amounts are reported in box 10 of the employee's Form W-2.

Example

Olga is widowed and works as a secretary for BoJack Tires, Inc. She has a DCFSA to pay for her 8-year-old son's daycare so she can work. Olga directs her employer to withhold the maximum \$5,000 in her DCFSA, deducted from each paycheck. The amounts are reimbursed tax-free if used for qualifying daycare expenses.

Health Care FSA: Health Care FSAs are commonly funded by employees through voluntary salary reduction contributions, and employers may also contribute. Contributions are not included in wages, and reimbursements used to pay qualified medical expenses are not taxed. For 2025, the contribution limit is \$3,300. A health care FSA is generally subject to a “use-it-or-lose-it” rule, unless the employer allows a limited carryover (up to \$660 for 2025, i.e., $\$3,300 \times 20\%$) or a grace period (up to two-and-a-half months). A plan may offer either the carryover or the grace period, but not both; if neither is available, unused amounts are forfeited. The carryover option is available only for a health care FSA, not a dependent care FSA.

Example

Yetta has a health care FSA. On December 31, 2025, she still has \$350 in her HCFSA. Her company does not allow a carryover but permits a two-and-a-half-month grace period. Yetta buys new eyeglasses for \$350 on January 15, 2026, submits the receipt on January 31, and gets a full reimbursement from her remaining FSA balance. The reimbursement is tax-free.

Qualified Small Employer Health Reimbursement Arrangements (QSEHRA)

Under the 21st Century Cures Act, small employers may reimburse individual health coverage premiums up to a certain dollar limit through a QSEHRA. Unlike a group health plan, a QSEHRA is not an employer-sponsored insurance program. It is available for employers with fewer than 50 full-time employees who do not currently offer a group health plan. A QSEHRA can only

be funded by the employer (no employee contributions), and it reimburses medical expenses incurred by the employee or family members regardless of where coverage is obtained. In 2025, the maximum reimbursement cannot exceed \$6,350 for self-only coverage or \$12,800 for family coverage. Employers may set a lower limit, as long as it is consistent for all eligible employees.

Example

Successful Sports, LLC is a retail sports memorabilia shop with 11 full-time employees (not subject to ACA requirements). Rather than offering a group health plan, the owners set up a QSEHRA and reimburse employees' out-of-pocket health insurance premiums, selecting a flat \$425 monthly reimbursement for all employees, limited to health insurance premiums. The reimbursements are deductible by Successful Sports and not taxable to the employees.

Working Condition Fringe Benefits

A “working condition fringe” benefit is an additional benefit given by employers to help employees carry out their job duties — a physical item like equipment or tools, or a service the person could normally claim as a business expense if they purchased it themselves. Examples include membership fees for professional organizations, continuing education courses, and protective gear such as safety goggles, hard hats, and work gloves.

Example

Heaton is a full-time forensic accountant with Carville Public Accountants. His firm provides all its accountants a yearly subscription to the Journal of Forensic Accountancy at \$245 per year. The amounts are not included in Heaton's income and are fully deductible by his employer.

Example

Phillip is a professional welder. His employer, Berlin Welding Services, Inc., provides personal protective equipment for all employees — a welding helmet, face shield, fire-resistant coveralls, and safety goggles. The purchases are fully deductible by the employer and nontaxable to the employees, because they are required for the employees to do their jobs.

Another common working condition benefit is an employee's use of a company car for business purposes. A company car may be partially taxable if the employee uses it for commuting or other personal use. However, there is an exception for “qualified nonpersonal-use” vehicles — vehicles an employee is unlikely to use more than minimally for personal purposes because of their design (fire trucks, police cars, hearses, school buses, cement mixers, and tractors).

Example

Officer Samuel Jones is a police officer in a small town, required to take his clearly marked police car home in case of emergency. His limited personal use of the vehicle is not a taxable benefit.

Note

Any vehicle designed to carry cargo of over 14,000 pounds is automatically a “nonpersonal-use” vehicle. Pickup trucks and vans of 14,000 pounds or less are also qualified nonpersonal vehicles if specially modified for business purposes (e.g., permanent decals or advertising logos and business-

specific equipment) and likely to be used only minimally for personal purposes. A modified utility van used by an electrician is an example.

An employer-provided cell phone is another common working condition benefit. There must be a substantial business reason to provide the phone; it cannot simply be used to boost morale, attract a worker, or provide additional compensation.

Example

Octavia is an executive for TrenchCoat Media, Inc., an advertising firm in New York. She travels all over the city and visits clients, using her employer-paid cell phone to keep in touch with clients and her employer. Her company-provided cell phone is a nontaxable fringe benefit.

Accountable Plans

A business can reimburse employees for business-related expenses on a tax-free basis. The requirements of an accountable plan are applied on an employee-by-employee basis. There are two types of reimbursement plans:

- **Accountable Plans:** Amounts paid under an accountable plan are deductible by the employer, but they are not taxable wages and are not subject to income tax withholding or payment of Social Security, Medicare, and FUTA taxes.
- **Nonaccountable Plans:** Amounts paid under a nonaccountable plan are taxable to employees as wages and subject to all employment taxes and withholding. Generally, there are no substantiation requirements for a nonaccountable plan.

For expenses to be eligible for reimbursement under an accountable plan, employees must incur the expenses while performing their duties, provide timely and detailed records, and submit documentary evidence for travel, mileage, and other business-related costs. Any excess reimbursement or advance payments must be returned within a reasonable timeframe. If the policy does not meet all these criteria, the reimbursements become taxable to the employee as wages.

Example

Victoria, a professor of medieval history at Sandpoint University, was invited to speak at a conference in another state. She submits all her receipts, and the university reimburses her for mileage at the IRS standard rate, plus lodging and other necessary travel expenses. The university did not reimburse personal amenities (movies, in-room bar, spa manicure), which were personal and not related to the conference.

Example

Brigitte is a notary and loan signing agent for Ventura Home Loans, Inc. Her employer provides a \$1,000 advance for a business trip to Alaska. She spends \$940 on travel expenses and repays the \$60 excess when she returns. The advanced funds do not count as taxable income, and her employer can fully deduct the travel costs because Brigitte adhered to the accountable plan rules.

Example

Electra is a sales representative for Simulant Pharmaceuticals, Inc. She uses her own vehicle for sales calls, and the company gives her a \$500 auto allowance per month (\$6,000 total) with no proof of expenses required. Electra is being reimbursed under a nonaccountable plan. Her employer must include the \$6,000 on Electra's Form W-2; the full amount is deductible as wages but subject to payroll taxes and withholding.

Other Types of Employee Fringe Benefits

Achievement Awards (IRC §74(c))

Special rules allow employers to grant “employee achievement awards” that are excludable from wages if the awards are tangible personal property (not cash, gift cards, or cash equivalents), subject to certain deduction limits. Employers may generally exclude the value of awards given for length of service or safety achievement. “Qualified plan awards” are employee achievement awards under a written plan that does not discriminate in favor of HCEs. An employer's deduction and the tax-free amount for each employee are limited each year to: \$400 for awards that are not “qualified plan” awards; and \$1,600 for all awards, if an employee receives both qualified and non-qualified awards during the year.

Example

In recognition of Royce's length of service, White Lumber, Inc. presents him with a set of golf clubs (FMV \$750). Royce is a highly-paid executive, and only the company's top executives can receive these awards, so the award is a “nonqualified plan” award. The amount included in Royce's taxable wages is \$350 (\$750 – \$400). The company can deduct \$400, but the remaining \$350 is subject to all payroll taxes. If the award had been available to all employees, the entire award would have been deductible and Royce would report no taxable income.

Example

Lasalle Motors, Inc. offers each employee a silver watch upon reaching 10 years of service; all employees are eligible, even the lowest-paid. Each watch is worth \$650, and the same watch is given to all 10-year employees. Osmund receives a watch after 10 years — it is not taxable to Osmund and is deductible as a business expense to Lasalle Motors.

For this rule, “tangible personal property” does not include cash, cash equivalents, gift cards, gift coupons, certain gift certificates, tickets to theater or sporting events, vacations, meals, lodging, stocks, bonds, securities, and similar items.

Example

Odyssey Construction, Inc. (a C corporation with 45 employees) typically gives each employee a Christmas candy assortment. Some employees request gift certificates instead due to dietary restrictions, and Odyssey provides a \$20 holiday gift certificate redeemable at a local mall. Odyssey

cannot exclude the value of the gift certificate from wages because gift certificates are “cash equivalents” (based on IRS TAM-108577-04).

Athletic Facilities

The value of an employee's use of a health club or athletic facilities may be excluded from wages, but only if the facility is on premises that the employer owns or leases. If the employer pays for a gym membership or a fitness program at an off-site location, the value must be included in the employee's compensation.

Example

Soda Springs Children's Hospital has a small on-site gymnasium with treadmills and weights that employees may use on break or after their shift. The use of the on-site gym is not taxable to the employees, and the hospital can deduct the cost of the gym equipment.

De Minimis (Minimal) Benefits

An employer may exclude the value of a de minimis benefit from the employee's wages — something with so little value that accounting for it would be impractical, such as coffee or doughnuts in a break room, or occasional personal use of the company photocopier. Cash and “cash equivalent” items, such as gift cards and gift certificates, are not excludable as de minimis benefits, except for occasional meal money or transportation fare.

Meals and Lodging for Employees

Employees may receive tax-free meals and lodging from their employer, as long as the expenses are directly related to the business or have a legitimate purpose. These benefits can only be excluded if they are provided on the employer's premises and for the employer's convenience. A 50% meal limit applies to food or beverage expenses excludable from employee income as a de minimis fringe benefit (snacks and drinks in the break room, an on-site employee cafeteria). While these meals are not taxable to employees, the employer can only deduct 50% of the expenses.

Example

Summit Property Management, Inc. employs fifteen full-time employees and pays for tea, coffee, and granola bars for the break room. These are a de minimis benefit, not taxable to the employees. Summit Property Management can deduct 50% of the cost.

Example

Sacred Heart Hospital has a small cafeteria and provides all full-time workers one free meal during their shift. The meal benefit is not taxable to employees. The cost of running the cafeteria is deductible, but the meals are subject to a 50% limit, so the hospital can only deduct 50% of the cost of providing the meals.

Situations in which meals may be provided tax-free for the convenience of the employer on the employer's business premises include: safety workers (police, firefighters, emergency personnel) who need to be on call during the meal period; the nature of the business requires short meal periods; eating facilities are not available near the workplace; meals are furnished to all employees

on a regular basis (as long as furnished to more than half the employees for the employer's convenience); and meals furnished immediately after working hours because duties prevented obtaining a meal during working hours.

Employer-Provided Lodging: Employer-provided lodging is generally 100% deductible by the employer and not taxable to the employee (and may be provided tax-free to the employee's spouse and dependents). However, lodging must be required as a condition of employment. The exclusion does not apply if the employee can choose to receive additional pay or a cash allowance instead of free lodging.

Example

Alaskan Oil Drilling, Inc. employs workers at a remote drilling site in Alaska. Due to inaccessibility and harsh weather, the company furnishes lodging to all employees at the site; the housing is mandatory, and all employees must live on-site for safety reasons. The company may exclude the value of the lodging from wages, and the costs of maintaining the lodging facilities are fully deductible.

Example

Snowcap Ski Resort, Inc. offers free employee housing to all full-time seasonal and year-round employees (and their spouses and dependents). The on-site housing is mandatory because it allows employees to be on-call 24/7 for emergencies such as an avalanche. Because the housing is for the employer's convenience and the safety of patrons, it is nontaxable to the employees and fully deductible by the employer.

Employer-Provided Educational Assistance

An educational assistance program is a separate written plan that allows an employer to provide educational assistance for the cost of tuition, fees, books, supplies, and equipment. There are two types of tax-free educational assistance: job-related education (under IRC section 132) and non-job-related education (under IRC section 127).

1) Job-related education can be a “working condition benefit” if the education maintains or improves job-related skills needed in the employee's present job. The amounts are non-taxable to the employee and fully deductible by the employer if the education maintains or improves skills required by the current employment, or meets the express requirements of the employer or applicable law imposed as a condition of retaining salary, status, or employment. Examples include continuing education for an enrolled agent or CPA to maintain their license.

Example

Judith is a full-time employee of Chessmore Advisory, Inc., an investment advisory firm. With her employer's permission, Judith enrolls in an online program to earn a certificate in Financial Services Management, directly related to her job. She submits receipts for tuition and required textbooks totaling \$6,200, and Chessmore reimburses the full amount. The amounts are not taxable to Judith and not subject to any limits; Chessmore may deduct the costs as a regular business expense.

2) Non-job-related education is also called an “educational assistance plan” or “employer educational program” (EAP). The education does not need to be job-related to be deductible, but this type of assistance requires a written plan, must meet non-discrimination requirements, and is limited to \$5,250 per year (in 2025). If an employer pays more than \$5,250, the excess is taxed as wages. The plan can cover tuition, fees, and the cost of books, supplies, and textbooks, but not tools or supplies (other than textbooks) that the employee keeps after the course. Meals, lodging, and transportation are not qualifying expenses.

Note

The CARES Act allowed payments toward an employee's student loan as an eligible educational assistance plan expense. Under OBBBA, this provision has been made permanent. Both federal and private student loans are eligible. The \$5,250 annual cap applies to both student loan repayments and other educational assistance (including tuition reimbursements).

Tuition Reduction Benefits

An educational organization (such as a college) can exclude the value of a qualified undergraduate tuition reduction it provides to an employee, the employee's spouse, or a dependent child. A tuition reduction benefit reduces an employee's tuition bill; it does not create a refundable benefit. Graduate education only qualifies if it is for a graduate student who performs teaching or research activities for the organization.

Example

Ruthie is a graduate teaching assistant at the University of Alaska, working part-time helping professors grade papers and teach undergraduate courses. She receives a 70% reduction on her tuition and fees. The tuition reduction benefits are not taxable to Ruthie and are applied directly to her tuition bill.

Employee Discounts

Employee discounts on services are tax-free if they do not exceed 20% of the price charged to regular customers. Discounts on merchandise (products) are tax-free if they do not exceed the employer's gross profit percentage. To be an excluded benefit, the discount cannot favor highly compensated employees. Employee discounts do not apply to discounts on real property or investment property (such as company stock).

Example

Stylish Trends Clothing Store offers a 20% discount to all employees on their products, available to every employee regardless of position or compensation. Orion, a cashier, buys a jacket with a regular retail price of \$100; the discount is \$20 (20%), so he pays \$80. The value of the employee discount is excludable and not taxable to Orion.

Employee Stock Options

To reward employees or encourage them to stay, a corporation may award stock options, which allow employees to receive stock ownership at a discount. This taxable fringe benefit gives the employee the legal right to purchase a set number of company shares at a fixed price for a designated period. There are three kinds of stock options — incentive stock options, employee stock purchase plan (ESPP) options, and nonstatutory (non-qualified) stock options (NSOs). The nature, timing, and amount of the employee's taxable income and the employer's deduction depend on whether the options are statutory or nonstatutory.

Nonstatutory Stock Options (NSOs)

If an employer grants an employee a nonstatutory stock option, the amount of income to include and the time to include it depends on whether the fair market value of the option can be readily determined. If an option is actively traded on an established market, its FMV is easy to determine. Many NSOs do not have a clear FMV; in these cases, there is no taxable event when the option is granted. However, once the option is exercised, the employee must include the FMV of the stock received, less the amount paid, in gross income. Any subsequent gain or loss from selling the stock is then taxable income or a deductible loss, typically treated as a capital gain or loss. If an employee has income from exercising NSOs, the employer reports the amount in Form W-2, box 12, with code V.

Example

On January 1, 2025, Gallatin Corp. grants its employee, Meyer, NSOs to buy 1,000 shares at \$10 per share. The options are not tradable, so their FMV cannot be readily determined, and the grant results in no taxable income. On June 1, 2025, when the stock has increased to \$15 per share, Meyer exercises all his options at \$10 per share. The \$5 per-share spread means Meyer includes \$5,000 ($\$5 \times 1,000$) in gross income, reported on his Form W-2 box 12, code V. On January 5, 2026, Meyer sells all 1,000 shares at \$20 per share; his gain is \$5,000 [$(\$20 - \$15 \text{ basis}) \times 1,000$], treated as a short-term capital gain (his holding period started the day after exercise).

Statutory Stock Options

There are two types of statutory stock options:

- 1) **Incentive stock options (ISOs):** ISOs give employees the opportunity to buy company stock at a predetermined “strike price” that may be lower than current market value. Once exercised, the employee receives Form 3921 from their employer. When an ISO is exercised, the difference between the FMV and the strike price is excluded from taxable income but is included in calculating alternative minimum taxable income. The later sale is all long-term capital gain if the stock is sold at least two years from the grant date and at least one year from the exercise date. If these periods are not met, the difference between FMV and strike price at exercise is ordinary income, and the remainder is short-term or long-term capital gain based on the holding period.
- 2) **ESPPs:** Employee stock purchase plans offer employees the opportunity to purchase the company's common stock at a reduced price. Once an employee exercises their option to transfer or sell acquired stock, they receive Form 3922 from their employer.

The tax advantage of a statutory stock option is that these options are usually not taxed when received or exercised; they generally do not become taxable until the employee later disposes of the stock, and gains on disposition are usually taxed as capital gains.

Example

On January 3, 2022, Lottie's employer, Naylor Corporation, Inc., granted her an ISO to purchase 100 shares at \$9 per share (the FMV at the time). On February 9, 2025, Lottie exercises the option when the stock was selling for \$14 per share; her rights became transferable on February 27, 2025, when the stock was \$16. Lottie should receive Form 3921 by January 31, 2026. Assuming all ISO requirements are met, Lottie has taxable income (or a deductible loss) only when she eventually sells the stock — the difference between the option price and the amount she receives — generally treated as capital gain or loss on Schedule D.

Moving Expense Reimbursements

Under current law, employment-related moving expenses of employees are no longer deductible for most taxpayers. Employers who reimburse employees for moving expenses must now include the reimbursements in employees' wages, subject to income and employment taxes. The employer can deduct any moving expense reimbursements as wages. This is true even if the expenses are substantiated and reimbursed under an accountable plan. (Members of the U.S. Armed Forces can still exclude qualified moving expense reimbursements.)

Example

Bright Electronics, Inc. wants to hire Dustin to lead its new marketing department. Dustin agrees only if the company pays his moving expenses. Dustin incurs \$7,000 in moving expenses (\$6,000 for household goods, \$800 for airfare, \$200 in meals in transit), all reimbursed. Bright Electronics must include the entire \$7,000 reimbursement as wages on Dustin's Form W-2. The amounts are deductible to Bright Electronics, but the entire amount is subject to payroll tax and income tax withholding, like any other wage expense.

No-Additional-Cost Services

In some cases, an employer may exclude from an employee's taxable income the value of a service provided, as long as it does not significantly increase costs for the business. This usually applies to excess-capacity services like airline or train tickets, hotel rooms, and phone services given to employees working in those industries. The exclusion applies whether the service is free or reduced-price, and also extends to immediate family members of employees.

Example

Pablo works full-time as a personal trainer for Gorilla Gym, which offers Pablo a free gym membership and a 20% employee discount at the apparel store inside the gym. The free membership

is tax-free (a no-additional-cost service), and the apparel discount is tax-free under the qualified employee discount rules.

Example

Gretchen is a flight attendant for Northbound Airlines, which offers a standby travel program to all employees and their spouses to fly free on any scheduled flight with empty seats. When Gretchen and her husband take advantage of two empty seats on a flight to Cancun, the value of the tickets may be excluded from Gretchen's wages.

Services that are not eligible for treatment as no-additional-cost services are non-excess-capacity services, such as a stock brokerage firm facilitating employees' stock purchases, but these may be eligible for a qualified employee discount of up to 20% of the value of the service provided.

Employee Transportation Benefits

The Tax Cuts and Jobs Act eliminated the business deduction for employee transportation benefits. However, employees can still receive tax-free transportation and parking benefits from their employer. In 2025, employees may exclude up to \$325 per month for combined commuter highway vehicle transportation and transit passes, plus an additional \$325 per month for parking benefits. Employees can receive both transit passes and parking benefits in the same month.

Example

Paramount Brokers is a brokerage firm in Los Angeles. As a condition of employment, all employees are offered Metro bus and rail transit passes valued at \$300 per month. The transit passes are not taxable to the employee. However, Paramount Brokers cannot deduct the cost of the transit passes as a business expense.

Qualified transportation benefits include transit passes, qualified parking, and rides in a commuter highway vehicle between home and workplace. Bicycle commuting reimbursements are not qualified transportation benefits — the TCJA eliminated the exclusion for employer-provided bicycle commuting benefits, so any bicycle commuting reimbursement in 2025 is taxable and treated as wages. OBBBA made this elimination permanent for tax years beginning after December 31, 2025.

Use of Employer-Provided Vehicles

An employee's use of a company-owned vehicle for business purposes (if properly documented) is not taxable income to the employee. However, driving a company vehicle for personal use is a taxable noncash fringe benefit. There is an exception when the employer is ensuring the employee's safety, or when the employee is required to use a company vehicle for commuting because they work in a public safety profession (police officers, firefighters, paramedics). In such cases, personal use is not taxable, but the vehicle must be clearly marked and used primarily for public safety duties.

Example

Connolly is a bus driver for Smallville Elementary School, required to use the school bus during work hours (including lunch) because he sometimes must pick up and drop off sick students. Connolly takes the bus to a sandwich shop during his scheduled lunch because he is required not to leave the bus. His minimal personal use of the vehicle is not a taxable benefit.

Example

Brentwood Electronics, Inc. has a pickup truck that employees use while on call. The truck is not a public safety vehicle. Carlton, a supervisor, is allowed to drive it home because he is on-call on weekends. The vehicle is not a qualified nonpersonal-use vehicle, so the commuting is a non-cash taxable fringe benefit, and a small amount of additional wages is added to Carlton's Form W-2 for his personal use.

Affordable Care Act for Employers (ACA)

The Affordable Care Act mandates that certain employers provide health insurance for full-time workers. All employers that are ALEs (applicable large employers) are subject to the employer-shared responsibility provisions, including for-profit entities, most nonprofit organizations, and government entities. Common acronyms: ACA (Affordable Care Act); ALE (an employer with 50 full-time employees, or the hourly equivalent combining full-time and part-time employees); FTE (full-time employee); and MEC (Minimum Essential Coverage).

Note

The ACA employer provisions remain in full effect for 2025. The federal individual shared responsibility payment was reduced to zero, but the employer shared responsibility provisions were not changed. The law technically does not require large employers to offer health insurance but imposes severe penalties on those who do not. An ALE also faces additional penalties if one or more full-time employees obtain a subsidy through the Marketplace. Unlike the individual shared responsibility payment, the employer penalty is subject to IRS lien and levy enforcement.

For ACA purposes, a “full-time employee” is an individual employed on average at least 30 hours per week, or at least 130 hours in a calendar month. An employer meeting the 50 full-time employee threshold is an ALE; employers with fewer than 50 full-time employees are not subject to the employer-shared responsibility provision. The general rule is that if an employer offers group health coverage to any full-time employees, it must offer coverage to all full-time employees. It is not mandatory to provide coverage to part-time employees, but if an employer does, it must be offered to all part-time employees equally. Penalties for not offering required coverage are officially called “Employer Shared Responsibility Payments.”

Note

The ACA “employer mandate” requires all businesses with 50 or more full-time equivalent employees (FTE) to offer and/or provide health insurance to “substantially all” (at least 95%) of

their full-time employees and dependents up to age 26. The definition of dependents includes the employee's children up to age 26, but not stepchildren or foster children.

There are two types of ACA penalties for large employers: the Section 4980H(a) Penalty (failure to offer minimum essential coverage) and the Section 4980H(b) Penalty (failure to offer coverage that is affordable and provides minimum value).

Section 4980H(a) Penalty – Failure to Offer Minimum Essential Coverage

This is the penalty for NOT OFFERING health insurance. An employer may be liable if it is an ALE, does not offer minimum essential coverage to at least 95% of its full-time employees (and dependents), and at least one employee receives the Premium Tax Credit. For 2025, the penalty is \$241.67 per month (\$2,900 annualized) per employee, for each month a full-time employee is not provided minimum essential coverage — after excluding the first 30 full-time employees from the calculation (and without regard to whether each employee received a Premium Tax Credit).

Example

Anchorage Engineering, Inc. employs 150 full-time employees throughout 2025 and, misunderstanding the ACA mandate, did not offer health insurance to anyone. One employee obtains Marketplace coverage with the Advance Premium Tax Credit. Anchorage Engineering is audited and assessed a \$348,000 penalty ($\$2,900 \times [150 - \text{the first 30 full-time employees}]$).

Section 4980H(b) Penalty – Failure to Offer Affordable, Minimum-Value Coverage

An ALE may be liable if it DOES offer health insurance, but at least one full-time employee receives the Premium Tax Credit. ALEs must offer coverage that provides minimum value and is affordable to all full-time employees each month. Unlike the 4980H(a), the IRS issues 4980H(b) penalties on a per-violation basis, based solely on the number of full-time employees who receive the Premium Tax Credit. The penalty in 2025 is \$362.50 per month for each month a full-time employee received the Premium Tax Credit and was not provided qualifying coverage. Only full-time employees (not full-time equivalents) are counted for this penalty.

Example

Ashland Software, Inc. employs 52 full-time and 10 part-time employees. It offers health insurance to all full-time employees but not to part-time employees. Sally moved from part-time to full-time at the start of the year, but HR mistakenly did not offer her enrollment in the group plan. Sally obtained Marketplace coverage with a subsidy. As an ALE, Ashland Software becomes liable for a penalty, but only for the one employee (Sally) who received a subsidy — a maximum of \$4,350 in 2025.

Minimum Essential Coverage

A company's health insurance plan must meet the minimum value standard by providing coverage for at least 60% of overall medical costs and including significant coverage for physician and inpatient hospital services. Employers are not required to offer dental or vision coverage, although they can voluntarily do so. Employers may not impose enrollment waiting periods that exceed 90 days. If the employer offers health coverage and the employee declines it, the employer is not

subject to an ACA penalty — the ACA does not penalize an employer for employees who decline an offer of coverage, as long as coverage is actually offered.

Example

Pearland Mortgage Company has 650 full-time employees (an ALE) and offers minimum-value health coverage to all full-time employees, spouses, and dependents. Although coverage is offered to all employees, only 540 choose to enroll; the rest opt out and formally decline in writing. Pearland Mortgage is fully compliant with the ACA.

The ACA employer responsibility provisions only apply to employers with at least 50 full-time employees. Small employers with 49 or fewer employees are not subject to the ACA mandate. However, small employers (generally those with fewer than 50 full-time employees) may be eligible for credits such as the Small Business Health Care Tax Credit to help cover the cost of providing coverage.

Notes & References

1. Because of the Tax Cuts and Jobs Act, most entertainment expenses are no longer deductible, so entertainment provided to an employee is no longer a non-taxable fringe benefit. An exception exists for entertainment directly for the benefit of employees (e.g., occasional office parties or company picnics that include all staff).
2. A more-than-2% S corporation shareholder-employee may deduct health care premiums as an adjustment to income (AGI) if the S corporation established the coverage and the shareholder meets all other requirements for the self-employed medical insurance deduction.
3. A cafeteria plan (“section 125 plan”) allows participation by common-law employees. A sole proprietor (owner) cannot participate in their own Section 125 plan, though they may maintain one for their employees.
4. The third type of FSA is a Limited Purpose FSA, used only for out-of-pocket dental and vision expenses; it is the only type of FSA an employee can contribute to while also contributing to an HSA.
5. An employer may calculate an employee's personal use of a vehicle using the General Value Rule, Cents-Per-Mile Rule, Commuting Rule, or Lease Value Rule (see IRS Publication 15-B).
6. An employer may exclude employees covered by TRICARE or certain health programs for veterans from the ACA coverage-offer rule.

STUDY UNIT 5

Study Questions

Test yourself, then check the answer key that follows.

-
1. What must a business do if it pays a non-corporate independent contractor over \$600 during the year?

- a) Apply backup withholding to any payments exceeding \$600.
 - b) File a Form W-2 for the contractor.
 - c) File Form 1099-NEC to report payments to the contractor.
 - d) File Form 1099-MISC to report payments to the contractor.
2. Debbie works full-time as an ambulance technician and receives fringe benefits from her employer. The fringe benefit that must be included in her wages and reported on Form W-2 is:
- a) Employer-provided meals at the company's main office, provided during Debbie's shift.
 - b) Employer-provided parking near Debbie's employer, valued at \$300 per month.
 - c) Health insurance coverage provided by her employer.
 - d) Employer-paid premiums on group-term life insurance coverage in excess of \$50,000.
3. Which of the following benefits must be included in an employee's income?
- a) Childcare reimbursed under a qualified flexible spending plan.
 - b) Employee discounts on products.
 - c) A holiday gift of a \$25 gas card.
 - d) A holiday gift of a \$25 canned ham.
4. Kirby Equipment, Inc. is an engine repair company in Texas with 200 full-time employees and a cafeteria plan. John Kirby is a 100% shareholder and president earning \$290,000, automatically classified as both an HCE and a key employee. Which of John Kirby's following relatives would not be classified automatically as key employees?
- a) Juliette, who is John Kirby's wife. She earns \$23,000 working part-time for the company.
 - b) Leah, who is John Kirby's daughter. She earns \$65,000 working full-time for the company.
 - c) Darcy, who is John Kirby's father. He earns \$50,000 working full-time for the company.
 - d) Quincy, who is John Kirby's cousin. He earns \$40,000 working full-time for the company.
5. All of the following are excludable from an employee's wages and deductible by the employer except:
- a) A non-cash employee achievement award valued at \$300.
 - b) Occasional snacks provided by the employer in the employee break room.
 - c) Employer-provided vehicles that employees use for commuting purposes.

- d)** Meals furnished during work hours for the convenience of the employer.
- 6.** Renee is a full-time employee of Ingenious Engineering, Inc., which offers educational reimbursement through an education assistance program (EAP). In 2025, she takes four graduate courses with \$5,900 in tuition expenses and \$300 in required-book expenses. Ingenious Engineering reimburses Renee for all the expenses. How should this reimbursement be treated?
- a)** All of the amounts are excluded from Renee's income, and the amounts are deductible by Ingenious Engineering as a qualified fringe benefit.
 - b)** The first \$5,250 of the educational expenses is excluded from Renee's wages as a qualified fringe benefit, and the remaining amount is taxable as wage income to her.
 - c)** Only \$5,900 (the tuition costs) is excluded from Renee's wages as a qualified fringe benefit, and the remaining amount is taxable as wage income to her.
 - d)** All of the reimbursement is taxable as wages to Renee because graduate courses do not qualify for reimbursement under a fringe benefit plan.
- 7.** Zenith Advisors, LLC provides the following benefits to its employees. Which of these is fully taxable to the employee?
- a)** Qualified group term life insurance of \$50,000.
 - b)** Educational assistance program of \$5,250.
 - c)** Membership at a local fitness club with an annual value of \$595.
 - d)** Free transit passes costing \$300.
- 8.** Superior Foods, Inc. reimburses employees for their business-related expenses. Which of the following is taxable to the employee?
- a)** Travel reimbursements made under an accountable plan.
 - b)** Transit pass valued at \$265 per month.
 - c)** Travel reimbursements using the federal per diem rate.
 - d)** Qualified bicycle commuting reimbursement of \$20 per month.
- 9.** Heart Ambulance Services provides meals and lodging for ten paramedics at the workplace as a condition of employment because they are not allowed to leave the premises when on a shift. The employees eat and sleep on the premises for free. Which of the following statements is correct?
- a)** All the costs of meals and lodging can be excluded from the employees' wages and deductible as an expense by the employer.

- b)** The meals and lodging are not taxable to the employee. The employer can deduct 50% of the meal expense and 100% of the lodging.
 - c)** The meals and lodging are taxable to the employees and deductible by the employer. The employee may then deduct the costs as employee business expenses.
 - d)** The meals and lodging can be deducted by both the employees and the employer as business expenses.
- 10.** Encore Delivery Services is having cash-flow difficulties, so it transfers a pickup truck to Bonnie, an employee, in lieu of wages. The company owes Bonnie \$7,000 of wages at the time of the transfer. At the time of the transfer, the truck had a fair market value of \$7,000 and an adjusted basis to Encore Delivery of \$5,500. How should the company report this transaction?
- a)** Wage expense of \$7,000; loss of \$1,500
 - b)** Wage expense of \$5,500; no gain or loss.
 - c)** Wage expense of \$1,500; no gain or loss.
 - d)** Wage expense of \$7,000; gain of \$1,500.
- 11.** All of the following are fringe benefits that may be excluded from an employee's pay except:
- a)** Dependent care assistance.
 - b)** \$25 gift card for the holidays.
 - c)** Cafeteria plan.
 - d)** Adoption assistance benefits.
- 12.** If an employer offers moving expense reimbursements as an enticement for new employees, how should these reimbursements be treated for tax purposes?
- a)** Moving expense reimbursements are disallowed in all circumstances.
 - b)** Moving expense reimbursements are taxable to the employee as "other income" and nondeductible by the employer.
 - c)** Moving expense reimbursements are nontaxable to the employee and deductible by the employer.
 - d)** Moving expense reimbursements are taxable as wages to the employee, and deductible to the employer.
- 13.** An employer can generally deduct the cost of which of the following fringe benefits provided to an employee?

- a) Transit passes.
- b) Employer-provided parking benefits.
- c) Tickets to sporting events.
- d) Educational assistance.

14. The ACA “employer mandate” applies to businesses with _____ full-time equivalent employees.

- a) 25 or more.
- b) 30 or more.
- c) 50 or more.
- d) 100 or more.

15. Which of the following statements is correct about payments a business makes to independent contractors who are individuals?

- a) Businesses must withhold Social Security and Medicare taxes from payments made to independent contractors.
- b) Individual independent contractors are responsible for paying their own federal income taxes and self-employment taxes.
- c) Businesses must file a Form W-2 for payments made to independent contractors in excess of \$600 for the year.
- d) Payments to independent contractors are usually not deductible by a business.

STUDY UNIT 5

Answer Key & Explanations

1. The answer is C.

If a business pays a non-corporate independent contractor over \$600 during the year, it must file a Form 1099-NEC to report these payments.

2. The answer is D.

Employer-paid premiums on group-term life insurance coverage in excess of \$50,000 are a taxable benefit to Debbie and must be included on her Form W-2. Meals for the employer's convenience, qualified parking, and health insurance are excludable.

3. The answer is C.

A holiday gift of a \$25 gas card is taxable. Gifts of cash or cash equivalents such as gift cards must be included in income. Employee discounts, qualified flexible spending reimbursements, and de minimis holiday gifts (like a canned ham) may be excluded.

4. The answer is D.

Quincy, John Kirby's cousin, would not automatically be a key employee. Family attribution for key-employee status includes an owner's spouse, children, and direct lineal descendants (and parents) — a cousin is not included.

5. The answer is C.

An employer-provided vehicle used for commuting is generally a taxable benefit. (There are exceptions for emergency personnel required to use marked emergency vehicles.) Certain achievement awards are exempt up to the limits, and meals furnished for the employer's convenience or as de minimis snacks are excludable.

6. The answer is B.

Only the first \$5,250 is excluded from Renee's wages as a nontaxable fringe benefit; the remainder is taxable wages. If an employer pays more than \$5,250 for educational benefits during the year, the excess is taxed as wages (unless the education qualifies as job-related under IRC §132).

7. The answer is C.

Employer-paid memberships at off-site athletic facilities and country clubs are taxable. Qualified group-term life of \$50,000, an educational assistance program up to \$5,250, and transit passes are excludable from the employee's wages (though the transit passes are not deductible by the employer).

8. The answer is D.

A qualified bicycle commuting reimbursement of \$20 per month is a taxable benefit (the TCJA eliminated the exclusion). Accountable-plan travel reimbursements, per-diem travel reimbursements, and transit passes are nontaxable to the employee.

9. The answer is B.

Heart Ambulance Services may exclude the value of the meals and on-site lodging from the employees' wages because they are provided for the employer's convenience. The meals are 50% deductible by the employer, and the lodging is 100% deductible.

10. The answer is D.

When property is transferred in lieu of wages, the employer deducts its FMV at transfer and recognizes gain or loss (the transfer is treated as a sale). Encore Delivery deducts \$7,000 as wage expense and reports a \$1,500 gain (\$7,000 FMV – \$5,500 basis).

11. The answer is B.

The value of a \$25 gift card is always treated as cash and is taxable to the employee. Dependent care assistance, cafeteria plans, and adoption assistance benefits may be excluded.

12. The answer is D.

Moving expense reimbursements are taxable compensation to the employee and deductible to the employer as wages, subject to income and employment taxes (an exception applies to U.S. servicemembers).

13. The answer is D.

An employer can generally deduct amounts paid under a qualified educational assistance program (up to \$5,250 excludable from the employee's income). Transit passes and parking benefits are generally nondeductible to the employer (even if tax-free to the employee), and tickets to sporting events are nondeductible entertainment.

14. The answer is C.

The ACA "employer mandate" requires businesses with 50 or more full-time equivalent employees (FTE) to provide health insurance to at least 95% of their full-time employees and dependents up to age 26.

15. The answer is B.

Individual independent contractors are responsible for paying their own federal income and self-employment taxes; businesses generally do not withhold on their payments. A business paying a non-corporate contractor over \$600 must file Form 1099-NEC (not Form W-2).

STUDY UNIT 6

Other Business Deductions and Credits

Further reading: Instructions for Form 3800; IRS Publication 536

In addition to the deductions already covered, businesses can reduce their taxable income through various other deductions, and they may also generate various business credits. We start with the net operating loss, which can allow a business with losses for the year to recover past tax payments or reduce future tax payments.

Business Net Operating Losses (NOLs)

Most taxpayers do not have the option to carry back a net operating loss (NOL). NOLs arising in tax year 2025 and beyond may normally only be carried forward to future tax years. In addition, an NOL deduction cannot exceed more than 80% of taxable income. However, losses generated prior to 2018 are not subject to the 80% limitation.

Example

George Taylor, a self-employed graphic designer, reports his income and loss on Schedule C. Due to a decrease in client demand, George incurs a net operating loss of \$40,000 for tax year 2025. He has no other income to offset. Since the \$40,000 loss occurred in 2025, George can only carry the NOL forward. Additionally, the NOL deduction cannot exceed 80% of taxable income in any future year.

For most businesses, an NOL may be carried forward indefinitely until the loss is fully used up, or until the taxpayer dies (for individual taxpayers). For pass-through entities (partnerships and S corporations), losses pass through to the owner(s) to be potentially deducted at the owner level (subject to loss limitation rules).

- **Farmer exception:** Farming businesses have a 2-year carryback for NOLs. An election may be made to waive the carryback period and only carry losses forward; this election is irrevocable once made. If a taxpayer has both a farming loss and a non-farming loss, the losses must be treated separately, and only the farming loss portion of an NOL can be carried back 2 years.
- **Exception for insurance companies:** Property and casualty insurance companies are also allowed a 2-year carryback period for NOLs. An irrevocable election may be made to waive

the carryback period. These companies' NOL carryforward is limited to 20 years, and the 80% limitation does not apply.

Farming businesses and insurance companies that qualify for a 2-year carryback may carry back the NOL by filing an amended tax return, or by filing a special form. Individuals, estates, and trusts may apply for a refund by filing Form 1045, Application for Tentative Refund. A C corporation may apply for a quick refund by filing Form 1139, Corporation Application for Tentative Refund. To use Form 1139 and Form 1045, these forms must be filed no later than December 31 for the year after the year in which the NOL arose.

Note

If an individual carries back their NOL, they can use either Form 1045 or Form 1040-X. Form 1045 generally provides a faster refund but has a shorter filing window and can apply an NOL to all carryback years; with Form 1040-X the taxpayer must use a separate form for each carryback year. If the two-year carryback is used, the current-year NOL must first offset income of two years ago.

If the taxpayer is self-employed, a net operating loss does not change the amount of self-employment tax in any of the years it is carried to. Also, if the taxpayer owes interest and penalties in a prior year, the NOL carryback will not abate them.

Example

Frankie operates a goat farm, Ibex Goats, LLC (a sole proprietorship), and an unrelated used-motorcycle business. In 2025, the goat farm incurs a net operating loss of (\$35,000), and the motorcycle business has a loss of (\$15,000). In 2023, Ibex Goats had \$79,000 in profits. Frankie receives a refund from 2023 by filing Form 1045 (before December 31, 2026); the \$35,000 farming loss is carried back 2 years to 2023. The \$15,000 nonfarm loss is not eligible for carryback and must be carried forward. Frankie also owed self-employment taxes and an early IRA withdrawal penalty in the carryback year, but his farming NOL will not offset those — it only reduces his income tax liability.

Partnerships and S corporations generally do not have NOLs, but partners and shareholders may have an NOL due to business losses passing through. These losses can offset other income on individual tax returns, subject to limitations.

Example

Angora Farms, LLC breeds and sells Angora rabbits. Cyndi and Sarita operate it as a 50/50 partnership. Angora Farms incurs \$40,000 in ordinary business losses in 2025, allocated to the partners on Schedule K-1. Cyndi and Sarita each have \$20,000 in partnership losses they can potentially deduct. Since Angora Farms is a qualified farming business, they may choose to carry back their losses two years, or waive the carryback and carry losses forward.

Example

Maple Growers, Inc. is a farming corporation with an NOL of \$1,950 in 2025. As a farming business, it can carry back the NOL 2 years or waive the carryback. Rather than deal with paperwork for

such a small loss, the company waives the NOL carryback and carries its losses forward, attaching a statement to its timely-filed Form 1120 to make the election.

Most NOLs are incurred by losses in a trade or business, but NOLs can arise from other causes. For an individual, estate, or trust to have an NOL, the loss must be caused by: a trade or business that results in an overall loss; casualty or theft losses; losses from rental property; moving expenses (Armed Forces only); or farming losses. The following items are not allowed when figuring an NOL: capital losses in excess of capital gains; the exclusion of gain from the sale of qualified small business stock; a net operating loss from another year (a carryback or carryforward); and a self-employed taxpayer's contribution to their own retirement plan. Income from other sources may eliminate or reduce a net operating loss for the year.

Example

Ming runs a donut shop as a sole proprietor. In 2025, he had an (\$8,000) loss on his Schedule C. Ming files jointly with his wife, Aihua, who earns \$33,000 of wages. On their joint return, Ming's business loss is absorbed by Aihua's wages, making their joint AGI \$25,000 (\$33,000 – \$8,000). There would be no loss carryover for Ming.

Excess Business Loss Limitation

For tax year 2025, excess business losses of noncorporate taxpayers are subject to an annual limit of \$313,000 (\$626,000 for married taxpayers filing jointly). These amounts are indexed for inflation. A trade or business can include Schedule C and Schedule F activities and losses from pass-through entities. Form 461, Limitation on Business Losses, is used to figure the excess business loss. Any disallowed excess business loss is carried forward and treated as a net operating loss (NOL) in the following year. Wage income is not treated as business income for this limitation.

Note

Looking Ahead to 2026: OBBBA permanently extended the excess business loss limitation and changed the base statutory amounts used for inflation adjustments for tax years beginning after December 31, 2025. For 2025, the applicable threshold remains \$313,000 (\$626,000 for married filing jointly).

Example

Sable is unmarried. In 2025, she opened the Quiche Bistro, a restaurant she operates as a sole proprietorship, financed from her own savings. The restaurant had \$1 million of gross receipts but \$1,400,000 of deductible expenses, generating a (\$400,000) loss on her Schedule C. Sable also received \$500,000 of dividend income. Even though there was a \$400,000 loss, Sable could only deduct \$313,000 of it because of the excess business loss limitation. The disallowed \$87,000 is carried forward to the following year and treated as an NOL.

Section 199A Qualified Business Income Deduction

The Qualified Business Income deduction (QBI deduction or 199A deduction) allows a deduction for individuals, estates, and trusts of up to 20% of qualified business income, along with a special 20% deduction for qualified REIT dividends and qualified publicly traded partnership (PTP) income. The deduction is available regardless of whether an individual itemizes or takes the standard deduction.

Note

This deduction is taken “below the line” — it reduces taxable income, but not adjusted gross income. The section 199A deduction does not reduce self-employment taxes, excise taxes, or penalties. It applies only to QBI generated from sole proprietorships, partnerships, S corporations, estates, or trusts. Income earned by a C corporation is not eligible.

The QBI deduction only applies to income from a qualified trade or business conducted within the United States. For businesses with both U.S. and foreign operations, income must be allocated between foreign and domestic activity to calculate the potential QBI deduction.

Example

Sirloin Ranch, Inc. is a meat processor with slaughtering plants in the United States and two locations in Mexico. It has 35 shareholders and operates as an S corporation. Although this production activity qualifies for the QBI deduction and the entity is a qualifying pass-through, only the U.S.-based business activity qualifies. Sirloin Ranch must allocate its gross receipts and deductions between U.S. and Mexican production to calculate its QBI.

Example

Harold is a U.S. citizen who operates Cabo Sportfishing, a fishing tour company in Cabo San Lucas, Mexico, as a sole proprietorship. In 2025, Harold earns \$45,000 from the business. None of the income qualifies for the 199A deduction, because it is not a business activity in the United States.

Example

Nisha is a nonresident alien who files Form 1040-NR. She is a 5% limited partner in Blackhawk Energy, LP, a domestic oil and gas partnership headquartered in Texas with U.S.-only operations. The partnership is profitable in 2025, so Nisha would be eligible for the QBI deduction on her Form 1040-NR, because Blackhawk Energy is a U.S. business with U.S. activities.

To claim the QBI deduction, taxpayers use either Form 8995, Qualified Business Income Deduction Simplified Computation, or Form 8995-A, Qualified Business Income Deduction. For 2025, Form 8995 is generally used if taxable income before the QBI deduction is at or below \$197,300 (\$394,600 for married filing jointly); taxpayers above those amounts generally must use Form 8995-A. The total deduction cannot exceed 20% of taxable income reduced by net capital gain. The deduction has two components:

- **QBI Component:** 20% of qualifying business income from a domestic business operated as a sole proprietorship, partnership, S corporation, trust, or estate.
- **REIT/PTP Component:** 20% of the combined qualified REIT dividends and qualified PTP income.

Once the two components are added together, the Section 199A deduction is subject to an overall limit of 20% of taxable income, less net capital gain (which includes net long-term capital gains and qualified dividend income).

Note

Under OBBBA, the QBI deduction was made permanent, and the phase-in ranges were expanded for later years. However, those changes apply beginning in 2026, not 2025. For 2025, the regular Section 199A rules still apply.

Qualified Business Income

“Qualified Business Income” includes items of income, gain, deduction, and loss from a qualified trade or business that are effectively connected with the conduct of a trade or business in the United States and that are included in determining taxable income for the year. This can include rental activities that rise to the level of a trade or business. QBI does not include:

- Employee wages.
- Capital gains.
- Interest income not properly allocable to a trade or business.
- Certain dividends and payments in lieu of dividends.
- Hobby income.
- Non-taxable income, such as municipal bond interest.
- Rental income where the owner is not engaged in a bona fide real estate “trade or business.”
- Guaranteed payment from a partnership.
- Reasonable compensation (wages) paid to an S corporation shareholder.
- Payments received by a partner for services other than in a capacity as a partner.
- Any income earned by a C corporation.
- Any amount deducted under IRC section 224 for qualified tips.

Note

“Material participation” under section 469 is not required for the QBI deduction. Eligible taxpayers with income from a trade or business may be entitled to the QBI deduction regardless of their involvement in the trade or business.

The determination of QBI includes deductions attributable to the trade or business, including the deductible portion of the self-employment tax, the deduction for self-employed health insurance, and contributions to qualified retirement plans. A qualified business loss results in no QBI deduction for the taxable year; the QBI loss carries over to subsequent years and reduces the section 199A deduction for those future years.

Safe Harbor Rule for Rental Activities

The IRS provides a safe harbor under which a rental real estate activity will constitute a “trade or business” for the QBI deduction. For the rental activity to qualify, 250 or more hours of service must be provided per year to each rental real estate enterprise, in any three of the five consecutive taxable years. Taxpayers can treat each rental activity as a stand-alone enterprise or group together similar properties. The safe harbor applies if three tests are met: the taxpayer maintains separate books and records for each rental enterprise; at least 250 hours of rental services are performed per year by owners, employees, contractors, or agents; and the taxpayer maintains sufficient contemporaneous records (time reports, logs) of hours, descriptions, dates, and who performed the services. If the taxpayer uses the 250-hour safe harbor, a statement must be attached to the return.

Example

Ameer is a full-time college professor who also owns three rental properties rented to long-term tenants (reported on Schedule E). All the rentals are profitable, and he manages them himself, maintaining separate books and records and contemporaneous records for each. In total, he spends more than 250 hours per year on each property. He attaches a statement indicating he meets the safe harbor and is eligible for the QBI deduction on his rental income.

Note

This safe harbor does not apply to triple-net leases (NNN leases), where the tenant pays for property taxes, insurance, and maintenance. It also does not apply to rental activities in which the owner uses a portion of the property as their personal residence. The safe harbor is not required if the rental otherwise satisfies the §162 “active conduct of a trade or business” test.

199A Deduction Limitation Threshold

The 199A deduction is generally available in full to eligible taxpayers whose pre-QBI-deduction taxable income falls below certain amounts. The 2025 QBI threshold and phase-out range are: Married Filing Joint — \$394,600 to \$494,600; all other filing statuses — \$197,300 to \$247,300. When a taxpayer falls below the income thresholds, they are generally allowed to take the QBI deduction without regard to the SSTB or wage/property limitations discussed below.

Example

Ronnie is unmarried and operates the Metro Pawn Shop, LLC (a sole proprietorship) in Maine, with \$100,000 of QBI. His pre-QBI-deduction taxable income is \$130,000, including \$30,000 of CD interest income (not QBI). Since Ronnie's taxable income is below the threshold, his section 199A deduction is \$20,000 ($\$100,000 \text{ QBI} \times 20\%$).

For taxpayers with taxable income that exceeds the phase-in range, the deduction is subject to limitations based on: the SSTB limitation (based on the type of trade or business, applying to a Specified Service Trade or Business), and the wage and property limitation. For a non-SSTB business whose income exceeds the phase-in ranges, the 20% deduction against QBI is further potentially limited to the greater of 50% of allocable W-2 wages paid by the business, or 25% of W-2 wages plus 2.5% of the unadjusted basis immediately after acquisition (UBIA) of all qualified property. The REIT/PTP component is not subject to the W-2 wage and UBIA limitation.

Specified Service Trade or Business (SSTB) Limitation

The SSTB limitation applies only to certain types of businesses. In 2025, an SSTB is fully eligible for the Section 199A deduction if taxable income before the QBI deduction is at or below the applicable threshold. If taxable income is within the phase-in range, the deduction is reduced. Once taxable income exceeds the phase-in range, no Section 199A deduction is allowed for income from the SSTB. A “specified service trade or business” includes the performance of services in the following fields:

Specified Field	Includes	Does NOT Include
Health	Doctors, nurses, veterinarians, dentists, psychologists, and similar health care professionals.	Services not directly related to a medical field, such as health clubs, spas, or gyms; the sale of pharmaceuticals or medical devices.
Law	Attorneys, paralegals, mediators.	Services by printers, delivery services, document retrieval, process servers, or stenography services.
Accounting	CPAs, enrolled agents, financial auditors, tax preparers.	Payment processing and billing analysis.
Actuarial science	Actuarial services.	Analysts, economists, mathematicians, and statisticians not engaged in analyzing or assessing the financial costs of risk.
Performing arts	Actors, singers, ballet dancers, comedians, musicians, entertainers, directors, playwrights.	Broadcasters of the performing arts (e.g., a radio station), or maintenance of equipment or facilities used in the performing arts.
Consulting	Those who provide professional advice and counsel to help clients achieve goals and solve problems.	Training or educational courses or consulting services that are ancillary to the sale of goods.
Athletics	Professional athletes, coaches, and team managers.	Maintenance and operation of equipment or facilities for athletic events, or broadcasters of athletic events.
Financial services	Financial advisors, investment bankers, wealth planners, retirement advisors.	Taking deposits or loan origination (i.e., banking or lending services).
Brokerage services	Stockbrokers, securities dealers, day traders, commodities traders.	Services provided by real estate agents and brokers, or insurance agents.
Reputation or skill	Income for endorsing products/services, or licensing an individual's image, likeness, name, signature, voice, or trademark (mostly famous people, celebrities).	(Applies narrowly to endorsement/licensing income.)

Note

An SSTB specifically excludes architecture and engineering.

Example

Francesca is a self-employed attorney (an SSTB), unmarried with no dependents. In 2025, her QBI from her legal practice was \$170,000. Her pre-QBI-deduction taxable income from all sources is \$295,000. Since her taxable income is above the phase-in range for single filers and her business is an SSTB, she cannot take the QBI deduction on any of her business income.

Example

Alan is a surgeon and sole shareholder of Beverly Hills Plastic Surgery, Inc. (an S corporation). He is married and files jointly with Lana. Alan has \$365,000 of QBI from the S corporation. In 2025, their joint pre-QBI-deduction taxable income is \$382,000. Even though Alan's income is from a specified service business (health), they are below the joint threshold, so they are eligible for the QBI deduction.

Example

Adison is unmarried and operates a consulting business (an SSTB). In 2025, her taxable income before the QBI deduction is \$225,000. Because her taxable income falls within the phase-in range for single filers, her SSTB is not completely disallowed, but her Section 199A deduction is reduced, figured on Form 8995-A (including Schedule A).

Note

Generally, tips received in the course of an SSTB do not qualify for the qualified tips deduction under OBBBA. However, the IRS provides transitional relief for 2025: if tips are earned in an occupation that customarily and regularly received tips on or before December 31, 2024, the IRS will treat those tips as received in a trade or business that is not an SSTB, so they may qualify for the deduction if all other requirements are met.

Example

Julian is a self-employed financial planner (a financial-services SSTB). In 2025, a happy client gives Julian a \$2,000 cash tip on top of his normal fee. Because financial services is not an occupation that customarily received tips on or before December 31, 2024, Julian does not qualify for the IRS transition relief, and because the tip was received in the course of an SSTB, he cannot claim the qualified tips deduction for that amount.

Example

Luca and Cheri are married and do not live in a community property state. Luca earns \$399,000 in wages. Cheri is an enrolled agent with \$190,500 in net self-employment income. On a joint return, they would not be eligible for a QBI deduction because their total taxable income is over the joint phase-in range. However, if they file separately (MFS), Cheri's taxable income is under the \$197,300 MFS threshold for 2025, so she would be entitled to the QBI deduction on her separate return.

Wage and Property Limitation

If the taxpayer's income is above the phase-in range, and the business is not a specified service business, the QBI deduction is subject to the wage and property limitation. This limits the QBI deduction to 50% of qualified wages paid by the business, or (if greater) 25% of qualified wages plus 2.5% of the unadjusted tax basis of certain depreciable business property. "Qualifying wages" refers to taxable wages the business paid its employees, plus any amounts paid into a tax-deferred retirement plan. "Qualified property" includes the original unadjusted basis of depreciable tangible property that is held and available for use at the close of the taxable year and has a remaining depreciable period. This unadjusted basis is commonly called UBI (unadjusted basis immediately after acquisition), determined before any adjustments including depreciation. Land and intangible assets are not qualified property. The taxpayer does not have to calculate any wage/property limitation if taxable income is below the income thresholds, even for an SSTB.

Example

Nestor is unmarried and owns several multi-level parking garages that he leases for overflow parking. He pays no wages and manages the garages himself. The unadjusted basis of the garage structures (excluding land) is \$11 million. He reports \$2 million of QBI plus \$190,000 of CD interest, for pre-QBI taxable income of \$2,190,000. His business is not an SSTB, but his income is above the single-filer threshold, so the W-2/UBIA limitation applies: 50% of W-2 wages = \$0; 25% of W-2 wages + 2.5% of \$11 million UBI = \$275,000. His tentative deduction (20% of \$2 million = \$400,000) is limited to \$275,000. Compared with 20% of modified taxable income (\$438,000), \$275,000 is lower, so Nestor's final QBI deduction is \$275,000.

In simplified terms, taxpayers with QBI who have taxable income above the phaseout threshold must be owners of a business that either pays wages to employees or owns qualifying depreciable property; otherwise, the QBI deduction will not be permitted. Certain deductions can also reduce the amount of QBI used to figure the deduction — one example is the deduction for qualified tips under OBBBA.

Example

Marco is unmarried and operates a small catering business as a sole proprietorship. In 2025, he earns \$125,000 of net income, of which \$25,000 represents qualified tips. Under OBBBA, Marco may claim a deduction for the \$25,000 of qualified tips, but amounts deducted as qualified tips are excluded from QBI. As a result, only the remaining \$100,000 is treated as QBI when calculating his 20% QBI deduction. Marco cannot claim both the qualified tips deduction and the QBI deduction on the same tip income.

Example

Anton is unmarried and runs a vending machine business (a non-SSTB) with one full-time employee paid \$60,000. The business generates \$400,000 of QBI; Anton's modified taxable income is \$500,000 (including \$100,000 CD interest). The business has \$180,000 of qualified depreciable property. His tentative QBI deduction is \$80,000 (\$400,000 × 20%). Because his income exceeds the single-filer threshold, the wage/UBIA limitation applies: 50% of W-2 wages = \$30,000; 25%

of wages (\$15,000) + 2.5% × \$180,000 (\$4,500) = \$19,500. He gets the greater, \$30,000. Compared with 20% of modified taxable income (\$100,000), \$30,000 is lower, so Anton's final QBI deduction is \$30,000.

Example

Sarah is a sole proprietor who owns Festival-Time Land, leasing large tracts for seasonal events. She always works in the attractions but has no employees of her own (she sometimes uses a staffing agency). In 2025, a Hollywood studio leases her land to film a movie, and her business earns \$900,000 in net self-employment income — well over the income threshold. Her business is not an SSTB, she pays no wages, and she has no qualified property (land is not depreciable, so no UBI). Sarah is ineligible for the QBI deduction because her income is above the threshold and she has neither qualified wages nor qualifying depreciable property.

De Minimis Exceptions for SSTB Activities

There are instances where a business may have SSTB income but still not be subject to the SSTB limitations — called “de minimis” exceptions. If the business has SSTB income in excess of these rules, however, the entire business is considered an SSTB.

- **De minimis rule #1:** If a business's gross receipts are \$25 million or less, and less than 10% of the gross receipts are from the performance of services in an SSTB, then the trade or business is not considered an SSTB, and the owner(s) are not subject to the SSTB limitation.

Example

Loving Animal Care, LLP is a partnership of two licensed veterinarians that provides veterinary services and sells pet food and products. It separately invoices for services and product sales and maintains completely separate books, records, and cash registers, treating the two as separate businesses. Gross receipts are \$3 million, of which \$1 million is from veterinary services (an SSTB). Although the veterinary receipts exceed 10% of total receipts, the pet-product sales are not an SSTB because the two activities are treated as separate businesses.

Example

Vision Medical Group, Inc. is an optometrist's office (S corporation) that offers eye exams and sells prescription eyeglasses, sunglasses, and contact lenses. Gross receipts were \$400,000, of which only \$38,000 was from eye exams and medical services. Since only 9.5% of income was from health services ($\$38,000 \div \$400,000$), the business is not considered an SSTB, so the SSTB-related limitations do not apply.

- **De minimis rule #2:** If a business's gross receipts are more than \$25 million, and less than 5% of the gross receipts are from the performance of services in an SSTB, then the trade or business is not considered an SSTB.

Example

Wealth Advisors, Inc. is an S corporation specializing in financial planning. In 2025, it also published bestselling wealth-management books. Gross receipts were \$40 million, but only \$1.5

million came from financial consulting; the remaining \$38.5 million was publishing income. Since only 3.75% of income was from financial consulting ($\$1.5\text{M} \div \40M), the business is not an SSTB.

Example

Julie Dupont is a famous actress operating through Dupont Enterprises, Inc. (S corporation, sole shareholder). In 2025, she earned \$1.5 million for a TV miniseries role and \$39 million from a chain of restaurants called “Julie’s Burgers.” Although the acting income is performing arts (an SSTB), the restaurant activity is not. Since less than 5% of the business income was from performing arts, the corporation is not considered an SSTB for the 199A deduction.

The General Business Credit and Other Business Credits

A variety of unique tax credits are available for businesses. Credits are generally more valuable than deductions of the same amount because they are subtracted directly from a business's tax liability, dollar-for-dollar. However, most business tax credits are available in limited situations. Most business credits fall under the umbrella of the General Business Credit (GBC), which is not a single credit but a combination of various individual credits. Each business credit is first claimed on a separate form; the credits are then reported in aggregate on Form 3800, General Business Credit. The GBC is nonrefundable and is subtracted directly from tax, reducing income tax liability dollar-for-dollar. The GBC may not offset any of a business's employment (payroll) tax liabilities.

If a business is unable to use its entire GBC in the year the credit is earned, the credit can be carried back one year and forward for up to 20 years. General business credits are treated as used on a first-in, first-out basis, offsetting the earliest-earned credits first. Therefore, the order in which credits are used in any tax year is: carryforwards to that year (earliest first); the general business credit earned in that year; then the carryback to that year.

Investment Credit

The Investment Credit is the sum of multiple credits, all claimed on Form 3468, Investment Credit. It is available to businesses that place certain qualifying property in service or invest in certain qualifying projects. For 2025, the investment credit includes the rehabilitation credit; the energy credit; the qualifying advanced coal project credit; the qualifying gasification project credit; the qualifying advanced energy project credit; the Advanced Manufacturing Investment Credit (the “CHIPS” credit); and the Clean Electricity Investment Credit. In general, a business cannot claim the Investment Credit for property used outside the U.S., used by a governmental unit or foreign entity, used by a tax-exempt organization, used for lodging, expensed under section 179, or owned by a prohibited foreign or foreign-influenced entity (effective after July 4, 2025).

Note

The Energy Credit and related clean electricity credits were significantly affected by OBBBA. These rules are highly technical and often depend on the type of property, when construction began, and when the property was placed in service. For EA exam purposes, focus on the general concepts and basic categories of the credit.

Work Opportunity Tax Credit (WOTC)

The WOTC provides a credit for businesses that hire qualified veterans and members of certain targeted employee groups that have historically faced significant barriers to employment. The credit is based on first-year wages paid to newly hired members of targeted groups. Targeted groups include: qualified TANF recipients; qualified veterans; ex-felons; designated community residents; vocational rehabilitation referrals; summer youth employees; SNAP (food stamp) recipients; SSI recipients; long-term family assistance recipients; and qualified long-term unemployment recipients. The WOTC applies only to qualified employees who begin work on or before December 31, 2025. The credit is figured on Form 5884 and carried to Form 3800. On or before the day an offer of employment is made, the employer and job applicant must complete Form 8850, Pre-Screening Notice and Certification Request for the Work Opportunity Credit, which the employer submits to the designated local agency in the state where the employee works.

Example

Nebula Computing Inc., a technology firm, hires George, an unemployed veteran who has been out of work for a significant period despite his qualifications. This qualifies the company for the Work Opportunity Tax Credit, since George is a qualified veteran, resulting in significant tax savings and incentivizing the company to hire from targeted groups.

Disabled Access Credit

This is a nonrefundable tax credit for an eligible small business that incurs expenses to provide access to persons who have disabilities, to comply with the Americans with Disabilities Act. The credit equals 50% of eligible expenses over \$250, not to exceed \$10,250, for a maximum credit of \$5,000 per year. To be eligible, a business must have had gross receipts of \$1 million or less, or no more than 30 full-time employees, during the preceding tax year. The credit is claimed on Form 8826, and any deduction for eligible expenditures must be reduced by the amount of the credit.

Example

Maddie owns a small roadside diner (a sole proprietorship). To comply with ADA regulations, she retrofits the restroom for wheelchair access; qualified expenses total \$18,000. Maddie can claim the full \$5,000 Disabled Access Credit (50% of up to \$10,000 of qualified expenses). (If she had incurred only \$5,250 of qualified expenses, the first \$250 would not qualify, so the credit would be $(\$5,250 - \$250) \times 50\% = \$2,500$.)

Example

Essex Property Services, Inc. incurs \$24,800 to install a wheelchair ramp. It had \$3 million in gross receipts and \$575,000 in taxable income. Essex is not eligible for the Disabled Access Credit because it has more than \$1 million in gross receipts. It can still depreciate the cost of the ramp, but cannot take the credit.

Credit for Employer Social Security and Medicare Taxes on Employee Tips (FICA Tip Credit)

For 2025, eligible employers may claim a credit for the employer's share of Social Security and Medicare taxes paid or incurred on certain employee tips, claimed on Form 8846. Historically this applied only to certain food and beverage establishments where tipping is customary. Beginning in 2025, the credit was expanded to include certain beauty and personal care businesses where tipping is customary (barbering, hair care, nail care, esthetics, and body and spa treatments). The credit generally equals the employer's portion of Social Security and Medicare taxes on tips, minus any tips used to meet the federal minimum wage. The “applicable” federal minimum wage rate is \$5.15 per hour for this credit.

Example

Dagwood's Diner is a small breakfast eatery in Wyoming (Schedule C). The sole employee, Isabelle, worked 100 hours and received \$450 in tips in October, plus \$375 in wages at \$3.75/hour. For the Tip Credit, the \$450 in tips is reduced by \$140 (the difference between \$5.15 and \$3.75, times 100 hours), so only \$310 of the tips for October are considered.

Note

The new qualified tips deduction under OBBBA does not eliminate or reduce this employer credit. The qualified tips deduction is an income tax deduction for the worker, while employee tips remain subject to Social Security and Medicare taxes, so the employer credit on Form 8846 is still figured based on the employer's share of those taxes.

Employer Credit for Paid Family and Medical Leave (FMLA)

Eligible employers may claim the Credit for Paid Family and Medical Leave, equal to a percentage of wages paid to qualifying employees while on family and medical leave. This credit applies for 2025 and was made permanent by OBBBA for tax years beginning after December 31, 2025. Employers must have a written policy providing at least two weeks of paid family and medical leave annually to all qualifying full-time employees (prorated for part-time), with a rate of payment of at least 50% of normal wages. A qualifying employee must have been employed for at least one year and, for 2025, generally must have earned no more than \$93,000 in 2024 (60% of the \$155,000 highly-compensated threshold). The credit is 12.5% if FMLA payments are 50% of normal wages, up to 25% if payments are 100% of normal wages.

Example

Arroyo Insurance, Inc. offers family and medical leave. In 2025, two employees requested FMLA leave for the birth of a child: Ahmad (an insurance broker) earned \$122,000 the prior year, and Victoria (a secretary) earned \$38,000. Arroyo pays 50% of normal wages during qualified leave. Victoria's FMLA wages qualify for the credit; Ahmad's do not, because he earned more than \$93,000 in the prior year. Employers reduce their wage deduction by the amount of the credit and claim it on Form 8994 and Form 3800.

Credit for Small Employer Health Insurance Premiums

This credit (the “Small Business Healthcare Tax Credit”) encourages small employers to offer health insurance. The maximum credit is up to 50% of the employer's contribution toward em-

employees' premiums (35% for tax-exempt employers). To be eligible: the employer must have fewer than 25 full-time equivalent (FTE) employees; average annual wages of qualifying employees must be less than \$66,600 in 2025; the employer must pay at least 50% of premium costs; and coverage must be offered through the SHOP Marketplace. The credit phases out as average wages increase from \$33,300 to \$66,600 and can only be claimed for a maximum of two consecutive years. It is claimed on Form 8941.

Note

For taxable employers, this credit is nonrefundable and part of the General Business Credit (Form 3800). For eligible tax-exempt employers, the credit is refundable and claimed on Form 990-T with Form 8941. An employer must reduce its deduction for health insurance premiums by the amount of the credit claimed.

Research and Development Credit (R&D Credit)

The R&D Credit (Credit for Increasing Research Activities) is available to businesses that invest in qualified research activities, such as developing new software, improving manufacturing processes, and testing product prototypes. Only qualified research conducted within the United States is considered. If qualified research is undertaken by the business's own employees, 100% of the cost counts toward the credit; if outsourced, only 65% of contracted expenses count. Taxpayers figure the credit using the regular research credit method or the alternative simplified credit method on Form 6765. If not fully used, it may generally be carried forward up to 20 years. A qualified small business may elect to apply a portion of the credit against payroll tax liability — for 2025, up to \$500,000.

Example

Speedy Rideshare, Inc. pays a software company to develop a proprietary mobile app for its rideshare services. The cost may qualify for the R&D Credit, but since the research was outsourced to an outside company, only 65% of the contracted expenses count toward the credit. The credit is figured on Form 6765 and transferred to Form 3800.

Credit for Employer-Provided Child Care Facilities and Services

Employers may claim a credit for qualified childcare facilities and resource and referral expenditures. The credit is 25% of qualified childcare facility expenditures plus 10% of qualified childcare resource and referral expenditures paid or incurred during the tax year. The facility may not discriminate in favor of highly compensated employees. The maximum credit is \$150,000 per tax year, claimed on Form 8882.

Example

Whitlock Tile, Inc. provides an on-site childcare center for employees. The annual cost of running the facility is \$275,000, including three full-time staff. Whitlock Tile may take a \$68,750 business credit ($\$275,000 \times 25\%$) by filing Form 8882.

Credit for Small Employer Pension Plan Startup Costs

Eligible small employers can claim a credit for qualified startup costs incurred in establishing or administering an eligible retirement plan (SEP, SIMPLE IRA, or qualified plan). The SECURE Act 2.0 doubled the credit rate for new plans for small businesses with up to 50 employees to cover 100% of plan start-up costs; employers with 51–100 employees may qualify for 50%. The business must have 100 or fewer employees who each earn at least \$5,000 in the preceding year. The credit is generally limited to the lesser of \$5,000 or \$250 for each non-highly-compensated employee, with a minimum of \$500, and can be claimed for up to three years. Qualifying small employers establishing plans in 2025 are also allowed an additional credit for employer contributions, up to \$1,000 per employee for five years (employees with wages exceeding \$105,000 are ineligible for the contribution credit). The credit is claimed on Form 8881.

Example

Fremont Auto Parts, Inc. sets up a new SIMPLE 401(k) plan. It is 100% owned by Robert Fremont (a highly compensated employee), and its seven other full-time employees each earn about \$35,000 (all non-highly-compensated). Fremont spends about \$3,000 in administrative costs setting up the plan and educating employees. The seven NHCEs qualify for a maximum pension plan startup credit of \$1,750 ($\250×7). Fremont claims the credit on Form 8881.

Foreign Tax Credit for Corporations

U.S. corporations may claim the foreign tax credit for certain taxes paid or accrued to foreign countries, claimed on Form 1118, Foreign Tax Credit – Corporations. A U.S. corporation may generally claim the credit for income tax, war profits tax, and excess profits taxes, and taxes paid in lieu of income taxes. Foreign sales taxes such as value-added tax (VAT) and similar taxes generally do not qualify. This credit is nonrefundable. If allowable foreign taxes exceed the limitation, the excess may be carried back 1 year and then carried forward 10 years to offset taxes imposed in the same category. Instead of the credit, a corporation may choose to deduct foreign taxes paid or accrued, though the credit is usually more advantageous.

Example

Global Software Solutions Inc., a U.S.-based multinational C corporation with subsidiaries in Germany and Brazil, paid foreign taxes to Germany and Brazil totaling \$1,200,000 for 2025. It claims the foreign tax credit by completing Form 1118 with its corporate return, reducing its U.S. tax liability and avoiding double taxation on its foreign income.

Note

Under OBBBA, effective for taxes paid or accrued after June 28, 2025, no credit is allowed for 10% of foreign income taxes paid or accrued with respect to distributions of previously taxed Global Intangible Low-Taxed Income (GILTI). You are not expected to memorize every possible business credit; for a complete list, see the IRS instructions for Form 3800.

Notes & References

1. A farmer may waive the NOL carryback period by attaching a statement to a timely filed tax return (including extensions).

2. Starting for the 2024 tax year, individuals, estates, and trusts use Form 172 to figure the amount of the NOL available for carrying forward, and in selected situations, carrying back.
3. Individuals, estates, and trusts may use Form 1045 to apply for a refund from an NOL carryback. Corporations must use Form 1120-X or Form 1139.
4. Losses from sales or exchanges of capital assets are not included in the calculation of total deductions from a taxpayer's trades or businesses for the excess business loss limitation. Farmers must apply the excess business loss limitation before carrying any NOLs back 2 years.
5. There is an exception for statutory employees: items of income, gain, deduction, and loss from performing services as a statutory employee are QBI and eligible for the 199A deduction.
6. Rental real estate activities may constitute a trade or business for 199A purposes, even if the rental is reported on Schedule E. IRS Revenue Procedure 2019-38 explains the 250-hour safe harbor.
7. The SHOP Marketplace is a federal website for small employers (50 or fewer FTEs) who want to provide health coverage to their employees.

STUDY UNIT 6

Study Questions

Test yourself, then check the answer key that follows.

1. How are excess business losses treated in the following year?
 - a) They are deducted from the next year's capital gains.
 - b) They are carried forward and treated as a net operating loss.
 - c) They are essentially lost, unless the business is a farming business.
 - d) They are refunded to the taxpayer.
2. Satsuki owns a small retail shop as a sole proprietorship. The shop has a net business loss of \$7,000 in 2025. The business has always had profits in prior years. She has no other income for the year. How should the net operating loss be treated for tax purposes?
 - a) No carryback, carryforward indefinitely.
 - b) Carryback five years, or she can choose to waive the carryback with an irrevocable election.
 - c) Carryback two years, or she can choose to waive the carryback with an irrevocable election.
 - d) Carryback two years, or carryforward five years.

3. The Work Opportunity Tax Credit provides a credit for businesses that:
- a) Provide job training for out-of-work veterans and other individuals in targeted groups.
 - b) Give severance to laid-off workers.
 - c) Invest in federal empowerment zones.
 - d) Hire unemployed veterans and other individuals from targeted groups.
4. Which of the following business activities does NOT qualify for the 199A Qualified Business Deduction?
- a) Rental activity that is not a §162 trade or business.
 - b) Manufacturing products.
 - c) Construction of homes.
 - d) Architectural services.
5. The Disabled Access Credit conforms to the applicable standards of the:
- a) Architectural Standards Act.
 - b) U.S. Department of Labor.
 - c) Americans with Disabilities Act.
 - d) National Organization on Disability.
6. Which event would not create a net operating loss?
- a) Rental losses from a real estate activity.
 - b) Casualty losses incurred by a business.
 - c) Losses from the sale of stock.
 - d) Farming losses.
7. Which of the following items is allowed when calculating a net operating loss?
- a) Capital losses in excess of capital gains.
 - b) A net operating loss from another year (a carryback or a carryforward).
 - c) A self-employed taxpayer's contribution to his own qualified retirement plan.
 - d) A loss from the theft of business property.

8. Which of the following is NOT considered a “Specified Service Trade or Business” for the purposes of calculating the 199A Qualified Business Income Deduction?

- a)** Doctor.
- b)** Certified Public Accountant.
- c)** Professional athlete.
- d)** Architect.

9. Which of the following businesses are permitted to carryback their net operating losses?

- a)** Licensed engineer
- b)** Farming business
- c)** Realtor
- d)** Statutory employee

10. Which of the following is not part of the Investment Credit in 2025?

- a)** Qualifying Advanced Coal Project Credit.
- b)** Credit for Small Employer Pension Plan Startup Costs.
- c)** Rehabilitation Credit.
- d)** Energy Investment Credit.

11. Suncoast Management, Inc. is a C Corporation that qualified for several business credits in 2025. After applying the credits, its taxable income was reduced to zero, so the business could not use all of its business credits in the current tax year. What is the carryover period for the GBC?

- a)** The GBC may be carried back two years and carried forward five years.
- b)** The GBC may be carried back five years and carried forward 10 years.
- c)** The unused GBC cannot be carried over to another tax year.
- d)** The GBC may be carried back one year and carried forward for 20 years.

12. Aroma Candles, Inc. is a candle-making company. In 2025, Aroma Candles renovated their retail shop to comply with the Americans with Disabilities Act, adding a wheelchair ramp to their main entrance. Aroma Candles had gross receipts of \$750,000 and spent \$15,000 on disabled access upgrades during the year. What is Aroma Candles' current-year Disabled Access Credit?

- a) \$2,500**
- b) \$5,000**
- c) \$7,500**
- d) \$15,000**

13. The 199A QBI deduction applies to which of the following types of income?

- a) Foreign business income**
- b) Domestic business income**
- c) Income earned by a C Corporation**
- d) Wages earned by an employee**

14. Which of the following business types cannot generate qualified business income for the purposes of the 199A QBI deduction?

- a) Sole Proprietorship**
- b) Estate**
- c) C Corporation**
- d) Trust**

15. Which of the following credits is a valuable credit for businesses such as restaurants, barber shops, hair salons, spas, and other service establishments?

- a) Disabled Access Credit**
- b) Work Opportunity Tax Credit**
- c) Credit for Increasing Research Activities**
- d) Credit for Employer Social Security and Medicare Taxes on Employee Tips**

16. Which form is used to figure the excess business loss that is reported on a taxpayer's return?

- a) Form 8821**
- b) Form 1120**
- c) Form 461**
- d) Form 8829**

STUDY UNIT 6

Answer Key & Explanations

1. The answer is **B**.

Excess business losses are carried forward and treated as a net operating loss in the following tax year.

2. The answer is **A**.

Satsuki may not carry back her 2025 losses. All of her losses must be carried forward, indefinitely if needed, until fully utilized.

3. The answer is **D**.

The WOTC offers credits to businesses that hire unemployed veterans and other individuals from targeted groups.

4. The answer is **A**.

Rental income where the owner is not engaged in a bona fide real estate “trade or business” is not qualifying QBI. The rental of real property may constitute a trade or business (even if reported on Schedule E), and the IRS provides a safe harbor for treating rental real estate as a trade or business. Manufacturing, home construction, and architectural services all qualify (architecture is not an SSTB).

5. The answer is **C**.

The Disabled Access Credit is a nonrefundable credit for an eligible small business that pays expenses to comply with the Americans with Disabilities Act.

6. The answer is **C**.

Losses from the sale of stock are capital losses and cannot be used to create an NOL. Rental losses, business casualty losses, and farming losses could potentially create an NOL.

7. The answer is **D**.

A casualty loss from the theft of business property is allowed in figuring an NOL. Capital losses in excess of capital gains, an NOL from another year, and a self-employed taxpayer's own retirement contributions are not allowed.

8. The answer is D.

For the 199A deduction, the fields of architecture and engineering are specifically excluded as Specified Service Businesses. SSTBs include health, law, accounting, actuarial science, performing arts, consulting, athletics, financial services, brokerage services, and endorsement/reputation services.

9. The answer is B.

Only farming businesses and property and casualty insurance companies may carry back their NOLs in 2025 (default 2-year carryback, with the option to waive and carry forward).

10. The answer is B.

The Credit for Small Employer Pension Plan Startup Costs is not part of the Investment Credit. The 2025 Investment Credit consists of the rehabilitation, energy, qualifying advanced coal project, qualifying gasification project, qualifying advanced energy project, advanced manufacturing (CHIPS), and clean electricity investment credits.

11. The answer is D.

The general business credit may be carried back one year and carried forward for up to 20 years.

12. The answer is B.

Aroma Candles' maximum credit is \$5,000. The credit is 50% of qualified expenses in excess of \$250, capped at \$5,000 per year. (50% of the eligible expenses here exceeds the cap, so the credit is limited to \$5,000.)

13. The answer is B.

The QBI deduction applies only to domestic business income. Foreign business income, C corporation income, and employee wages do not qualify.

14. The answer is C.

A C corporation cannot generate QBI. The deduction applies to pass-through income from sole proprietorships, partnerships, S corporations, estates, and trusts.

15. The answer is D.

The Credit for Employer Social Security and Medicare Taxes on Employee Tips (Form 8846) is specifically for businesses with tipped employees, such as restaurants, barber shops, hair salons, and spas, allowing the employer to recover its share of Social Security and Medicare taxes on employee tip income.

16. The answer is C.

Form 461, Limitation on Business Losses, is used to figure the excess business loss reported on a taxpayer's return. Excess business losses are carried forward and treated as an NOL the following year.

STUDY UNIT 7

Basis of Business Assets

Further reading: IRS Publications 551 and 547; Instructions for Form 3115

Business assets are any type of property used for conducting trade or business, such as land, buildings, machinery, furniture, trucks, patents, and franchise rights. These assets can be tangible or intangible. Taxpayers generally must capitalize the cost of business assets, rather than deduct them in the year the cost is incurred. In order to compute gain or loss on the sale or other disposition of an asset, a business must be able to determine its basis.

Basis is the amount of a taxpayer's investment in an asset or property for tax purposes. The general rules for determining basis and adjusted basis are found in IRC §§ 1011–1016. The basis of an asset is crucial in calculating gain or loss from its sale or disposal, and also in determining tax deductions for depreciation, amortization, depletion, and casualty losses. If a business is unable to determine the basis of an asset, the IRS will consider it to be zero.

The initial basis of property is usually its cost: the amount a business pays for the asset. The cost is the amount paid in cash, notes, other property, or services. Both cash-basis and accrual-basis businesses can charge expenses on a credit card and deduct them in the year the charge is incurred, regardless of when the credit card is paid. An asset's cost basis also may include amounts paid for the following items:

- Sales or use tax on the purchase.
- Freight to obtain the property, and any installation or testing costs.

- Excise taxes.
- Legal and accounting fees for obtaining property.
- Legal fees for defending and perfecting a property's title.
- Revenue stamps and/or recording fees.
- Real estate taxes (if assumed by the buyer).
- Settlement costs for the purchase of real estate.
- The assumption of any liabilities on the property.

If a business produces real or tangible personal property for use in a trade or business, it may be subject to the uniform capitalization rules (UNICAP). The UNICAP rules require businesses to capitalize certain direct and indirect costs associated with producing or acquiring certain property, including inventory.

Note

Events that occur during the period of ownership may increase or decrease basis, resulting in an adjusted basis. The basis of property is increased by the cost of improvements that add value. The basis is decreased by depreciation deductions, insurance reimbursements for casualty and theft losses, and certain other items such as rebates. The calculation of basis generally does not include interest payments. $\text{Adjusted basis} = \text{Original basis (usually cost)} + \text{Increases to basis} - \text{Decreases to basis}$.

Example

Griselda's Laundromat, LLC is taxed as a sole proprietorship. The owner, Griselda, pays \$4,000 for a new commercial dryer. She also pays an additional \$505 for shipping and sales tax and \$250 to a professional installer. These costs are all added to the purchase price, resulting in a basis for the dryer of \$4,755 ($\$4,000 + \$505 + \250). This will be her basis for depreciation.

Example

Cygnnet Homes, Inc. purchased a 50-acre tract of land for development for \$900,000. After the sale, Cygnnet Homes is sued by a former property owner claiming the sale was invalid. Cygnnet eventually prevails but only after spending \$50,000 in legal fees. Legal fees paid to defend or “perfect” title must be added to basis, so the company's adjusted basis in the land is now \$950,000 ($\$900,000 + \$50,000$).

Example

Pasadena Delivery, Inc. purchases a cargo van for \$55,000. Shipping from an out-of-state dealership was an additional \$750. Before the van is placed in service, Pasadena adds commercial shelving and wall liners for \$1,020. All of these costs are added to the van's basis, increasing it to \$56,770 ($\$55,000 + \$750 + \$1,020$), the amount used to depreciate the van.

The Basis of Real Property

Real property, or real estate, includes land and anything built on it, as well as things growing on or attached to the land and rights to minerals. When purchasing real property, additional fees and expenses become part of the property's cost basis.

Settlement Costs

Certain settlement fees and closing costs related to buying a property are added to its basis. These include abstract fees; charges for installing utility services; legal fees (title search and preparation of the sales contract and deed); recording fees; surveys; transfer taxes; owner's title insurance; and any amounts the seller owes that the taxpayer agrees to pay. In addition, if a buyer pays delinquent real estate taxes that the seller owed, those taxes are added to the basis and cannot be deducted currently.

Example

Carly is buying a rental property for \$300,000. During closing she pays an abstract fee of \$750, legal fees of \$4,200 for the title search and preparation of the sales contract and deed, and recording fees of \$800. This equals an additional \$5,750 in closing costs, which increase the property's basis to \$305,750.

Assumption of a Mortgage

If a taxpayer buys property with an existing mortgage, the basis includes the amount paid in cash for the property plus the amount of the mortgage assumed.

Example

The Silverlake Partnership purchases a commercial building for \$200,000 in cash and assumes an existing mortgage of \$800,000. The partnership also pays \$5,500 of legal fees. Silverlake's basis in the building is \$1,005,500 ($\$200,000 + \$800,000 + \$5,500$).

Constructing Assets

If a taxpayer builds property or has assets built, the costs of construction are included in the basis. In addition to the cost of land, these may include construction labor and materials; architect's fees; building permit charges and inspection costs; rental of construction equipment; employee wages paid for the construction work; and the cost of building supplies and materials used. The value of the owner's labor (if a sole proprietor rather than an employee-owner of a corporation) or any other labor for which payment is not made is not included in the basis. Any free labor by the owner, friends, or family does not increase a property's basis.

Example

Harvey buys an empty lot for \$30,000, intending to build a small retail building. He pays a licensed architect \$2,400 for the plans. To save money, Harvey and his father do all the labor themselves. The construction materials cost an additional \$19,000, which Harvey pays in cash. Harvey's adjusted basis in the completed property is \$51,400 ($\$30,000 + \$2,400 + \$19,000$). The value of his labor and his father's free labor is not included in the basis.

Demolition Costs

Demolition costs increase an asset's basis because they are necessary to prepare the property for use. Costs incurred to demolish a building are added to the basis of the land on which the building was located. The costs of clearing land for construction also must be added to the basis of the land, not to any future building.

Example

Paxton buys a lot with a badly damaged building on it for \$25,000. He pays a demolition company \$13,000 to tear down the building and clear the land. Paxton's adjusted basis in the land is now \$38,000 (\$25,000 + \$13,000).

Among the items that increase the basis of property are: the cost of extending service lines to the property; impact fees; legal fees, such as the costs of defending and perfecting title; zoning costs; and rehabilitation costs (though any rehabilitation credits allowed must be subtracted). Government assessments for items such as paving roads and sidewalks increase the value of a property and must be added to basis. A business cannot deduct assessments as taxes, but can deduct charges for maintenance, repairs, or interest related to the improvements.

Decreases in Basis

Rebates are among the items that decrease an asset's basis. Items that may decrease a property's basis also include: deductions for amortization, depreciation, section 179 elections, and depletion; nontaxable corporate distributions; exclusion of subsidies for energy conservation measures; residential energy credits; vehicle credits (available for vehicles acquired on or before September 30, 2025); the investment credit; certain canceled debt excluded from income; and amounts received for easements.

Example

Shelley buys a color copier that costs \$2,300 to use in her business. She sends in a rebate receipt and receives a \$100 rebate from the manufacturer. She reduces the basis of the asset to \$2,200 (\$2,300 – \$100).

Example

Jasper owns land used for his pumpkin farm with an adjusted basis of \$200,000. A utility company obtains a permanent easement across a portion of the property and pays Jasper \$10,000. The \$10,000 easement is not taxable, but it decreases the land's basis. The adjusted basis after the easement is \$190,000.

Items Not Included in a Property's Basis

The following settlement fees and closing costs cannot be included in the basis of a property: casualty insurance premiums; rent or utility costs related to occupancy of the property before closing; and any charges for acquiring a loan, such as mortgage insurance premiums, loan assumption fees, cost of a credit report, fees for appraisal reports, fees for refinancing a mortgage, and points. Points are “prepaid interest” on a loan, generally deducted as interest over the life of the loan.

IRS Tangible Property Regulations

The IRS's final tangible property regulations took effect in 2014. These regulations govern the capitalization and expensing of physical assets that a taxpayer purchases, repairs, maintains, improves, or disposes of. The tax code allows a taxpayer to deduct repairs to business property — fixes that keep the property in working condition. Improvements, on the other hand, cannot be immediately expensed. The cost of improvements that add value to a business or rental property or extend its useful life must be capitalized and depreciated. Examples of improvements include the installation of new electric wiring, the addition of a new room, adding central air conditioning, or a complete kitchen renovation. A repair keeps a property in operating condition but does not add to its value or substantially prolong its life (e.g., repainting or replacing broken windows) and can be deducted immediately.

Example

Rogelio replaces a cracked toilet in a residential rental he owns for \$750. The cost of the toilet repair is deductible as an immediate business expense. The following year, Rogelio replaces the entire plumbing system with new pipes and fixtures for \$19,400. The new plumbing system is a substantial improvement that increases the value of the property, so Rogelio must capitalize it and depreciate the cost over its useful life.

The tangible property regulations apply to C corporations, S corporations, partnerships, LLCs, and individuals filing a Form 1040 with Schedule C, Schedule E, or Schedule F. Under these regulations, an “improvement” is classified as a cost involving the betterment of property, the restoration of property, or the adaptation of a property to a new or different use. The regulations divide a building into nine different structural components called “building systems” (such as plumbing, heating and air conditioning, and electrical), each of which may be a separate unit of property. Costs must be evaluated for a specific building system and not just for the building as a whole.

Example

Cedric owns a small apartment building with an adjusted basis of \$950,000. During the year, he spent \$38,000 to fix damaged wiring in the electrical system. Under the final tangible property regulations, the electrical system is treated as a separate building system, so the \$38,000 must be compared with the cost of the electrical system alone, not the whole building. The cost is significant in this context and is likely deemed an “improvement” that must be capitalized and depreciated, rather than currently expensed as a “repair.”

A “restoration” includes amounts paid to return the unit of property to its ordinarily efficient operating condition if it has deteriorated to a state of disrepair and is no longer functional for its intended use.

Example

Amarillo Dairy, Inc. is a farming corporation. A large out-building on the farm's property has fallen into severe disrepair such that it could no longer be used. In 2025, Amarillo Dairy shores all

the interior walls and completely replaces the leaky roof for \$49,000. These costs are restorations, and therefore improvements, because the building was returned to operating condition after deteriorating to disrepair. Amarillo Dairy cannot deduct the cost as a current expense; the entire \$49,000 must be capitalized and depreciated.

Safe Harbor Elections

The tangible property regulations include several “safe harbor” rules that allow expensing in specific instances:

De Minimis Expensing Safe Harbor

- **Election #1 (with an applicable financial statement):** Businesses with an applicable financial statement (AFS) may deduct amounts paid for tangible property up to \$5,000 per invoice or item. The business must have a written capitalization policy that provides for expensing items, and must attach an election statement to the return.
- **Election #2 (without qualifying financial statements):** A business without qualifying financial statements may deduct items that cost up to \$2,500 per invoice or per item, provided it conforms with the business's accounting procedures, and attaches an election statement to the return.

Example

Lubbock Tax Service, Inc. is an S corporation that pays \$2,450 for a commercial-grade laser printer. Lubbock does not have qualifying financial statements. Normally a laser printer would be depreciable, but since the cost is less than \$2,500, Lubbock makes the de minimis safe harbor election and deducts the full cost in the year of purchase. A statement must be attached to the return.

Businesses with an AFS may use the safe harbor to deduct up to \$5,000 per invoice or item; taxpayers without an AFS can deduct up to \$2,500 per invoice or item. In both cases, an election statement must be attached to the return. This is an annual election.

Example

Spire Lending Services, Inc. is a large C corporation with applicable financial statements. The company purchases a commercial copier for \$4,900 and has a written policy that any tangible property purchases under \$5,000 may be deducted currently. Spire Lending deducts the cost of the copier by electing the de minimis expensing safe harbor. A statement must be attached to the corporate return.

Example

On January 10, 2025, Brigitte purchases a black-and-white printing machine for her tutoring business for \$9,500. A few months later she realizes she needs a color machine instead and sells the black-and-white copier for \$4,000 on September 1, 2025. The loss on the sale is deductible

as a normal business expense. She did not hold the asset for even a year, so none of the cost is depreciated.

Small Taxpayer Safe Harbor for Real Property

Small businesses with gross receipts of \$10 million or less can expense as repairs, rather than capitalize as improvements, amounts up to the lesser of \$10,000 or 2% of the unadjusted basis of a building's property, as long as the unadjusted basis is \$1 million or less. This is an annual election, and once made, it is irrevocable.

Example

The Folsom Café is a small business run as a partnership, with average annual gross receipts of \$2 million. The partnership owns the building it operates from; the unadjusted basis is \$900,000 (below \$1 million). The Folsom Café spent \$8,000 to replace the linoleum flooring in the kitchen and had no other repair expenses. The Café can deduct the entire \$8,000 (less than \$10,000). It must attach an annual election statement claiming the “small taxpayer safe harbor election for real property.”

Routine Maintenance Safe Harbor

This allows for the deduction of routine maintenance costs that are required more than once within a ten-year period for buildings, or more than once within the applicable class life period for non-building properties.

Example

Wilhelm is a landlord who owns a commercial building in downtown Miami. The building's decorative siding is prone to weather damage, so Wilhelm must replace it approximately every four years. Since the siding requires replacement more often than once every ten years, Wilhelm can use the Routine Maintenance Safe Harbor. In 2025, he pays \$18,500 for siding replacement and can deduct the entire cost in the year it is incurred.

De Minimis Election for Materials and Supplies

Materials and supplies may be deducted in the year the item is used or consumed in the business; no statement is required for this treatment. “Materials and supplies” are classified as: \$200 property (any unit of property that costs \$200 or less); 12-month property (property with a useful life less than one year, regardless of cost); acquired components (spare parts, air filters, or other components acquired to maintain or repair a unit of property); incidental materials and supplies (items not part of inventory and generally not tracked, e.g., pens, copy paper, toner); and consumables (fuel, lubricants, water, and similar items reasonably expected to be consumed in 12 months or less). The de minimis safe harbor election does not include costs for the purchase of inventory or land.

Example

Caterpillar Toys, Inc. purchases a pallet of copy paper every month at approximately \$620 per invoice. Even though the amount exceeds the \$200 de minimis threshold, it is still deductible as a

current expense because the supplies are reordered monthly and used up frequently — the copy paper has a useful life of 12 months or less. No statement is required.

Example

Hi-Grade Solutions, Inc. is a manufacturing company that uses an expensive industrial blade costing \$6,750 each for cutting highly abrasive materials. The blades wear out every 3–4 months. Even though the blades are expensive, they are deductible when consumed because each blade's useful life is less than one year. No statement is required.

Casualty and Theft Losses of Business Property

Deductible casualty and theft losses and related insurance reimbursements reduce the basis of property. A casualty is the damage, destruction, or loss of property resulting from an identifiable event that is sudden, unexpected, or unusual. Casualty losses are generally deductible only in the tax year during which the casualty occurred. Theft losses can be deducted only in the year the business discovers the property was stolen. For business property stolen or completely destroyed, the deductible loss is the taxpayer's adjusted basis in the property, minus any scrap or remaining value, minus any insurance or other reimbursement received. Deductible losses related to business and income-producing property are reported on Form 4684, Casualties and Thefts. Casualty losses are deductible up to the basis; if the basis is zero, the business cannot deduct a loss.

Example

Andrew is a self-employed paralegal. A fire at his apartment complex destroys his couch, personal TV, and coffee table (personal-use property) for a total loss of \$5,200. This personal casualty loss is not deductible because the apartment fire was not a federally declared disaster. The same fire also destroys a business asset, a laptop computer he had brought home, resulting in a business casualty loss of \$3,000 that is fully deductible on his Schedule C.

Example

Bjorn owns a shop that sells sports memorabilia. Two years ago, Bjorn purchased a signed David Ortiz baseball jersey for display for \$150 at an estate sale. A few months later the jersey was stolen. Its FMV was \$2,800 just before the theft, and Bjorn had no insurance. Bjorn's deductible theft loss is \$150, equal to his basis in the jersey.

Insurance Reimbursements

If a business has insurance coverage for property that is lost or damaged, it must file a claim for reimbursement, or it will not be able to deduct the loss. The portion of the loss that is not reimbursable (such as a deductible) is not subject to this rule. If an insurance reimbursement is later denied, or is less than expected, the taxpayer claims the casualty loss on the tax return for the year in which they can reasonably expect no more reimbursement (they do not amend the prior-year return). A casualty loss cannot be claimed if, during the year, there is a pending insurance claim expected to fully cover the loss.

Note

A business that has a casualty loss must decrease its adjusted basis in the property by any insurance or other reimbursement it receives and by any deductible loss. A business increases its basis by the amounts spent (whether with insurance proceeds or otherwise) on repairs that restore the property to its pre-casualty condition.

Example

Cornelius and Marshall are partners with a gourmet food truck. Cornelius has an automobile accident causing \$4,350 in damage to the food truck. Instead of filing an insurance claim, they pay the repair out-of-pocket so their insurance costs will not increase. Their policy has a \$1,500 deductible. Because the insurance would not cover the first \$1,500 of the loss, this amount is their deductible casualty loss. The amount in excess of \$1,500 is not deductible because they had insurance but chose not to file a claim.

Example

Huntley owns a residential rental. On November 20, 2025, it is flooded, incurring \$35,000 of damage. Huntley files his 2025 return on February 13, 2026, without reporting the loss because he expects full insurance reimbursement. The insurer later denies the claim because the policy did not cover flood damage. Huntley should claim the casualty loss on his 2026 tax return (the year he learns the claim is denied) on Schedule E, rather than amending his 2025 return.

A “total loss” occurs when a business property is completely destroyed. Business casualty losses are fully deductible without limitations, but any insurance reimbursements must be deducted from the allowable loss.

Example

Southwest Stallions, LLC is a horse-breeding business in Amarillo, Texas. On February 1, 2025, a gas explosion completely destroys a tractor. Its FMV immediately before was \$52,000; its adjusted basis was \$40,000. The tractor has no salvage value. The insurer reimburses only \$4,000. The business casualty loss is \$36,000 (\$40,000 adjusted basis – \$0 salvage – \$4,000 insurance).

Sometimes a business will have a “partial loss,” which occurs when a business property is only partially destroyed. In a partial destruction, the deductible loss is the decrease in fair market value of the property or the adjusted basis, whichever is less, further reduced by any insurance reimbursement.

Example

Cabernet Vineyards has a storage warehouse damaged by fire but not completely destroyed. The business carried no insurance. The adjusted basis at the time of the fire was \$65,000 and the FMV was \$80,000. The value after the fire was only \$3,000. The deductible casualty loss is \$65,000 (the lesser of the \$65,000 adjusted basis or the \$77,000 decrease in FMV).

Basis of Securities

The basis of stocks, bonds, and other securities is the purchase price plus any costs of purchase, such as commissions and recording or transfer fees. A taxpayer must keep track of the basis per share of all stock purchases and sales.

Example

Prime Investments, LLC purchases 2,000 shares of Eco-Emporium, Inc. stock for \$24,000 and pays a stockbroker's fee of \$150. The basis of the stock is \$24,150 ($\$24,000 + \150).

Events after the purchase can require adjustments to the basis per share, including stock dividends, stock splits, and DRIP (dividend reinvestment plan) activity. Stock dividends involve issuing additional shares to current shareholders — the shareholder's total basis is unchanged but is spread over more shares, decreasing the basis per share. A stock split is similar; for example, a two-for-one split doubles the number of outstanding shares and halves the value and basis per share, while the total basis remains the same. If a taxpayer has 100 shares with a cost of \$50 per share, their basis is \$5,000; after a two-for-one split they have 200 shares with a basis of \$25 per share, still \$5,000 total.

Example

Sunstone Partnership purchases 100 shares of Quasi Electronics, Inc. for \$11,000 with an additional \$200 in broker's commissions, so the original basis per share is \$112 ($[\$11,000 + \$200] \div 100$). Later that year, Sunstone receives 40 additional shares as a nontaxable stock dividend. The \$11,200 basis is now spread over 140 shares, so the adjusted stock basis is \$80 per share ($\$11,200 \div 140$).

Basis Other Than Cost

Property Received for Services

When a person receives property in exchange for their services, the fair market value (FMV) of the property is considered income and becomes their basis for that property. This often arises in barter transactions. If there was a previously agreed-upon price for the services, it can be used as the FMV of the property, unless there is evidence to suggest otherwise.

Example

A professional artist named Zachary agrees to create a custom mural for a homeowner named Gracie. Instead of cash, Gracie offers a motorcycle with a Blue Book value of \$5,400. Zachary completes the mural, and Gracie transfers the motorcycle to him. The \$5,400 FMV is income for Zachary and becomes his basis in the motorcycle. If he later sells it, the \$5,400 will be used to calculate gain or loss.

Property in Lieu of Wages

When an employer transfers property instead of paying wages, they can deduct the FMV of the property at the time of transfer and the employee must report this FMV as taxable income. If there is a difference between the FMV and adjusted basis of the property, a gain or loss is realized.

Bargain Purchases

A bargain purchase occurs when an item is bought for less than its FMV. If a person buys goods or other property for less than its FMV as payment for their services, the difference between the purchase price and the FMV must generally be included in their income. In these situations, the basis for this property will be its FMV (purchase price plus the amount that was included in income).

Notes & References

1. The most common type of easement is a utility easement — an agreement allowing a utility company to run power lines, water piping, or other utilities over private property.
2. Given the complexity of the tangible property regulations, the EA exam generally tests only the underlying concepts of expensing repairs as current deductions vs. capitalization through depreciation.
3. An “AFS” is a financial statement required to be filed with the SEC, or other certified audited financial statements accompanied by a CPA report (e.g., for a loan or for reporting to shareholders), or a financial statement required to be provided to a federal or state government agency other than the IRS or SEC.
4. The TCJA changed the treatment of personal (non-business) casualty losses — personal casualty and theft loss deductions are now only available for property damaged in a federally declared disaster area.

STUDY UNIT 7

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following is included in the cost basis of real property?

- a) Casualty insurance premiums
- b) Utility costs related to occupancy before closing
- c) Title fees
- d) Mortgage insurance premiums

2. Arvin purchases 50 shares of Shopper's Paradise, Inc. stock for \$3,500 on January 1, 2025. He pays a broker's fee of \$100. On March 30, 2025, he receives an additional 40 shares as a nontaxable

stock dividend. On December 31, 2025, the company declares a two-for-one stock split, doubling the number of his shares. Calculate the total basis of Arvin's stock and his per-share basis at the end of the year:

- a) Stock basis: \$3,500; per-share basis: \$38.88
- b) Stock basis: \$3,500; per-share basis: \$19.44
- c) Stock basis: \$3,600; per-share basis: \$20
- d) Stock basis: \$3,600; per-share basis: \$40

3. How does a stock split affect the basis of the stock?

- a) There is no effect on the basis of the stock.
- b) It increases the basis of the stock.
- c) It decreases the basis of the stock.
- d) It decreases the basis per share of the stock.

4. All of the following items decrease the basis of property except:

- a) Casualty or theft loss deductions.
- b) The cost of defending a title.
- c) Depreciation.
- d) Amortization.

5. What item would not be included in an asset's basis?

- a) Sales tax.
- b) Installation charges.
- c) Recording fees.
- d) Interest paid on a loan to purchase the asset.

6. Alexander is having financial difficulties, so he sells his duplex to Yoshiko, a real estate investor, who plans to use it as a rental property. Alexander was liable for \$5,000 in delinquent real estate taxes on the property, which Yoshiko agrees to pay. How should Yoshiko treat this transaction on her business tax return?

- a) Yoshiko cannot deduct these taxes as an expense; she must add them to the property's basis.
- b) Yoshiko can deduct these taxes as a current expense on her Schedule A.
- c) Yoshiko can deduct these taxes as a current expense on her Schedule E.
- d) Yoshiko can deduct these taxes as a current expense on her Schedule C.

7. Granbury Crime-Scene Clean-Up, LLC is a biohazard cleaning service. The company purchases three large biohazard storage drums at a price of \$3,400 each. The total invoice cost was \$10,200. The drums were used to clean up a biohazard waste site and all of them were disposed of afterwards in an incinerator the same week, as required by local law. Granbury does not have Applicable Financial Statements. Under the tangible property regulations, how should the purchase of these drums be treated?

- a) Must capitalize the cost of the storage drums but cannot depreciate them.
- b) Can deduct the entire expense during the current tax year.
- c) Can deduct the expense in the next tax year.
- d) Must depreciate the cost of the drums.

8. Irina owns a fabric store. On December 1, 2025, she has a loss of \$14,000 of inventory due to water damage from a storm. The loss is completely covered by her insurance. However, Irina will not be reimbursed by her insurance company until the following year. How should she treat this loss?

- a) She should claim the entire loss as a casualty loss in 2025 and then claim the income from the insurance reimbursement in 2026.
- b) She must reduce the amount of her inventory loss in 2025. She must include the insurance reimbursement as income in the year that she receives it.
- c) She must reduce her cost of goods sold in 2025 to reflect the loss and then claim the reimbursement as income in the following year.
- d) She should not report this loss on her 2025 tax return since there is a reasonable expectation of full recovery through insurance at the time of the casualty event.

9. Pinter Manufacturing, Inc. does not have qualifying financial statements. Under the de minimis expensing safe harbor rule, Pinter Manufacturing can deduct items that cost up to _____ per invoice or item.

- a) \$200
- b) \$500

c) \$2,500

d) \$5,000

10. Funhouse Catering, Inc. purchases a small warehouse and its underlying land for its catering business, but it is in such bad condition that the company decides to demolish it and build a new one. The demolition costs \$5,600. How must Funhouse Catering report this cost on its corporate tax return?

a) The demolition cost is added to the basis of the land.

b) The demolition cost may be depreciated on its corporate tax return as a business expense.

c) The demolition cost may be deducted on the corporate tax return as a casualty loss.

d) The demolition cost must be amortized over 180 months.

11. Juicy Burgers, Inc. is a popular restaurant. During the year, Juicy Burgers repaired a water leak in their kitchen roof. No structural changes were made. The repair cost \$4,000. Juicy Burgers owns the building. How should this cost be treated on the business' tax return?

a) The \$4,000 cost must be capitalized as an improvement and depreciated.

b) The \$4,000 cost must be added to the basis of the building.

c) \$2,500 of the repair can be expensed in the current year under the safe harbor regulations. The remainder (\$1,500) can be carried over as a business loss.

d) The full amount (\$4,000) can be deducted as a repair.

12. Priscilla's Pastries, LLC is a bakery taxed as a sole proprietorship. To expand, the business bought a building for \$250,000 on January 10, 2025. Priscilla paid the title company \$13,000 in settlement fees and assumed an existing mortgage of \$35,000. Legal fees of \$9,500 were incurred in a title dispute with a neighbor in April 2025. Clear title was transferred to Priscilla on November 1, 2025. Property taxes of \$2,600 were incurred on the property after ownership was transferred. What is Priscilla's overall basis in the building at the end of the year?

a) \$250,000

b) \$285,000

c) \$307,500

d) \$310,100

13. Action Law Group, Inc. provides legal services to Silver-Nuggets Pawn Shop. Silver-Nuggets becomes insolvent and, in lieu of payment, gives Action Law Group a set of gold coins with a fair market value of \$5,000 and an electric scooter with a fair market value of \$2,000 and an

adjusted basis of \$1,000. What amount of business income must Action Law Group report for this transaction?

- a) \$5,000
- b) \$7,000
- c) \$7,500
- d) \$8,000

14. A hailstorm damages a work van owned by Dr. Marjorie Smith, a sole proprietor who offers mobile chiropractic services. The van's basis is \$25,000, and her insurance company reimburses her \$4,000 for the hail damage. Marjorie decides to replace the cracked windshield at a cost of \$500 and pockets the rest of the insurance money. What is the adjusted basis of her van?

- a) \$19,500
- b) \$21,500
- c) \$28,500
- d) \$29,000

15. Under the tangible property regulations, what are the three categories for determining what constitutes an "improvement" to a property, rather than a repair?

- a) Betterment, restoration, or adaptation.
- b) Prolonging life, creating value, or increasing profits.
- c) Renovation, amelioration, or restoration.
- d) Enhancement, renovation, or increasing profits.

STUDY UNIT 7

Answer Key & Explanations

1. The answer is C.

Title fees are added to the basis of real property as part of the acquisition cost. Casualty insurance premiums, pre-closing occupancy/utility costs, and mortgage insurance premiums are not added to basis.

2. The answer is C.

Arvin's basis is the purchase price plus the broker's fee ($\$3,500 + \$100 = \$3,600$). After the split he has 180 shares ($[50 + 40] \times 2$). The split halves his per-share basis to \$20 ($\$3,600 \div 180$). The total basis is unchanged.

3. The answer is D.

A stock split increases the number of outstanding shares, which decreases the basis per share, but it does not change the total basis of the stock.

4. The answer is B.

The cost of legal fees to defend title increases basis. Casualty/theft loss deductions, depreciation, and amortization all decrease basis.

5. The answer is D.

Interest charges are not added to an asset's basis; interest is a potentially currently deductible expense.

6. The answer is A.

Yoshiko cannot deduct the delinquent taxes currently because Alexander was legally liable for them. When a buyer pays delinquent real estate taxes the seller owed, those taxes are part of acquisition cost and added to basis.

7. The answer is B.

Granbury can fully expense the cost of the drums because they had a useful life of less than one year (used and disposed of the same week). Under the materials-and-supplies rules, property with a useful life of a year or less is deducted, not capitalized.

8. The answer is D.

Because Irina expects to be fully reimbursed, she cannot report the loss on her 2025 return. If the reimbursement is ultimately more or less than her loss, she may realize a gain or loss then.

9. The answer is C.

Without qualifying financial statements, a business may deduct items that cost up to \$2,500 per invoice or item under the de minimis safe harbor. (With qualifying financial statements and a written policy, the limit is \$5,000.)

10. The answer is A.

Demolition costs (and losses related to demolishing a building) are added to the basis of the land. They cannot be deducted as a current expense.

11. The answer is D.

Juicy Burgers can deduct the full \$4,000 in the current year. It was merely a repair that kept the building in working order and did not increase or improve the property's value or useful life.

12. The answer is C.

Basis is \$307,500 (\$250,000 purchase + \$13,000 settlement fees + \$35,000 mortgage assumed + \$9,500 title-defense legal fees). The \$2,600 property taxes are not in basis because they were incurred while Priscilla already owned the property (deductible as a business expense instead).

13. The answer is B.

Action Law Group must include the FMV of both items received as income: \$5,000 (coins) + \$2,000 (scooter) = \$7,000. Property exchanged for services is income at its fair market value.

14. The answer is B.

Basis is reduced by insurance proceeds not used for repairs. Marjorie used \$500 of the \$4,000 to repair the windshield, so the adjusted basis is \$21,500 (\$25,000 – \$4,000 + \$500).

15. The answer is A.

Under the tangible property regulations, an “improvement” is a cost involving a betterment, a restoration, or an adaptation of the unit of property to a new or different use.

STUDY UNIT 8

Depreciation and Amortization

Further reading: IRS Publications 946 and 527

Depreciation and amortization are tax deductions for businesses that help them recoup the cost of certain assets. It is an annual allowance for the gradual loss in value or usefulness of these assets. Tangible property like buildings, machinery, vehicles, furniture, and equipment can be depreciated, and many intangible assets such as patents, copyrights, and goodwill can be amortized over time. Property ceases to be depreciable or amortizable when the business has fully recovered its cost or when it sells or retires the property from service, whichever happens first.

Note

In accounting terms, “depreciation” is an annual allowance for the wear and tear, deterioration, or obsolescence of an asset. Essentially, depreciation is a method for spreading out the cost of an asset over its expected useful life and the amount of revenue it generates.

The costs of business assets and improvements generally must be capitalized. The capitalized cost of these asset purchases may be expensed gradually over time using depreciation or amortization over the asset's estimated “useful life,” unless the asset qualifies for the section 179 deduction, bonus depreciation, or certain specified safe harbor exceptions.

Definition of Useful Life

In general, an asset's “useful life” is usually the period of time for which the asset will be economically useful in a business. This can vary based on a number of factors, but the IRS has established asset classes for most types of property and equipment and assigns a useful life (also called a recovery period) to each asset class.

Example

Carthage Produce, Inc. is a bottling company that processes tropical fruit juice. In 2025, an older juicing machine ceases to function properly. Carthage Produce has the option to purchase a new machine for \$500,000, or completely rebuild its old machine, which will extend its useful life for another five years. Carthage Produce chooses to rebuild the old machine at a cost of \$125,000. Since the cost of the rebuild extended the useful life of the machine for several more years, the \$125,000 cost must be capitalized and depreciated over time based on its class life.

Basic Depreciation Rules

The cost of land cannot be depreciated. Most other types of tangible property, such as buildings, machinery, vehicles, furniture, and equipment, are depreciable. Likewise, certain intangible property, such as patents, copyrights, and certain computer software, is amortizable. In order to be depreciated or amortized, an asset must meet all the following requirements:

- **Ownership:** The taxpayer must have ownership of the property.
- **Used in a trade or business:** The property must be used for business. If used for both business and personal use, only the business portion is deductible.

- **Useful life:** The property must have a useful life that extends beyond one year.

Example

Dr. Ahmed is a dentist who leases his medical office inside a larger office building. With the property owner's permission, Dr. Ahmed decides to construct two small interior spaces for his dental hygienist and his bookkeeper. These are leasehold improvements, and they are "qualified improvement property," which are enhancements to the interior of a building. Dr. Ahmed's construction costs are depreciable, even though he does not own the building itself.

Example

Brilliant Bridal, Inc. is a store that specializes in bridal fashions. The owners of the shop do not own the building. During the year, Brilliant Bridal renovates the interior of the store, partitioning the space into smaller areas. The total cost of the renovation is \$32,000 and is treated as a leasehold improvement. The cost of the improvements can be depreciated by Brilliant Bridal, even though the business does not own the building.

To properly depreciate an asset, the business must determine the following: the depreciable basis of the property; the depreciation method for the property; the class life (which is representative of the asset's useful life); whether the asset is listed property; whether the business elects to expense any portion of the asset; and whether the asset qualifies for bonus depreciation.

Example

Phillip owns, breeds, raises, and trains champion horses for the purpose of racing. Phillip purchases a new stallion during the year for \$36,000. The stallion is a registered thoroughbred retained specifically for breeding. This animal is considered as held for breeding purposes and can be depreciated using accelerated methods (either section 179 or bonus depreciation) or by using MACRS depreciation.

Modified Accelerated Cost Recovery System (MACRS)

The Modified Accelerated Cost Recovery System (MACRS) is the current tax depreciation system in the United States. Under MACRS, depreciable assets are divided into separate classes that dictate the number of years over which their cost can be recovered. Each MACRS class has a schedule that specifies the percentage of the asset's cost that is depreciated each year. For example, computers are depreciated over five years, and office furniture is depreciated over seven years.

MACRS is the default depreciation method generally used for most tangible property. Real property is depreciated using the straight-line method, with an equal amount of expense each year. Nonresidential real property, such as office buildings, shopping malls, and factories, is depreciated over a 39-year recovery period. Residential buildings, such as apartment complexes and residential rentals, are depreciated over a 27.5-year period.

MACRS Class Lives

Class Life	Asset Type
5-year property	Computers; office machinery; small aircraft, automobiles, taxis, buses, and trucks; breeding cattle and dairy cattle; appliances, carpets, and furniture used in residential rental activity. NEW agricultural machinery and equipment.
7-year property	Office furniture and fixtures; grain bins, cotton ginning equipment, USED agricultural machinery and equipment, and any other property that does not have a designated class life.
10-year property	Vessels and water transportation equipment; trees or vines bearing fruit or nuts; single-purpose agricultural or horticultural structures (such as a grain silo, piggery, greenhouse).
15-year property	Land improvements such as fences, roads, and bridges; municipal wastewater treatment plants; qualified improvement property.
20-year property	Certain farm buildings, such as pole barns, machine sheds, and multi-purpose farm buildings (does not include single-purpose agricultural or horticultural structures).
25-year property	Certain municipal sewers; water utility property, including property integral to the gathering, treatment, or commercial distribution of water.
27.5-year property	Residential rental property, if more than 80% of its gross rental income is from dwelling units.
39-year property	Any nonresidential real property, such as office buildings, stores, commercial malls, factory buildings, and warehouses (section 1250 property). Also includes escalators and elevators installed inside nonresidential buildings.

Reporting Depreciation

A business uses Form 4562, Depreciation and Amortization, to: claim deductions for depreciation and amortization; make an election under section 179 to currently expense certain depreciable property; claim bonus depreciation for qualified property; and provide information on the business use of automobiles and other listed property. Depreciation begins when a taxpayer places the property in service of a trade or business or for the production of income.

Example

On June 23, 2025, Martine bought a residential rental property. She made several repairs and had it ready for rent on September 1, 2025. At that time, she began to advertise the home for rent. Martine did not find a tenant until November 10, 2025. She can begin to depreciate the rental property on September 1, 2025, and start taking other rental expenses because the property is considered “placed in service” when it is ready and available for rent.

Non-depreciable Assets

Assets that are considered non-depreciable usually have an undetermined lifespan or serve as a means of preserving value rather than generating income through usage. Land is the most common example. Non-depreciable assets include:

- Raw land (although land improvements, such as fences, paved walkways, drainage, landscaping, bridges, and roads, can be depreciated).
- Property placed in service and disposed of in the same year, or any property with a useful life of one year or less.
- Property that is only for personal use (such as a vacation home that is never rented).
- Inventory, or any other property “held for sale” for customers.
- Section 197 intangibles such as copyrights, patents, franchises, non-compete agreements, and goodwill. These intangible assets must be amortized, not depreciated.

Example

Alma is a self-employed bookkeeper who offers payroll services. She must purchase new bookkeeping and payroll software every year. Alma does not have to depreciate the software but may instead deduct its entire cost in full when paid as a business expense since the software has a useful life of only one year.

Example

Kenton is a part-time videographer. He advertises his video services online and does wedding videography. He also uses his videography equipment to record various family functions. He uses the equipment approximately 60% of the time for business, and the rest (40%) for personal use. The cost of the equipment must be allocated between business and personal use based on these percentages.

Example

Fresno Auto Dismantlers, Inc. buys an industrial car-crushing machine. The machine is delivered on December 26, 2025. However, the machine is not installed and operational until January 12, 2026. It is not considered “placed in service” until 2026, and the first depreciation expense deduction cannot be claimed until 2026. If the machine had been ready and available for use when it was delivered, it would have been considered “placed in service” in 2025, even if it were not actually used until the following year.

Depreciation Methods Under MACRS

Once a business places property in service, it must generally continue to use the same depreciation method for that property. If the business needs to correct an improper depreciation method or make certain other depreciation changes, it generally files Form 3115, Application for Change in Accounting Method. Some changes are automatic, while others require IRS approval.

Note

Under the MACRS system, the tax code builds in an automatic switch from the declining balance method to the straight-line method in the year that straight-line provides an equal or greater deduction. This automatic switch does not require prior IRS consent.

Straight-Line Depreciation

This is the simplest depreciation method. It deducts the cost of property evenly over its recovery period. Under MACRS, the straight-line method is required for residential rental property and nonresidential real property, and a business may also elect to use the straight-line method for certain other MACRS property. For MACRS property, depreciation is figured using the asset's basis, recovery period, and the applicable convention. In general, straight-line depreciation is calculated by dividing the asset's cost or other basis by its recovery period ($\text{Cost or Other Basis} \div \text{Recovery Period}$). The yearly deduction may need to be adjusted for the applicable convention — nonresidential real property and residential rental property use the mid-month convention, while most personal property uses the half-year convention unless the mid-quarter convention applies.

Example

On April 1, 2025, Greystone Software, Inc. purchased an advanced computer testing system for \$40,000. The business elects to take straight-line depreciation. The system is 5-year property, and the half-year convention applies in the first year. Depreciation for 2025 = $(\$40,000 \div 5 \text{ years}) \times (6 \div 12) = \$4,000$. Depreciation for 2026 = $(\$40,000 \div 5 \text{ years}) \times (12 \div 12) = \$8,000$.

Note

The half-year convention means personal property is treated as if it were placed in service in the middle of the year, even if it was actually purchased earlier or later in the year. That is why Greystone is allowed only 6 months of depreciation in 2025. The remaining depreciation is spread over the rest of the recovery period, with the last half-year deducted in the final year.

The Double-Declining Balance Method

For most tangible personal property depreciated under MACRS, the default method is the 200% declining-balance method of depreciation. This method gives larger depreciation deductions in the earlier years and smaller deductions in the later years. Instead of spreading the cost evenly, this method applies a constant depreciation rate to the asset's declining adjusted basis. Under MACRS, the applicable convention must also be considered, and the tax law automatically switches to the straight-line method in the year that straight-line gives an equal or greater deduction. For example, if property has a 5-year recovery period, the 200% declining-balance rate is 40% ($2 \div 5$).

Example

Marblewood Farms purchases a tractor for \$20,000 on January 1, 2025. The tractor is 5-year MACRS property, and the business does not claim any special depreciation allowance. Using the 200% declining-balance method and the half-year convention:

2025: rate = $2 \div 5 = 40\%$; full-year depreciation = $\$20,000 \times 40\% = \$8,000$; half-year convention applies, so $\$8,000 \times \frac{1}{2} = \$4,000$.

2026: adjusted basis = $\$20,000 - \$4,000 = \$16,000$; depreciation = $\$16,000 \times 40\% = \$6,400$.

2027: adjusted basis = $\$16,000 - \$6,400 = \$9,600$; depreciation = $\$9,600 \times 40\% = \$3,840$.

This gives deductions of \$4,000 in 2025, \$6,400 in 2026, and \$3,840 in 2027. The tax law automatically switches to straight-line in the year that gives an equal or greater deduction.

The Section 179 Deduction

The section 179 deduction is a special allowance that allows a business to elect to potentially take a full deduction for the cost of new or used property in the first year it is placed in service, rather than depreciating it over its useful life. The section 179 deduction may be elected on an item-by-item basis. The deduction is adjusted for inflation every year.

In 2025, businesses can expense up to \$2,500,000 in qualified asset purchases under section 179. The phaseout threshold is \$4,000,000 in 2025: the maximum 179 deduction is decreased by \$1 for each \$1 of section 179 eligible property placed in service in excess of \$4,000,000. No section 179 election is permitted once the total section 179-eligible property placed in service for the year exceeds \$6,500,000 (in 2025). This limit is often called the section 179 “spending cap.”

Example

Arcade Games, Inc. is a corporation that manufactures pinball machines. In 2025, the company places new manufacturing equipment into service. The total cost of the equipment (a section 179-eligible asset) is \$7,500,000. Arcade Games is not eligible for the Section 179 election at all because the cost of the property exceeds the spending cap. The business may still depreciate the cost of the equipment using bonus depreciation, or, if it elects out of bonus depreciation, regular depreciation.

To qualify for the section 179 deduction, the property must: be eligible property; be acquired for business use and used more than 50% for business; have been acquired by purchase (not by inheritance or as a gift); and not have been acquired from a related party. For purposes of this rule, “related parties” only includes a spouse, ancestors, or lineal descendants (the family attribution rules do not apply to siblings for purposes of section 179). To claim section 179, businesses must file IRS Form 4562 and attach it to their tax return.

Example

Pedro is a farmer who grows barley and millet. His father, Manuel, owned the farm before Pedro and left the farm and all the farm machinery to Pedro in his will. One inherited asset was a combine harvester. Pedro's tax advisor informs him that he is not eligible to take the section 179 deduction for the combine harvester, because the machinery was acquired by inheritance rather than by purchase. Pedro is still eligible to take regular MACRS depreciation on the harvester.

The section 179 deduction is not eligible for land, intangible assets (except off-the-shelf computer software), inventory, or property that is primarily used outside the United States. Property is

considered “placed in service” when it is “ready and available” to use for the production of income, even if the item is not being currently used.

Eligible Section 179 Property

Eligible section 179 property includes the following:

- **Section 1245 property** (tangible personal property used in a business, such as machinery, office furniture, vehicles, and equipment). This includes gasoline storage tanks and pumps at retail service stations; property primarily used for lodging (furniture and appliances in dormitories, hostels, or inpatient drug centers), but not regular residential rentals; and livestock, including horses, cattle, hogs, sheep, and goats.
- **Off-the-shelf computer software** (software that is publicly available for purchase and use).
- **Qualified section 179 real property:** Qualified improvement property (QIP) under IRC Sec. 168(e)(6) — new interior doors, new lighting fixtures, drywall installation or replacement; and property used in nonresidential buildings, specifically roofs, HVAC property, fire protection systems, and alarm and security systems.
- **Single-purpose agricultural or horticultural structures** (greenhouses, hog houses, poultry barns, livestock sheds, etc.).
- **Storage facilities** used in connection with distributing petroleum.

Example

Demetrius owns Sporty Fashions, LLC and a commercial building used for clothing manufacturing. On January 20, 2025, Demetrius purchases an industrial ventilation system at a cost of \$2,780,000, and did not purchase any other qualifying business assets during the year. He claims \$2,500,000 of the ventilation system's cost as a Section 179 deduction in 2025, the maximum election he can take. The remaining \$280,000 can be depreciated over the asset's useful life.

Note

The TCJA expanded the definition of Section 179 property to include depreciable property used in connection with furnishing lodging. This includes furniture, refrigerators, ranges, and other equipment used in the living quarters of a lodging facility such as a dormitory.

Example

Redwood Recovery, Inc. is an inpatient alcohol and drug recovery facility offering dormitory housing. In 2025, Redwood Recovery purchases new beds and mattresses for all the dormitory rooms at a total cost of \$27,000. The company can potentially deduct the entire cost under section 179, under the expanded rules for qualifying property.

Example

Stellar Property Developers, LLC owns a commercial office building rented exclusively to business tenants (nonresidential real property). In 2025, Stellar installs a new security alarm system at a cost of \$19,550. The cost of the security system is eligible for expensing under section 179.

Qualified Improvement Property does not include: any enlargement of the building; any elevator or escalator; or the expansion of the internal structural framework of the building.

Example

Summerwood Property Brokers, Inc. owns a shopping center rented to independent retailers. In 2025, Summerwood installs a new escalator inside the building at a cost of \$152,000. The escalator is not “qualified improvement property,” so it is not eligible for section 179 expensing. Summerwood cannot claim accelerated depreciation for the escalator but can depreciate its cost using MACRS over its useful life.

Section 179 is more flexible than bonus depreciation. A business may claim Section 179 on some assets and not others, and a Section 179 election can be made on either the full cost or any portion of the cost of an eligible asset. The section 179 deduction for the current year may not exceed taxable business income for the year, calculated without regard to the section 179 deduction itself and certain other items. The deduction cannot be used to generate or increase a business loss. However, an amount disallowed due to the taxable income limitation may be carried over for an unlimited number of years.

Example

Mai is a self-employed enrolled agent who opened her tax preparation business on January 15, 2025. She purchases tax-preparation software for \$2,900, a computer system for \$6,700, and a multi-telephone line system for \$4,400 during the year. All of the property is Section 179 eligible. After her other business expenses, her net income for the year is \$10,000. She could claim Section 179 on all her asset purchases and bring her income down to zero, but she wants to make an IRA contribution. She claims Section 179 only on the software, leaving plenty of taxable income on her Schedule C to make a maximum IRA contribution.

Note

The section 179 deduction is not automatic — it is an election that a business may choose to take each year, assuming the business has qualifying property. A business must “elect in” to take section 179 on an asset. Bonus depreciation is the opposite — a business must “elect out” of bonus depreciation, otherwise it will automatically apply.

For partnerships, the section 179 limits apply to both the partnership and to each individual partner. The partnership determines its deduction subject to these limits and then allocates the deduction among the partners. Each partner then considers the amounts allocated based upon their interest in the partnership and from any other sources in relation to the same limits.

Auto Depreciation Limits

There are limits on depreciation deductions for business vehicles. The amount a taxpayer may deduct depends on the type of vehicle, its gross vehicle weight, the percentage of business use, and whether the vehicle qualifies for bonus depreciation. Under the OBBBA, 100% bonus depreciation is reinstated and made permanent for qualified property acquired and placed in service after

January 19, 2025. For qualified property acquired before January 20, 2025, and placed in service during 2025, the bonus depreciation rate remains 40%.

A business cannot elect to expense more than \$31,300 in 2025 under Section 179 for any heavy sport-utility vehicle (SUV) and certain other vehicles placed in service during the year. This rule generally applies to four-wheeled vehicles rated at more than 6,000 pounds gross vehicle weight and not more than 14,000 pounds gross vehicle weight that are primarily designed or used to carry passengers. However, certain vehicles are excluded from this special \$31,300 limit, such as vehicles with seating for more than nine passengers behind the driver, certain pickup trucks with a cargo area at least 6 feet long, and certain cargo vans. Passenger automobiles are subject to the luxury automobile depreciation limits under IRC §280F, which cap the total depreciation deduction, including any amount claimed under §179 or bonus depreciation.

Vehicle Weight	Examples	2025 Depreciation / §179 Limits
6,000 lbs. or less	Passenger cars, light trucks, sedans, minivans	Luxury auto limits: First year: \$20,200 Second year: \$19,600 Third year: \$11,800 Each succeeding year: \$7,060
6,001 – 14,000 lbs.	Large SUVs, full-size pickup trucks, and large vans	Subject to the heavy-SUV limit of \$31,300 for Section 179 (but eligible for bonus depreciation).
Over 14,000 lbs.	Transit bus, school bus, semi-trucks, etc.	No depreciation limits or §179 limits.
Qualified “nonpersonal-use” vehicles	Hearse, police cars, shuttle vans, tractors, ambulances, utility repair trucks, etc.	No depreciation or §179 limits; fully deductible, regardless of vehicle weight.

Example

Airport Shuttle Service, Inc. purchased an \$85,000 shuttle bus in 2025. The shuttle weighs 8,900 pounds, seats 10 passengers, and is used 100% for business. Because the vehicle is designed to carry more than 9 persons behind the driver, it is not subject to the special \$31,300 Section 179 limit for heavy SUVs. If the business otherwise qualifies for Section 179, it may elect to expense the full \$85,000 cost in the year the shuttle is placed in service.

Example

Rayburn is a licensed electrician who files Schedule C. He buys a cargo van for his business for \$28,000. The van has only front seating, and he pays an additional \$2,600 to install shelving in the cargo area. The van is used 100% for business. However, a cargo van is not automatically treated

as a qualified nonpersonal-use vehicle just because it has shelving and no rear seats. If the van does not meet the qualified nonpersonal-use vehicle rules and weighs 6,000 pounds or less, it may still be subject to the passenger automobile depreciation limits.

Bonus Depreciation (Special Depreciation Allowance)

Bonus depreciation is sometimes called the special depreciation allowance. Unlike the section 179 deduction, bonus depreciation is not limited by the business's taxable income, so it can create a net operating loss (NOL). Under current law, 100% bonus depreciation is restored for qualified property acquired and placed in service on or after January 19, 2025. For property subject to the pre-January 20, 2025, rule, the 40% bonus depreciation rate still applies in 2025. This means 2025 can be a split year for bonus depreciation: some property placed in service during 2025 will qualify for 40% and other property for 100%, depending on when it was acquired and placed in service.

Transitional Election for Reduced Bonus Depreciation Percentage (2025 Only)

Although the OBBBA restored 100% bonus depreciation for qualified property acquired and placed in service on or after January 19, 2025, not all taxpayers benefit from maximizing current-year deductions. Claiming full bonus depreciation may create or increase an NOL that cannot be fully utilized, or may reduce deductions that would otherwise offset higher income in future years. To address this, the OBBBA provides a transitional election for the first taxable year ending after January 19, 2025. Under this election, a taxpayer may choose to apply the bonus depreciation percentages that would have applied under prior law instead of the restored 100% rate. If the election is made, the bonus depreciation percentage for property acquired and placed in service on or after January 19, 2025, is limited to 40% for standard qualified property, 60% for qualified property with longer production periods and certain aircraft, and 40% for specified plants that are planted or grafted.

Example

Blue Ridge Farms purchases a new combine for \$500,000 on June 1, 2025, and places it in service immediately. Because the combine is acquired and placed in service after January 19, 2025, the farm qualifies for 100% bonus depreciation and may deduct the full \$500,000 in 2025. However, Blue Ridge Farms may instead elect the transitional reduced bonus depreciation percentage for 2025. If so, the farm deducts 40% of the cost (\$200,000) as bonus depreciation, and the remaining \$300,000 is depreciated over the combine's applicable MACRS recovery period.

Qualified Property

The definition of “qualified property” for bonus depreciation is slightly different than for section 179. Qualified property for bonus depreciation includes:

- Tangible personal property with an applicable MACRS recovery period of 20 years or less.
- Water utility property.
- Off-the-shelf computer software.

- Qualified film, television, and live theatrical productions.
- Qualified sound recording productions.
- Specified plants, including certain fruit or nut-bearing trees and vines.
- Qualified Improvement Property (QIP).

In general, bonus depreciation may apply to both new property and used property, as long as the property meets the required acquisition rules. For example, the taxpayer cannot have used the property before acquiring it, and the property generally cannot be acquired from a related party.

Example

Interweave Music Group, Inc. purchased \$10 million in sound mixing equipment for use in its sound production business. The equipment was installed and ready for use on May 25, 2025. Interweave cannot claim section 179 because \$10 million is above the section 179 “spending cap.” However, the business can use bonus depreciation to deduct 100% of the cost of the equipment in 2025.

Qualified Production Property (QPP)

OBBA also created a separate temporary 100% special depreciation allowance for Qualified Production Property (QPP). This rule applies to certain nonresidential real property used as an integral part of a qualified production activity (generally manufacturing, refining, agricultural production, and chemical production). To qualify, among other requirements, construction of the property must begin after January 19, 2025, and before January 1, 2029, and the property must be placed in service after July 4, 2025, and before January 1, 2031. This rule is much narrower than the normal bonus depreciation rules and does not apply to most buildings.

Example

PrairieChem, LLC constructs a new facility used exclusively for chemical production. Construction begins in February 2025, and the facility is placed in service in November 2025. Although nonresidential real property is generally depreciated over 39 years, the facility qualifies as Qualified Production Property. As a result, PrairieChem may claim a 100% special depreciation allowance and deduct the full cost of the building in the year it is placed in service.

Non-Qualifying Property

Bonus depreciation does not apply to all business property. In general, it does not apply to: raw land; most buildings and other real property (unless a special rule applies, such as QIP or QPP); intangible property, such as patents, franchises, and copyrights; and certain property used primarily in the trade or business of furnishing or selling electrical energy, water or sewage disposal services, gas or steam through a local distribution system, or transportation of gas or steam by pipeline.

Example

Eagle Construction, Inc. purchases a patent and a large plot of raw land it intends to use for materials storage. The company spends \$73,000 on the patent and \$495,000 on the land. Neither

asset qualifies for bonus depreciation or section 179. The land is real property and is not depreciable. The patent is an intangible asset. Eagle Construction may not depreciate the land, but it may amortize the patent over 15 years.

Ordering Rules

There is an “ordering rule” for accelerated depreciation, but only if a taxpayer claims section 179 and bonus depreciation in the same year. The section 179 deduction is considered first (because it cannot produce a loss), followed by bonus depreciation (which can produce a loss), and then by regular depreciation (if any). Unlike section 179, bonus depreciation does not have a dollar limitation or a spending cap. If a business does not qualify to take the section 179 deduction, then the ordering rules do not apply, and any qualifying property will be subject to bonus depreciation, unless the taxpayer elects out. A taxpayer is never required to take any accelerated depreciation, but they have to elect out of bonus depreciation on a timely-filed return.

Example

Cobalt Mining, Inc. purchases an industrial excavator for its quarrying business on November 30, 2025, for \$7.5 million. The cost exceeds the section 179 spending cap, so the company cannot claim section 179. However, Cobalt Mining may deduct 100% of the asset's cost in 2025 by taking bonus depreciation. It may also elect out of bonus depreciation and use a less accelerated method (like straight-line). A business cannot delay claiming bonus depreciation to a future tax year — it must claim bonus depreciation in the year the asset is first placed in service.

Electing Out of Bonus Depreciation

A taxpayer is not required to claim bonus depreciation. However, to opt out, the election must be made on a timely filed return (including extensions). The election is made by class of property and applies to all qualified property in that class placed in service during the year (e.g., a taxpayer may elect out for 5-year property without electing out for 7-year property). If a taxpayer does not properly elect out, depreciation must be computed as if bonus depreciation had been claimed, even if the taxpayer did not actually deduct it.

Example

Roswell Farms, Inc. purchases several large business assets during the year: livestock fencing for \$695,000 (15-year property), a steel grain silo for \$500,000 (10-year property), and industrial farming machinery for \$5.5 million (7-year property). Roswell cannot take Section 179 because it has exceeded the spending cap, but it does qualify for bonus depreciation. Because these are different MACRS asset classes, Roswell may choose to elect out of bonus for any of these assets separately, or take bonus on all of them.

Note

Businesses who elect out of bonus depreciation must do so every year, on a timely-filed return. Businesses who have already timely filed their current-year return and did not elect out but still wish to do so have six months from the original filing deadline (without an extension) to file an amended return to elect out of bonus depreciation.

Example

Bayside Advisors, LLC is a single-member LLC taxed as a sole proprietorship. In 2025, the owner, Randy Jones, is in the 10% tax bracket. On December 1, 2025, Bayside invests \$30,000 in a new computer system. Electing 179 would give the largest deduction in 2025, but only a \$3,000 income tax savings given his 10% bracket. Randy expects to be in the 35% bracket in future years, so he decides not to elect 179 and to opt out of bonus depreciation, instead using straight-line depreciation to allocate the deductions evenly over years when he expects higher income.

Example

Jenny owns Jenny's Morning Brew, a coffee kiosk (Schedule C), and also rents out a residential property (Schedule E). This year, Jenny purchased a new commercial espresso machine for \$4,000. Before depreciation, she has \$7,800 of taxable income from the kiosk and \$39,000 in rental income. Her goal is to contribute the maximum to a traditional retirement plan, but only the kiosk income qualifies. To ensure enough qualifying earned income, Jenny declines the 179 election and bonus depreciation and opts for straight-line depreciation on the espresso machine.

Listed Property

Listed property is certain property used by taxpayers in a business which is also frequently used for personal purposes. To avoid abuse of depreciation deductions, Congress enacted the “listed property” rules, subjecting these deductions to special rules and more stringent recordkeeping requirements. The IRS includes the following as listed property: any passenger vehicle used for transportation (a “passenger automobile” is any four-wheeled vehicle rated at 6,000 pounds or less of unloaded gross vehicle weight, unless it is an excepted or nonpersonal-use vehicle); and property used for entertainment, recreation, or amusement, such as photographic or video recording equipment.

The Tax Cuts and Jobs Act removed computers and peripheral equipment from the definition of listed property. Computer equipment used exclusively at a business location is never considered listed property. If an item is used for both business and personal purposes, deductions for depreciation and section 179 are limited to the percentage of business use. Further, if the taxpayer's business use percentage is not more than 50%, section 179 deductions and bonus depreciation allowances are not allowed, and depreciation must be calculated using the straight-line method.

Example

In 2025, Gillian buys and places in service new videography equipment that costs \$4,000. She uses the equipment 80% for her film business and 20% for personal purposes. She can deduct \$3,200 under section 179 for the business portion of the cost ($80\% \times \$4,000$).

Amortization

Amortization is the method used to recover the cost of certain intangible assets over a specified period. Most intangible assets are not eligible for section 179, except for certain off-the-shelf computer software. Intangible property is property that has value but cannot be seen or touched. Examples include copyrights, trademarks, trade names, franchises, customer lists, and goodwill. A business may also amortize certain start-up and organizational costs. In general, most intangible assets are designated by law as section 197 intangibles and must be amortized, straight-line, over a 15-year period (180 months). Examples of intangible assets that fall under section 197 include franchise rights, goodwill, going concern value, a covenant not-to-compete, and customer lists.

Example

Dr. Elisha Smith is an optometrist purchasing the practice of a retiring optometrist, Dr. Howard Wilson. Dr. Wilson's practice is valued at \$1 million, of which \$850,000 is attributed to tangible assets (medical equipment, leasehold improvements, and office furnishings). The remaining \$150,000 is attributed to goodwill, which Dr. Elisha Smith must amortize over 15 years. Her goodwill amortization deduction is \$10,000 a year ($\$150,000 \div 15$).

A very common example is the cost of a "covenant not-to-compete" executed in connection with the acquisition of a trade or business. As a section 197 intangible asset, a covenant not-to-compete would be amortized over 15 years, even though the covenant agreement may be in place for a shorter period.

Example

Hudson is a CPA who purchases a profitable accounting practice from a retiring practitioner, Janice, for \$1.8 million. As part of their agreement, Janice agrees not to solicit clients or compete within Chicago for the next seven years. The valuation expert calculates this non-compete to be worth \$240,000 of the total purchase price. Hudson must amortize the non-compete clause over 15 years, even though it only lasts for seven years.

Example

Elowen is a lawyer in Miami who purchases a law practice from another attorney, Robert, for approximately \$2.3 million. Robert agrees not to solicit clients or compete within Florida for the next five years. The non-compete contract is determined to be worth \$495,000 of the purchase price. Elowen must amortize the non-compete clause over 15 years, even though it only lasts for five years.

Depletion

Depletion is the method of cost recovery for natural resources. Depletion refers to the exhaustion of a natural resource as a result of production, such as by mining, quarrying, or cutting (of timber). Depletion is comparable to depreciation, which spreads the cost of tangible fixed assets over their useful life. Mineral property, timber, and natural gas are all examples of natural resources subject to depletion. There are two ways of figuring depletion: cost depletion and percentage depletion.

Some businesses employ cost depletion at the outset of operations and then convert to percentage depletion later when percentage depletion yields a more sizable deduction.

Cost Depletion

This method allocates the cost of a natural resource over the total anticipated volume to yield cost depletion per unit (expressed in tons, barrels, etc.). A depletion deduction is then allowed each year based on the units exploited: $\text{Property's basis for depletion} \div \text{Total estimated recoverable units} = \text{Depletion per unit}$; then $\text{Depletion per unit} \times \text{Units sold during the year} = \text{Cost depletion deduction}$.

Example

In 2025, Elroy buys a timber farm and estimates the timber can produce 300,000 lumber units when cut. At the time of purchase, the adjusted basis of the timber is \$24,000. Elroy cuts and sells 27,000 lumber units during the year. Elroy's depletion rate for each unit is \$0.08 ($\$24,000 \div 300,000$). His deduction for depletion in 2025 is \$2,160 ($27,000 \times \0.08).

Percentage Depletion

Under this method, a flat percentage of gross income from the property is taken as the depletion deduction. Percentage depletion is a tax benefit available to oil and gas investors as an incentive to develop domestic mineral and energy production. Percentage depletion may not be used for timber, and its use for oil and gas properties is subject to strict limits. To figure percentage depletion, the business or investor multiplies a certain percentage, specified for each mineral, by gross income from the property during the year. The percentage is set by law and varies by mineral type (for example, the depletion rate set by the IRS for oil and gas wells is 15%).

Example

Stanton Energy, LLC purchases raw land for investment, and oil reserves are discovered on the land. In the first year, Stanton Energy extracts \$1 million of oil from the well. This results in a percentage depletion deduction of \$150,000 ($\$1 \text{ million gross income} \times 15\% \text{ depletion charge}$).

Section 179 versus Bonus Depreciation

Provision	Section 179	Bonus Depreciation
First use	Property may be used or new	Property may be used or new
Annual limits	\$2.5 million in 2025 (adjusted for inflation)	No dollar limit
Related-party rules	Property cannot be acquired from a related party	Cannot be acquired from a related party unless new property
Election	Taxpayer must elect in. May elect §179 for specific assets and expense all or part of the cost of a qualifying asset.	Automatic — a taxpayer must elect out to not claim bonus depreciation. Electing out is handled class-by-class.
Delinquent filers	Allowable on a delinquent return. Never mandatory.	Mandatory unless the taxpayer opts out on a timely-filed return.
Statutory end date	None; section 179 is permanent.	100% reinstated and made permanent by OBBBA for property placed in service on or after Jan 19, 2025; 40% for property placed in service before Jan 19, 2025.
Revocations	Revocations allowable until the statute of limitations on the return has passed.	Election out of bonus depreciation must be made on a timely filed return.
Property cap	Phaseout begins at \$4.0 million. No deduction once eligible property placed in service exceeds \$6.5 million in 2025.	None. Available to most business types, regardless of size or gross receipts.
Qualified property	• Tangible personal property • QIP • Roofs, HVAC, fire protection, alarm and security systems • Off-the-shelf software • Single-purpose agricultural or horticultural structures	• Tangible personal property with a MACRS recovery period of 20 years or less • Qualified film, TV, and live theatrical productions • Off-the-shelf software • Trees bearing fruits and nuts; land improvements • Qualified Improvement Property (QIP) • QPP and qualified sound recording productions (after July 4, 2025)

Notes & References

1. Taxpayers may claim depreciation on capital improvements made to a leased property (e.g., building a fence on rented land). These are known as “leasehold improvements.”
2. Under IRC Section 168, Qualified Improvement Property (QIP) encompasses any non-structural improvements made by the taxpayer to the interior of a commercial real property.
3. The TCJA shortened the depreciation period for new farming equipment from 7 years to 5 years; used farming equipment still has a 7-year recovery period. The TCJA also eliminated the requirement of using the 150% declining-balance method for farming business property.
4. Section 179 for livestock does not include livestock inventory (livestock held for sale to customers). Inventory is never eligible for section 179 or bonus depreciation.
5. A “single-purpose agricultural or horticultural structure” must be used solely and exclusively for the purposes it was designed for (e.g., a greenhouse used exclusively for growing plants).
6. The TCJA added qualified film, television, and live theatrical productions as bonus-eligible property; such a production is “placed in service” at the time of initial release, broadcast, or live performance.
7. The CARES Act assigned a 15-year recovery period to qualified improvement property (QIP), retroactive to property acquired and placed in service beginning January 1, 2018.
8. Rev. Proc. 2019-33 lets taxpayers make a late election (or revoke a prior election) under section 168(k) by filing an amended return or Form 3115 — available only to taxpayers who filed timely returns.

STUDY UNIT 8

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following types of property can be depreciated?
 - a) Land
 - b) Office building used by a business
 - c) Inventory
 - d) Personal-use vehicle
2. If a business elects section 179 and does not elect-out of bonus depreciation in the same year, bonus depreciation is taken:
 - a) After a section 179 deduction is taken.

- b) Before a section 179 deduction is taken.
 - c) Before section 179 and regular MACRS deductions are taken.
 - d) After section 179 and regular MACRS deductions are taken.
3. What is the Modified Accelerated Cost Recovery System (MACRS)?
- a) An accounting system for valuing inventory.
 - b) The current tax depreciation system in the United States.
 - c) A method for calculating business credits.
 - d) A method for calculating sales tax for a municipality.
4. Zehra is a licensed family therapist who works out of her home. She purchases a new computer for \$1,100. She uses the computer 75% for her business and 25% for personal purposes. Ignoring any income limitations, what is Zehra's section 179 deduction?
- a) \$0
 - b) \$275
 - c) \$825
 - d) \$1,100
5. Hamid owns a construction company. He purchases used construction equipment from his grandfather and places it in service in 2025 as part of a bona fide business transaction. The equipment costs \$10,500. Which of the following statements is correct?
- a) Hamid can claim a section 179 deduction for the equipment.
 - b) Hamid can claim regular MACRS depreciation on the equipment.
 - c) Hamid is not allowed to depreciate the equipment because it was purchased from a related party.
 - d) Hamid may expense the machinery as supplies.
6. Hitoshi owns a pizza restaurant by becoming a franchise owner of Papa's Yummy Pizza. After being in business for six months, Hitoshi purchases new kitchen equipment, a new point-of-sale computer system, and paid for franchise rights. He wants to take section 179 for all his qualifying asset purchases. If his taxable income, before any potential section 179 deduction, is \$590,000, what is his allowable section 179 deduction for the year?

New POS computer system **\$15,000**

New kitchen equipment **\$190,000**

Franchise rights **\$25,000**

Total asset purchases **\$230,000**

a) \$15,000

b) \$190,000

c) \$205,000

d) \$230,000

7. On April 1, 2025, Klaus buys a medical office building that he plans to rent out to business tenants. He made several repairs to the building and had it ready for rent on August 1, 2025. He advertised the property but did not get his first tenant until December 1, 2025. The tenant signed the lease on January 1, 2026, and moved in on that date. Which month can he begin depreciating the property?

a) April 2025

b) August 2025

c) December 2025

d) January 2026

8. Which of the following would not qualify for a depletion deduction?

a) Oil well

b) Timber

c) Dairy farm

d) Diamond mine

9. Using MACRS, what is the recovery period for depreciating a commercial office building?

a) 20 years

b) 25 years

c) 27.5 years

d) 39 years

10. Which of the following vehicles is considered “listed property” for tax purposes?

- a) An ambulance
- b) A hearse
- c) A marked police car
- d) A compact passenger automobile

11. Which of the following assets would be amortized?

- a) Office furniture
- b) Machinery
- c) Patent
- d) Vacation home

12. Which of the following types of business property qualifies for the section 179 deduction?

- a) A delivery truck.
- b) A business building.
- c) A residential rental property.
- d) A patent.

13. Alessandra is a 1% owner in an oil well. She receives oil and gas royalties during the year from her interest in the activity. She does not work in the business at all; she is merely an investor. The oil company pays her \$25,000 in gross royalties during the year. For oil and gas royalty owners, percentage depletion is calculated using a rate of 15% of gross income. The only other income she has for the year is \$45,000 in wages. Based on this information, what would Alessandra's depletion deduction be, and how would it be reported?

- a) Depletion deduction of \$10,500, reported on Schedule E.
- b) Depletion deduction of \$3,750, reported on Schedule C.
- c) Depletion deduction of \$3,750, reported on Schedule E.
- d) Depletion deduction of \$3,750, reported as an adjustment to income on Schedule 1.

14. Edwin is a sole proprietor who buys a new cell phone for \$1,720. Based on his phone records, Edwin uses the cell phone 45% for business use and 55% for personal use. Ignoring any income limitations, what is his section 179 deduction?

- a) \$0

- b) \$324
- c) \$774
- d) \$1,720

15. Friendship Dentistry, Inc. bought out Cavity Busters Dentistry. The sale included dental supplies, furniture, fixtures, dental equipment, and goodwill of the existing practice. The contract also included a do-not-compete clause, detailed below. Based on this information, what is the total dollar amount of the assets that must be amortized, and how long is the required amortization period?

Dental Supplies **\$4,000**

Furniture **\$16,500**

Fixtures **\$10,800**

Dental equipment **\$15,500**

Goodwill and customer list **\$60,000**

A covenant not-to-compete **\$40,000**

Total gross sales price **\$146,800**

- a) The goodwill (\$60,000) must be amortized over 60 months (5 years).
- b) The goodwill and equipment (\$75,500) must be amortized over 60 months (5 years).
- c) The goodwill and covenant not-to-compete (\$100,000) must be amortized over 15 years.
- d) The entire purchase (\$146,800) should be amortized and classified as an installment sale.

16. What determines the number of years over which the cost of a depreciable asset can be recovered under MACRS?

- a) The asset's purchase price
- b) The asset's class
- c) The asset's age
- d) The asset's placed-in-service date

17. Guthrie Construction, Inc. is a calendar-year, accrual-basis corporation that specializes in constructing office buildings. Guthrie Construction purchased a diesel truck on November 1, 2025, that had to be substantially modified for use in the business. Guthrie Construction accepted delivery of the modified truck, and it was available for use on January 10, 2026 (the following year). The truck was first used on a construction site on February 3, 2026. The truck is used 100% for business. In what month can the company start depreciating the truck?

- a) November 2025
- b) December 2025
- c) January 2026
- d) February 2026

18. Gilbert is a self-employed farmer who purchases several assets during the year to use for his farming business. Which of the following assets is Gilbert not allowed to depreciate?

- a) Machinery
- b) Farmland
- c) Livestock
- d) Fencing on the land

19. Which of the following assets is eligible for Bonus Depreciation?

- a) Factory building
- b) Qualified film production property
- c) Goodwill
- d) Common stock

STUDY UNIT 8

Answer Key & Explanations

1. The answer is **B**.

An office building is a tangible asset; if used in a business (or rented out) it can be depreciated over its useful life. Land is not depreciable, inventory is held for sale, and a personal-use vehicle is not used for business.

2. The answer is **A**.

When figuring depreciation, the section 179 deduction is used first, followed by bonus depreciation, then MACRS depreciation. This ordering rule applies only when a taxpayer elects section 179 and also takes bonus depreciation on the same asset in the same year.

3. The answer is **B**.

MACRS is the current tax depreciation system in the United States. Depreciable assets are divided into separate classes that dictate the number of years over which their cost can be recovered.

4. The answer is C.

The business part of the cost is \$825 ($75\% \times \$1,100$). Section 179 may be taken only for the business-use portion of the asset.

5. The answer is B.

The equipment does not qualify for section 179 because Hamid and his grandfather are related parties (ancestors). However, Hamid may still depreciate the asset using MACRS.

6. The answer is C.

Hitoshi may expense the kitchen equipment and computer system under section 179 ($\$15,000 + \$190,000 = \$205,000$). Franchise rights are an intangible asset not eligible for section 179 (though they may be amortized over 15 years).

7. The answer is B.

The building is considered “placed in service” in August 2025, when Klaus had it ready and available for rent. He can begin depreciating it in August, even though he did not get his first tenant until later.

8. The answer is C.

A dairy farm would not qualify, because its activity does not involve the depletion of a natural resource. Depletion is the exhaustion of natural resources such as mines, wells, quarries, and timber.

9. The answer is D.

Commercial (nonresidential) real property is depreciated over a 39-year recovery period.

10. The answer is D.

Regular passenger automobiles weighing 6,000 pounds or less are treated as listed property. Ambulances, hearses, and marked police cars are qualified nonpersonal-use vehicles, not listed property.

11. The answer is C.

A patent is an intangible asset that is amortized over its useful life. Office furniture and machinery are tangible and depreciated; a vacation home is a personal-use asset, neither depreciated nor amortized.

12. The answer is A.

A delivery truck (tangible personal property) generally qualifies for section 179. Most real estate does not qualify (except certain qualified real property), and intangible assets like patents do not qualify.

13. The answer is C.

Alessandra's depletion deduction is \$3,750 ($\$25,000 \times 15\%$), reported on Schedule E. Royalties from oil, gas, and mineral properties are ordinary income generally reported on Schedule E, not Schedule C.

14. The answer is A.

Edvin cannot claim section 179 on the cell phone because he uses it more than 50% for personal purposes (only 45% business). Section 179 requires more than 50% business use in the year placed in service. He may still claim depreciation for the business portion.

15. The answer is C.

Goodwill (\$60,000) and the covenant not-to-compete (\$40,000) are both Section 197 intangibles, totaling \$100,000, and must be amortized over 15 years (180 months). The other assets are depreciable under MACRS.

16. The answer is B.

Under MACRS, depreciable assets are divided into classes that dictate the number of years over which their cost is recovered. Each class has a schedule specifying the percentage depreciated each year.

17. The answer is C.

The truck is "placed in service" when it is ready and available for its intended purpose — January 10, 2026. Guthrie does not need to actually use it to begin depreciation, but the asset must be ready and available for business use.

18. The answer is B.

The cost of land (farmland) is not depreciable. Land improvements such as fencing are depreciable, and machinery and livestock are also depreciable.

19. The answer is B.

Qualified film, television, and live theatrical productions are qualified property eligible for bonus depreciation. A factory building, goodwill, and common stock are not eligible.

STUDY UNIT 9

Disposition of Business Assets

Further reading: IRS Publications 544, 537, and 547

There are numerous methods a business can use to dispose of an asset. These include selling, trading, exchanging, abandoning, gifting, or destroying the asset. Tax implications will differ based on the type of asset and method used. Businesses handle these dispositions differently than individuals.

A business may report a gain or loss for tax purposes if it sells an asset for cash, exchanges property through a section 1031 exchange, receives payment for canceling a lease, uses property as collateral for a debt that is later satisfied, abandons an asset, or suffers damage or loss from casualty or theft (and subsequently receives an insurance reimbursement).

A business may fully depreciate an asset until its adjusted basis is zero but continue to use the asset thereafter. If the same asset, with a zero adjusted basis, is later sold or otherwise disposed of, its adjusted basis is compared to any amounts received to determine the amount of the taxable gain.

The calculation of any gain or loss from the disposal of a business asset is based on the asset's adjusted basis at the time of disposal. The classification of these gains and losses for tax purposes depends on whether they are considered capital gains and losses, or ordinary income and losses.

For individual taxpayers, long-term capital gains may be subject to more favorable tax rates. Unlike individuals, C corporations do not get preferential tax treatment for long-term capital gains. Corporate capital gains are simply added to the corporation's ordinary income and taxed at the corporation's regular tax rate.

To properly report the disposition of an asset, a business must determine whether it is a capital asset, a noncapital asset, or a section 1231 asset (covered later in this chapter). Gains and losses on dispositions of business assets are generally reported on Form 4797, Sales of Business Property.

Related Party Dispositions

There are special rules for sales to related parties (such as a sale between related corporations, or a sale between a father and son). In general, no deduction is allowed for losses resulting from a sale or exchange of property between related parties. The loss disallowance is not affected by the fact that the related party transaction is a bona fide business transaction. In this case, related parties would include close family members, such as spouses, siblings, ancestors, and lineal descendants, and closely related businesses, such as two corporations under common control.

Example

Trent owns a piece of farmland that he originally purchased for \$54,000, but the land has decreased in value. He decides to sell the land to his son, Mark, for \$31,000, who will also use it to run his own farming business. This results in a \$23,000 loss for Trent. Since the sale is between related parties (a father and son), related party transaction rules disallow Trent from claiming the \$23,000 loss on his tax return, even though the transaction is a bona fide business deal.

Individuals or entities that are generally not considered related parties include distant family members, such as cousins, uncles, aunts, nieces, nephews, or in-laws, or unconnected businesses, such as companies or entities that do not have shared ownership or control.

Example

Yusef sells an office building to his daughter, Elif, in a bona fide business transaction. The FMV of the building is \$950,000 on the date of the sale, and they have a qualified appraisal on the property. Yusef's adjusted basis in the building is \$1 million. He has a \$50,000 loss on the sale (\$950,000 sale price – \$1 million adjusted basis). However, Yusef's loss is disallowed because Yusef and his daughter are related parties. Elif's basis for depreciation is \$950,000, the amount she actually paid for the building. If, at a later date, Elif sells the building to an unrelated party, the \$50,000 loss that was disallowed to her father will be allowed to reduce her own gain on the sale (but it cannot be used to create a loss or increase her losses if she sells the building at a loss at a later date).

Another big disadvantage to a related party disposition is that gains and losses on related party sales cannot be “netted.” This means that the gains on a related party transaction are taxable, but losses are not deductible or offsetable against any other gains, including related party gains.

Example

Leslie owns Canyon Farms, LLC, where she grows wheat and soybeans. Her brother, Joshua, owns a grocery store. Leslie sells a diesel truck that was used on her farm to her brother at a \$5,000 loss (her basis is \$22,000, but she sells it to Joshua for \$17,000). Leslie cannot deduct the loss because Joshua is a related party. Later in the same year, Leslie sells a plot of farmland to her father at a substantial gain. Her basis was \$55,000, and she sells it to her father for \$75,000, so she has a \$20,000 gain, which she must recognize in the year of the sale. Her gains and losses in these two transactions do not “offset” each other, because of the related party transaction rules.

Definition of a Capital Asset

Capital assets include “personal-use” assets, such as primary residences, personal vehicles and vacation homes, and investment property such as stocks, bonds, and other securities (unless held by a professional securities dealer). This can also include things like collectibles or raw land that are being held for investment or speculation.

Example

Alastair owns 25 mechanical toy banks, which he collects as a hobby. He is not a professional dealer of collectibles. Alastair's mechanical banks are considered capital assets. During the year, he sells one of his toy banks to a co-worker for \$1,500. Alastair purchased the toy over five years ago, paying \$900. Alastair must report a long-term capital gain of \$600 on the sale, reported on Schedule D (Form 1040).

Example

Sasha owns Panhandle Pawn Shop, which she runs as a sole proprietorship. She buys and sells many different types of collectible items. The shop carries mechanical toy banks, but they are part of the shop's inventory, so they are not capital assets. In 2025, Sasha sells a toy bank for \$1,800 to one of her regular customers. She originally paid \$500 for the toy. Her holding period does not matter because the toy is inventory. Her income on the sale is ordinary income, reported on Schedule C. The cost of the toy (\$500) would be expensed as cost of goods sold. She will pay income tax as well as self-employment tax on her profits.

Tax law divides investment profits into different classes determined by the holding period and the type of asset. Capital losses from the sale of stock are generally deductible (up to a certain limit), but losses from the sale of personal-use property are not deductible.

Noncapital Assets

A noncapital asset is any property that is not a capital asset. Assets that are used in a trade or business or as rental property are called “noncapital assets.” Noncapital assets include the following:

- Inventory held for sale to customers (including market livestock).
- Depreciable property used in a business, even if the asset is fully depreciated.
- Real property used in a trade or business, such as a commercial building or a residential rental property.
- Self-produced copyrights, manuscripts, photographs, and artistic compositions.
- Accounts receivable or notes receivable acquired by a business.
- Stocks and bonds held by professional securities dealers, and commodities and derivative financial instruments held by a professional stockbroker or securities broker.
- Collectibles held by a professional dealer (such as a pawn shop or comic bookstore).

- Business supplies.

Example

Calvin is a sole proprietor who files a Schedule C. Calvin owns a shop that sells expensive custom motorcycles. In 2025, his motorcycle shop burns down. The fire destroys ten custom motorcycles that he has in inventory. He doesn't carry any business insurance to cover the loss. Since these motorcycles are business inventory (noncapital assets), his losses are fully deductible as a business casualty loss. Calvin also lost his personal motorcycle in the fire, which was parked in the shop overnight. Calvin's motorcycle is a personal-use asset; therefore, this loss would not be deductible as a business expense.

Introduction to Section 1231 and Depreciation Recapture

When a business sells business-use property held for more than one year, the tax code applies a special set of rules. It helps to think of Section 1231 as a large umbrella that covers many business-use assets. Under that umbrella, Sections 1245 and 1250 apply to certain depreciable assets and determine whether part of the gain must be treated as ordinary income rather than receiving favorable Section 1231 treatment. Under the Section 1231 umbrella, the tax code offers the “best of both worlds”:

- If you sell the assets for a net loss, the IRS treats it as an ordinary loss (which is great, because it is fully deductible against ordinary income).
- If you sell the assets for a net gain, the IRS treats it as a long-term capital gain (which is great, because it is taxed at lower preferential rates).

For business assets held for more than one year, Sections 1245 and 1250 are not separate classes of property from Section 1231; they are subcategories underneath the umbrella. Because the business previously took depreciation deductions to reduce its ordinary income, the IRS wants that ordinary income back when the asset is sold for a profit.

- **Section 1245 (Personal Property):** Covers machinery, vehicles, equipment, and (under the new OBBBA rules) Qualified Production Property (QPP) and qualified sound recording productions. The IRS “recaptures” the previously taken depreciation and taxes it as ordinary income.
- **Section 1250 (Real Property):** Covers buildings. Because buildings are depreciated using the straight-line method, they are subject to “unrecaptured Section 1250 gain” rules, taxing the depreciation portion of the profit at a maximum rate of 25%.

To ensure the taxpayer is not getting an unfair double tax benefit, they must also apply the five-year look-back rule. If the business had any Section 1231 losses in the prior five years, they must “look back” and convert the current year's capital gain into ordinary income to make up for those prior losses.

Gains and Losses on Sales of Section 1231, 1245 & 1250 Assets

Section 1231 property is classified as any type of real or personal property that is held for more than one year, and is used in a trade or business or used in the production of income. This includes:

- **Real property:** Buildings, farmland, mineral property, and depletable natural resources (the rights to exploit and extract natural resources in the land, such as precious minerals, oil, and natural gas).
- **Intangibles:** Amortizable section 197 intangibles, such as patents or copyrights (but not if these assets are self-created).
- **Livestock:** For livestock to qualify as a Section 1231 asset, it must be held for specific purposes: draft, breeding, dairy, or sporting.
- **Cattle and horses:** Must be used for draft, breeding, dairy, or sporting purposes and held for 24 months or longer.
- **Other livestock:** Includes hogs, mules, sheep, goats, donkeys, and fur-bearing animals. They must be used for draft, breeding, dairy, or sporting purposes and held for 12 months or longer. This does not include poultry.
- **Sale of unharvested crops:** The crops must be sold or involuntarily converted, and the underlying land must have been held by the farmer longer than one year. Growing crops sold with a leasehold on the land are not included.

Example

Barclay owns an antique vase purchased at auction two years ago, a residential rental property purchased eight years ago, and two vehicles — a cargo van bought three years ago used exclusively in his package delivery business, and a personal-use SUV. Barclay's assets are categorized as follows:

1. Antique vase: a capital asset (a collectible, and he is not a dealer).
2. Residential rental property: Section 1231 (rental property held over one year).
3. Delivery van: Section 1231 (business property held over one year).
4. SUV: a personal-use capital asset.

Note

For most businesses, this is a more favorable tax treatment since ordinary losses are not limited, and the long-term capital gain tax rates are more favorable than the rates for ordinary income. In addition, for C corporations, long-term capital gains can be fully or partially offset by capital losses, whereas ordinary income cannot be offset by capital losses. Once again, the property must be held and used in a trade or business for more than one year.

Example

Sports Hobbies, Inc. is a retail shop that sells sports memorabilia. Sports memorabilia is usually classified as a collectible (a capital asset), but in this case the memorabilia owned by the business are noncapital assets, treated as inventory, and the income from their sale is ordinary income. During the year, Sports Hobbies also sells a piece of older display furniture used in the business,

purchased seven years ago. The furniture display is a Section 1231 asset, because it was a depreciable asset used in the business and held for more than one year.

Example

Lloyd owns and operates the Berryville Llama Farm, where he raises llamas. He does not sell the llamas; he breeds and raises them for their fleece, which he sells to wholesalers. The llamas are not treated as inventory. The animals are section 1231 assets to the farming business, and Berryville Llama Farm may depreciate the llamas like any other business asset.

Example

Isaiah owns a small farm where he raises goats for sale. He has three highly prized, pedigreed male goats held for breeding purposes only (as studs). His remaining goats are raised for sale and eventual slaughter. In 2025, Isaiah sells one of his pedigreed male goats for \$7,900 and reports the sale on Form 4797, Sales of Business Property. During the year, he also sells 15 of his other goats for \$250 each (\$3,750 gross). The other 15 goats are treated as inventory, so that sale is reported on Schedule F as an ordinary sale.

Section 1245 Property and Section 1250 Property

If a taxpayer sells a Section 1231 asset at a gain, they must first apply the depreciation recapture rules under Section 1245 and Section 1250. Section 1245 property is depreciable personal property used in business, such as machinery, vehicles, and equipment, where there is unrecaptured depreciation or amortization, but Section 1245 property does not include buildings and their structural components. Gain on this type of property will be taxed as ordinary income to the extent of any unrecaptured depreciation or amortization. Under the OBBBA, the definition of Section 1245 property was expanded to include Qualified Production Property (QPP) placed in service after July 4, 2025, and qualified sound recording productions.

Note

Section 1245 property is not a “separate” class of property from section 1231 property; rather, section 1245 property is a type of section 1231 property that is subject to recapture.

Example

Shaw owns Bigfork Construction, a sole proprietorship. Shaw purchased a bulldozer at a discounted price of \$90,000 three years ago. Bigfork had taken \$40,000 of accumulated depreciation. Another company offers to purchase the bulldozer for \$112,000, and Bigfork accepts. The adjusted basis was \$50,000 on the date of the sale (\$90,000 cost – \$40,000 depreciation). Bigfork's total gain is \$62,000 (\$112,000 – \$50,000). Of that, \$40,000 is section 1245 gain (depreciation recapture), taxed at ordinary income rates, and the remaining \$22,000 is section 1231 gain, subject to favorable capital gains rates.

Example

Sarah is a self-employed cattle rancher who operates Green Pastures Ranch in Kansas. In 2025, she sells a prized bull, Hercules, for \$29,300. She originally purchased Hercules as a calf for \$4,000 and took section 179 on the purchase, so her basis is zero. The depreciation recapture (\$4,000) is

treated as ordinary income, but the gain that exceeds depreciation recapture (\$25,300) is treated as a long-term capital gain. (Cattle or horses must be held for draft, breeding, dairy, or sporting purposes for 2 years or longer to be section 1231 property.)

Example

Shaffer Thoroughbreds, Inc. breeds racehorses and owns a champion stallion used for insemination and breeding. The business paid \$150,000 for the stallion three years ago; it is properly depreciated, and its adjusted basis is now zero. In 2025, Shaffer sells the stallion for \$175,000. The depreciation recapture portion (\$150,000) is treated as ordinary income, and the gain that exceeds depreciation recapture (\$25,000) is treated as a long-term capital gain.

Note

Remember, section 1231 assets do NOT include: inventory; self-created copyrighted works, literary and musical compositions, and other artistic creations held by their creator; accounts receivable of a business; and U.S. government publications. In the case of livestock, only poultry would not be classified as a Section 1231 asset, because poultry are typically short-lived.

Section 1250 property is real property that can be depreciated. It is also not a “separate” class of property from section 1231 property; it is a type of section 1231 property that is subject to recapture. The most common examples are commercial buildings and residential rental properties. Section 1250 property must be used for business or held for investment, and not for personal use. The sale of depreciated real property can result in unrecaptured Section 1250 gain, which is taxed at a maximum rate of 25%.

For section 1250 property, the ordinary income depreciation recapture is limited to the portion of previously deducted depreciation in excess of deductions that would have been taken if computed using the straight-line method. Because straight-line depreciation is normally required on buildings and other depreciable improvements, section 1250 recapture is very uncommon. As such, the focus on sales of depreciable real property at a gain should be on “unrecaptured section 1250 gains.” Gain on the sale of section 1250 property is unrecaptured section 1250 gain to the extent of straight-line depreciation taken. Unrecaptured section 1250 gain is capital gain subject to a 25% maximum rate. For individual taxpayers, unrecaptured section 1250 gains are typically reported on Schedule D and transferred to the taxpayer's 1040.

Example

Stavros is a successful real estate investor who owns several apartment buildings and one factory building. In 2025, he sells the factory building for \$360,000. He originally purchased the building for \$200,000 and had taken \$50,000 in straight-line depreciation, making his adjusted basis \$150,000. He has a total gain of \$210,000 (\$360,000 – \$150,000). Of that, \$50,000 is unrecaptured Section 1250 gain, taxed at a maximum 25% rate, while the remaining \$160,000 is a long-term capital gain.

Five-Year “Look-Back” Rule

Normally any net gains on all section 1231 transactions for the year are treated as long-term capital gains, giving these transactions favorable tax treatment. However, there is one exception: the five-year “look-back” recapture. This rule states that, if there are any net 1231 losses in the prior five tax years, these prior five-year 1231 losses change the character of the 1231 gains in the current year from long-term capital gain to ordinary income.

Example

Prairieland Dairy Farms, Inc. sold farm machinery and had a net \$45,000 section 1231 gain in 2025. In the five years prior, there was one year (2022) in which the corporation had a net section 1231 loss of \$12,000 (from the sale of a farm outbuilding), which it deducted as an ordinary loss. Prairieland did not sell any section 1231 assets in 2023 or 2024. Because the \$12,000 net section 1231 loss in 2022 was within the five-year lookback period and had not already been used in a prior recharacterization, \$12,000 of the \$45,000 net section 1231 gain in 2025 is treated as ordinary income, and the remaining \$33,000 is treated as a long-term capital gain.

In the case of a C corporation, corporations are subject to a flat 21% tax on all income, whether long-term capital gain (LTCG) or ordinary income. However, the big benefit for C corporations to have LTCG over ordinary income treatment on sales of 1231 assets is that if they have usable capital losses for the year (e.g., from sales of stocks or other investments), those capital losses can offset the 1231 gains treated as LTCG — whereas any portion of the net 1231 gain treated as ordinary income (because of the 5-year lookback rule) cannot be offset by capital losses.

Depreciation Recapture in General

Depreciation recapture occurs when a business sells previously depreciated or amortized property at a gain. With the exception of real estate, most business assets will lose value as they age. Therefore, it is unusual for a business to sell depreciated assets at a large gain. However, it is possible, and when it happens, the net gain is given favorable tax treatment.

Example

Emmanuel owns Woodway Construction, LLC, taxed as a sole proprietorship. Several years ago, he purchased a damaged bandsaw for \$150, fixed it up himself, and used it in his business for several years. In 2025, a client offers Emmanuel \$1,900 for the used bandsaw, which he accepts. He had depreciated the bandsaw's basis down to zero. His gain is \$1,900. Since he paid so little for the bandsaw, only a small portion of the gain is taxed as ordinary income (\$150 depreciation recapture); the remaining \$1,750 gain is treated as long-term capital gain under section 1231.

Example

Roman owns Oregon Timber, LLC, taxed as a sole proprietorship. Three years ago, Oregon Timber bought a used heavy-duty diesel truck (five-year property) for \$10,000. Roman took MACRS depreciation: \$1,500 in 2023, \$2,550 in 2024, and \$893 in 2025 ($\frac{1}{2}$ of \$1,785) until the date of sale. He sells the truck on May 1, 2025, for \$7,000. The adjusted basis is \$5,057 (\$10,000 – \$4,943 total

depreciation), and the gain is \$1,943. The realized gain is less than the depreciation subject to recapture, so the entire \$1,943 is ordinary income in 2025.

Example

Ahmad runs a small grocery store. Four years ago, he purchased a salvaged box truck at auction for \$4,200, repaired it himself, and used it only to transport produce for the store. He depreciated the box truck down to zero. An acquaintance offers to buy the truck for \$11,000, and Ahmad agrees. A portion of Ahmad's gain is taxed at ordinary income rates (\$4,200 Section 1245 depreciation recapture), and the remainder (\$6,800) is treated as long-term capital gain under section 1231.

Installment Sales

An installment sale involves a disposition of property in which the seller receives at least one payment during a year subsequent to the year of the sale. The resulting gain is typically reported using the installment method. If property is sold for a loss, it is not eligible for the installment method. The most common type of installment sale is the sale of real estate. If a business elects out of using the installment method, it must report the entire gain in the year of the sale. Each payment received on an installment sale transaction may include the following components:

- Return of the seller's adjusted basis in the property.
- Gain on the sale.
- Interest income (attributable to financing the sale over a period of time).

The taxpayer must calculate a gross profit percentage, representing the ratio of the gain on the sale (the numerator) to the total proceeds to be paid minus any interest income (the denominator). Each year, including the year of sale, the total payments received minus the portion attributable to interest is multiplied by the gross profit percentage to determine the portion of the gain that must be recognized.

Note

A taxpayer's gain, or gross profit, is the amount by which the selling price exceeds the adjusted basis in the property sold. The gross profit percentage is generally calculated by dividing the gross profit from the sale by the selling price. You may be required to understand how to calculate gross profit percentage for both Parts 1 and 2 of the EA exams.

Example

White Ridge Partners, LP sells a plot of land for \$6,000, with a gross profit of \$1,500, and will receive payments totaling \$6,000 plus interest over four years. The gross profit percentage is 25% ($\$1,500 \div \$6,000$). After subtracting the applicable interest portion from each payment, the business applies the gross profit percentage to each installment (including any down payment) and reports the resulting amount as installment sale income. The remainder of each payment is the tax-free return of the land's adjusted basis.

The taxpayer's gain from an installment sale is reported on Form 6252, Installment Sale Income. In certain circumstances, a business may be treated as having received a payment even though it has not received cash — for example, the receipt of property or the assumption of a mortgage by the buyer may be treated as a payment.

Example

Jericho sold his farmland to Sarah for \$500,000 with an installment sale agreement. Sarah will pay \$100,000 upfront and the remaining \$400,000 over 4 years, with a 5% annual interest rate on the outstanding balance. The farmland's original purchase price was \$200,000, so Jericho's gain is \$300,000. Using the installment method, Jericho reports a portion of the gain each year as he receives payments, on Form 6252.

If a business reports the sale of property under the installment method, any applicable depreciation recapture under section 1245 or 1250 is taxable in the year of sale, even if no payments are received that year. If the gain is more than the depreciation recapture amount, the remainder is recognized using the installment method rules. An installment sale does not apply to: the sale of inventory (even if payment is received after the year of sale); a sale that results in a loss; or the sale of stock or securities traded on an established market.

Installment sales to related persons are allowed. However, if a taxpayer sells property to a related person who then sells or disposes of the property within two years of the original sale, the taxpayer will lose the benefit of installment sale reporting.

Example

Regal Properties, Inc. sells a motel to a 51% shareholder of the corporation, Armand. The sale price is \$2 million, and Regal realizes a profit of \$250,000. Armand agrees to pay the note in five installments of \$400,000. Eighteen months later, Armand sells the motel to another unrelated party. Regal Properties must report the entire profit of \$250,000, even though it has not received all the installment payments, because the property was disposed of before the end of the two-year holding period.

Like-Kind Exchanges (Section 1031)

A section 1031 “like-kind” exchange occurs when a business or individual exchanges business or investment property for similar property. If an exchange qualifies under section 1031, the taxpayer does not pay tax currently on a resulting gain and cannot deduct a loss until the acquired property is later sold or otherwise disposed of. To qualify under section 1031, an exchange must involve like-kind property. The Tax Cuts and Jobs Act now only allows section 1031 exchanges of real property. IRS regulations define “real property” for Section 1031 purposes as:

- Land and improvements to land (such as buildings, concrete parking lots, foundations).
- Unsevered natural products of land.
- Water and air space superjacent to land.

- Certain intangible interests in real property (such as leaseholds and options).
- Property that is real property under state or local law.

Example

Evergreen Medical Services, Inc. purchases a medical office building for \$300,000 to use in its operations. After four years, the FMV has increased to \$350,000. If the corporation sold the building, it would recognize a \$50,000 gain. However, if Evergreen instead arranges a like-kind exchange for a similar property, the taxable gain could be deferred.

To qualify for nonrecognition treatment, an exchange must meet all of the following conditions:

- **Real Property:** The relinquished property and the replacement property must be real property. Any “exchange” of personal property, like machinery or vehicles, will be treated as a sale and will not qualify.
- **Held for Investment or Business Use:** Both properties must be held for investment purposes or for productive use in a trade or business.
- **Must Not be a Sale:** There must be an actual exchange of properties. The exchange of cash for property is treated as a sale, not an exchange.
- **Qualified Intermediary:** In most cases, a qualified intermediary (QI) is used to facilitate a Section 1031 exchange. A QI is required for a “deferred” exchange. The QI holds the proceeds from the sale of the relinquished property and uses those funds to acquire the replacement property, ensuring that the taxpayer never has constructive receipt of the funds.
- **Deadlines Must be Met:** Strict deadlines apply to deferred exchanges.

Deadlines for a Qualifying Deferred Exchange

In a deferred section 1031 exchange, the property to be received must be identified in writing (or actually received) within 45 days after the date of transfer of the property given up. Further, the replacement property must be received by the earlier of: the 180th day after the date on which the property given up was transferred, or the due date, including extensions, of the tax return for the year in which the transfer occurs. These deadlines are based on calendar days; there are no exceptions for weekends or holidays, except in the event of a natural disaster when the IRS may grant an extension.

Example

Oland owns land in Texas he wants to exchange, and he arranges a 1031 exchange by hiring Exchangers Plus, a qualified intermediary. When Oland's land sale closes, Exchangers Plus holds the sales proceeds in escrow. Within 45 days, Oland identifies an apartment building in Oregon and negotiates a contract to buy it. Within the required 180 days, Exchangers Plus releases the funds to close the purchase, completing the exchange. Oland never has constructive receipt of the funds, so he successfully postpones recognition of any gain.

Related-Party Section 1031 Exchanges

Like-kind exchanges are permitted between related parties, including between close family members. However, if either party disposes of the property within two years after a 1031 exchange, the exchange is usually disqualified from nonrecognition treatment; any gain or loss that was deferred must be recognized in the year the disposition occurs. The mandatory two-year “holding period” begins on the date of the transfer of the last property involved in the exchange. The two-year holding period rule does not apply:

- If one of the parties involved in the original exchange dies.
- If the property is converted in an involuntary exchange (such as a fire or a flood).
- If it can be established to the satisfaction of the IRS that the exchange and subsequent disposition were not done for tax avoidance purposes.

Example

Jarvis and Moe are brothers. Jarvis owns a rental property, and Moe owns an undeveloped tract of land. On January 10, 2025, they exchange their properties. Since they are related parties, each must hold the acquired property for at least two years, or the exchange may be disallowed. On May 1, 2025, Moe dies, and the rental property passes to his son, Armani, who promptly sells it. The original 1031 exchange is still valid, because the holding period rule does not apply if one of the parties in a related exchange dies before the two-year holding period expires.

Example

Pamela and Noel are sisters who exchange residential rental properties on July 1, 2025. The exchange qualifies as a section 1031 exchange. On November 1, 2025, Pamela's rental property is destroyed by a catastrophic fire. Pamela receives insurance proceeds and reinvests them in a rental property in another city. Since Pamela's disposition was due to an involuntary conversion (a fire), it does not invalidate the earlier exchange. No gain would have to be recognized by either Pamela or Noel.

For purposes of this rule, a “related person” includes: a close family member (a spouse, a child, siblings including half-siblings, ancestors, and lineal descendants such as parents and grandparents — but not stepparents, stepsiblings, stepchildren, ex-spouses, uncles, aunts, nephews, nieces, in-laws, or cousins); an entity (corporation or partnership) in which the taxpayer owns, directly or indirectly, more than a 50% interest; an executor and a beneficiary of an estate; and a trust for which the taxpayer is the fiduciary and the related party is a beneficiary. The IRS gives close scrutiny to exchanges between related parties.

Example

Alec exchanges rental properties with his stepsister, Marian. Nine months after the exchange, Marian sells the rental property and buys a boat for herself. Since stepsiblings are not considered related parties for this rule, the original exchange is still valid. Although Marian would be required to recognize gain on the sale of her property, Alec still retains deferral treatment for his property.

Example

Lily and Ezra divorce on May 25, 2025. Nine months after their divorce is finalized, Lily and Ezra exchange rental properties in a Section 1031 transaction. Ezra is forced to sell his rental property 30 days later. Since their divorce was already final on the date of the exchange, the exchange is valid — the related party transaction rules do not include ex-spouses.

Qualifying and Nonqualifying Nontaxable Exchanges

Most exchanges of real estate will qualify for Section 1031 treatment, if the real estate is either held for investment or used in a business. The most common type of 1031 exchange is a “simultaneous swap” of one rental property for another. Taxpayers may exchange many different types of real property, even undeveloped land (e.g., a factory building for farmland, or a parking lot for an apartment complex). As long as the real estate is domestic (located in the United States) and not inventory or personal use, the exchange will generally qualify. The exchange of property within the United States for property outside the United States would not be like-kind. A taxpayer who completes a like-kind exchange must file Form 8824, Like-Kind Exchanges, with their tax return; for a related-party exchange, the form must also be filed for each of the following two years.

Example

Claudia exchanges her residential rental property in Miami, Florida, for a beachfront condo in Hawaii. However, she does not intend to rent the condo — she wants to use it as a vacation home. This is not a qualifying exchange. When her return is audited, the auditor notices the Hawaii property has not been rented, and Claudia admits she vacations there. The like-kind exchange treatment is disallowed, and she must recognize all the gain on the sale of her residential rental, plus penalties and interest.

Personal-use realty is not eligible for section 1031 treatment, so the exchange of a personal residence for another personal residence does not qualify. Foreign realty is not eligible for nonrecognition treatment, and inventory is never eligible for like-kind treatment.

Example

Sondra exchanges a residential rental in Oregon with an adjusted basis of \$100,000 for a vacation rental in Cancun, Mexico, with an FMV of \$145,000. The exchange of foreign realty for real property in the United States does not qualify for section 1031 treatment; the transaction is treated as a sale. Sondra must recognize \$45,000 of capital gain. Her basis in the Cancun property is \$145,000.

Example

Gold Realty, LLC is a real estate development firm that purchases distressed apartment homes, restores them, and sells them to investors. Gold Realty does not rent out the properties; it merely flips and re-sells them. Since the apartment homes are inventory, Gold Realty cannot use section 1031 to escape recognition of gain on the transfer or sale of the properties.

Partially Taxable 1031 Exchanges (Boot)

Boot is a term used to describe cash or other non-like-kind property that is included in an exchange to compensate for a difference in the values of the like-kind properties traded. Cash

boot is very common; it is usually given by one party when one property is more valuable than the other. Cash boot will not invalidate a 1031 exchange, unless the exchange itself is not valid. If a taxpayer receives, in addition to like-kind property, other property that is not like-kind (such as cash or a car), the taxpayer may need to recognize gain. The amount of recognized gain is the lesser of:

- 1) The realized gain on the exchange (typically the value of everything received from the other party, less the basis of the assets given to the other party), or
- 2) The value of the non-like-kind property (“boot”) received from the other party.

If non-cash boot is received, the basis in the non-like-kind property received is generally its FMV at the time of the exchange. The amount considered boot would be reduced by qualified costs paid in connection with the transaction.

Example

Merrick owns farmland with an FMV of \$300,000 and a basis of \$100,000. He wants to exchange his farmland for an apartment building owned by Annabelle, worth \$275,000. To make up the difference, Annabelle offers Merrick a used SUV with an FMV of \$20,000. Merrick accepts the SUV in lieu of cash. Since the SUV is “unlike” property, it is “boot” to Merrick. Although the exchange is still a qualifying 1031 exchange, Merrick recognizes \$20,000 in taxable gain (the FMV of the vehicle), since the boot is less than the realized gain of \$195,000 (\$275,000 apartment + \$20,000 SUV – \$100,000 basis of relinquished farmland).

In an exchange involving property with a liability, the assumption of the liability is considered similar to receiving cash and thus classified as “boot” for the party who is relieved of the liability. If both properties have liabilities, boot is considered only if one party is relieved of a larger liability than the one they assume (“debt reduction boot”). A taxpayer will not recognize a loss if boot is received. If a taxpayer receives boot and recognizes gain, the basis of the like-kind property received equals the basis of the property given up plus the gain recognized, minus the FMV of the boot received. If a taxpayer has a realized loss on a 1031 exchange and receives boot, none of the loss is recognized.

Where boot is given to the other party: if the boot given is cash, none of the realized gain (or loss) is recognized. If non-cash boot (such as equipment, a car, or a computer) is given, gain or loss is recognized based on the difference between the non-cash boot's FMV and adjusted basis at the time of the exchange.

Basis of Property Received in a Like-Kind Exchange

The basis of the like-kind property received in a 1031 exchange is generally the adjusted basis of the property transferred. If a taxpayer trades property and also pays money to the other party as part of the exchange, the basis of the property received is generally the basis of the property given up, increased by any additional money paid. The basis of the like-kind property received can also be calculated as: the adjusted basis of the like-kind property given up; increased by the adjusted basis of any boot given (including cash); increased by any recognized gain; decreased by the FMV of any boot received; and decreased for any loss recognized.

Example

Alpine Realty Group, LLC trades a plot of farmland with an adjusted basis of \$300,000 and a market value of \$660,000 for a strip mall worth \$700,000. Alpine must also pay an extra \$40,000 in cash to finalize the transaction. After the exchange, Alpine Realty's basis in the strip mall is \$340,000 (original \$300,000 basis + \$40,000 cash paid).

Example

Lockhart Property Services, Inc. owns a small office building with an adjusted basis of \$70,000 and an FMV of \$145,000. During the year, Lockhart trades the office building for a plot of timberland with an FMV of \$150,000. After the exchange, Lockhart's basis in the timberland is \$70,000, equal to the adjusted basis of the building it exchanged.

Involuntary Conversions (Section 1033)

An involuntary conversion happens when a taxpayer's property is lost, damaged, or destroyed and the taxpayer receives payment or reimbursement from insurance or another source (theft, fire, flood, condemnation, or other disasters). Typically, a gain or loss is reported in the year it occurs. However, under section 1033, a taxpayer can choose to defer reporting the gain if they use the proceeds to invest in similar replacement property. The gain is then deferred until a future sale or disposition of the replacement property.

Replacement Periods for Involuntary Conversions

While a section 1031 exchange only has a 180-day exchange period, a section 1033 exchange has a much longer time for completion. Unlike a Section 1031 exchange, there is no requirement that a qualified intermediary be employed to hold the escrow funds. However, also unlike a section 1031 exchange, the replacement property cannot be purchased from a “related” party for an involuntary conversion to qualify for nonrecognition treatment.

Property Type	Replacement Period
Most property except those noted below.	Two years
Real property (real estate) held for investment or business use, such as residential rentals and office buildings	Three years
Sale of livestock due to weather-related conditions	Four years
Main home in a federally declared disaster area	Four to five years

The replacement property must be purchased before the end of the tax year in which the replacement deadline applies. If the involuntary conversion property is not replaced within the allowed time period, an amended tax return would have to be filed for the year the involuntary conversion occurred, reporting a taxable transaction.

Example

Orson's office building was condemned by the city on May 2, 2025, to make way for a new transit center. He received a condemnation payout of \$800,000 on July 1, 2025 — \$200,000 more than his adjusted basis. Under section 1033, Orson had three years from the end of the tax year to reinvest the proceeds into a similar property. About one year later, Orson purchases a new office building in a neighboring city for \$800,000, reinvesting all his proceeds. Because he purchased a replacement within the replacement period, he does not have to report the \$200,000 gain. Had he not replaced the property in time, he would have filed an amended 2025 return reporting \$200,000 of taxable gain.

Example

Farmer James Brown sold all of his cattle held for breeding purposes on June 15, 2021, due to extreme drought. Normally only 25% would be sold in a given year. His county was declared eligible for federal drought assistance, and the drought continued through 2025. Under §1033(e) (1), the sale of 75% of Brown's breeding cattle was an involuntary conversion eligible for a deferred replacement period. His replacement period, originally set to end December 31, 2025, is extended until the end of his first taxable year after the region experiences a drought-free year (which could be as early as December 31, 2026).

Basis Calculation on Converted Property

If a taxpayer reinvests in replacement property similar to the converted property, the basis of the new property is generally its cost, reduced by any gain realized on the old property that was not recognized (deferred). Alternatively, start with the adjusted basis of the old property and: decrease basis by any money received that was not spent on similar property and any loss recognized; increase basis by any additional costs incurred to acquire the replacement property and any gain recognized on the involuntary conversion.

Example

Marissa's residential rental property is destroyed by a hurricane. The property had an adjusted basis of \$50,000 and a market value of \$115,000 on the day it was destroyed. Marissa receives an insurance reimbursement of \$115,000 and uses all of it to buy a replacement rental six months later. Her gain is \$65,000 (\$115,000 – \$50,000), but she does not recognize any taxable gain because she reinvested all the proceeds in a similar property. Her depreciable basis in the new rental is \$50,000 (the same as her old property).

Example

Angus Ranch, Inc. owns a livestock barn destroyed by a fire. The adjusted basis of the building was \$40,000 before the fire. Angus Ranch receives an insurance settlement of \$55,000, which was insufficient to completely rebuild. A few months later, it uses all the proceeds to rebuild, paying an additional \$22,000. The depreciable basis in the new barn is \$62,000 (\$40,000 basis of the old barn + \$22,000 additional out-of-pocket costs). Angus Ranch does not have to report a taxable transaction because it is a qualified involuntary conversion of business property.

Condemnations and Eminent Domain

A “condemnation” is a specific type of involuntary conversion. Condemnation is a legal process by which private property is taken from its owner for public use; sometimes this process is called “eminent domain.” Eminent domain allows the government to take private property in exchange for compensation. The owner generally receives a condemnation award (usually in cash) in exchange for the property that is taken, typically based on the property's fair market value (which can be challenged by the owner). Examples of condemnation using eminent domain include urban renewal projects, highway expansion, public utilities, and airport expansion. A condemnation is a forced sale, with the owner being the seller and the government or other third party being the buyer. Amounts taken out of a condemnation award to pay debts on the property are considered paid to the taxpayer and are included in the amount of the award.

Example

A local government informs Arnold that his farmland is being condemned to create a public highway. Arnold fights the condemnation in court but loses, and the government forces the sale. The government issues a condemnation award of \$400,000 (the property's FMV). Arnold's basis was \$80,000. He decides not to purchase replacement farmland, so he has a taxable event and must recognize \$320,000 as income ($\$400,000 - \$80,000$). However, if Arnold changes his mind and purchases replacement property with the award, he will qualify for a nontaxable section 1033 exchange — he would have three years to replace the property.

Example

Bingham Realty, Inc. is a C corporation holding a large plot of land for future development. The state condemns the property to build a football stadium. The land had a basis of \$260,000, and the state pays Bingham Realty \$310,000 (FMV). Bingham has a gain of \$50,000 ($\$310,000 - \$260,000$). Bingham purchases replacement land twelve months later for \$290,000 and banks the rest. Bingham must recognize a gain of \$20,000, the unspent part of the payment ($\$310,000$ award – $\$290,000$ cost of new property). Its basis in the new land is \$260,000 ($\$290,000$ cost – $\$30,000$ gain not recognized).

The time period for replacing condemned property is the same as other qualified section 1033 exchanges — two years after the end of the first tax year in which any part of the gain on the condemnation is realized. For real property held for business use or investment, the replacement period is three years instead of two.

Example

Vista Rentals, Inc. paid \$148,000 for a rental property years ago; after depreciation, the adjusted basis is \$75,000 on January 1, 2025. The property is insured for \$300,000 and is completely destroyed by a fire on January 7, 2025. On August 15, 2025, Vista Rentals receives a \$300,000 settlement and reinvests all of it, plus \$5,000 in additional cash, into a brand-new rental property. Vista Rentals qualifies to defer all the gain. The basis in the new rental is \$80,000 ($\$75,000$ original basis + $\$5,000$ additional cash).

Example

Redstone Manufacturing, Inc. owns a factory building with an adjusted basis of \$420,000. On October 2, 2025, the building was condemned by the state to build a railway. The company receives a \$500,000 condemnation award on February 2, 2026 (the following year). Redstone plans to purchase a new building with all of the proceeds. Because the factory is business-related real estate, the company has until December 31, 2029 (three years after the end of the tax year in which it received the award) to replace the condemned factory with a similar building.

Notes & References

1. The use of a previously disallowed related-party loss applies only to the recognition of gain by the original related-party buyer (IRC §267). The loss disallowance restriction does not apply in the case of a distribution in the liquidation of a corporation.
2. “Collectibles” include items like art, antiques, coins, and wine. Long-term gains from selling collectibles are capped at a maximum of 28%, unless the seller is a professional dealer treating the items as inventory.
3. A notable exception exists for patents: a transfer or sale of a patent is treated as a sale or exchange of a capital asset under IRC §1235, resulting in capital gains treatment.
4. Self-created intangibles are not Section 1231 assets (e.g., a self-created copyright or musical composition), and this also applies if the asset was gifted to another party.
5. “Market livestock” are animals held for sale in the ordinary course of business. Once livestock is selected or held for breeding, dairy, or draft purposes, it is considered a section 1231 asset.
6. Storage structures for oil, gas, and other minerals are section 1245 property, not “buildings.” This also applies to farm storage structures such as a grain silo, even if permanently attached to the land.
7. If the buyer assumes or pays off a mortgage on the property sold, the mortgage assumption is subtracted before calculating the gross profit percentage (except to the extent it exceeds the adjusted basis). If a buyer-held mortgage is canceled rather than assumed, the cancellation is treated as a payment received in the year of sale.
8. There are exceptions to the two-year related-party installment rule for death, involuntary conversions, and condemnations. For example, if one party dies before the two-year period ends and the estate sells the property, the installment sale is not deemed invalid.
9. The condemnation basis scenario is based directly on an example in Publication 551, Basis of Assets.

STUDY UNIT 9

Study Questions

Test yourself, then check the answer key that follows.

-
1. Which of the following property exchanges does not qualify as a like-kind exchange?

- a) Exchange of an apartment building for an office building.
- b) Exchange of timberland for a residential rental property.
- c) Exchange of undeveloped farmland for a factory building.
- d) Exchange of livestock for other livestock.

2. Robstown Ranch, LLC purchased an industrial harvester for \$100,000 many years ago. The harvester eventually breaks down over many years of use, and the business sells the used harvester for scrap in 2025 for \$7,000. Robstown Ranch had depreciated the asset down to \$10,000, its remaining basis. It sold no other business property in the preceding five years. What is the gain or loss on this equipment?

- a) \$0 gain or loss
- b) \$3,000 ordinary loss
- c) \$3,000 capital loss
- d) \$7,000 capital gain

3. Caraway Carwash paid \$200,000 for business equipment on January 5, 2025. They find that the equipment does not meet their needs, and Caraway Carwash decides to sell the equipment for \$180,000 on October 10, 2025. They owned the equipment for less than 12 months, so Caraway had not taken any depreciation on the equipment yet. How should this transaction be reported?

- a) Caraway Carwash has a section 1231 loss of \$20,000 on the sale of the equipment. This is treated as an ordinary loss.
- b) Caraway Carwash has a section 1231 loss of \$20,000 on the sale of the equipment. This is treated as a capital loss.
- c) This is an installment sale, with a loss of \$20,000 that is treated as an ordinary loss.
- d) Caraway Carwash has an ordinary loss.

4. On January 10, 2025, an office building owned by Pagoda Manufacturing burns down. The property had an adjusted basis of \$190,000, and Pagoda Manufacturing receives an insurance reimbursement of \$340,000. Pagoda Manufacturing buys another office property for \$295,000 on November 8, 2025. What is the company's reportable gain as a result of this transaction?

- a) \$20,000
- b) \$30,000
- c) \$45,000
- d) \$150,000

5. Which of the following is not section 1245 property?

- a) Office building.
- b) Business computer.
- c) Gas storage tanks.
- d) Grain silo.

6. Which of the following property types qualifies for section 1031 like-kind exchange?

- a) A personal residence.
- b) Inventory
- c) Corporate common stock.
- d) Undeveloped land held for investment.

7. Turley Accountancy, LLP exchanges an office building with an adjusted basis of \$125,000 for a strip mall building. The fair market value of the office building is \$519,000. The fair market value of the strip mall is \$525,000. Turley Accountancy pays an additional \$4,000 to the seller to complete the exchange. After the exchange is completed, what is Turley Accountancy's basis in the strip mall?

- a) \$125,000
- b) \$129,000
- c) \$519,000
- d) \$525,000

8. Jennifer operates Wavy Hair Salon, a sole proprietorship. In 2025, she sells all of her old salon chairs for \$3,500 in order to buy new ones. She had purchased the chairs seven years ago for \$15,000, and they were fully depreciated. Therefore, her basis in the chairs is zero at the time of the sale. How should she report this transaction?

- a) She reports a loss of \$11,500 on Schedule C.
- b) She reports a gain of \$3,500 on Form 4797. The entire \$3,500 is treated as depreciation recapture, which is subject to ordinary income tax rates.
- c) She reports a gain of \$3,500 on Form 4797. The \$3,500 is taxed as a long-term capital gain.
- d) She is not required to report this sale.

9. Which of the following assets is not section 1231 property?

- a) Office building held and used by a business for ten years.
- b) Unharvested crops held for thirteen months.
- c) Office equipment held for nine months.
- d) A racehorse held for three years.

10. Arboreal Acres, Inc. is a farming corporation. In 2025, Arboreal Acres sells a used tractor for \$25,000. Arboreal Acres purchased the tractor seven years ago and has used it continuously on the farm. The original cost of the tractor was \$20,000 because the business owner got a great deal on the tractor from a friend. The tractor is fully depreciated on the date of the sale. What is the tax treatment for Arboreal Acres' sale of the tractor?

- a) There is no gain or loss on the sale of the tractor.
- b) Arboreal Acres has a gain of \$25,000. The first \$15,000 is considered section 1245 recapture and is taxed as ordinary income. The remaining \$10,000 is considered section 1231 gain.
- c) Arboreal has a gain of \$25,000. The first \$20,000 is considered section 1245 recapture and is taxed as ordinary income. The remaining \$5,000 is considered section 1231 gain.
- d) The entire gain is considered section 1245 recapture and will be taxed as ordinary income.

11. Silas operates an auto salvage yard as a sole proprietorship. During the year, Silas sold heavy equipment that was used in the business for \$100,000. The original cost of the equipment was \$120,000, and Silas had claimed depreciation deductions totaling \$47,000. Based on the information provided, what is the nature and amount of taxable income that will result from the sale of the equipment?

- a) Capital gain of \$27,000.
- b) Ordinary income of \$27,000.
- c) Capital gain of \$47,000 and an ordinary loss of \$20,000.
- d) Ordinary income of \$47,000 and a capital loss of \$20,000.

12. Eastwood Auto Painting, LLC, which is taxed as a partnership, does custom auto painting. The business owns a classic automobile, originally purchased for \$20,000, used exclusively in its showroom to display its paint designs (not inventory). The car had been depreciated by \$12,000, so the partnership's adjusted basis was \$8,000 in 2025. A local museum purchases the car in 2025 for \$25,000. What is the nature of the tax treatment resulting from this sale?

- a) Ordinary income of \$17,000.
- b) Section 1231 gain of \$17,000.

- c) Section 1231 gain of \$12,000 and ordinary income of \$5,000.
- d) Ordinary income of \$12,000 and a Section 1231 gain of \$5,000.

13. Which of the following trades potentially qualifies as a tax-deferred like-kind exchange?

- a) The exchange of a hotel in Houston, Texas, for a hotel in Vancouver, Canada.
- b) The exchange of a copyright for a patent.
- c) The exchange of a parking lot for undeveloped farmland.
- d) The exchange of 100 shares of stock for 100 units of bonds.

14. Deluxe Airlines, Inc. is a private jet charter service. In the prior year (2024), Deluxe Airlines sold a used jet at a \$50,000 loss. The jet was used in business operations for several years, so it was a section 1231 business asset. In 2025, Deluxe Airlines sold another used jet and had a \$90,000 section 1231 gain. Applying the 5-year lookback rule, how much of the gain from the sale in 2025 would be classified as ordinary, and how much would be capital gain?

- a) \$100,000 would be treated as a long-term capital gain.
- b) \$100,000 would be treated as an ordinary gain.
- c) \$40,000 of the gain would be ordinary, and \$50,000 would be long-term capital gain.
- d) \$50,000 of the gain would be ordinary, and \$40,000 would be long-term capital gain.

15. Sadie owns a small fitness gym as a sole proprietor. She sells some used fitness machines during the year for \$65,000. She had purchased the equipment for \$90,000 several years ago. She has taken \$50,000 of depreciation deductions, and a section 179 deduction of \$10,000. How should Sadie report the sale of these business assets?

- a) Ordinary loss of \$25,000.
- b) Long-term capital gain of \$35,000.
- c) Ordinary income of \$35,000.
- d) Ordinary income of \$10,000 and a long-term capital gain of \$25,000.

16. Sergio owns several residential rental properties. He is not a real estate professional. He trades a condo in Mississippi (adjusted basis \$30,000, FMV \$50,000) for a duplex in Nevada (FMV \$75,000). The Nevada duplex is more valuable than the Mississippi property, so Sergio has to pay an additional \$19,000 cash to the seller in order to close the sale. This is a qualified 1031 exchange. What is Sergio's basis in the Nevada duplex after the exchange?

- a) \$30,000
- b) \$49,000
- c) \$50,000
- d) \$75,000

17. Boland Realty, LLC sells a rental duplex with an adjusted basis of \$150,000. The property had been a residential rental for many years. The buyer of the duplex agrees to pay Boland Realty \$300,000, with a cash down payment of \$100,000 and \$20,000 (plus 5% interest) in each of the next ten years. What is Boland Realty's gross profit and gross profit percentage on the installment sale?

- a) The gross profit is \$5,000, and the gross profit percentage is 50%.
- b) The gross profit is \$10,000, and the gross profit percentage is 100%.
- c) The gross profit is \$150,000, and the gross profit percentage is 50%.
- d) The gross profit is \$5,000, and the gross profit percentage is 100%.

18. Tabitha and Tanner are siblings who complete a section 1031 exchange on January 21, 2025, properly exchanging two residential rentals. On June 29, 2025, Tabitha dies, and her rental property is inherited by her husband, who sells it a month later. Tabitha's husband will file a joint return with his late wife Tabitha, in 2025, the year of her death. Which of the following statements is correct?

- a) Since one of the properties in the exchange was sold before the two-year time limit for related party exchanges, the section 1031 exchange is disallowed, and both parties (Tanner and Tabitha's estate) must pay tax on the transaction.
- b) This section 1031 exchange is still valid for both parties in the exchange.
- c) Since this was a related party exchange, the section 1031 exchange is still valid for Tanner, but Tabitha's estate must pay tax on the exchange because her husband disposed of the property before the two-year waiting period ended.
- d) The nonrecognition treatment is lost for both parties, but Tabitha's husband is the only one liable for the tax on the failed exchange since he was the owner of the property when it was sold.

19. Junction Foods, Inc. trades an empty lot with an adjusted basis of \$11,000 and pays additional cash of \$6,000 for a parcel of farmland with a fair market value of \$25,000. How much gain must Junction Foods recognize in this Section 1031 exchange, and what is its new basis in the farmland?

- a) Gain \$0; basis of farmland \$17,000.
- b) Gain \$0; basis of farmland \$25,000.

c) Gain \$6,000; basis of farmland \$17,000.

d) Gain \$8,000; basis of farmland \$25,000.

STUDY UNIT 9

Answer Key & Explanations

1. The answer is **D**.

The exchange of livestock does not qualify. Under current law, only exchanges of real property (real estate) qualify for section 1031 treatment; personal property such as equipment or livestock is no longer eligible.

2. The answer is **B**.

Robstown Ranch has a deductible ordinary loss of \$3,000 (\$10,000 remaining basis – \$7,000 sale price). The harvester is a section 1231 asset, and a net 1231 loss is an ordinary loss.

3. The answer is **D**.

Because the asset was held for less than one year, Caraway Carwash has an ordinary loss. Assets purchased and disposed of in the same year are not depreciated; the loss is simply a business expense.

4. The answer is **C**.

Pagoda Manufacturing recognizes a taxable gain of \$45,000 (\$340,000 reimbursement – \$295,000 reinvested), equal to the portion of the insurance reimbursement not reinvested in replacement property.

5. The answer is **A**.

An office building is not section 1245 property. Section 1245 does not include real estate (buildings and structural components). Oil/gas storage tanks and grain silos are not treated as buildings and are section 1245 property.

6. The answer is **D**.

Real property held for investment (undeveloped land) qualifies for like-kind treatment. A personal residence, inventory, and common stock do not qualify under section 1031.

7. The answer is B.

Turley Accountancy's basis in the strip mall is the basis of the old property plus the cash boot paid: $\$125,000 + \$4,000 = \$129,000$. In a nontaxable exchange, the FMV of the properties has no bearing on the basis of the property received.

8. The answer is B.

Because the amount realized (\$3,500) is less than the original cost of the chairs, the entire \$3,500 gain is depreciation recapture, taxed at ordinary income rates and reported on Form 4797.

9. The answer is C.

Office equipment held for nine months is not section 1231 property because a business asset must be held more than one year (at least a year and a day) to qualify.

10. The answer is C.

Arboreal Acres has a \$25,000 gain. The first \$20,000 (all of the depreciation, since the tractor cost \$20,000 and is fully depreciated) is section 1245 recapture taxed as ordinary income; the remaining \$5,000 is section 1231 gain.

11. The answer is B.

The sale produces ordinary income of \$27,000: proceeds \$100,000 – adjusted basis \$73,000 (\$120,000 cost – \$47,000 depreciation). Because this is section 1245 property, the gain is ordinary income up to the lesser of the actual gain (\$27,000) or depreciation recaptured (\$47,000).

12. The answer is D.

Total gain is \$17,000 (\$25,000 – \$8,000 adjusted basis). Depreciation of \$12,000 is recaptured as ordinary income, and the remaining \$5,000 is Section 1231 gain given favorable treatment.

13. The answer is C.

The exchange of a parking lot for farmland potentially qualifies — real estate is like-kind whether developed or not, as long as it is business or investment property. A U.S.-for-foreign exchange (A) and exchanges of a copyright/patent (B) or stock/bonds (D) are not exchanges of real property.

14. The answer is D.

Under the 5-year lookback rule, the prior \$50,000 net 1231 loss recharacterizes an equal amount of the current \$90,000 gain as ordinary income; the remaining \$40,000 is long-term capital gain.

15. The answer is C.

Sadie's gain is \$35,000 (\$65,000 proceeds – \$30,000 adjusted basis, i.e., \$90,000 cost – \$60,000 depreciation including the §179 deduction). As section 1245 property, the gain is ordinary income to the extent of depreciation recapture; since recapture (\$60,000) exceeds the gain, the entire \$35,000 is ordinary income.

16. The answer is B.

Sergio's basis in the Nevada duplex is \$49,000 (the \$30,000 basis of the old condo plus the \$19,000 cash paid).

17. The answer is C.

Gross profit is \$150,000 (\$300,000 selling price – \$150,000 adjusted basis), and the gross profit percentage is 50% ($\$150,000 \div \$300,000$). Boland reports half of each principal payment as gain, plus all interest as ordinary income.

18. The answer is B.

The section 1031 exchange remains valid for both parties. In a related-party exchange, nonrecognition is generally lost if either property is disposed of within two years, but an exception applies if either party dies. Here the original owner (Tabitha) died, so the exchange stays valid.

19. The answer is A.

The exchange qualifies as nontaxable, so Junction Foods recognizes no gain. The \$6,000 cash paid is added to the \$11,000 basis of the old property, giving a \$17,000 basis in the farmland.

STUDY UNIT 10

Partnerships in General

Further reading: IRS Publication 541; Instructions for Form 1065

For federal tax purposes, a partnership is defined as an unincorporated business with two or more owners. As a pass-through entity, the partnership itself is not taxed on its income. Instead, the individual partners are responsible for reporting their share of income and loss from the partnership on their personal tax returns.

In this way, a partnership is similar to a sole proprietorship, except that it is owned by more than one person. A partnership must have at least two owners, with at least one acting as the general partner. Partners in a partnership can be natural persons, as well as legal entities. Each partnership return must be signed by a partner. Unlike a corporation, formal legal documents are not required to establish a general partnership, although it is advisable for partners to formalize their partnership agreements in writing to avoid misunderstandings.

However, partnerships that have liability protection for some partners (such as limited partnerships and limited liability partnerships) do require formal documents to be filed with the state. It is important to note that simply sharing expenses does not constitute a partnership; for example, mere co-ownership of a passive rental activity would generally not be classified as a business or a partnership.

The following organizations are prohibited from being classified as partnerships:

- A corporation (although a corporation can be a partner in a partnership).
- A joint-stock company or joint-stock association.
- Insurance companies and banks.
- A government entity.
- Any organization that is required to be taxed as a corporation by the IRS.
- Certain foreign organizations.
- Any tax-exempt (non-profit) organization.
- Any real estate investment trust (REIT).
- Any organization classified as a trust or estate.
- Any organization that elects to be classified as a corporation by filing Form 8832 or 2553.

Certain entities with different legal structures may be classified as partnerships for tax purposes, such as a domestic limited liability company (LLC) with at least two members. An MMLLC (multi-member LLC) is taxed as a partnership by default, unless it files Form 8832 and elects to be treated as a C corporation, or a Form 2553, to be treated as an S corporation.

Partnership Filing Requirements

A partnership must file a tax return unless it has neither any income nor any expenditures that would be treated as a deduction or credit for the year. A partnership reports its income or loss on Form 1065, U.S. Return of Partnership Income, which is due on the fifteenth day of the third month following the close of the tax year. For the 2025 tax year, the filing deadline for calendar-year partnerships is March 16, 2026 (because March 15th falls on a Sunday).

Example

Aubrey and Jack are cousins and coffee enthusiasts. They decide to open a coffee shop together. Aubrey will focus on marketing while Jack handles business operations. With a handshake, they agree on a 50/50 profit split. Together, they rent a space, purchase equipment, and officially open Brew Buddies Coffee. Their partnership is informal, and they do not have a written agreement. They will have to request an EIN to file a partnership tax return for the business.

A six-month extension is allowed, so calendar-year partnerships normally have an extended due date of September 15 to file. The extension is requested on Form 7004 and must be filed prior to the original due date. The partnership return must show the name and address of each partner and the partner's distributive share of taxable income (or loss) on Schedule K-1. The partnership is also required to furnish a copy of each partner's Schedule K-1 to the partner by the due date (including extensions) of the partnership tax return. The individual partner then reports their share of partnership income on Schedule E of Form 1040.

Example

Sempra Partnership, LLP is a calendar-year, cash-basis partnership that is required to file Form 1065 every year. The partnership has five partners, and each partner receives a Schedule K-1 for their respective share of partnership income and losses. Each partner must receive a Schedule K-1 by the due date of the partnership return (or by the extended due date, if the partnership requests an extension).

Schedules K-2 and K-3 are recently introduced schedules that replace and expand the foreign transaction section of Schedule K-1. All partnerships must complete these schedules unless a reporting exception applies. The IRS issued instructions for Schedule K-2 and K-3 which included a "domestic filing exception" that exempts partnerships from filing these schedules if certain criteria are met.

Example

Reggie and Pamela Stanton are married and file jointly. Both are U.S. citizens. Each owns a 25% partnership interest in Stanton Consulting, LLP, a domestic partnership. Stanton Consulting invests in a regulated investment company (RIC). In 2025, Stanton Consulting receives a Form 1099-DIV from the RIC reporting \$100 of foreign taxes paid on passive category foreign source income. The partnership does not have any foreign activity other than that reported on the 1099-DIV, so this is considered "minimal" foreign activity. Reggie and Pamela receive a notification that they will not receive the Schedule K-3 unless they request it. They do not request it. The partnership qualifies for the domestic filing exception, so Stanton Consulting does not need to complete Schedules K-2 or K-3.

Partnerships are required to file Form 1065 and related forms and schedules electronically if they file 10 or more returns of any type during the tax year, including information, income tax, employment tax, and excise tax returns. If a partnership fails to do so, it will be subject to penalty unless it was unable to file electronically.

Example

Saratoga Partnership has four partners, fifteen employees, and two independent contractors. All fifteen employees will receive a Form W-2 for 2025, and the two independent contractors will receive Forms 1099-NEC. Because Saratoga Partnership is required to file more than 10 returns (17 information returns and one income tax return), the partnership must e-file all its information returns as well as its Form 1065.

The late filing penalty for Form 1065 in the 2025 tax year is \$255 per month, per partner, for a maximum of 12 months. For purposes of this penalty, a fraction of a month is subject to a full month's late filing penalty. Separate from, and in addition to, the late filing of a Form 1065, for each failure to furnish Schedule K-1 to a partner when due, in 2025, a \$340 penalty per late-filed K-1 may be imposed. These penalties may not be imposed if the partnership can show reasonable cause for its failure.

Example

The Walden Partnership has four partners. The partnership does not file an extension and then accidentally files its Form 1065 two months late with the IRS, but issues each partner their Schedule K-1 by the due date. The partnership is liable for a late filing penalty for Form 1065 of \$2,040 ($\$255 \times 2 \text{ months} \times 4 \text{ partners}$).

Partners who work in a partnership are not employees and generally do not receive wages or Forms W-2. This means that general partners are considered self-employed and therefore must normally pay estimated payments just like other self-employed individuals. Limited partners are subject to self-employment tax only on payments for services rendered to the partnership.

Example

Ironhorse Investments, LP is a limited partnership that has only two general partners, Teddy and Laurie. The partnership also has 75 limited partners, all of whom are just passive investors. Teddy and Laurie are considered self-employed and will owe self-employment tax on the ordinary income they receive. In September, Ironhorse hires Steve, a limited partner who owns an independent commercial painting business, to paint the office for \$4,000. Steve performs these services outside of his capacity as a partner, so the transaction is treated as a payment to an independent contractor, reported on Form 1099-NEC. Steve's Schedule K-1 partnership income remains passive and not subject to self-employment tax, but he must report the \$4,000 painting fee as business income on Schedule C, on which he owes self-employment tax.

Note

Looking Ahead to 2026: Under 2025 tax law, a business must issue a Form 1099-NEC to an independent contractor if it pays them \$600 or more during the year. For tax years after December

31, 2025 (the 2026 tax year), the reporting threshold for Form 1099-NEC increases from \$600 to \$2,000.

The Partnership Agreement

The term partnership agreement refers to any written document or oral agreement that outlines the financial arrangements between partners, including how income, gains, losses, deductions, and credits will be allocated. A partnership agreement can be modified during the tax year, and even after the tax year has closed, to include items and elections pertaining to that year's tax return. However, the partnership agreement cannot be modified after the due date for filing the partnership return for the year, not including extensions.

Example

Linus and Rodney run Battlefield Tools, LLC, a cash-basis, calendar-year LLC taxed as a partnership. They split proceeds 50/50. In 2025, they decide to alter their partnership agreement to include an accountable plan for reimbursements. They have until the due date of the partnership return (March 16, 2026, because March 15 is a Sunday) to modify their partnership agreement. Filing for an extension does not give them additional time to change it.

General Partnership vs. Limited Partnership

The two most common types of partnerships are general partnerships and limited partnerships. In a general partnership, all of the partners have unlimited liability for partnership debts. In a limited partnership, the limited partners have no obligation to contribute additional capital to the partnership, and do not have an economic risk of loss related to partnership liabilities. In this respect, a limited partner is similar to an investor in a corporation. Limited partners generally cannot participate in the management or day-to-day administration of the partnership. In a limited partnership, there must be at least one general partner and at least one limited partner.

A limited partnership (LP), and other types of partnerships with some form of liability protections, such as a limited liability partnership (LLP) and, in some states, a limited liability limited partnership (LLLP), are formed under state limited liability law.

Note

A general partnership is composed of only general partners. In other words, a general partnership cannot have limited partners. For any partner to have limited liability, formal documents have to be filed with the state, and a state-level entity must be formed.

An LLP is more similar to a general partnership, in that all the partners can take an active role in managing the day-to-day affairs of the business, but partners can still have some liability protections. An LLP generally protects individual partners from liability for the malpractice of other partners. Most often, the owners of limited liability partnerships offer professional services

(e.g., attorneys, engineers, licensed CPAs, architects, and doctors). For example, LLP ownership in the State of California is limited to persons licensed to practice in the fields of public accountancy, law, engineering, or architecture. To form an LLP in California, the business must first register with the California Secretary of State.

Example

Casper and Vernon are licensed architects in the state of California. They form C&V Architects, LLP to offer architectural services to the public. They register their partnership with the Secretary of State and form their LLP on July 1, 2025. The LLP allows Casper and Vernon to actively participate in management while still providing limited liability protection to each partner. Their first partnership return (Form 1065) will be due on March 16, 2026 (March 15, 2026, is a Sunday).

Family Partnerships

Family members can form a partnership together and frequently do. However, family members will be recognized as partners only if one of the following requirements is met:

- If capital is a material income-producing factor, the family members must have acquired their capital interests in a bona fide transaction (even if by gift or purchase from another family member), actually own the partnership interests, and actually control the interests.
- If capital is not a material income-producing factor, the family members must have joined together in good faith to conduct a business. They must have agreed that contributions from each entitle them to a share in the profits and that some capital or service is provided by each partner.

Capital (investment) is a material income-producing factor if a substantial part of the gross income of the business comes from the use of capital (e.g., substantial inventories or investment in a plant, machinery, or equipment). In general, capital is not a material income-producing factor if the income consists principally of fees, commissions, or other compensation for personal services performed by members or employees of the partnership.

If a family member (or any other person) receives a gift of a capital interest in a partnership in which capital is a material income-producing factor, the donee's distributive share of partnership income is subject to both of the following restrictions:

- It must be figured by reducing the partnership income by reasonable compensation for services the donor provides the partnership.
- The share attributable to donated capital must not be proportionately greater than the donor's distributive share attributable to the donor's capital.

Example

Sanford owns a used auto dealership, which he operates as a sole proprietorship. In 2025, Sanford gives 50% of his business to his adult daughter, Noreen. The resulting partnership had a profit of

\$60,000. Capital is a material income-producing factor. Sanford performed services worth \$24,000 (reasonable compensation), and Noreen performed no services. The \$24,000 must be allocated to Sanford as compensation. Of the remaining \$36,000 of profit due to capital, at least 50%, or \$18,000, must be allocated to Sanford since he owns a 50% capital interest. Noreen's share of partnership profit cannot be more than \$18,000.

For purposes of determining a partner's distributive share, an interest purchased by one family member from another family member is considered a gift from the seller. The fair market value of the purchased interest is considered donated capital. For this purpose, "members of a family" include only spouses, ancestors, and lineal descendants (grandchild, grandparent, daughter, son, etc.).

Qualified Joint Ventures (QJV)

If a married couple jointly owns and operates an unincorporated business and splits the profits and losses, they are considered partners in a partnership and must submit Form 1065. However, there is an election for spousal-run businesses to avoid being taxed as a partnership — it is called a Qualified Joint Venture (QJV). A QJV is when:

- The only owners of the business are a married couple who file taxes jointly (if the couple chooses to file MFS, they cannot make the QJV election).
- Both spouses materially participate in the business.
- Both spouses elect not to be treated as a partnership.

The election is made on a joint Form 1040 by dividing all income, gains, losses, deductions, and credits between each spouse based on their respective ownership interests in the venture. Each spouse then files their own, separate Schedule C, and separate Schedule SE forms.

Example

Liza and Freddie are married and file jointly. They open a small bakery called Sunnyside Bakery and run the business together. Liza handles the baking and new recipes, while Freddie manages the sales, marketing, and customer service. By electing to be treated as a Qualified Joint Venture, Liza and Freddie can each report their share of the business income and expenses directly on their individual tax returns and avoid the complexity of a partnership tax return filing.

However, if the spouses choose to file separate tax returns, then the QJV election is not possible, and they must file a partnership tax return. Also, if a married couple later forms an LLC or an LLP under state law, they are not eligible to make the QJV election (an exception exists for community property states).

Example

Emily and Oliver are married and run Green Gardening Services, a lawn care business. Emily manages the office while Oliver handles the on-site work. They have always kept their finances

separate and choose to file separate tax returns. Due to their separate filing status, they are unable to make the QJV election. Their business must be treated as a partnership. They must file Form 1065, and each will receive their own Schedule K-1 detailing their share of income, which must be included on Schedule E (Form 1040) on their separate returns.

Costs of Organizing and Starting a Partnership

The costs to organize and start up a partnership are treated much like similar costs incurred by other types of businesses. Up to \$5,000 of organizational costs and up to \$5,000 of start-up costs can be deducted immediately in the year the partnership's active trade or business begins. Organizational costs are typically expenses incurred to create a company, such as legal and accounting fees to establish the company (including costs to form an LLP, LP, or LLC). Amounts not deducted as a current expense can be amortized ratably over a period of 180 months (15 years) starting in the month the business begins.

Example

Pablo and Luther open the Delightful Diner, LLC in Texas on February 2, 2025, and run the business as a partnership. One month before opening, they paid \$5,900 in radio advertising to promote it. The business can deduct \$5,000 on the first-year partnership return (Form 1065) as start-up expenses. The remaining \$900 (\$5,900 – \$5,000) must be amortized over 180 months. They also incurred \$3,000 in organizational costs to form the LLC (attorney fees to file the organizational documents with the Texas Secretary of State). The \$3,000 in legal fees are fully deductible as organizational costs in the year they opened for business.

Businesses start losing the immediate \$5,000 up-front deduction when their organizational and/or start-up costs exceed \$50,000 and then must reduce the deduction dollar-for-dollar by the amount exceeding the \$50,000 threshold. Therefore, if a partnership has more than \$55,000 in either organizational or start-up costs, all of those expenses (testing separately for each type) must be amortized over a 180-month period. The election to either deduct these costs currently or capitalize and amortize them is irrevocable. The partnership must file Form 4562, Depreciation and Amortization, with its tax return to claim these deductions.

Special Partnership Allocations

Unlike S corporations, which must report all income and expenses in proportion to stock ownership, partnerships have much more flexibility. Partnership agreements can be written to reflect special allocations of income, gain, loss, or deductions, as long as the allocations have substantial economic effect, which is defined in IRS regulations. For example, the partnership agreement may, with certain restrictions, allocate all of the depreciation deductions to one partner or specify that the partners share capital, profits, and losses in different ratios.

Example

Denise and Sarah join to create Decor Fashions, a general partnership. Denise has design and sewing skills, while Sarah has \$100,000 in capital to invest. Denise does not invest any money, but her skills are valuable. In their partnership agreement, they agree to distribute profits 20/80 until Sarah recovers her initial investment. After that, the profits will be evenly split at 50/50. These allocations are stated in their partnership agreement.

Example

Sanji and Katherine form a partnership and open a sandwich shop. Sanji contributes only \$1,000, and Katherine contributes \$99,000. Due to Sanji's previous expertise in restaurant management and his daily participation, the partnership agreement provides that Sanji will be allocated 20% of business income and 2% of the partnership's losses. Although Sanji owns only 1% in partnership capital, his profit-sharing ratio is 20%. This allocation is permissible because it correctly reflects their underlying economic arrangement.

Example

Adelaide and Bessie form a partnership to run a bridal cake bakery. The partnership has ordinary income of \$10,000. The partnership agreement states they will share income and losses equally (50/50), and they distribute the \$10,000 equally. However, for tax purposes, they want the income allocated \$7,500 to Adelaide and \$2,500 to Bessie. The tax allocation (75/25) is not consistent with the underlying economic arrangement (50/50). Unless the partnership agreement contains other provisions that justify this allocation, it has no substantial economic effect and must be reallocated based on their economic sharing ratio.

Guaranteed Payments

Guaranteed payments are not the same as partnership distributions. A guaranteed payment refers to compensation provided to a partner for services rendered or capital contributed, regardless of the partnership's profitability. A partnership may be required by the terms of its partnership agreement to make guaranteed payments to one or more partners without regard to whether the partnership has income or loss for the year. Guaranteed payments are generally deducted by the partnership on Form 1065 as a business expense and reported to the partner on their Schedule K-1.

The partner who receives a guaranteed payment reports the amount as ordinary income on Schedule E (Form 1040) for the tax year in which the partnership's tax year ends and also reports their distributive share of the partnership's ordinary income or loss.

Example

Kirkland Law, LLP is a law firm partnership where one of the partners, Elliot, primarily handles administrative tasks, payroll processing, and other essential services performed weekly, regardless of the firm's profitability. To recognize Elliot's contributions, the partnership agrees to provide him a guaranteed payment of \$4,000 per month. This payment is made regardless of the firm's financial performance and is written into the partnership agreement. Elliot will pay tax on the guaranteed payments, as well as any other distributive share of income he receives.

Guaranteed payments are not subject to income tax withholding by the partnership. However, guaranteed payments received for services provided to a partnership are subject to self-employment tax by the recipient partner.

Example

Irvin is a 10% general partner in the Brandenburg Partnership. Under the terms of his partnership agreement, he is entitled to a guaranteed payment of \$10,000 per year, regardless of how profitable the partnership is. In 2025, Irvin's distributive share of partnership income is 10%. Brandenburg has \$50,000 of ordinary income after deducting Irvin's guaranteed payment. Irvin must report \$15,000 of ordinary income on his individual return (\$10,000 guaranteed payment + \$5,000 [$\$50,000 \times 10\%$] distributive share).

With regard to the Section 199A Qualified Business Income deduction, §199A excludes guaranteed payments made to a partner from being qualified business income to the individual receiving them. A partner cannot take a 199A deduction on guaranteed payments (similar to how most employees cannot claim a 199A deduction on their wages). Amounts paid to a partner as guaranteed payments reduce the qualifying business income generated by the partnership itself.

Transactions Between a Partner and a Partnership (Outside Partner Capacity)

Under longstanding tax law, when a partner provides property or services to a partnership other than in their capacity as a partner, the transaction is treated as occurring between the partnership and a non-partner under IRC §707(a). This means the transaction is generally taxed under the same rules that would apply if the partnership had dealt with an unrelated third party.

For services performed or property transferred after July 4, 2025, the One Big Beautiful Bill Act (OBBBA §70602) clarified and reinforced this rule. The amendment confirms that when a partner is not acting in their capacity as a partner, the transaction is treated as occurring between the partnership and a non-partner. Depending on the nature of the transaction, the payment may be subject to the normal tax rules that apply to compensation, sales of property, or other business transactions.

Example

Maya is a 25% partner in Riverwalk Cafe, LLC, a domestic partnership. Maya also operates a separate sole proprietorship that sells commercial kitchen equipment. On August 15, 2025, Riverwalk Cafe purchases a commercial oven from Maya's sole proprietorship for its fair market value of \$12,000. Because Maya is acting as an independent equipment dealer rather than in her capacity as a partner, the sale is treated as a transaction between the partnership and a non-partner under IRC §707(a). The partnership treats the payment as the purchase of a business asset, and Maya reports the sale under the normal tax rules that apply to her separate equipment business.

Separately Stated Items

For the EA exam, you must be able to distinguish the items that are separately stated on a partnership's tax return. Many of the individual components of a partnership's income or loss are calculated similarly to those of an individual. However, some deductions are not allowed at the partnership level, and certain items of income and loss must be separately stated on the tax return. Each year, a partnership provides Schedules K-1 to each of its partners, indicating their respective shares of ordinary income or loss and separately stated items. The following items must be separately stated on a partnership's return:

- Net short-term capital gains and losses.
- Net long-term capital gains and losses.
- Charitable contributions.
- Dividends received from a corporation eligible for a dividends-received deduction.
- Foreign income taxes (paid or accrued).
- Taxes paid to a U.S. possession (Guam, American Samoa, Puerto Rico, etc.).
- Section 1231 gains and losses.
- Section 1250 depreciation recapture.
- Section 179 deductions.
- Any tax-exempt income and expenses related to the tax-exempt income.
- Investment income and related investment expenses.
- Rental income and any related rental expenses.
- Any recovery items, such as bad debts and tax refunds.
- Distributions of unrealized receivables or inventory that may have substantially appreciated.
- Qualifying section 199A wages paid by the partnership to its employees.
- Unadjusted basis of assets immediately after acquisition (UBIA).

These separately stated items flow through to the partners with a specific character. They are reported to each individual partner on Schedule K-1, which the partner then uses to complete their individual tax return, ensuring each partner's tax liability is accurately calculated.

Example

Sudsy Auto Wash has four equal owners and is taxed as a partnership. It operates a car wash and rents an adjacent office building. The company's 2025 gross receipts were \$250,000 from the car wash. It also had: liability insurance expense \$5,000; charitable contributions \$2,000; advertising expenses \$9,000; rental income from the adjacent parking lot \$25,000; and guaranteed payments to partners \$15,000. Ordinary income is \$221,000 (\$250,000 gross receipts – \$5,000 insurance – \$9,000 advertising – \$15,000 guaranteed payments). The rental income and charitable contributions are separately stated items that pass through to the partners and retain their character. Each partner receives a Schedule K-1 reporting their share of ordinary income and each separately stated item.

Guaranteed payments are deductible by the partnership and taxable to the partners who receive them.

Example

Tramway Advisors, LLP receives \$50,000 in dividends: \$40,000 classified as qualified dividends and \$10,000 as ordinary dividends. Caleb is a 25% partner. He would use the Schedule K-1 to report \$10,000 in qualified dividends and \$2,500 in ordinary dividends on his tax return, reflecting his 25% distributive share of the partnership's investment income.

Example

Foster is a 25% partner in Omaha Architects, LLP. Omaha Architects makes \$20,000 of charitable contributions in 2025, reported on Form 1065. As a pass-through entity, the partnership does not receive a tax benefit from the contributions. Instead, Foster's Schedule K-1 shows \$5,000 as his share of the partnership's charitable contributions, which he can potentially claim on his individual tax return.

Contributions to a Partnership

When a partnership is formed, or new partners are added, the partners typically contribute property or cash in exchange for their partnership interests. Under IRC Section 721, generally neither the partner nor the partnership recognizes gain or loss in connection with contributions, whether made in connection with the partnership's formation or after it is operating.

When a partner contributes property (rather than money) to a partnership, the partner's basis in their partnership interest as well as the partnership's basis in the property is generally the same as the adjusted basis of the property contributed by the partner, including any gain recognized by the partner in connection with the contribution. The partner's holding period for the property is also carried over.

Example

Waylen is a licensed CPA. He contributes an office building with an FMV of \$175,000 and a basis of \$65,000 to Milligan Accountancy, LLP, in exchange for a 10% partnership interest. The basis of the building in the hands of the partnership would also be \$65,000. This amount would also be Waylen's basis in his new partnership interest.

However, a partner's contribution can result in gain or loss recognition in the following, less common, situations:

- **Investment companies:** When property is contributed to a partnership that would be treated as an investment company if it were incorporated (over 80% of the value of its assets is held for investment in cash or readily marketable items).
- **Distributions to a different partner:** When contributed property is subsequently distributed to a different partner within seven years of the original contribution date. The contributing

partner would recognize gain on the difference between the fair market value and the adjusted basis of the property as of the contribution date.

- **Disguised sales:** When a partner contributes property to a partnership and then receives an immediate distribution of cash, or a different property. The transaction may be considered a “disguised sale” if (1) the distribution would not have been made if the initial contribution had not occurred, and (2) the partner's right to the distribution does not depend on the success of partnership operations.

Example

Reyna and Hamlin form Zenith Financial, LLP, an equal partnership. Reyna contributes an office building with an adjusted basis of \$145,000 and an FMV of \$300,000. Hamlin contributes \$125,000 in cash. The basis of Reyna's partnership interest is \$145,000 (her basis in the contributed building), and the basis of Hamlin's interest is \$125,000. Even though the contributions were not the same, they can still share partnership profits and losses equally, if they choose to do so.

Example

Kramer legally transfers a factory building to Leeds Partnership. The building has a fair market value of \$4,000,000 and a basis of \$1,200,000 to Kramer. Two months later, Leeds Partnership distributes \$3,500,000 in cash to Kramer. This transfer would likely be treated as a “disguised sale,” rather than a distribution. Kramer would be required to recognize income on the “sale” of the building to the partnership.

If a contribution and distribution occur within two years of each other, the transfers are presumed to be a “disguised sale” unless the facts clearly indicate they are not. If the contribution and distribution occur more than two years apart, the transfers are presumed not to be a sale unless the facts clearly indicate they are.

Example

Chrissy transfers ownership of appreciated farmland to Lindale Organic Farms, LLC in exchange for a 20% partnership interest. The farmland has an FMV of \$700,000 and an adjusted basis of \$230,000 on the date Chrissy contributes the property. Four weeks later, Lindale distributes \$700,000 in cash to Chrissy. The contribution and distribution will likely be treated as a “disguised sale” (rather than a contribution of property and a distribution of cash).

The Contribution of Services to a Partnership

A partner can acquire an interest in a partnership as compensation for services performed. The tax treatment depends upon whether the partner receives a capital interest or a profits interest. If a partner receives a full capital interest (where they are entitled to receive distributions in the event the partnership is liquidated) as compensation for services, the partner must recognize ordinary income equal to the fair market value of the partnership interest transferred in exchange for their services.

Example

Estelle is an attorney who contributes her legal services to Caldwell Catering, LLC, taxed as a partnership, in exchange for a 5% partnership interest. It is deemed a capital interest, as the partnership agreement provides for distribution of assets to Estelle if she withdraws or Caldwell Catering liquidates. The FMV of the interest is \$8,000. Estelle recognizes \$8,000 of ordinary income, and her basis in the partnership is \$8,000. For services performed prior to July 4, 2025, the amount is treated as a guaranteed payment. Under OBBBA §70602, if these services are performed after July 4, 2025, and are outside her capacity as a partner, the transaction is treated as a payment to a non-partner and reported on Form 1099-NEC.

On the other hand, if a partner receives only a “profits interest” in the partnership in exchange for services, the receipt of that interest is generally not taxable when received. A profits interest gives the partner a right to share only in future profits and appreciation and does not entitle the partner to any share of existing capital at the time the interest is granted. Because the partner would receive nothing if the partnership were liquidated immediately after the grant, the interest is considered to have no determinable fair market value at the time of receipt, and no current income is recognized.

Note

A profits interest can generally be received tax-free only when it is given for services performed as a partner or in anticipation of becoming a partner. For services performed after July 4, 2025, OBBBA makes clear that if the person is really acting like an outside service provider instead of as a partner, the transaction is treated as one with a non-partner under section 707. In that situation, the transfer of the partnership interest may be treated as taxable compensation instead of qualifying for the usual tax-free profits-interest treatment.

Basis of a Partner's Interest

A partner's basis in their partnership interest may be referred to as “outside basis.” This is in contrast to the partnership's basis in its own assets, which is known as “inside basis.” The partnership's inside basis in an asset is generally the same as the contributing person's adjusted basis in the asset. Inside basis and outside basis may initially be equal in a newly formed partnership, but certain distributions of property, transfers of partnership interests, and other basis adjustment items may disrupt this equality. The initial basis of a partnership interest is generally equal to the cash plus the adjusted basis of any property the partner contributed to the partnership solely in exchange for a partnership interest under section 721.

Example

Beltway Farms is a farming partnership formed by two brothers, Roberto and Solomon. They each own a 50% stake and share income and losses equally. Roberto contributes 25 acres of farmland with an adjusted basis of \$300,000 and an FMV of \$1 million. Solomon contributes cash of \$300,000.

They both have the same partnership tax basis (\$300,000 each). The partnership's basis in the land is the same as Roberto's basis (\$300,000).

Example

Keagan and Anika form Whitewall Accounting, LLP in 2025. Keagan contributes an office building with a tax basis of \$100,000 and a fair market value of \$500,000. Anika contributes \$500,000 in cash. They have equal equity. Anika's "outside basis" is \$500,000 (cash contributed). Keagan's "outside basis" is only \$100,000 (his basis in the building), even though the building's FMV was much higher. If Keagan sells his interest shortly thereafter for \$500,000, he would recognize a gain, but if Anika sold her interest for \$500,000, she would not (because she only contributed cash).

The adjusted basis of a partner's partnership interest is ordinarily determined at the end of the partnership's tax year. However, if there is a sale or exchange of a partner's interest or a liquidation of the partner's entire interest, the adjusted basis must also be determined on the date of the transaction.

Example

Rory owns 60% of Saltwater Partnership, LLP. Bethany owns 40%. In 2025, Bethany sells her 40% interest to Cameron, an unrelated person. The adjusted basis of Bethany's partnership interest immediately before the sale was \$400,000. Cameron pays \$480,000 directly to Bethany. Saltwater has no hot assets. Bethany has a capital gain of \$80,000 on the sale. She will receive a final Schedule K-1 and report the capital gain on Schedule D.

The following items will increase a partner's (outside) basis in the partnership:

- A partner's additional cash contributions.
- The adjusted basis of additional non-cash contributions to the partnership.
- The partner's increased share (or assumption) of a partnership's liabilities.
- The partner's distributive share of taxable and nontaxable partnership income.
- The partner's distributive share of the excess of the deductions for depletion over the basis of the depletable property.

In addition, if a partner must recognize a gain as a result of a partnership contribution (under section 721(b) related to investment company contributions), the gain is added to the basis of their partnership interest.

Partner Capital Account

A capital account is a measure of a partner's financial interest in the partnership. A partnership must maintain capital accounts for all the partners, using the "tax basis" to compute them. Tax-basis capital accounts are computed in a similar way to the partner's basis in the partnership interest, except that liabilities do not impact the capital account, and the capital account can be reduced below \$0.

Example

Angus and Brooke run Serenity Candles as a general partnership. Angus originally contributed \$6,000 in cash. Angus was allocated \$3,500 of the store's profits for the year. During the year, Angus received a cash distribution of \$2,000. The ending balance in his capital account is \$7,500 (\$6,000 cash investment + \$3,500 profit share – \$2,000 distribution).

Partnership Liabilities

When an individual partner assumes partnership debt, this is treated as if it were a contribution of cash or property to the partnership by the partner. If a partner's share of partnership liabilities increases, this increase is treated as if the partner contributed cash or property. A partner's (outside) basis in the partnership is decreased by the following items:

- The money and the adjusted basis of property distributed to the partner by the partnership.
- The partner's distributive share of the partnership's losses (including capital losses) and the partner's distributive share of nondeductible partnership expenses (but not capital expenditures), including the partner's share of any section 179 expenses.
- The partner's deduction for depletion for any partnership oil and gas wells, up to the proportionate share of the adjusted basis of the wells allocated to the partner.

If a partner's share of partnership liabilities decreases or the partnership assumes any of the partner's individual liabilities, the amounts are treated as distributions to the partner. For example, if a partner contributes property subject to an existing debt and the partnership assumes the debt, the basis of the contributing partner's interest is reduced (but not below zero) by the portion of the liability assumed by the other partners.

Example

Ivette acquired a 20% interest in the Bayside Movers Partnership by contributing a moving truck that had an adjusted basis to her of \$80,000 and a related \$40,000 auto loan balance. Bayside Movers assumed the entire auto loan. The basis of Ivette's partnership interest is \$48,000: the \$80,000 adjusted basis of the truck minus the loan assumed by the other partners ($80\% \times \$40,000 = \$32,000$).

A partner's basis can never go below zero. To avoid this, a partner must recognize gain equal to the amount by which cash distributions or a decrease in their share of partnership liabilities exceeds their partnership basis.

Example

Dewey acquired a 20% interest in Tremblay Engineering, LLP by contributing an office building that had an adjusted basis of \$80,000 and a related \$120,000 mortgage loan. The partnership assumes the loan. Because Dewey's basis in the building is less than the loan balance, the \$16,000 difference between the portion of the loan assumed by the other partners ($\$96,000 = 80\% \times \$120,000$) and his basis of \$80,000 is treated as capital gain from the sale or exchange of a partnership interest. He must recognize \$16,000 in capital gain, and Dewey's partnership basis is zero.

Partnership Loss Limitations

The amount of a partnership's loss that a partner is potentially allowed to deduct on their tax return is normally dependent on (1) the partner's basis in the partnership (the “outside basis” limitation), and (2) the amount the partner has at-risk in the partnership (the “at-risk” limitation).

The “Outside Basis” Limitation

In general, a partner cannot deduct losses that exceed their partnership basis. Losses disallowed due to insufficient basis are carried forward until the partner can deduct them in a later year, typically when there is sufficient basis. Debts incurred on behalf of the partnership can increase a partner's individual basis. For example, if a partner takes out a \$50,000 loan to finance partnership operations and personally guarantees the debt, the debt is considered part of their basis in the partnership for purposes of deducting partnership losses.

Example

Arnold owns farmland with a basis of \$10,000 and a fair market value of \$65,000. On January 1, 2025, Arnold contributes the farmland to the Grapevine Partnership for a 20% interest. Grapevine has overall business losses of (\$80,000). Arnold's distributive share of the loss is \$16,000 ($\$80,000 \times 20\%$). Arnold cannot deduct more than \$10,000 in losses in the current year, because his loss deduction is limited to his basis. His remaining losses will be suspended and carried forward to future years.

The At-Risk Limitation and Passive Activity Losses

If a partner does not have any personal liability to satisfy the debt of a partnership, deductible losses may be limited by the at-risk rules. The “at-risk rule” limits the deductibility of losses to the partner's investment in the partnership — which includes any cash contributions, the basis of any non-cash Section 721 capital contributions, the partner's share of undistributed partnership earnings, and the partner's share of partnership recourse liabilities, but not their share of most nonrecourse debt. A partner is prohibited from taking losses based on partnership liabilities unless the partner would be forced to satisfy the debt with their own personal assets. This rule is intended to prevent abusive deductions from tax shelter activities.

Example

Profitable partnership: Axel is a limited partner in Cryptex Partnership, LP, which mines cryptocurrencies. Axel invested \$5,000 for a 5% interest. As a limited partner, his legal liability is limited to his investment, and he is not involved in day-to-day activities. Axel's at-risk limitation is \$5,000. However, the partnership is very profitable, and Axel's Schedule K-1 reflects his distributive share of \$39,000. Because Axel is a limited partner who does not take an active role, his income is passive activity income, not subject to self-employment tax. He has the double benefit of limited liability and avoiding self-employment tax.

Example

Unprofitable partnership: Emily is a limited partner in Arise Energy LP with a 1% interest and is not involved in day-to-day business. Her only other income is \$40,000 in wages. Arise Energy

does poorly, and Emily's Schedule K-1 reflects her distributive share of losses of (\$15,000). Emily cannot deduct any of the losses, because she cannot offset her wages (earned income) with this passive activity loss. The (\$15,000) loss is suspended and carried forward until the partnership is profitable or she disposes of her interest.

Note

Do not confuse the “at-risk limitation” with the “passive activity loss” rules. The at-risk rules deal with a partner's investment in an activity, while the passive activity rules deal with a partner's participation in an activity. Form 6198, At-Risk Limitations, calculates profit or loss from an at-risk activity; Form 8582, Passive Activity Loss Limitations, figures the amount of any passive activity loss (PAL) for the current tax year.

A partner is considered to have assumed a partnership liability when the partner is personally liable for it, and: the creditor knows that the liability was assumed by the partner and can demand payment from the partner; and no other partner or person related to a partner will bear the economic risk of loss on that liability immediately after the assumption.

Example

Saul and Kent become partners in a general partnership, each contributing \$2,000 in cash and splitting profits and losses equally. The partnership takes out a \$14,000 bank loan to purchase equipment. Both partners are personally responsible for repaying the debt. This liability becomes part of each partner's basis — \$7,000 each. Each partner's basis would be \$9,000 (\$2,000 initial contribution + \$7,000 share of the liability), and each has a \$9,000 at-risk limit.

Example

Luna invests \$1,000 in Network Solutions, LLP for a 10% general partnership interest. Network Solutions then takes out a \$500,000 business loan; Luna is a signatory along with the other partners, so she is liable for her share. Her share of partnership liabilities increases her basis to \$51,000 ($\$1,000 + [\$500,000 \times 10\%]$). The partnership incurs \$100,000 of operating losses; Luna's share is \$10,000, reducing her basis to \$41,000. Luna can deduct the entire loss because her basis included her share of the debt.

Example

Gerald and Danica form West Lake Winery, LLC, a 50/50 partnership. Gerald invests \$10,000 cash. Danica also invests \$10,000 cash and personally guarantees an \$80,000 business loan (she is the only signatory because Gerald's credit is poor). In 2025, West Lake has a net loss of \$24,000, allocated equally (\$12,000 each). The at-risk limitations limit Gerald's deduction to \$10,000, as he is not personally liable for the loan. Danica's losses are not limited because her basis includes the \$80,000 debt for which she is personally liable; she deducts her \$12,000 loss in full. Gerald's disallowed losses carry over to the following year.

The effect of liabilities on an individual partner's basis depends mainly on two factors: whether the liability is recourse or nonrecourse, and whether the partner is a general or limited partner. A partner's basis includes the partner's share of a partnership liability only if, and to the extent,

the liability creates or increases the partnership's basis in any of its assets, gives rise to a current deduction to the partnership, or is a nondeductible, noncapital expense of the partnership.

A nonrecourse liability is usually secured by an asset or property, and its terms provide that the creditor has no claim against the owner of the property. A partnership liability is considered a nonrecourse liability if no partner has an economic risk of loss for that liability.

Example

Montgomery and Daisy run a partnership. The partnership purchases a small office building for use in the business with a nonrecourse loan, but the business does poorly and cannot make the mortgage payments. The loan is nonrecourse because the only action the lender can take is to repossess the building; the lender cannot seek payment from Montgomery or Daisy for the balance. Since neither partner has an economic risk of loss, the mortgage is a nonrecourse liability. A partner's share of nonrecourse liabilities is generally proportionate to their share of partnership profits, so the debt generally increases each partner's basis according to the profit-sharing ratios, even though neither partner is personally liable.

A partnership liability is a recourse liability when the individual partners have an economic risk of loss. A partner has an economic risk of loss to the extent that the partner (or a related person) would be obligated to make payments to a creditor in the event of a constructive liquidation. Partners generally share recourse liabilities based on their ratios for sharing losses. A limited partner has no obligation to contribute additional capital and therefore does not have an economic risk of loss in the partnership's recourse liabilities. Thus, unless a limited partner personally guarantees a liability or makes a direct loan to the partnership, a limited partner's basis will generally not be affected by the partnership's recourse liabilities.

Example

Yellowstone Energy, LP is a limited partnership with over 100 partners. Reynard is a general partner, whereas Silvio is a limited partner. Yellowstone takes a recourse loan of \$500,000 during the year. As the general partner, Reynard personally guarantees the loan, so he is legally obligated to repay it if the partnership defaults. This increases Reynard's basis by the amount he is personally liable for. Silvio is a limited partner and simply an investor; his basis is not affected by the loan or any other liabilities.

Notes & References

1. To qualify as "minimal foreign activity," any foreign activity must be limited to passive category foreign income, with not more than \$300 of foreign income taxes allowable as a credit, shown on a payee statement such as a 1099-DIV.
2. Additional penalties may apply if the partnership fails to supply a tax identification number for a partner or fails to furnish required information on tax shelters.
3. A "month" means the same day of the month the return was due, in the following month. A return filed May 15 (due March 15) is two months late; one filed May 16 is three months late.

4. Reporting UBI on the partnership return lets each partner calculate their potential QBI deduction on their share of the partnership's QBI. A partner's UBI is deemed zero if not included on the partner's Schedule K-1.
5. Under Rev. Proc. 93-27, if a partner receives only a profits interest as compensation for services, the receipt may not be taxable to the partner or partnership, except in certain circumstances.
6. Form 8582 is used by noncorporate taxpayers to figure any passive activity loss. Corporations subject to the passive activity rules use Form 8810.
7. Taxpayers generally cannot deduct passive activity losses against earned income. An exception exists for certain real estate activities (the \$25,000 loss allowance), which did not apply in the limited-partner example above.

STUDY UNIT 10

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following increases the basis of a partner's interest in a partnership?
 - a) A partner's share of tax-exempt interest.
 - b) A decrease in the partner's share of liabilities.
 - c) A distribution of \$2,000 of cash to the partner.
 - d) A property distribution to a partner with an FMV of \$5,000 and a tax basis of \$3,000.
2. What is the purpose of Schedule K-1 in a partnership tax return?
 - a) It is used to report the partnership's total income or loss.
 - b) It is used to report the partnership's assets and liabilities.
 - c) It is used to report the partnership's foreign transactions.
 - d) It is used to report a partner's distributive share of taxable income or loss.
3. Carolyn and Jerome form a partnership. Each contributes \$5,000 in cash for an equal partnership interest. Their partnership agreement states that they will share profit and losses equally (50/50). However, Carolyn is a licensed CPA who will provide ongoing accounting services to the partnership and receive a guaranteed payment each year of \$21,000, regardless of the partnership's income or loss. The partnership earns \$50,000 during the year, before deducting Carolyn's guaranteed payment. What is Jerome's distributive share of partnership profits for the year?

- a) \$0
 - b) \$14,500
 - c) \$22,500
 - d) \$25,000
4. Which of the following statements is correct regarding limited partners in a partnership?
- a) A limited partner has no obligation to contribute additional capital to the partnership.
 - b) A limited partner has an economic liability for damages and an economic risk of loss.
 - c) A limited partner is usually required to contribute additional capital to the partnership.
 - d) A limited partner is treated just like a general partner when it comes to the partnership's recourse liabilities.
5. What are Schedules K-2 and K-3 used for in a partnership tax return?
- a) They are used to report the partnership's total income or loss.
 - b) They are used to report items of international tax relevance.
 - c) They are used to report the partner's distributive share of taxable income or loss.
 - d) They are used to report a foreign partner's information.
6. Which of the following is NOT a separately stated item on a partnership tax return?
- a) Net long-term capital gains.
 - b) Interest income.
 - c) Section 179 deduction.
 - d) Cost of goods sold.
7. Johnathan, Robin, Shante, and Theresa form an equal partnership. Each partner contributes \$10,000 and receives an equal ownership interest (25%). Under the partnership agreement, they share profits and losses equally. The partnership borrows \$135,000 and purchases business equipment using a business line of credit. All of the partners except for Theresa personally guarantee the loan. What is each partner's basis after this transaction?
- a) Theresa's basis is zero, and the other partners each have a basis of \$58,333.
 - b) Theresa's basis is \$10,000, and the other partners each have a basis of \$43,750.
 - c) Theresa's basis is \$10,000, and the other partners each have a basis of \$55,000.

d) Johnathan, Robin, Shante each have a basis of \$45,000, and Theresa's basis is \$0.

8. The G&H Partnership has two partners, Gilbert and Hassid, who share profits and losses equally (50/50). The partnership has the following activity during the year. What is Hassid's share of the partnership's ordinary business income in box 1 of Schedule K-1?

Gross income from business operations **\$200,000**

Business expenses **(\$30,000)**

Tax-exempt interest income from muni bonds **\$10,000**

Rental income **\$120,000**

Charitable contributions **(\$4,000)**

a) \$85,000

b) \$91,000

c) \$100,000

d) \$105,000

9. Hialeah and Vincent come together to form Burrows Law Firm, LLP. Each contributes \$20,000 during the initial formation. Their partnership agreement states that Hialeah will receive 35% of the distributive income, and Vincent will receive 65%. In 2025, the partnership has net ordinary income of \$200,000. What is each partner's distributive share of the partnership profits?

a) Hialeah: \$77,000, Vincent \$143,000

b) Hialeah: \$100,000, Vincent: \$100,000

c) Hialeah: \$35,000, Vincent \$65,000

d) Hialeah: \$70,000, Vincent: \$130,000

10. Tasty Sandwiches, LLC operates as an accrual-based business, is taxed as a partnership, and files Form 1065. In addition to receipts from sandwich and beverage sales of \$250,000, the LLC has the following items of income and expenses for the year. What is the ordinary business income that Tasty Sandwiches should report on its Form 1065?

Wages paid to employees **\$50,000**

Insurance expense **\$5,000**

Charitable contributions **\$2,000**

Business licenses **\$5,000**

Rental income from the office above the shop **\$25,000**

Guaranteed payments to Elvis, the shop's founder **\$75,000**

- a) \$85,000
- b) \$115,000
- c) \$190,000
- d) \$210,000

11. Lucy and Jessica are equal (50%) partners in a pizzeria restaurant. At the beginning of the year, the business purchases a new \$30,000 pizza oven. They want to take the section 179 deduction for the full cost of the oven. The partnership's ordinary income before the section 179 deduction is \$25,000. There were no other qualifying section 179 purchases during the year. What is the amount of section 179 deduction that Lucy can potentially deduct on her individual tax return?

- a) \$0
- b) \$6,000
- c) \$12,500
- d) \$15,000

12. The Western Ridge Partnership generated income and expenses as stated below. What is the amount of ordinary business income that Western Ridge should report for the year on its Form 1065?

Employee wages **\$15,000**

Rental real estate income **\$20,000**

Charitable contributions **\$500**

Cost of goods sold **\$10,000**

Income from sales **\$75,000**

- a) \$30,000
- b) \$50,000
- c) \$65,000
- d) \$69,000

13. Red Pepper Restaurant operates as a calendar-year partnership. Red Pepper's two partners, Assad and Dominic, share profits and losses 60% and 40%, respectively. Red Pepper had the following income and expenses for the year: gross sales \$270,000; cost of goods sold \$80,000; bank interest income \$2,500; wages paid \$50,000; short-term capital loss \$5,000. Which outcome correctly states the ordinary business income and flow-through amounts to the partners?

a) Assad: ordinary income \$85,000, STCL \$3,000; Dominic: ordinary income \$57,000, STCL \$2,000.

b) Assad: ordinary income \$82,500; Dominic: ordinary income \$55,000.

c) Assad: ordinary income \$81,000, interest \$1,500, STCL \$3,000; Dominic: ordinary income \$54,000, interest \$1,000, STCL \$2,000.

d) Assad: ordinary income \$84,000, interest \$1,500, STCL \$3,000; Dominic: ordinary income \$56,000, interest \$1,000, STCL \$2,000.

14. Masha and Delma form M&D Partnership. Masha contributes \$16,000 cash, and Delma contributes engineering equipment with a fair market value of \$15,000 and an adjusted basis of \$6,000. What amount should Delma report as a gain as a result of this transaction?

a) \$0

b) \$3,000

c) \$5,000

d) \$9,000

15. Drayton Valley Farms, LLC is taxed as a partnership. Kateri contributes farmland to Drayton Valley Farms in exchange for a 40% ownership interest. The farmland has a fair market value of \$70,000, an adjusted basis of \$40,000, and a related mortgage of \$10,000 that Drayton Valley Farms assumes. What is Kateri's basis in her LLC interest after the contribution of the land?

a) \$10,000

b) \$30,000

c) \$34,000

d) \$60,000

16. Xavier is a 10% partner in Hartville Partnership. According to the partnership agreement, Xavier is entitled to a fixed annual guaranteed payment of \$5,000. During the year, the Hartville Partnership has \$55,000 of net ordinary income before deducting the guaranteed payment. How much partnership income should Xavier report on his individual return for this year?

a) \$5,000

b) \$10,000

c) \$11,500

d) \$16,000

17. Genevieve acquired a 30% interest in a partnership by contributing a building in which she had an adjusted basis of \$25,000. The building's fair market value was \$50,000, and it was encumbered by a \$40,000 mortgage loan that was assumed by the partnership. What is Genevieve's gain or loss on the contribution of her property to the partnership?

- a)** \$0
- b)** \$3,000 gain
- c)** \$10,000 loss
- d)** \$25,000 gain

18. Austin is a general partner in the Kerner Partnership. During the year, Austin personally assumes \$100,000 of the partnership's liabilities. Which of the following statements regarding partnership liabilities is correct?

- a)** The assumption of partnership debt by Austin is treated as a distribution of cash to Austin, and it decreases Austin's partnership basis.
- b)** Austin cannot assume partnership liabilities.
- c)** Only limited partners are allowed to assume partnership liabilities.
- d)** The assumption of partnership debt by Austin increases his basis.

19. Willem and Aletta form Humboldt Fine Spirits, an equal partnership. They each contribute \$20,000 cash to get the business going. Under their partnership agreement, they share all partnership profits and losses equally. They borrow \$60,000 and purchase depreciable business equipment. However, Willem has poor credit, so Aletta is the only signer on the loan. Aletta is the only one required to pay the creditor if the partnership defaults, so she has an economic risk of loss related to the loan. What is Aletta's basis in the partnership, and what is Willem's basis?

- a)** Aletta: \$80,000, Willem: \$20,000.
- b)** Aletta: \$60,000, Willem: \$20,000.
- c)** Aletta: \$20,000, Willem: \$20,000.
- d)** Aletta: \$60,000, Willem: \$60,000.

20. If a partnership requests additional time to file its return, how long will the filing deadline be extended?

- a)** Three months.
- b)** Five months.

- c) Six months.
- d) Nine months.

21. An individual partner who receives income from a partnership must report their share of partnership income on which form?

- a) Schedule A of Form 1040.
- b) Schedule E of Form 1040.
- c) Schedule 1 of Form 1040.
- d) Schedule 3 of Form 1040.

22. When payments are made by a partnership to partners without regard to partnership income, these payments are called:

- a) Capital gains.
- b) Ordinary distributions.
- c) Passive income.
- d) Guaranteed payments.

23. What is the latest that a partnership agreement can be modified, and its terms be applicable to the partnership tax return during a taxable year?

- a) No later than the close of the taxable year.
- b) No later than the partnership return due date (without extensions).
- c) No later than the first day of the taxable year.
- d) No later than the partnership return due date (with extensions).

24. A partner is not considered “at-risk” for which of the following amounts?

- a) The money and adjusted basis of any property the partner contributed to the partnership.
- b) The partner's share of income retained by the partnership.
- c) A partnership's nonrecourse liability on personal property.
- d) Loans borrowed by the partnership if the partner is personally liable for repayment.

25. Phoebe is a limited partner in M&S Relocation Partnership. She does not participate in the partnership's day-to-day operations. The partnership needs specialized website redesign work.

Phoebe owns a separate web design business, and the partnership hires her on December 1, 2025, to perform the work for a fixed fee. Phoebe performs the services outside of her capacity as a partner. How must the partnership report the payment made to Phoebe for these services?

- a) As a guaranteed payment on Schedule K-1 (Form 1065).
- b) As a tax-free distribution of capital.
- c) As a transaction occurring between the partnership and a non-partner, reported on Form 1099-NEC.
- d) As a distributive share of ordinary income.

STUDY UNIT 10

Answer Key & Explanations

1. The answer is A.

Partnership income, including tax-exempt interest, increases a partner's basis. The other items (a decrease in the partner's share of liabilities, and cash or property distributions) all decrease a partner's basis.

2. The answer is D.

Schedule K-1 reports the partner's distributive share of taxable income or loss. Each partner uses their K-1 to report their share on Schedule E of Form 1040.

3. The answer is B.

The guaranteed payment is deducted before figuring each partner's distributive share:
 $\$50,000 - \$21,000 = \$29,000$; $\$29,000 \times 50\% = \$14,500$ to Jerome.

4. The answer is A.

A limited partner generally has no obligation to contribute additional capital. Absent a guarantee of a partnership liability or a direct loan, a limited partner generally has no economic risk of loss for the partnership's recourse liabilities.

5. The answer is B.

Schedules K-2 and K-3 report items of international tax relevance (foreign transactions). All partnerships must complete them unless a reporting exception applies.

6. The answer is D.

Cost of goods sold reduces the partnership's ordinary (non-separately stated) income. Long-term capital gains, interest income, and the section 179 deduction are all separately stated items.

7. The answer is C.

Theresa's basis remains \$10,000 (her cash contribution); she has no economic risk of loss for the debt. The other three each include their share of the \$135,000 debt: $\$135,000 \div 3 = \$45,000$ + \$10,000 cash = \$55,000 each.

8. The answer is A.

Rental income, tax-exempt income, and charitable contributions are separately stated and do not affect ordinary income. Ordinary income is $\$200,000 - \$30,000 = \$170,000$; Hassid's 50% share is \$85,000.

9. The answer is D.

Profits are allocated per the partnership agreement: Hialeah $35\% \times \$200,000 = \$70,000$; Vincent $65\% \times \$200,000 = \$130,000$.

10. The answer is B.

All items are in ordinary income except the charitable contributions and rental income, which are separately stated. Ordinary income = $\$250,000 - \$50,000 - \$5,000 - \$5,000 - \$75,000 = \$115,000$. Guaranteed payments are deductible in determining ordinary income.

11. The answer is C.

The partnership's section 179 deduction is limited to its income of \$25,000, then split between the two partners: $\$25,000 \times 50\% = \$12,500$ for Lucy (assuming no other §179 from other sources).

12. The answer is B.

Ordinary income = sales \$75,000 – COGS \$10,000 – wages \$15,000 = \$50,000. Rental real estate income and the charitable contribution are separately stated.

13. The answer is D.

Interest income and short-term capital losses are separately stated. Ordinary income = \$270,000 – \$80,000 COGS – \$50,000 wages = \$140,000. Allocated 60/40: Assad – ordinary \$84,000, interest \$1,500, STCL \$3,000; Dominic – ordinary \$56,000, interest \$1,000, STCL \$2,000.

14. The answer is A.

Delma recognizes no gain. Generally neither partner nor partnership recognizes gain or loss when property is contributed for a partnership interest (unless, for example, the property is encumbered by a liability exceeding basis).

15. The answer is C.

Kateri's basis is her \$40,000 adjusted basis in the farmland minus the portion of the mortgage assumed by the other partners ($60\% \times \$10,000 = \$6,000$), or \$34,000.

16. The answer is B.

Xavier reports \$10,000: $\$55,000 - \$5,000$ guaranteed payment = \$50,000 ordinary income; his 10% share is \$5,000; plus the \$5,000 guaranteed payment = \$10,000.

17. The answer is B.

Genevieve's interest basis is her \$25,000 building basis minus the portion of the mortgage assumed by the other partners ($70\% \times \$40,000 = \$28,000$). Because the deemed distribution exceeds her basis by \$3,000, she recognizes a \$3,000 gain.

18. The answer is D.

The assumption of partnership debt by Austin increases his basis. An increase in a partner's share of liabilities (or a partner assuming partnership liabilities) is treated as if the partner contributed to the partnership.

19. The answer is A.

The \$60,000 loan is included in Aletta's basis because she has the economic risk of loss (she is the sole signer). Her basis is \$80,000 (\$20,000 + \$60,000); Willem's basis is only \$20,000 (his cash investment).

20. The answer is **C**.

Form 7004 extends the partnership's filing deadline by six months.

21. The answer is **B**.

An individual partner reports their share of partnership income on Schedule E of Form 1040, using the information from their Schedule K-1.

22. The answer is **D**.

Payments made by a partnership to a partner without regard to partnership income are guaranteed payments, treated by the partnership as a business expense.

23. The answer is **B**.

A partnership agreement can be modified after the close of the tax year, but no later than the due date (without extensions) for filing the partnership return.

24. The answer is **C**.

A partner is generally not at-risk for the partnership's nonrecourse debt (unless it is qualified nonrecourse real-property financing). The partner is at-risk for cash and property contributed, retained income, and loans for which the partner is personally liable.

25. The answer is **C**.

When a partner performs services outside their capacity as a partner, the transaction is treated as occurring between the partnership and a non-partner under IRC §707(a) (reinforced by OBBBA §70602 for services after July 4, 2025). The payment is reported on Form 1099-NEC, not as a guaranteed payment or distributive share.

STUDY UNIT 11

Partnership Distributions and Liquidations

Further reading: IRS Publication 541; Instructions for Form 1065

A partnership is not a taxable entity; its income and losses flow through and are reported on the partners' individual tax returns. Partners are taxed on their distributive share of income, whether or not it is actually distributed. Partnership distributions may include the following:

- Distributions of the partnership's earnings for the current or prior years.
- A withdrawal by a partner in anticipation of the current year's earnings.
- A complete or partial liquidation of a partner's interest.
- A distribution to all partners in complete liquidation of the partnership.

Partnership Distributions

All partnership distributions are either current or liquidating. Here are the major differences:

- **Current Distribution:** A current distribution is one coming from an ongoing partnership that does not terminate a partner's interest in the partnership. It is a distribution of cash or property to a partner during the ongoing operations of the partnership. These distributions are typically made to distribute profits or return capital to partners without dissolving the partnership. Generally, current distributions are not taxable events unless it is a cash distribution that exceeds the partner's basis in the partnership. If it does, the excess is treated as a capital gain.
- **Liquidating Distribution:** A liquidating distribution terminates a partner's entire interest in the partnership. These distributions generally occur either when a partner is leaving the partnership, such as when a partner retires or dies, or the partnership itself ceases to exist. A liquidating distribution is often made to settle the partners' interests as the partnership dissolves. Liquidating distributions can result in capital gains or losses for the partners, depending on the difference between the distribution amount and the partner's basis in the partnership.

Example

Liquidating distribution: A partnership is formed by Matilda, Finn, and Zelda. At the formation of the partnership, they each contributed \$10,000 in cash for a total capital of \$30,000. In the first year of operations, the partnership makes a profit of \$15,000. This profit is not distributed to the partners but is retained in the partnership. Each partner's capital account is increased by \$5,000 (their respective share of partnership profits). They will each pay tax on their share of the partnership's profits, but they do not receive any cash. The following year, the partners have a disagreement and decide to dissolve the partnership. The partnership sells all its assets and pays off all its liabilities. The remaining cash is \$45,000, which is distributed to the partners in accordance with their capital accounts. Assuming each partner's capital account is \$15,000 (\$10,000 contribution + \$5,000 profit), each partner receives \$15,000. This is a liquidating distribution. The partnership is then terminated, and each partner's capital account is reduced to zero.

Example

Current distribution: A partnership is formed by Andrea and Charlie. They each contribute \$10,000 in cash for a total capital of \$20,000. The partnership agreement states that profits and losses are to be shared equally. In the first year, the partnership makes a profit of \$8,000. This profit is distributed to the partners equally, 50/50, on the last day of the year, but they will not withdraw any of their contributed capital. This means each partner will receive \$4,000 in cash. This is a current distribution.

A partnership distribution is not considered when determining a partner's distributive share of the partnership's income or loss. Cash or property withdrawn by a partner in anticipation of the current year's earnings is treated as a distribution received on the last day of the partnership's tax year.

Example

Patrick is a 50% partner in Sunny's Flower Shop, a general partnership that started up in 2025. Patrick's basis in his partnership interest is \$0 at the start of the year. The business earns \$60,000 in profits in 2025, all of which is earned ratably over the year. Patrick's distributive share of partnership income for the year is \$30,000 ($50\% \times \$60,000$). The partnership distributes \$2,000 a month in cash to Patrick during the year. The monthly payments are treated as a draw against Patrick's distributive share of income, as though they were made on the last day of the partnership tax year. Patrick will first increase his basis by his \$30,000 distributive share of income before the distribution is considered. Patrick will be taxed on his \$30,000 distributive share of partnership profits.

A partner's adjusted basis in their partnership interest is decreased (but not below zero) by the cash and adjusted basis of property distributed to the partner. If the amount of a cash (or the cash portion of a mixed cash and property) distribution exceeds a partner's basis in the partnership, then the excess of the cash distribution over the partner's pre-distribution outside basis will normally result in capital gain to the partner.

If a property distribution exceeds a partner's outside basis in the partnership, this will usually not result in taxable gain, but the partner's outside basis will be transferred into the asset(s) received in the distribution.

Partner Gain on Distribution

A partner recognizes gain on a distribution only if cash received exceeds the partner's adjusted basis in the partnership interest.

Example

The adjusted basis of Annamarie's partnership interest is \$140,000 at the beginning of the year, on January 1. Later in the year, she receives a mixed distribution consisting of \$80,000 in cash, and a plot of farmland valued at \$30,000 with an adjusted basis of \$20,000 to the partnership. The distribution decreases the basis of her partnership interest to \$40,000 based on the cash and the basis of the asset (land) distributed ($\$140,000 - [\$80,000 \text{ cash} + \$20,000 \text{ land}]$). Because the

cash portion of the distribution does not exceed the basis of her partnership interest, Annamarie does not recognize gain. The basis of property (other than cash) distributed to the partner is generally its adjusted basis to the partnership immediately before the distribution, unless that amount exceeds the partner's outside basis (in which case the partner's outside basis is transferred to the assets received).

Example

Right-Type Printing is a general partnership. Patricia is a 20% partner. The adjusted basis of Patricia's partnership interest is \$45,000 at the beginning of the year. The business decides to purchase new printing equipment and distribute its old printing equipment to the partners. Patricia receives a distribution of an older printing machine that has an adjusted basis of \$23,000 to the partnership. She also receives an additional \$6,000 distribution in cash. Her basis in the partnership is first reduced by the cash portion (\$6,000), and with a \$39,000 remaining basis, her basis in the printing machine is \$23,000. After this distribution, Patricia's remaining partnership basis would be \$16,000 (\$45,000 – \$6,000 cash – \$23,000 printing machine).

A partner cannot have a negative partnership basis. Therefore, the basis of property distributed to a partner cannot be more than the adjusted basis of their interest in the partnership, reduced by any cash received in the same transaction.

Example

Hedrick is a 10% partner in the Brockville Partnership. The basis of Hedrick's partnership interest is \$100,000 at the beginning of the year. He receives a distribution of \$40,000 cash and a parcel of land that has an adjusted basis to the partnership of \$80,000. Hedrick's basis in the land is limited to \$60,000 (\$100,000 basis – \$40,000 cash) since the total amount cannot exceed his partnership interest. After this distribution, his partnership basis would be zero, but he recognizes no gain, because the cash received is not in excess of his outside basis. Later, if Hedrick decides to sell the land, his basis for determining gain will be \$60,000.

A partnership does not recognize any gain or loss because of distributions it makes to partners. A partner who receives a current (non-liquidating) distribution cannot recognize a loss. However, a partner that receives a liquidating distribution may recognize a loss if:

- 1) The amount of cash and the partnership's basis in non-cash assets distributed to the partner is less than the partner's basis in the partnership right before the distribution, and
- 2) Only cash and "hot assets" (discussed next) are distributed to the partner.

Example

Nina and Delia are co-owners of Crafty Creations, a retail shop. The store is struggling financially, so they decide to close the business and dissolve the partnership. Before the liquidation, Nina's basis in her partnership interest was \$52,000. As part of the liquidation, Nina only receives a cash distribution of \$20,000. Since she only received cash in the liquidating distribution and the cash distribution is less than Nina's basis, she can recognize a loss of \$32,000 (\$52,000 – \$20,000). This loss is reported as a capital loss on Nina's individual tax return, on Schedule D (Form 1040).

Special Rules for “Hot Assets”

“Hot assets” are ordinary-income producing assets. The two main examples are inventory and unrealized accounts receivable. A gain or loss on a sale or exchange of unrealized receivables or inventory items a partner received in a distribution is generally treated as ordinary income or loss when later sold by the partner.

“Hot assets” receive this treatment because these are assets that would have generated ordinary income for the partnership if the partnership itself had sold them. In this way, tax law seeks to preserve the character of the income at the partner level.

Example

Triple Accountancy, LLP is a partnership with four equal partners. The partners have a major disagreement and decide to go their separate ways. Triple Accountancy liquidates on December 10, 2025. The partnership pays off its creditors and then dissolves. Triple Accountancy does not distribute any cash to the partners, but it does distribute \$30,000 in unrealized receivables to Dillon, one of the partners. The following year, the clients pay the outstanding invoices and Dillon receives the money. He must treat the income as ordinary income, just as if the partnership itself would have received the income.

In the case of inventory, if a partner receives a distribution of inventory and then holds the distributed inventory for at least 5 years, then sells it, the gain would be treated as a capital gain if the assets were capital assets in the hands of the partner.

Example

Zinnia was a general partner in Totem Jewelers, a business that sells gold and silver jewelry. On January 3, 2025, Totem Jewelers distributed 20 pieces of jewelry to Zinnia. The jewelry had a basis of \$19,000 to the partnership. Zinnia used the jewelry for her own personal use. She sold all of the jewelry for \$24,000 on December 31, 2025. The \$5,000 gain is taxed as ordinary income to Zinnia, even though the jewelry was a capital asset in her hands. This is because the jewelry was inventory to the partnership, and she sold it less than a year after it was distributed. If she had held the jewelry for more than 5 years after the distribution and sold it at a gain, her gain would have been a long-term capital gain.

Sale of a Partnership Interest

A partnership interest is a capital asset. As a result, a gain or loss on the sale or exchange of a partnership interest is normally treated as a capital gain or loss. However, if the partnership holds “hot assets,” some or all of the gain or loss may be recharacterized as ordinary income. Gain or loss on the sale of a partnership interest is calculated as the difference between the amount realized and the adjusted basis of the partner's interest in the partnership. If the selling partner is relieved

of partnership liabilities, the partner must include the liability relief as part of the amount realized for their interest.

Example

Julio became a 10% partner in the Latham Partnership by contributing cash to the formation of the partnership. The adjusted basis of his partnership interest at the end of 2025 is \$20,000, which includes his \$15,000 share of partnership liabilities. Julio sells his entire interest to an unrelated party for \$10,000 in cash on December 31, 2025. At the time of the sale, he had been credited for his share of the partnership's income for the tax year. Julio realizes \$25,000 from the sale (\$10,000 cash + \$15,000 liability relief). He must report \$5,000 (\$25,000 realized – \$20,000 basis) as a capital gain.

Related Party Transactions

A partnership cannot deduct a loss on the sale or trade of property if the transaction is directly or indirectly between related parties. Under the related party transaction rules, an individual is considered to be the owner of a partnership interest directly or indirectly owned by their family members.

“Members of a family,” for this purpose, include only siblings, half-siblings, spouses, ancestors, parents, and lineal descendants (children, grandchildren). For the purposes of this rule, “related parties” do not include ex-spouses, in-laws, stepsiblings, uncles, aunts, cousins, or stepparents.

Example

Padlock Partnership is owned by two brothers, Dwayne and Enzo. OBM Partnership is owned by two sisters, Eartha and Gretchen. Eartha and Gretchen are stepsisters to Dwayne and Enzo. During the year, Padlock Partnership sells a factory building to OBM Partnership. Padlock Partnership recognizes a capital loss on the sale. The loss is allowable because stepsiblings are not considered related parties.

Losses are not allowed from a sale or exchange of property (other than an interest in the partnership) directly or indirectly between a partnership and a person whose direct or indirect interest in the capital or profits of the partnership is more than 50%. If a sale or exchange is between two partnerships in which the same persons directly or indirectly own more than 50% of the capital or profits interests in each partnership, no loss is allowed.

Example

Mason and Adalyn are siblings. Adalyn is a 60% partner in the Crown Partnership, and Mason is a 55% partner in the Belkin Partnership. If one partnership sells property to the other at a loss, the loss will not be allowed because the partnerships are considered related parties (the majority ownership in both partnerships is held by closely related family members). The loss is permanently disallowed for the selling partnership, but the purchasing partnership can use the disallowed loss to offset any future gain when the property is eventually sold to an unrelated party.

Example

Sunland Partnership is owned by two siblings, Ethan and Hallie. Birch Partnership is owned by Ralph and Ruby, who are Ethan and Hallie's parents. Both partnerships are owned by close family members, making them all related parties. Sunland Partnership owns 50 acres of timberland that it originally purchased for \$1,000,000. Due to downturns in the market, the value has decreased to \$800,000. Sunland sells the timberland to Birch Partnership for \$800,000. Sunland has a loss of \$200,000 (\$1,000,000 basis – \$800,000 sales price). Because the partnerships are related parties, the loss is permanently disallowed and cannot be taken by Sunland. If Birch Partnership later sells the timberland at a gain, it can reduce its taxable gain by the \$200,000 loss that was disallowed to Sunland.

The basis of each partner's interest in the partnership is decreased (but not below zero) by the partner's share of a disallowed loss. If the purchaser later sells the property, only the gain realized that is greater than the loss not allowed will be taxable. If a gain from the sale of the property is not recognized because of this rule, the basis of each partner's interest is increased by the partner's share of that gain.

Termination of a Partnership and Liquidating Distributions

When a partnership dissolves, it is called a partnership liquidation, and the partnership will normally pay off existing debts and liabilities and distribute to the partners any remaining assets. A dissolution (or liquidation) marks the official ending of a partnership.

A partnership may dissolve when a partner dies, or when one partner drops out of the business. The basis of property received in complete liquidation of a partner's interest is generally the adjusted basis of the partner's interest in the partnership reduced by any cash distributed to the partner in the same transaction. A partner's holding period for property distributed to the partner includes the period held by the partnership.

Example

Limestone Realty Partnership has serious financial difficulties and decides to liquidate. Larissa is a 10% partner. Her partnership basis right before the liquidation is \$9,000. Limestone Realty distributes \$1,550 in cash to Larissa, in complete liquidation of her interest. There are no other assets to distribute, and the partnership formally dissolves a week later. Larissa can recognize a \$7,450 capital loss on the liquidating distribution (\$9,000 basis – \$1,550 cash received).

Example

Whitehall Partnership is ceasing all business operations. Mulder is a 50% partner. His basis right before the liquidation is \$18,000. The partnership distributes \$10,000 cash and land with a basis of \$6,000 to Mulder in complete liquidation of his interest. Mulder cannot recognize any of the \$2,000 realized loss (\$18,000 basis – [\$10,000 + \$6,000]) because of the land included in the distribution. Whitehall had purchased the land five years ago; this holding period transfers to Mulder, so he will have long-term capital gain treatment. His basis in the land is \$8,000, which is the \$6,000 carryover basis increased by the \$2,000 deferred loss on the distribution.

Payments made by the partnership to a retiring partner or a deceased partner's estate in liquidation of their interest in partnership property are considered a distribution, not a guaranteed payment that could give rise to a deduction for the partnership. A retiring or deceased partner is treated as a partner until their interest has been completely liquidated. The death of a partner will close the partnership's tax year for that partner, but it generally does not close the partnership's tax year for the remaining partners. A final Schedule K-1 will generally be issued to the deceased partner.

Example

Elliott was a 5% partner in Boston Consulting, LLP, a cash-basis, calendar-year partnership. Elliott died on August 1. The distributive share of ordinary partnership income allocable to Elliott through the date of his death was \$40,000. For the entire year, 5% of the partnership's income was \$55,000. Elliott's daughter, Nadine, inherits her late father's partnership interest effective August 1. \$40,000 of ordinary partnership income would be reported on Elliott's final income tax return via the final K-1 issued to him, and the remaining \$15,000 (\$55,000 – \$40,000) would be allocated to Nadine on her Schedule K-1.

A buy-sell agreement is a legal contract that binds the partnership to buy out the interest of a deceased partner; this helps ensure that the business will continue uninterrupted. When other partners (themselves, and not the partnership) directly purchase a retired or deceased partner's interest, this is called a cross-purchase agreement, as opposed to a buy-sell agreement.

Example

Global Attorneys, LLP is a calendar-year, cash-basis partnership law firm. When the partnership was formed, each partner signed a buy-sell agreement stating that, in the event of a partner's death, the deceased partner's estate would receive \$400,000 in full payment for the partnership interest. In 2025, Graham, a 20% partner, dies. Graham's estate was paid \$400,000 by Global Attorneys, LLP in accordance with the buyout agreement. The entire \$400,000 will be treated as a distribution. With the 20% partnership interest now no longer in existence, the remaining partners' interests will increase proportionately.

In a partnership liquidation, the liquidating distributions are similar to regular distributions except that the partner may recognize a loss if the total of cash and the basis of certain qualifying property received is less than their basis in the partnership. If the basis of property received is the adjusted basis of the partner's interest in the partnership (reduced by money received in the same transaction), it must be divided among the properties distributed to the partner.

Recognizing a Loss on a Liquidating Distribution

A loss on a distribution occurs when the amount a partner receives as a liquidating distribution is lower than the partner's basis in the partnership. However, a partner cannot recognize a loss on a partnership distribution unless all of the following criteria are met:

- The adjusted basis of the partner's interest in the partnership exceeds the distribution.
- The partner's entire interest in the partnership is liquidated.

- The distribution consists only of cash, unrealized receivables, or inventory items.

Example

Andrea is a 25% general partner in Benbrook Partnership. Andrea decides to retire at the end of the year. The partnership will continue operations, but Andrea's entire interest will be liquidated, and she will receive a final Schedule K-1. Andrea's partnership basis is \$150,000 on December 31. Benbrook makes a liquidating distribution to Andrea of \$90,000 cash and inventory with a basis of \$30,000 and FMV of \$30,000. Andrea would recognize a capital loss of \$30,000 on the liquidating distribution (\$150,000 basis – \$90,000 cash – \$30,000 inventory).

Example

The Hempstead Partnership is shutting all its business operations and liquidating. Ernie's adjusted basis in the partnership is \$80,000. He receives a liquidating cash distribution of \$60,000. No other property is distributed to Ernie. As Ernie's adjusted basis of his partnership interest exceeds the distribution, he has a deductible capital loss of \$20,000 (\$80,000 – \$60,000). He can report this capital loss on Schedule D, on his individual tax return.

If a partnership is liquidated or dissolved with unamortized organizational or start-up expenses, the unamortized amounts can be deducted on the partnership's final tax return.

Partnership Termination

A partnership terminates when all its operations are discontinued and no part of any business, financial operation, or venture is continued by any of the partners in a partnership. The partnership's tax year ends on the date of termination. If the partnership is terminated before the end of its regular tax year, Form 1065 must be filed for the short tax year from the beginning of the tax year through the date of termination. The return is due on the fifteenth day of the third month following the date of termination.

Example

Urban Engineering, LLP is a calendar-year partnership that offers engineering services. The partnership is having financial difficulties, and the owners decide to dissolve. Urban Engineering terminates and stops doing business on May 3, 2025. Its final Form 1065 for the short tax year period of January 1 through May 3 is due on August 15, 2025, the fifteenth day of the third month following the end of the month of termination.

Example

Allied Capital is a calendar-year general partnership, run by two individuals, Gideon and Conrad. In 2025, the partners decide to convert their general partnership to an LLC for liability purposes. Gideon and Conrad file Articles of Organization with their Secretary of State. Allied Capital, LLC is formed on February 1, 2025. The formation of the LLC has no income tax effect. Gideon and Conrad can continue to use the same EIN for their new LLC, and the LLC can file its 1065 tax returns as it did when the business was still a legal partnership.

Cancellation of Another Partner's Debt

If a partnership terminates and one of the former partners is insolvent and cannot pay their share of the partnership's debts, the other partners may be forced to pay more than their share of the liabilities. If another partner pays any part of an insolvent partner's share of the debts, the partner that actually pays the debt can take a bad debt deduction on their individual tax return.

Example

Chester and Dayna are 50/50 partners in Diamond Tutoring Partnership, a company that provides online tutoring services. The company is struggling, and they decide to discontinue the business. The partnership is terminated, and it has \$50,000 of liabilities to creditors after liquidating all of its assets. However, Chester has filed for personal bankruptcy, and the court has declared him insolvent. Even though Dayna is a 50% partner, she personally assumes responsibility for the entire \$50,000 of partnership debt, which she pays out of her own savings. She can claim a bad debt deduction on her Form 1040 in the amount of \$25,000, equal to Chester's share of the debt that she personally assumed. Because this debt arose from the partnership's trade or business, it qualifies as a business bad debt and is treated as an ordinary loss on Dayna's Form 1040, rather than a short-term capital loss.

The cancellation of debt exclusions is applied at the partner level rather than at the partnership level. Thus, for example, an individual partner would need to be insolvent to utilize the insolvency exclusion for their share of COD income passed through from an insolvent partnership. If a partner can use the exclusion, they would be required to reduce specified tax attributes, including loss and credit carryforwards and the basis of assets.

Notes & References

1. Ordinary income assets are also known as “hot assets” and are defined in IRC §751. For this purpose, inventory includes goods a business holds for sale; “unrealized receivables” occur when the partnership sells products or services on credit.
2. In a liquidating partnership distribution, a partner can only recognize a loss on the distribution if they receive only qualified assets from the partnership — cash, inventory, and unrealized receivables.

STUDY UNIT 11

Study Questions

Test yourself, then check the answer key that follows.

1. Lisha is a 10% partner in Shortwave Architects, LLP. Lisha wants to retire, so she sells her entire partnership interest for \$45,000 to another architect who wanted to join the business. Lisha's adjusted basis at the time of the sale was \$29,500, which includes her \$12,500 share of

partnership liabilities. When she initially invested in the partnership, she contributed \$10,000 worth of equipment. There was no profit or loss at the partnership level that had not been credited at the time she sold her interest. Assuming the partnership holds no section 751 "hot assets," what is the amount and nature of Lisha's income or loss from the sale of her partnership interest?

- a)** \$7,500 ordinary loss.
- b)** \$10,000 capital gain.
- c)** \$12,500 ordinary income.
- d)** \$28,000 capital gain.

2. In which of the following scenarios can a partner recognize a loss on a partnership distribution?

- a)** When it is an asset distribution of a Section 1231 asset.
- b)** When it is a current distribution.
- c)** When it is a liquidating distribution.
- d)** When the partner is deceased and the distribution is made to an estate.

3. Jeffrey is a 25% partner in Sunnybrook Farms, LLC, which is taxed as a partnership. The adjusted basis of Jeffrey's partnership interest is \$10,000. He receives a distribution of \$4,000 cash and a horse trailer that has an adjusted basis to Sunnybrook Farms of \$9,000 and a fair market value of \$12,000. This was not a liquidating distribution. What is Jeffrey's basis in the horse trailer?

- a)** \$5,000
- b)** \$6,000
- c)** \$12,000
- d)** \$16,000

4. Adrian is a 50% partner in Sonic Innovations, a general partnership. The adjusted basis of Adrian's partnership interest is \$17,500 at the beginning of the year. He received a current distribution of \$9,000 cash and a piece of land with an adjusted basis of \$2,500 to the partnership and a fair market value of \$4,000. There was no other activity during the year from the partnership. What is the gain to be recognized at the time of these distributions?

- a)** \$0
- b)** \$1,500
- c)** \$4,500

d) \$6,000

5. Alfonso and Jingling are equal partners in the Bantam Partnership. In 2025, the partnership dissolves. Alfonso is insolvent, and Jingling becomes responsible for paying a portion of Alfonso's delinquent partnership debts. Jingling ends up paying a portion of Alfonso's debt with her own savings. Which of the following statements is correct?

a) Jingling cannot take a bad debt deduction for any debt that the partnership incurred.

b) Alfonso is not responsible for paying any of his liabilities after dissolution.

c) Jingling can take a bad debt deduction for any amount that she must pay that is not her share of the partnership debt.

d) Jingling can claim a net operating loss for the amount of Alfonso's delinquent debt that she pays with her own funds.

6. Shannon is a 10% partner in the Blue Canyon Partnership. Under the terms of a partnership agreement, she is entitled to a fixed guaranteed payment of \$10,000 without regard to the income of the partnership. Her distributive share of the partnership income is 10%. Blue Canyon has \$200,000 of ordinary income after deducting Shannon's guaranteed payment. How much ordinary income from the partnership would Shannon report on her individual tax return?

a) \$10,000

b) \$20,000

c) \$30,000

d) \$50,000

7. William owns a 75% capital interest in the Bella Vista Partnership. William's wife, Veronica, is a 51% owner in the Sutter Creek Partnership. William and Veronica file separate tax returns and keep all their books and records separate. Bella Vista Partnership sells Sutter Creek Partnership a factory machine for \$7,600. Bella Vista's basis in the machinery is \$10,000. What is Bella Vista Partnership's deductible loss?

a) \$0

b) \$2,400

c) \$7,600

d) \$10,000

8. Shihan is a 10% partner in NexGen Solutions, LLC, which is taxed as a partnership. The adjusted basis of Shihan's partnership interest is \$24,000. She receives a current distribution of \$9,000 cash

and computer machinery that has an adjusted basis of \$1,000 and a fair market value of \$7,000. How much gain should Shihan recognize on this distribution?

- a)** \$0
- b)** \$1,000
- c)** \$2,000
- d)** \$7,000

9. What is a liquidating distribution?

- a)** A liquidating distribution closes the tax year for the partnership.
- b)** A liquidating distribution terminates a partner's entire interest in the partnership.
- c)** A liquidating distribution is always a dissolution of the partnership.
- d)** A liquidating distribution may continue after a partnership has dissolved.

10. Marty is permanently retiring from the Lakeway Partnership this year. His adjusted basis in the partnership is \$50,000. He receives a final distribution of \$65,000 cash. Lakeway Partnership has no section 751 "hot assets." How would Marty report this transaction on his personal income tax return?

- a)** \$15,000 capital gain.
- b)** \$50,000 capital gain.
- c)** \$65,000 capital gain.
- d)** \$65,000 ordinary income.

11. Merryn, a 5% partner in the Stonefield Partnership, receives distributions of \$1,000 of cash and a computer worth \$2,000, in which Stonefield has a basis of \$1,500. Merryn's outside basis at the time of the distributions is \$20,000. Stonefield Partnership has assets of \$40,000 and no outstanding liabilities. The distributions are made at the end of the year, after partnership income (loss) has been recorded. How much gain should Merryn recognize on the distributions, and what is her basis in the property received?

- a)** She recognizes a gain of \$500 on the property received, and her basis in the property is \$2,000.
- b)** She recognizes a capital gain of \$1,500 on the received property, and her basis is \$3,500.
- c)** She recognizes no gain on the property received. Her basis in the property received is \$1,500.

d) She recognizes an ordinary gain of \$1,500. Her basis in the property received is also \$1,500.

12. Two partnerships, Cybernet Technologies, LLC and EdTech, LLP are planning to transact business with one another. The two partnerships are owned by various members of the same family. Which of the following individuals is not considered a related party for the purposes of the related party transaction rules?

a) Half-brother

b) Child

c) Mother

d) Uncle

13. What are the two types of partnership distributions?

a) Tangible and Intangible.

b) Current and dissolving.

c) Liquidating and contemporary.

d) Liquidating and current.

STUDY UNIT 11

Answer Key & Explanations

1. The answer is **D**.

On the sale of her interest, Lisha is relieved of her \$12,500 share of partnership liabilities, which is treated as additional proceeds. Her gain is \$28,000 (\$45,000 cash + \$12,500 liability relief – \$29,500 basis). A partnership interest is a capital asset, so the gain is a capital gain.

2. The answer is **C**.

A partner may recognize a loss only on a liquidating distribution, and only if the distribution consists solely of cash, unrealized receivables, or inventory. A liquidating distribution terminates the partner's entire interest in the partnership.

3. The answer is **B**.

Jeffrey's basis in the trailer is limited to \$6,000 (\$10,000 basis – \$4,000 cash received), equal to his remaining basis after subtracting the cash. His partnership interest basis is then zero.

4. The answer is A.

The \$9,000 cash does not exceed Adrian's \$17,500 basis, so he recognizes no gain. He takes the partnership's \$2,500 basis in the land and will recognize gain or loss only when he later sells it.

5. The answer is C.

Jingling may take a bad debt deduction for the liabilities she must pay that exceed her own share of partnership liabilities (i.e., the insolvent partner's share that she covers).

6. The answer is C.

Shannon reports \$30,000 of ordinary income: her \$10,000 guaranteed payment plus her \$20,000 distributive share ($\$200,000 \times 10\%$).

7. The answer is A.

The \$2,400 loss (\$10,000 basis – \$7,600 sale price) is not deductible. Losses on sales between related persons are disallowed, including transactions between partnerships in which related parties each own more than 50%. Filing separate returns does not prevent William and Veronica from being related parties.

8. The answer is A.

The \$9,000 cash plus the \$1,000 basis of the machinery do not exceed Shihan's \$24,000 basis, so she recognizes no gain. Gain on the machinery, if any, is recognized when she later sells it.

9. The answer is B.

A liquidating distribution terminates a partner's entire interest in the partnership.

10. The answer is A.

Marty recognizes a \$15,000 capital gain (\$65,000 cash – \$50,000 basis). A retiring partner recognizes gain to the extent cash distributed exceeds their adjusted basis in the partnership.

11. The answer is C.

Merryn recognizes no gain because the cash (\$1,000) plus the basis of the property (\$1,500) does not exceed her \$20,000 basis. She takes the partnership's \$1,500 basis in the computer and would recognize gain or loss only when she later sells it.

12. The answer is D.

An uncle is not a related party. The family members covered are siblings (including half-siblings), spouses, ancestors (parents, grandparents), and lineal descendants (children, grandchildren). Aunts, uncles, nieces, nephews, in-laws, stepsiblings, and stepparents are excluded.

13. The answer is D.

There are two types of partnership distributions: current and liquidating. Liquidating distributions can result in capital gains or losses depending on the difference between the distribution amount and the partner's basis.

STUDY UNIT 12

C Corporations in General

Further reading: IRS Publication 542; Instructions for Form 1120; Publication 4990 (EFTPS)

Most major companies are organized as C corporations and are taxed according to subchapter C of the Internal Revenue Code. As a legal entity, a C corporation can own assets in its own name and be sued directly. The individual shareholders who own stock in the corporation do not have direct ownership over its assets, providing legal liability protection except in exceptional circumstances.

Tax law requires certain businesses to be taxed as corporations. The following are businesses that were established after 1996 that are automatically treated as corporations:

- An entity formed under federal or state law and designated as a corporation.
- A business established as a joint-stock company or joint-stock association.
- Insurance companies and certain banks.
- A business owned by a state or local government.
- A business specifically designated to be taxed as a corporation according to the Internal Revenue Code (IRC), such as certain publicly traded partnerships.
- Certain foreign businesses.

- Any other business that elects to be taxed as a C corporation and submits Form 8832, Entity Classification Election. For instance, an LLC or LLP can elect to be treated as a C corporation for tax purposes by completing and filing Form 8832.

Basic Concepts

Basic concepts regarding C corporations include:

- 1) **Perpetual life and limited liability:** A C corporation enjoys perpetual life and limited liability. Unlike sole proprietorships and partnerships, corporations continue to exist even when stockholders sell their stock or pass away. This is known as having a “perpetual existence.”
- 2) **Double taxation:** Income from C corporations faces double taxation. The corporation pays taxes on its profits, and shareholders also pay taxes on dividends received. Shareholders of a C corporation cannot deduct corporate losses.
- 3) **Shareholder meetings:** A corporation must maintain a list of all its shareholders and generally must conduct at least one shareholder meeting per year.
- 4) **Organization:** A C corporation must file a corporate charter, issue stock, and be overseen by a board of directors.
- 5) **Unlimited shareholders:** There is no limit to the number and type of shareholders a C corporation can have, allowing for greater potential to raise capital.
- 6) **Articles of incorporation:** A corporation's existence starts when articles of incorporation are filed with the state office that handles incorporations (usually the Secretary of State), along with any required filing fees.
- 7) **Liquidation:** If a C corporation liquidates, it will recognize gain or loss on the sale or distribution of its assets. Corporate shareholders then recognize gain or loss on the surrender of their stock to the corporation.
- 8) **Stock:** C corporations can issue multiple classes of stock, including common and preferred stock, with different voting rights, which can attract different types of investors.
- 9) **Tax-free fringe benefits:** A C corporation's shareholder-employees can receive tax-free employee fringe benefits that are deductible by the corporation as a business expense. This applies to employees who are owners of the company as well as other employees.

Filing Requirements for C Corporations

A domestic corporation in existence for any part of a tax year (including corporations in bankruptcy) must file an income tax return, regardless of its taxable income or activity. A C corporation files Form 1120, U.S. Corporation Income Tax Return. There are some specialized forms for other

types of corporations, such as foreign corporations, which must file Form 1120-F. Tax-exempt organizations organized as corporations file Form 990 rather than Form 1120.

Note

Corporations are required to e-file their Form 1120 return, as well as any information returns if they file 10 or more information returns.

Example

Buffalo Lumber Company, Inc. is a C corporation. For tax year 2025, the corporation is required to file two Forms W-2, four Forms 1099-DIV, and seven Forms 1099-NEC. Because Buffalo Lumber Company is required to file over 10 information returns, the corporation is required to file all its information returns electronically, as well as its Form 1120.

A C corporation generally must file Form 1120 by the 15th day of the 4th month after the end of its tax year. Therefore, a calendar-year C corporation generally must file by April 15 of the following year. A corporation may request an automatic extension of time to file by filing Form 7004. In most cases, the automatic extension period is 6 months. For taxable years beginning before January 1, 2026, a C corporation whose tax year ends on June 30 must file Form 1120 by the 15th day of the 3rd month after the end of the tax year, which is September 15. These corporations are also allowed an automatic 7-month extension if Form 7004 is timely filed.

Example

Sutherland Design, Inc. is a C corporation that reports its income and loss on a calendar year. Sutherland Design must file its 2025 Form 1120 by April 15, 2026. If Sutherland Design were to file an extension, their corporate return would be due on October 15, 2026.

Example

Techwire Innovation, Inc. is a C corporation with a fiscal year ending on June 30. Its current tax year begins July 1, 2025, and ends June 30, 2026. Because this tax year began before January 1, 2026, the special June 30 rule still applies. Techwire Innovation's Form 1120 is due September 15, 2026. If the corporation timely files Form 7004, the extended due date is April 15, 2027.

Note

The special June 30 filing rule ends for taxable years beginning after December 31, 2025. Therefore, a June 30 fiscal-year C corporation whose tax year begins July 1, 2026, and ends June 30, 2027, will follow the general rule and file by the 15th day of the 4th month after year-end, which is October 15, 2027. Its automatic extension period will be 6 months rather than 7 months.

A corporation must always continue to file tax returns, even if there is no business activity or profits. However, it does not have to file after it has formally dissolved.

Corporate Extensions

A corporation must file Form 7004, Automatic Extension of Time to File Certain Business Income Tax, Information, and Other Returns, by the original due date to request an extension of time to file its income tax return. Filing of Form 7004 does not extend the time for paying the tax due on the return. Interest, and possibly penalties, will be charged on any part of the tax due and not paid. The interest is figured from the original due date of the return to the date of payment.

Similar to the rule for individuals, a penalty for late filing is assessed at 5% of any unpaid tax for each month the return is late, up to a maximum of 25% of the unpaid tax on the return. The late filing penalty is reduced by any late payment penalty for the same period. If a corporation files its Form 1120 more than 60 days late, the penalty shall not be less than the lesser of (1) \$525 or (2) 100% of the tax due on the return.

Example

Innovate Solutions, Inc. is a calendar year C corporation. The corporation must generally file by April 15, but the owners made a mistake and did not file on time or request an extension. The corporation eventually filed its 2025 tax return (Form 1120) on July 1, 2026, which is more than 60 days after the original due date of April 15, 2026. The tax due on the corporate return was \$400. Therefore, the penalty for late filing is \$400. In addition, the failure-to-pay penalty is \$6, which was calculated for 3 months at a rate of \$2 per month (0.5% of \$400.00), bringing the total amount due to \$806 = (\$400 amount due + \$400 penalty + \$6). The IRS would also assess a small amount of interest on the amount.

The penalty for late payment of corporate income tax is one-half of 1% of the unpaid tax for each month that the tax is not paid, up to a maximum of 25% of the unpaid tax. If a corporation is charged with both a penalty for late payment of tax and for late filing for the same period of time, the penalty for late filing is reduced by the amount of the penalty for late payment (just like individual taxpayers).

Note

Unlike S corporations and partnerships, the late filing penalties assessed against a C corporation are assessed on the amount due (the same as individual taxpayers). If a corporation does not owe any tax for the year, or has an overall loss and no tax liability, then no late filing penalties will be assessed. These penalties may not be imposed if the corporation shows reasonable cause for not paying or filing on time. A good example of “reasonable cause” would be a natural disaster, which would extend the filing deadline as well as extend the corporation's time to deposit its estimated taxes.

Example

Bulkhead Timber, Inc. is a fiscal-year C corporation doing business in Anchorage, Alaska. The company's fiscal-year year-end is January 31, and the due date for Bulkhead Timber to file their corporate return is normally May 15. However, a month before the due date, Bulkhead Timber incurred severe damage in its main office because of an earthquake. The affected area was later declared a federal disaster area. Bulkhead Timber was unable to pay its quarterly taxes on time

and did not file its Form 1120 on time. Bulkhead Timber automatically qualifies for a penalty abatement.

Estimated Tax Payments

Corporations are required to make estimated tax payments if they expect their tax due to be \$500 or more during the taxable year. Late penalties apply if estimated tax payments are not made on time or at the required minimum amounts. Corporations generally use the Electronic Federal Tax Payment System (also called EFTPS) to make all their federal tax deposits, including estimated tax payments, payroll taxes, and excise taxes. Starting in 2025, corporations can also make payments using Direct Pay for Businesses.

Corporate income tax installments are due on a quarterly basis, on the fifteenth day of the fourth, sixth, ninth, and twelfth months of the corporation's taxable year. This means that for a calendar year corporation, estimates are due:

- April 15 — First Estimate.
- June 15 — Second Estimate.
- September 15 — Third Estimate.
- December 15 — Fourth Estimate.

Note that this payment schedule is different from the payment schedule for individual taxpayers. An individual taxpayer's fourth quarter estimated tax payment is due on January 15, not December 15.

In general, each quarterly federal tax payment is 25% of the corporation's "required annual payment," which is the lesser of two amounts:

- **Current-year tax liability:** 100% of the federal income tax reported on the return for the current taxable year of the payment.
- **Prior-year safe harbor:** 100% of a corporation's federal income tax reported on the return for the preceding year.

If a corporation later determines that it needs to revise its estimated tax liability, it will be required to refigure the installment payments. In this scenario, an immediate catch-up payment should be made to reduce any penalty related to earlier installments. Penalties apply to corporate taxpayers who underpay their required quarterly payments. The penalty for underpayment is nondeductible. There is no penalty for underpayment of estimated tax if the corporation's tax due is less than \$500, or if each quarterly estimated tax payment is at least 25% of the corporation's current-year tax.

There is also no underpayment penalty if each estimated tax installment is at least 25% of the income tax on the prior-year return. However, unlike individuals, corporations without a tax liability in the preceding year cannot use the 100% prior-year safe harbor amount to determine

their required estimated tax payment. The safe harbor provision will also not apply in the following instances:

- If the prior tax year was a short year (less than 12 months).
- If the corporation did not file a return for the prior year.
- If the corporation had taxable income of \$1 million or more (modified to exclude net operating loss and capital loss carrybacks or carryovers) in any of the last three years (although in these situations, the first required estimated tax payment for the year can still be based on last year's tax liability — by taking 25% of last year's tax liability).

Example

CellStar Corporation, Inc. had a net operating loss in the previous year and therefore did not have a tax liability. Therefore, the safe harbor provision for estimated tax payments will not apply. CellStar Corporation must accurately estimate its federal income tax liability for the current year and pay 100% of the federal income tax due on the current-year tax return.

Corporate Refunds and Amended Returns

Corporations may use Form 1139, Corporate Application for Tentative Refund, or Form 1120-X, Amended U.S. Corporation Income Tax Return, to apply for a refund of overpaid tax. Generally, the corporation must file Form 1139 within 12 months of the end of the tax year in which an NOL, net capital loss, unused credit, or claim of right adjustment arose.

Note

Net operating losses arising in 2025 must generally be carried forward to future tax years. However, some corporations are still permitted to carry back their losses two years (or make an irrevocable election to forgo the 2-year carryback period). This 2-year carryback rule applies to corporations whose primary business is farming, or casualty insurance companies.

Example

Trussville Poultry Farms, Inc. is a C corporation that reports income and loss on the cash method. All of the income for the corporation is from farming activities. In 2025, the corporation incurs an (\$85,000) net operating loss, when one of its uninsured poultry barns was destroyed by a fire. Trussville Poultry Farms had taxable income of \$220,000 in the prior year (2024) and taxable income of \$150,000 in 2023. Since this is a farming business, the corporation can use Form 1139, Corporation Application for Tentative Refund, to carry back its 2025 net operating losses and receive a refund. The default carryback period is 2 years for a farming business, and the carryback must be applied to the earliest year first.

If a corporation does not file Form 1139, it must file Form 1120-X to apply for a refund. Form 1120-X generally must be filed within three years of the due date, including extensions, for filing the return for a year in which the corporation sustains a loss.

If a corporation accidentally overpays its estimated tax, it may use Form 4466, Corporation Application for Quick Refund of Overpayment of Estimated Tax, to obtain a quick refund of its estimated tax payments. Form 4466 must be filed before the corporation files its tax return. Form 4466 may be used if a corporation's overpayment is at least 10% of its anticipated tax liability and at least \$500.

Example

Sphere Software, Inc. is a C corporation that reports its income and loss using the cash method. Sphere Software has been earning revenue steadily throughout the year and made regular estimated payments during the year based on its current-year tax liability. However, on December 19, 2025, Sphere Software suffers a severe financial loss when a hurricane destroys its main office building (which was sadly uninsured). After this catastrophic event, Sphere Software expects to have a net operating loss for 2025. The corporation files Form 4466 on January 10, 2026, to obtain a quick refund of the overpaid estimated tax that it paid in 2025. It does not have to wait until it files its Form 1120 in order to obtain a refund of its overpaid tax.

Corporate Taxation

Unlike a sole proprietorship, partnership, or an S corporation, a C corporation is not a pass-through entity. A C corporation pays tax on its earnings and can accumulate income. Corporations pay a flat tax of 21% on all their profits.

The federal corporate AMT was repealed by the Tax Cuts and Jobs Act. However, the Inflation Reduction Act introduced a corporate alternative minimum tax (CAMT), which imposes a 15% minimum tax on the adjusted financial statement income of very large corporations. The CAMT generally applies only to large corporations with average annual financial statement income exceeding \$1 billion.

A disadvantage that a C corporation has over other forms of business is that the earnings of a C corporation may be taxed twice: once at the corporate level and once at the shareholder level, through dividend distributions. A corporation does not receive a tax deduction for the distribution of dividends to its shareholders. A C corporation's income does not retain its character when it is distributed to shareholders.

A corporation can have revenue from many different sources, including sales of products, services, rental income, and investment income. For example, if a C corporation earns rental income, it pays tax on this and any other sources of income at the corporate level. When the corporation's after-tax income is distributed to shareholders, this portion does not retain its character as rental income. It is distributed merely as a dividend.

Example

Walberg Consulting, Inc. is a calendar-year C corporation with twenty shareholders, who each own five percent of the outstanding shares in the corporation. After deducting business expenses, Walberg Consulting has \$150,000 of taxable income. The corporation also earns \$4,000 of nontax-

able interest income from municipal bonds. The \$4,000 of tax-exempt bond interest is excluded from the corporation's taxable income. On December 1, Walberg Consulting distributes \$120,000 in dividends to its shareholders, based on their ownership stake in the corporation. The company cannot take a tax deduction for the distribution. Each shareholder has an equal stake in the company, so each one receives \$6,000 of dividend income ($\$120,000 \div 20 \text{ shareholders} = \$6,000$ each). Each shareholder is required to recognize \$6,000 of dividend income on their individual tax returns.

This also applies if the corporation earns tax-exempt income. For example, a C corporation may earn tax-exempt income from investing in municipal bonds. If this income is used to make distributions to shareholders, its tax-exempt character is lost, and the distributions will be taxable dividends to the shareholders.

Example

Spire Cutlery, Inc. is a large C corporation that receives tax-exempt income from various investments in municipal bonds. Spire Cutlery has a profitable year overall and subsequently distributes income to its shareholders as taxable dividends. Even though a portion of the income the corporation earned was tax-exempt to Spire Cutlery, it does not retain its tax-exempt character when distributions are made to the shareholders. In contrast, in the case of an S corporation or a partnership, the income would have retained its character when it was passed through to the partners or S corporation shareholders.

Accumulated Earnings Tax

A corporation is allowed to accumulate a reasonable portion of its earnings for possible expansion or other bona fide business reasons. However, a corporation may be subject to the accumulated earnings tax if it does not distribute enough of its profits to shareholders. This tax was instituted to prevent corporations from hoarding income to avoid income tax on distributions for its shareholders. In 2025, the accumulated earnings tax is levied at a rate of 20% of the excess amount accumulated. It is not automatically applied; it is assessed only after an audit. A corporation would have the opportunity to try to justify the amount of its accumulated earnings during an IRS examination.

If the accumulated earnings tax applies, interest is also assessed from the date the corporate return was originally due, without extensions. An accumulation of \$250,000 or less is generally considered reasonable for most businesses. For personal service corporations, the limit is \$150,000. "Reasonable needs" of the business include the following:

- Specific, definite, and feasible plans for the use of the earnings accumulation in the business (e.g., expansion of the company to a new area or facility; acquiring another business through the purchase of stock or assets; providing for reasonable estimates of product liability losses).

- The amount necessary to redeem the corporation's stock included in a deceased shareholder's gross estate, if the amount does not exceed the reasonably anticipated total estate and inheritance taxes and funeral and administration expenses incurred by the shareholder's estate.

The absence of a bona fide reason for a corporation's accumulated earnings may be indicated by many different circumstances, such as a lack of regular distributions to its shareholders or withdrawals classified as personal loans. The fact that a corporation has an unreasonable accumulation of earnings is sufficient to establish liability for the accumulated earnings tax unless the corporation can show the earnings were not accumulated to allow its shareholders to avoid income tax.

Accounting Methods for Corporations

Like other entities, C corporations may generally use any permissible accounting method for keeping track of income and expenses. A corporation generally chooses its accounting method when it files its first tax return. A corporation can change its method of accounting later, but the corporation must file Form 3115, Application for Change in Accounting Method, in order to request permission from the IRS to make the change.

Note

A corporation may generally use the cash method of accounting if it has average annual gross receipts (over the prior three years) of \$31 million or less in 2025. Once the corporation's average annual gross receipts exceed this threshold, the business generally must use the accrual method. Tax shelters must always use the accrual method of accounting, regardless of their size.

The “nonaccrual experience method” is a method of accounting for bad debts. If a corporation uses the accrual method of accounting and qualifies to use the nonaccrual experience method for bad debts, it is not required to accrue service-related income that it expects to be uncollectible. Accrual-method corporations are not required to maintain accruals for certain amounts from the performance of services that, based on their experience, will not be collected, if:

- The services are in the fields of health, law, engineering, architecture, accounting, actuarial science, performing arts, or consulting (i.e., personal service corporations); or
- Average annual gross receipts for the three prior tax years must not exceed \$31 million in 2025.

This provision does not apply if the corporation charges interest on late payments, or if it charges customers any penalty for failure to pay an amount timely. Further, a corporation cannot use this method for amounts owed from activities such as lending money, selling goods, or acquiring receivables.

Additional Corporate Schedules (Schedules L, M-1, M-3)

Corporations may be required to submit certain additional schedules along with their Form 1120. Differences in accounting rules for financial reporting (also called “book income”) and tax reporting commonly lead to differences in the amounts of income reported to shareholders and tax authorities. Preparation of a C corporation's income tax return includes a reconciliation of book income to taxable income (before any NOL deductions or special deductions including the dividends received deduction).

Schedule M-1 and Schedule M-3 are both used to reconcile book-to-tax differences. Schedule M-1 is only required when the corporation's gross receipts or its total assets at the end of the year are greater than \$250,000. Schedule M-3 is used for corporations with assets (based on financial accounting-based book value) that are \$10 million or more at the end of the tax year. Schedule M-2 is used to reconcile the corporation's unappropriated retained earnings.

Schedule L is the balance sheet, based on the corporation's books and records. Small corporations are not required to complete Schedule L if both its assets (based on book value at the end of the tax year) and gross receipts are below \$250,000 for the taxable year. In addition, these small corporations are also not required to file Schedule M-1, M-2, M-3, or Schedule L.

Example

Indigo Shoes, Inc. is a small C corporation that reports income and loss on the cash basis. Indigo Shoes had \$196,000 in gross receipts during the tax year. The corporation's total assets were \$45,000 at the end of the year. Indigo Shoes, Inc. is not required to file a Schedule M-1, M-2, M-3, or a Schedule L.

Example

Seafoam Design, Inc. is a C corporation that produces luxury bathroom fixtures. The company had \$500,000 in gross receipts and \$1 million in assets, most of which is manufacturing equipment. Seafoam Design must file Schedule L. It may use the simpler, shorter Schedule M-1 to reconcile the difference between its book income and taxable income. Seafoam Design does not have to file Schedule M-3.

Filing Thresholds for Schedules L, M-1, M-2, and M-3

Schedule	Filing Requirement
No Schedule L, M-1, M-2, or M-3 required	Small corporations with < \$250,000 in gross receipts and < \$250,000 in assets.
Schedule L (Balance Sheet)	Required once gross receipts or total assets exceed \$250,000.
Schedule M-1 (Reconciliation of Income per Books with Income per Return)	Required once gross receipts or total assets exceed \$250,000.
Schedule M-3 (Net Income Reconciliation for Corporations with Assets of \$10 Million or More)	Required when assets are \$10 million or more.

Remember, for smaller corporations with less than \$10 million in assets, the differences in book income and taxable income are reconciled on Schedule M-1 of Form 1120. A large corporation with assets that exceed \$10 million must file Schedule M-3.

Example

Abramov Accounting, Inc. is a mid-sized CPA firm with 45 employees. The company reports income and loss on the accrual basis. Abramov Accounting, Inc. has \$8.5 million in gross receipts for the year. The company's total assets are \$9 million. Abramov Accounting is required to file Schedule M-1 and Schedule L, but it is not required to file Schedule M-3.

Example

Allied Medical Laboratories, Inc. is a large pharmaceutical company with \$60 million in assets and \$55 million in gross receipts for the year. Allied Medical Laboratories must file Schedule L and Schedule M-3. It cannot file Schedule M-1.

Schedule M-1 and Schedule M-3 are used to reconcile book-to-tax differences. A “book-to-tax” difference refers to the discrepancies between the income reported on a company's financial statements (book income) and the income reported on its tax return (taxable income). These differences arise due to varying rules and principles governing financial accounting and tax reporting. Schedules M-1 and M-3 reconcile book income (or loss) with taxable income (or loss) before any Schedule C (Form 1120) special deductions (including the dividends received deduction) or NOL deduction for the year. Examples of items included in the reconciliation are:

- Excess of capital losses over capital gains.
- Charitable contribution carryover (the amount disallowed for tax purposes and carried over to the next year).
- Meal expenses in excess of the allowable 50% deduction limit.
- Federal income taxes paid or accrued, which are deductible for accounting purposes but not for tax purposes.

- Other expenses recorded on the books but not deductible on the return.
- Advance rental income.
- Other taxable income not included in book income.
- Tax-exempt interest income.
- Other income included in the books but not subject to tax.
- Domestic research and experimental expenditures deducted for tax purposes but capitalized for book purposes.
- Accelerated depreciation deductions (such as bonus depreciation or Section 179) claimed for tax purposes but not reflected in book income.
- Deductions on the return not charged against book income.

Example

Winchester Fixtures Inc. is a large manufacturer that has formal financial statements, prepared by an accounting firm. Winchester Fixtures has over \$100 million in assets and is publicly traded on the New York Stock Exchange. During the year, Winchester Fixtures donates \$975,000 to the American Cancer Society, a qualified 501(c)(3) charity. The entire donation is deducted on Winchester's financial statements, but only a portion of the donation may be deductible for tax purposes. Winchester must file Schedule M-3 to reconcile the differences between its "book income" and taxable income.

Contributions of Capital to a Corporation

A corporation is initially formed by a transfer of money, property, or services by prospective shareholders in exchange for stock in the corporation. A transfer of assets may also take place when a business that previously operated as a partnership or sole proprietorship opts to become a corporation.

Contributions to the capital of a corporation are generally not taxable transactions to the corporation, whether or not they are made by the shareholders. A shareholder will not recognize gain when a cash contribution is made for stock. This is just like when a person purchases stock on the open market for cash. The shareholder's basis in the stock is the amount of cash contributed.

Example

Sybille purchases 75 shares of Flavor-Fizz Cola, Inc. stock in 2025. She is not a professional stockbroker or dealer. She purchases the stock through her online brokerage account, spending \$6,525 to acquire the shares. Her basis in the shares is her cost (\$6,525 total or \$87 per share). Flavor-Fizz Cola does not recognize income from this transaction, and it is not a taxable event to either party. Later, when Sybille sells the shares, she may have to recognize a capital gain or loss. While Sybille owns the shares, they are treated as a capital asset in her hands.

A transfer of property, rather than cash, to a corporation may have tax consequences to both the corporation and the shareholder. If a shareholder contributes property to a corporation and recognizes gain on the transfer, the corporation's basis in the contributed property equals the shareholder's adjusted basis increased by the amount of gain recognized (Shareholder's adjusted basis + Gain recognized by the shareholder = Corporation's basis in contributed property). This rule ensures that gain recognized by the shareholder is not taxed again when the corporation later disposes of the property.

An important exception applies when property is contributed by a shareholder who controls the corporation immediately after the transfer. In that case, the contribution generally qualifies as a section 351 transfer, and the shareholder does not recognize gain. The basis of property contributed to a corporation's capital by anyone other than a shareholder is zero. However, under current tax law, contributions by governmental entities or civic groups are not considered tax-free contributions to capital. Instead, they are taxable income to the corporation.

Example

Bellevue Motors Corporation is an automobile manufacturer with multiple locations and thousands of employees across the United States. The city of Phoenix, Arizona, gives Bellevue Motors a plot of land as an enticement for Bellevue Motors to locate its new manufacturing facility there. Because the land was contributed by a governmental entity, the contribution is not a tax-free contribution to capital. Bellevue Motors must recognize the fair market value of the land as taxable income, and its basis in the land will be equal to its fair market value (the amount included in income).

If stock is exchanged for services, the recipient of the stock recognizes taxable income based upon the fair market value of the stock received, and that amount is the taxpayer's basis in the stock.

Example

Ramesh is an experienced web designer who provides web design services to Outriders Films, Inc. He agrees to accept 300 shares of stock as payment instead of cash. The stock is valued at \$5,000. Ramesh must recognize ordinary income of \$5,000 as payment for services he rendered to the corporation. His basis in the stock is \$5,000. Several years later, Outriders Films becomes wildly successful, and Ramesh is able to sell his 300 shares for \$150,000. Ramesh must report a \$145,000 long-term capital gain on the sale of the stock (\$150,000 – \$5,000 basis).

Section 351: Nontaxable Corporate Transfers

If a taxpayer transfers property to a corporation in exchange for stock, and immediately afterward the taxpayer controls the corporation, the exchange may not be taxable. To qualify for nonrecognition treatment under section 351, the property transfer must meet certain criteria and have a legitimate business purpose. This rule applies to individuals and entities transferring property to a corporation, regardless of whether the corporation is newly formed or already operating.

Essentially, this allows shareholders to contribute assets to a corporation without incurring immediate tax consequences and defers recognition of taxable gain until the received stock is sold at a later time. This nonrecognition rule does not apply in the following situations:

- If the corporation is an investment company.
- If the taxpayer transfers the property in a bankruptcy proceeding in exchange for stock that is used to pay creditors.
- The stock is received in exchange for the corporation's debt (other than a security, such as a bond) or for interest on the corporation's debt (including a security) that accrued while the taxpayer held the debt.

In order to be considered “in control” of a corporation immediately after a section 351 exchange, the transferors must own at least 80% of the total combined voting power of all classes of stock entitled to vote and at least 80% of the outstanding shares of each class of nonvoting stock immediately after the transfer.

Example

Patrick transfers a valuable software patent with a basis of \$100,000 to Mainframe Microsystems, Inc., a C corporation, in exchange for 550 shares of stock with a fair market value of \$300,000. This represents only 55% of each class of stock of the corporation. The other 45% was already issued to other persons. Patrick must recognize a taxable gain of \$200,000 on the transaction because the transfer does not qualify for section 351 nonrecognition treatment. Instead, this transaction is treated as a sale, as if Patrick had sold his patent to the corporation for \$300,000 in cash.

In an otherwise nontaxable §351 exchange, if a shareholder receives “boot,” loss is never recognized in a section 351 exchange.

Assumption of a Shareholder's Liabilities

If the corporation assumes a shareholder's liabilities on a section 351 exchange, the assumption generally is not treated as if the shareholder received money or other property, unless:

- **Liabilities exceed the adjusted basis:** The liabilities the corporation assumes are more than the shareholder's adjusted basis in the property transferred, in which case gain is recognized by the shareholder up to the difference. However, if the liabilities assumed give rise to a deduction when paid, such as a trade account payable or interest, no gain is recognized.
- **No bona fide business purpose:** If there is no good business reason for the corporation to assume the liabilities, or if the main purpose of the exchange is to avoid federal income tax, the entire debt assumed by the corporation is treated as money (boot) received by the shareholder.

Example

Aubert transfers ownership of a used semi-truck to Cantrell Trucking, Inc. in exchange for 90% of the company's outstanding stock. This immediately gives Aubert control of the corporation. The semi-truck will be used in the corporation's shipping operations. Aubert also receives \$10,000 in cash in the exchange. Aubert's adjusted basis in the transferred semi-truck is \$20,000. The stock

received is valued at \$16,000. Additionally, the corporation assumes responsibility for a remaining \$5,000 auto loan on the semi-truck that Aubert was originally liable for. Aubert's realized gain is \$11,000 (\$16,000 stock + \$10,000 cash + \$5,000 liability assumed – \$20,000 adjusted basis). The liability assumed by Cantrell Trucking is not treated as money or other property. Aubert's recognized gain is limited to \$10,000, the cash received (example from Publication 542).

The shareholder's basis in their stock must be reduced by the amount of the liabilities assumed by the corporation, unless payment of the liability gives rise to a deduction when paid.

Example

Roche owns a lot of valuable farming equipment that he purchased several years ago. Roche transfers all of this valuable farming machinery to Galveston Dairy Farms, Inc. in exchange for 100% of the corporation's outstanding stock. The machinery's FMV at the time of the transfer is \$200,000. Roche's basis in the machinery is \$80,000. The machinery is encumbered by an outstanding loan of \$30,000, which Galveston Dairy Farms assumes. The company will use the machinery in its daily farming operations, so there is a bona fide business purpose for the corporation to assume the debt. In this example, the section 351 exchange is valid, and no gain or loss is recognized in the transaction. Roche's basis in his corporate stock is \$50,000 (\$80,000 basis of the farming machinery contributed, minus the \$30,000 loan that was assumed by the corporation).

This nonrecognition rule does not apply to services that are rendered in exchange for stock. The value of stock received for services is income to the recipient.

Example

Charles is a licensed architect who has always been self-employed, but he wants to join a corporate architectural firm. In 2025, Charles transfers drafting equipment worth \$350,000 and also provides architectural design services valued at \$40,000 to Skyline Architecture, Inc. in exchange for an 85% ownership stake in the corporation. The corporation is already profitable, and the corporate stock is valued at \$390,000. The remaining shares (15% stake) are owned by Doreen, who is another architect, and unrelated to Charles. No gain is recognized by Charles on the exchange of the equipment for stock. However, Charles must recognize ordinary income of \$40,000 as payment for the professional services he rendered to the corporation, as this is not covered by Section 351.

Both the corporation and certain stockholders involved in a nontaxable exchange of property for stock must attach to their income tax returns a complete statement of all facts pertinent to the exchange. This reporting requirement applies to stockholders who own 5% or more of a public company or 1% or more of a privately held company.

Exclusions from 351 Nonrecognition Treatment

This nonrecognition rule does not apply when the property transferred is of relatively small value when compared to the value of stock already owned, and the main purpose of the transfer is to qualify for the nonrecognition of gain or loss. Property transferred will not be considered as "small value" if its FMV is at least 10% of the FMV of the stock already owned or to be received by the transferor.

If a group of transferors exchanges property for corporate stock, each transferor may not receive stock in proportion to their interest in the property transferred. However, if a disproportionate transfer takes place, it may be treated as if the stock were first received in proportion to the interests in the property, and then portions were used to make gifts, pay compensation for services, or to satisfy the transferor's obligations.

If a corporation transfers its stock in satisfaction of indebtedness and the fair market value of its stock is less than the indebtedness, the corporation must recognize income to the extent of the difference from the cancellation of indebtedness. For example, if the stock is given to an individual to pay for a debt that is owed to the individual, this type of transfer does not qualify for nonrecognition treatment.

Example

Kludge Motor Company is having some financial difficulties. The company owes its freelance web designer, Vidal, over \$7,000 in delinquent invoices. Vidal threatens to shut down the company's website, so Kludge Motors offers to give 40 shares of stock to the web designer to satisfy the debt. Vidal accepts the deal, and Kludge Motors transfers 40 shares of stock with an FMV of \$6,000 to Vidal. This transfer does not qualify for nonrecognition treatment. Kludge Motor Company is required to recognize \$1,000 of taxable income from the transfer, because the corporation has a gain from the cancellation of indebtedness (\$7,000 outstanding debt – \$6,000 FMV of the stock).

Transfers of property to a foreign corporation generally do not qualify for nonrecognition treatment, regardless of the scenario or the value of the property transferred.

Notes & References

1. E-filing is not mandatory for employment tax returns, like Forms 940 and 941.
2. To help businesses comply with e-file regulations for information returns, the IRS launched the Information Returns Intake System (IRIS), a free electronic filing service.
3. A June 30 fiscal-year-end corporation receives a seven-month extension (before 2026), putting its extended due date at April 15.
4. The more-than-60-days-late minimum penalty applies to Form 1120 and Form 1040 returns.
5. If a corporation owes a very small balance (under \$500) when it files its annual return, it can pay using Direct Debit when it e-files.
6. The same schedule thresholds apply to small S corporations: an S corporation with less than \$250,000 of gross receipts and assets need not file Schedules L or M-1.
7. For corporations with more than \$10 million but less than \$50 million in assets, the corporation generally may complete only Part I of Schedule M-3 plus Schedule M-1.
8. Schedule C (Form 1120) reports dividends received from domestic corporations that qualify for the dividends received deduction (DRD), as well as other special deductions.

STUDY UNIT 12

Study Questions

Test yourself, then check the answer key that follows.

1. Hillside Associates is a C corporation. At the end of the year, Hillside Associates, Inc. had \$1 million in gross receipts and \$6 million in assets. Which of these schedules is the corporation required to file?

- a) Schedule L.
- b) Schedule L and Schedule M-3.
- c) Schedule M-3.
- d) Schedule L and Schedule M-1.

2. Kirsten is trying to decide whether to form an S corporation or a C corporation for her graphic design business. What are some factors that may persuade her against using the C corporation structure?

- a) C corporations can attract foreign investors and have foreign shareholders.
- b) Shareholders of a C corporation cannot deduct corporate losses.
- c) A C corporation offers liability protection for its shareholders.
- d) C corporations can issue different classes of stock.

3. Shrill Media, Inc. has net “book income” of \$3 million in calendar year 2025. What is its net taxable income if it also has the following activity?

Federal income tax expense **\$1,500,000**

Business meals **\$200,000**

Tax-exempt interest income **\$100,000**

Capital losses from the sale of stock **(\$47,000)**

Capital gains from the sale of cryptocurrency **\$18,000**

- a) \$1,529,000
- b) \$4,529,000
- c) \$4,629,000
- d) \$6,029,000

4. The accumulated earnings tax may be imposed on C corporations that accumulate earnings beyond the reasonable needs of their businesses. Which of the following reasons would not be an example of a reasonable accumulation?

- a) The expansion of the company to a new area or a new facility.
- b) Acquiring another business through the purchase of stock or other assets.
- c) Allowing the shareholders to take bona fide loans from the corporation.
- d) Providing for reasonable estimates of product liability losses.

5. What IRS payment system do corporations generally use for making all their federal tax deposits?

- a) Excise State Tax Payment System (ESTPS)
- b) Batch Filer Program (BFP)
- c) Automated Federal Tax Payment System (AFTPS)
- d) Electronic Federal Tax Payment System (EFTPS)

6. The accumulated earnings tax is levied at a rate of _____ on accumulated taxable income.

- a) 5%
- b) 15%
- c) 20%
- d) 50%

7. Lorraine and Marcus, a married couple, each transfer machinery with a basis of \$10,000 to a corporation in exchange for stock with a fair market value of \$30,000. The total stock received by them represents 75% of the corporation's stock. The other 25% of the corporation's stock is owned by Annie, an unrelated person. The taxable consequences are:

- a) None, because it is a transfer of property for stock.
- b) Lorraine and Marcus each must recognize a gain of \$20,000.
- c) Lorraine and Marcus each must recognize a gain of \$30,000.
- d) 80% of the transaction is recognized as a taxable gain.

8. Hilltop Honey, Inc. is a small C corporation that produces organic honey and beeswax candles. In 2025, Hilltop Honey had \$245,000 in gross receipts from the sale of their products. The

company's total assets at the end of the year were \$95,000. Which of these schedules is Hilltop Honey required to file?

- a) Only Schedule M-1.
- b) Schedule L and Schedule M-1.
- c) Only Schedule L.
- d) None of these schedules.

9. Seymour, a licensed CPA, transfers computer equipment worth \$43,000 and renders accounting services valued at \$6,000 to Cramer Industries, Inc. in exchange for stock valued at \$49,000. Right after the exchange, Seymour owns 81% of the outstanding corporate stock. How much income, if any, must Seymour recognize in this transaction?

- a) \$0
- b) \$3,000
- c) \$6,000
- d) \$49,000

10. Osvaldo transfers real estate with a basis of \$40,000 and an FMV of \$90,000 to the Steele Corporation in return for 80% of the stock in the corporation. Just before the transfer, Osvaldo obtains a \$10,000 equity loan secured by the real estate and uses all the loan proceeds to buy a new motorcycle for himself. Along with the real estate, the equity loan is transferred to the Steele Corporation. What are the tax consequences of this action to the shareholder, Osvaldo?

- a) Osvaldo has to report a \$10,000 gain on the transfer.
- b) Osvaldo has to report a \$40,000 gain on the transfer.
- c) Osvaldo has to deduct \$10,000 from his stock basis.
- d) No taxable effect.

11. Which of these domestic business entities will not be automatically taxed as a corporation?

- a) A joint-stock company.
- b) An insurance company.
- c) A business owned by a state or local government.
- d) A single-member limited liability company (LLC) owned by an individual.

12. Coldspring Aviation, Inc. operates on a fiscal year that ends June 30, 2025. Not counting extensions, what is the normal due date for its corporate tax return (Form 1120)?

- a)** September 15
- b)** April 15
- c)** October 15
- d)** January 15

13. Which of the following forms can a corporation use to apply for a refund of overpaid tax?

- a)** Form 1099
- b)** Form 1139
- c)** Form 8862
- d)** Form 941

14. Tallulah transfers an office building with a basis of \$200,000 and an FMV of \$300,000 to Buckhorn Consulting, Inc. in exchange for stock with a fair market value of \$300,000. This represents 65% of the outstanding stock in Buckhorn Consulting. Tallulah did not own any shares in the corporation prior to the contribution. How much gain is recognized by Tallulah on this transaction?

- a)** \$0
- b)** \$100,000
- c)** \$200,000
- d)** \$300,000

15. Dighton Repo Services, Inc. is a cash-basis C corporation that operates on the calendar year. The company is required to make estimated tax payments during the year. What are the due dates for its estimated payments?

- a)** April 15, June 15, September 15, and December 15.
- b)** January 15, March 15, June 15, September 15, and December 15.
- c)** March 1, June 1, September 1, and December 1.
- d)** April 15, June 15, September 15, and January 15.

16. To be eligible for section 351 nonrecognition treatment, immediately after the exchange, a taxpayer must own at least _____ of the total combined voting power of all classes of stock entitled to vote and at least _____ of the outstanding shares of each class of nonvoting stock.

- a) 50% and 50%
- b) More than 50% and more than 50%
- c) 80% and 80%
- d) 100% and 100%

STUDY UNIT 12

Answer Key & Explanations

1. The answer is **D**.

With \$6 million in assets (over \$250,000 but under \$10 million), Hillside must file Schedule L (balance sheet) and Schedule M-1 (book-to-tax reconciliation), but not Schedule M-3 (required only at \$10 million or more in assets).

2. The answer is **B**.

Shareholders of a C corporation cannot deduct corporate losses — a drawback versus pass-through entities. Liability protection, multiple stock classes, and the ability to attract foreign investors are features of the C corporation, not deterrents.

3. The answer is **B**.

Net taxable income is \$4,529,000: \$3,000,000 book income + \$1,500,000 federal income tax expense (nondeductible) + \$100,000 business meals (50% of \$200,000 disallowed) + \$29,000 excess of capital losses over capital gains (\$47,000 – \$18,000) – \$100,000 tax-exempt interest.

4. The answer is **C**.

Allowing shareholders to take personal loans from the corporation is not a valid reason to accumulate earnings; it is a red flag the IRS looks for. The other choices are legitimate reasonable needs of the business.

5. The answer is **D**.

Corporations generally use the Electronic Federal Tax Payment System (EFTPS), a free U.S. Treasury service, for all federal tax deposits. (Starting in 2025, Direct Pay for Businesses is also available.)

6. The answer is C.

The accumulated earnings tax is levied at 20% of the excess amount of income accumulated.

7. The answer is B.

Lorraine and Marcus each recognize a \$20,000 gain (\$30,000 FMV of stock – \$10,000 basis). Section 351 nonrecognition requires the transferors to control (at least 80% of) the corporation immediately after the exchange; here they own only 75%, so the exchange is taxable.

8. The answer is D.

Hilltop Honey files none of the listed schedules. Corporations with less than \$250,000 of both gross receipts and total assets at year-end are not required to file Schedules L, M-1, M-2, or M-3.

9. The answer is C.

Seymour recognizes \$6,000 of ordinary income for the accounting services. The exchange of property for a controlling (80%+) interest is a nontaxable §351 exchange, but the value of stock received for services does not qualify and is taxed as income.

10. The answer is A.

There is no bona fide business purpose for Steele Corporation to assume Osvaldo's \$10,000 equity loan (he used the proceeds to buy a personal motorcycle). The liability is treated as boot, so Osvaldo must report a \$10,000 gain on the transfer.

11. The answer is D.

A single-member LLC owned by an individual is not automatically taxed as a corporation — it is a disregarded entity (sole proprietorship) by default unless it elects otherwise on Form 8832. The others are automatically taxed as corporations.

12. The answer is A.

A C corporation with a June 30 fiscal year-end follows the special rule (for years beginning before 2026): Form 1120 is due the 15th day of the 3rd month after year-end — September 15.

13. The answer is B.

A corporation uses Form 1139, Corporation Application for Tentative Refund, to apply for a refund (generally filed within 12 months of the end of the tax year in which the NOL, net capital loss, unused credit, or claim-of-right adjustment arose).

14. The answer is B.

Tallulah recognizes a \$100,000 gain (\$300,000 FMV of stock – \$200,000 basis). Section 351 requires the transferor to control at least 80% of the corporation immediately after; she owns only 65%, so the exchange is taxable (treated as a sale).

15. The answer is A.

Corporate estimated payments are due on the 15th day of the 4th, 6th, 9th, and 12th months — for a calendar-year corporation: April 15, June 15, September 15, and December 15 (unlike individuals, whose 4th payment is due January 15).

16. The answer is C.

To qualify for §351 nonrecognition, immediately after the exchange the taxpayer must own at least 80% of the total combined voting power of all voting stock and at least 80% of the outstanding shares of each class of nonvoting stock.

STUDY UNIT 13

Corporate Transactions

Further reading: IRS Publication 542, Corporations

The tax treatment of certain items is different for C corporations, as compared with individuals and other types of entities. C corporations are required to file returns and pay income tax on their profits. C corporations are subject to their own tax rate schedule, and they are taxed at a flat rate of 21%. In some cases, a C corporation might provide more tax benefits than a pass-through entity such as a partnership or an S corporation.

Note

Among the drawbacks of the C corporation structure are: (1) double taxation and the inability of shareholders to deduct corporate losses; (2) the absence of preferential capital gains tax rates; and (3) the limitation on the deductibility of capital losses. A C corporation also has advantages that are unavailable to other business types. A C corporation has unlimited growth potential, because there is no limit to the number of shareholders a C corporation can have. A C corporation can sell stock, either common or preferred, and can offer employees a stock option plan. Ownership of a C corporation is also easily transferable through a stock sale.

Corporate Net Operating Losses (NOLs)

A C corporation figures and deducts a net operating loss (NOL) in a similar manner as an individual, an estate, or a trust. Most C corporations can only carry their net operating losses forward.

An NOL may only offset up to 80% of taxable income for tax year 2025 and future tax years. A corporation cannot increase its current year NOL by carrybacks or carryovers from other years in which it has a loss. A prior-year NOL may be carried forward indefinitely.

A corporation figures an NOL the same way it figures taxable income. It starts with gross income and subtracts its deductions. If its deductions are more than its gross income, the corporation has an NOL. In general, the following items are not allowed when figuring a corporation's NOL:

- Any deduction for foreign-derived deduction eligible income.
- The modified taxable income for any year cannot be less than zero.
- Capital losses in excess of capital gains.

When a corporation carries forward its NOL, it enters the total carryover on Form 1120, Schedule K and claims the actual NOL deduction on Line 29a on Page 1 of the 1120.

An NOL carryback or carryforward can only be used to reduce corporate income tax. If the corporation owes other taxes or penalties from a prior or in a future year, an NOL will not reduce the penalties. NOLs cannot be carried over between C corporation and S corporation years.

Example

Thornton Realty, Inc. is a calendar-year C corporation. In the previous year, the company faced financial difficulties and ended up with a Net Operating Loss (NOL). As a result, the company has an NOL carryforward of (\$280,000) from 2024 (the prior year). In the current year, 2025, the business experiences growth and reports a taxable income of \$180,000 before considering the net operating loss. The 80% rule applies, so Thornton Realty's NOL deduction for 2025 is \$144,000 [$\$180,000 \times 80\%$]. The remaining \$136,000 NOL carries forward to future tax years.

Corporate Capital Gains and Losses

Unlike the favorable capital gains rates available to individuals, the capital gains of a C corporation are taxed at the same rate as its ordinary income. A corporation figures its capital gains and losses much like an individual. However, in the case of a C corporation, its capital losses are only deductible to the extent of its capital gains. A C corporation is not allowed to offset capital losses against its other income the way individuals can (up to a limit).

If a corporation has an excess capital loss, it may carry the loss back or forward to other tax years and deduct it from any net capital gains that occurred in those years. The default election is for a corporation to carry back its capital losses to the earliest of the three preceding years in which it had net capital gains; any remaining losses may be carried forward a maximum of five years.

Note

A C corporation's excess capital losses are carried to other years in the following order:

- Three years prior to the loss year.
- Two years prior to the loss year.
- One year prior to the loss year.
- Any loss remaining is carried forward for five years (with a few exceptions).

If, after carrying back a net capital loss three years and forward five years, any part of the capital loss still remains, it is lost forever, and the corporation cannot use the loss to offset any future capital gains.

Capital losses can be carried only to years that would otherwise have had a net capital gain. When a corporation carries back or carries forward a capital loss, the loss is treated as a short-term capital loss. A C corporation cannot carry back capital losses to any previous year when it was an S corporation.

Example

In 2025, Meridian Corporation incurred a capital loss of (\$12,000) from the sale of capital assets. Meridian Corporation had no capital gain income in the prior three tax years. The result is that Meridian Corporation shall carry forward its (\$12,000) capital loss up to five tax years in the future to offset future capital gains. After five years, any remaining unused capital losses will be lost.

Example

Hazlett Realty, Inc. converted from an S corporation to a C corporation on January 1, 2025. In 2025, Hazlett Realty incurs \$13,000 in long-term capital losses. All of the company's capital losses must be carried forward because it was an S corporation in the prior year. The losses that are carried forward will be treated as short-term losses and will reduce capital gains in future years.

Example

Madden Packaging, Inc. sells capital assets during the year, incurring a net capital loss of (\$4,500) in 2025. In the prior year (2024), the company had a net capital gain of \$1,000. There were no capital gains in any other prior years. Madden Packaging must carry back \$1,000 of its 2025 losses

to 2024. It must then carry the remaining (\$3,500) capital losses forward to 2026 and future tax years (through 2030, if necessary).

Corporate Charitable Contributions

Unlike other business entities, C corporations can deduct a certain amount of charitable contributions made to qualified organizations. In 2025, the maximum allowable charitable deduction is limited to 10% of a corporation's taxable income. Donations in excess of this limit may be carried over and deducted in the following five years, subject to the same limitations. Any excess contributions not used within the five-year carryforward period are lost. No carryback is allowed for charitable contributions. A corporation figures its taxable income for this limit without regard to the following:

- The deduction for charitable contributions.
- The dividends received deduction.
- The domestic production activities deduction (in the case of agricultural or horticultural cooperatives).
- Any net operating loss carryback to the tax year.
- Any capital loss carryback (but not carryforward) to the tax year.

A corporation cannot deduct a carryover of excess contributions to the extent it increases a net operating loss carryover. If there is no taxable income, the corporation would not be able to deduct charitable contributions for that year.

Example

Pinnacle Media, Inc. donated \$35,000 in cash in 2025 to the Sierra Wildlife Foundation, a qualified 501(c)(3) charity. Pinnacle Media's taxable income before figuring its charitable contribution deduction is \$95,000. The corporation's allowable charitable deduction is \$9,500 ($\$95,000 \times 10\% = \$9,500$). Pinnacle Media will have a \$25,500 charitable contribution carryover to use in future years ($\$35,000 \text{ actual contribution} - \$9,500 \text{ allowable} = \$25,500 \text{ carryover}$).

Example

Fusion Foods Inc., a calendar-year C corporation, makes a \$13,000 cash contribution to the Riverside Museum, a qualified 501(c)(3) charity. Fusion Foods has a net operating loss of (\$45,000) in 2025. As a result, Fusion Foods must carry over its entire charitable contribution to the next year. The corporation may deduct the contribution in each of the next five years until it is all used (subject to the same income limits), but not beyond that time. After five years, any remaining carryover amounts are lost.

A corporation using the cash method can deduct charitable contributions only in the year they are actually paid. A corporation using the accrual method can deduct unpaid contributions if the board of directors authorized the contributions during the year, and the corporation pays the

contributions by the due date for filing the corporation's tax return (not including extensions). A declaration with a statement that includes the date that the board of directors adopted the resolution must accompany the return.

Example

Blueprint Medical, Inc. is a calendar-year, accrual-basis corporation. Blueprint Medical's board of directors approved a charitable contribution of \$5,000 to the American Red Cross on December 15, 2025, but did not make the donation to the American Red Cross until February 1, 2026. Although not paid until 2026, Blueprint Medical can deduct the contribution on its 2025 corporate tax return as it was paid prior to April 15, 2026.

The rules regarding what qualifies as a charitable organization and required supporting documentation are the same for corporations as they are for individuals. Generally, no deduction is allowed for any charitable contribution of \$250 or more unless the corporation obtains a contemporaneous written acknowledgment from the donee organization.

The written receipt or acknowledgment should show the amount of cash contributed or a description of the property contributed. The receipt or acknowledgment should also give a description and a good faith estimate of the value of any goods or services provided in return for the contribution, or state that no goods or services were provided in return for the contribution.

If a corporation claims a deduction of more than \$500 for contributions of property other than cash, a schedule describing the property and the method used to determine its fair market value must be attached to the corporation's return. In addition, the corporation should keep a record of:

- The approximate date and manner of acquisition of the donated property.
- The cost (or other basis) of the donated property held by the donor for less than 12 months prior to contribution.
- Any donation of a used vehicle, boat, or similar property if it takes a deduction larger than \$500 for the donated vehicle.

Normally, donations of non-cash property are based on the fair market value of the property. Furthermore, donations of inventory are typically based on the donor's basis in the inventory. A corporation must obtain a qualified appraisal for most charitable deductions of property claimed in excess of \$5,000. However, a qualified appraisal is not required for the donation of cash, publicly traded securities, or inventory.

Example

Future-Tech Electronics, Inc. is a retail store chain that sells computer equipment and other electronics. The company decides to donate some laptop computer inventory to a local high school, which is a 501(c)(3) organization. Future-Tech Electronics' basis in the computer inventory is \$6,000. Since the donation consists of inventory, a qualified appraisal is not required for the charitable deduction, even though the value of the laptops exceeds \$5,000. Future-Tech Electronics' taxable income before figuring its charitable contribution deduction is \$560,000, and 10% of that is \$56,000, so the charitable deduction is allowed in full.

Note

Looking Ahead to 2026: For 2026, the One Big Beautiful Bill Act (OBBBA §70426) introduces a 1% floor on corporate charitable contributions, allowing a deduction only to the extent contributions exceed 1% of taxable income. This provision applies starting in 2026 and will not be tested for the current EA exam cycle.

Dividends Received Deduction

A corporation can deduct a percentage of certain dividends received from other corporations in which it has an ownership interest. The dividends received deduction (DRD) is designed to reduce the consequences of double taxation. Without this deduction, corporate profits could be taxed to the corporation that earned them, then to its corporate shareholders, and then again to the individual shareholders of the parent corporation. This deduction is available to C corporations but not to LLCs, S corporations, partnerships, or individuals. For corporations owning at least 20% of the dividend-paying company, the dividends received deduction is normally 65% of the dividends. For corporations owning under 20%, the deduction is normally 50%. The percentage of stock ownership is determined without regard to preferred stock.

Example

Greentech Corp. is a C corporation headquartered in Chicago, Illinois. Greentech Corp. holds a 25% stake in Ecozone Energy, Inc., which is another domestic C corporation. Greentech Corp.'s taxable income for the year before figuring its dividends received deduction is \$59,500. The dividends received were \$20,000 from Ecozone Energy. According to the ownership percentage, 65% of the dividends received can be deducted by Greentech Corp., so the deduction is \$13,000 ($65\% \times \$20,000$). This will bring Greentech's taxable income for the year down to \$46,500 (\$59,500 – \$13,000).

Example

Lauder Management, Inc. owns 10% of Klondike Corp. Lauder Management received \$50,000 of dividends from Klondike Corp. in 2025. Lauder Management has taxable income of \$70,000 before considering its dividend income. Lauder Management is therefore allowed a 50% dividends received deduction, figured as follows: $\$25,000 = (\$50,000 \times 50\% \text{ DRD})$. Lauder Management's taxable net income is \$95,000 ($\$70,000 + [\$50,000 - \$25,000]$).

If the corporation receiving the dividends owns 80% or more of the distributing corporation, and the dividend-receiving corporation is part of an affiliated group of corporations with the dividend-paying corporation, it is allowed to deduct 100% of the dividends it receives.

Example

Planetary Enterprise, Inc. owns 84% of a subsidiary, called Galaxy Innovations, Inc. Both companies are C corporations headquartered in New York and they each file their own 1120 tax return. Planetary Enterprise's income for the year before figuring its dividends received deduction is

\$120,000. The dividends received from Galaxy Innovations totaled \$51,000 for the year. Since Planetary Enterprises owns 80% or more of Galaxy Innovations, it can deduct 100% of the dividends received. This will bring Planetary Enterprise's taxable income for the year down to \$69,000 (\$120,000 – \$51,000).

Example

Meeker Technology, Inc. owns 95% of the outstanding stock in the Silgan Corporation. Both Meeker Technology and Silgan are part of the same affiliated group of C corporations, but they each file their own 1120 tax return. In 2025, Meeker Technology receives \$250,000 in dividends from Silgan. Because Meeker Technology owns 80% or more of Silgan's stock, it can claim a 100% dividends-received deduction on its Form 1120 tax return. The dividends are ultimately not taxable to Meeker Technology, Inc. after the DRD.

To summarize, the maximum deduction for dividends received is based on the percentage of stock ownership in the dividend-distributing corporation:

Percentage of Stock Ownership	Dividends Received Deduction
Less than 20%	50%
20% to less than 80%	65%
80% or more	100%

For this deduction, the corporation must determine taxable income without the following items:

- The dividends received deduction.
- The net operating loss (NOL) deduction.
- Any adjustment due to the nontaxable part of an extraordinary dividend.
- Any capital loss carryback to the tax year.

If the receiving corporation has a net operating loss (NOL) for the year, the DRD is figured differently. To determine whether a corporation has an NOL for purposes of the dividends received deduction, the corporation must first compute the dividends-received deduction (50% or 65%) from taxable income, and if it results in a negative amount, the corporation has an NOL and the taxable-income limitation does not apply, which means the corporation can deduct the full amount of the dividend.

Example

Example #1: EcoWave, Inc. loses (\$75,000) from its business operations during the year. It also receives \$100,000 in dividends from a 20%-owned corporation. EcoWave's taxable income before the dividends-received deduction is \$25,000 (\$100,000 dividends received – \$75,000 loss). EcoWave's full dividends received deduction is \$65,000 (\$100,000 × 65%). Subtracting the full dividends-received deduction from taxable income results in a negative amount: \$25,000 – \$65,000 = (\$40,000). Because applying the full dividends-received deduction creates a net operating loss

(NOL), the 65%-of-taxable-income limitation does not apply. EcoWave may deduct the full \$65,000 dividends-received deduction.

Example

Example #2: Assume the same facts as in Example 1, except EcoWave, Inc. loses \$30,000 from its business operations and receives \$100,000 in dividends from a 20%-owned corporation. Its taxable income before the dividends-received deduction is \$70,000 (\$100,000 dividends received – \$30,000 loss). EcoWave's full dividends received deduction is \$65,000 (\$100,000 × 65%). After subtracting the full dividends-received deduction, taxable income is \$70,000 – \$65,000 = \$5,000. Because applying the full dividends-received deduction does not result in a net operating loss, the deduction is limited to 65% of taxable income. EcoWave's allowable dividends-received deduction is \$45,500 (\$70,000 × 65%).

Note

Remember, the DRD is calculated as a percentage of the dividends received. For the 50% and 65% tiers, the deduction is generally limited to that same applicable percentage of the receiving corporation's taxable income. However, if applying the full dividends-received deduction would create or increase a net operating loss (NOL), the taxable-income limitation does not apply. If applying the full dividends-received deduction does not result in an NOL, the deduction is limited to the applicable percentage of taxable income. (Remember, the 100% DRD tier is never subject to a taxable income limit.)

Corporations cannot take a deduction for dividends received from the following entities:

- A real estate investment trust (REIT).
- A corporation exempt from tax under section 501 or 521 of the Internal Revenue Code.
- A corporation whose common stock was held less than 46 days during the 91-day period beginning 45 days before the stock became ex-dividend with respect to the dividend.
- A corporation whose preferred stock was held less than 91 days during the 181-day period that began 90 days before the ex-dividend date if the dividends received are attributable to periods totaling more than 366 days.
- Any corporation, if your corporation is under an obligation (pursuant to a short sale or otherwise) to make related payments for positions in substantially similar or related property.

Dividends on deposits in domestic building and loan associations, credit unions, mutual savings banks, cooperative banks, and similar organizations are taxed as interest income — not dividends. This income does not qualify for the DRD. The deduction for dividends received is reported on Form 1120, Schedule C, Dividends, Inclusions, and Special Deductions.

Related Party Transactions Between Corporations

Strict rules apply to related party transactions. Losses on sales or exchanges of property between related parties are generally disallowed. The disallowance applies even if the transaction is bona fide and conducted at fair market value.

Example

AstroTurf, Inc. is owned 60% by Harold. AstroTurf, Inc. sells a piece of farming equipment for \$10,000 to Feedlot Farms, Inc., which is 55% owned by Harold's wife, Janine. AstroTurf's basis in the equipment is \$16,000, resulting in a \$6,000 loss. The sale was made in good faith and at fair market value. Even so, the \$6,000 loss is disallowed to AstroTurf, Inc. because the sale is between related parties (the two corporations are treated as related parties by virtue of common ownership between Harold and his wife).

For purposes of this rule, the following persons are “related” to a corporation:

- Another corporation that is a member of the same controlled group.
- An individual who owns, directly or indirectly, more than 50% of the value of the outstanding stock of the corporation. Family attribution rules apply.
- A trust fiduciary, if the trust or the grantor of the trust owns, directly or indirectly, more than 50% of the value of the outstanding stock of the corporation.
- An S corporation, if the same persons own more than 50% in value of the outstanding stock of each corporation.
- A partnership, if the same persons own more than 50% in value of the outstanding stock of the corporation and more than 50% of the capital or profits interest in the partnership.
- Any employee-owner, if the corporation is a personal service corporation (PSC) regardless of the amount of stock owned by the employee-owner.

In determining whether a person directly or indirectly owns any of the outstanding stock of a corporation, the following rules apply:

- Stock directly or indirectly owned by or for a corporation, partnership, estate, or trust is considered owned proportionately by or for its shareholders, partners, or beneficiaries.
- An individual is treated as owning the stock owned, directly or indirectly, by or for the individual's family. Family includes only brothers and sisters (including half-siblings), a spouse, ancestors, and lineal descendants.

A corporation that uses the accrual method of accounting cannot deduct business expenses and interest owed to a related person or related entity that uses the cash method of accounting until the corporation makes the related payment and the amount is included in the related person's income. In other words, a business that uses the accrual accounting method can only deduct expenses owed to a cash-basis business when payment is received and the cash-basis party recognizes it as income.

Example

Cyril is a 65% owner of Hotspur Corporation. Cyril's wife, Lydia, is a 55% owner of Agilent Corporation. Cyril is considered a related person for the purposes of ownership in Agilent Corporation. Under the related-party transaction rules, Cyril is also considered a 55% owner in Agilent Corporation and Lydia is considered a 65% owner in Hotspur Corporation. This would be true regardless of whether the spouses filed separate or joint returns.

Example

Avatar Corporation and SunPower Corporation are wholly owned by two siblings, David and Lamar, so the corporations are, therefore, related parties. Avatar Corporation uses the accrual method of accounting, while SunPower Corporation uses the cash method of accounting. On December 1, 2025, Avatar Corporation accrues \$9,000 in rent payable to SunPower Corporation. Avatar Corporation does not actually pay the invoice until February 1, 2026 (the following year). Under the cash method of accounting, SunPower Corporation does not recognize the income until the cash payment is received in February. However, under the related party transaction rules, Avatar Corporation is prohibited from deducting the rental expense in December 2025, because SunPower Corporation, using the cash method, has not yet recognized the income. Deductions for amounts paid to a related cash-method taxpayer are not deductible until the amount is includible in the related taxpayer's gross income.

Closely Held Corporations

A closely held corporation, also referred to as a “closed corporation,” generally has a small number of shareholders (often family members) and no public market for its stock. Most small corporations in the United States are closely held. Corporate ownership and management often overlap, and typically, management decisions are made by the shareholders. A corporation is considered to be “closely held” if both of the following apply:

- It is not a personal service corporation (PSC).
- At any time during the last half of the tax year, more than 50% of the value of its outstanding stock is, directly or indirectly, owned by five or fewer individuals. An “individual” in this case may include certain trusts and private foundations.

A closely held corporation is subject to additional limitations in compensation paid to corporate officers and the tax treatment of items such as passive activity losses and at-risk rules. The at-risk rules for closely held corporations are similar to those that apply to partners in a partnership.

These rules dictate that a closely held corporation's losses are only deductible up to the amount at risk of financial loss in connection with an activity. The amount “at-risk” generally equals (1) the money and the adjusted basis of property contributed by the taxpayer to the activity, and (2) the money borrowed for the activity if the corporation is personally liable for repayment or pledges property (other than property used in the activity) as security for the loan. The amount considered at risk for pledged property is the net fair market value of the taxpayer's interest in the pledged property.

Example

Denton Medical, Inc. is a closely held C corporation with only two shareholders: a father and son. Denton Medical, Inc. invests \$20,000 cash in a business venture and also pledges a factory building, which is not used in the business venture, as collateral for a \$100,000 loan that is used in the business venture. Denton Medical's factory building has a fair market value of \$150,000 but is already subject to a prior mortgage claim of \$100,000. Denton Medical's amount at-risk in the business venture is only \$70,000 (\$20,000 cash investment + \$50,000 [\$150,000 – \$100,000] net fair market value in the building).

Controlled Groups

Under federal law, related companies and organizations are treated as a single, controlled group for certain tax purposes. A controlled group is a group of corporations that are related through common ownership, typically as either parent-subsidary or brother-sister.

Corporations that qualify as an affiliated group may elect to file a consolidated return. Members of a controlled group may also be subject to related-party rules that can defer or disallow certain losses or deductions on intercompany transactions. A controlled group of corporations is entitled to only one \$250,000 accumulated earnings credit, and for section 179 purposes, the component members are treated as one taxpayer. In addition, employees of businesses under common control are treated as employed by a single employer for certain qualified retirement plan requirements.

Parent-Subsidiary Controlled Group

A Parent-Subsidiary Controlled Group involves a parent corporation that owns at least 80% of the voting power of at least one other corporation (with possible additional corporations that are at least 80% owned by either the common parent or one of the subsidiary entities); although a foreign corporation would not be considered a member of a controlled group.

Example

Example #1: Express Corporation is a large C corporation that owns two other, smaller corporations. Express Corporation owns 80% of the outstanding shares of A&B, Inc. Express Corporation also owns 90% of the shares of C&D Inc. A controlled group exists with all three companies. In this scenario, Express Corporation is the “parent company” of the other two, smaller corporations. These companies can elect to file a single, consolidated corporate return (Form 1120).

Example

Example #2: Sunshade Corporation owns 90% of the stock of Arch Corporation, 80% of the stock of Barstow Corporation, and 65% of the stock of Crain Corporation. Unrelated parties own the remaining percentage. As Sunshade Corporation owns 80% or more of the stock of Arch and Barstow Corporations, it is the common parent of a parent-subsidiary group consisting of the three corporations. Crain Corporation is not a member of the controlled group because Sunshade Corporation's ownership is less than 80%.

Brother-Sister Controlled Group

A Brother-Sister Controlled Group involves situations in which five or fewer individuals, estates, or trusts own at least 80% of the total combined voting power or at least 80% of the total value of shares of all classes of stock of multiple corporations, and have identical common ownership within the individual corporations of more than 50%.

Unlike a parent-subsidary controlled group, the focus in a brother-sister controlled group is on individual ownership. In other words, “effective control” requires collective ownership of more than 50% of the stock of each corporation (but only to the extent such stock ownership is identical with respect to each corporation).

Example — Brother-Sister Controlled Group: Tiptop Retail, Inc. and Keystone, Inc. are two C corporations that are wholly owned by three unrelated shareholders in the following percentages:

Shareholder	Tiptop Retail, Inc.	Keystone, Inc.
Elvin	70%	30%
Geary	10%	50%
Wayne	20%	20%
Total Ownership	100%	100%

The same five (or fewer) common owners must own more than 80% of the stock or some interest in all members of the controlled group. In this example, the three shareholders together own 100% of the stock of each corporation, so the first test is met. They also meet the second test of owning more than 50% of the stock of both corporations, considering only the identical ownership in each corporation:

Shareholder	Identical Ownership % in Both Corporations
Elvin	30%
Geary	10%
Wayne	20%
Total	60%

Notes & References

1. Exceptions to the carryforward-only rule apply to certain farming losses and casualty insurance companies, which are permitted a 2-year carryback period for their NOLs. A farming business or casualty insurance company may also make an irrevocable election to waive the carryback and carry losses forward.
2. A 20-year carryforward period applies to casualty insurance companies, which are not subject to the 80% limit.

3. In rare instances, longer capital-loss carryback/carryforward periods apply. Capital losses from foreign expropriation may not be carried back but may be carried forward for 10 years. For a regulated investment company (RIC), net capital losses may be carried forward eight years.
4. An increased 15%-of-taxable-income limit is permitted for corporate charitable contributions of food inventory and certain science equipment to institutions of higher learning or certain scientific research organizations.
5. C corporations (other than personal service and closely held corporations) file Form 8283 only if the deduction claimed exceeds \$5,000 per item. A personal service or closely held corporation claiming a deduction for noncash gifts over \$500 must file Form 8283 with Form 1120.
6. For C corporations, donations of inventory to charities that use it to care for the ill, needy, or infants are valued at the lesser of (1) basis increased by one-half the appreciation, or (2) 200% of basis.
7. A personal service corporation (PSC) is a C corporation where more than 10% of the stock (by value) is owned by shareholder-employees, more than 20% of compensation was for services by shareholder-employees, and the principal activity is the performance of personal services (e.g., accounting, actuarial science, architecture, engineering, medicine).
8. A "lineal descendant" is a person in the direct line of the taxpayer (child, grandchild). For this rule, family excludes cousins, stepsiblings, uncles, aunts, nieces, nephews, in-laws, and ex-spouses.

STUDY UNIT 13

Study Questions

Test yourself, then check the answer key that follows.

1. Sunburst Publishing, Inc. is a C corporation that incorporated on January 1, 2021. In tax year 2025 (the current year), it sustained a \$70,000 net capital loss, which is the first time the company has incurred a capital loss. The corporation had the following capital gains in the prior years. Based on the information below, what will Sunburst Publishing's capital loss carryforward be to tax year 2026 (the next tax year)?

Tax Year	2021	2022	2023	2024	2025
Capital gains/ (losses)	\$5,000	\$10,000	\$6,000	\$9,000	(\$70,000)

- a) \$40,000
- b) \$45,000

- c) \$55,000
- d) \$61,000

2. When is a C corporation considered to be “closely held”?

- a) When it is a personal service corporation (PSC).
- b) When 100% of the value of its outstanding stock is owned by an exempt entity.
- c) When more than 50% of the value of its outstanding stock is owned by five or fewer individuals and it is not a personal service corporation (PSC).
- d) When it is not a personal service corporation and also has a public market for its stock.

3. Nitro Auto Parts, Inc. is a calendar-year C corporation that uses the accrual method of accounting. Nitro Auto Parts plans to file an extension this year. What is the last day that the corporation can pay a charitable contribution and still deduct it on its 2025 tax return?

- a) December 31, 2025
- b) March 15, 2026
- c) April 15, 2026
- d) October 15, 2026

4. Which of the following statements is correct about a controlled group of corporations?

- a) Members of a controlled group are entitled to only one accumulated earnings tax credit.
- b) A parent corporation and its 80%-owned subsidiary would be members of a controlled group.
- c) Members of controlled groups are subject to rules regarding related party transactions that may require deferral of recognition for losses or expenses incurred by one party.
- d) All of the above.

5. Seaside Capital, Inc. and Crocker Retail, Inc. are both domestic C corporations. Seaside Capital, Inc. owns 25% of Crocker Retail, Inc. Seaside Capital's income from its business operations is \$500,000 for the year. In addition to its business income, Seaside Capital, Inc. received dividends from Crocker Retail of \$145,000. What is Seaside Capital's dividends received deduction?

- a) \$36,250
- b) \$94,250
- c) \$101,500

d) \$145,000

6. In 2025, Reliable Motors, Inc. made cash contributions totaling \$20,000 to qualified charitable organizations. Due to income limitations, Reliable Motors could deduct only \$15,000 of the contributions on its corporate return. Which of the following correctly states the treatment of the excess \$5,000 of charitable contributions?

a) The excess contributions can be carried back for 2 years and carried forward for 5 years.

b) The excess contributions can be carried forward indefinitely.

c) The excess contributions can be carried back for 3 years and carried forward for 10 years.

d) The excess contributions can be carried forward for 5 years. They cannot be carried back.

7. Benshaw Media, Inc. is a cash-basis C corporation. In 2025, Benshaw Media received \$140,000 in dividends from a domestic corporation in which it owns 5% of the stock. Benshaw Media has taxable income of \$180,000 during the year, before figuring the dividends received deduction. Based on this information, what is the allowable dividends received deduction for Benshaw Media?

a) \$70,000

b) \$98,000

c) \$100,000

d) \$126,000

8. Pacific Holdings, Inc. is a cash-basis C corporation. In 2025, the corporation sold various capital assets. The company has a net short-term capital gain of \$23,000 from the sale of stock, and a net long-term capital loss of (\$29,000) from the sale of cryptocurrency. How should these capital gains and losses be treated?

a) The corporation can deduct a \$6,000 long-term capital loss on its current-year tax return.

b) The corporation can carry back the \$29,000 long-term capital loss to a prior year, where it may only be deducted against long-term capital gains.

c) The corporation can carry back the \$6,000 net capital loss to a prior year, where it may be deducted against capital gains in those years.

d) The corporation must carry forward the entire capital loss to the following tax year.

9. Which of the following best describes a brother-sister controlled group?

- a) Five or fewer individuals, estates, or trusts own 80% or more of the combined voting power for multiple corporations and have identical common ownership within the individual corporations of at least 50%.
- b) A parent corporation that owns at least 80% or more of the voting power of at least one other corporation, with at least two brothers and one sister or two sisters and one brother as owners.
- c) A brother and sister each own 50% of a corporation, or a total of 100% of the corporation combined.
- d) A corporation that controls at least two other corporations where a brother and sister are corporate officers of the different corporations.

10. Vault Temp Service, Inc. is a calendar-year C corporation. In 2025, it has \$400,000 of taxable income. The company makes \$45,000 in charitable contributions to a qualified 501(c)(3) charity. What portion of the charitable contributions is deductible?

- a) \$4,500
- b) \$10,000
- c) \$40,000
- d) \$45,000

11. During 2025, Nashville Apparel Inc., a domestic C corporation, had the following income, expenses, and deductions. All the contributions were made to qualifying 501(c)(3) charities. What is the amount of Nashville Apparel's allowable charitable contribution deduction in 2025?

Gross receipts **\$105,000**

Net capital gains from the sale of cryptocurrency **\$10,000**

Business expenses (not including charitable contributions) **(\$65,000)**

Cash charitable contributions **\$30,000**

- a) \$3,000
- b) \$4,000
- c) \$5,000
- d) \$30,000

12. Milieu Capital, Inc. owns 25% of Wilson Fine Foods, Inc. In 2025, Milieu Capital received \$10,000 of dividends from Wilson's Fine Foods. Assuming no other limitations apply, Milieu Capital's dividends received deduction is:

- a) \$2,000
- b) \$6,500
- c) \$8,000
- d) \$10,000

13. Which of the following is characteristic of a “closely held” corporation?

- a) A corporation with a large number of shareholders and a public market for its stock.
- b) A corporation with a small number of shareholders and no public market for its stock.
- c) A corporation that is publicly traded on the stock market.
- d) A corporation that is wholly owned by a state or local government.

14. What happens to the deduction of a loss on the sale or trade of property between related corporations?

- a) The deduction is permitted, up to a limit.
- b) The deduction is doubled.
- c) The deduction is carried forward as a net operating loss.
- d) The deduction is disallowed.

15. When can a corporation that uses the accrual method of accounting deduct business expenses and interest owed to a related person or related entity that uses the cash method of accounting?

- a) As soon as the expenses are incurred or properly accrued.
- b) When the corporation makes the related payment, and the amount is included in the related person's income.
- c) At the end of the fiscal year.
- d) Only when the related person or entity declares bankruptcy, permitting a bad debt deduction.

16. Freshfields Farms, Inc. is a calendar-year C corporation. It is a qualified farming business. The company had a small NOL of \$1,000 in 2025. The business does not wish to carry back its losses, because the cost of filing the forms with the company's accountant would exceed the benefit. Which of the following statements is correct?

- a) Freshfields can forgo the 2-year carryback period and elect to carry forward the entire loss.

- b) Freshfields is required to carry back losses for two years and then forward for 20 years.
- c) Freshfields can carry back losses two years and carry them forward for 20 years.
- d) Freshfields cannot carry forward its losses. It can carry them back 5 years.

STUDY UNIT 13

Answer Key & Explanations

1. The answer is B.

The loss must be carried to the earliest available carryback year first (2022, three years before the loss year). After offsetting 2022's \$10,000, 2023's \$6,000, and 2024's \$9,000 gains (\$25,000 total), \$45,000 of the \$70,000 loss remains. That \$45,000 is carried forward five years. (Note: 2021 is outside the three-year carryback window.)

2. The answer is C.

A corporation is “closely held” if more than 50% of the value of its outstanding stock is, directly or indirectly, owned by five or fewer individuals and it is not a personal service corporation (PSC).

3. The answer is C.

An accrual-method corporation has until the unextended due date of its return (April 15, 2026) to pay a contribution the board authorized during the year and still deduct it for 2025. Extensions do not extend this payment deadline.

4. The answer is D.

All of the statements are correct. A parent owning at least 80% of a subsidiary forms a controlled group; members share a single accumulated earnings credit (\$250,000); and members are subject to related-party rules that may defer recognition of certain losses or expenses.

5. The answer is B.

Seaside owns 25% of Crocker (20%–80% tier), so the DRD is 65% of the dividends: $\$145,000 \times 65\% = \$94,250$, subject to the taxable-income limitation (which is not binding here).

6. The answer is D.

Excess corporate charitable contributions over the 10% limit are carried forward for five years (subject to the same limit each year); any unused amount after five years is lost. No carryback is allowed.

7. The answer is A.

Benshaw owns less than 20% of the payer, so the DRD is 50% of dividends: $\$140,000 \times 50\% = \$70,000$. The deduction is limited to taxable income unless applying it creates an NOL — not the case here.

8. The answer is C.

The corporation nets a \$6,000 capital loss (\$29,000 loss – \$23,000 gain). It carries the \$6,000 back to the earliest of the three preceding years with capital gains; any remainder carries forward up to five years. Capital loss carrybacks/carryforwards are always treated as short-term.

9. The answer is A.

A brother-sister controlled group exists when five or fewer individuals, estates, or trusts own 80% or more of the combined voting power of multiple corporations and have identical common ownership of more than 50%. The owners need not actually be siblings.

10. The answer is C.

The corporate charitable deduction is limited to 10% of taxable income (figured before the charitable deduction and certain other items). $\$400,000 \times 10\% = \$40,000$ deductible this year; the remaining \$5,000 carries over.

11. The answer is C.

Taxable income for the 10% limit is \$50,000 (\$105,000 gross receipts – \$65,000 expenses + \$10,000 net capital gains), figured without the charitable deduction. The deduction limit is $\$50,000 \times 10\% = \$5,000$.

12. The answer is B.

Owning 25% (20%–80% tier) qualifies Milieu for a 65% DRD: $\$10,000 \times 65\% = \$6,500$, subject to the taxable-income limitation.

13. The answer is B.

A closely held (“closed”) corporation generally has a small number of shareholders (often family members) and no public market for its stock.

14. The answer is **D**.

Under the related-party rules, a loss on the sale or trade of property between related corporations is disallowed (the main exception being a complete liquidation of a corporation).

15. The answer is **B**.

An accrual-method corporation cannot deduct expenses or interest owed to a related cash-method person or entity until it makes the payment and the amount is included in the related party's income.

16. The answer is **A**.

As a qualified farming business, Freshfields is allowed a two-year NOL carryback in 2025, but it may make an irrevocable election on a timely filed return to forgo the carryback and carry the loss forward indefinitely instead.

STUDY UNIT 14

Corporate Distributions and Liquidations

Further reading: IRS Publication 542, Corporations

When a C corporation makes profits, it can choose to keep the profits within the company (as retained earnings) or distribute them to shareholders as dividends. Corporate distributions, typically in the form of dividends, occur when cash, stock, or other property is distributed to stockholders based on the stockholders' ownership of the corporation's stock.

Corporations can issue their own stock to raise capital. Issuing stock has no impact on a corporation's taxable income because the money received from selling its stock is considered an equity transaction, not gross income. Alternatively, when they later distribute dividends to shareholders, those payments cannot be deducted as an expense. This is because if C corporations were allowed to deduct dividends, they could effectively avoid paying taxes each year by distributing all their taxable revenue to shareholders.

Example

Bertone Software Inc. is a newly formed C Corporation. To fund the development of a new product, the company seeks to raise \$1 million. They do so by offering 10,000 shares of stock at

a price of \$100 per share. Hundreds of investors purchase these shares, providing the company with the necessary capital. The investors become shareholders, or partial owners in the company. The stock sale results in an increase in the company's equity but does not have an impact on its taxable income. The company goes on to develop a new product, and Bertone Software Inc. earns a profit of \$750,000. The company then chooses to distribute \$500,000 of this profit as dividends to its shareholders. While the shareholders receive their dividends, the company cannot claim the \$500,000 as a deduction on its tax return. As a result, the company's taxable income remains at \$750,000, and Bertone Software will pay tax on this amount.

Corporate Dividends

Dividends are most often paid in cash. However, a dividend can take the form of stock or other property. The most common kinds of corporate distributions are:

- Ordinary dividends (either in cash or in property).
- Capital gain distributions.
- Non-dividend distributions.
- Distributions of stock or stock rights.

Cash dividends are paid directly in money. Sometimes, a corporation will distribute property as a dividend. The shareholder's basis in the distributed property is equal to its fair market value (FMV) at the time of distribution. The amount of the distribution may be decreased by any liabilities that the shareholder takes on from the corporation or those related to the distributed property, such as mortgage debt associated with owning a building.

It is important to note that the shareholder's basis in the property distributed remains at its FMV at the time of the distribution, even if the amount of the distribution is reduced by the amount of the liability attached to the property.

Example

Andrew and Lenny are equal shareholders in Milano Foods, Inc. which is taxed as a C Corporation. They each hold 50% of the corporation's stock. At the end of the year, Andrew receives a distribution of \$10,000 in cash, which is taxed to Andrew as a dividend. The corporation does not have enough available funds to make a similar cash distribution to Lenny, so Milano Foods distributes a cargo van to him that has a basis of \$15,000 and an FMV of \$10,000. Although the van's fair market value is less than its basis, Milano Foods cannot recognize a loss on the distribution. The distribution amount is the van's FMV, which is \$10,000. This will be Lenny's basis in the van.

Reporting Requirements for Information Returns

A corporation must furnish Form 1099-DIV, Dividends and Distributions, to each shareholder who receives a dividend of \$10 or more during a calendar year by January 31 of the year following the calendar year during which it made the distribution. However, a corporation is allowed to

furnish Forms 1099-DIV early if it has already made its final distributions for the year. Specifically, the corporation may provide the form any time after April 30 if it is furnished along with the final distribution, or any time after November 30 even if it is furnished separately. Businesses (including corporations) must furnish Forms W-2 to all their employees and Forms 1099-NEC to contractors by January 31.

Example

Omaha Capital, Inc. is an accrual-based corporation that operates on a fiscal year that ends on March 31. The corporation issues a large cash dividend to all its shareholders on February 10, 2025. Omaha Capital does not plan to issue any more dividends in 2025. Omaha Capital may choose to issue its 2025 Form 1099-DIV forms to its shareholders any time after April 30, 2025, but prior to January 31, 2026, (the following year) for the dividends that it has paid to its shareholders in 2025. To save time and reduce year-end workload, Omaha Capital files all its required 1099-DIV forms on June 30, 2025. The company has complied with its informational return reporting requirement for the year.

Distributions from Earnings and Profits

The amount of a C corporation's earnings and profits (E&P) determine the tax treatment of corporate distributions to shareholders. The starting point for determining corporate E&P is the corporation's taxable income. The following are the most common transactions that increase the amount of E&P:

- Long-term contracts reported on the completed contract method.
- Intangible drilling costs and mine exploration and development costs deducted currently.
- Dividends-received deduction (DRD).
- Nontaxable life insurance proceeds.
- Federal income tax refunds.
- Deferred gain on installment sales.
- Tax-exempt income (i.e., interest income on state and local bonds).

The following are the most common transactions that reduce the amount of E&P:

- Corporate federal income taxes.
- Life insurance policy premiums on a corporate officer.
- Excess charitable contributions (over the allowable limit).
- Expenses relating to tax-exempt income.
- Excess of capital losses over capital gains.
- Corporate dividends and other distributions.

- Nondeductible fines and penalties.
- Nondeductible portion of meals due to 50% meal limit.

Accumulated Earnings and Profits

Accumulated earnings and profits are earnings and profits (E&P) that the corporation accumulated in a prior year and has not distributed to its shareholders. If a corporation's current year E&P is less than the total distributions made during the year, part or all of each distribution is treated as a distribution of accumulated E&P.

Note

Any part of a distribution from current-year earnings and profits or accumulated earnings and profits is reported as dividend income to the shareholder and is generally taxable as ordinary income to the shareholder rather than as capital gains.

If a corporation's accumulated earnings and profits are reduced to zero, the remaining part of a distribution reduces the adjusted basis of the shareholder's stock. This is referred to as a "non-dividend distribution," and it is not taxable to the shareholder. This nontaxable portion is considered a return of capital that he had previously invested in the corporation. In other words, non-dividend distributions mean that investors are getting back some of the money they originally invested in the company.

Example

Example #1: Leo is the sole shareholder of Zeta Inc., a calendar-year C corporation. During the year, Zeta, Inc. makes four \$1,000 quarterly dividend distributions to Leo. At the end of the year (before subtracting distributions made during the year), the corporation has \$10,000 of current-year earnings and profits. Since Zeta Inc.'s current-year E&P (\$10,000) exceeds the amount of the distributions it made to Leo during the year (\$4,000), all of the distributions are treated as distributions of current-year E&P. Zeta, Inc. must issue Form 1099-DIV to Leo by January 31 to report the \$4,000 distributed dividends. Zeta, Inc. must also use Form 1096, Annual Summary and Transmittal of U.S. Information Returns, to accompany the Form 1099-DIV to the IRS by February 28. If Zeta, Inc. files its Form 1099-DIV electronically, it must send it to the IRS by March 31, but Form 1096 is not required to accompany the Form 1099-DIV. Zeta Inc. is not allowed to deduct these dividends on its Form 1120 as a business expense. The dividends are taxable to Leo, and he would report the income on Schedule B (Form 1040).

Example

Example #2: Amir likes to invest in stock. February 1, 2021, he purchased 1,000 shares of Frontier Motors Co. stock for \$170,000. On November 1, 2025, Amir receives a non-dividend distribution of \$9,000 from Frontier Motors, which is reported to him on Form 1099-DIV (box 3). His cost basis in the stock will be adjusted downwards to \$161,000 (\$170,000 basis minus the \$9,000 distribution). A month later, on December 1, 2025, Amir sells all his shares in Frontier Motors for \$180,000. His

capital gain for tax purposes is \$19,000 (\$180,000 sales price minus his \$161,000 adjusted stock basis). This amount will be taxed to Amir as long-term capital gains, because he held the stock for over one year. He will report the stock sale on his individual return on Form 8949 and Schedule D, Form 1040.

In most cases, the amount of a non-dividend distribution will not exceed an investor's basis in their shares. However, if a corporation makes non-dividend distributions to a shareholder that exceed the adjusted basis of their stock, the excess distribution is treated as a gain from the sale or exchange of property and is normally taxable to the shareholder as a capital gain.

Example

Farhad likes to invest in stock. Five years ago, he purchased 500 shares of Vogel Software, Inc. for \$8,000. On January 10, 2025, Vogel Software, Inc. issues a non-dividend distribution of \$8,900 to Farhad. On Form 1099-DIV, the non-dividend distribution will be shown in box 3. The first \$8,000 of the distribution will reduce his stock basis to zero. Since his basis cannot be reduced below zero, the remaining \$900 is taxable to Farhad as a long-term capital gain and must be reported on Form 8949 and Schedule D (Form 1040).

If non-dividend distributions are made to shareholders, the corporation must report these distributions to the IRS on Form 5452, Corporate Report of Non-dividend Distributions.

Distributions of Property

A corporation will recognize a gain on the distribution of property to a shareholder if the FMV of the property is more than the property's adjusted basis. This is generally the same treatment the corporation would receive if the property were sold.

Example

TechCentral, Inc. is a C corporation that owns a piece of unimproved land that it uses for equipment storage. The fair market value (FMV) of this land is \$80,000, but the corporation's adjusted basis in the land is \$60,000. A shareholder named Melvin, who owns a significant portion of TechCentral Inc., wants this commercial property for his own use. TechCentral distributes the land to Melvin, which is treated as a taxable event. At the time of the distribution, the amount of corporate earnings and profits applicable to the distribution is \$500,000. In this case, TechCentral Inc. will recognize a gain on the distribution of the property to Melvin. The gain is the difference between the fair market value (\$80,000) and the adjusted basis of the property (\$60,000), which is \$20,000. This \$20,000 gain is taxable to the corporation. Melvin, the shareholder, will also have to recognize the distribution as a taxable dividend. He will have a basis in the property of \$80,000 (the amount he must recognize as a taxable dividend). For purposes of figuring the corporation's gain, the FMV is the greater of the property's actual FMV or the amount of liabilities the shareholder assumes in connection with the distribution. If the distributed property was depreciable or amortizable, the corporation may have to treat all or a portion of the gain as ordinary income from depreciation recapture.

Example

Gulf Coast Construction, Inc. distributes to an individual shareholder, Ulrich, \$65,000 of cash, and an excavator with a \$35,000 adjusted basis and a \$50,000 FMV. The transaction is treated as a taxable sale. Gulf Coast Construction must recognize a \$15,000 taxable gain on the distribution of property because its FMV is more than its adjusted basis ($\$50,000 - \$35,000 = \$15,000$). The total distribution to Ulrich is \$115,000 (\$65,000 cash plus \$50,000 FMV of the excavator) and will be taxed as a dividend to Ulrich assuming Gulf Coast Construction, Inc. has sufficient earnings and profits.

A corporation generally cannot recognize a loss on a distribution of property (i.e., where the property's FMV is less than the adjusted cost basis). However, a corporation may be allowed to recognize losses when property is distributed to shareholders in complete liquidation (this is when the corporation completely ceases operations). Corporate liquidations are covered in more detail later in this chapter.

Stock Distributions and Stock Dividends

Stock distributions, or stock dividends, occur when a corporation issues additional shares of its own stock to existing shareholders. Stock dividend distributions do not affect the market capitalization of a company, but a stock dividend generally reduces the per-share market price of the company's stock. Stock rights, also known as "stock options," may be distributed by a corporation to some or all of its shareholders to allow them to purchase shares at a discount or at a stated fixed price.

Employee stock option plans are an extremely common type of fringe benefit. There are many different types of stock options and below is just a simplified example.

Example

Proline Electronics, Inc. is a C corporation that regularly offers stock options to its employees as an incentive. On January 3, 2025, Proline Electronics, Inc. issues employee stock options that allow Rachel, a full-time employee, the right to buy 500 shares of company stock at a price of \$8.00 per share. On April 20, 2025, Proline Electronics stock reaches \$20.00 a share, and Rachel decides to exercise her employee stock options. Rachel decides to send \$4,000 to her brokerage firm handling the options transaction and she receives 500 shares of Proline Electronics. She decides to keep the shares as an investment and not sell them.

Distributions by a corporation of its own stock or stock rights are tax-free to shareholders and not deductible by the corporation. However, they may be treated as taxable property distributions in rare situations, including when:

- The shareholder has the choice to receive cash or other property instead of stock or stock rights.
- The distribution gives cash or other property to some shareholders and stock to other shareholders.

- The distribution is in convertible preferred stock.
- The distribution gives preferred stock to some shareholders and common stock to other shareholders.
- The distribution is paid based on ownership of preferred stock.

Expenses for Issuing Stock

A corporation must capitalize, rather than deduct, the expenses of issuing a stock dividend, such as printing, postage, cost of advice sheets, fees paid to transfer agents, and any fees for listing on stock exchanges. Typical costs associated with issuing stock include fees for attorneys, accountants, as well as underwriting costs. A corporation may not deduct or amortize costs incurred in connection with issuing its capital stock. A corporation may also not deduct any of the costs incurred in connection with the initial public offering of stock (also called an “IPO”).

Note

An initial public offering (IPO) occurs when a private company issues stock to the public for the first time. This is also commonly referred to as “going public.” The proceeds from the sale of stock shares in an initial public offering provide the issuing company with investment capital. The money that is received by the corporation from a stock sale is not taxable income. Consequently, the costs incurred by the corporation to issue stock are not deductible and must be capitalized. It is equivalent for income tax purposes to the sale of stock at a discount (TAM 200532048).

Instead, stock issuance costs are treated as a reduction in the proceeds of the stock sale. They are considered the equivalent of selling the stock at a discount; thus, they do not create an expense that could give rise to a deduction.

Example

Choice Construction, Inc. is a multinational company whose stock is publicly traded. The corporation issues a 2-for-1 stock dividend to all its existing shareholders during the year. The corporation's stock is publicly listed on a national securities exchange. The legal fees and underwriting costs to issue the stock dividend totaled \$245,000. This cost must be capitalized. It cannot be deducted as a current expense by the corporation.

Constructive Distributions (Constructive Dividends)

A constructive distribution, also called a constructive dividend, may occur when a corporation confers a personal benefit upon a shareholder. Under audit, the IRS will often assert that these distributions are constructive dividends. Constructive distributions are treated the same as actual distributions and are taxable to the shareholder.

Example

Skycap Media, Inc. is a well-known publicity company. The corporation owns a luxury yacht that it uses for entertaining famous Hollywood clients. The yacht has an adjusted basis of \$6,950,000 to Skycap Media. A shareholder named Brody, who owns 20% of Skycap Media Inc., uses the yacht for a week-long personal vacation. The fair rental value of the yacht for the period of Brody's vacation is \$14,000, but Brody does not reimburse the corporation for this use. In this case, the corporation has conferred a personal benefit on Brody by allowing him to use the yacht for personal purposes. This is considered a constructive distribution of \$14,000 to Brody. The corporation cannot deduct this amount as a business expense, and Brody must report it as dividend income.

The probability of constructive distributions is greatest when a corporation is closely held. Examples of “constructive distributions” include:

- **Payment of personal expenses:** If a corporation pays personal expenses on behalf of a shareholder, the amounts should be classified as a distribution rather than expenses of the corporation.
- **Unreasonable compensation:** If a corporation pays an employee-shareholder an unreasonably high salary considering the services actually performed, the excessive part of the salary may be treated as a distribution.
- **Unreasonable rents:** If a corporation rents property from a shareholder and the rent is unreasonably higher than the shareholder would charge an unrelated party for the use of the property, the excessive part of the rent may be treated as a distribution.
- **Cancellation of a shareholder's debt:** If a corporation cancels a shareholder's debt without repayment by the shareholder, the amount canceled will typically be treated as a distribution to the shareholder.
- **Property transfers for less than FMV:** If a corporation transfers or sells property to a shareholder for less than its FMV, the excess may be treated as a distribution.
- **Below-market or interest-free loans:** If a corporation gives a loan to a shareholder on an interest-free basis or at a rate below the applicable federal rate, the uncharged interest may be treated as a distribution.

A transaction improperly recorded by the corporation as a business expense may also be recategorized under audit as a constructive distribution. This would make the transaction nondeductible to the corporation and, in many instances, also taxable to the shareholder. Consequently, constructive distributions have a very undesirable income tax impact and should always be avoided.

Example

Unreasonable Compensation: Dennis is the sole shareholder and owner of Powerpack Packaging, Inc., a C Corporation. Dennis hires his daughter, Melanie, who is 17 years old, to work as the shop's receptionist. Melanie works about 10 hours a week after school. Dennis pays his teenage daughter, Melanie, \$500,000 as an annual salary. Later, the IRS audits the shop and determines that Dennis paid an unreasonably high salary to his daughter, considering the services actually

performed. The excess salary is recharacterized as a constructive distribution to Dennis, making it nondeductible to Powerpack Packaging, but still taxable to the recipient.

Example

Excessive Rent Charged: Silvio is a vice president and 40% shareholder in Pipefitter Corporation, a business that manufactures plumbing equipment. Silvio owns a commercial office building that he rents out to various businesses. The market rate for renting a 500-square-foot suite in this building is normally \$5,000 per month. Pipefitter Corporation begins to rent space in this commercial property from Silvio, but the corporation pays Silvio \$25,000 a month for its space. The excessive rent of \$240,000 for the year ($\$25,000 - \$5,000 = \$20,000 \times 12 \text{ months}$) would likely be recharacterized as a constructive distribution. If the corporation were to be audited by the IRS, the excessive rent would no longer be deductible by the corporation as a business expense but would still be fully taxable to Silvio as a dividend.

Example

Unreasonably Low Rent: Endzone Realty, Inc. owns a large tract of farmland that the corporation usually rents out. Endzone Realty usually charges \$4,000 a month. Bradley is a 25% shareholder in Endzone Realty. Bradley rents the corporation's farmland for his horses, but Endzone Realty charges Bradley only \$1,000 per month. The "discounted" portion of the rent, which is \$3,000 per month ($\$4,000 - \$1,000$), could be treated as a constructive dividend to Bradley.

Stock Redemptions

A stock redemption occurs when a corporation buys back its own stock from a shareholder in exchange for cash or property. The stock acquired may then be canceled, retired, or held as Treasury stock. Common reasons why a corporation would redeem a shareholder's stock include:

- To ensure ownership remains with chosen individuals, selected by current or original owners.
- To go private by redeeming all publicly traded shares.
- To increase stock price by reducing outstanding shares.
- To eliminate hostile minority shareholders.
- To retire preferred stock to reduce or eliminate the dividend payments.
- To avert a hostile takeover attempt.

If a corporation buys back shares of its own stock from its shareholders, the transaction will either be treated as:

- A sale or exchange that results in a capital gain (or loss) for the shareholder; or
- As a dividend, depending on the facts of the transaction.

Stock redemptions are generally treated as dividends unless certain conditions are met. Non-dividend treatment includes situations where:

- The shareholder's proportionate interest and voting power in the corporation has been substantially reduced.
- There was a substantially disproportionate redemption of stock, meaning that the amount received by the shareholder is not in proportion to their stock ownership.
- The redemption was due to a complete termination of a shareholder's interest in the corporation.
- The redemption is of stock held by a non-corporate shareholder and was part of a partial liquidation.
- The distribution is received by an estate and does not exceed the sum of death taxes plus funeral and administration expenses to be paid by the estate.

If the corporation pays cash to redeem stock, there is no taxable effect to the corporation. However, if the corporation distributes property for a redemption (instead of cash), then it might have to recognize a gain (but not a loss), as if the property were sold for the fair market value to the stockholder. Corporate expenditures incurred in a stock redemption are not deductible by the corporation as a business expense.

If a corporation distributes property in a stock redemption, the corporation must recognize income on the distribution of depreciated property to the extent of depreciation or the amount realized (whichever is less). The corporation may not recognize a loss on a stock redemption unless the redemption occurs in a complete liquidation of the corporation.

Qualified Stock Redemptions

In general, a “qualified” stock redemption must result in a substantial reduction in the shareholder's ownership. For example, when a shareholder retires or leaves the company permanently, and the other shareholders choose to “buy out” the retiring shareholder's interest.

Note

If a corporation buys back shares of its own stock from all of its shareholders proportionately, the transaction will normally be treated as a dividend distribution, not a sale or exchange that results in a capital gain (or loss) for the shareholder. This is because a proportionate redemption does not change anyone's relative ownership percentage in the corporation.

A stock redemption by a C Corporation will generally not increase the basis of the stock owned by the remaining shareholders. In other words, a stock redemption generates no stock basis step-up for the other remaining owners. Instead, the corporation's E&P (earnings and profits) is reduced in a qualified stock redemption by the ratable share of E&P attributable to the stock redeemed.

By reducing the corporation's earnings and profits, this will also reduce the amount of income that would ultimately be taxable to the remaining shareholders.

Example

Micro Devices, Inc. has four unrelated shareholders: Cullen, Sandy, Randall, and Jennifer. Randall, a 20% percent shareholder, has a serious disagreement with the other owners of Micro Devices,

and quits his job at the company. Randall's 20% stock interest has a fair market value of \$400,000. Randall threatens to sell his company stock to an unrelated party. To avoid this scenario, Micro Devices, Inc. redeems all of Randall's stock on his departure for \$400,000. For Randall, the stock redemption is treated as a sale, and he will either have a capital gain or loss, just as if he had sold his stock on the open market. The three remaining shareholders, Cullen, Sandy, and Jennifer, now own all the outstanding stock. Their individual stock basis would remain the same, although the percentage of the stock ownership of the remaining shareholders would increase. Micro Devices, Inc. would reduce its earnings and profits.

If a stock redemption is not a "qualified" stock redemption, it will be treated as a dividend distribution and not a sale. The following is an example of a stock redemption that would be treated as a distribution and not a sale.

Example

Darwin is the sole shareholder of Analog Technologies, Inc. During the year, Analog Technologies redeems 50 of Darwin's 200 shares for \$100,000 (the fair market value of the 50 shares redeemed). Because Darwin still owns the same percentage of shares in the company (100%) after the redemption, this will be treated as a dividend distribution to him (assuming sufficient earnings and profits of the corporation). In other words, the stock redemption is a taxable dividend to Darwin (it is not treated as a sale of stock), because he is still a 100% owner (with no change in his ownership percentage) of the corporation after the redemption takes place.

Corporate Liquidations and Dissolutions

A corporate liquidation is considered at two levels, the shareholder level, and the corporate level. When a corporation dissolves, it redeems all of its stock in a series of distributions. A complete liquidation takes place when a corporation ceases to be a going concern, and its activities are merely for the purpose of winding up its affairs, paying its debts, and distributing any remaining cash or assets to its shareholders.

"Liquidating distributions" are distributions received by a shareholder during a complete or partial dissolution of a corporation. A corporate dissolution or liquidation must be reported on Form 966, Corporate Dissolution or Liquidation, within 30 days after the resolution or plan is adopted to dissolve the corporation or liquidate any of its stock.

When a corporation distributes property in a complete liquidation, the transaction is treated as if the corporation sold the distributed assets at their fair market value. The corporation generally recognizes gain or loss on the liquidation in an amount equal to the difference between the FMV and the adjusted basis of the assets distributed.

In a corporate liquidation, the shareholders also will generally recognize gain or loss. This is determined by subtracting the fair market value (FMV) of the received assets (whether this is cash, property, or both) from the adjusted basis of the shareholder's surrendered stock.

Example

Prodigy Aviation Inc. is a C Corporation that owns a commercial jet that it uses for its operations. The corporation's adjusted basis in the aircraft is \$875,000, but due to a severe downturn in the market, the fair market value (FMV) of the aircraft has fallen to \$550,000. Prodigy Aviation is having financial difficulties, and its board of directors decide to cease operations and completely liquidate the company. As part of this liquidation, it distributes the aircraft to a 10% shareholder named Riley. In this case, Prodigy Aviation Inc. can recognize a loss on the distribution of the property to Riley. The loss is the difference between the adjusted basis of the property (\$875,000) and its FMV (\$550,000), which is \$325,000. This loss may be recognized because the distribution is part of a complete liquidation of the corporation. Alternatively, instead of distributing the aircraft, Prodigy Aviation may also choose to sell the aircraft for cash, then distribute the proceeds of the sale to its shareholders in a liquidating distribution.

If a corporation's liquidation plan involves multiple distributions over several years, any gains will not be recognized until the FMV of the received assets exceeds the shareholder's total basis in the stock. Similarly, any losses can only be recognized after the final distribution is made.

As noted earlier, a corporation is generally allowed to recognize losses on a distribution of non-cash assets during a liquidation. One exception to being able to recognize loss is for distributions to related parties. For example, an individual shareholder is a related party under Section 267(b) (2) if the shareholder directly or indirectly owns more than 50% in value of outstanding stock of the corporation and receives a distribution of a non-cash asset during a corporate liquidation.

Example

Evergreen Farms, Inc. is a C Corporation that ceases all of its business operations in 2025. The corporation distributes a used tractor to Felix, who is a 60% shareholder. The distribution is part of a complete liquidation. The adjusted basis of the tractor is \$75,000, and its fair market value is only \$40,000 (it has lowered in value). Evergreen Farms cannot recognize a loss on the distribution, because Felix owns more than 50% of the outstanding shares in the corporation and is a related party.

When a corporation dissolves and distributes its assets to shareholders, the amounts received by the shareholders are considered payment in exchange for their stock. The shareholder will typically have either a capital gain or loss, depending on the difference between the fair market value of the assets received and their basis in the stock. The corporation must give each shareholder a Form 1099-DIV reporting the amount of the liquidating distribution.

Note

Remember, when a shareholder receives a series of distributions in a corporate liquidation, any gain is recognized once all of the shareholder's stock basis is recovered. A loss, however, will not be recognized until the final distribution is received.

Example

Babcock Motors, Inc. is dissolving and closing down its business operations. Zhavia is a 10% owner of the corporation and owns 1,000 shares. Her basis in the stock is \$40,000. Babcock Motors, Inc. distributes \$38,000 in two liquidating distributions to Zhavia. She receives \$6,000 on December 5,

2025, and \$32,000 on January 15, 2026 (the following year). The corporation then legally dissolves on January 30, 2026. Zhavia cannot take a loss on the liquidating distribution until the final distribution is received. Zhavia recovered \$6,000 of her basis in 2025 and the remaining balance in 2026. Her loss is \$2,000 (\$38,000 total distributions minus her \$40,000 basis). She may take a \$2,000 capital loss in 2026, because the loss exceeds her basis in the stock. Zhavia should report her capital loss on Schedule D, Form 1040, in 2026 (not in 2025!).

When a dissolving corporation distributes property that is encumbered by a liability, the gain or loss is adjusted to reflect the assumption of the liability.

A corporation must file an income tax return for the year it goes out of business, even if it has no income or business activity in that year. If the dissolution is effective on any day other than the last day of the corporation's tax year, the final tax return is due on the fifteenth day of the fourth month following the close of its short tax year.

Notes & References

1. The IRS expanded the e-filing mandate for information returns for future years; the final regulations adopt the e-filing threshold of 10 for returns required to be filed on or after January 1, 2024.
2. Return of capital refers to the return of some or all of an investor's investment in a company or partnership. Since it represents the recoupment of investment, the return of capital is not considered income, but instead decreases the net value and tax basis of their investment.
3. If property is transferred by a corporation to a shareholder for less than its fair market value in a sale or exchange, such shareholder is treated as having received a distribution. The taxable amount is the excess of the FMV of the property over the amount paid for it at the time of the transfer.
4. In a redemption scenario, it is normally advisable for the corporation to sell the property to an unrelated party, recognize a gain or loss, and then use the cash proceeds for redemption of the shareholder's stock.
5. IRC section 162(k) provides that no deduction is allowed for any amount paid or incurred by a corporation in connection with reacquisition of its own stock. The expenses of issuing or reselling stock are also not deductible.
6. Tax-exempt entities are not required to file Form 966, even if they are organized as corporations.

STUDY UNIT 14

Study Questions

Test yourself, then check the answer key that follows.

-
1. When are stock distributions deductible by a corporation?

- a) Stock distributions are not deductible by the corporation.
- b) Stock distributions are deductible when approved by the corporation's board of directors.
- c) Stock distributions are deductible when distributed to shareholders.
- d) Stock distributions are deductible by a corporation when they are issued.

2. Hashir is a minority shareholder (1% shareholder) in Broadway Films, Inc. with a basis of \$20,000 in his stock. He also has an outstanding \$10,000 loan that he owes to the corporation. Hashir has financial difficulties and defaults on the loan. Broadway Films tries to collect for a few years but finally cancels Hashir's debt in 2025. How should this cancellation of debt be reported?

- a) The debt cancellation is treated as a \$10,000 distribution to Hashir.
- b) The debt cancellation is considered a return of capital to Hashir.
- c) The debt cancellation is a charitable contribution to Hashir.
- d) The debt cancellation is a \$10,000 capital gain to Hashir.

3. Ten years ago, Yamato purchased 100 shares of Rock Star Music, Inc. for \$10 per share. In 2025 Rock Star Music, Inc. completely liquidated and distributed \$20,000 to Yamato in exchange for all of his stock. Yamato must report this distribution as:

- a) \$20,000 of long-term capital gain.
- b) \$19,000 of short-term capital loss.
- c) \$19,000 of long-term capital gain.
- d) \$19,000 of ordinary income.

4. Millerton Software, Inc. is a C corporation that was formed many years ago. At the beginning of 2025, Millerton Software had accumulated earnings and profits of \$100,000. The company makes a \$5,000 distribution to its 100% shareholder on the first day of each quarter (four distributions throughout the year). At the end of the year, Millerton Software had \$150,000 of gross income and \$140,000 of expenses from ordinary business operations. Millerton also received \$5,000 in fully tax-exempt interest from state municipal bonds. What part of the second quarter distribution is treated as a distribution of accumulated earnings and profits?

- a) \$1,250
- b) \$2,500
- c) \$3,750
- d) \$5,000

5. Abdullah is a 20% shareholder of Langley Corporation. The corporation distributes \$75,000 of cash and a delivery truck to Abdullah. The truck has a \$40,000 adjusted basis and a \$60,000 FMV. What gain or loss, if any, must Langley Corporation recognize on this distribution?

- a) \$0 gain or loss.
- b) \$20,000 gain.
- c) \$40,000 gain.
- d) \$20,000 loss.

6. Equitable Holdings, Inc. is a C corporation. The business is having financial trouble and formally dissolves on February 10. When is Equitable Holding's final return normally due (Form 1120)?

- a) April 15.
- b) June 15.
- c) June 30.
- d) September 15.

7. What are the accumulated earnings and profits (E&P) of a C Corporation?

- a) Profits the corporation accumulated in prior years but have not distributed to its shareholders.
- b) The total amount of profits a corporation has earned in the current year.
- c) Previously distributed profits from the prior year that the corporation had accumulated.
- d) Profits the corporation earned in a prior year and paid to its employees as wages.

8. Midwestern Grain, Inc. distributes an industrial compressor with an adjusted basis of \$1,000 and a fair market value of \$4,000 subject to a liability of \$6,000 to Benjamin, a 5% shareholder. Benjamin personally assumes the \$6,000 loan. What is the gain or loss, if any, Midwestern Grain must recognize as a result of the distribution?

- a) No gain or loss.
- b) \$1,000 loss.
- c) \$3,000 gain.
- d) \$5,000 gain.

9. Distributions of stock rights or stock options are generally tax-free to shareholders. Which scenario would cause a distribution of stock rights to be taxable to a shareholder?

- a) If a shareholder has a choice to receive cash instead of stock rights.
- b) If the person receiving the stock rights is an employee of the company.
- c) If the stock rights are in a domestic C corporation.
- d) If the corporation shows a loss for the year.

10. Cambrian Insurance, Inc. is a C corporation that is planning to permanently shut down its operations. Which form must be filed with the IRS within 30 days after the corporation adopts a plan to dissolve?

- a) Form 1120
- b) Form 7006
- c) Form 990
- d) Form 966

11. Six years ago, Sabine purchased 100 shares of Vitality Vitamins, Inc. stock for \$50 per share. In 2025, the corporation ceased operations and liquidated. After paying its outstanding liabilities, Vitality Vitamins distributed \$10,000 of cash and appreciated property worth \$90,000 to its shareholders. Sabine's portion of the distributed assets and cash was \$12,000. What amount of taxable income must she report from this liquidating distribution?

- a) \$3,000 short-term gain.
- b) \$3,000 long-term capital gain.
- c) \$7,000 long-term capital gain.
- d) \$10,000 short-term capital gain.

12. Rhineland Accountancy, Inc. displays a collection of fine artwork in its corporate offices. When Kareem, a 15% shareholder, retires, he is presented with his choice from the art collection. Kareem selects a painting with a fair market value of \$250,000. Rhineland Accountancy's basis in the painting is \$100,000, which is the price that the corporation paid for the painting over ten years ago. How should the transaction be reported on the Rhineland Accountancy's tax return?

- a) \$150,000 loss.
- b) \$150,000 distribution.
- c) \$150,000 taxable gain.
- d) \$250,000 taxable gain.

13. Masami owns 800 shares of Techbomb Software, Inc. Masami purchased the shares five years ago, and her basis in the stock is \$20,000. Techbomb Software completely liquidates on November 30, 2025, and distributes \$56,000 in two liquidating payments to Masami. She received \$16,000 on December 30, 2025, and \$40,000 on January 27, 2026. How much gain or loss does Masami recognize in 2025 and 2026?

- a) \$4,000 loss in 2025 and a \$40,000 gain in 2026.
- b) \$4,000 loss in 2025 and a \$44,000 gain in 2026.
- c) No gain or loss in 2025 and a \$40,000 gain in 2026.
- d) No gain or loss in 2025 and a \$36,000 gain in 2026.

14. All of the examples below are considered corporate distributions except:

- a) Ordinary dividends to a shareholder.
- b) Non-dividend distributions to a shareholder.
- c) Constructive distributions to an employee-shareholder.
- d) Wage compensation to an employee-shareholder.

15. Barlow Corporation has four equal shareholders. The corporation makes a \$5,000 cash distribution of current-year earnings and profits to each shareholder at the end of the year. How is this reported?

- a) It is reported as self-employment income to the shareholder.
- b) It is reported as dividend income to the shareholder and is taxable as ordinary income.
- c) It is reported as short-term capital gains to the shareholder.
- d) It is reported as a business expense to the corporation, but not taxable to the shareholder.

16. When using taxable income as a starting point, which of the following transactions increases the amount of a C corporation's earnings and profits?

- a) Excess of capital losses over capital gains.
- b) Dividends-received deduction.
- c) Life insurance premiums on a corporate officer.
- d) Excess charitable contributions.

STUDY UNIT 14

Answer Key & Explanations

1. The answer is A.

Generally, distributions of stock and stock rights are not taxable to shareholders and not deductible by the corporation.

2. The answer is A.

The debt cancellation is treated as a taxable distribution to Hashir, which means Hashir must pay tax on the amount, but the corporation cannot deduct the amount as a business expense. If a corporation cancels a shareholder's debt without repayment by the shareholder, the amount canceled is treated as a taxable distribution to the shareholder.

3. The answer is C.

Yamato has a \$19,000 long-term capital gain. His basis in the stock was \$1,000 (100 shares $\times$ \$10), so his gain is (\$20,000 distribution – \$1,000 basis). Gain or loss recognized by shareholders on distributions in a corporate liquidation is generally the difference between the cash and property received and the basis of the stock surrendered. The gain is long-term because the shares were held over one year.

4. The answer is A.

Distributions from a C corporation are deducted first from current E&P, then from accumulated E&P. Millerton's total distributions (\$5,000 $\times$ 4 = \$20,000) exceeded its current-year E&P of \$15,000 (\$150,000 gross income – \$140,000 expenses + \$5,000 interest). Each distribution is treated as paid partially from current-year E&P in the ratio of current E&P to total distributions: $([\$15,000 \div \$20,000] \times \$5,000) = \$3,750$ from current E&P. The remainder of each distribution (\$5,000 – \$3,750 = \$1,250) is treated as paid from accumulated E&P.

5. The answer is B.

Langley Corporation recognizes a gain on the distribution of property because the FMV exceeds the adjusted basis (\$60,000 FMV – \$40,000 adjusted basis = \$20,000 gain). This is the same treatment that would apply if the property were sold for its FMV.

6. The answer is B.

A corporation must file an income tax return for the year it goes out of business, even with no income or activity. This is a “short year” return. For Equitable Holdings, the due date is June 15 (the 15th day of the fourth month after the month of dissolution).

7. The answer is A.

Accumulated earnings and profits (E&P) are the total profits a corporation has made in prior years but has not distributed to its shareholders as a dividend distribution.

8. The answer is D.

This distribution is treated as if the corporation sold the property to the shareholder. The corporation recognizes gain if the FMV exceeds the adjusted basis. The FMV is the greater of the property's actual FMV or the liability the shareholder assumes. Here the FMV is the \$6,000 liability assumed by Benjamin, so Midwestern Grain recognizes a \$5,000 gain (\$6,000 – \$1,000 adjusted basis).

9. The answer is A.

If the shareholder has an option to receive cash instead of stock options or stock rights, the distribution of the stock options or stock rights becomes taxable.

10. The answer is D.

Cambrian Insurance, Inc. must file Form 966, Corporate Dissolution or Liquidation, within 30 days after the resolution or plan is adopted to dissolve the corporation.

11. The answer is C.

Sabine's cost basis is \$5,000 ($\50×100 shares). The excess of her portion of the distribution over her basis ($\$12,000 - \$5,000$) results in a \$7,000 long-term capital gain, reported on Schedule D of her Form 1040.

12. The answer is C.

Rhineland Accountancy must recognize a gain for appreciated property distributed with an FMV higher than its adjusted basis — the same treatment as if it were sold for FMV. $\text{FMV } \$250,000 - \text{adjusted basis } \$100,000 = \$150,000$ recognized gain. The \$250,000 FMV is also reported as a taxable distribution to the shareholder and becomes Kareem's basis in the painting.

13. The answer is D.

The liquidating distribution is not taxable until the shareholder's stock basis (\$20,000) is recovered. Masami recovered \$16,000 of basis in 2025 and the remaining \$4,000 in 2026. Her recognized gain is \$36,000 (\$56,000 total distributions – \$20,000 basis). She recognizes no gain or loss in 2025 and \$36,000 of capital gain in 2026, when the distributions exceeded her basis.

14. The answer is D.

Salaries or wages paid to an employee-shareholder are not a distribution. Wages are a business expense (like any employee's), deductible by the corporation and taxable to the employee-shareholder.

15. The answer is B.

A distribution from current-year earnings and profits is reported as dividend income to the shareholder and is generally taxable as ordinary income. Dividend distributions are not deductible by the corporation.

16. The answer is B.

The starting point for corporate E&P is taxable income. The dividends-received deduction increases E&P. (Other increases include completed-contract long-term contracts, currently deducted intangible drilling and mine exploration/development costs, interest income on state and local bonds, nontaxable life insurance proceeds, federal income tax refunds, and deferred gain on installment sales.)

STUDY UNIT 15

S Corporations

Filing deadlines, basis, pass-through taxation, and termination of the S election

Filing Deadlines and Estimated Taxes

Example

Cybernet, Inc. is an S corporation with three individual shareholders who own equal shares of the company. The corporation uses a calendar year for reporting income and losses, with its usual deadline falling on March 15. However, due to unfinished bookkeeping tasks, the owners choose

to request a six-month extension using Form 7004. This grants Cybernet, Inc. until September 15 to file its corporate tax return, Form 1120-S.

A corporation that has dissolved must generally file by the fifteenth day of the third month after the date it dissolved. Shareholders of an S corporation are potentially required to pay estimated taxes in connection with their own returns for their share of income derived from the S corporation.

Example

Murky Future, Inc. an S corporation, is having financial difficulties and decides to dissolve on August 30th. Since the corporation is dissolving mid-year, it must file a short-year tax return. An S corporation must file its final tax return by the fifteenth day of the third month after the dissolution date. In this case, the deadline is November 15th. Murky Future, Inc. prepares its final tax return for the period from January 1st to August 30 (the official date of dissolution). The corporation reports all income, deductions, and credits for this short tax year. The corporation can also request an extension of time to file for this short tax year by filing Form 7004, Application for Automatic Extension of Time To File Certain Business Income Tax, Information, and Other Returns.

In some rare situations, S corporations are required to pay corporate-level tax (covered later in this chapter). If an S corporation does owe taxes for the year, the rules for payments and estimated taxes are the same as for C corporations. The S corporation is required to pay estimated taxes if the amounts owed are \$500 or more for the year.

Required Tax Year

Unlike a C corporation, an S corporation must have IRS permission to use a fiscal year. In general, S corporations must operate on a calendar year. An S corporation must use one of the following accounting periods:

- **A calendar year (January 1 – December 31).** This is the default tax year for S corporations.
- **A natural business year:** A “natural business year” is a 12-month fiscal year ending at a low point of an entity's activities. For example, farms and other agricultural businesses often have a natural business year that aligns with the growing season. A farm might request to have a fiscal year that ends after the harvest in the fall.
- **An “ownership” tax year:** The tax year that coincides with greater than 50% ownership of the corporation. Since most of the time, the shareholders of an S corporation are individual persons (rather than entities), then the S corporation must generally follow the calendar year.
- A fiscal year elected and approved by the IRS under section 444 (very rare).
- A 52-53 week year that ends with reference to any year listed above.

An S corporation may always use a calendar year, or any other tax year for which it establishes a bona fide business purpose. A new S corporation must use Form 2553, Election by a Small Business Corporation, to elect a tax year.

An existing S corporation that wishes to change its existing tax year will use Form 1128, Application to Adopt, Change, or Retain a Tax Year. However, Form 8716, Election to Have a Tax Year Other Than a Required Tax Year, is used if the corporation wants to apply for a tax year under section 444.

S Corporation Basis

To compute basis in the stock of an S corporation, a shareholder starts, just as for a C corporation, with his initial capital contribution or the initial cost of the stock purchased. However, his basis may vary based on how the stock was acquired (by purchase, gift, or inheritance). In general, a shareholder's basis in S corporation stock is determined as follows:

How Acquired	How Stock Basis Is Determined
Stock purchase	If the S corporation shares were purchased outright, the initial basis is the cost of the shares.
S corporation (formation)	If the shares were received when the S corporation was formed under IRC §351, the basis in the stock is equal to cash invested and/or the basis of property transferred to the corporation, increased by any gain recognized on the transfer, and decreased by any boot received from the corporation (IRC §358).
Prior C corporation	The initial basis in S corporation stock is the basis in the C corporation stock at the time of conversion.
Gift	The recipient's basis in shares received by gift is generally the donor's basis (IRC §1015). Suspended passive activity losses can increase the basis of a gift (IRC §469).
Inheritance	The basis of inherited stock is its fair market value at the date of the former holder's death or, if elected, the alternate valuation date (IRC §1014).
Services rendered	Basis in stock received in exchange for services is measured by the stock's fair market value, rather than by the value of the services (Treas. Reg. §1.61-2).

Both the taxability of a distribution and the deductibility of a loss are dependent on a shareholder's stock basis, and normally basis is adjusted annually, on the last day of the S corporation year, in the following order:

- Increased for income items and excess depletion.

- Decreased for distributions.
- Decreased for nondeductible, noncapital expenses.
- Decreased for items of loss and deductions.

Note

An S corporation shareholder who receives a deduction for his share of an aggregate S corporation loss, receives a distribution, disposes of S corporation stock, or receives a loan repayment from an S corporation must file Form 7203, S Corporation Shareholder Stock and Debt Basis Limitations. The IRS recommends all shareholders use Form 7203 each year to track their stock basis, regardless of if it is required to be filed.

S corporation shareholders must pay taxes on their share of the corporation's current year income, regardless of whether the amounts are distributed. The shareholder's Schedule K-1 reflects the income, loss, and deductions that are allocated to him, but does not state the taxable amount of a distribution. The taxable amount of each distribution is contingent upon a shareholder's stock basis, and it is the shareholder's responsibility to track their individual basis.

Distributions from an S corporation must be paid to all shareholders on the same date as pro-rata distributions based on the shareholders' individual ownership percentages.

S corporation distributions are generally not treated as dividends and not subject to income tax, except in cases where a corporation has accumulated E&P from years before it elected to become an S corporation. Distributions from an S corporation with no accumulated earnings and profits are considered a return of capital and reduce the shareholder's basis in the stock of the corporation. Distributions that exceed the shareholder's adjusted stock basis are treated as capital gains and must be reported by the shareholder on Schedule D.

Example

Domenica is the sole shareholder of Bombardier Clothing, Inc., an S corporation. Her basis as of December 31, 2025 (prior to any distributions), is \$25,000. She receives a distribution of \$28,000 in cash on December 31, 2025, which reduces her shareholder basis to zero. She must report the excess \$3,000 distribution as a capital gain.

The amount of an S corporation distribution is equal to the sum of cash and the fair market value of the property received by a shareholder. An S corporation can distribute property (as well as cash) to its shareholders. However, if an S corporation distributes appreciated property, the distribution is treated as a sale to the S corporation (just like with a C corporation).

To the extent the FMV of the property exceeds the corporation's adjusted basis, the corporation would recognize gain. The gain passes through to the shareholders and increases the basis of their stock. No loss is recognized if the FMV of the distributed property is less than the corporation's basis. S corporation shareholders are required to compute both stock basis and debt basis. A shareholder's basis in S corporation stock can never be reduced below zero. The shareholder's allowable deduction for losses is first limited to their stock and debt basis (before applying any at-risk limits), and is allocated in the following order:

- Contributions of cash or property with adjusted basis made by the shareholder to the S corporation (adjusted stock basis), subject to annual adjustments as described above.
- The shareholder's loans made directly to the corporation (debt basis).

Note

Sometimes, shareholders will loan money to their S corporation. Unlike rules for partners and partnerships, a third party loan to an S corporation will not increase a shareholder's stock basis. In order for a shareholder to have debt basis with respect to their S corporation stock, there must be a direct loan from a shareholder of the S corporation to the corporation. Even in these situations only the shareholder making the loan to the corporation will receive basis in the corporation. None of the other shareholders will increase their basis in their stock.

Example

Marisol is the sole shareholder of Frisco Bookkeeping, Inc., a newly-formed S corporation. The business is just beginning operations and needs cash flows to purchase computer equipment and rent office space. Marisol has money saved up, so rather than have the corporation borrow money from a bank, she makes a \$15,000 shareholder loan to Frisco Bookkeeping. Marisol has a formal loan note prepared with a stated interest rate. She is the creditor and the loan is a bona fide loan. Marisol's \$15,000 loan to Frisco Bookkeeping creates "debt basis" in her S corporation stock.

If a shareholder has S corporation losses and deductions in excess of their adjusted stock basis and those losses and deductions are claimed based on debt basis, the debt basis of the shareholder will be reduced by the claimed losses and deductions. If an S corporation repays reduced basis debt to the shareholder, part or all of the repayment is taxable to the shareholder.

To calculate a debt basis, you take the original amount the stockholder loaned to the corporation and increase their basis for that loan, plus any additional loans the shareholder provided. The following additional rules apply:

- Losses not allowable in the current year due to basis limitations are suspended. However, if nondeductible expenses exceed the basis, then they do not get carried forward.
- Suspended losses and deductions retain their character in subsequent years. They are carried forward indefinitely until basis is increased in subsequent years or until the shareholder permanently disposes of the stock.
- If the current year has different types of losses and deductions that exceed the shareholder's basis, the allowable losses and deductions must be allocated pro-rata based on the size of the particular loss and deduction items.
- In determining current year allowable losses, current year loss and deduction items are combined with the suspended losses and deductions carried over from the prior year, though the current year and suspended items should be separately stated.
- A shareholder only has debt basis to the extent they have personally lent money to the S corporation. A loan guarantee does not create debt basis.

- Part or all of the repayment of a reduced basis debt is taxable to the shareholder.

Example

Jacob and Dylan are equal shareholders in the newly formed S corporation, Horizon Innovations Inc. Jacob and Dylan each initially invested \$50,000 in the corporation, but Jacob also loaned the corporation an additional \$30,000 in cash from his own personal savings. Dylan loaned the corporation \$75,000 from his own personal savings. The corporation has a loss of (\$180,000) for the year, of which 50%, or (\$90,000) is allocatable to Jacob. Here, Jacob can only deduct losses up to the amount of his combined stock and debt basis. In this case, his total stock and debt basis in the corporation is \$80,000 (\$50,000 stock basis + \$30,000 debt basis). Therefore, he can only deduct \$80,000 of the \$90,000 loss on his personal income tax return. The remaining \$10,000 loss is carried over to the next year. Dylan, on the other hand, who also invested \$50,000 in the corporation, but also loaned the corporation \$75,000 in cash, has a total combined stock and debt basis of \$125,000, which means he can deduct his entire share of the loss (\$90,000) on his individual tax return. The real limitation is their basis — both stock and debt basis.

If a shareholder sells their stock, suspended losses are lost. The sales price does not have an impact on the stock basis. A stock basis computation should be reviewed in the year stock is sold or disposed of. If an S corporation engages in a rental activity or has a shareholder who does not materially participate in S corporation activities, the passive activity loss rules apply to the individual shareholders, at the shareholder level. The “at-risk rules” apply to S corporation shareholders that are individuals, estates, and trusts.

Cancellation of debt income is handled differently for corporations compared to partnerships. In contrast to the treatment applicable for a partnership, cancellation of debt income is applied at the entity level for corporations, including S corporations. This means that in cases of insolvency or bankruptcy, the determination is made at the S corporation level, rather than at the shareholder level.

If an S corporation receives a Form 1099-C, Cancellation of Debt, for canceled debt, the income inclusion or exclusion is applied at the corporate level. The corporation would then report any tax attribute reductions by filing a Form 982, Reduction of Tax Attributes Due to Discharge of Indebtedness, with the corporate tax return.

S Corporation Income and Expenses

Similar to a partnership, all the income of an S corporation must be allocated to the shareholders, even if the income is not actually distributed. Income, gains, losses, deductions, and credits are allocated to each shareholder on a pro-rata basis, according to the number of shares of stock held by the shareholder on each day of the corporation's tax year and retain their character when they are passed through.

The shareholder then reports the items on their tax return. Some of the items that pass through to shareholders on a pro-rata basis and retain their character must be separately stated on an S corporation's tax return. These include:

- Net income or loss from rental real estate activity (rental income).
- Portfolio income or loss (interest income, dividend income, and royalty income, etc.).
- Capital gains or losses.
- Section 1231 gain or loss.
- Charitable contributions.
- Section 179 expense deduction.
- Foreign taxes paid or accrued.
- Any business credits.
- Investment interest expense.
- Tax preference and adjustment items needed to figure a shareholder's AMT.
- Nonbusiness bad debts.

Unlike a C corporation, an S corporation is not eligible for a dividends-received deduction.

Example

Imperial Toys, Inc. is an S corporation with a single shareholder named Noah. In the current year, Imperial Toys has \$100,000 of gross receipts; \$40,000 wage expense to Noah, its shareholder; \$15,000 of charitable contributions; \$10,000 of rental losses; and \$8,000 of capital gains. The corporation's ordinary business income is \$60,000 (\$100,000 gross receipts – \$40,000 wages). The other items are all separately stated on Form 1120-S and are not used to determine the corporation's ordinary income or loss.

Limited Taxation of S Corporations

S corporations generally are not subject to taxation at the corporate level, since they are primarily pass-through entities. However, in some instances, S corporations can be subject to taxes. A subchapter S corporation may have to pay corporate-level income tax due to:

- 1) Excess net passive investment income.
- 2) Built-in gains.
- 3) Investment credit recapture.
- 4) LIFO recapture.

Note

Except for the investment credit recapture provision, these taxes normally only apply to corporations which were once C corporations and then converted to S corporations later. If the corporation has always been an S corporation since its inception, these taxes generally will not apply.

None of these taxes are deductible as business expenses by the S corporation (except for the portion of any built-in gains tax allocable to ordinary income). An S corporation may also be responsible for other taxes, such as:

- Payroll taxes (if it has employees).
- Excise taxes (including excise taxes on diesel fuel and gasoline, highway usage, indoor tanning, and wagering activities).
- Franchise taxes payable to state and local governments.
- Penalties, such as late filing penalties.

Example

Bronze Beauty, Inc. is a tanning salon that operates as an S corporation with two equal shareholders, Donna and Marjorie, who are both full-time employees of the business. While the corporation does not pay income tax, it is responsible for paying payroll taxes on the wages of its employees. As a provider of indoor tanning services, Bronze Beauty is also subject to a 10% federal excise tax on the tanning services it provides to the public. This excise tax must be paid on a quarterly basis by filing Form 720, Quarterly Federal Excise Tax Return. The form is filed separately from other tax returns, and the full amount of the excise tax must be remitted with each filing.

Excess Net Passive Income Tax

An S corporation that had been a C corporation previously and had accumulated E&P during that period may have to pay tax at the corporate level on excess net passive income (ENPI) if its passive investment income exceeds 25% of its gross receipts. The purpose of this requirement is to discourage a corporation with accumulated earnings and profits (E&P) from functioning as a holding company and gaining favorable tax treatment as an S corporation.

For this purpose, passive investment income includes interest, dividends, rents, and royalties. If income is generated in the ordinary course of business, it is non-passive, or active, income. The tax rate on excess net passive income is 21% (the highest corporate rate) and is applied against the lesser of:

- Excess net passive income (ENPI), or
- Taxable income figured as though the corporation were a C corporation.

If the corporation has accumulated E&P at the end of the tax year and has ENPI (excess net passive income) in excess of 25% of its gross receipts for three consecutive taxable years, the S election is terminated as of the beginning of the fourth year.

Example

Weatherford Corporation, Inc. was a C Corporation in 2021 and five previous years before that. The company converted to an S corporation in 2022. The corporation has \$300,000 of accumulated E&P when it made the conversion, and the amounts were never distributed to the company's shareholders. For 2022, 2023, and 2024, Weatherford Corporation, a calendar-year S corporation, earned passive investment income in excess of 25% of its gross receipts. Since Weatherford Corporation still has accumulated E&P from earlier years in which it was a C corporation, its S-election would be terminated as of January 1, 2025, and the corporation would be taxed as a C corporation as of January 1, 2025 (the beginning of the fourth year that it has ENPI in excess of 25% of its gross receipts). A practical solution would be for Weatherford Corporation to issue a dividend and distribute all of the accumulated E&P to the shareholders before that date (if it could not reduce its passive income below the 25% threshold prior to 2025). If the corporation does not do this, it is a terminating event, and the corporation will revert back to a C corporation.

The S corporation can avoid the danger of a terminating event by making distributions of all of the accumulated E&P to its shareholders. This reduces the E&P balance to zero. These distributions are typically treated as dividends to the shareholders and are taxed at their individual tax rates.

Example

Halifax Shoes, Inc. has five equal shareholders and has been operating as a C Corporation for the last ten years. On January 1, 2025, Halifax Shoes converts to an S corporation. The company has accumulated E&P of \$50,000 on the date of its conversion. Halifax Shoes quickly distributes the entire \$50,000 of accumulated E&P to its shareholders, effectively “paying out” all of its accumulated earnings. Each shareholder receives \$10,000 ($\$50,000 \div 5$ shareholders). The \$10,000 is taxable as a dividend to each shareholder, requiring Halifax Shoes to issue a Form 1099-DIV to each shareholder. The dividend is not deductible by the corporation, and the shareholders would report the taxable dividends on their individual returns. Since Halifax Shoes has distributed all of its accumulated E&P, the company will not be subject to the excess net passive income tax, regardless of how much passive income it earns in the future.

Example

Springboro Auto Parts, Inc. is an S corporation that was a C Corporation in the prior year. It has \$100,000 in accumulated E&P from earlier years when it was a C corporation. In 2025, Springboro Auto has gross receipts of \$80,000, comprised as follows: rental income from an office building that it owns, \$25,000; interest income, \$10,000; and additional gross receipts from business operations, \$45,000.

Springboro Auto's passive investment income for the year is \$35,000, or 44% of its gross receipts. As this exceeds the 25% threshold, Springboro Auto may be subject to the 21% excess net passive income tax on the lesser of its excess net passive income or its taxable income (calculated as if it were a C corporation). Springboro Auto should rectify this problem by issuing a taxable dividend to its shareholders, distributing all of its prior accumulated E&P to the shareholders before the end of the year.

Built-in Gains (BIG) Tax

When a C corporation elects to be taxed as an S corporation and has appreciated assets at that time, the appreciated gain in those assets can be taxed to the S corporation. These “unrealized” gains are called built-in gains. When these assets are later sold, the S corporation is forced to pay tax on the gains at the corporate tax rate of 21%.

This is why this tax is also referred to as the “BIG Tax.” However, if the S corporation holds the assets long enough after the corporation has elected S-status, then the built-in gains tax does not apply. Instead, the gains would pass through to the shareholder and be taxed at the shareholder's normal capital gains rate. The built-in gains (BIG) tax only applies to the following S corporations:

- An S corporation that was a C corporation before it elected to be an S corporation.
- An S corporation that acquired an asset with a basis determined by reference to its basis (or the basis of any other property) in the hands of a C corporation (a transferred-basis acquisition).

The S corporation pays tax on the recognized built-in gain at the highest corporate rate. The tax is reported on Form 1120-S and reduces the amount of the gain that passes through to the shareholders. The built-in gains tax applies only to property dispositions during the five-year period beginning:

- On the first day of the first tax year in which the corporation is an S corporation, for an asset held when the S corporation was a C corporation, or
- On the date the asset was acquired by the S corporation, for an asset with a basis determined by reference to its basis in the hands of a C corporation.

Example

Delray Holdings, Inc. is a calendar-year C Corporation and has been for the last five years. Effective January 1, 2025, Delray Holdings elects S-Corporation status. In the same year, on December 15, 2025, the corporation sells a plot of land that it had held as an investment for three years. The land had appreciated in value, and on the date of the S Corporation conversion, the basis of the land was \$6,000, and the fair market value was \$16,000. Delray Holdings recognizes a \$10,000 long-term capital gain on the sale of the land. The entire capital gain is subject to tax, so there will be a \$2,100 built-in gains tax ($\$10,000 \text{ gain} \times 21\% \text{ BIG tax}$). If Delray Holdings had waited at least five years to sell the land, then there would not have been any built-in gains tax applied to the sale.

Investment Credit Recapture

Business credit recapture is generally the responsibility of the entity that claims the credit. If a company is an S corporation when the credit originates, the credit passes through to the shareholders and they must report any subsequent recapture on Form 4255, Certain Credit Recapture, Excessive Payments, and Penalties. However, if a C corporation claims the general business credit and then converts to S status at a later date, the S corporation itself may be responsible for the recapture.

An example of when this might occur is if a company disposes of an asset that the company received an investment tax credit for, and then the corporation may have to forfeit part of the

investment credit that it received in an earlier year. The Investment Credit is subject to recapture if the applicable property is disposed of within five years after the property is placed in service.

Example

Regal Building Renewal, Inc. was a C corporation in the prior year, when the company earned a \$100,000 rehabilitation credit by restoring a certified historic building. Regal Building Renewal properly applied \$60,000 of the rehabilitation credit to offset income tax on its Form 1120 and carried forward a credit of \$40,000 to 2025, in order to potentially offset corporate income tax in 2025, and if needed, in future applicable years for the carryover. On January 2, 2026, Regal Building Renewal sold the historic structure for a significant profit, triggering a credit recapture. Two months later, on March 2, 2026, Regal Building Renewal elects to become an S corporation (which is retroactively effective to January 1, 2026). The company must file Form 4255, Recapture of Investment Credit, to compute the recapture of the credit that it earned when it was a C corporation. This tax will be imposed on the S corporation itself.

LIFO Recapture Tax

A corporation that accounts for inventory using the last in, first out (LIFO) method is subject to a LIFO recapture tax in its final year as a C corporation after making an S corporation election.

This tax is intended to address built-in gains in inventory that might not otherwise be recognized. The taxable LIFO recapture amount is the amount by which the amount of inventory assets calculated under the first in, first out (FIFO) method exceeds the amount under the LIFO method. If the LIFO value is higher than the FIFO value, no negative adjustment is allowed. Inventory assets include stock in trade of the corporation, or other property of a kind that would properly be included in the inventory of the corporation if on hand at the close of the taxable year. The LIFO recapture tax is paid in four equal installments, beginning on the due date of the final C corporation return. The three subsequent installments are payable on the due dates of the first three S corporation returns.

The Accumulated Adjustments Account (AAA)

If an existing C corporation elects to become an S corporation, it has an accumulated adjustments account (AAA). The AAA is a corporate account that does not relate to individual shareholders. The S corporation maintains the account to track undistributed income that has been taxed during the period its S-election is in effect.

S corporations with accumulated E&P must maintain the AAA to determine the tax effect of distributions during S years and, if applicable, during the period after termination of an S election. It is not mandatory to track AAA if the S corporation does not have prior year C corporation E&P. Nevertheless, if an S corporation without accumulated E&P engages in certain transactions where an AAA account is required, such as a merger into an S corporation with accumulated E&P, the S corporation must be able to calculate its AAA at the time of the merger. Therefore, it is recommended that the AAA be maintained by all S corporations.

The AAA may have a negative balance at year's end. The ordering rules for distributions from an S corporation with accumulated E&P are as follows:

- First, from the AAA, tax-free to the shareholders and a reduction of each shareholder's basis.
- Second, from E&P, and taxable as dividends.
- Third, if applicable, from the corporation's Other Adjustments Account (OAA), which includes accumulated tax-exempt income that has not been distributed previously and reduces basis in the stock.
- Additional distributions are considered a reduction in return of shareholder equity, up to the amount of each shareholder's basis in his stock.
- Distributions in excess of a shareholder's basis in his stock are considered capital gains.

Note

Remember, an S corporation will only have accumulated E&P if it was previously a C corporation (or it merged with another C corporation). An S corporation that does have E&P from prior years that it was a C corporation can make distributions to shareholders from those amounts based on the ordering rules above (i.e., if a corporation makes a distribution in excess of its AAA balance). A distribution from an S corporation's E&P is treated as a dividend, and taxable to the shareholders, just like it would be for a C corporation that issued a dividend to its shareholders.

Reasonable Compensation

An S corporation may wish to pay little or no salary or wages to employees or officers who are also shareholders, choosing to issue distributions of corporate profits instead. S corporation distributions are subject only to regular income tax. Unlike wages, distributions are not subject to withholding or payroll taxes. However, the IRS does require that S corporations pay their fair share of payroll taxes and thus mandates that employee-shareholders in S corporations receive adequate compensation for their services. This means that reasonable wages must be paid to shareholder-employees, before any distributions can be made.

If an S corporation is not paying “reasonable compensation” to a shareholder-employee, the IRS may reclassify distributions to the shareholder as wages, subject to employment taxes. Therefore, an S corporation will be at risk if it attempts to avoid paying employment taxes by having its officers treat their compensation as cash distributions, payments of personal expenses, or loans rather than as wages. Neither the IRC nor Treasury regulations provide specific guidelines for what constitutes “reasonable compensation.” When determining reasonable compensation for employees or officers of an S corporation, courts typically consider factors such as training and experience, duties and responsibilities, time and effort devoted to the business, payments to non-shareholder employees, timing and manner of bonus payments to key personnel, comparative salaries in similar businesses, any formal compensation agreements, and the use of a formula to determine compensation.

Example

Lawrence was the sole shareholder and employee of an S corporation, Sterling Financial Services, Inc. Lawrence is an experienced accountant and financial advisor with a master's degree in business administration. Sterling Financial Services had annual revenues of \$1.5 million. In 2025, Lawrence paid himself only \$24,000 in wages and received distributions from the firm of \$400,000. The IRS audited the corporation, and concluded Lawrence was deliberately paying himself a low salary to avoid employment taxes. In fact, the corporation paid a higher salary to Lawrence's secretary, than to Lawrence himself. The IRS reclassified \$150,000 of the distributions as taxable wages. Additional employment taxes, penalties, and interest were assessed on the reclassified payments.

However, IRS regulations make an exception for corporate officers who do not perform significant services or perform minor tasks and receive no compensation. In this case, they would not be considered employees for tax purposes.

Example

Candied Delights, Inc. is an S corporation owned by a married couple, Cordelia and Ollie. Both Cordelia and Ollie are listed as officers of the corporation, but Ollie has a separate full-time job and does not participate in the day-to-day operations of the company. His role in the corporation is purely passive. Only Cordelia actually works in the business. She is responsible for the day-to-day operations and makes all the major business decisions. Cordelia receives a reasonable salary for her active role in the business, while Ollie does not receive any wages. In this scenario, since Ollie does not provide any services to the corporation, he does not receive a salary. His taxable income from the corporation is purely from his ownership interest in the corporation, which is not subject to employment taxes.

199A Qualified Business Income Deduction for S Corporations

With regards to the Section 199A Qualified Business Income deduction, “reasonable compensation” wages received by a shareholder-employee from an S corporation are excluded from the definition of “qualified business income,” or QBI. However, all wages paid by the S corporation, including those to shareholders, factor into the Section 199A deduction when applying the deduction limitation based on wages and qualified property.

Example

Judson is the sole shareholder of Spectrum Marketing, Inc., an S corporation. The company has \$90,000 in ordinary income from business operations in 2025, prior to the payment of reasonable wages to Judson. Judson pays himself a reasonable salary of \$50,000 leaving \$40,000 of Schedule K-1 ordinary income, which qualifies for the QBI deduction. Judson is single, and he is below the pre-QBI taxable income limitation threshold for his filing status. Judson's tentative QBI deduction is 20% of QBI (\$40,000), or \$8,000.

Note

Looking Ahead to 2026: For tax years beginning after December 31, 2025, the OBBBA makes the QBI deduction permanent and introduces a minimum QBI deduction for active business owners.

Health Insurance Premiums for S Corporation Shareholders

Fringe benefits paid to employees who are not shareholders (or who have ownership of less than 2%) are generally deductible by the S corporation as a regular business expense. These benefits are also tax-free to the employees.

However, for shareholder-employees who have more than 2% ownership, health insurance premiums paid on their behalf are deductible by the S corporation as compensation and are reportable as wages for income tax withholding purposes on the shareholder-employee's Forms W-2. The S corporation can exclude these health benefits from the wages subject to Social Security, Medicare, and FUTA taxes.

A 2% shareholder-employee is eligible for an AGI deduction for amounts paid during the year for health insurance premiums if the health insurance coverage is established by the S corporation. If the coverage plan is in the name of the shareholder rather than the name of the S corporation, the coverage can still be considered to be established by the S corporation if:

- The S corporation either paid or reimbursed the shareholder for the premiums, and
- It reported the premium payment as wages on the shareholder's Form W-2.

Neither Schedule K-1 (Form 1120-S) nor Form 1099 can be used as an alternative to Form W-2 to report this additional compensation. The premiums must be included in each shareholder-employee's salary and reported on the individual's W-2 form in order for the shareholder to claim a deduction as an adjustment to income.

Example

Pulsar Consulting, Inc., an S corporation, provides health insurance coverage to its two owner-shareholders, Tucker and Cesar, as well as the health insurance premiums for their only employee, Dinah, who is a full-time bookkeeper for the company. Pulsar Consulting paid \$9,000 of health insurance premiums for Tucker and Caesar, and \$3,900 for health insurance premiums for Dinah. The corporation treats the shareholders as having received the health insurance as additional compensation and reports the insurance premiums as Form W-2 wages. Dinah is not an owner or shareholder of the company, so her health insurance premiums are treated as a tax-free fringe benefit and merely deducted as a business expense by the company.

A shareholder-employee cannot claim the self-employed health insurance deduction for amounts paid during periods in which the shareholder-employee is eligible to participate in a subsidized health plan maintained by another employer (or the spouse's employer). This is true even if the shareholder declines the coverage. The S corporation may continue to deduct the premiums as compensation paid to the shareholder-employee.

Example

Christopher is the sole owner-shareholder in an S corporation, Brownwood Construction, Inc. The company pays health insurance premiums for Christopher (the owner) and his wife, Elowen. Later in the year, Elowen starts working full-time for a retail store. The store offers to provide subsidized health coverage to her and her husband under a group health insurance policy. Christopher and his wife decline the coverage because they did not want to switch medical providers, which would have been required if they accepted the health insurance offered by Elowen's employer. Because Christopher had the option to participate in an employer plan through Elowen's job, the health insurance premiums paid by his S corporation are no longer deductible as an adjustment to income on Christopher's personal tax return. (The S corporation, however, continues to deduct the premiums as compensation paid to Christopher).

Termination of a Shareholder's Interest

If a shareholder sells or disposes of their stock interest in an S corporation, it is treated in the same manner as the sale of stock in a C corporation. The shareholder reports the sale of the stock on Schedule D. The gain or loss that is recognized by the shareholder is the difference between the shareholder's basis and the sale price of the stock.

If a shareholder in an S corporation terminates their interest in a corporation during the tax year, the corporation, with the consent of all affected shareholders (including those whose interest is terminated), may elect to allocate income and expenses as if the corporation's tax year consisted of two separate short tax years, the first of which ends on the date of the shareholder's termination.

To make this election, the corporation must attach a statement to a timely filed original or amended Form 1120-S for the tax year for which the election is made and state that it is electing to treat the tax year as if it consisted of two separate tax years. The statement must also explain how the shareholder's entire interest was terminated (e.g., sale or gift), and state that the corporation and each affected shareholder consented to the election.

A single statement may be filed for all terminating elections made for the tax year. If this election is made, "SECTION 1377 (a)(2) ELECTION MADE" should be written at the top of each affected shareholder's Schedule K-1.

Example

Fairborn Realty, Inc. is an S corporation that operates on a calendar-year basis. Fairborn Realty has two equal shareholders, Hugo and David. In 2025, Fairborn Realty has a \$10,000 loss for the first six months of the year (from January 1-June 30). On July 1, 2025, Hugo sells his entire stock interest in Fairborn Realty to Laura, an unrelated person. There are no more items of income or loss for the rest of the year. Fairborn Realty makes a Section 1377(a)(2) election on its 2025 tax return. The \$10,000 loss would be allocated to the short taxable year ending June 30 (in other words, the first part of the year, when Hugo and David were still shareholders). Hugo and David would each be entitled to \$5,000 of the loss, which would be reported on their respective Schedules

K-1. Since Fairborn had no other activity for the rest of the year, Laura would not have any income or loss allocated to her.

Termination or Revocation of an S Election

Once the S election is made, it stays in effect until terminated. In addition to the ways already discussed, the election will terminate automatically in any of the following cases:

- The corporation no longer qualifies as a small business corporation.
- For three consecutive tax years, the corporation has accumulated earnings and profits and derives more than 25% of its gross receipts from passive investment income.
- The corporation creates a second class of stock.
- The shareholders willingly revoke the S election.

Absent an automatic termination due to failure to meet the requirements of its S status, an S election can be revoked only with the consent of the majority shareholders (those holding more than 50% of the corporation's stock, including nonvoting stock). The corporation must file a statement of revocation with the IRS that is signed by every shareholder who consents.

There is no specific form to revoke the S election. The corporation must submit a revocation statement to the IRS service center where it files its annual return. The statement must be signed by shareholders owning more than 50% of the stock, including nonvoting stock.

A shareholder revocation may specify an effective revocation date that is on or after the day the revocation is filed. If no date is specified and the revocation is made on or before the fifteenth day of the third month of that tax year, the revocation is effective at the start of a tax year. If no date is specified and the revocation is made after the fifteenth day of the third month of the tax year, the revocation is effective at the start of the next tax year. A revocation may be rescinded before it takes effect.

When an S election terminates during the year and the corporation becomes a C corporation for the remainder of the year, the corporation generally has two short tax years: an S corporation short year and a C corporation short year. Income, loss, deductions, and credits are generally allocated between the two periods on a pro rata basis, unless a closing-of-the-books election applies. The Form 1120-S for the S corporation short year is due by the due date, including extensions, of the short-year Form 1120.

Example

On May 1, 2025, Biomedical Corporation, Inc., a calendar-year S corporation, exceeded the 100-shareholder limit. As a result, its S election terminated on that date. Biomedical has an S corporation short year from January 1, 2025, through April 30, 2025, and a C corporation short year from May 1, 2025, through December 31, 2025. The corporation must file both Form 1120-S and Form 1120. The short-year Form 1120-S for the period ending April 30, 2025, is due by the

due date, including extensions, of the short-year Form 1120. Because the short-year Form 1120 covers the period May 1, 2025, through December 31, 2025, it is generally due on April 15, 2026. Therefore, the short-year Form 1120-S is also due April 15, 2026, unless extended.

Inadvertent Terminations

Sometimes an S corporation unintentionally does something that causes its S election to terminate. If that happens, the termination is generally effective on the date of the disqualifying event. For example, an S election terminates if the corporation ceases to qualify as a small business corporation, such as by exceeding the 100-shareholder limit, having an ineligible shareholder, or creating a second class of stock.

An inadvertent termination occurs when the disqualifying event was not intended to end the S election and the corporation and its shareholders acted as though the S election remained in effect. In that case, the IRS may grant relief so the corporation is treated as though the termination never occurred. In many cases, this allows the corporation to continue being treated as an S corporation without a break in status.

In the past, S corporations with inadvertent terminations were forced to request a private letter ruling, which was costly. However, the IRS released Revenue Procedure 2022-19, which permits S corporations to remedy most inadvertent terminations without having to request a private letter ruling. Revenue Procedure 2022-19 now provides automatic relief under the following six circumstances:

- One-class-of-stock requirement.
- Disproportionate shareholder distributions.
- Certain errors or omissions on Form 2553 or Form 8869.
- A missing administrative acceptance letter (called the “Notice of Acceptance”) for an S election or QSub election.
- The filing of a federal income tax return inconsistent with an S election or QSub election (S corporations file a Form 1120-S, and a QSub is included on the “parent” corporation's Form 1120-S).
- Correcting one or more non-identical governing provisions.

The IRS will no longer provide private letter rulings in scenarios covered by this Revenue Procedure.

Note

If the status of an S corporation is terminated, either because the shareholders elect to become a C corporation or because a terminating event has occurred, the S corporation normally cannot elect to become an S corporation again within the next five years (60 months). However, the IRS may choose to waive the five-year restriction.

Example

Dunbar Consulting Inc. is a calendar-year S corporation. The corporation inadvertently terminates its S status during the year. Ramon, a 10% shareholder, was a U.S. resident alien at the beginning of the year. On March 3, 2025, Ramon became a nonresident alien by voluntarily abandoning his LPR status (Legal Permanent Residence) and surrendering his green card. Because some of its corporate stock was owned by a nonresident alien, the S election is terminated. The S corporation shareholders immediately correct the problem, by transferring all of Ramon's stock to a permitted shareholder. Because an ineligible-shareholder problem is not one of the issues automatically resolved under Revenue Procedure 2022-19, Dunbar may need to request inadvertent termination relief under IRC § 1362(f). If the IRS grants relief, the corporation is treated as though its S election remained in effect for the entire year.

Notes & References

1. “Excess depletion” is when a company (such as a mining company) takes deductions on a mine using percentage depletion when its adjusted basis in the mine is zero. Under the stock basis rules for S corporation shareholders, any “excess depletion” deduction for the year increases the shareholders' basis in the S corporation.
2. The basis adjustment rules under IRC §1367 are similar to the partnership rules. However, while a partner has a unitary basis in their partnership interest, adjustments to the basis of S corporation stock are applied on a separate-share basis.
3. Passive activity loss rules are applied at the individual shareholder level, not at the corporate level. Whether passed-through rental income is passive is determined on the shareholder's individual return.
4. S corporations that have accumulated E&P are required to maintain an accumulated adjustments account (AAA) to track the amounts, used to determine the tax effect of distributions made by an S corporation that was formerly a C corporation.
5. The OAA (“Other Adjustments Account”) tracks tax-exempt income earned by the corporation and expenses related to that tax-exempt income (e.g., PPP debt forgiveness and the expenses paid with PPP funds).
6. IRC §199A(c)(4)(A): “Qualified Business Income” shall not include reasonable compensation paid to the taxpayer by any qualified trade or business for services rendered with respect to the trade or business.
7. Termination for ceasing to be a small business corporation is effective as of the day the corporation no longer meets that definition; a statement notifying the IRS is attached to Form 1120-S for the final S year.
8. An S corporation cannot accumulate E&P as a C corporation can; however, a C corporation electing S status may still have accumulated E&P from prior years at the time of the election.
9. Prior to Rev. Proc. 2022-19, relief without a PLR was allowed in only two instances: a late Form 2553 (late S-election) or a failure to obtain shareholder consent to the election.

10. Form 8869 is the Qualified Subchapter S Subsidiary Election. A parent S corporation uses it to treat eligible subsidiaries as a QSub; the election results in a deemed liquidation of the subsidiary into the parent.

STUDY UNIT 15

Study Questions

Test yourself, then check the answer key that follows.

1. Andorra Consulting Inc. is a calendar-year S corporation operating on the accrual basis. The company has the following income items and expenses. What is Andorra Consulting's ordinary business income (not including the separately stated items)?

Gross receipts from business operations **\$300,000**

Interest income **\$25,000**

Royalty income **\$10,000**

Salary paid to a shareholder **(\$20,000)**

a) \$35,000

b) \$280,000

c) \$320,000

d) \$345,000

2. Seaboard Trading, Inc. is an S corporation with four shareholders. The corporation has 10,000 shares outstanding. The shareholders have the following ownership: Jordan, 4,500 shares; Mai-Lin, 2,000 shares; Simon, 2,000 shares; Nora, 1,500 shares (10,000 total). Nora and Jordan wish to terminate the S election, but Mai-Lin and Simon do not. Which of the following statements is correct?

a) Jordan can elect to terminate the corporation's S status on his own.

b) All of the shareholders must agree to terminate the election.

c) Nora and Jordan have enough stock ownership to terminate the election.

d) At least 75% of the shareholders with active ownership must agree to the termination.

3. A C corporation may not elect to become an S corporation if:

a) It has an estate as a shareholder.

- b) It has voting and nonvoting stock.
 - c) It has two classes of stock.
 - d) It has common stock.
4. On January 1, 2025, Bodhi purchased 50% of the stock of Rancho Farms Inc., an S corporation, for \$100,000, and also loaned the corporation \$20,000. He did not own any stock prior to the January 1 stock acquisition. At the end of the year, Rancho Farms Inc. incurred an ordinary business loss of \$180,000 from business operations. How much of the loss can Bodhi deduct on his personal income tax return for 2025?

- a) \$20,000
- b) \$90,000
- c) \$120,000
- d) \$180,000

5. Allred Consulting, Inc. is an S corporation with income from many different sources. What is the total amount of the separately stated income items on Allred Consulting's Form 1120-S?

Gross receipts from sales **\$700,000**

Rental real estate income **\$300,000**

Interest income **\$25,000**

Royalty income **\$10,000**

Section 1231 gain **\$20,000**

- a) \$345,000
- b) \$355,000
- c) \$700,000
- d) \$720,000

6. Close family members can be treated as a single shareholder for S corporation purposes. A family member in this instance includes:

- a) A nonresident alien spouse.
- b) A first cousin.
- c) An ex-spouse.
- d) The estate of a shareholder's deceased spouse.

7. On January 1, 2025, Gloria, Kristin, and Nancy are all equal shareholders in Fairview Heights Corporation, a calendar-year C corporation that has been in existence for four years. On January 7, 2025, Gloria sells her entire stock interest in the corporation to an unrelated party, Akash. Akash immediately wants to convert the corporation to an S corporation (retroactively) effective January 1, 2025. Whose consent is required for Fairview Heights to convert to S status in 2025?

- a) Akash may convert the corporation to an S corporation if Kristin and Nancy consent.
- b) Gloria must also consent to the election, along with Kristin and Nancy.
- c) Akash may convert the corporation to an S corporation on his own.
- d) The corporation cannot convert to S status in 2025, because it is too late.

8. Which of the following events would cause the immediate termination of an S corporation's status?

- a) An S corporation that has an estate as a shareholder.
- b) An S corporation that has a nonprofit corporation 501(c)(3) shareholder.
- c) An S corporation that issues one share of stock to a C corporation.
- d) An S corporation that owns one share of stock in a C corporation.

9. What is the tax rate on excess net passive income earned by S corporations?

- a) 10%
- b) 15%
- c) 20%
- d) 21%

10. Silver Oak Architects, Inc. is an existing calendar-year C corporation that wishes to elect S corporation status effective January 1, 2025. What is the latest date that Silver Oak Architects can elect S status for 2025 (for the election to be considered timely-filed)?

- a) March 15, 2025
- b) April 15, 2025
- c) October 15, 2025
- d) January 1, 2026

11. S corporations are generally not subject to taxation and are primarily pass-through entities. But in certain cases, S corporations are subject to taxes. Which of the following taxes do not apply to S corporations?

- a)** Excess net passive investment income tax.
- b)** Built-in gains tax.
- c)** Self-employment tax.
- d)** LIFO recapture tax.

12. Omar and Evelyn are shareholders in Centex Inc., an S corporation that has been in existence for three years. Omar owns 65% of the corporate stock, and Evelyn owns the remainder. Omar decides that he wants to convert Centex, Inc. to a C corporation. Which of the following statements is correct regarding the conversion?

- a)** Omar and Evelyn must both consent to the conversion to the C corporation.
- b)** The election to become a C corporation is taken on Form 1120-S.
- c)** Omar may choose to convert to a C corporation because he owns more than 50% of the stock. He does not need Evelyn's consent.
- d)** Centex cannot convert to a C corporation, because it must wait five years.

13. Which of the following is not a terminating event for an S corporation?

- a)** The S corporation has 101 unrelated shareholders.
- b)** The S corporation, for each of three consecutive tax years, has accumulated earnings and profits, and derives more than 25% of its gross receipts from passive investment income.
- c)** The S corporation creates two classes of stock with different distribution rights.
- d)** The S corporation has non-voting and voting stock.

14. Westland Nursing, Inc. received its corporate charter and was officially formed on November 8, 2025. Westland Nursing would like to make an initial election to become an S corporation, effective from its incorporation date. What is the deadline for the company to file Form 2553?

- a)** December 31, 2025
- b)** January 22, 2026
- c)** March 15, 2026
- d)** April 15, 2026

15. In which circumstance is a C corporation unable to elect to become an S corporation?

- a) The corporation is incorporated in Canada and operates an import/export business in the U.S.
- b) The corporation has common stock with voting and nonvoting rights.
- c) The corporation is on a fiscal year with a legitimate business purpose.
- d) The corporation has 50 shareholders.

16. An S corporation, regardless of when it became an S corporation, must use a “permitted” tax year. A permitted tax year is any of the following except:

- a) The calendar year.
- b) A tax year properly elected under section 444.
- c) A fiscal tax year with a legitimate business purpose.
- d) A short tax year.

17. Jacinta transferred an office building to an S corporation, Nura Biotech, Inc. in exchange for stock, and immediately after the transfer, she owns 90% of the corporation. She received stock with a fair market value of \$155,000 plus a cash distribution of \$60,000. Nura Biotech also assumed an existing \$30,000 mortgage on the building for which Jacinta was personally liable. Her basis in the building was \$175,000 immediately before the transfer. Nura Biotech will do business out of the building, so there was a bona fide business purpose for the transfer. What amount of gain must Jacinta recognize, if any?

- a) \$0
- b) \$30,000
- c) \$60,000
- d) \$70,000

STUDY UNIT 15

Answer Key & Explanations

1. The answer is **B**.

Andorra Consulting's ordinary income is \$280,000 (\$300,000 gross receipts – \$20,000 salary expense to the shareholder). Interest income and royalty income are separately stated items on Form 1120-S and are not used in determining ordinary income or loss.

2. The answer is C.

An S election may be revoked if shareholders holding more than 50% of the stock consent. Nora and Jordan together own 60% of the outstanding stock (1,500 + 4,500 of 10,000), so they can revoke the election. Once revoked, the corporation ceases to be an S corporation and becomes a C corporation.

3. The answer is C.

A C corporation may not elect S status if it has two classes of stock. A corporation may have both voting and nonvoting stock — those are not different classes for S-qualification purposes. Answer A is incorrect because the estate of a deceased taxpayer is a permitted shareholder.

4. The answer is B.

A shareholder can deduct his share of losses only to the extent of his stock and debt basis. Bodhi's stock basis was \$100,000 and debt basis \$20,000 (total \$120,000). As a 50% shareholder, his share of the \$180,000 loss is \$90,000, which is fully within his basis, so he deducts the entire \$90,000.

5. The answer is B.

All items except the gross receipts must be separately stated. Rental real estate income \$300,000 + interest income \$25,000 + royalty income \$10,000 + Section 1231 gain \$20,000 = \$355,000.

6. The answer is D.

Spouses are automatically treated as a single shareholder, and when a shareholder dies, the deceased shareholder's spouse and the estate are still one shareholder for the shareholder limit. Divorced spouses are not combined, and an S corporation cannot have a nonresident alien shareholder.

7. The answer is B.

For the election to be effective for 2025, all current shareholders must consent, and Gloria must also consent even though she sold her shares to Akash. Any person who held stock at any time during the part of the year before the election is made must also consent, even if they sold or transferred the stock before the election.

8. The answer is C.

An S corporation may own stock in a C corporation, but not the reverse. An S corporation cannot have a C corporation as a shareholder. Shareholders must generally be U.S. citizens or residents and be physical persons; corporate and partnership shareholders are excluded. Certain estates, trusts, and tax-exempt 501(c)(3) corporations are permitted.

9. The answer is D.

Excess net passive income is taxed at a flat 21%, the flat corporate income tax rate that applies to all corporations after the Tax Cuts and Jobs Act.

10. The answer is A.

An eligible corporation must make an S election within two months and 15 days from the start of its tax year. For a calendar-year corporation, that is on or before March 15, 2025. (Late elections are possible but must be approved by the IRS.)

11. The answer is C.

S corporations are not subject to self-employment tax, which applies only to individuals. An S corporation may owe tax due to excess net passive investment income, built-in gains, investment credit recapture, or LIFO recapture.

12. The answer is C.

All shareholders must consent to make an S election, but revoking one requires only more than 50% consent. Since Omar owns more than 50% of Centex, he can revoke the S election and convert to a C corporation without Evelyn's consent.

13. The answer is D.

Having non-voting and voting stock is not a terminating event, because differences in voting rights are permitted. However, each shareholder must have equal distribution and liquidation rights.

14. The answer is B.

A newly formed corporation must file the election within 2.5 months of formation for it to take effect in the first tax year. The 2-month period ends January 7 and 15 days later is January 22, 2026. Because there was no prior tax year, an election made before November 8 would not be valid.

15. The answer is A.

Only domestic U.S. corporations may elect S status, so a Canadian corporation would not qualify. An S corporation can have one class of stock with differing voting rights, and may use a fiscal year if it has a legitimate business purpose.

16. The answer is D.

A short tax year is not a “permitted” tax year. A short tax year only applies when an S corporation is in its first year or its S status is terminated.

17. The answer is C.

Jacinta realizes a \$70,000 gain (\$155,000 stock + \$60,000 cash + \$30,000 debt relief = \$245,000, less \$175,000 basis). Because the liability assumed (\$30,000) was less than her adjusted basis and there was no tax-avoidance purpose, the debt relief is not treated as boot. Her recognized gain is limited to the \$60,000 cash received.

STUDY UNIT 16

Farming Business

Further reading: IRS Publication 225, Farmer's Tax Guide

Farming businesses may be engaged in activities such as crop production, animal production, or forestry and logging. They may include stock, dairy, poultry, fish, fruit, and tree farms, as well as plantations, ranches, timber farms, and orchards. The entity type does not matter; a business will be classified as a “farming business” as long as the business cultivates, operates, or manages a farm (or fishery) for profit.

A sole proprietorship involved in farming must report income and losses using Schedule F, Profit or Loss from Farming. A farmer is typically considered self-employed if they work on their own

farm or rent land from others for the purpose of farming. Additionally, self-employed farmers are required to fill out Schedule SE.

Alternatively, a farming business can be structured as a partnership or corporation. The classification of a business as a “farming business” for tax purposes depends primarily on the activity it engages in. There are many types of activities that qualify as “farms.” Some examples include:

- **Agricultural farming:** A farm that cultivates and grows any type of agricultural crops, such as grains, beans, lentils, flax, cotton, flowers, vegetables, etc.
- **Dairy farming:** A class of farming for the long-term production of milk and dairy products.
- **Fish farming (fisheries):** Involves raising fish or shellfish commercially, usually for human consumption.
- **Silk farming:** The cultivation of silkworms to produce silk.
- **Apiculture (Beekeeping):** A business that raises bees to collect products that the hive produces (honey, beeswax, etc.).
- **Snail farming:** This is the business of raising land snails for human consumption.

Not Classified as Farming Businesses

Certain associated businesses are not considered farming businesses and instead must file on Schedule C (if a sole proprietorship). Examples include:

- Veterinary businesses.
- Businesses that only supply farm labor, farming equipment, or farm supplies, such as pesticides or herbicides.
- Pet breeders, including those that breed dogs, cats, or other household pets.
- Businesses that provide agricultural services, such as soil preparation and fertilization, but do no actual farming of the land.
- Agricultural processing companies: these businesses process agricultural products (like turning wheat into flour or milk into cheese), but they do not engage in farming.

Farm income includes revenue generated from selling both produced and cultivated agricultural goods, as well as sales of purchased farm products, income earned from providing services related to farming, and dividends received from farming cooperatives. However, certain types of income associated with farming businesses are not classified as farm income.

Farm income does not include any of the following:

- Wages received as a farm employee.
- Income from a grain harvesting contract where the contractor supplies the workers and machinery.

- Gains received from the sale of farmland and depreciable farm equipment.
- Gains from the sale of securities, regardless of who owns the securities.
- Passive rental income received from the rental of farmland where the owner of the land does not materially participate.

There are cases where a person may be considered a farmer for one tax purpose but not for another. It is also possible for someone who is not classified as a farmer to still have income from farming activities.

Example

Molly owns a profitable apple orchard, “Molly’s Apples,” where she grows and sells apples. This is her primary business and the income she earns from selling the apples is considered farm income. Molly reports this income on Schedule F. In addition to her apple orchard, Molly also owns a piece of farmland which she rents out to another farmer, James, who uses the land for grazing sheep. James owns the sheep and merely pays Molly a flat amount every month to rent the farmland. Molly does not materially participate in the farming activities on this rented land. The rental income she receives from James is considered passive rental income and is not classified as farm income. She reports this rental income on Schedule E. Molly also works part-time as an agricultural consultant for a local farming cooperative. The wages she receives from this job are not considered farm income, even though the work is related to farming. Finally, Molly invested in a tech startup company and recently sold some of her shares for a profit. The capital gains from the sale of these securities are also not considered farm income; they are capital gains that she reports on Schedule D. So, while Molly has income from her apple orchard that qualifies as farm income, she also has income from other sources (rental income, wages, and gains from the sale of securities) that is not considered farm income.

Patronage Dividends

Patronage dividends are generally profits returned to the members of a farming cooperative. Farmer cooperatives often distribute patronage dividends based on the quantity of produce a member provides to the cooperative. Farmers who are members of cooperatives will typically receive a Form 1099-PATR, Taxable Distributions Received From Cooperatives, and usually report taxable patronage dividends on Schedule F.

Example

Elmer is a farmer who grows grain and sells his grain through Best Grains Cooperative. In one year, he sells 1,000 bushels of wheat through the co-op. At the end of the year, Best Grains Cooperative makes a profit of \$200,000. The co-op will distribute 50% of its profits back to its members as patronage dividends. Elmer’s share of the patronage dividends is calculated based on the proportion of his sales to the total sales of all the other co-op members’ produce. If Elmer’s sales represent 2% of the total sales, he would receive 2% of the \$100,000 (50% of the \$200,000 co-op profit), which is \$2,000. Since Elmer’s patronage dividend exceeds \$10, Best Grains Cooperative

would report this \$2,000 dividend to the IRS using Form 1099-PATR, and Elmer will also receive a copy of the Form.

Farming Rents

If a farmer rents their farmland to someone else, the rental income is generally classified as rental income, not farming income. If a farmer simply rents their pasture or other property for a flat cash amount without providing services to the tenant, the landowner should report the income as rental income on Schedule E.

Example

Norris owns a large tract of pastureland in Wyoming. Norris simply rents the pasture to other farmers for a flat cash amount. He does not provide any services or take care of the livestock in any way. Norris would report the income as rental income on Schedule E (Form 1040). The income would be passive activity income and not subject to self-employment tax.

This also applies to crop shares, when a tenant farmer pays a proportion of crop harvest proceeds to the landowner for the use of their farmland. This special type of rental activity is also commonly called “sharecropping” or “cropping.” This passive activity income is reported on Form 4835, Farm Rental Income and Expenses.

Example

Rachel owns a 90-acre farm in Ohio. She generally rents out her land to a tenant farmer and does not do any of the planting herself. Rachel rents all her land to Tobias, a sharecropper who grows organic beets. Rachel's contract with Tobias, the tenant farmer, requires him to pay Rachel twenty-five percent of the crops harvested. Rachel reports her share of the income from the crops on Form 4835, which is attached to her Form 1040. Rachel's tenant farmer (the sharecropper) would be required to report his income on Schedule F as regular farming income, subject to self-employment tax.

If a farmer materially participates in farming operations on the land they own, the rent is considered farm income and is reported on Schedule F.

Example

Harold is a farmer who owns 200 acres of pastureland in Wyoming. Harold rents out his pasture to someone else, who owns the cattle. Harold is a professional ranch manager and also feeds the cattle. He takes care of the livestock on a daily basis, watching over them as they graze. Since Harold is materially participating in the activity, as well as providing services by taking care of the livestock and feeding them daily, the income is reported on his Schedule F as ordinary income.

Estimated Taxes for Farmers

Special rules apply to the payment of estimated tax by qualified self-employed farmers (and fishermen). If at least two-thirds of an individual's or entity's gross income comes from farming or fishing activities, the following rules apply:

- A farmer does not have to make estimated tax payments if they file their tax return and pay all the tax owed by March 1.
- If a farmer must pay estimated tax, they are required to make only one estimated tax payment, called the required annual payment, by January 15.

Example

Hadrian grows wheat. He files Schedule F to report his income and loss. He does not pay any estimated taxes during 2025. He knows that he will owe, so he makes sure to file his individual tax return by March 1, 2026. He calculates his tax liability and pays all the tax he owes for 2025 with a single check. Hadrian will not owe an estimated tax penalty, regardless of the amount owed, because of the special rules that apply to farmers regarding estimated taxes.

Example

Janelle is a professional beekeeper who raises honeybees and collects the honey for sale. She also gathers the beeswax and makes handmade creams and soaps. All of her income comes from her beekeeping activity, so she is a qualified farmer and she files a Schedule F. Janelle doesn't have all her bookkeeping done, and she is still waiting on a brokerage statement that hasn't arrived. She does not think she can file her return by March 1. Janelle chooses to make a single annual payment on January 15, 2026, for all of her 2025 estimated tax. She will have to approximate her tax liability as accurately as she can.

If a farmer does not receive more than two-thirds of their gross income from qualified farming activity, the taxpayer is not eligible for this special treatment.

Example

Angela grows fresh vegetables that she sells in a popular roadside shop. She is also a partner in a restaurant and receives substantial income from that activity as well. Angela files a Schedule F to report the income from her vegetable farm. She also files Schedule E to report her share of the partnership income from the restaurant activity. Her gross income from farming is \$12,000. Her share of income from the restaurant partnership is \$45,000. Even though Angela has a legitimate farming business, less than two-thirds of her income is from farming. So, she would not qualify for the special estimated tax payment provisions. Angela is required to make estimated payments throughout the year, or she will face an estimated tax penalty.

This special rule for estimated taxes also does not apply if the farming business is organized as a C corporation.

Example

Groveport Ranch, Inc. is a large dairy farm that is organized as a C corporation. Although all of Groveport Ranch's income is from farming, a C corporation is not allowed to delay estimated

payments. Every C corporation must make estimated tax payments throughout the year, if it expects its tax to be \$500 or more for a tax year.

Accounting Methods for Farming

Farmers are allowed to use any accounting method that is available for other business types. In addition, there are a few special accounting methods that are applicable only to farming businesses. Farmers can use the following accounting methods:

- **Cash Method.**
- **Accrual Method.**
- **Combination (Hybrid) Method** (using two or more of the methods listed).
- **Special Methods, including the Crop Method:** The IRS allows a number of different special methods of accounting that apply to items such as depreciation, farm business expenses, or income. Among these is the crop method, which requires IRS approval and is allowed only for farming businesses. If crops are not harvested and disposed of in the same tax year they are planted, the farmer can capitalize the entire cost of producing the crop, including the expense of seed or young plants, and deduct them in the year income is realized.

In prior years, the accrual method of accounting generally was required when a business maintained an inventory, but small farmers were exempt from the usual requirements. Most small farmers use the cash method. Inventory requirements also do not apply to most commonly grown crops.

Consequently, few farming operations are required to adopt the accrual method of accounting. However, the following farming businesses are required to use the accrual method of accounting:

- A farming corporation that had average annual gross receipts exceeding \$31 million in 2025.
- A partnership with a corporate partner that exceeds the gross receipts threshold.
- A tax shelter (of any size or income).

Example

Sherwood is a self-employed farmer who uses the accrual method (not the crop method or the cash method). He keeps his books on a calendar-year basis. Sherwood sells grain on December 3, 2025, but he is not paid until January 5, 2026. He must include the sale on his 2025 tax return. He can also deduct the costs accrued in producing the grain on his 2025 return, regardless of whether or not those costs have been paid.

Example

Theodore is also a self-employed alpaca farmer who uses the cash method. Theodore sells 10 alpacas on December 15, 2025, but he is not paid for the animals until January 5, 2026. Since

Theodore uses the cash method and there was no constructive receipt of the sale proceeds in 2025, Theodore records the sale proceeds in income in 2026, the year he actually receives the payment.

Example

Horizon Farms, Inc. is a farming corporation that grows organic blueberries. The business uses the cash method of accounting and has average annual gross receipts of approximately \$2 million. Horizon Farms requests permission to use the crop method of accounting. The IRS grants the request. Using the crop method, Horizon Farms deducts the entire cost of producing the blueberry crop, including the expense of seed or young plants, in the year the business realizes income from the crop.

Farming Inventory

Farm inventory includes all items that are held for sale, purchased for resale, and for use as feed or seed, such as the following:

- Eggs in the process of hatching.
- Harvested farm products held for sale to customers (i.e., such as grain, cotton, flowers, industrial hemp, corn, or tobacco).
- Supplies that become a physical part of an item held for sale, such as containers, wrappers, or other packaging.
- Any livestock inventory, which includes livestock purchased for resale. This is often called “market livestock.”
- Purchased farm products that are being held for seed or feed, such as hay, silage, concentrates, fodder, and pelleted feeds.
- Storage costs for inventory or feed.

Livestock purchases for resale are deductible in the year of the sale. Inventory includes the cost of freight charges for transporting the livestock to the farm. If livestock was purchased primarily for draft, breeding, sport, or dairy purposes, the farmer can choose to depreciate it or include the livestock in inventory.

Example

Estelle owns a hog farm. On July 1, 2025, Estelle purchased 50 weaned piglets for \$49 each. She does not depreciate the piglets. Instead, she treats the piglets as inventory, because they are being raised to be sold. Approximately 6 months later, the pigs are matured and ready to be sold. January 3, 2026, Estelle sells all 50 pigs to a local butcher. She deducts the cost of the pigs in 2026 (not 2025, when she actually bought the piglets) as COGS, because that is when the mature hogs were finally sold.

Livestock purchased for draft, breeding, sport, or dairy purposes can potentially be treated as tangible personal property and are therefore eligible for section 179 or bonus depreciation.

Regardless of the method chosen, the farmer's reporting method must be consistent from year to year.

Example

Jose is a qualified farmer. He specifically breeds rodeo cattle, which are primarily used for rodeo events such as team roping and steer wrestling. Jose chooses to depreciate his cattle the same way a business would depreciate equipment. As with other business assets, Jose can claim depreciation on the purchase cost of his cattle, as long as the animals are held for draft, breeding, sport, or dairy purposes.

Note

A farming business, regardless of the form of entity, may use the cash method of accounting if the entity's average annual gross receipts for the three preceding tax years are \$31 million or less (for 2025). This includes farming businesses that produce or maintain an inventory.

Farm "inventory" does not include real property, such as farmland or buildings, or depreciable equipment, such as tractors.

If a farming business is required to capitalize and track an inventory, the farmer may use the same inventory methods that are available to other businesses. However, there are two other inventory methods that are unique to farming businesses:

- **Farm-Price Method:** Under the farm-price method, each item, whether raised or purchased, is valued at its market price minus the costs of disposition. The costs of disposition include broker's commissions, freight, hauling to market, and other marketing costs. If a farming business chooses to use the farm-price method, it must use it for the entire inventory, except that livestock can be inventoried under the unit-livestock-price method.
- **Unit-Livestock-Price Method:** The unit-livestock-price method is an easier inventory method that allows farmers to group livestock together, rather than track the costs of each individual animal. A farmer may classify livestock according to type and age and use a unit price for each animal within a class. The unit price must reasonably approximate the costs incurred in producing the animal. If a farming business uses the unit-livestock-price method, it must include all raised livestock in inventory, regardless of whether they are held for sale or for draft, breeding, sport, or dairy purposes. This method accounts only for the costs incurred while raising an animal to maturity. It does not provide for any decrease in the animal's market value after it reaches maturity.

UNICAP for Farmers

The uniform capitalization rules (UNICAP) generally require certain production and inventory costs to be capitalized rather than deducted currently. However, most small and mid-sized farming businesses are exempt. For 2025, a farming business with average annual gross receipts of \$31

million or less for the 3 preceding tax years, and that is not a tax shelter, is generally not subject to UNICAP.

Larger farming businesses and tax shelters may still be required to capitalize direct costs and an allocable share of indirect costs. Special capitalization rules can apply to the costs of producing certain plants with a preproductive period of more than 2 years, such as orchards and vineyards. Preproductive period costs can include items such as irrigation, pruning, and spraying. For livestock, preproductive costs may include feed, pasture maintenance, breeding, veterinary care, and bedding.

In some cases, taxpayers may elect to currently deduct certain preproductive period expenses for plants with a preproductive period of more than 2 years, rather than capitalize them.

Example

Mulligan Farms, Inc. owns large peach orchards that produce an annual fruit crop. The trees have a preproductive period of more than two years. In other words, it takes a peach seedling at least four to five years before the tree produces edible fruit. Mulligan Farms has annual gross receipts of \$35 million, so for 2025 it is required to use the accrual method of accounting. Therefore, Mulligan Farms is not eligible to elect out of the UNICAP rules and must capitalize the direct costs and an allocable share of indirect costs incurred during the orchard's preproductive period. Furthermore, because Mulligan Farms is required to use the accrual method, it cannot use the farming exception for short-term crops and must also capitalize the costs of producing the annual peach crop.

Sales of Farm Products and Livestock

When a self-employed farmer sells products or crops raised on a farm, the farmer's entire proceeds are reported on Schedule F, in a manner similar to any other taxpayer who sells inventory and reports the sales proceeds on Schedule C.

Gain on the sale of livestock inventory that is raised on a farm is generally the gross sales price reduced by any expenses of the sale, such as commissions or freight charges. The basis of any animals sold is zero, if the costs of raising it were deducted during the years the animal was being raised. When a farmer sells farm products or livestock originally bought for resale, the calculation of profit or loss is the difference between the farmer's basis in the item (usually its cost) and any payment received for the item.

Example

Josue owns a farm where he raises beef cattle. Two years ago, Josue bought 20 feeder calves for \$6,000, which he purchased for resale. The feeder calves are treated as inventory, because Josue plans to resell them all at a livestock auction. He sold them in 2025 for \$22,000. Josue reports the \$22,000 gross sales price, subtracts \$6,000 as COGS, and reports the net \$16,000 in income on his Schedule F as regular business income.

Example

Nancy and Robert Cotter own and operate the Cotter Sheep Farm, LLC, which is taxed as a partnership. Twelve lambs were born on the farm in 2024 (the prior year). The business deducted the cost of feed and other expenses of raising the animals on the partnership tax return. The following year, in 2025, the now-adult sheep were hauled to a nearby town for auction, where they sold for a total of \$12,500, with \$750 of sales expenses to the auction house. Cotter Sheep Farm would report ordinary income of \$11,750 from the sale of the sheep on Form 1065 (\$12,500 gross sales – \$750 auction fees = \$11,750).

Depreciation of Farm Assets

Farmers are allowed to use any depreciation methods available to other business types, but there are some unique rules for farmers with regard to depreciation. With regards to accelerated depreciation methods, farmers are allowed to use section 179 and bonus depreciation just like any other business. Qualified property for both section 179 and bonus depreciation may be new or used.

New farming equipment and machinery placed into service during the year is generally classified as 5-year property under MACRS. Used farm machinery and equipment is classified as 7-year property under MACRS. Farmers may use the 200% declining-balance method of MACRS depreciation for farming.

Example

Donovan owns a sheep farm called Golden Fleece Farms, which is operated as a sole proprietorship. The farm currently has 300 heads of sheep. In 2025, Donovan purchases 15 ewes to bring into his existing flock. Donovan pays \$250 per head. He plans to use all the sheep for breeding and to produce wool. Donovan also purchases a used tractor during the year for use on the farm. The tractor costs \$24,500. Golden Fleece Farms can depreciate the cost of the sheep and the tractor using any depreciation method he chooses, including bonus depreciation or Section 179.

Example

Kentucky Vineyards, Inc. is a small, family-owned farming business that primarily grows table grapes. During the year, the company purchases a used grape harvesting machine for \$35,000. The machine is put to use immediately on the farm. Kentucky Vineyards can use section 179 to deduct the cost of the harvesting machine, or any other depreciation method including bonus depreciation it chooses.

There are some differences in the property that qualifies for section 179 and bonus depreciation. In addition to machinery and equipment, farmers may use accelerated depreciation to immediately expense certain structures and land improvements.

Qualifying Depreciable Property for Farming Businesses

Section 179	Bonus Depreciation
Must be acquired from an unrelated party	Must be acquired from an unrelated party (original use by the taxpayer is not required)
Business equipment, farming machinery and equipment	Tangible property with a MACRS recovery period of 20 years or less, including certain farm buildings and equipment
Livestock held for draft, breeding or dairy purposes	Livestock held for draft, breeding or dairy purposes
Single-purpose agricultural or horticultural structures (milking parlors, piggeries, greenhouses)	Single-purpose agricultural or horticultural structures (milking parlors, piggeries, greenhouses)
Qualified improvement property plus: alarms, fire protection and security systems, HVAC, and roofing	Fruit and nut-bearing plants and trees; Qualified improvement property (QIP)
New or used property qualifies	New or used property qualifies if: • The taxpayer is the first to claim bonus depreciation, and • The property is acquired from an unrelated party
Limited by annual \$179 dollar and income limits. For 2025: maximum deduction \$2.5 million; phase-out starts at \$4 million	No spending cap
100% (up to the limit)	100% if acquired on/after Jan 19, 2025; 40% if acquired before Jan 19, 2025
Cannot create a tax loss (limited to taxable income)	Can create a Net Operating Loss (NOL)
Election is required	Automatic unless the taxpayer elects out

Disposition of Farm Assets

Income reported on Schedule F does not include gains or losses from sales or other dispositions of the following farm assets:

- Farmland.
- Depreciable farm equipment.

- Barns, stables, and other types of farm buildings.
- Livestock held for draft, breeding, sport, or dairy purposes (unless held as inventory).

The sale of these assets is reported on Form 4797, Sales of Business Property, and may result in ordinary or capital gains or losses.

Like other businesses, when a farming business disposes of depreciable property at a gain, the business may have to recognize ordinary income under the depreciation recapture rules. Any gain remaining after applying the depreciation recapture rules may be section 1231 gain, which may be taxed as a capital gain. Capital gains can occur on buildings, machinery, and equipment when their values have appreciated over time.

Note

Assets like equipment and machinery usually lose value as they get older. So, it is rare for equipment to actually appreciate in value over time and sell at a gain. However, real estate, land, and buildings generally appreciate in value over time, and thus, capital gains upon the disposition of these types of assets is commonplace.

Section 1231

Section 1231 assets include certain business (noncapital) assets that have been held for more than one year, as well as certain business and investment property disposed of in involuntary conversions. If the sold property was held for less than one year, the 1231 gain rules do not apply.

Note

Section 1231 assets receive special tax treatment. If a taxpayer has a net loss from all section 1231 transactions, the loss is treated as ordinary loss. If the section 1231 transactions result in a net gain, the gain is generally treated as capital gain, with the exceptions of (1) depreciation recapture and (2) recapture under the five-year “look-back” rule, which is taxed as ordinary income.

Gain or loss on the following farm-related transactions is subject to section 1231 treatment:

- 1) Sale or exchange of cattle or horses held for draft, breeding, dairy, or sporting purposes and held for 24 months or longer.
- 2) Sale or exchange of other livestock held for draft, breeding, dairy, or sporting purposes and held for 12 months or longer. Other livestock includes hogs, mules, sheep, and goats, but does not include poultry.
- 3) Sale or exchange of depreciable property used in the farming business and held for longer than one year. Examples include farm machinery, tractors, and trucks.
- 4) Sale or exchange of real estate used in the farming business and held for longer than one year. Examples are farmland and timberland, including barns and sheds.
- 5) Sale or exchange of unharvested crops.
- 6) Sale from cut timber.

- 7) The condemnation of business property held longer than one year. Condemnations of business property usually qualify for nonrecognition treatment if the replacement property is purchased within a certain time period, under the involuntary conversion rules.

Example

Zaida owns a livestock farm and reports her income and loss on Schedule F. She purchases a young stallion for \$5,000 to use on the farm and also for breeding purposes. She takes Section 179 on the purchase of the horse, because it is being used for breeding purposes. The stallion is a Section 1231 asset. Three years after purchasing the horse, Zaida enters her stallion in a horse race on a whim. Surprisingly, her horse wins the race. She is immediately offered \$18,000 for the stallion, which she accepts. Since she had depreciated the stallion using Section 179, her basis in the horse is zero. The \$5,000 of her original cost basis is considered recapture and is taxed at ordinary income rates. The excess \$13,000 gain is considered Section 1231 gain and will enjoy long-term capital gains treatment. The gains are also not subject to self-employment tax.

A Section 1231 gain treated as capital gain is excluded from the calculation of QBI, meaning that these capital gains are not eligible for the 20% deduction.

Section 1245

Section 1245 does not apply if a business asset is sold at a loss. If an asset is sold at a gain, part (or all) of the gain of the sale can be treated as section 1245 gain and will be taxed as ordinary income under the rules of depreciation recapture. Buildings and structural components are generally not considered section 1245 assets. However, single-purpose agricultural (livestock) or horticultural structures are classified as section 1245 property.

Note

A greenhouse that is used only to grow plants would be considered “single-purpose” and thus section 1245 property. If a cash register and a sales kiosk is installed in the greenhouse so that a farmer can sell plants in addition to growing them there, the greenhouse would no longer be section 1245 property because it is no longer a “single-purpose” property.

Other examples of farming-related section 1245 property include a grain silo, fencing for the confinement of livestock, and wells for providing water to livestock. Additionally, for property placed in service after July 4, 2025, the OBBBA expanded the definition of section 1245 property to include “qualified production property” (which specifically includes property used in agricultural production).

Example

Mordecai is a qualified farmer who raises farmed salmon for human consumption. Mordecai is also very good at fixing things. Five years ago, Mordecai purchased a leaky fishing boat for a bargain price of \$3,200. He fixes the boat and paints it nicely with his company logo and then uses it daily in his business for the next five years. In the current year, he receives an offer from one of his friends to sell the boat for \$13,000. Mordecai accepts the offer and sells the boat. He originally paid \$3,200 for the boat and fully depreciated it, so the boat's basis is zero at the time

of the sale. The first \$3,200 of cost basis is considered Section 1245 recapture and is treated as ordinary income. The excess \$9,800 gain is considered Section 1231 gain and will normally enjoy long-term capital gains treatment.

New IRC §1062: Deferral of Tax on Gain From Qualified Farmland Property

Exam Note

Because IRC §1062 applies only to tax years beginning after July 4, 2025, it takes effect in 2026 for calendar-year taxpayers. It's highly unlikely that you will be tested on this concept in the 2026–2027 Testing Cycle.

As part of the One Big Beautiful Bill Act, Congress enacted new IRC §1062, which provides a special election for taxpayers who sell or exchange qualified farmland property to a qualified farmer in tax years beginning after July 4, 2025. For calendar year taxpayers, this special election first applies to sales or exchanges occurring in 2026.

Unlike a traditional installment sale under §453, where recognition of gain itself is deferred, §1062 requires the taxpayer to recognize the full gain in the year of sale. However, the taxpayer may elect to pay the net income tax attributable to that gain in four equal annual installments.

Key Provisions

- **Eligible Property and Buyer:** The election applies only to sales or exchanges of qualified farmland property to a qualified farmer, as defined by statute.
- **Election Mechanics:** The election applies to the tax liability attributable to the gain, not the gain itself.

Payment Schedule

- The first installment is due on the due date of the return (without extensions) for the tax year of the sale.
- The remaining three installments are due on the due dates of the returns for the following three tax years.

Coordination With Other Rules

The §1062 election is separate from and does not alter gain recognition, basis, or character rules applicable to the disposition.

Postponing Gain Due to Weather Conditions

There are special rules for farmers regarding the postponement of gain due to weather conditions. If a farmer sells more livestock (including poultry) than they normally would in a year because of a drought, flood, or other weather-related conditions, then the farmer may postpone reporting

the income from the additional animals until the following year. The taxpayer must meet all the following conditions to qualify:

- The principal trade or business must be farming.
- The farmer must use the cash method of accounting.
- The farmer must be able to show that they would not have sold the additional animals in that year except for the weather-related condition.
- The area must be designated as eligible for federal disaster assistance.

The livestock does not have to be raised or sold in the affected area. However, the sale must occur solely because the weather-related condition affected the water, grazing, or other requirements of the livestock. The farmer must figure the amount to be postponed separately for each generic class of animals, such as hogs, sheep, and cattle.

Example

Jeannie raises beef cattle. She is a calendar-year farmer, and she normally sells 100 head of beef cattle a year. As a result of a state-wide drought, Jeannie is forced to sell 135 head during 2025 and realizes \$70,200 from the sale. On November 9, 2025, because of drought, the affected area is declared a disaster area eligible for federal assistance. The amount of income Jeannie can postpone until the following year is \$18,200 ($[\$70,200 \div 135] \times 35$), which is the portion of the income attributed to the additional animals that she sold over her normal yearly amount.

To postpone gain, the farmer must attach a statement to their tax return for the year of the sale, providing specific information about the weather conditions and circumstances that led to the postponement of gain for each class of livestock.

A weather-related sale or exchange of livestock held for draft, breeding, or dairy purposes (but in this case, not including poultry) may also qualify as an involuntary conversion. For a sale that qualifies as an involuntary conversion, the farmer can file this statement at any time during the replacement period. The replacement period for an involuntary conversion generally ends two years after the end of the first tax year in which any part of the gain on the condemnation is realized.

A three-year replacement period is allowed for real property that is held for business or investment, such as buildings or warehouses. The replacement period is four years for livestock that is involuntarily converted because of weather-related conditions. If the property is subject to an involuntary conversion in certain federally-declared disaster areas, the replacement period can be up to five years.

Example

Guillermo is a farmer who owns 8,000 head of beef cattle on two different farms. In 2025, his herd is struck by hoof-and-mouth disease, and he is forced to send 2,500 infected animals to slaughter. The infected animals cannot be used for human consumption, so his insurance reimburses his losses, and he promptly reinvests all the insurance proceeds into new livestock. This is treated as an involuntary conversion, and no gain or loss is recognized in the transaction.

Example

Kieran is a farmer who grows hydroponic lettuce. In 2025, a hurricane destroys one of his growing facilities. Kieran's basis in the structure is \$230,000. He receives a check from his insurance company for \$350,000, which was the fair market value of the property at the time of the disaster. He has at least three years to reinvest the funds into a new facility. If he reinvests all the insurance proceeds into a new growing facility, he does not have to recognize any of the gain from the insurance reimbursement. This is considered a 1033 exchange (an involuntary conversion).

Crop Insurance and Government Payments

Insurance proceeds, including government disaster payments, may be received for crop destruction or damage or the inability to plant crops due to drought, flood, or another natural disaster. These payments are generally taxable in the year they are received.

However, some farmers can elect to postpone reporting their income until the following year if they meet all of these conditions:

- The farming business must use the cash method of accounting.
- Crop insurance proceeds were received in the same tax year the crops were damaged.
- Under normal business practices, the farming business would have reported income from the damaged crops in any tax year following the year the damage occurred.

A statement indicating the specific crops damaged and the total insurance payment received must be attached to the tax return. The farmer must be able to prove that the crops would have been harvested or otherwise sold in the following year to make this election to postpone income.

If a farmer forgoes the planting of crops altogether and receives government agricultural program payments, the payments are reported on Schedule F, and the full amount of the payment is subject to self-employment tax.

Other Unique Tax Rules for Farmers

There are many special rules that apply only to farming businesses. Other examples of tax rules unique to farmers include the following:

Car and Truck Expenses: Farmers can claim 75% of the use of a car or light truck as business use without any records (such as a mileage log) if the vehicle is used most of the business day in a farming business.

Soil Conservation: Farmers can choose to deduct as a business expense land-related expenses for soil or water conservation or for the prevention of erosion. Examples include leveling, eradication of brush, farmland erosion prevention, removal of trees, or planting of windbreaks.

Although farmland itself is not depreciable, land conservation expenses or other costs to improve the land for farming or growing crops are deductible as business expenses. For most other businesses, these types of land improvements would be considered nondeductible capital expenses and would have to be added to the basis of the land.

Example

Manny owns a large pumpkin farm, Manny's Pumpkins, LLC, which he runs as a sole proprietorship. During the year, Manny spent \$13,000 on various soil conservation measures for his land. He added mulch, vegetation cover, and shrubs, and installed graded banks to preserve the soil. He may deduct these costs as a business expense on his Schedule F.

Excise Tax Credits: Farmers may be eligible to claim a credit or a refund of federal excise taxes on fuel used on a farm.

Farm Income Averaging: Certain farmers that operate as sole proprietorships or partnerships may use Schedule J, Income Averaging for Farmers and Fishermen, to average all or some of their current year's farm income by allocating it to the three prior years. This election may lower a farmer's current-year tax liability if the current year is high, and his taxable income from one or more of the three prior years was low. The Internal Revenue Code only allows income averaging to qualified farmers and fishermen.

Example

Erwin is a citrus farmer in Florida. In 2025, he has a record crop with gross income nearly double that of 2023 and 2024 (the two prior years). In the prior two years, a cold frost had damaged a large percentage of his crop, which caused his income to be much lower in those years. For 2025, Erwin elects to average his farming income by filing Schedule J. His taxable income for 2025 may be averaged with the corresponding amounts for the previous three years, which may significantly reduce his tax liability in the current year.

Net Operating Losses for Farmers

Farming losses qualify for different carryback periods than other business types. In 2025, most businesses are required to carry their losses forward. Farmers are permitted two choices:

- **2-year Carryback:** Farmers have the option to carry back their NOL two years. This means they can apply their loss to the income from the previous two years, which could potentially result in a tax refund for those years. The farmer must apply the NOL to the earliest year first.
- **Waive Carryback and Carryforward:** Alternatively, farmers can elect to waive the carryback period entirely and instead carry forward their NOL to offset income in future years. The NOL can be carried forward indefinitely, but it is subject to an 80% limit. Once this election is made, it is irrevocable.

Individual farmers who choose to carry back their net operating loss (NOL) may use either Form 1045 or Form 1040-X. Form 1045 allows for a faster refund, but it must be filed within a shorter

time frame. With Form 1045, the farmer can apply their NOL to all carryback years. However, when using Form 1040-X, the farmer will need to file a separate form for each carryback year in which the NOL is applied.

Generally, the farmer must file Form 1045 on or after the date they file their tax return for the NOL year, but no later than one year after the end of the NOL year. For example, if a farmer incurs a net operating loss in 2025 and wants to carry back the loss from 2025 to 2023, the farmer must file Form 1045 no later than December 31, 2026.

Farming businesses that are organized as corporations can carry back their losses, as well. Form 1139 is used by a C corporation to apply for a quick refund.

Example

Sunshine Grass Farms, Inc. is a C corporation that grows and sells sod. In 2025, the business has a net operating loss of (\$12,000). This is the first NOL that the business has incurred; all prior years have been profitable. Since it is a qualified farming business, Sunshine Grass Farms may choose a 2-year carryback or may elect to carry forward its losses indefinitely. Sunshine Grass Farms chooses to carry back its losses two years, applying the NOL to the earliest year first. In 2023, the business had \$10,000 in taxable income. The loss is first applied to 2023, resulting in a refund. The remaining \$2,000 in losses are applied to 2024, when the business had \$14,000 in taxable income. Sunshine Grass Farms is a C corporation, so it uses Form 1139, Corporation Application for Tentative Refund, to apply for a quick refund of taxes due to the carryback of its NOL. Sunshine Grass Farms must file Form 1139 within 12 months of the end of the tax year in which its NOL arose.

Notes & References

1. Generally, growing crops are not required to be included in inventory unless they have a pre-productive period of more than two years. Plants with a pre-productive period of less than two years include many common crops such as corn and wheat; plants with more than two years include many fruit and nut trees and grape vineyards. The Tax Cuts and Jobs Act also includes new provisions on inventory that apply to farmers.
2. The accrual-method restrictions do not apply to an S corporation or a business operating a nursery or sod farm, or the raising or harvesting of lumber or trees (other than fruit and nut trees).
3. The shorter MACRS recovery period does not apply to grain bins, cotton ginning equipment, fences, and other land improvements (whether new or used).
4. The 200% declining-balance provision applies to 3, 5, 7, and 10-year property used in a farming business. For 15-year or 20-year property, the farmer should continue to use the 150% declining-balance method.
5. The §179 property list does not include poultry.

6. A C corporation must file Form 1139 within 12 months of the end of the tax year in which an NOL, net capital loss, or unused credit arose. A corporation can also get a refund by filing Form 1120-X.

STUDY UNIT 16

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following business activities would not be considered a farming business?
 - a) A dairy.
 - b) A hog farm.
 - c) A vineyard.
 - d) A dog breeder.
2. With regards to farmers, what is Schedule J used for?
 - a) Schedule J is used to report farm-related casualty losses.
 - b) Schedule J allows a farmer to use income-averaging.
 - c) Schedule J allows a farmer to deduct his home office.
 - d) Schedule J allows a farmer to report estimated payments.
3. Natsuo is a qualified farmer who usually sells 500 beef cattle every year. However, because of a severe drought, he was forced to sell 800 beef cattle this year. Which of the following statements is correct?
 - a) Natsuo may choose to postpone all of the gain in this transaction.
 - b) Natsuo may choose to postpone a portion of his gain in this transaction.
 - c) Natsuo must use the accrual method in order to postpone gain.
 - d) Postponement of gain is not allowed.
4. All of the following should be included in farming inventory except:
 - a) Farming machinery.
 - b) Livestock held primarily for sale.

- c) Farm feed or seed.
 - d) Supplies that become a physical part of items held for sale.
5. Enoch owns 150 acres of farmland that he rents to other farmers. His income from the rental is a crop-share and based on the productivity of the tenant-farmer. He does not actively participate in any of the farming activities. How should the income from this activity be reported?
- a) As ordinary income on Schedule C.
 - b) As farming income on Schedule F.
 - c) As rental income on Form 4835.
 - d) As passive income on Schedule E.
6. All of the following would be considered section 1245 property except:
- a) A single-purpose greenhouse.
 - b) A grain silo.
 - c) A wire chicken coop.
 - d) A barn that houses cows and horses and also serves for the storage of supplies.
7. Oliver is a farmer who normally grows peanuts. However, in 2025, he doesn't grow any crops. Instead, Oliver receives \$43,000 in agricultural program payments after refraining from growing any crops. How should these agricultural program payments be reported?
- a) As "other income" on Oliver's individual Form 1040, Schedule 1.
 - b) On Schedule E, Supplemental Income and Loss.
 - c) As farm income on Schedule F, not subject to self-employment tax.
 - d) As farm income on Schedule F, subject to self-employment tax.
8. Rowan owns a dairy farming business and has income from the following sources. What amount of income should be reported on Rowan's Schedule F, Profit or Loss from Farming?

Income from milk production **\$50,000**

Sale of old dairy cows no longer producing milk **\$20,000**

Sale of grain that was grown on the farm **\$15,000**

Sale of used farm machinery **\$4,000**

- a) \$50,000

- b) \$65,000
- c) \$74,000
- d) \$85,000

9. Which of the following would be an example of a potential Section 1231 asset for a farming business?

- a) A tractor.
- b) Inventory.
- c) Livestock feed.
- d) Fertilizer.

10. The typical carryback period for farming losses in tax year 2025 is:

- a) One year.
- b) Two years.
- c) Five years.
- d) Losses cannot be carried back.

11. Holly grows organic heirloom tomatoes and also raises pedigreed goats on her 200-acre farm. She also rents a portion of her farmland to a sharecropper. Holly is an accrual-basis farmer who has the following income in the current year. What amount of farming income must Holly report on Schedule F?

Rental of farmland in which she did not materially participate **\$30,000**

Sale of harvested tomatoes **\$145,000**

Gain from sale of goats held primarily for breeding **\$85,000**

Crop insurance payments **\$115,000**

- a) \$145,000
- b) \$260,000
- c) \$290,000
- d) \$345,000

12. To be eligible as a “qualified farmer” and not have to pay quarterly estimated taxes during the year, what amount of a farmer’s gross income must be from farming activities?

- a) $\frac{1}{2}$
- b) $\frac{1}{3}$
- c) $\frac{2}{3}$
- d) $\frac{3}{4}$

13. DeRose Farms, LLC is a qualified farming business that grows soybeans. On November 15, 2025, the company's entire soybean crop was destroyed by a flood. If the crop had not been destroyed, DeRose Farms would have normally harvested the soybeans the following year, in 2026. The business receives federal disaster payments on December 30, 2025. Which of the following statements is correct?

- a) DeRose Farms can choose to postpone the income from this disaster payment until 2026.
- b) Disaster payments are never taxable income; they are exempt from tax.
- c) DeRose Farms must report the federal disaster payments on its 2025 return.
- d) DeRose Farms may delay recognition of the federal disaster payments for two years.

14. What is the "Crop Method" of accounting?

- a) The crop method of accounting allows farmers to delay expense recognition for crops that they sell in the year after they are sown.
- b) The crop method of accounting allows farmers to delay expense recognition for at least three years after they harvest their crops.
- c) The crop method of accounting is an accrual-basis accounting method.
- d) The crop method of accounting does not exist.

15. Which of the following statements about farmers is correct?

- a) Gross income from farming includes capital gains from the sale of equipment.
- b) An individual who grows a large garden can be considered a farmer for tax purposes.
- c) A farmer does not have to report income from crop insurance payments.
- d) A farmer who is a sole proprietor may use income averaging to reduce their tax liability.

16. Farm income averaging is computed on Schedule J, which may be filed:

- a) For the current year, when a taxpayer files Schedule F showing a net operating loss.
- b) For the current year, when a taxpayer files Schedule F showing net income from farming.

- c) For the current year, along with Schedule C.
 - d) As an amended return showing the past three years of farming income.
17. What of the following conditions will force a farming business to use the accrual method?
- a) A farming business that carries inventory, with average gross receipts of \$15 million.
 - b) A farming corporation that is also a tax shelter.
 - c) A farming business that files a Schedule F and has over \$25 million in gross receipts.
 - d) A farming business that operates as a general partnership.
18. All of the following are acceptable methods for valuation of farm inventory except:
- a) Cost method.
 - b) Farm-price method.
 - c) Unit-livestock-price method.
 - d) Harvest discount method.
19. Chandler is a farmer who owns a breeding stallion that was born on his farm several years ago. The stallion has been used for insemination and breeding riding horses. He sold the stallion on May 8, 2025, for \$6,500. Expenses related to the sale were \$350, which is the commission he paid the livestock auction. Chandler has deducted \$1,000 in costs of raising the stallion during the years the animal was raised. What is the farmer's gain or loss on the sale of the stallion?
- a) \$(350) loss
 - b) \$1,350 gain
 - c) \$5,150 gain
 - d) \$6,150 gain

STUDY UNIT 16

Answer Key & Explanations

1. The answer is **D**.

A business that sells or breeds household pets (like cats and dogs) is not a qualified farming business. Certain associated businesses file on Schedule C instead, including veterinary

businesses; businesses that only supply farm labor, equipment, or supplies; pet breeders; and businesses providing agricultural services (like soil prep and fertilization) that do no actual farming.

2. The answer is B.

Schedule J, Income Averaging for Farmers and Fishermen, allows a farmer to average income over the prior three years to lower current-year tax liability.

3. The answer is B.

Natsuo may postpone a portion of his gain to the following year. If a farmer sells more livestock (including poultry) than normal because of a drought, flood, or other weather-related condition, he may postpone reporting the gain from the additional animals. The farmer must use the cash method of accounting to do so.

4. The answer is A.

Farming machinery and equipment is a depreciable asset and is therefore not included in the calculation of inventory.

5. The answer is C.

Enoch reports the “sharecrop” rental income on Form 4835. Rent for the use of farmland is generally rental income, not farm income. If the farmer does not materially participate and the rent is based on the tenant-farmer's productivity, it goes on Form 4835 and is not subject to self-employment tax. A flat-cash rental with no services would instead be reported on Schedule E.

6. The answer is D.

Section 1245 typically excludes buildings and structural components, but single-purpose agricultural or horticultural structures are an exception. A barn for cows and horses that also holds supplies is not a “single-purpose” structure, so it is not section 1245 property.

7. The answer is D.

Oliver must report the \$43,000 in agricultural program payments on Schedule F, and the full amount is subject to self-employment tax.

8. The answer is B.

Rowan's Schedule F income is milk production plus grain sales (\$50,000 + \$15,000 = \$65,000). The sale of old dairy cows and used machinery is not reported on Schedule F — depreciable machinery and livestock held for dairy purposes are reported on Form 4797, Sales of Business Property.

9. The answer is A.

A tractor is a section 1231 asset (if held more than a year) because it is depreciable machinery used in a business. Inventory is not a capital asset; fertilizer and livestock feed are not assets at all — those costs are currently deductible as business expenses.

10. The answer is B.

In 2025, the NOL carryback period for farming losses is two years. Farmers may instead elect to waive the carryback entirely and carry losses forward indefinitely.

11. The answer is B.

Holly's Schedule F farming income is \$260,000: \$145,000 sale of harvested crops + \$115,000 crop insurance payments. Sharecrop rental income is rental income, not farm income; the gain on breeding livestock is reported on Form 4797, not Schedule F. Insurance/disaster proceeds are taxable as ordinary income when received; a cash-basis farmer may elect to postpone them one year, but an accrual-basis business cannot.

12. The answer is C.

An individual is a qualified farmer if at least two-thirds of gross income from all sources is from farming. These special rules apply only to self-employed farmers, not corporations.

13. The answer is A.

DeRose Farms can delay recognizing income on the federal disaster payments until the following tax year. Disaster relief payments are taxable as ordinary income but may be included in income the year following the year awarded, provided the business can prove the crops would have been harvested or sold the following year.

14. The answer is A.

With IRS approval, qualified farmers can use the crop method to delay expense recognition. Farmers who do not harvest and sell a crop in the same year it is planted may capitalize the

production costs and deduct the entire cost of planting and producing the crop in the year they realize the income.

15. The answer is D.

Certain farmers may average current-year farm income over the three prior years, which can lower current tax if the current year is high and a prior year was low. Income averaging is available only to farmers and fishermen operating as sole proprietors or partnerships and is reported on Schedule J.

16. The answer is B.

Farm income averaging is computed on Schedule J for the current tax year. A farmer electing income averaging files Schedule J along with a Schedule F showing net farming income.

17. The answer is B.

Most farmers may use the cash method if average annual gross receipts for the three preceding tax years are \$31 million or less (2025), including businesses that carry inventory. However, all tax shelters must use an accrual method regardless of the type of business activity.

18. The answer is D.

The “harvest discount method” does not exist. The cost method, farm-price method, and unit-livestock-price method are all acceptable for valuing farm inventory.

19. The answer is D.

The gain on the sale of the stallion is \$6,150 (\$6,500 – \$350 costs of sale). The \$1,000 expense of raising the stallion was already deducted as the animal was raised. Sale expenses on breeding livestock are deducted from gross sales price and reported on Form 4797 as a long-term gain.

STUDY UNIT 17

Tax-Exempt Organizations

Further reading: IRS Publications 557, 598, 1828, 526, 561, and 4302

The tax-exempt sector under section 501(c) of the Internal Revenue Code encompasses a vast range of tax-exempt organizations, numbering about 1.5 million and varying in size and purpose. According to the U.S. Government Accountability Office, the tax-exempt sector accounts for about one-tenth of the U.S. economy in terms of spending and has a workforce that is comparable in size to other large sectors such as food and lodging.

Charitable organizations heavily rely on donations from donors to finance their operations. Nonprofit organizations are usually not required to pay income tax and are eligible for certain benefits under tax law; however, some of their income may be subject to taxation if it comes from unrelated business activities. Despite their tax-exempt status, nonprofit organizations must still comply with numerous reporting and recordkeeping requirements mandated by federal tax laws.

Exempt Entities in General

A majority of nonprofit organizations are eligible for tax-exempt status under section 501(c) of the Internal Revenue Code. Within this broad category, there are two types of exempt entities: 501(c)(3) charities and “other” 501(c) entities. This second group includes non-charities such as social clubs, labor unions, and nonprofit political organizations.

The 501(c)(3) designation is reserved for organizations that have a charitable focus. These organizations do not have to pay income tax on their charitable activities and can receive tax-deductible charitable contributions from donors. To qualify for these benefits, an organization must file an application with the IRS and must meet the following requirements:

- **Organization:** It must be organized as a corporation, a trust, or an unincorporated association, and its purpose must be limited to a qualified exempt purpose.
- **Exempt Purpose:** It must have one or more exempt purposes as listed under section 501(c)(3): charitable, educational, religious, scientific, literary, fostering national or international sports competition, preventing cruelty to children or animals, or testing for public safety.
- **Operation:** A substantial portion of its activities must be related to its exempt purpose(s). Further, a 501(c)(3) organization must:
 - Refrain from political campaigning and any actions that can be seen as supporting a specific candidate or issue.
 - Restrict its lobbying activities to an “insubstantial” part of its total activities.
 - Grants, donations, and activities may not assist any private election campaign or endorse any political candidates for public office.
 - Ensure that its earnings do not benefit any private shareholder or individual.
 - Not operate for the benefit of private interests, such as those of its founder, the founder's family, or its shareholders.

- Not operate for the primary purpose of conducting a trade or business that is not related to its exempt purpose.

A nonprofit entity cannot be structured as a partnership or sole proprietorship, as it is intended to serve a greater purpose rather than profit for individual owners.

The organization may be formed as a corporation, trust, or association, dedicated to a bona fide exempt purpose. This ensures that the entity remains focused on its mission and serves the public good without conflicts of interest.

Example

Hans Friedman is a wealthy business owner. He forms the Friedman Charitable Trust. When Hans fills out the exemption application, he states that the organization will provide college scholarships and grants to low-income college students. Hans Friedman then transfers \$500,000 to the trust, taking a deduction for his donation. During the year, the Friedman Charitable Trust awarded several scholarships, but all of the scholarship “winners” were direct descendants and relatives of Hans Friedman. The IRS audits the trust and retroactively revokes its tax-exempt status. The Friedman Trust will be required to pay income taxes on all its revenue, including any donations that it received, and donors will no longer be able to deduct contributions to the organization.

Example

Andrew Smith is an ordained pastor of Summit Church, a qualified section 501(c)(3) organization. During regular services of Summit Church, and shortly before the election, Pastor Andrew preached on a number of issues, including the importance of voting in the upcoming election, and concluded by stating, “It is important that you all do your civic duty in the election and vote for Candidate Robert Weston, who is running for political office in our district.” Because Pastor Andrew’s remarks indicating support for Candidate Weston were made during an official church service, this would constitute political campaign intervention by Summit Church, which is prohibited. The church could lose its tax-exempt status (example from Publication 1828).

Applying for Tax-Exempt Status

Before applying for tax-exempt status, an organization must be created by preparing an organizing document. This is the first step (even before requesting an EIN or filing a formal application for exemption with the IRS).

The organization’s “organizing document” must limit the organization’s purposes to those set forth in section 501(c)(3) and must specify that the entity’s assets will be permanently dedicated to the specified exempt purpose(s). The document should also contain a provision for distributing funds if the organization later dissolves.

To request exempt status under section 501(c)(3), an entity must use Form 1023, Application for Recognition of Exemption. Very small organizations (except for private foundations) with annual

gross receipts that are normally \$5,000 or less are not required to file Form 1023 but must do so within 90 days of the tax year in which it exceeds this monetary threshold.

Note

Churches and similar religious organizations are not required to request a formal exemption using Form 1023, regardless of their size or the amount of revenue or donations that the church receives (although some churches do choose to request formal exemption, anyway). Churches are classified as public charities by default. As noted above, a private foundation is always required to request formal tax exemption, regardless of the amount of its gross receipts.

Applications for recognition of exemption on Form 1023 must be submitted electronically online at www.pay.gov. There is a user fee for filing this form.

Example

The Texas Cat Rescue is a qualified 501(c)(3) animal welfare organization that operates on the calendar year. The Texas Cat Rescue officially formed on March 5, 2025, with ten unpaid volunteers, all of whom are dedicated to saving cats. The organization conducts monthly adoption events, provides veterinary care for rescued cats, and runs a foster program for animals waiting for their forever homes. It has an official organizing document and an EIN that the organization's director requested from the IRS. At the end of the year, the organization had collected a total of \$24,500 in donations from the general public. Since this exceeds the threshold for the first tax year, the Texas Cat Rescue must apply for formal exemption within 90 days after the end of its first tax year.

Example

The Kid's Soccer League was created five years ago in Philadelphia, by six founding members who wanted to create a youth soccer league in their city. The organization is small and run entirely by unpaid volunteers. The Kid's Soccer League collected a total of \$4,500 in donations during its current fiscal year that ended on September 30, 2025. Since the Kid's Soccer League's annual gross receipts are less than \$5,000, it is not required to file Form 1023. However, if its receipts exceed this threshold in any future tax year, the organization will need to file Form 1023 within 90 days of the end of its tax year.

The user fee in 2025 for Form 1023 is \$600. The user fee for Form 1023-EZ is less: \$275. Form 1023-EZ is a simpler application form that is designed for small tax-exempt organizations. To qualify for the shorter Form 1023-EZ, an organization must have:

- Gross receipts of \$50,000 or less in the three prior years, and
- Assets (based on fair market value) of \$250,000 or less.

The IRS will review the organization's application and determine if it meets the requirements for exemption. If approved, the IRS will issue a letter recognizing the organization's exempt status and providing its public charity classification.

An organization that files its application within 27 months from the end of the month in which it was created will be recognized as tax-exempt retroactively, from the date of its creation. An

organization that files an application after the deadline also may be recognized as tax-exempt from the date of the application by requesting exemption retroactive to the date of creation. While an organization's application is pending approval, the organization may operate as if it were tax-exempt.

Donor contributions made while an application is pending would qualify, assuming the IRS later approves its exempt status. If the application is not approved, these contributions will not qualify. The organization would also be liable for filing federal income tax returns unless its income is otherwise excluded from federal taxation.

Example

The Bright Futures Education Fund was organized as a corporation by fifteen volunteers on January 15, 2025. Their mission is to provide scholarships and educational resources for underprivileged students in the local community. A few weeks later, the Bright Futures Education Fund submitted their Form 1023 electronically to the IRS to apply for tax-exempt status as a 501(c)(3) organization. During this time, they continued their operations and fundraising efforts as if they were already tax-exempt. Throughout the year, the organization received a total of \$68,000 in charitable contributions from various individual donors who believed in their cause. On October 1, 2025, the IRS approved the Bright Futures Education Fund's application for tax-exempt status. Since the IRS approved their application, Bright Futures Education Fund is considered tax-exempt retroactively to the date of its formation. Therefore, the \$68,000 in contributions they received while their application was pending are tax-deductible for the donors, assuming the donors itemize their deductions.

Other Section 501(c) Organizations

Other nonprofit organizations that do not qualify for exemption under section 501(c)(3) may qualify for tax-exempt status by filing Form 1024, Application for Recognition of Exemption Under Section 501(a), or Form 1024-A. Organizations use these forms to apply for recognition of exemption under section 501(a) or to receive a determination letter of IRS recognition of their exempt status. These forms must be submitted online on www.pay.gov.

Application Forms for Recognition of Exemption

Form 1023	Form 1024	Form 1024-A
Used by 501(c)(3) organizations only	501(a) organizations	Organizations exempt under Section 501(c)(4)
<i>Examples: public charities, educational institutions, animal welfare organizations, nonprofit hospitals.</i>	<i>Examples: fraternal benefit societies, business leagues, chambers of commerce, and farmers' cooperatives.</i>	<i>Examples: social welfare organizations, volunteer fire departments, and community service clubs such as rotary clubs and Lion's clubs.</i>

Remember, there are many types of organizations that qualify as nonprofit organizations, but not all exempt entities qualify to receive contributions that are deductible by the donor — for example, 501(c)(4) organizations.

These organizations include civic leagues or organizations not organized for profit but operated for the promotion of social welfare. A section 501(c)(4) social welfare organization may engage in some political activities, so long as that is not its primary activity. Contributions to these organizations generally are not deductible as charitable contributions for federal income tax purposes.

Note

There is a specific exception for volunteer fire companies. Donations to volunteer fire companies are deductible on the donor's federal income tax return, but only if made for exclusively public purposes.

There are many types of organizations that fall under different exempt categories. This list is not comprehensive. Examples of “other” exempt organizations include the following:

- **501(c)(1):** Corporations organized under an Act of Congress, including federal credit unions.
- **501(c)(4):** Civic leagues and social welfare organizations. Contributions to these organizations are generally not deductible as charitable contributions.
- **501(c)(5):** Labor, agricultural, and horticultural organizations.
- **501(c)(6):** Business leagues, chambers of commerce, real estate boards, boards of trade, and professional football leagues.
- **501(c)(7):** Social and recreational clubs.
- **501(c)(8) and 501(c)(10):** Fraternal organizations operating under the lodge system.
- **501(c)(9):** Voluntary employees' beneficiary associations (VEBAs).
- **501(c)(12):** Certain benevolent life insurance associations, mutual ditch or irrigation companies, telephone companies, and electric cooperatives.
- **501(c)(13):** Cemetery companies.
- **501(c)(14):** State-chartered credit unions and certain other mutual financial organizations.
- **501(c)(19):** Veterans' organizations.

Note

A key difference between a 501(c)(3) charitable organization and a 501(c)(4) social welfare organization is the treatment of donor contributions. Contributions to a qualified 501(c)(3) may be deductible to the donor, but contributions to a 501(c)(4) generally are not. In addition, a 501(c)(4) may engage in lobbying and some political campaign activity to a greater extent than a 501(c)(3).

Example

Some organizations operate both a 501(c)(3) charitable entity and a related 501(c)(4) social welfare entity. For example, the ACLU Foundation is a 501(c)(3) organization that can receive tax-

deductible charitable contributions, while the ACLU is a 501(c)(4) organization and contributions to it are generally not deductible as charitable contributions. Similarly, Lions Clubs International Foundation (LCIF) is a 501(c)(3) charitable organization, while Lions Clubs International (LCI) is a 501(c)(4) social welfare organization.

Public Charity or Private Foundation

Every organization that qualifies for tax-exempt status under section 501(c)(3) is further classified as either a public charity or a private foundation. All private foundations are 501(c)(3) organizations, but not all 501(c)(3) organizations are private foundations. Tax-exempt entities are automatically presumed to be private foundations unless they fall into certain categories of organizations that are specifically excluded. Generally, churches, hospitals, medical research organizations, schools, colleges, and universities are automatically classified as public charities by default.

The primary distinction between classification as a public charity or a private foundation is the organization's source of financial support. A public charity tends to have a broad base of support and accepts most of its donations from its members and the general public, while a private foundation has more limited sources of support. Generally, an exempt organization will not be considered a private foundation if it receives more than one-third of its annual support from governmental units and/or the general public.

Example

The Dallas Civil War Museum aims to preserve the heritage and history of the Civil War era. The majority of its funding comes from individual donations from the public and various fundraising events that it sponsors, so the museum is classified as a 501(c)(3) public charity. The Dallas Civil War Museum will file Form 990.

Example

The Johannes Educational Foundation supports charter schools, and 90% of its funding comes from wealthy members of the Johannes family, so it is classified as a 501(c)(3) private foundation. The Johannes Educational Foundation is required to file Form 990-PF every year.

It is crucial to determine whether an organization is classified as a public charity or a private foundation, as this has significant tax implications. Contributions made to a private foundation have more limited deductibility compared to those made to a public charity. Additionally, domestic private foundations are subject to an excise tax on their net investment income. This excise tax must be paid annually or, if the total tax for the year is \$500 or more, in quarterly estimated tax payments using Form 990-W.

Note

All private foundations must file Form 990-PF, Return of Private Foundation, every year, regardless of their income. All private foundations are required to file for formal exemption, regardless of their gross receipts, number of members, or their size.

Example

The MacMillan Children's Foundation is a private foundation that was founded by Mr. William MacMillan, a rich entrepreneur. The foundation's mission is to improve the quality of life for children with chronic illnesses through educational and recreational programs. The MacMillan Children's Foundation receives annual income of \$1,500,000, primarily from the wealthy MacMillan family, as well as from occasional fundraising events. As a private foundation, The MacMillan Children's Foundation is required to file Form 990-PF every year, regardless of its income.

Exempt Entity Filing Requirements

Every exempt organization must file an annual information return with the IRS, generally on Form 990, Return of Organization Exempt from Income Tax, unless it is specifically exempt from the filing requirement. Exceptions to the standard Form 990 filing requirement include:

- Churches and their affiliated organizations.
- Government agencies.

Example

Grace Community Church conducts weekly worship services, runs a food pantry for the needy, organizes community events, and supports mission trips. Since Grace Community Church is a church, it is not required to file Form 990 or Form 1023 for formal exemption from the IRS. However, it must still operate as a nonprofit organization and meet certain requirements to maintain its tax-exempt status. The church must request an EIN, in order to open a bank account and file payroll returns, because most churches have employees.

Amended Returns: There is no separate form to file an amended exempt entity return, like there is with other entity types. Instead, the entity uses Form 990, and checks the box on the form, marking "X" for an amended return.

Tax-exempt organizations with gross receipts of \$50,000 or less may file Form 990-N, Electronic Notice for Tax-Exempt Organizations Not Required to File Form 990. This form is also called an "e-postcard" because it is filed electronically and is short. Form 990-N must be completed and filed electronically. There is no paper version of the Form 990-N. A small tax-exempt organization may voluntarily choose to file a long-form (Form 990) instead. If an organization has gross receipts of less than \$200,000 and total assets at the end of the year of less than \$500,000, it can file Form 990-EZ. The Taxpayer First Act requires all tax-exempt organizations to file Form 990 electronically.

Example

Friends of the Knoll Library is a 501(c)(3) organization that operates on the calendar year. At the end of each month, Friends of the Knoll Library hosts a warehouse book sale, using donated books and books that have been discarded from local libraries. The funds raised by the monthly book sales help support the library. The organization had gross receipts of \$20,000 from its warehouse book sales in 2025. The organization must file Form 990-N, the e-postcard, by May 15, 2026.

Example

Angelic Equine Rescue is a 501(c)(3) animal rescue organization. The organization receives \$195,000 in donations from various fundraisers during the year. The entity's total assets are \$700,000 because the organization owns several horse stables and pastureland to house its rescue animals. Angelic Equine Rescue is required to file Form 990 (i.e., the “long form”) because its total assets exceed \$500,000. It cannot file Form 990-N or Form 990-EZ.

Example

As a religious organization, Calvary Methodist Church is not required to file an application for exemption in order to be recognized as tax-exempt by the IRS. Calvary Church applies for an EIN as an exempt entity and begins regular worship. In the same year, Calvary Church hires three employees: a part-time pastor, a Sunday childcare worker, and a music leader. Although Calvary Church does not have to file Form 990, the church is still required to file employment tax returns and remit and collect employment taxes from its employees, as is the case with other types of employers.

Exempt Entity Filing Requirements

Exempt Entities: Financial Activity	Annual Information Return Required
Gross receipts normally $\leq$ \$50,000	Form 990-N (e-postcard)
Gross receipts $<$ \$200,000, and total assets $<$ \$500,000	Form 990-EZ
Gross receipts $\geq$ \$200,000, or total assets $\geq$ \$500,000	Form 990
Unrelated business income of \$1,000 or more	Form 990-T
A private foundation (must file every year)	Form 990-PF
Churches, mosques, synagogues, and similar religious organizations	No Form 990 filing requirement, but may need payroll returns and/or Form 990-T if there are employees and/or unrelated business income.

An exempt entity may choose to file on a fiscal-year or a calendar-year basis. The applicable annual information return is due by the fifteenth day of the fifth month after the year ends. For a calendar-year entity, the due date is May 15. The extended due date for calendar-year exempt

entities is November 15. Exempt entities may request a six-month extension of time to file by filing Form 8868, Application for Extension of Time to File an Exempt Organization Return.

Example

Little League Baseball, Inc. is an incorporated 501(c)(3) entity that has local chapters in every state. Little League Baseball reports its tax-exempt activities using a fiscal year beginning October 1 and ending September 30 of each year. This is an example of a fiscal year, which is any 12-month period not ending in December.

If the organization has been dissolved and is no longer in operations, the final return is due by the fifteenth day of the fifth month after the dissolution.

A section 501(c)(3) organization must make its exempt application (Form 1023) and its three most recent annual returns (Form 990) available to the public. The IRS also makes these documents available for public inspection and copying. Every tax-exempt entity must have an EIN, regardless of whether or not it has employees.

Charitable Contributions – Disclosure Requirements

The IRS enforces regulations on donors who make charitable contributions and requires charitable organizations to follow disclosure rules for certain contributions received from donors. Donors must keep a record of their contribution before they can claim any charitable deduction on their federal tax returns.

For single contributions of \$250 or more, donors are required to obtain a written acknowledgment (a written receipt) from the organization to claim a charitable deduction.

Charitable organizations must provide a written statement when accepting “quid pro quo” contributions where donors receive goods or services in return for a single payment over \$75. For example, if a donor gives a charity \$100 and receives a concert ticket valued at \$40, the donor has made a “quid pro quo” contribution. Noncompliance can result in penalties for the organization.

An organization may use any reasonable method to estimate the fair market value (FMV) of goods or services it provided to a donor, as long as it applies the method in good faith.

Example

The Arlington Educational Foundation is a charitable 501(c)(3) organization that holds an annual art gala with a fundraising dinner every year. Patrons of the Arlington Educational Foundation pay \$700 for a ticket to attend the dinner, which includes a catered meal as well as a live classical music performance by a famous performer. The fair market value of the meal and entertainment is approximately \$150. The foundation gives each donor a written statement showing the value of the event (the meal and entertainment) as well as the tax-deductible amount of their donation. In this case, \$550 of the donation is tax-deductible to the donor, and \$150 (the value of the meal and the concert) would not be tax-deductible.

Goods or services that have an insubstantial value that a charitable organization provides in exchange for contributions do not have to be described in the contemporaneous written acknowledgment. For example, this exception applies if a charitable organization gives donors discounts on purchases from their gift shop or small items such as keychains with their logo on it.

Example

Once a year, for a donation of \$200, the Saratoga Fine Arts Museum provides an evening tour of the museum conducted by a famous artist, Leonardo De Valencia. The artist normally does not provide tours on a commercial basis, and he only does the tours to help support the museum. Tours of the museum normally are free to the public. A good faith estimate of the FMV of the evening museum tour is \$0 even though the artist conducts it. The Saratoga Fine Arts Museum is not required to issue a written disclosure to the donor, and the donor may fully deduct their donation, provided that they have a valid record or a receipt of the amount that they spent.

Penalties for Non-Filing Form 990

It's crucial for organizations to have systems in place to ensure timely and accurate filing of all required forms and returns. Failure to do so can lead to severe consequences, including the revocation of tax-exempt status.

An exempt organization that fails to file a required return may be assessed a penalty for each day the return is late. The penalty applies on each day after the due date that the return isn't filed. The same penalty may apply if the organization provides incorrect information on the return.

The late filing penalty for Form 990 is \$25 a day, not to exceed the lesser of \$13,000 (for 2025) or 5% of the gross receipts of the organization for the year, unless the organization shows that the late filing was due to reasonable cause. Organizations with annual gross receipts exceeding \$1,309,500 (for 2025) are subject to a penalty of \$130 for each day the failure continues (with a maximum penalty for any single return of \$65,000). The penalty applies on each day after the due date that the return is not filed.

An organization's exempt status may be automatically revoked for failure to file an annual information return for three years in a row. In this case, the organization would be required to reapply for exemption. However, no penalty will be imposed if reasonable cause for failure to timely file can be shown.

Example

The Green Planet Foundation is a non-profit organization with the mission to promote environmental awareness among local communities. Five years ago, the foundation was granted tax-exempt status under section 501(c)(3) of the Internal Revenue Code. This allowed them to receive tax-deductible charitable contributions. However, due to a change in leadership and administrative oversight, the organization failed to file its annual information return, Form 990, for three consecutive years, for 2022, 2023, and 2024. The IRS sent multiple letters and warnings, but the organization ignored the letters. As a result, in 2025, the IRS automatically revoked the

organization's tax-exempt status for failure to file Form 990 for three consecutive years. This revocation was a significant setback for the Green Planet Foundation, as it not only lost its tax-exempt status but also its credibility among donors. To regain its tax-exempt status, Green Planet Foundation had to reapply by filing Form 1023 with the IRS. The process was time-consuming and costly. In the meantime, the Green Planet Foundation had to operate as a taxable entity, which significantly impacted its operations and fundraising activities.

If an organization's tax-exempt status was automatically revoked for failing to file a return or notice for three consecutive years, it must apply to have its tax-exempt status reinstated by filing either Form 1023 or Form 1024 and paying the appropriate fee.

An organization that has lost its tax-exempt status through automatic revocation may be required to file one of the following federal income tax returns and pay any applicable income taxes:

- Form 1120, U.S. Corporation Income Tax Return, or
- Form 1041, U.S. Income Tax Return for Estates and Trusts.

In addition, a 501(c)(3) organization that loses its tax-exempt status cannot receive tax-deductible contributions and will not be identified by the IRS as eligible to receive tax-deductible contributions. To have its tax-exempt status reinstated, the organization must reapply for exemption. An organization may request retroactive reinstatement as part of its application.

Note

Tax-exempt organizations that are required to file electronically, but do not, are deemed to have failed to file their return. This is true even if a paper return is submitted, unless the organization files by paper to report a name change. The use of a paid preparer does not relieve the organization of its responsibility to electronically file their return if required to do so by law.

Exempt Entities with Employees

Just like other businesses, exempt organizations are subject to the basic requirements for tax and wage reporting compliance, calculating withholding, making deposits, and keeping tax and reporting records. Even though some organizations (such as churches) are not required to file Forms 990, any entity with employees must withhold and remit income and Social Security and Medicare taxes on its employees' wages, and some exempt organizations are also responsible for Federal Unemployment Tax (FUTA).

Under current law, some organizations may be subject to an excise tax on the exempt organization's executive compensation exceeding \$1 million (per covered employee). The excise tax is 21% on executive compensation over \$1 million per covered employee. This is also called the excise tax on "excess executive pay." An employee will be treated as a "covered employee" if the employee is one of the entity's five highest-paid employees. Note that once an employee is classified as a covered employee, they will continue to be a covered employee for that organization, even if their compensation is no longer in the list of the top five highest employees in a

future tax year. The excise tax is reported and paid using Form 4720. It is due on the 15th day of the fifth month after the end of the employer's taxable year.

Example

Ivy League University is an educational institution (a private college) and an exempt 501(c)(3) organization. Ivy League University pays its football coach an annual salary of \$2.5 million. The University is required to file Form 4720, reporting the “excess executive pay” and a 21% tax on the \$1,500,000 in excess salary above the \$1 million threshold.

Unrelated Business Income Tax (UBIT)

Although an exempt organization must be operated primarily for tax-exempt purposes, it may engage in income-producing activities that are unrelated to those purposes, so long as these activities are not a substantial part of the organization's regular activities. Income from unrelated business activities is subject to a federal tax called the unrelated business income tax (UBIT).

Due to the Tax Cuts and Jobs Act, an exempt organization carrying on more than one “unrelated business activity” must now separately calculate UBTI for each activity. As a result, losses from one unrelated business activity cannot be used to offset income derived from another trade or business. A typical example of an “unrelated business activity” is a school cafeteria that is operated for profit on a college campus. Unrelated business taxable income (UBTI) reported by an exempt entity would be subject to the normal corporate income tax rate of 21% instituted by the TCJA. For most organizations, an activity is considered an unrelated business activity and subject to UBIT if:

- It is a trade or business,
- It is regularly carried on, and
- It is not substantially related to furthering the exempt purpose(s) of the organization.

Example

Blessed Heart Church owns a parking lot that is used by church members and visitors while attending Sunday church services. The church charges \$1.00 per car to park in the lot. This nominal parking fee paid to the church by its own congregation would not be subject to UBIT. However, if Blessed Heart Church operated a daily parking lot for use by the general public, the parking fees would be potentially taxable and must be reported as unrelated business income on Form 990-T, if required.

Example

Artistic Pathways is a 501(c)(3) organization whose exempt purpose is to stimulate and foster public interest in the fine arts by promoting art exhibits and sponsoring cultural events. Artistic Pathways also leases studio apartments exclusively to artist tenants and operates a dining cafeteria primarily for these tenants. The leasing activity and the cafeteria activity do not contribute

importantly to accomplishing the organization's exempt purpose. Therefore, they are unrelated trades or businesses.

An exempt organization that has \$1,000 or more of gross income from an unrelated business must file Form 990-T by the fifteenth day of the fifth month after the tax year ends. An exempt organization must make quarterly payments of estimated tax on unrelated business income if it expects its tax for the year to be \$500 or more. Any tax due with Form 990-T must be paid in full when the return is filed, but no later than the date the return is due (determined without extensions).

Exempt entities are required to calculate UBIT separately for each unrelated trade or business. As a result, losses from unrelated business activity cannot be used to offset income derived from another trade or business. Schedule M (Form 990-T), Unrelated Business Taxable Income for Unrelated Trade or Business, is used where there are two or more unrelated businesses.

Example

Hastings University enters into a multi-year contract with a company to be its exclusive provider of sports drinks for the athletic department and concessions. As part of the contract, the university agrees to perform various services for the company, such as guaranteeing that coaches make promotional appearances on behalf of the company. The university itself is a qualified nonprofit organization, but the income received from the exclusive contract is subject to UBIT. Hastings University is required to file Form 990-T.

Example

The Fresno Methodist Church is a qualified religious organization. The church owns a large building where it holds regular religious services. The building has four small offices on the second floor, which the church rents to commercial tenants. The church also owns a religious bookstore, where Bibles, religious books, and gifts can be purchased by the general public. The bookstore has two regular employees who work there full-time. Although the church is not required to file an annual information return (Form 990), the church is required to file employment tax returns for the employees of the bookstore, and the church is also required to file Form 990-T to report the rental income received from the office tenants. The church must also report the income that is generated by the bookstore on Form 990-T.

Example

Windsor State College is a qualified exempt organization. The school negotiates discounted rates for the food it purchases for its dorm residents in return for an exclusive provider arrangement. Generally, discounts are considered an adjustment to the purchase price and do not constitute gross income to the purchaser. Thus, the amount of the negotiated discount is not considered unrelated business income. The college is not required to file Form 990-T.

Any trade or business in which substantially all the work is performed for the organization by a volunteer workforce is not treated as an unrelated trade or business for tax purposes.

Example

The Brookville Volunteer Fire Association is a volunteer firefighter company that conducts monthly public dances as a fundraising activity. The fire association charges a small, \$10 admission fee at the door. All of the work at the dances is performed by unpaid volunteers, so the activity is not treated as an unrelated trade or business.

Notes & References

1. The law requires all 501(c)(4) organizations to file a notice of registration with the IRS within 60 days of formation. Form 8976, Notice of Intent to Operate Under Section 501(c)(4), must be e-filed; there is no paper form.
2. Publication 557, Tax-Exempt Status for Your Organization, includes a comprehensive list of other types of entities that qualify under section 501(c).
3. From Publication 1828: if a church leases its parking lot to a third party who operates it and pays rent to the church, those payments are not subject to tax, as they constitute rent from real property.
4. A volunteer fire company or similar organization may be exempt as a social welfare organization if its members are actively engaged in firefighting and similar disaster assistance.

STUDY UNIT 17

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following statements about churches is correct?
 - a) A church must always file for formal exemption.
 - b) A church is not required to file an annual information return.
 - c) A religious entity does not have to file payroll tax returns if it has employees.
 - d) A church may be organized as a partnership.
2. Which kind of organization is allowed to file a Form 990-N, e-postcard?
 - a) A nonprofit with gross receipts of \$50,000 or less.
 - b) A nonprofit with gross receipts of \$75,000 or less.
 - c) A nonprofit with gross receipts of \$100,000 or less.
 - d) A nonprofit with gross receipts of \$250,000 or less.
3. An organization's tax-exempt status will be revoked if it fails to file required information returns for _____ years in a row.

- a) Two.
 - b) Three.
 - c) Five.
 - d) Seven.
4. Which of the following trusts would file Form 990, and not Form 1041?
- a) Qualified Disability Trust
 - b) Tax-exempt trust
 - c) Grantor trust
 - d) Complex trust
5. Most organizations seeking recognition of exemption from federal income tax must use specific application forms prescribed by the IRS. Which form must an animal rescue organization use in order to request recognition as a 501(c)(3) organization by the IRS?
- a) Form 1023
 - b) Form 1024
 - c) Form 990-PF
 - d) Form 990
6. Which of the following exempt organizations is not required to file an annual information return (Form 990)?
- a) An exempt literary organization with \$12,000 of gross receipts.
 - b) A Chamber of Commerce with \$26,000 of gross receipts.
 - c) A church with gross donation receipts exceeding \$1 million.
 - d) A private foundation with income of less than \$6,000.
7. Every tax-exempt entity must have _____, regardless of whether it has employees.
- a) An employer identification number.
 - b) A bank account.
 - c) A company officer.
 - d) A physical office.

8. The Sanborn Youth Baseball League is a qualifying 501(c)(3) organization that operates on a fiscal year. Its tax year ends on January 31, 2025. Its annual gross receipts are less than \$50,000. When is the organization's Form 990-N due?

- a)** March 15, 2025
- b)** June 15, 2025
- c)** May 15, 2026
- d)** July 15, 2026

9. Christian Ministries, Inc. is a qualified religious association organized as a corporation under state law. In the current year, the organization earned \$20,000 in unrelated business income from renting an office building to business tenants. How should this income be reported?

- a)** Christian Ministries must file a Form 1120 to report the business income.
- b)** Christian Ministries is required to file Form 990-T to report the business income.
- c)** Christian Ministries will have its exempt status revoked.
- d)** Christian Ministries must file Form 990 to report the business income.

10. The Odessa Youth Softball League is a small nonprofit that was formed this year. Donations come from parents as well as members of the community. The league has gross donation receipts of \$24,000 for the year. The league's assets were \$5,000, which consisted mostly of sports equipment. What form should the Odessa Youth Softball League use to apply for exemption?

- a)** Form 1023.
- b)** Form 1024.
- c)** Form 1023-EZ.
- d)** The organization is not required to apply for exemption.

11. Child Rescue Inc. is a calendar-year nonprofit organization that helps prevent child abuse. It is required to file Form 990. What is the due date of its tax return, not including extensions?

- a)** March 15.
- b)** May 15.
- c)** July 15.
- d)** November 15.

12. All of the organizations listed below would qualify for tax-exempt status under the Internal Revenue Code except:

- a)** A Christian church with only ten members.
- b)** A political action committee.
- c)** A scholarship fund sponsored by a college alumni association.
- d)** A baseball league for children with disabilities.

13. Which of the following organizations does not qualify for tax-exempt status?

- a)** A charitable organization.
- b)** A religious organization.
- c)** A private foundation.
- d)** An educational partnership.

14. Saginaw Labrador Rescue is a calendar-year 501(c)(3) public charity that provides rescue and adoption services for abandoned and abused Labrador Retrievers. Saginaw Labrador Rescue is required to file Form 990. The organization files a timely extension. What is the extended due date of its tax return?

- a)** March 15
- b)** May 15
- c)** October 15
- d)** November 15

15. The Immaculate Heart Church of Sacramento has two employees: Guadalupe, who works as a secretary in the church rectory, and Mauricio, who is the church custodian. Which return(s) must the church file in order to fulfill its IRS reporting obligations?

- a)** Form 990.
- b)** Form 8300.
- c)** Form 941.
- d)** Form 990-PF.

STUDY UNIT 17

Answer Key & Explanations

1. The answer is B.

Churches and other similar religious organizations are not required to file an annual information return (Form 990), nor are they required to apply for formal exemption. However, if a church has employees, the entity is still required to file payroll tax returns.

2. The answer is A.

A tax-exempt organization with gross receipts of \$50,000 or less may file the short “e-postcard” Form 990-N instead of the longer Form 990, if it so chooses.

3. The answer is B.

Failure to file an annual information return for three years in a row results in automatic revocation of exempt status; the organization must reapply. The IRS has streamlined procedures for retroactive reinstatement of organizations eligible to file Form 990-EZ or 990-N.

4. The answer is B.

A tax-exempt trust files Form 990, not Form 1041. Likewise, nonprofits organized as corporations file Form 990, not Form 1120.

5. The answer is A.

Form 1023, Application for Recognition of Exemption Under Section 501(c)(3), is required to apply for 501(c)(3) status (Form 1023-EZ may be used by some smaller organizations). Only churches, affiliated religious entities, and government entities are not required to request formal exemption.

6. The answer is C.

Only the church is not required to file an annual return. Exempt organizations generally file Form 990 or Form 990-N unless specifically exempt (churches/religious organizations are exempt). Private foundations must file Form 990-PF regardless of income level.

7. The answer is A.

Every tax-exempt entity must have an EIN, regardless of whether it has employees.

8. The answer is B.

Form 990-N is due by the 15th day of the fifth month after the end of the accounting period. With a January 31 year-end, that date is June 15, 2025.

9. The answer is B.

An exempt organization with \$1,000 or more of gross income from an unrelated business must file Form 990-T. The church does not file Form 990. Section 501(c) tax-exempt entities do not file Form 1120, regardless of charitable purpose.

10. The answer is C.

The Odessa Youth Softball League should use Form 1023-EZ, which is for small organizations with gross receipts of \$50,000 or less and assets of \$250,000 or less. It could choose to use the long Form 1023 if desired.

11. The answer is B.

A calendar-year exempt organization's return is due May 15 — the fifteenth day of the fifth month after the fiscal year ends.

12. The answer is B.

A political action committee (PAC) would not qualify. If a substantial part of an organization's activities is attempting to influence legislation, exemption is denied.

13. The answer is D.

A partnership does not qualify for exemption. A tax-exempt organization cannot be organized as a partnership or a sole proprietorship.

14. The answer is D.

A calendar-year organization's return is normally due May 15; the extended due date is November 15, six months later.

15. The answer is C.

The church must file employment tax returns (Form 941) for the wages paid to its employees. Churches are not required to file information returns, but every employer — including churches — must file employment tax returns.

STUDY UNIT 18

Retirement Plans for Businesses

SIMPLE IRAs, SIMPLE 401(k)s, qualified plans, and prohibited transactions

SIMPLE IRA Plans

Example

Topaz Consulting, Inc. offers a SIMPLE IRA to its 30 employees. The company's election period is from November 2 to December 31. Pauline is a full-time employee of Topaz Consulting who makes \$40,000 per year. Last year, she chose not to make any salary reduction contributions. But in 2025, she changes her mind and wants to start saving for her retirement. Topaz Consulting matches each employee's salary reduction contribution on a dollar-for-dollar basis, up to 3% of the employee's compensation, so Pauline decides to take advantage of that. She elects to contribute 10% of her salary into the plan, which means she will contribute \$4,000 to her retirement plan. With the help of her company's HR department, Pauline changes the amount of her elective deferrals by completing and signing a revised salary reduction agreement during the election period. Topaz Consulting will match 3% of Pauline's salary, also adding that amount to her SIMPLE IRA during the year.

Example

Carlos is a full-time employee at Pixel Manufacturing. The company establishes a SIMPLE IRA plan for its 40 employees. Pixel Manufacturing decides to do nonelective contributions, which means the company will contribute a flat 2% of each eligible employee's compensation to their SIMPLE IRA, regardless of whether the employee makes their own contributions. Carlos earns \$60,000 in wages and does not contribute anything to his SIMPLE IRA for the year. 2% of Carlos's annual salary is \$1,200 ($\$60,000 \times 2\%$). At the end of the year, Carlos's SIMPLE IRA will have a total contribution of \$1,200 from Pixel Manufacturing, even though Carlos did not make any contributions himself. This nonelective contribution ensures that all eligible employees receive a retirement benefit from the employer.

Employee and employer contributions in a SIMPLE IRA are 100% vested. This means that the money an employee has put aside, including employer contributions and net earnings from investments, cannot be forfeited. The employee has the right to withdraw their own IRA funds at any time, and for any reason, but those withdrawals may be subject to income tax, as well as a penalty for early withdrawal if the participant is under the age of 59½ (covered later). While the

early distribution penalty is generally 10%, the penalty is increased to 25% if funds are withdrawn within the first two years of beginning participation in a SIMPLE IRA plan.

An employee may choose not to make any salary reduction contributions for a given year. This means that an employee is not required to contribute to their own SIMPLE IRA if they do not want to. In this case, the employee would accrue no employer matching contributions but would receive a nonelective employer contribution if the employer elects to make this type of contribution.

Example

Tenton Creamery, Inc. is a dairy processing business with 30 employees. The business has a SIMPLE-IRA plan for its employees. Tenton Creamery generally makes matching contributions of 3% of the employee's compensation. However, in 2025, the business does poorly, and revenues are down for the year. Tenton Creamery can reduce its matching contribution percentage down as low as 1% in order to conserve cash. This flexibility can help a business conserve cash flows in years when a business has a drop in revenues.

Example

Freson Ranch, Inc. is a farming corporation with 50 employees. Freson Ranch decides to establish a SIMPLE IRA plan for all its employees and will match its employees' contributions dollar-for-dollar up to 3% of each employee's salary. Under this option, if an employee does not contribute to their own SIMPLE IRA, the employee does not receive any matching employer contributions. Marla works as a full-time bookkeeper for Freson Ranch. She has a yearly salary of \$50,000 and decides to contribute 5% of her salary to her SIMPLE IRA. Marla's yearly contribution is \$2,500 (5% of \$50,000). Freson Ranch's matching contribution is \$1,500 (3% of \$50,000). Therefore, the total contributions to Marla's SIMPLE IRA that year will be \$4,000 (her \$2,500 contribution + the \$1,500 contribution from her employer).

Salary reduction contributions must be deposited with the applicable financial institution within 30 days after the end of the month in which they would otherwise have been paid to the employee. For example, amounts that were withheld from an employee's paycheck as a salary-reduction contribution in May of 2025 must be deposited into the employee's SIMPLE plan retirement account by June 30 of 2025. Matching or nonelective contributions must be made by the due date (including extensions) for filing the company's income tax return for the year. An employer can set up a SIMPLE IRA plan effective on any date from January 1 through October 1 of a year, provided the employer did not previously maintain another SIMPLE IRA plan. If a new business comes into existence after October 1, the new employer may set up a SIMPLE IRA plan as soon as administratively feasible.

Example

Fusion Pipeline, Inc. is a newly-formed sanitation business that was incorporated on November 1, 2025. The company has three employees. Even though October 1 is the "normal" deadline for an employer to set up a SIMPLE IRA for the year, Fusion Pipeline is still allowed to set up a SIMPLE IRA for 2025 because it is a new business that was formed after October 1st. Fusion Pipeline sets up

a SIMPLE IRA on November 15, 2025, for its employees, and starts making employer contributions immediately.

An employer can deduct SIMPLE IRA contributions for a particular tax year if they are made for that tax year and are made by the due date (including extensions) of the federal income tax return for that year. A SIMPLE IRA plan may not require a participant to be employed on a specific date to receive an employer contribution. If a participant terminates employment (quits their job) during the year after making a salary reduction contribution, the employee would still be entitled to an employer contribution. The employer is required to make the contributions that were promised to the employees.

Example

Omar's Butcher Shop is a sole proprietorship with one employee. Omar reports his business income on Schedule C. Omar has one full-time employee, an apprentice named Richie. In 2025, Omar sets up a SIMPLE IRA for himself and Richie. Omar deducts contributions to his own SIMPLE IRA as an adjustment to income on Schedule 1 of his Form 1040 (including contributions made for 2025 by April 15, 2026). The business' contributions to Richie's SIMPLE IRA (Omar's employee) are deductible as a regular business expense on Schedule C.

Traditional SIMPLE IRA contributions are not included in the “Wages, tips, other compensation” box of Form W-2, Wage and Tax Statement. However, salary reduction contributions must be included in the boxes for Social Security and Medicare wages. Salary reduction contributions made to a Roth SIMPLE IRA are made with after-tax dollars and must be included in Box 1 of Form W-2.

SIMPLE-IRA Rules

	Rules for Employers	Rules for Employees
Eligibility	Any employer with 100 or fewer employees who received at least \$5,000 in the preceding year.	Any employee who has earned at least \$5,000 in any 2 prior years and who is expected to earn at least \$5,000 in the current year.
Contribution Thresholds	Plans must provide either (1) a match on payroll contributions up to 3% of compensation or (2) a non-elective contribution equal to 2% of compensation.	In 2025, an employee can contribute up to \$16,500, plus an additional \$3,500 catch-up contribution if age 50 or older. Employees aged 60–63 may contribute a higher catch-up amount of \$5,250 in 2025.
Pros	Employees can make contributions. Vesting is immediate.	Employees can make contributions. Vesting is immediate.
Drawbacks	Employer matching is mandatory.	Higher-paid employees may prefer a plan with higher contribution options.

Distributions from a SIMPLE IRA

Participants can withdraw from their own SIMPLE-IRA at any time. However, early withdrawals can have serious tax implications. Unless they are rolled over, distributions are taxable in the year they are received. If a participant takes a withdrawal from a SIMPLE IRA before age 59½, a penalty tax of 10% may apply. If the withdrawal takes place within two years of initially joining the SIMPLE-IRA plan, the penalty is increased to 25%.

Example

Albert is 45 years old and has been participating in his employer's SIMPLE IRA plan for 15 months. He has accumulated \$8,500 in his SIMPLE IRA account. Albert's car breaks down, and he does not have the funds to fix it. Due to this unexpected financial hardship, Albert withdraws the entire \$8,500 from his SIMPLE IRA. Since Albert is under the age of 59½ and it's within two years of beginning his participation in the SIMPLE IRA plan, he will be subject to an early withdrawal penalty. The penalty tax is increased to 25% because the withdrawal occurs within two years of beginning participation in the SIMPLE IRA plan. So, Albert will owe a penalty of \$2,125 ($\$8,500 \times 25\%$) on his withdrawal. This penalty is in addition to any regular income tax Albert may owe on the withdrawal.

SIMPLE IRA contributions and earnings may be rolled over tax-free from one SIMPLE IRA to another. A rollover may also be made from a SIMPLE IRA to another type of IRA (such as a traditional or Roth IRA), but this can be done tax-free only after a two-year participation in the SIMPLE IRA plan. Distributions from SIMPLE IRAs must occur eventually, and SIMPLE plans are subject to required minimum distributions.

SIMPLE 401(k) Plans

A type of 401(k) plan is the SIMPLE 401(k) plan, which combines elements of a SIMPLE IRA and a traditional 401(k). This plan offers benefits from both types. Unlike a traditional 401(k), the SIMPLE 401(k) does not require the employer to conduct annual nondiscrimination testing.

This can be a major cost-saving factor for small business owners who want the benefits of a traditional 401(k) but cannot afford the expensive testing process. With a SIMPLE 401(k), employees can choose to contribute part of their salary to their retirement account. In this type of plan, the employer must contribute either:

- A matching contribution, up to 3% of each employee's pay, or
- A nonelective contribution of 2% of each eligible employee's pay.

Note

The option to reduce matching contributions down to 1% is not available for SIMPLE 401(k)s. This is one of the major differences between a SIMPLE IRA and a SIMPLE 401(k).

SECURE 2.0 Changes

- **Increased Contribution Limits:** The SECURE Act 2.0 increases the annual deferral limit and catch-up contribution limit by 10% for employers with no more than 25 employees (or employers with 26 to 100 employees who agree to provide a higher employer contribution).
- **Mid-Year Plan Conversion:** Employers can now convert from a SIMPLE IRA to a SIMPLE 401(k) plan mid-year, effective for plan years starting on or after January 1, 2024.

All employees are totally vested in any and all contributions. This means that the employee can withdraw from their SIMPLE 401(k) at any time. Unlike an IRA, participant loans are permitted from SIMPLE 401(k) plans. The loan feature can be offered to participants in both SIMPLE 401(k) plans and traditional 401(k) plans, but loans are never permitted from an IRA.

Example

Rhodes owns a successful restaurant in Houston, Texas, called Fusion Foods, Inc. As his business grows, he realizes the importance of setting up a retirement plan for himself and his 20 full-time employees. Rhodes is considering between two options: a SIMPLE 401(k) plan and a SIMPLE IRA. He understands that both plans offer tax advantages and can help him and his employees save for retirement. However, there's one feature that makes a significant difference for Rhodes — the ability to take out participant loans. Rhodes has ambitious plans to expand his restaurant business. Having the option to borrow from his retirement plan could be a financial lifeline in such situations. After careful consideration, Rhodes decides to go with the SIMPLE 401(k) plan for his business. The loan feature gives him the flexibility he needs as a business owner, making it a more flexible choice, as compared to a SIMPLE IRA, which does not permit loans.

In order to establish a SIMPLE 401(k) plan, the business:

- Must have 100 or fewer employees.
- Cannot have any other retirement plans.
- Needs to file a Form 5500 annually.

A SIMPLE 401(k) plan can be adopted if the business meets the 100-employee limit discussed above and does not maintain another qualified retirement plan. Elective deferrals for SIMPLE 401(k) plans are limited to the same contribution limits that apply to SIMPLE IRAs. An employee can elect to make salary reduction contributions as a percentage of his compensation, but not more than \$16,500 in 2025. An employee aged 50 or over can also make a catch-up contribution of up to \$3,500 in 2025. Employees aged 60–63 may contribute a higher catch-up amount of \$5,250 in 2025.

Note

There are some notable differences between traditional 401(k)s and SIMPLE 401(k)s. Unlike a traditional 401(k), employee contributions to a SIMPLE 401(k) are fully vested. This is good for the employee, but not good for the employer offering the plan. With a traditional 401(k), employer contributions can be subject to a vesting schedule, which has been shown to help reduce employee

turnover. The other drawback to a SIMPLE 401(k) is that contribution limits for a SIMPLE 401(k) plan are lower than the limits for the traditional 401(k) plan.

SIMPLE 401(k) Rules

Pros	Cons
• The plan is not subject to the discrimination rules that apply to traditional 401(k) plans. • The plan may offer optional participant loans and hardship withdrawals to add flexibility for employees. • Inexpensive to start. • Employees and employers may contribute.	• No other retirement plans can be maintained if a business has a SIMPLE. • Withdrawal and loan flexibility adds an administrative burden for the employer. • Not available to larger employers with more than 100 employees. • The plan must file Form 5500 annually.

SIMPLE Plan Terminations

SIMPLE retirement plans cannot be terminated mid-year and must run on a calendar-year basis. A business cannot suspend its employer-matching contributions in the middle of the year. The business must maintain the plan for a full calendar year (except in the first year the business establishes the plan). This is regardless of whether the employer operates on a fiscal year or a calendar year. Under the SECURE 2.0 Act, an exception applies allowing an employer to terminate a SIMPLE IRA plan mid-year if they are replacing it with a safe harbor 401(k) plan.

Note

SIMPLE IRA and SIMPLE 401(k) plans cannot be terminated in the middle of the year (unless replacing the plan with a safe harbor 401(k)). They can only be terminated at year-end and only if the employer gives timely written notice to all its employees. To terminate a SIMPLE plan effective the following year, an employer must notify its employees prior to November 2nd of that year. Employers do not need to notify the IRS that they have terminated a SIMPLE plan, but they are required to notify all the employees.

Example

Grossman Golfing Inc. is having cash-flow difficulties. As a cost-saving measure, the company decided on October 30, 2025, to terminate its SIMPLE IRA plan. On November 1, 2025, it quickly issued a notice to all its employees that it wouldn't sponsor a retirement plan in 2026. Since Grossman Golfing met the notification deadline, it can terminate its company retirement plan on January 1, 2026.

Example

Moneytree Brokerage, Inc. decides on December 18, 2025, to terminate its SIMPLE IRA plan as soon as possible. Since Moneytree Brokerage Corporation missed the 2025 notification deadline (it would have been November 2, 2025), the earliest effective date for the termination of the company's SIMPLE Plan is January 1, 2027. Moneytree Brokerage must continue to maintain the plan through 2025 and during all of 2026. The company is required to notify its employees before November 2, 2026, that it will not sponsor a SIMPLE IRA plan for 2027.

Qualified Retirement Plans

A “qualified” retirement plan is an employer benefit plan that meets specific Internal Revenue Code requirements. Most large employers offer some type of qualified plan to their employees. There are two basic kinds of “qualified” retirement plans:

- **Defined contribution plans.** Examples include a traditional 401(k).
- **Defined benefit plans.** Often referred to as a pension plan or traditional pension.

Different rules apply to each. Defined contribution plans are ones that define how much money an employee and/or employer can contribute upfront, but the retirement benefit is not guaranteed. A defined benefit plan is a type of retirement account in which the benefit is determined upfront, and the employee and/or employer is permitted to contribute the amount required to fully fund that benefit.

Example

Rupert worked as a custodian for the public school district for over 25 years. The school district offers a traditional pension to all the employees who work for the district for at least two years. When Rupert retired in 2025 at age 67, he started receiving his monthly pension benefits. Rupert will receive lifetime monthly payments until his death. Rupert has a “defined benefit” plan.

Example

Cassiopeia, age 29, earns \$36,000 in wages annually. She contributes \$3,000 of her pay to her employer's traditional 401(k) plan on a pretax basis. As a result, her taxable income is now \$33,000. She isn't taxed (for income tax purposes) on her retirement plan contributions (\$3,000), or any investment earnings, until she receives a distribution from her 401(k) plan when she finally retires. Her future benefits depend on the value of her retirement account. Cassiopeia's 401(k) is a “defined contribution” plan.

Defined benefit plans are generally more desirable for the employee (as they are not dependent on investment returns in a defined contribution plan), but they cost more money to administer and maintain. For that reason, defined benefit plans have become uncommon, except for those who work in government or public service.

Each pension plan must have a pension plan administrator. This person or entity is ultimately responsible for the oversight, management, and administration of the pension plan, and the

administration and investment of the pension fund. In general, an employee's contributions to a qualified plan are not taxed until they withdraw money from the plan.

All qualified plans are subject to federal regulation under the Employee Retirement Income Security Act (ERISA). ERISA is a federal law that sets minimum standards for retirement plans in private industry. The federal government does not require employers to establish a retirement plan for its employees, but it provides minimum federal standards for qualified plans. ERISA covers qualified retirement plans, as well as health and welfare benefit plans.

ERISA Coverage

Plans covered under ERISA	Examples of Non-ERISA plans
• Private employer-sponsored retirement plans, such as 401(k)s and most 403(b) plans. • Traditional pensions, deferred compensation plans, and profit-sharing plans. • Employee Stock Ownership Plan (ESOP).	• Traditional IRAs and Roth IRAs. • 403(b) plans sponsored by churches and 501(c)(3) tax-exempt organizations. • Governmental plans.

Among other requirements, ERISA specifies that individuals who manage plans (and other fiduciaries) meet certain standards of conduct. The law also contains detailed provisions for reporting to the government and for disclosure to participants.

Further, there are provisions aimed at ensuring plan funds are protected, and participants receive their benefits. ERISA mandates minimum funding requirements to ensure that benefits will be available to employees when they retire. For defined benefit plans, it requires that plan funding be certified by an actuary. ERISA also mandates that all qualified plans meet specific requirements regarding eligibility, vesting, and communications with participants. The administrator of an employee benefit plan subject to ERISA must file an information return for the plan each year. Form 5500, Annual Return/Report of Employee Benefit Plan, must be filed by the last day of the seventh month after the plan year ends.

Distributions from Qualified Retirement Plans

Unlike a traditional IRA or a Roth IRA, which allow for withdrawals at any time, distributions from qualified plans are usually restricted. Generally, distributions cannot be made from a qualified plan until one of the following occurs:

- The employee retires, dies, becomes disabled, or otherwise terminates employment.
- The plan terminates (for example, when a business closes).
- The employee reaches age 59½ or suffers financial hardship.

Example

Leora, age 43, takes a \$5,000 hardship distribution from her 401(k) retirement account, because she had fallen behind on her rent and was about to be evicted. She does not meet any of the exceptions to the 10% penalty, so the \$5,000 is treated as an early distribution. Leora must include the \$5,000 in her gross income for the year the distribution is received and pay income tax on it. She must also pay an additional penalty of \$500 ($10\% \times \$5,000$).

Unless a distribution is properly rolled over into another retirement plan or individual retirement account, it will be subject to income tax upon receipt. If a distribution is made to an employee before they reach age 59½, the employee may have to pay a 10% additional tax on the distribution, unless the taxpayer qualifies for an exception. The additional 10% penalty may not apply in the following situations:

- Distributions for medical expenses up to the allowed deduction amount for taxpayers.
- Disability or death.
- Distributions in the form of an annuity.
- Distributions are made because of an IRS levy on the plan.
- Distributions are made to a qualified reservist called to active duty.
- Qualified birth and adoption distributions.
- Qualified disaster recovery distributions.
- Distributions made to an employee after they have separated from service from their employer after attainment of age 55.
- Terminal illness distributions (after December 29, 2022).
- Distributions to a victim of domestic abuse.
- Distributions for certain emergency personal expenses.

Even if these distributions are not subject to the additional 10% tax, they will be subject to tax at the taxpayer's applicable income tax rate. Form 1099-R is used to report the distribution, and the distribution must be reported on the employee's Form 1040.

Example

Ollie's employer is closing down the factory where he works. Ollie is 46 and has a traditional 401(k) through his job. He receives a check that provides a lump payment of the full amount that was in his retirement plan. Ollie does an indirect rollover by depositing the entire amount into a traditional IRA with his local bank 30 days later. This is a qualified rollover, so Ollie will not owe any income tax or penalties on the distribution. He will need to report the rollover on his tax return as an "indirect rollover."

Required Minimum Distributions (RMDs) from Qualified Plans

Normally a participant in a qualified retirement plan must begin receiving distributions by April 1 of the first year following the later of:

- The participant reaches age 73 (SECURE 2.0 increased the age at which RMDs must be taken).
- The calendar year in which the participant retires from employment with the employer maintaining the plan. (If the participant is a 5% owner of the employer maintaining the plan, they cannot delay distributions until retirement. They must begin receiving RMDs by April 1 of the first year after they reach age 73.)

Defined Contribution Plans

A defined contribution plan provides an individual account for each participant in the plan. The participant, the employer, or sometimes both, may contribute to the individual participant accounts. The value of the account will fluctuate due to the changes in the value of investments that have been made with the amounts contributed.

A participant's retirement benefits depend primarily on the amount of contributions made on their behalf, rather than upon their years of service with the employer or their earnings history. Examples of defined contribution plans include 401(k) plans, 403(b) plans, and 457 plans.

For 2025, employees can contribute up to \$23,500 to their 401(k), 403(b), or 457 plan. An additional \$7,500 catch-up contribution is allowed for participants age 50 and over. Participants ages 60 through 63 are eligible for an enhanced catch-up contribution of \$11,250 for 2025, which replaces the regular catch-up contribution. Employers can also contribute. The combined employer and employee contributions for 2025 are limited to \$70,000 (this \$70,000 limit does not include catch-up contributions). Separately, an employer's total tax deduction for contributions to the plan is limited to 25% of all participating employees' aggregate compensation.

Note

While taxpayers may have access to multiple 401(k) plans from different employers, they must still abide by the overall employee contribution limit for that particular year. However, these restrictions do not apply to contributions made into an individual retirement account (IRA). It is permitted for individuals to save the maximum amount allowed by law in both a 401(k) and an IRA.

The most common type of defined contribution plan is a traditional 401(k) plan. Deferrals generally are made on a pretax basis, although some plans allow employees the option to make them on an after-tax basis. A Roth 401(k) is an example of an employer-sponsored retirement account that is funded using after-tax dollars.

Pre-tax deferrals are not subject to income tax withholding, and they are not included in taxable wages on the employee's Form W-2. However, they are subject to payroll taxes. Many financial institutions administer 401(k) plans, which can lessen the administrative burden on individual employers of establishing and maintaining these plans.

Example

Esthetics Institute Inc. is a plastic surgery clinic with 20 employees. The business offers a 401(k) plan. Jenny Smith is a nurse at Esthetics Institute who earns an annual salary of \$120,000. She is 52 years old, so she is eligible for a catch-up contribution. Jenny decides to contribute the maximum limit of \$31,000 to her 401(k) plan for the year 2025. This includes the normal contribution limit of \$23,500 and the catch-up contribution of \$7,500. Esthetics Institute Inc. offers a generous 401(k) match program. They match 100% of employee contributions up to 5% of the employee's salary. So, Esthetics Institute will contribute \$6,000 ($5\% \times \$120,000$) to Jenny's 401(k) plan. So, the total contribution to Jenny's 401(k) plan for the year 2025 would be \$37,000 (\$31,000 from Jenny and \$6,000 from Esthetics Institute). This is well within the combined employee and employer contribution limit of \$70,000 for 2025. These amounts grow tax-free for Jenny until they are distributed.

Long-Term Part-Time Employee Eligibility

Effective for plan years beginning in 2025, 401(k) and 403(b) plans must allow long-term part-time employees to participate if they have completed two consecutive 12-month periods with at least 500 hours of service. This is a reduction from the previous requirement of three consecutive years enacted under prior legislation. These employees are eligible to make elective deferrals, though employers are not required to provide matching or nonelective contributions to them.

Form 5500 Filing Requirement

Most 401(k) plans are required to file an annual Form 5500, Annual Return/Report of Employee Benefit Plan. A simpler version of the form, the Form 5500-EZ, exists for smaller plans. Form 5500-EZ is only used by one-participant plans (plans which only include business owners and their spouses). If a single-participant plan has assets that exceed \$250,000, the plan must file a Form 5500-EZ. In addition, a Form 5500 must always be filed in the final plan year of the plan (the year the plan terminates).

Example

Jerry is an enrolled agent who owns his own tax preparation firm, Jerry's Taxes, Inc., which is taxed as an S corporation. Jerry's only employee is his wife, Debbie, who works as his full-time office manager. Jerry's business has a 401(k) that covers only him and his wife. The assets in the company's 401(k) plan have never exceeded \$250,000, so Jerry has not had to file an information return in the past. However, at the end of 2025, the total assets in their company 401(k) were \$310,000. Jerry is required to file a 5500-EZ in 2025. Jerry must file the return on the last day of the seventh month after his plan year ends. Their company 401(k) is a calendar-year plan, so the Form 5500-EZ is due by July 31, 2026.

Defined Benefit Plans (Pension Plans)

A defined benefit plan (often called a "traditional pension" plan) promises a specified benefit amount or annuity after retirement. Most federal and state governments offer defined benefit plans to their employees. However, fewer and fewer private companies offer defined benefit plans because they are very costly to administer, inflexible, and with the uncertainties regarding life

expectancies of employees as well as investment returns. The benefits in most defined benefit plans are protected by federal insurance.

Example

Isaac has been working for Springfield County for the past 35 years. He started as a junior clerk and worked his way up to become an accounting supervisor. Throughout his career, Isaac participated in the county's defined benefit plan, which is a traditional pension plan. Under the terms of this plan, Isaac's pension is calculated based on his final average salary and his years of service. Upon retirement, Isaac will receive an annual pension. This amount will be paid to him for the rest of his life, providing him with a stable income in his retirement years. This is the advantage of a defined benefit plan — the pension is not dependent on investment returns and provides a predictable income stream for retirees.

Contributions to a defined benefit plan are not optional; the employer is required to make them. Usually, defined benefit plans are entirely funded by the employer, and actual contributions are based on actuarial assumptions and computations. Vesting can occur over time, according to plan terms, which usually helps reduce employee turnover.

Defined benefit plans for self-employed taxpayers do exist, but they are uncommon, due to high administration costs. Defined benefit plans are complicated to set up and costly to run. There are yearly administrative requirements, including annual actuarial calculations that must be done by a qualified professional. These administration costs can easily reach thousands of dollars per year.

Like 401(k) plans, defined benefit plans also must file a yearly information return, so the costs will also include filing and tax preparation fees for Form 5500, Annual Return/Report of Employee Benefit Plan. The retirement plan trustee must apply for an EIN for the retirement plan's trust.

While this retirement option is more costly to implement and maintain, defined benefit plans allow for significantly larger contributions than other retirement plans. A defined benefit is also a superior legal choice because creditors cannot seize defined benefit plan assets. Plans that are not ERISA-qualified do not offer the same level of protection when it comes to creditors and bankruptcy protection.

Unlike defined contribution plans, contributions to a defined benefit plan are not limited to 100% of compensation; they are based on actuarial assumptions. However, if a self-employed taxpayer does not have any taxable business income (net earnings) for the year, no contribution can be made.

The limitation on the annual benefit under a defined benefit plan in 2025 (i.e., a traditional pension) is the lower of: (1) \$280,000 or (2) the average compensation of the employee in the three highest years. However, for government plans and a few private employer plans, the average of the “three highest years” potential limit does not apply.

Note

Defined benefit plans are the most expensive retirement plans to administer and maintain. For that reason, along with the uncertain amounts that are ultimately paid to the employee (given

uncertain life expectancies and investment returns), defined benefit plans are becoming rarer in the marketplace. However, sometimes defined benefit plans are used by very high net worth individuals to legally shelter large amounts of income from tax. An example of when a defined benefit plan might be preferable might be a professional actor or famous musician with very large amounts of taxable income, but no other employees. Defined benefit plans also have the benefit of protection from creditors, even in the event of bankruptcy.

Prohibited Transactions

A prohibited transaction is a transaction between a plan and a disqualified person that is prohibited by law, or improper use of the retirement account by a disqualified person. These rules were enacted by Congress to prevent misuse of retirement account assets for personal gain. The most common type of prohibited transactions occur with self-directed IRAs.

Note

Prohibited transactions can occur with ERISA-covered plans as well, but they are rarer. The most common prohibited transaction with qualified plans is when employers fail to timely deposit participant contributions and loan repayments into the plan.

The general rule is that a retirement plan may transact with third parties but may not transact with close family members or closely held entities. A “disqualified person” may include the following:

- A fiduciary of the plan (this might include accountants, financial advisors, attorneys, etc.).
- An employer, any of whose employees are covered by the plan.
- An indirect or direct owner of 50% or more of the applicable employer.
- A member of the family of anyone described above (this includes the account holder's spouse, children, and direct ancestors, such as parents and grandparents).
- A corporation, partnership, trust, or estate of which any direct or indirect owner described above holds a 50% or more interest.
- An officer, director, or highly compensated employee of the entity administering the plan.

An initial 15% tax is applied on the amount involved in a prohibited transaction for each year (or part of a year) in a taxable period. If the transaction is not corrected within the taxable period, an additional tax of 100% of the amount involved is imposed.

These taxes are payable by any disqualified person who takes part in a prohibited transaction. If the IRA owner or beneficiary engages in a prohibited transaction, the account ceases to be an IRA as of the first day of the year. The owner or beneficiary does not pay the 15% or 100% excise taxes; instead, the assets are treated as distributed at their fair market value and are subject to regular income tax and potential early distribution penalties. If more than one person takes part, each can be jointly and severally liable for the entire amount of tax. Disqualified persons or entities may not purchase, sell, or exchange assets with the IRA account. Disqualified persons may not

rent or occupy the assets in the account (for example, if the IRA owns real estate, a disqualified person may not use it or occupy it for any reason).

Example

Tommy has a self-directed Individual Retirement Account (IRA) that owns a piece of real estate, which is currently being used as a rental property. An IRA is permitted to own real estate investments, so this is not a prohibited transaction. However, Tommy's son, Peyton, is looking for a place to live while he attends college. Tommy thinks it would be a great idea to let Peyton live in the property owned by his IRA. So, he allows Peyton to move into the property and Peyton starts living there rent-free. However, this is a prohibited transaction. Peyton, as Tommy's son, is a disqualified person. The IRS rules state that disqualified persons cannot rent or occupy real estate owned by the IRA. By allowing Peyton to live in the property, Tommy has engaged in a prohibited transaction. This will have serious consequences to Tommy and his self-directed IRA. The entire IRA could be disqualified, resulting in additional taxes and penalties.

Disqualified persons cannot:

- Use any income or assets in the plan for personal benefit.
- Receive any kind of commission or fee for purchasing or exchanging plan assets.
- Take loans from the plan or keep plan earnings for themselves.

Example

Patricio owns his own business as a sole-proprietor. He has a SIMPLE-IRA that he has set up for himself. Patricio asks his daughter, who is a financial advisor, to manage his retirement plan assets for a reasonable fee, paid directly from the retirement plan. This is not permitted. Any compensation paid to the daughter from the retirement plan would be a prohibited transaction and would immediately disqualify the plan, because children of an IRA owner are disqualified persons.

Example

Rebecca owns a retail shop. She has a SEP-IRA set up for herself and her employees. In 2025, she directs her IRA custodian to purchase a residential rental with her plan assets. She plans to use a management company to rent the house out to short-term tenants. The rental is earning rental income for the IRA. However, during the year, Rebecca's parents stay at the home, using it for a pleasure weekend. This is a prohibited transaction, even if Rebecca's parents pay fair market rent to the IRA, since disqualified persons have benefited from it. Rebecca or her family members cannot use the home while it is still owned by her IRA.

Example

Hector has a self-directed IRA that owns two condos in a tourist area. These condos are rented throughout the year, and Hector does not use them himself. During the year, his niece, Marjorie, stays at one of the rentals for a week-long vacation. She pays the IRA fair market rent. This is not a prohibited transaction, because nieces and nephews are not considered related parties for the purposes of the prohibited transaction rules.

If a prohibited transaction is not corrected during the taxable period, the taxpayer usually has an additional 90 days after the day the IRS mails a notice of deficiency to correct the transaction.

Comparison of Defined Benefit and Defined Contribution Plans

	Defined Benefit Plan (pensions)	Defined Contribution Plan (like 401(k)s)
Employer Contributions	Employer contributions are required, based upon an actuarial calculation of amounts needed to fund specified plan benefits.	The employer may choose to match a portion of employee contributions or to contribute without employee contributions.
Employee Contributions	Employees usually do not contribute.	For most plans, employees are the primary contributors, but employers also contribute.
Investment Earnings	The employer must ensure that contributions plus investment earnings will be enough to pay the promised benefits.	The employee often is responsible for managing the investment of their account. For some plans, the plan administrator invests the plan's assets.
Calculation of Future Benefits	A promised benefit is based on a formula, often using the employee's age, years worked, and salary history. These plans typically pay the retiree monthly annuity payments that continue for life.	The future benefit depends on contributions made by the employee and/or the employer and investment earnings on the contributions.
Withdrawals, Loans, and Payments	Payment of benefits after a specified event occurs (retirement, disability, plan termination, etc.). The plan may permit loans.	Withdrawals are permitted after a specified event occurs (retirement, disability, plan termination, etc.). The plan may permit loans and hardship withdrawals.
Vesting	May vest over time according to plan terms.	Employee salary reduction contributions are immediately 100% vested. Employer contributions may vest over time according to plan terms.
Guarantee	The government, through the Pension Benefit Guaranty Corporation (PBGC), may partially guarantee benefits.	No federal guarantee of benefits.

Notes & References

1. "Nondiscrimination testing" ensures that plan benefits and contributions do not discriminate in favor of highly compensated employees. Some plans, notably small-business plans like the SIMPLE 401(k), are exempt from this mandatory testing.

2. While the law allows companies to offer 401(k) loans in their plans, companies are not required to do so.
3. SEP-IRAs and SIMPLE IRAs are exempt from most ERISA requirements but are covered under ERISA because they are employer-sponsored and generally require an ERISA Fidelity Bond.
4. “Health and welfare” benefit plans provide a variety of benefits to employees, such as medical and long-term health care insurance, severance benefits, life insurance, and accidental death or dismemberment benefits.
5. Form 5500 may also be required for certain employer-sponsored health and welfare plans, including medical, dental, life insurance and disability benefits.
6. A “plan termination” typically happens when a business shuts down. Assets must be distributed within one year after termination, and affected participants can move the money to another plan or IRA. All participants become fully vested on the termination date.
7. A financial hardship distribution is a withdrawal from a qualified plan due to an immediate and heavy financial need, typically allowed from plans like 401(k), 403(b), and 457(b).
8. The “Rule of 55” lets individuals withdraw from their 401(k) or 403(b) without the 10% early-withdrawal penalty if they leave their job during or after the year they turn 55. It does not apply to IRAs. Certain public safety employees can use it at age 50.
9. Disqualified persons include the IRA owner, the owner's fiduciary, and immediate family (spouse, ancestor, lineal descendant, and any spouse of a lineal descendant). It does not include siblings, step-siblings, uncles, aunts, nephews, nieces, or cousins.

STUDY UNIT 18

Study Questions

Test yourself, then check the answer key that follows.

1. A traditional 401(k) is a type of:
 - a) Individual retirement account
 - b) Government pension plan
 - c) Defined contribution plan
 - d) Defined benefit plan
2. Damian is 62 and works for Bethel's Realty, a small business with 12 employees. Bethel's Realty has a SIMPLE IRA plan for its employees. The business has chosen to make 2% nonelective contributions. Damian earned \$20,000 in wages for the year, but he did not contribute to his own

retirement plan during the year because he was low on funds. How much will Bethel's Realty contribute to Damian's retirement account?

- a) \$0**
- b) \$400**
- c) \$560**
- d) \$800**

3. Corex Devices, Inc. maintains a SIMPLE IRA for its employees. The business elected to make 3% matching contributions for the year. An employee, Opal, quit her job on January 31, 2025, after the business had already deducted \$75 from her wages based upon her election to contribute to its SIMPLE IRA plan. Opal had earned \$2,000 of wages before she quit. How must Corex Devices treat this \$75 deduction from Opal's wages?

- a) Corex Devices must deposit Opal's contribution and match her contribution to her SIMPLE IRA account, up to 3% of her \$2,000 compensation (\$60).**
- b) Corex Devices must return Opal's \$75 salary reduction contribution.**
- c) Corex Devices must deposit Opal's salary reduction into her SIMPLE IRA, but no matching contribution is required for terminated employees.**
- d) Corex Devices is required to remit the \$75 to the U.S. Treasury.**

4. Generally, at what age can an employee withdraw from their 401(k) without incurring an early withdrawal penalty?

- a) 50**
- b) 59½**
- c) 65**
- d) 72**

5. Lifeline Software, Inc. has decided to establish a SEP-IRA for its ten employees. All of the following statements about Lifeline's retirement plan are correct except:

- a) In good years, Lifeline Software can make larger contributions for its employees, and in down years, it can reduce the amount.**
- b) Individual employees have the opportunity to divide the employer's contributions to their SEP-IRAs among the funds made available to Lifeline employees.**
- c) Only employers and self-employed individuals can make contributions to SEPs.**

- d)** A SEP allows for different contribution rates based on length of service for each employee.
- 6.** “Prohibited transactions” are transactions between a retirement plan and a disqualified person. Which of the following is exempt from the prohibited transaction rules?
- a)** A fiduciary of the plan.
 - b)** A person providing services to the plan.
 - c)** An employer whose employees are covered by the plan.
 - d)** A disqualified person who receives a benefit to which they are entitled as a plan participant.
- 7.** Maura, age 26, began participating in her employer's SIMPLE IRA retirement account 18 months ago, when she got hired. She took an early distribution from the account on January 26, 2025, in order to buy a car. She does not qualify for any of the exceptions to the early withdrawal penalty. The distribution amount was \$10,000. What is the penalty amount that Maura must pay on the early distribution?
- a)** \$1,000
 - b)** \$1,500
 - c)** \$2,500
 - d)** \$3,000
- 8.** Tulsa Towing, Inc. is a small C corporation that maintains a SEP-IRA plan for its ten employees. Which of the following employees can be excluded from the retirement plan?
- a)** Noelle, a 19-year-old employee with 3 years at the company.
 - b)** Stan, a 65-year-old employee with 5 years at the company.
 - c)** Millie, a 35-year-old part-time employee with 4 years at the company.
 - d)** Aldo, a 42-year-old resident alien and employee for 3 years.
- 9.** Can a SIMPLE IRA plan be maintained on a fiscal-year basis?
- a)** Yes, if the business itself is on a fiscal year.
 - b)** Yes, even if the business uses a calendar year.
 - c)** Yes, but only if the business requests a 444 election.
 - d)** No, a calendar year must be used.

10. The Dumas Partnership has fifteen employees and three general partners. The business contributes \$3,000 to each employee's retirement account during the year. Identical contributions are made into each individual partner's retirement account. How is this transaction reported?

- a)** The business can take the deduction for the contribution to its employees' retirement accounts on Form 1065, Partnership Income Tax Return. Contributions made on behalf of the partners are passed through to each of them on Schedule K-1.
- b)** The partnership can deduct all the retirement contributions as an ordinary business expense directly on Form 1065.
- c)** The individual partners are allowed to deduct contributions to their employee retirement accounts on their individual returns.
- d)** Contributions made on behalf of the employees are deducted as regular wages on Form W-2. Contributions made on behalf of the partners are passed through to each of the partners on Schedule K-1.

11. Cardinal Accounting, LLP is operated as a partnership. The company has 150 employees. All of the following plans are available for Cardinal Accounting except:

- a)** A qualified plan.
- b)** A defined benefit plan.
- c)** A SIMPLE IRA.
- d)** Traditional 401(k) Plan.

12. Hajima is a sole proprietor who establishes a SEP-IRA for her small gift shop. The shop has two employees. After figuring her deductions for the year, Hajima has a (\$5,000) net loss operating in 2025 on her Schedule C. Which of the following statements is correct?

- a)** Because the business shows a loss, she is prohibited from contributing to her retirement account, as well as the retirement accounts of her employees.
- b)** Because the business shows a loss, she is prohibited from contributing to her retirement account, but she can contribute to the retirement accounts of her employees.
- c)** Hajima can make a retirement contribution to her own retirement account, as well as the accounts of her employees.
- d)** Hajima can make a retirement contribution to her own retirement account, but not to the retirement accounts of her employees.

13. All the following are requirements of ERISA (Employee Retirement Income Security Act) except:

- a) ERISA requires that employers file an annual report on Form 5500 for their sponsored (covered) retirement plans.
- b) ERISA requires large employers to set up retirement plans for their employees.
- c) ERISA requires minimum funding standards for retirement plans.
- d) ERISA requires certain communications with plan participants.

14. What types of employers cannot establish a SEP-IRA?

- a) A self-employed taxpayer without any employees.
- b) A corporation with 90 employees.
- c) A nonprofit entity with 50 employees.
- d) All of the above can set up a SEP-IRA.

15. What happens if an eligible employee entitled to a contribution is unwilling to set up a SIMPLE IRA?

- a) Eligible employees may not opt-out of a SIMPLE IRA.
- b) Eligible employees may decline to participate in an employer's SIMPLE IRA.
- c) Eligible employees may choose to set up a ROTH IRA in lieu of a SIMPLE IRA.
- d) Eligible employees may choose to set up a traditional IRA in lieu of a SIMPLE IRA.

16. Which of the following statements regarding a SEP-IRA is correct?

- a) Money can be withdrawn from a SEP-IRA by the employee at any time without tax or penalty.
- b) Money can be withdrawn from a SEP-IRA by the employee at any time, but taxes may apply.
- c) An employee must wait at least two years to withdraw money from a SEP-IRA.
- d) An employee must wait at least three years to withdraw money from a SEP-IRA.

17. What are the initial penalties imposed on a disqualified person who takes part in a prohibited transaction with an IRA?

- a) 25% tax of the amount involved.
- b) 50% tax of the amount involved.

c) An initial tax of 15% of the amount involved, and an additional tax of 100% if the transaction is not corrected within the taxable period.

d) An initial tax of 25% of the amount involved, and an additional tax of 100% if the transaction is not corrected within the taxable period.

18. Malena works full-time for the city of Las Vegas as a parking enforcement officer. She participates in the city's pension plan. She also has her own part-time bookkeeping business which she works in the evenings and weekends. She reports her bookkeeping income on Schedule C. Can Malena set up a SEP-IRA for her self-employment income, even though she is already participating in her employer's plan?

a) Yes, Malena can still set up a SEP-IRA for her Schedule C business.

b) No, Malena cannot set up a SEP-IRA because she is covered by an employer plan.

c) No, Malena cannot set up a SEP-IRA because she is a prohibited individual.

d) Malena can only set up a SEP-IRA if she incorporates. Sole-proprietorships cannot do so.

19. Portland Plumbing, Inc. is a C corporation that offers a qualified retirement plan to its 200 employees. The plan is required to file a Form 5500 annually. Portland Plumbing has a calendar-year plan. When is the company's Form 5500 due for the 2025 plan year?

a) March 15, 2026

b) April 15, 2026

c) July 31, 2026

d) October 1, 2026

20. Palisades Consulting, Inc. has started a SEP-IRA plan for its employees. The company currently has four employees. Which of the following employees is the company not required to cover under the SEP-IRA plan?

a) Faye, age 45, a full-time employee for the last five years.

b) Bruno, age 25, a part-time employee for the last three years.

c) Randolph, age 22, a full-time employee for the last three years.

d) Mack, age 42, a seasonal employee that has worked for the employer for one year.

21. Elektra works for Damascus Manufacturing, a small business with 75 employees. Damascus Manufacturing decides to establish a SIMPLE IRA plan and will make a 2% nonelective contribution for each of its employees. Elektra has a salary of \$40,000 and made only \$100 in contributions

to her SIMPLE IRA for the year because she was short on funds. How much will Elektra's employer contribute to her SIMPLE IRA retirement account?

- a) \$2
- b) \$100
- c) \$560
- d) \$800

STUDY UNIT 18

Answer Key & Explanations

1. The answer is C.

A traditional 401(k) is a common type of defined contribution plan in which employees contribute to their own accounts on a pre-tax basis. Earnings grow tax-free until distribution.

2. The answer is B.

Damian receives an employer contribution equal to 2% of compensation, even though he did not contribute this year. The employer must contribute \$400 (2% of \$20,000) to his SIMPLE IRA.

3. The answer is A.

Corex Devices must deposit Opal's salary reduction contribution and also match it at 3% of her \$2,000 compensation (\$60). An employer cannot return a salary reduction contribution after deducting it. A SIMPLE IRA plan may not require a participant to be employed on a specific date to receive an employer contribution — a terminated participant who made a salary reduction contribution is still entitled to the employer contribution.

4. The answer is B.

An employee may begin withdrawing from their 401(k) at age 59½ without an early withdrawal penalty (with exceptions such as death or permanent disability).

5. The answer is D.

Under a SEP, the contribution rate must be uniform for all employees; it cannot vary by length of service. An employer may contribute a lower percentage in lean years, but the plan cannot discriminate among employees.

6. The answer is D.

It is not a prohibited transaction for a disqualified person to receive a benefit to which they are entitled as a plan participant or beneficiary.

7. The answer is C.

Early withdrawals from a SIMPLE IRA are generally subject to a 10% penalty, increased to 25% if withdrawn within two years of beginning participation. Maura owes \$2,500 ($\$10,000 \times 25\%$), plus income tax on the distribution.

8. The answer is A.

Because Noelle is under age 21, she may be excluded. SEP eligibility requires that an employee perform service in at least 3 of the immediately preceding 5 years, reach age 21, and earn the minimum compensation for the year. Aldo is a resident alien (not a nonresident alien), so he still qualifies.

9. The answer is D.

A SIMPLE IRA plan may only be maintained on a calendar-year basis.

10. The answer is A.

The Dumas Partnership deducts contributions to employees' retirement plans as an ordinary business expense on Form 1065. Contributions made on behalf of the partners are passed through to each partner on Schedule K-1, and the partners make the adjustment on their individual Form 1040.

11. The answer is C.

Cardinal Accounting cannot set up a SIMPLE IRA because it exceeds the 100-employee threshold.

12. The answer is B.

Hajima is self-employed, so she must have qualifying compensation (net earnings) to contribute to her own plan; with a loss she cannot. However, she is not prohibited from contributing to her employees' retirement accounts even if the business has a loss.

13. The answer is B.

ERISA sets minimum standards for most pension and health plans but does not require employers to set up retirement plans. Retirement plans are always an optional benefit.

14. The answer is D.

Any employer or self-employed individual can establish a SEP-IRA. There is no employee limit (unlike SIMPLE plans), though SEP-IRAs are typically used by very small businesses and self-employed persons.

15. The answer is A.

An eligible employee cannot be excluded from the SIMPLE IRA plan, but may choose not to make salary reduction contributions for a year. In that case they accrue no matching contributions but still receive a nonelective employer contribution if the plan provides for one.

16. The answer is B.

Although income tax (and a 10% additional tax before age 59½) may apply, participants may withdraw from a SEP-IRA at any time and for any reason. Withdrawals can be rolled over tax-free to another SEP-IRA, a traditional IRA, or another employer's qualified plan.

17. The answer is C.

An initial 15% tax applies to the amount involved for each year in the taxable period. If not corrected within the taxable period, an additional tax of 100% of the amount involved is imposed. These taxes are payable by any disqualified person who takes part in the transaction.

18. The answer is A.

Malena can set up a SEP-IRA for her sole proprietorship. A SEP can be established for a person's independent business activity even if she participates in another employer's retirement plan.

19. The answer is C.

Form 5500 is due on the last day of the seventh month after the plan year ends. For a calendar-year plan, that is July 31.

20. The answer is **D**.

Mack is not automatically eligible because he has worked for the employer for only one year. For a SEP-IRA, an eligible employee must have reached age 21, worked for the employer in at least 3 of the last 5 years, and received at least the minimum compensation (\$750 in 2025, \$800 in 2026). Employers may use less restrictive requirements, but not more restrictive ones.

21. The answer is **D**.

Under the nonelective option, even though Elektra contributed only a small amount herself, she still receives an employer nonelective contribution equal to 2% of her compensation — \$800 ($\$40,000 \times 2\%$). The nonelective contribution is made regardless of whether the employee contributes.

STUDY UNIT 19

Trusts and Estates

Further reading: IRS Publications 559 and 950; Forms 56, 1041, and 706

Creation of an Estate or Trust

Estates and trusts are distinct legal entities that are defined by the assets they hold. When a taxpayer passes away, an estate is formed. Both estates and trusts (excluding revocable grantor trusts) must obtain an EIN, like any other type of entity. Income tax returns for trusts and estates are commonly referred to as “fiduciary” tax returns.

Exam Note

For Part 2 of the EA exam, you must understand the functioning of estates and trusts at the entity level: reporting requirements, filing due dates, and exemption thresholds. In contrast, Part 1 focuses on estates from the perspective of the estate's living beneficiaries.

Estates and trusts generally terminate when all of their assets and income have been distributed, and all of their liabilities have been paid.

If a trust or estate's existence is unnecessarily prolonged, the IRS may intervene and terminate it after a reasonable time for completing final administrative tasks. If an estate or trust incurs a

loss in its final year, the loss can be passed through to the beneficiaries, allowing them potential deductions on their individual returns. Losses cannot be passed through to beneficiaries in a non-termination year.

Example

The Hidalgo Family Trust is an irrevocable trust with three equal beneficiaries. The trust has a net capital loss for the year because the trust sold a large block of stock at a loss. The loss cannot be passed through to the trust's beneficiaries. If the Hidalgo Family Trust terminates or dissolves in a future year, then the losses can be passed through on the final trust return to the beneficiaries.

With regard to net operating losses, individuals, estates, and trusts use Form 172 to determine the amount of a net operating loss that is available for carrying forward, and in selected situations, carrying back.

Net Investment Income Tax (NIIT)

In addition to income tax, estates and certain trusts may also be subject to a 3.8% tax on their net investment income. This tax is reported on Form 8960, Net Investment Tax: Individuals, Estates, and Trusts, and its provisions are similar to those for individuals. For trusts and estates, the tax applies to the lesser of (1) undistributed net investment income or (2) the excess of adjusted gross income over the threshold amount at which the highest tax bracket begins. In 2025, this threshold amount is \$15,650. Net investment income that is subject to the NIIT includes taxable interest, dividends, capital gains from asset sales, rental and royalty income, income from non-qualified annuities, revenue from businesses involved in trading financial instruments or commodities, and passive activity income. The NIIT does not apply to tax-exempt trusts or to grantor trusts. The NIIT also does not apply directly to foreign estates or foreign trusts, although it can apply to the individual beneficiaries of those entities.

Estates in General — Including the Federal Estate Tax

For federal tax purposes, an estate is a separate legal entity created when a taxpayer dies. American citizens are subject to U.S. estate taxation with respect to their worldwide assets. This means that all assets owned by the deceased, regardless of location, are included in the estate for tax purposes.

All the property the decedent owned at the time of death is included in the gross estate for estate tax purposes. Persons who inherit property directly from an estate (i.e., the beneficiaries of the estate) are generally not taxed on the transfer. Instead, the estate itself is responsible for paying any applicable taxes before the property is distributed. However, if the estate's assets are distributed to beneficiaries before the taxes are paid, the beneficiaries can be held liable for the tax debt, up to the value of the assets distributed.

In 2025, an estate is allowed an exemption amount of \$600 for income tax purposes and an exclusion amount of \$13.99 million for estate tax purposes. If a taxpayer dies, and the value of their assets at the time of death is less than \$13.99 million in 2025, an estate tax return (Form 706) does not have to be filed (assuming no taxable gifts were made during the decedent's lifetime).

Beneficiaries must generally treat estate items the same way on their individual returns as they are treated on the estate's return. The executor of any estate required to file an estate tax return must furnish to the IRS (and to each person acquiring any interest in property included in the decedent's gross estate) a statement identifying:

- The value of each interest in that property as reported on the estate tax return, and
- Any other information about the interest that the IRS might require.

This separate statement is required to be furnished no later than 30 days following the due date (including extensions) of the return, or the actual filing of the return, whichever is earlier. This reporting requirement is designed to combat inconsistent basis reporting of property inherited with a stepped-up basis when a sale of the property is later reported by the beneficiary.

Form 8971, Information Regarding Beneficiaries Acquiring Property from a Decedent, is used to report the value of the property on an estate tax return. Executors who file estate tax returns will complete it and provide it to the IRS. Form 8971 includes a "Schedule A" which also must be filed with the IRS. Only Schedule A is provided to the beneficiary (not Form 8971).

Probate and the Appointment of an Executor/Administrator

Probate is the court-supervised process of administering an estate. After a person dies, a personal representative, such as an executor named in the will or an administrator appointed by a court, will typically manage the estate and settle the decedent's financial affairs. Not all estates have to go through probate, but this is governed by state law and varies from state to state.

Executors are appointed when the decedent has a will, and administrators are appointed when the decedent dies without a will. If a person dies with a will, these are sometimes called testamentary probate proceedings. If a person dies without a will, the person is said to have died intestate. The executor or administrator has the legal authority to act on behalf of the estate.

Example

In 2025, Abel dies at the age of 65, leaving an estate that includes a house, a bank account, and various investments. He was single when he passed away but had prepared a will. Janice Jones, Abel's trusted lawyer, is appointed as the executor of his will. The beneficiaries are his two adult children, Lydia, 24, and Ethan, 22. Janice submits the will to the local probate court to initiate the probate process. She compiles a detailed list of Abel's assets, including the house, bank account, and investments. Using the estate's funds, Janice pays off any outstanding debts and taxes that Abel owed. She also signs and submits the final 1040 tax return for Abel and files a Form 56 with the IRS to inform them of her role as executor. After clearing debts and taxes, Janice distributes

the remaining assets to Lydia and Ethan according to Abel's will. The entire process takes about 18 months to complete.

The IRS will sometimes use the term “executor” and “personal representative” interchangeably. For IRS purposes, these terms may also refer to anyone filing a return on behalf of a decedent, regardless of if that person has been appointed by the courts or named in the decedent's will.

Note

When performing required duties for an estate before the IRS, executors must provide documentation proving their status. Documentation will vary but may include documents such as a certified copy of the will or a court order designating the executor. A statement by the executor attesting to their status is insufficient.

The executor is responsible for determining any estate tax liability before the estate's assets are distributed to beneficiaries. The executor is responsible for filing and signing the final income tax return for the decedent, as well as any returns required for the estate (if necessary). After a person dies, these returns may need to be filed:

- **Form 1040:** Decedent's final income tax return, reporting income earned before death.
- **Form 1041:** Fiduciary income tax return for the estate for the period of administration.
- **Form 706:** The estate tax return, if required.

Note

The Form 1041 is an annual income tax return, similar to the return an individual or business would file. Form 706 is different: it is not an income tax return. Instead, it is a tax form used to calculate estate taxes only. Depending on the value of an estate, and the income that it generates, both forms may have to be filed (or, in the case of a small estate, neither form may have to be filed).

IRS Form 56, also known as the Notice Concerning Fiduciary Relationship, is essential to notify the IRS of a fiduciary relationship for an estate or trust. The executor should submit the form to establish their authority to act on behalf of the estate.

Example

Edgar passes away on March 30, 2025, unmarried with no dependents. Edgar had been unwell for a long time, and before his death, he had not filed his tax return, or the tax return for the previous year. Edgar's final will names his only sibling, Meredith, as the executor of his estate. Meredith takes on the responsibility of handling Edgar's final affairs, including filing his taxes. Edgar had signed a power of attorney (POA) before his death, naming Meredith as his representative while he was still alive, but that POA became invalid upon his death. Meredith, as the executor, needs to complete a Form 56 to notify the IRS that she is now the executor of Edgar's estate. With the help of an accountant, Meredith will request her late brother's transcripts from the IRS and prepare and file Edgar's final income tax returns. Meredith will sign the returns as the executor. If Edgar is owed a refund on his final return, a Form 1310 will also have to be filed with the return, so that Meredith can receive the refund.

This form should be filed as soon as the estate's EIN is received, as it ensures that the executor will receive any important notices from the IRS. In addition, Form 1310, Statement of Person Claiming Refund Due a Deceased Taxpayer, is used to claim a refund on behalf of a deceased taxpayer (if the refund is being claimed by someone other than a surviving spouse).

Executor Fees

Executors typically get paid a fee, and these fees are taxable to the recipient. If the executor is not in the “trade or business” of being an executor (i.e., if the executor is a friend or family member of the deceased), the fees are reported on the executor's individual tax return as “other income” on Schedule 1 of their 1040. If the executor is “in the business” of being an executor, or a professional fiduciary, the fees received from the estate would be reported as self-employment income on Schedule C.

Example

Prescott was unmarried when he died on March 4, 2025. His only daughter, Marcia, was named as the executor of his estate. Prescott earned \$83,000 in wages during 2025 before his death, so a final tax return (Form 1040) is required for 2025. Marcia asks her accountant to help prepare her father's final Form 1040, which will include all the taxable income that Prescott received before his death. Marcia will sign her late father's return as the executor. The accountant also helps Marcia with the valuation of her father's estate. After determining the fair market value of all her father's assets, they conclude that Prescott's gross estate is valued at approximately \$16 million. As this exceeds the exemption threshold of \$13.99 million for 2025, an estate tax return (Form 706) is also required to be filed. As the estate's executor, Marcia is responsible for signing both returns.

Example

Quinten is a professional estate tax attorney. One of his long-time wealthy clients, Johana, dies in 2025 after a long battle with cancer. Johana names her estate attorney, Quinten, as the executor of her estate in her will. The sole beneficiary of Johana's estate is her son, Benjamin, who is only 17 and still a minor. By the terms outlined in the will, Quinten (the lawyer) will manage the affairs of the estate until Benjamin turns 21. By law, the executor has the right to charge a fee for managing an estate. Johana's will stipulates that the executor of her estate is entitled to 5% of the income of the estate. The remaining income will go to provide Benjamin's ongoing support and pay for his schooling. As the attorney and also a professional executor, Quinten would report the income that he earns as an executor on his Schedule C, subject to self-employment tax.

Example

Rita is a paralegal who is best friends with Loretta. In 2025, Loretta dies, leaving behind two sons, ages 18 and 22. Loretta's final will names Rita as the executor of her estate. Rita agrees to be the executor as a favor to her friend. Rita is not in the “trade or business” of being an executor and has never been the executor of any other estate in the past. Rita will file Loretta's final tax returns, as well as the tax return of the estate. She will also help distribute her deceased friend's assets

to her beneficiaries (Loretta's two sons). Loretta's will stipulates that the executor of her estate is entitled to 2% of the income generated by the estate. The executor fees paid to Rita would be reported on her individual Form 1040 on Schedule 1, as "other income." The amounts would be subject to income tax, but not self-employment tax, because Rita is not in the trade or business of being an executor.

Final Income Tax Return for the Decedent (Form 1040)

The taxpayer's final income tax return is filed the same way as if the taxpayer were still alive. The filing deadline is April 15 of the year following the taxpayer's death, the same deadline that applies for individual income tax returns. The executor or personal representative must file the final individual income tax return of the decedent for the year of death and any returns not filed for preceding years. If an individual died after the close of a tax year, but before the return for that year was filed, the return for that year will not normally be the final return. The return for that year will be a regular return, and the executor must file it.

Example

Evonne dies on March 1, 2026. At the time of her death, she had not yet filed her 2025 tax return. She earned \$89,500 in wages in 2025. She also earned \$21,500 of wages between January 1, 2026, and her death on March 1, 2026. Therefore, Evonne's 2025 and 2026 tax returns must be filed by her executor or personal representative. The 2026 return would be her final individual tax return, because that is the year that she died.

Example

Nathaniel, age 67, dies on February 5, 2025. He was not married when he died, but he did have a will, which names his adult daughter, Clara, as the executor and sole heir of his estate. Clara's state allows for a simplified probate process, and she is quickly named the executor, which allows her to start immediately settling her father's financial affairs. Once obtaining her late father's IRS transcripts, Clara discovers that Nathaniel had not filed returns for the last four years, and each delinquent year has a filing requirement. As the executor, Clara will be responsible for filing and signing the delinquent returns, as well as the tax return for 2025, which will be Nathaniel's final individual return, because that is the year that he died. Clara should file a Form 56 as soon as possible, to notify the IRS of her fiduciary relationship to the estate.

On a decedent's final tax return, the rules for deductions are the same as those that apply for any individual taxpayer. The full amount of any credits may be claimed on the final tax return, regardless of how long the taxpayer was alive during the year.

Income in Respect of a Decedent (IRD)

Income in respect of a decedent (IRD) is any taxable income that was earned but not received by the decedent by the time of death. IRD is not taxed on the final return of the deceased taxpayer.

IRD is reported on the tax return of the person (or entity) that actually receives the income. This could be the estate, or it could be the surviving spouse or another beneficiary, such as a child.

IRD retains the same tax nature that would have applied if the deceased taxpayer were still alive. The person or entity that actually receives the income pays the taxes. For example, if the income would have been a short-term capital gain, it is taxed the same way to the beneficiary. IRD can come from various sources, including:

- Unpaid salary or wages that were earned (but not received) before the taxpayer's death.
- Distributions from traditional IRAs and employer-provided retirement plans.
- Deferred compensation benefits.
- Accrued but unpaid interest, dividends, and rent.
- Accounts receivable of a sole proprietor who has died.

Example

Hans was owed \$5,000 of wages when he died on December 25, 2025. The check for these wages was not remitted by his employer until the following month, on January 7, 2026. The check was instead reissued and received by his daughter and sole beneficiary, Lila. The wages are considered IRD, and Lila must recognize the \$5,000 as ordinary income, the same treatment that would have applied for Hans. The payment to the beneficiary will be reported on Form 1099-MISC, not a Form W-2.

Example

Evelyn died on April 30. At the time of her death, she was owed (but had not yet received) \$1,500 of interest on bonds and \$2,000 of rental income from a rental property that she owned. Evelyn's only beneficiary, her son Ronnie, received the income. He will include \$3,500 of IRD in his gross income, reporting the amounts as interest and rent. The income retains its character as interest income and passive activity rental income.

If there is an estate tax return filing requirement, the IRD must be included in the decedent's estate and may be subject to estate tax. If it is received by a beneficiary and subject to income tax on the beneficiary's return, the beneficiary can claim a deduction for estate tax paid on the IRD.

Note

The estate tax deduction for income in respect of a decedent (IRD) is claimed as an itemized deduction on Schedule A and is not subject to the 2% of adjusted gross income limitation. As a result, this deduction remains available despite the suspension of miscellaneous itemized deductions under current law. Beneficiaries who do not itemize deductions cannot claim this deduction.

Example

Santiago is 75 when he dies on May 1, 2025. When he died, his gross estate was valued at \$35 million, so an estate tax return must be filed. Santiago names his adult son, Leon, as the sole beneficiary of his entire estate in his will. Santiago also named Leon as the beneficiary of his

traditional IRA account. At the time of Santiago's death, his IRA was valued at \$350,000. Leon takes a lump-sum distribution of his late father's entire IRA on November 1, 2025. Since Santiago's estate is a taxable estate, the estate tax attributable to the IRA is \$120,000. Because the IRA is IRD, the distributed IRA funds are subject to estate tax. Leon can effectively reduce his tax liability by claiming the IRD deduction for the federal estate taxes attributable to the IRA. Leon would claim this deduction on his individual tax return in the year the retirement account distribution is reported to him on Form 1099-R (Schedule A, Form 1040).

Estate Income Tax Return (Form 1041)

Form 1041 is a fiduciary income tax return used to report the ongoing income for a domestic decedent's estate, a trust, or a bankruptcy estate:

- Current income and deductions, including gains and losses from the disposition of the entity's property and excluding certain items such as tax-exempt interest (collectively, distributable net income or DNI).
- A deduction for income that is either held for future distribution or distributed currently to the beneficiaries (income distribution deduction) that is limited to DNI.
- Any income tax liability.

An estate continues to exist as a taxable entity until all of its assets have been distributed to the beneficiaries. A decedent's assets will often continue to earn revenue after a taxpayer has died; this income, such as rents, dividends, and interest, must be reported. The administration process for an estate can take anywhere from several months to several years. Most estates are settled within 18 months, but sometimes there can be disagreements about how the assets of the estate have been handled. Probate litigation is not uncommon, and legal disputes can delay the closing out of an estate, sometimes for years, or in rare cases, even decades.

Example

Joshua died suddenly on January 3, 2025. His two adult daughters, Teresa and Kelly, are the only beneficiaries of his estate, which was worth \$17 million at the time of his death. Joshua died without a will, and therefore never named an executor. Teresa and Kelly immediately began to argue over their late father's assets. While they are petitioning the court, Joshua's estate continues to earn revenue from various assets (stocks, rentals, and other investments). In this situation, Joshua's estate will not terminate until a legal settlement is made between the beneficiaries and the estate assets are distributed.

The expenses of administering an estate can be deducted either from the estate's income on Form 1041, in determining its income tax, as well as from the gross estate on Form 706, in determining the estate tax liability. Schedule K-1 is used to report any income that is distributed or distributable to each beneficiary and is filed with Form 1041, with a copy also given to the beneficiary.

Example

After Larry's passing in 2025, the Estate of Larry Smith was established. As his closest relative at the time of his death, Bethany, Larry's sister, became the sole beneficiary of the estate. When Larry passed, he left behind two successful rental properties and various other investments. Throughout the tax year 2025, the estate earned a net income of \$36,000, with \$16,000 coming from rental profits and \$20,000 from taxable interest. As the estate's only beneficiary, Bethany received a total of \$36,000 in distributions from her brother's estate and would receive a Schedule K-1 (Form 1041) outlining the breakdown of this income. Bethany would then report this income on her personal tax return, on Schedule E.

The due date for Form 1041 is the fifteenth day of the fourth month following the end of the entity's tax year (April 15 for those using a calendar year), but a 5½ month extension may be requested (not six months, as it is with most other types of tax return extensions) if Form 7004 is filed by the original due date. The tax year of an estate may be either a calendar or a fiscal year, subject to the election made at the time the first return is filed. An election will also be made on the first return as to the accounting method used to report an estate's income (i.e., cash or accrual). Form 1041 must be filed for any domestic estate that has gross income for the tax year of \$600 or more, or a beneficiary who is a nonresident alien (with any amount of income).

Example

Levi died two years ago. He was a naturalized U.S. citizen. At the time of his death, he was unmarried and did not have a will. His estate had only one valuable asset: his primary residence in Los Angeles. Levi also had a small amount of cash in his personal bank account. The sole heir of his estate is his brother, Brock, who is a German citizen living in Germany. Brock is forced to hire an attorney and an accountant to help him navigate probate on his brother's estate. The estate is in its period of administration (Levi's estate must go through formal probate in the courts, since he was unmarried and died without a will). In 2025, the residence in Los Angeles remains empty, so no income is generated by the home. However, Levi's bank account generates a small amount of interest; \$50. Normally, a Form 1041 would not need to be filed for the estate, because the income is less than \$600. However, because the beneficiary of Levi's estate is a nonresident alien (Brock, a German citizen who lives outside of the U.S.), a Form 1041 will need to be filed every year until the assets are dispersed, and the estate is closed.

Form 706: The Estate Tax Return

An estate tax return is filed using Form 706, United States Estate (and Generation-Skipping Transfer) Tax Return. The estate tax applies to an individual's taxable estate, which is the gross estate, less certain deductions. After the taxable estate is computed, it is added to the value of taxable gifts made during the decedent's lifetime.

The applicable estate tax rate is applied to derive a tentative tax, from which any gift taxes paid or payable are subtracted to determine the gross estate tax. Each individual has the ability to transfer up to \$13.99 million (in 2025) to others, either in lifetime gifting or at death. The maximum estate

tax rate is 40% in 2025. All or a portion of the gross estate tax may be eliminated after consideration of the estate's available:

- **Basic Exclusion Amount:** This amount is adjusted for inflation each year and may be used to reduce or eliminate gift and/or estate taxes. For 2025, the basic estate tax exclusion amount is \$13.99 million. Only estates valued in excess of the sum of these amounts need to file a return and pay estate tax (assuming no taxable gifts were made during the decedent's lifetime).
- **Deceased Spousal Unused Exclusion (DSUE):** This is the unused portion of the decedent's predeceased spouse's basic exclusion (the amount that was not used to offset gift or estate tax liabilities). A portability election must be made to claim the DSUE on behalf of the surviving spouse's estate. Essentially, the DSUE allows a surviving spouse to use their unused estate exclusion amount, effectively increasing the amount that can be passed to the surviving spouse's family tax-free. This election should be made by timely filing of Form 706 for the estate of the predeceased spouse.

Note

If the surviving spouse gets married again and their new spouse passes away before them, they will no longer have access to the DSUE of their previous spouse. The DSUE is only applicable to the most recently deceased spouse.

Example

Chandra is unmarried. She dies in 2025 and leaves an estate valued at \$4 million. Chandra's only heir and beneficiary is her brother, Hamlin. She had not previously used any of her basic exclusion amount to avoid paying gift taxes, so the entire \$13.99 million exclusion is available to her estate. As the exclusion amount exceeds the entire estate's value, no estate tax is owed, and an estate tax return does not need to be filed. All of Chandra's assets may pass to her brother Hamlin, tax-free.

Example

Elijah and Hedda are married and have four adult children. They are all U.S. citizens. Elijah dies on July 1, 2025. His estate is valued at \$7 million at the time of his death, so an estate tax return is not required. However, Hedda files an estate tax return anyway, in order to elect the deceased spousal unused exclusion (DSUE). Utilizing the DSUE can result in substantial tax savings for Hedda and her future heirs, which are her children. Electing the DSUE can preserve more of the estate's value for future generations. Filing the Form 706 and making the DSUE election will allow her to shield more assets from federal estate tax liability, when she eventually passes herself.

If an estate tax return is required to be filed, the due date for Form 706 is nine months after the decedent's date of death. An automatic six-month extension may be requested by filing Form 4768, Application for Extension of Time to File a Return and/or Pay U.S. Estate (and Generation-Skipping Transfer) Taxes.

Example

Stefan is a U.S. citizen who lives in Spain. He owns several properties in Spain, as well as assets in the United States. On August 20, 2025, Stefan dies. At the time of his death, Stefan's assets in Spain

included three vacation homes and a waterfront villa. The fair market value of these properties at the time of his death was \$8 million. Stefan also owned U.S. investments and a vacation home in Miami, Florida. His U.S. assets totaled approximately \$10 million at the time of his death. Stefan's estate has a filing requirement because his combined worldwide assets are worth more than \$13.99 million (\$8 million + \$10 million = \$18 million). All the assets must be reported on the estate tax return (including any foreign assets) and any amount over the exclusion may potentially be subject to estate tax. His estate tax return and tax payment must be made on or before May 20, 2026 (within nine months of Stefan's date of death).

The estate tax is due by the due date and interest is accrued on any amounts owed that are not paid at that time. The assessment period for estate tax is three years after the due date for a timely filed estate tax return. The assessment period is four years for transfers from an estate. This means that the IRS has four years to assess additional tax on transfers made by the estate. These periods ensure that the IRS has sufficient time to review and assess any potential tax liabilities related to the estate and its transfers.

A Form 706 must be timely filed by the executor of any estate who intends to transfer the DSUE to a decedent's surviving spouse, regardless of the amount of the gross estate.

In 2025, electing the DSUE means that a surviving spouse's estate with value up to \$27.98 million (\$13.99 million $\times$ 2) of estate value could be excluded from taxation if both spouses died during 2025, neither spouse had used any of their basic exclusion amount to offset gift tax liabilities, all of the assets from the first deceased spouse passed to the surviving spouse, and the portability election for DSUE was properly made on Form 706 for the first spouse's estate.

Example

Anton and Victoria are married and have one adult son, named Vince. On January 3, 2025, Anton dies. His gross estate is valued at \$9 million on the date of his death. All of Anton's assets pass tax-free to his wife, Victoria, who is named the executor of her late husband's estate. Victoria doesn't bother to file an estate tax return for Anton's estate, because her late husband's estate value is below the exclusion amount. On December 29, 2025, Victoria dies suddenly in a car accident. The value of her estate is now \$15 million (which equals her combined assets as well as those of her late husband). Victoria and Anton's only son, Vince, is named as the executor of his late mother's estate. Vince must file an estate tax return for his mother's estate. Since Victoria did not file a timely estate tax return to claim the DSUE for her late husband's assets, her estate may now be subject to estate tax on the amount that exceeds the exclusion.

Example

Ahearn and Jade are married. Ahearn dies on January 18, 2025, and leaves a gross estate valued at \$10 million. All his assets transfer to his wife, Jade, tax-free because of the unlimited marital deduction. Thus, none of the \$13.99 million basic exclusion amount available to Ahearn's estate is used (and none had been used to offset gift tax liabilities during his lifetime). Jade gets good tax advice from her accountant, who advises her to file a Form 706 and elect portability for her late husband's estate. Jade dies ten months later, on October 18, 2025. Since Form 706 was filed for Ahearn's estate, and Jade had not used any of her basic exclusion amount, Ahearn's unused

basic exclusion is added to Jade's basic exclusion, for a total exclusion amount of \$27.98 million (\$13.99 million × 2).

The Gross Estate

Generally, assets are included in the gross estate at their fair market value on the date of the decedent's death, often calculated by appraisals. The gross estate is based upon the fair market value of the decedent's property and includes:

- The fair market value of all real and personal property owned at death.
- One-half of the full value of property held as joint tenants with the right of survivorship if the only other owner at the time of death was the decedent's spouse.
- Life insurance proceeds for policies owned by the deceased, payable to the estate or heirs.
- The decedent's share of the fair market value of property held as joint tenants with those other than a spouse. In this situation, the decedent's share is based on their share of the acquisition costs of the property.
- The value of certain annuities or survivor benefits payable to the heirs.
- The value of certain property that was transferred within three years before the decedent's death.

Example

In 2025, Amadeo passed away at the age of 88. During his lifetime, he had collected hundreds of valuable baseball cards that he had purchased as a child for mere pennies. Now, these cards are worth hundreds of thousands of dollars. As part of the estate administration process, an appraisal is conducted to determine their fair market value on the date of Amadeo's death for tax purposes. Amadeo's two surviving children, Andrea and Marcos, are his sole heirs and co-executors of their late father's estate. Together, they hire a professional appraiser to value the gross estate by determining the value of the card collection.

The gross estate does not include property owned solely by the decedent's spouse or other individuals. Lifetime gifts that are complete (so that no control over the gifts was retained) are not included in the decedent's gross estate. In order to qualify as a “completed gift,” the transfer must be complete and irrevocable.

Example

On January 3, 2025, Rocco gifted his adult daughter, Gianna, a used sports car worth \$16,500. He signed the pink slip, transferred the title, and filed the necessary DMV paperwork. No gift tax return was needed as the car's value was below the annual gift limit. Gianna gained full control of the car, and Rocco retained no rights. This “completed gift” means the value of the car will not be included in Rocco's estate for tax purposes if he dies.

Applicable Credit (Unified Credit)

The gross estate tax is reduced by the applicable credit, also referred to as the unified credit, which is a tax credit amount that corresponds with the basic exclusion amount and, if applicable, the DSUE available to a surviving spouse. Each person is allowed a combined exclusion for lifetime gifts and estate tax. Very few people will pay a gift tax or an estate tax.

The dollar amounts and limitations on Form 706 are indexed for inflation. For decedents dying in 2025, the following amounts are applicable:

- The basic exclusion amount is \$13,990,000.
- The applicable credit amount is \$5,541,800.

Just as with the basic exclusion amount, any portion of the applicable credit amount used to avoid payment of gift taxes reduces the amount of credit available in later years that can be used to offset gift or estate taxes. For example, if a person had used the full applicable credit to avoid payment of gift taxes during their lifetime, they would have exhausted their entire basic exclusion. If the taxpayer then died in 2025, the estate would be liable for tax on the taxable estate without further offset.

Example

Brannon, who is single, dies in 2025 and leaves an estate valued at \$19 million. During his lifetime, he had used \$1 million of his basic exclusion to offset payments of gift tax because he made several large gifts to family and friends while he was alive. In other words, the gifts were properly reported on Form 709, but Brannon paid no gift tax at the time he made these large gifts. This reduces the amount his estate may exclude to \$12.99 million (2025 basic exclusion \$13,990,000 – \$1 million), which is then subtracted from his \$19 million taxable estate. That leaves a total taxable estate of \$6.01 million.

Deductions from the Gross Estate

Once the gross estate has been calculated, certain deductions (and in special circumstances, reductions to an asset's value) are allowed to determine the taxable estate. Deductions from the gross estate may include:

- Funeral expenses paid out of the estate.
- Administration expenses for the estate (if not deducted on Form 1041).
- Debts owed at the time of death.
- The marital deduction (property that transfers to a surviving U.S. citizen spouse).
- The charitable deduction (the value of property passed from an estate to charities).
- The state death tax deduction includes inheritance or estate taxes paid to any state (this varies depending on the state).

The following items are not deductible from the gross estate:

- Federal estate taxes paid.
- Alimony paid after the taxpayer's death. These payments would be treated as distributions to a beneficiary.

Property taxes are deductible only if they accrue under state law prior to the decedent's death.

Note

For both Parts 1 and 2 of the EA exam, you should be familiar with what is included in the gross estate and the taxable estate. You should also be familiar with the most common deductions that are available to an estate.

The Marital Deduction

Transfers from one spouse to the other are typically tax-free. The marital deduction permits spouses to transfer an unlimited amount of property to one another during their lifetimes or at death without being subject to estate or gift taxes if the spouse is a U.S. citizen.

If the surviving spouse is not a U.S. citizen, then the marital deduction is generally not allowed. Note that the same does not hold true in reverse. The full marital deduction is available for transfers from a noncitizen spouse to a U.S. citizen spouse.

Example

Darcie and Arsenio are married and live in Florida, which is a non-community property state. Darcie is a U.S. citizen, but Arsenio is not (he is a green card holder). Arsenio dies in 2025. At the time of his death, he owns 1,000 acres of farmland with a value of \$29 million. In his final will, Arsenio leaves his entire estate to his wife, Darcie. All of his assets will pass to her tax-free, due to the unlimited marital deduction. A Form 706 must be filed for Arsenio's estate, because the value of the assets exceeds the exclusion amount, but the estate will pay no estate tax, because all the assets are passing to Arsenio's spouse, and she is a U.S. citizen. If the situation had been reversed, and Darcie had died first, then Arsenio would be eligible for an applicable exclusion amount of \$13.99 million in 2025, but Arsenio would not qualify for the unlimited marital deduction because he is not a U.S. citizen.

Decedent's Medical Expenses

Debts that were not paid before death, including medical expenses subsequently paid on behalf of the decedent, are liabilities of the estate and can be deducted from the gross estate on the estate tax return. However, if medical expenses for the decedent are paid out of the estate during the one-year period beginning with the day after death, the personal representative can alternatively

elect to treat all or part of the expenses as paid by the decedent at the time they were incurred and deduct them on the final tax return (1040) for the decedent.

The Basis of Estate Property

The basis of property inherited from a decedent is generally one of the following:

- The FMV of the property on the date of death.
- The FMV on an alternate valuation date (which is normally the FMV of assets six months after the date of death, except for assets distributed to an heir after death but prior to six months after death, in which case the basis will be the FMV as of the date of distribution), if elected by the personal representative.
- The value under a “special-use valuation” method for real property used in farming or another closely-held business, if elected by the personal representative.

Example

Bradford was unmarried when he died on April 3, 2025. On the date of his death, Bradford had a basis of \$35,000 in his house in Los Angeles, which he bought in 1964 and lived in continuously since its purchase. Bradford's only heir and beneficiary is his daughter, Heather, who is 27 years old. The house's FMV was \$2,500,000 on the date of Bradford's death. It was the only valuable asset that he owned, so an estate tax return does not need to be filed. Heather inherited the house after Bradford's death, and her basis would be \$2,500,000. Heather sells the house six months later for \$2,520,000. Her taxable gain would only be \$20,000, which is the excess of the \$2,520,000 sales price over her \$2,500,000 basis. Because inherited capital assets are treated as held long term, the gain would be reported on Schedule D, Form 1040, and taxed at the applicable long-term capital gain rates.

Property that is jointly owned by a decedent and another person under joint tenancy with a right of survivorship or tenancy in the entirety (where the other co-owners of the property automatically inherit the property upon death) will be included, in full, in the decedent's gross estate unless it can be shown that the other person originally owned or otherwise contributed to the purchase price.

The surviving owner's new basis in property that was jointly owned under either of these two types of ownership is calculated by adding their original basis in the property to the value of the part of the property included in the decedent's estate. Any deductions for depreciation of the property allowed to the surviving owner are subtracted from the sum.

On the other hand, for properties owned with others as tenants in common (where the other co-owners do not automatically inherit the decedent's portion of the property upon their death), only the decedent's percentage ownership of the property will be included in their estate.

Example

Doreen and Bernie are siblings. Ten years ago, they purchased a parcel of land together for \$50,000. Doreen contributed \$12,500 to the purchase of the land, which was 25% of the purchase price. Bernie contributed \$37,500, which was 75% of the purchase price. They held the property as tenants in common. On March 4, 2025, Bernie dies. He was unmarried. On the date of Bernie's death, the land is valued at \$200,000. One-quarter of the value of the property is excluded from his gross estate (the part that Doreen paid), and three-quarters (75%) of the value of the property would be included in Bernie's gross estate. Based on this scenario, the amount that would be included in Bernie's gross estate with respect to the value of the land would be \$150,000 ($\$200,000 \text{ FMV} \times 75\%$).

With married couples, if property is jointly held between spouses, one-half of the property's value is included in the deceased spouse's gross estate, and there is a step-up in basis for that one-half. However, if the decedent holds property in a community property state, half of the value of the community property will be included in the gross estate of the decedent, but the entire value of the community property will receive a step-up in basis.

Example

Dwayne and Ellie are married and live in Texas, a community property state. They jointly own their home. Dwayne and Ellie purchased their main home for \$135,000 many years ago. Dwayne dies on January 20, 2025, leaving all his assets to his wife, Ellie. Their home is worth \$425,000 on the date of Dwayne's death. Because Texas is a community property state, the basis in both spouses' half-interest is stepped-up. This means that Ellie's new basis in the home is \$425,000. If Ellie was to sell the home at a later date, this would be the new basis that she would use to calculate any gain or loss.

Simple and Complex Trusts

Regarding income distribution, there are two types of trusts: a simple trust and a complex trust. The main difference between a simple and complex trust lies in how income and assets are distributed.

Exam Note

For Part 2 of the EA exam, you should understand the differences between a simple trust and a complex trust and know the rules for how each distributes income.

A simple trust must distribute all its income annually. In other words, it cannot accumulate income from one year to the next. In addition, a simple trust cannot distribute the principal of the trust and cannot make distributions to charitable organizations. Any trust that is not a simple trust is automatically classified as a complex trust. A complex trust can retain some of its income and not distribute all of it to beneficiaries. It can distribute some or all of the principal and also make distributions to charities. A complex trust offers more flexibility in terms of income, distributions, and beneficiaries.

A trust may be a simple trust one year, and a complex trust in the following year. For example, if a simple trust fails to distribute all its income in the current year, it becomes a complex trust.

Grantor Trusts

A grantor trust is recognized as a legitimate legal entity by state law, but for federal income tax purposes, it is disregarded. A grantor creates the trust and retains control over the trust. Any taxable income or deduction earned by the trust will be taxed on the grantor's tax return.

The grantor who creates the trust maintains control over it, and any taxable income or deductions earned by the trust are generally reported on their personal tax return. This means that the grantor is considered the owner of the assets held in the trust for income tax purposes. The grantor sets the guidelines and conditions for how the trust will operate between themselves, the trustee, and the beneficiary.

The benefit of this type of grantor trust is that the grantor retains control over the trust, and a separate trust income tax return is usually not required. The drawback is that trust assets are subject to estate tax upon the grantor's death. Many taxpayers use this type of trust instead of, or in addition to, a will.

Note

A common motivation for creating a grantor trust is to bypass probate, a potentially expensive and lengthy legal process. Probate can cause delays in the distribution of assets to beneficiaries. A grantor trust can help avoid probate for assets that have been properly transferred into the trust during the grantor's lifetime. In addition, probate is generally a public process, and the details of the estate, including the assets and their distribution, normally become a matter of public record. A grantor trust allows for a more private transfer of assets. Thus, the trust can streamline the distribution of assets and maintain privacy.

Example

Harold Burr, a successful entrepreneur, is terminally ill, and is advised to set up a grantor trust to avoid probate. With the help of an attorney, he establishes a grantor trust, known as the "Burr Family Trust." Harold transfers all his assets into the Burr Family Trust, which includes a mix of stocks, bonds, and real estate properties. These assets generate income through dividends, interest, and rental income. As the grantor of the trust, Harold retains control over these assets. For federal income tax purposes, the Burr Family Trust is disregarded. This means that all of the income generated by the trust's assets is reported on Harold's personal income tax return, Form 1040. Even though the assets are technically owned by the trust, Harold is responsible for paying the income tax on the earnings. The trust will become irrevocable once Harold dies. The assets will be included in Harold's taxable estate, and the assets in the trust will pass to Harold's beneficiaries according to the trust's terms.

Non-Grantor Trusts

A non-grantor trust is a distinct legal entity from the donor or organization that established it, as the donor relinquishes control of the assets. The trust is treated as a separate entity for tax purposes and must file a Form 1041 to report its income and deductions. Distributions made to beneficiaries by a non-grantor trust are typically considered taxable income for the beneficiary. Examples include:

- 1) **Irrevocable Trusts:** An irrevocable trust cannot be revoked after it is created. Assets transferred are considered a “completed gift” and may be subject to gift tax. The trust does not count towards the gross value of an estate. Property transferred to an irrevocable living trust does not count toward the gross value of the grantor's estate and does not get a step-up in basis upon the grantor's death.
- 2) **Disability Trusts:** A qualified disability trust is a non-grantor trust created solely for the benefit of a disabled individual. A Qualified Disability Trust or QDT is allowed an exemption of \$5,100 in 2025. QDTs are considered complex trusts as they are created to manage income and assets for the well-being of a disabled beneficiary.
- 3) **Charitable Trusts:** A charitable trust allows a taxpayer to leave part or all of their estate to a qualifying charity. Charitable trusts are irrevocable and not subject to the NIIT. This type of trust is commonly used for estate planning when a person wishes to donate valuable assets in a controlled manner.

Example

Nora Wells is 18 years old with severe autism. She had a qualified disability trust set up by her wealthy grandfather. The Nora Trust is a QDT and in 2025 had \$19,000 of interest income and made \$16,000 worth of distributions for Nora's benefit. This income is taxed on Nora's individual Form 1040 but is not subject to the kiddie tax. The remaining \$3,000 would be reported on the trust's Form 1041, but since the trust is a Qualified Disability Trust with a \$5,100 exemption in 2025, there would be no income tax due on the \$3,000 that was not distributed to Nora.

Example

Jacqueline Smith wants most of her estate to go to charity. She creates a charitable trust to facilitate her wishes. The Smith Charitable Trust has a governing instrument that provides that her local Presbyterian Church (a qualified religious organization), and the SPCA, a 501(c)(3) charity, are each to receive 50% of the trust income for ten years. At the end of the ten-year period, the corpus will be distributed entirely to the Smithsonian Museum, also a 501(c)(3) organization. Jacqueline is allowed a tax deduction for the value of the assets she places in the trust. The Smith Charitable Trust is irrevocable, which means that the trust cannot be modified or terminated without the permission of the beneficiary (in this case, the beneficiaries are the charitable organizations themselves).

Example

Erin Carson, aged 32 and with severe disabilities, has a trust set up for her by her parents. She is the sole beneficiary of the Carson Disability Trust. Due to her inability to manage the trust assets, a professional trustee has been appointed. The trust holds investments worth \$350,000 and generates \$25,000 in taxable dividend income each year. During the tax year, the trustee distributed \$15,000 from the trust to pay for Erin's special-needs education expenses and summer day camp fees for individuals with disabilities. The trustee received reasonable compensation of \$2,500 for administering the trust. The Carson Disability Trust must file Form 1041, reporting the trust's investment income. In 2025, the trust is allowed an exemption of \$5,100. Trustee fees are deductible as admin expenses and Erin's \$15,000 in distributions will be deducted. A Schedule K-1 will be sent to Erin for her to report the \$15,000 taxable income on her personal Form 1040. All of her income is tax-free due to her standard deduction of \$15,750 (2025). There is no kiddie tax owed.

Abusive Trust Arrangements

Certain trust arrangements claim to minimize or eliminate federal taxes in ways that are illegal. These fraudulent trust arrangements may be utilized to conceal the actual ownership of assets and income or to distort the nature of transactions. Often, they involve multiple trusts, each holding various assets belonging to the taxpayer (such as their business, equipment, personal home, car, etc.).

Some trusts may even hold interests in other trusts, involve charitable organizations, or be based in foreign countries. Those who promote these fraudulent trust schemes may face punishment through civil or criminal penalties. Abusive or fraudulent trust arrangements may promise such benefits as:

- Deductions for personal expenses paid by the trust.
- Depreciation deductions for an owner's personal residence and furnishings.
- A stepped-up basis for property transferred to the trust.
- The reduction or elimination of self-employment taxes.
- The reduction or elimination of gift and estate taxes.

Trusts cannot be utilized as a means to convert personal expenses into tax write-offs. Taxpayers are not allowed to use trusts as a means of avoiding tax obligations by disregarding the actual ownership of income and assets, or the true nature of transactions.

Note

When trusts are used for legitimate business, family, or estate planning purposes, either the trust, the beneficiary, or the grantor will pay the tax on the income generated by the trust. Basically, someone must pay the tax! If not, there is a chance that the trust is an abusive trust arrangement. However, do not confuse an “abusive” trust with a legitimate trust that is used to pay the living expenses of a disabled individual. A qualified disability trust is a special type of trust that allows

family members to plan for the future of a child with special needs. Even in the case of a qualified disability trust, the income generated by the trust is taxable (usually to the beneficiary), although the trust itself is allowed a higher exemption than other trust types.

Example

Kurtis Jones sets up a trust in his family's name, the Jones Family Trust, and transfers ownership of their home and its contents to it. The trust then charges Kurtis and his children “rent” for living there, and he claims the costs of maintaining the property, such as landscaping, pool service, and utilities, as tax deductions. However, this is not allowed. Later, Kurtis creates another trust that supposedly has a charitable purpose, but in reality, it is not a legitimate charitable organization. This trust covers expenses for things like personal needs, education, and leisure activities for Kurtis and his family. The trust then claims these expenses as deductions on its tax returns. Both of these trusts are fraudulent, making Kurtis liable for both civil and criminal penalties.

Foreign Trusts

The IRS closely monitors foreign trusts due to their increasing popularity in countries where financial secrecy is prioritized and trust taxes are minimal or nonexistent. These countries are typically referred to as “tax havens” and fall outside of the jurisdiction of the U.S. Abusive foreign trust arrangements usually involve a series of trusts and entities through which taxable funds can be transferred until they reach the original owner without incurring any tax. Legally, however, the income from these arrangements is fully taxable. A trust is classified as “foreign” unless it is monitored by a U.S. court and all major decisions are made by a U.S. fiduciary. Not all foreign trusts are used for tax evasion, and there are legitimate reasons for setting up such trusts. However, due to potential abuses, the IRS has established several additional reporting requirements for U.S. persons involved with foreign trusts. Here are some of the key forms that may need to be filed:

- **Form 3520:** Annual Return To Report Transactions With Foreign Trusts and Receipt of Certain Foreign Gifts. This form is required for U.S. persons who create a foreign trust, have transactions with a foreign trust, or receive large gifts from foreign persons.
- **Form 3520-A:** Annual Information Return of Foreign Trust With a U.S. Owner, must be filed by the foreign trust.

In addition, U.S. taxpayers who have an interest in, or signatory or other authority over foreign trust accounts must also file FinCEN Form 114 (FBAR), if the aggregate value of the foreign trust accounts exceeds \$10,000 at any time during the year.

Example

Lori, a U.S. citizen, forms an asset management company as a domestic trust, listing herself as the director and her son as the trustee. She then forms a business trust, very similar to the domestic trust, with both intended to show she is not managing her own business. Next, Lori forms a foreign trust in Bermuda, with the income from the business trust distributed to this foreign trust. Because the source of income is U.S.-based, and there is a U.S. trustee, this foreign trust has filing

requirements, which Lori wants to avoid. Her next step is to form a second foreign trust. The first foreign trust funnels all its income to this second foreign trust, which has a foreigner as the trustee. By claiming that all sources of income and trustees are now “foreign,” Lori attempts to escape U.S. filing requirements. In reality, she maintains control over the income in this second foreign trust and has devised a complicated scheme to evade U.S. tax laws. This type of arrangement is considered abusive and illegal.

Notes & References

1. Revocable grantor trusts use the taxpayer's Social Security number as their tax ID and generally do not file a Form 1041 (trust activity is reported on the grantor's Form 1040). A Form 1041 may be required in specific scenarios, such as when a grantor trust has a nonresident alien beneficiary.
2. Wages paid after death but in the same year as death are subject to Social Security and Medicare taxes. Wages paid in the year following the employee's death are not subject to federal income tax withholding, FICA, or FUTA. Amounts that would have been reported as W-2 wages are reported on a 1099-MISC to the recipient(s).
3. The IRS issued Revenue Procedure 2022-32, which allows an estate tax return to be filed up to five years following the first spouse's date of death if a return is not otherwise required but is filed solely to make a “portability” (DSUE) election.
4. The estate tax return due date is the day of the ninth calendar month after the date of death. If there is no numerically corresponding day in the ninth month, the last day of the ninth month is the due date (e.g., death on July 31, 2024 → return due April 30, 2025).
5. Funeral expenses are never deductible if paid by an individual taxpayer (living or dead). They are deductible only if paid out of estate funds, and only on the estate tax return — not on the decedent's individual return.
6. A narrow exception to the noncitizen-spouse marital-deduction rule exists if a Qualified Domestic Trust (QDOT) is in place and an election is made; the assets pass into the trust of the surviving noncitizen spouse, and the QDOT trustee must be a U.S. citizen.

STUDY UNIT 19

Study Questions

Test yourself, then check the answer key that follows.

1. Which of the following statements is false regarding trusts?
 - a) A trust must pay income tax on the beneficiary's distributive share of income.
 - b) A complex trust is allowed to accumulate income.

- c)** A non-grantor trust is separate from the grantor (the trust's creator) for federal tax purposes.
 - d)** A grantor trust is a valid entity under state law, but for federal tax purposes, it is disregarded.
- 2.** The calculation of the gross estate includes all the following except:
 - a)** Life insurance proceeds payable to the decedent's heirs.
 - b)** The value of certain annuities payable to the estate.
 - c)** Property owned solely by the decedent's spouse.
 - d)** The value of certain property transferred within three years before the taxpayer's death.
- 3.** Dominique, an American citizen, has a foreign trust in Monaco, where she regularly deposits funds and can withdraw funds at any time. Which of the following statements is correct regarding the trust?
 - a)** Income deposited in the Monaco trust is shielded from all U.S. taxes.
 - b)** Dominique is not subject to any filing requirements in connection with her foreign trust.
 - c)** Dominique may owe gift tax on trust funds, but not income tax.
 - d)** All income earned by Dominique's foreign trust is fully taxable to Dominique.
- 4.** All of the following are characteristics of a simple trust except:
 - a)** The trust may distribute assets to charity.
 - b)** The trust must distribute all its income currently.
 - c)** The trust makes no distributions of principal.
 - d)** The trust makes no distributions to charity.
- 5.** All the following are examples of potentially abusive trusts except:
 - a)** A taxpayer who claims charitable deductions from a charitable trust he has created, without receiving an IRS exemption letter.
 - b)** A taxpayer who forms a grantor trust and retains the power to control or direct the trust's income or assets.
 - c)** A taxpayer who forms a foreign trust in a "tax haven" country, so funds distributed will be outside the jurisdiction of the United States.

d) A taxpayer who transfers an ongoing business to a series of trusts to avoid taxation but continues to run the day-to-day activities of the business and control its income stream.

6. What is the purpose of IRS Form 56?

a) To notify the IRS of a fiduciary relationship for an estate or trust.

b) To claim a refund on behalf of a deceased taxpayer.

c) To formally request an estate closing letter.

d) To report income earned by a surviving spouse.

7. The Mulcher Family Trust had the following in 2025. At the end of 2025, the trust fiduciary distributes \$4,000. The trust instrument allocates capital gains to income. What is the distributable net income (DNI) of Mulcher Trust for the year?

Taxable capital gains income **\$12,000**

Fiduciary fee paid to an attorney **(\$2,000)**

Interest income **\$4,000**

a) \$12,000

b) \$14,000

c) \$16,000

d) \$18,000

8. Who pays income tax on a nongrantor trust's distributive share of income?

a) The trust

b) The beneficiaries

c) Income tax is split equally between the trust and its beneficiaries.

d) The trustee

9. Patty died on February 2, 2025. A final paycheck was issued after the date of her death for work that Patty performed prior to her death. How is this income classified?

a) Nontaxable income.

b) Supplemental compensation.

c) Income in respect of a decedent.

d) Decedent's wages.

10. What is included in the gross estate?

- a) The gross estate includes everything the taxpayer owns at the date of death.
- b) The gross estate includes everything the taxpayer owns six months after the date of death.
- c) The gross estate includes everything the taxpayer owns after the date of death.
- d) The gross estate includes all of the decedent's previous and estimated future earnings.

11. Parker, an unmarried taxpayer, died on June 6, 2025. Based on the following information, determine the value of his gross estate:

FMV of assets on the date of Parker's death **\$1,250,000**

Life insurance on Parker's life (payable to his estate) **\$700,000**

Parker's revocable grantor trust (**included above**)

Debts owed by Parker when he died (**\$150,000**)

- a) \$250,000
- b) \$800,000
- c) \$1,800,000
- d) \$1,950,000

12. When should Form 56 be filed?

- a) After the final tax return of the deceased is filed.
- b) As soon as the estate's EIN is received.
- c) Before applying for an EIN for the estate.
- d) Only if the estate owes federal estate taxes to the IRS.

13. Estates and trusts filing Form 1041 may have net operating losses. In the case of an estate, what happens when there is a net operating loss carryover remaining when the estate is terminated?

- a) The estate can carry back losses to a prior year that it had income to offset.
- b) The estate can claim the losses as a credit against any income tax in the final year.
- c) Net operating loss carryovers are transferred to beneficiaries upon termination of the estate.

d) An estate cannot pass through losses.

14. Patricia died on May 3, 2025. The fair market value of all her assets at the time of her death was \$1,500,000, which included investments and the value of her primary residence in Boston. Patricia's estate had the following items of income during the year. Patricia's sole heir is her son, Ellery, who is a U.S. citizen. The estate made no distributions during 2025, and Patricia had never made any taxable gifts during her lifetime. Which of the following statements is correct?

Tax-exempt interest **\$250**

Dividends **\$170**

- a)** The estate is not required to file an income tax return (Form 1041) but must file a Form 706.
- b)** The estate must file an income tax return (Form 1041) and an estate tax return (Form 706).
- c)** The estate is required to file a Form 706, but not a Form 1041.
- d)** The estate does not need to file a Form 1041 or Form 706.

15. Sherice was unmarried when she died on March 1, 2025. The executor of her estate, her brother, Mahoney, elected to file the estate's income tax return on a calendar-year basis. Sherice's total estate was valued at \$2 million, and she made no taxable gifts during her lifetime, so Mahoney will not file a Form 706, but he has to file a Form 1041 to report the income earned by his sister's estate. No distributions were made by the estate by the end of the year. Based on the following, what is the taxable income that will be reported on Form 1041 for the estate, before consideration of the estate's exemption amount?

Taxable interest **\$2,000**

Tax-exempt interest from muni bonds **\$1,000**

Capital gain **\$3,000**

Executor's fees paid to Mahoney **(\$300)**

- a)** \$4,700
- b)** \$5,100
- c)** \$5,700
- d)** \$6,000

16. The Beaumont Estate is required to distribute all its income currently. The estate has distributable net income (DNI) of \$20,000 on its 2025 return. The only distribution the executor made during the year was \$5,000 in cash, paid to the decedent's son, Carlton Beaumont. According to the terms of the will, Carlton is entitled to 50% of the estate's DNI, and his sister, Jasmine

Beaumont, is entitled to the other 50% of the estate's distributable net income. Which of the following statements is correct?

- a) Carlton must pay tax on \$10,000.
- b) Carlton must pay tax on \$20,000.
- c) Carlton is not required to pay tax on the distribution, since it is an inheritance.
- d) Carlton must pay tax on \$5,000.

17. Which type of trusts are not subject to the Net Investment Income Tax?

- a) Irrevocable trusts
- b) Complex trusts
- c) Non-grantor trusts
- d) Tax-exempt trusts

18. What is the purpose of Form 1310?

- a) To claim a refund on behalf of a deceased taxpayer.
- b) To notify the IRS of a defunct power of attorney.
- c) To report the existence of an irrevocable trust.
- d) To request prior-year tax transcripts for a deceased taxpayer.

19. After Regina died, her estate included many investments. According to the terms of her final will, her spouse and son were entitled to receive annual payments of \$30,000 and \$10,000 respectively, from the estate's income each year during the administration process. Unfortunately, the value of Regina's investments decreased during this time and the estate generated less revenue, resulting in a total distributable net income (DNI) of \$20,000. This is lower than the required annual payments stipulated in her will. As a result, what amounts of income will be reported by the estate to each beneficiary on their 2025 Schedule K-1 (Form 1041)?

- a) Husband: \$10,000; Son: \$10,000.
- b) Husband: \$15,000; Son: \$5,000.
- c) Husband: \$20,000; Son: \$0.
- d) Husband: \$0; Son: \$0.

20. Alvin Lewis died three years ago. Alvin's eldest daughter, Connie, and her three younger brothers are all beneficiaries of their late father's estate. In 2025, the Estate of Alvin Lewis has

distributable net income of \$12,000, consisting of \$6,000 of rents, \$4,000 of dividends, and \$2,000 of taxable interest. The estate's executor, a family lawyer, distributes the income under the provisions of Alvin Lewis' final will, which includes a stipulation that allocates all the dividend income to Connie. How is the distribution to Connie characterized for tax purposes?

- a) \$0 rents; \$3,000 dividends; \$0 taxable interest.
- b) \$0 rents; \$4,000 dividends; \$0 taxable interest.
- c) \$2,000 rents; \$1,333 dividends; \$667 taxable interest.
- d) \$1,500 rents; \$1,000 dividends; \$1,000 taxable interest.

21. On September 10, 2025, Marcelle dies. At the time of his death, his combined assets are worth \$29 million, so an estate tax return is required to be filed. When is the due date for the Form 706?

- a) March 15, 2026
- b) April 15, 2026
- c) June 10, 2026
- d) June 30, 2026

STUDY UNIT 19

Answer Key & Explanations

1. The answer is **A**.

A trust does not pay income tax on the beneficiary's distributive share of income; the beneficiary reports that income on their own return. When a trust distributes income, it takes an income distribution deduction on Form 1041 and issues a Schedule K-1 to each beneficiary, who is taxed on the income they receive.

2. The answer is **C**.

The gross estate does not include property owned solely by the decedent's spouse or other individuals.

3. The answer is **D**.

All income earned by Dominique's foreign trust is fully taxable to her, because she is treated as the owner under the grantor trust rules when she retains control (including the ability to

withdraw funds). She may also have a reporting obligation on Form 3520, and the foreign trust generally files Form 3520-A.

4. The answer is A.

A simple trust distributes all its income currently, makes no distributions of principal, and makes no distributions to charity. Any trust that is not a simple trust is a complex trust. Only a complex trust can make charitable distributions.

5. The answer is B.

A grantor trust is a legitimate form of trust. The other options describe potentially abusive arrangements. Trusts cannot be used to convert personal, living, or educational expenses into deductions, or to avoid tax by ignoring true ownership or the true substance of transactions.

6. The answer is A.

Form 56 is used to notify the IRS of a fiduciary relationship for an estate or trust and helps establish the executor's authority to act on behalf of the estate.

7. The answer is B.

DNI is \$14,000: taxable interest \$4,000 + capital gains \$12,000 – fiduciary fees \$2,000. (Here the trust instrument allocates capital gains to income, so they are included in DNI.) DNI is the income currently available for distribution.

8. The answer is B.

A trust is a partial pass-through entity that deducts its distributions to beneficiaries. The beneficiaries pay income tax on their distributive share. Schedule K-1 (Form 1041) reports the distributed income, which the beneficiaries then report on their own returns.

9. The answer is C.

Patty's final paycheck is income in respect of a decedent (IRD), because it was issued after her death for work performed before death. IRD is taxable to the beneficiary who receives it.

10. The answer is A.

The gross estate includes everything the taxpayer owns at the time of death, generally valued at fair market value on the date of death.

11. The answer is D.

Parker's gross estate is \$1,950,000 (\$1,250,000 + \$700,000). Life insurance payable to an estate or grantor trust and assets held in a grantor trust are included in the gross estate. The decedent's liabilities are not included in the gross estate (though they are deductible from it in determining the taxable estate).

12. The answer is B.

Form 56 should be filed as soon as the estate's EIN is received, ensuring the executor receives important IRS notices.

13. The answer is C.

Estates and trusts cannot pass through losses except in the entity's final year. Any NOL carryover remaining when the estate is terminated passes to the beneficiaries in the year of dissolution.

14. The answer is D.

Patricia's estate need not file a Form 1041 or Form 706. A Form 1041 is required only if gross income is \$600 or more (or a beneficiary is a nonresident alien); her taxable gross income is below \$600. A Form 706 is required only if the estate exceeds \$13.99 million (2025), which it does not.

15. The answer is A.

Taxable income on Form 1041 is \$4,700: taxable interest \$2,000 + capital gain \$3,000 – executor's fees \$300. Administration expenses are deductible on Form 1041. The executor fees are taxable to Mahoney individually. Tax-exempt interest retains its character and is excluded. The estate is then allowed a \$600 exemption in figuring actual taxable income.

16. The answer is A.

Because the estate must distribute all income currently, Carlton must report his entire share of DNI – \$10,000 (50% of \$20,000) – regardless of the amount actually distributed to him in cash during the year.

17. The answer is D.

The NIIT does not apply to tax-exempt trusts or to grantor trusts. Individual beneficiaries of these trusts, however, may be subject to the NIIT on their own returns.

18. The answer is A.

Form 1310, Statement of Person Claiming Refund Due a Deceased Taxpayer, is used to claim a refund on behalf of a deceased taxpayer — typically when the claimant is someone other than a surviving spouse.

19. The answer is B.

When required distributions exceed DNI, DNI limits the amount reported to the beneficiaries and is allocated in proportion to the required payments: 75% ($\$30,000 \div \$40,000 = \$15,000$) to the husband and 25% ($\$10,000 \div \$40,000 = \$5,000$) to the son.

20. The answer is B.

Because the will's stipulation allocates dividend income to Connie, the full \$4,000 of dividends included in DNI is taxable to Connie.

21. The answer is C.

Marcelle's Form 706 (and any tax payment) is due on or before June 10, 2026 — within nine months of his date of death.